BPER: Gruppo

BPER: Banca

ANNUAL REPORT 2017.

BPER:
Gruppo

Shareholders' Meeting

Modena, 14 April 2018

Agenda

Ordinary part:

1) presentation of the draft financial statements for 2017 and related reports; presentation of the consolidated financial statements for 2017 and of related reports; related resolutions;
2) appointment of the Board of Directors for the three-year period 2018-2020;
3) appointment of the Board of Statutory Auditors for the three-year period 2018-2020;
4) proposal of the Directors' remuneration for 2018; related resolutions;
5) proposal of remuneration of the Board of Statutory Auditors for the three-year period 2018-2020; related resolutions;
6) presentation of the Remuneration Report pursuant to art. 123-ter of Legislative Decree no. 58 dated 24 February 1998, comprising the remuneration policies for 2018 of Gruppo BPER Banca S.p.A. and annual disclosure regarding implementation of remuneration policies for 2017; related resolutions;
7) proposal of the remuneration plan pursuant to art. 114-bis of Legislative Decree no. 58 dated 24 February 1998, implementing the remuneration policies for 2018 of BPER Banca Group S.p.A.; related resolutions;
8) proposal for approval of the regulations for Shareholders' Meetings; related resolutions;
9) information on internal control policies in terms of risk activities and conflicts of interest with related parties, in compliance with the requirements of the Bank of Italy's Circular 263 of 27 December 2006. Audit.

The present document is the English translation of the Italian Financial Statements, prepared for and used in Italy, and have been translated only for the convenience of international readers. Financial Statements were prepared using International Reporting Standards (IAS/IFRS); therefore they are not intended to present the financial position and results of operations and cash flows according to accounting principles and practices other than IAS/IFRS.

BPER Banca S.p.A.
Head office in Via San Carlo 8/20, Modena, Italy
Tel. 059/2021111 – Fax 059/2022033
Register of Banks no. 4932
Parent Company of the BPER Banca S.p.A. Banking Group
Registered in the Register of Banking Group with ABI code 5387.6, since 7 August 1992
http://www.bper.it, www.gruppobper.it; E-mail: bpergroup@bper.it – Certified e-mail (PEC): bper@pec.gruppobper.it
Tax Code, VAT number and Modena Companies Register no. 01153230360
Modena Chamber of Commerce 222528 Share capital as at 31/12/2017 € 1,443,925,305.00
Member of the Interbank Deposit Guarantee Fund and of the National Guarantee Fund
Ordinary shares listed on the MTA market

Contents

BPER Banca S.p.A.

Directors and officers of the Parent Company at the date of approval of the financial statements

Board of Directors

Chairman:		Luigi Odorici
Deputy chairmen:	*	Alberto Marri
	*	Giosuè Boldrini
Chief Executive Officer:	*	Alessandro Vandelli
Directors:		Mara Bernardini
	*	Ettore Caselli
		Pietro Cassani
	*	Pietro Ferrari
		Alfonso Roberto Galante
		Elisabetta Gualandri
		Costanzo Jannotti Pecci
		Roberto Marotta
		Roberta Marracino
		Valeriana Maria Masperi
		Valeria Venturelli

(*) Members of the Executive Committee

Board of Statutory Auditors

Chairman:	Antonio Mele
Acting Auditors:	Carlo Baldi
	Diana Rizzo
	Francesca Sandrolini
	Vincenzo Tardini
Substitute Auditors:	Giorgia Butturi
	Gianluca Spinelli

General Management

General Manager:	Fabrizio Togni
Deputy General Managers:	Eugenio Garavini Claudio Battistella Pierpio Cerfogli Gian Enrico Venturini

Manager responsible for preparing the Company's financial reports

Manager responsible for preparing the Company's financial reports:	Marco Bonfatti

Independent Auditors

Deloitte & Touche s.p.a

Chairman's Message to the Shareholders' Meeting

World economic expansion continued in 2017 with favourable short-term prospects. Growth was also strengthened in the Eurozone, although the general underlying weakness of inflation remained. In this context, the ECB decided to recalibrate its monetary policy instruments, while maintaining monetary conditions expansive, also for the future.

In Italy, the expansion of the economy has been consolidated and observer estimates confirm the favourable trend, even if it is lower than the European average. Business confidence has returned, confirmed by the acceleration of capital expenditure. Exports have also increased and the trade surplus with foreign countries remains high. Employment continued to rise in the last few months of the year, while consumer price inflation remains weak and underlying inflation is very low.

Loans to households are growing and loans to businesses, especially manufacturing, are increasing. Meanwhile, the quality of bank credit continues to improve, favoured by stronger growth. The flow of new non-performing loans in proportion to loans fell below the levels recorded before the global crisis, while the proportion of non-performing loans to total loans has decreased, largely due to the sale of bad loans.

In a general framework that marked a significant improvement, but not without some difficulties, for our Banking Group the past year marked a further turning point for the better: mortgages granted to households and businesses have increased considerably, while there has been a significant decrease in non-performing loans. This set of positive factors should support the prospects of profitability in the near future, while the implementation of major structural changes continued.

In particular, worth noting is the first Shareholders' Meeting held on 8 April after the transformation of the legal form of the Bank from a cooperative to a joint-stock company, approved by the Shareholders on 26 November 2016, with the consequent adoption of new Articles of Association.

The absorption of Nuova Carife by BPER Banca, which has been operational since 20 November 2017, is also of great importance. The process of acquiring the Ferrarese Bank, which began on 1 March 2017, was then completed. The acquisition has a marked industrial value view as it will allow BPER Banca to increase market share in its traditional area.

In the meantime, the process of raising in-house efficiency continued with the completion of the 2015-2017 Business Plan, to which all of the Bank's structures contributed, with very positive results. Among the main activities, worth remembering is the management of bad loans: at the centre of these initiatives was the Group company "BPER Credit Management", which has been operative since January 2016, improving the amount of debt recoveries in the past year by 33%.

The BPER Banca Group has a very positive financial position, with a CET1 ratio (the main indicator) of 13.89% under the transitional arrangements. This is at the top end of the Italian banking system, well above the European Central Bank's minimum requirement following the Supervisory Review and Evaluation Process (SREP) of 8.125% that has been in force from 1 January 2018.

This more than reassuring capital base today allows BPER Banca to accelerate the process of reducing non-performing loans. In this context, the pillars of the 2018-2020 NPE Strategy provide for an extraordinary intervention on the provisions to be made in the first quarter of 2018, in conjunction with the introduction of the new IFRS 9, and the sale of a substantial portfolio of the Group's bad loans, which is expected to be completed in the first part of the three-year period.

In brief, the Bank is even more solid in terms of capital, it is appreciated in any comparison with other banks of a similar size and has created the conditions to carry on growing in the future, also thanks to a further and decisive improvement in the quality of its assets.

The BPER Banca Group's main objectives are to maintain an adequate level of capitalisation, to strengthen traditional banking profitability and to hold down operating costs.

It is not unreasonable to say, once again, that the resources and efforts that we have dedicated to develop a business that confirms its status as one of the best and most important banking institutions in the country, have created a solid foundation on which to take advantage of the opportunities that the recovery is now offering.

2017 Consolidated financial statements

Directors' Report on Group Operations

BPER:
Banca

150

Da 150 anni.
Vicina. Oltre le attese.

1867 - 2017

Una storia di valori, un futuro di crescita.

bper.it

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1. The macroeconomic context

1.1 Background

In 2017, the global economy benefited from a broad and well-synchronized recovery, thanks above all to the recovery in capital expenditure, manufacturing and the steady growth in global trade. In 2017 world GDP rose by 3.5% year on year (y/y), a marked increase on the previous year (2.9%). The expansion, as mentioned previously, affected most geographical areas, in both industrialised and emerging countries. Among the first, there was above all the European economic cycle which, thanks to a return to political stability, surprised sharply on the upside, while among developing economies China, the main protagonist of the emerging bloc, managed to confirm its objectives of macroeconomic stability. Our comments on the main macro areas are as follows.

In the United States, the economy recorded yet another year of economic expansion as part of a positive cycle that started in 2009 and is now entering its ninth year (it is the third best run in the American history since World War II). However, in terms of GDP, the year just ended only saw a slight increase to 2.3% y/y, so it remains quite disappointing when compared with the trends seen in the years before the crisis. In 2017, the American expansion was solid and widespread, supported by all components of domestic demand: consumption rose, thanks to a labour market with full employment, a continuous increase in net wealth and a likely reduction in the tax burden resulting from the reform approved by the Trump Administration. Despite an unemployment rate in December 2017 at minimum levels (4.1%) for the last few years, however, wage growth has not accelerated as expected, helping to maintain a moderate rate of inflation that allowed the Federal Reserve, the US Central Bank, to continue its gradual exit from the highly expansionary monetary policies of the last decade. In 2017, there was also a reawakening of non-residential investments, which at last seem to have embarked on a path of recovery, thanks in part to the optimism linked to the recently approved tax reform, given that companies should be its main beneficiaries.

As regards the Eurozone, growth estimates for 2017 are around 2.4% y/y, thanks in particular to surprisingly strong domestic demand. Household consumption has reached a pace of expansion that has not been seen since before the great recession, sustained by a better labour market and higher purchasing power fuelled by low inflation. Companies have increased their production capacity, benefiting from favourable financing conditions and the robustness of domestic and international demand, as well as an ample supply of work. The strengthening of the Euro against all the main world currencies has not affected the current expansive phase, helped by the ECB's monetary policy which remained very loose throughout 2017, aiming to cope with a level of inflation that was still very low on average, despite the strong signs of recovery. In fact, although there were differences from country to country, the rise in Eurozone prices showed a modest +1.4% y/y in December 2017. And core inflation, calculated net of fresh food and energy products, has remained steady at 0.9% y/y.

Italy has also achieved encouraging results in 2017, although our economy remains the weak link in the EU. The increase in global trade and the new-found political and institutional stability in Europe have sustained the Italian economy, probably allowing it to achieve the highest growth in terms of GDP for the last seven years (estimated at 1.6% y/y). While recovering from the 2012-2013 recession was mainly driven by household spending, since last year the recovery has entered a more mature phase, spreading not only to the various industrial sectors, but also to services, with tourism showing an important reawakening. And while investment in plant and machinery was the major absentee of this expansion up to the middle of the year, the figure for the last few months seems to indicate that even this hurdle has been overcome. The labour market has also reflected this improvement in the economic climate, with the number of people in employment and the workforce on the rise, albeit in the more precarious form of a fixed-term labour contract. However, in this context, which is unequivocally a phase of cyclical strengthening, one element has also been lost in Italy: inflation. In fact, despite the recent increase in volatile components (oil and fresh food), inflation has slowed down and in December returned to 0.9% y/y.

The weakness of the US dollar, interest rates still at all-time lows, raw materials rising overall and macroeconomic fundamentals improving continuously in several emerging areas together created an ideal situation in 2017 for the growth of developing countries, which rose by 4.5% y/y compared with 3.8% in 2016. The increase in global trade, to which emerging countries have always been more closely linked than advanced ones, also supported the recovery. To start with, Brazil and Russia deserve the first mention, as their economies seem to have left the recession that lasted from 2015 and 2014, respectively; according to estimates, both countries should close 2017 with GDP growth of more than 1%. China also deserves a special mention, as the policies of the central authorities, also in view of the five-year party congress held last October, have continued to stimulate the economy, guaranteeing growth well above the target it had set itself. Expectations are now for a slow re-start of the reform process, in particular containment of internal credit growth, which is likely to lead to a moderate reduction in the rate of expansion.

(%)

	GDP			Inflation (annual average)			Unemployment (annual average)		
	2016	2017e	2018f	2016	2017e	2018f	2016	2017e	2018f
U.S.A.	1.5	2.3	2.5	1.3	1.7	2.1	4.9	4.3	4.0
Japan	0.9	1.7	1.3	(0.1)	0.4	0.7	3.1	3.0	3.0
European Monetary Union	1.8	2.4	2.3	0.2	1.5	1.4	10.0	9.1	8.5
Italy	1.1	1.6	1.5	(0.1)	1.2	1.0	11.7	11.3	10.9
Germany	1.9	2.5	2.5	0.4	1.7	1.8	4.2	3.7	3.2
France	1.1	1.9	1.9	0.3	1.2	1.2	10.1	9.6	9.1
Spain	3.3	3.1	2.7	(0.3)	2.0	1.4	19.6	17.8	16.9
UK	1.8	1.5	1.4	0.7	2.7	2.9	4.9	4.3	4.3
China	6.7	6.8	6.3	1.9	2.9	2.6	n.a.	n.a.	n.a.
India	7.4	6.6	7.1	4.8	3.2	4.7	n.a.	n.a.	n.a.

Key:
e: estimate
f: forecast

Source: Prometeia, "Forecast Report", December 2017

1.2 Public-sector finance

For 2017, the estimate of public sector borrowing has been confirmed at 2.1% of GDP, down from 2.4% in 2016. It includes the impact of around 0.2 percentage points of GDP due to the corrective measures taken by the Government with an emergency provision at the end of April 2017 to bring the trend in public finances back to the path recommended by the European Commission. The net debt target for 2018 has been revised from 1.2% to 1.6% of GDP, a figure authorised by Parliament on 4 October 2017 in response to the Government's request to authorise an increase in the nominal and structural deficit, within a cyclical framework that, while noticeably improving, still remains far from full employment and vulnerable to restrictive budget policies.

The evolution of the debt/GDP ratio still suffers significantly from the revision of the GDP series carried out by Istat for the years 2015 and 2016 and the improvement in the macroeconomic and planning framework. In 2017, public debt is expected to fall to 131.6%, a further improvement compared with the previous forecast of 132.0% contained in the 2017 stability plan. Moreover, the new estimate includes the amounts involved in the interventions on behalf of the banking system (around 0.6% of GDP). In terms of public finance, we also have to consider the impact, both present and future, of exceptional events: the question of migrants, the prevention of seismic risk, hydro-geological instability and maintenance work on school buildings to ensure they are safe. With regard to these events, it has been clarified how the European Commission will assess according to the actual figures, based on the costs actually incurred in 2017 (i.e. in 2018), the flexibility granted in the assessment *ex ante* of the 2017 structural balance. From a long-term perspective, the planned trend in the debt/GDP ratio envisages a figure of 123.9% in 2020.

Public-sector finance balance *(% of GDP)*	2016	2017e	2018f
Net borrowing	2.4	2.1	1.6
Borrowing	132	131.6	130

Key:
e = estimate
f = forecast

Source: “2018 Annual Report Planning Document" and "Update of the 2017 Economics and Finance Document"

1.3 The financial market and interest rates

2017 proved to be a very positive year for financial markets, driven by the combined effect of several factors. First of all, the world economy maintained a good and well-synchronized growth rate among the different areas of the world, accompanied by a slight rise in inflation. Emerging economies also grew overall, bolstered by continued growth in China and further improvements in the macroeconomic fundamentals of many countries. The Central Banks have not made any false steps, continuing along the lines that have been traced for some time and, despite a slightly less expansive future orientation, continuing to provide support to the markets through very accommodative monetary policies. From a political point of view, the elections in Europe have not delivered any country to populist forces, and the

process of Britain leaving the EU - scheduled for now on 29 March 2019 - has remained at the initial stages; even overseas, America's President Trump has turned out to be more mainstream than expected. Lastly, there have been no geopolitical events of such magnitude as to derail economic growth or generate dangerous turbulence within the financial world. Different asset classes, especially those that are notoriously riskier and more volatile, have therefore performed well, against a background characterised by a volatility that is anchored at all-time lows, modest interest rates and corporate profits on the rise. The primary beneficiaries of this particularly favourable environment were, of course, the equity markets, which rose substantially throughout the course of 2017, but the returns posted by emerging country bonds and by high yield bonds, which are the riskiest component of corporate bonds, were also significant. The sharp devaluation of the dollar was also a feature of 2017, a factor which has penalised Eurozone investors not a little. Lastly, there have been no significant changes with regard to government securities, at least for those in the main geographical areas.
Scrolling through the stock market statistics, the numbers that catch the eye are truly remarkable. All the main price lists went up, driven in particular by rising corporate earnings in all the major economies. The MSCI World index closed 2017 with an increase of +16.3%, driven mainly by the US stock exchanges that repeatedly exceeded their all-time highs over the course of the year: the S&P 500 index, thanks to a particularly linear trend and without any significant correction, rose by +19.4%, but it was the high-tech sector that performed particularly well (Nasdaq +28.2%), thanks to the extraordinary amount of profits realised, quarter after quarter, by the most important and well-known companies in the sector. The technological component also favoured the emerging countries' equity index, the MSCI Emerging Markets, which turned in a +27.8%; the indices of India (+27.9%) and Brazil (+26.9%) were particularly impressive. Japan also did well, with the Topix index up by +19.7%, while the European stock markets remained behind on average, even if with positive returns. Of these, however, the main Italian price list (FTSE MIB) did well, thanks to a +13.6% that allowed it to beat the index of major European stocks (Euro Stoxx50), which only went up by +6.50%. In Italy, however, it was the "STAR" market segment, consisting of medium-sized companies with high requirements, that posted the best results: driven, since the beginning of the year, by the introduction of PIRs (Individual Savings Plans), the FTSE Italia STAR index closed 2017 at +34.7%. Analysing all of the main stock exchanges around the world, in essence, the only index that registered a minus sign in 2017 was the Russian one (Micex, -5.5%), penalised by a strongly negative first half due to the temporary decline in oil prices.

Bond markets have always been influenced by future expectations of growth and inflation, as well as by the interventions of the various central banks, each of them having to cope with different monetary policy cycles. In the USA, the Fed made a total of three rate hikes (currently in a range between 1.25% - 1.50%), and in October 2017 launched a plan to bring its balance sheet back to normal. The combination of these measures and inflation that still remained weak led to a gradual flattening of the rate curve of US Treasuries: short- and medium-term rates rose, while long-term rates fell. The movement pivoted around the 10-year maturity, which remained essentially unchanged (the 10-year Treasury ended the year with a yield of 2.41% compared with 2.44% at the end of 2016). In the Eurozone, the ECB decided in October to extend its quantitative easing programme until September 2018, but at the same time it decided to halve its monthly bond purchases, starting in January 2018; this less expansive orientation, together with economic growth in the area well above expectations, led to a general rise, albeit not particularly marked, in rate curves (the Italian 10-year BTP, which at the beginning of the year had a yield of 1.81% gross, closed 2017 at 2.02%). The good macroeconomic environment and investors' continuous search for returns have generated positive returns for corporate bonds as well, both Investment Grade and High Yield. Emerging market bonds also did well, favoured - among other things - by the improvement in economic fundamentals in various countries and the weakness of the US dollar. Lastly, interbank market rates essentially remained the same, in line with the ECB rate policy, which did not change.

At currency level, the most marked movement, among the main currencies, was registered by the US dollar, which in the course of 2017 depreciated against a large basket of global currencies. Several factors contributed to weaken the dollar: first of all, the uncertainties related to the Trump Administration which, as the months passed, undermined market confidence in the US President's ability to implement his electoral agenda. The rate of inflation, which remained subdued, also removed fears of a possible acceleration in the Fed's interest rate normalisation process. In this way, the dollar lost 12.4% against the euro, a performance that was helped by the renewed strength of the single currency which was able to benefit not only from the better state of the economy, but also from greater political stability in the Eurozone. These factors, which attracted huge amounts of liquidity towards the Eurozone markets, allowed the Euro to appreciate not only against the US dollar, but also against all of the other main world currencies, including the Japanese yen and the British pound which fell by -9.1% and -4.1%, respectively. Emerging currencies were also weak, in particular the Turkish lira (-18.7% against the euro), penalised by the continuous political tensions, both internal and external.

On the commodities front, 2017 saw performances with ups and downs, but more or less positive in the end of the day, also thanks to the weakness of the US dollar. Industrial metals were particularly successful, encouraged by the improvement in the global economic situation that has fuelled demand. A better balance between supply and demand, the extension of production cuts by OPEC and geopolitical tensions, on the other hand, have boosted the price of oil which, after a first weak half, closed the year up by +17.7% (Brent). Gold also did very well (+13.5%), benefiting from a geopolitical context often in turmoil and interest rates which, despite the increases, remained at all-time lows.
Lastly, 2017 will also be remembered as the year of cryptocurrencies. Thanks to extraordinary performances, virtual currencies have aroused great interest also among non-professionals, attracting discordant opinions and interest on the part of the media.

1.4 The banking system and domestic interest rates

In a context of very low (or negative) interest rates because of the ECB's ultra-accommodative monetary policy, banks are struggling to get back to the levels of profitability that they once had. Low interest margins, the problem of asset management as a result of past crises, the aggression by fintech in a digital era and, lastly, rigid regulations, create a challenging and complex context. However, in the course of 2017, undoubted progress was made in terms of financial solidity and the reduction of non-performing loans. The road to efficiency is still long and requires a different business model, lower costs and a rationalisation of branches; in any case, an Italian economy in good recovery helps the banks along the path that leads to greater profitability and solidity.

Loans

According to the latest ABI monthly report that was issued in December 2017, in November the amount of loans granted to customers by banks operating in Italy came to Euro 1,767.1 billion, an amount that is much higher, by almost Euro 61 billion, than total customer deposits of Euro 1,706 billion.

More specifically, as far as bank loans are concerned, the November 2017 numbers confirmed that the improvement in the trend of loans to households and businesses is continuing. The annual change is up by +1.3 percentage points, continuing the positive trend that has lasted for almost 2 years. This figure emerges from estimates based on data published by the Bank of Italy on loans to households and businesses. In October 2017, the recovery by the mortgage loan market was confirmed. The total amount of mortgage loans granted to households has increased by 3.4% with respect to October 2016 (when there were already signs of improvement).

Net bad loans (i.e. net of writedowns already made by banks with their own resources) at the end of October 2017 came to Euro 66 billion, a marked reduction compared with December 2016 (86.8 billion). As a result, the ratio of net bad loans to total loans is also down: 3.79% in October 2017.

In November 2017 there was a further reduction in interest rates applied to customer loans: the average interest rate applied to total loans was 2.73%, reaching a new all-time low (it was 6.18% prior to the crisis, at the end of 2007). The average interest rate on new home purchase transactions stood at 1.95%, a new historical low (5.72% at the end of 2007). Of the total disbursements of new mortgage loans, approximately two thirds were fixed rate mortgage loans. The average interest rate applied to new business loans came to 1.45% (this figure too represents the historical minimum), versus 5.48% at the end of 2007.

Deposits

Over the past year, bank funding saw an increase in the gap between its two main components: the short-term one accelerated, while the long-term one fell.

In fact, if the overall figure rose by 0.4% on an annual basis, looking at the details one can see a negative trend in the net bonds sold to customers (-15.6%), offset by a positive trend in deposits from resident customers, for an annual increase of +4.4%.

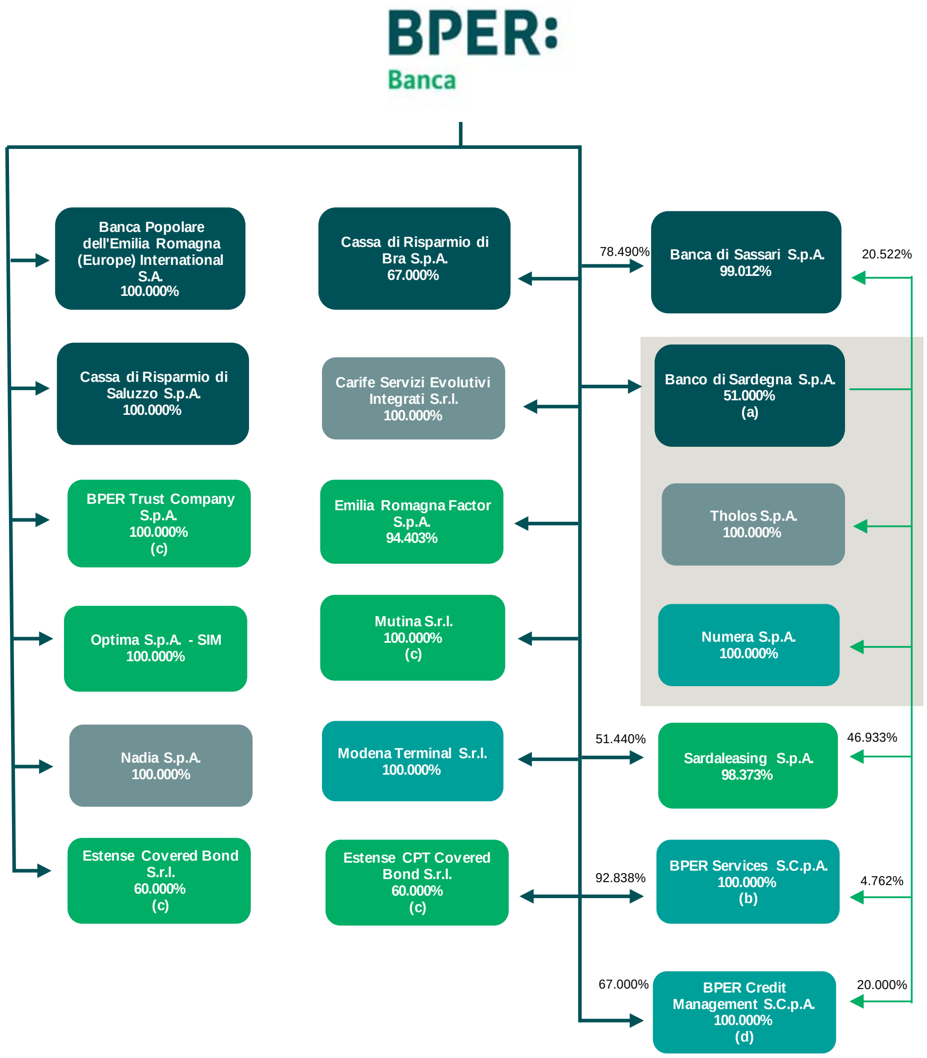
Moving on to deposits (repurchase agreements, certificates of deposit and current accounts) the ABI report indicates an increase at the end of November 2017 of Euro 60 billion compared with the prior year, whereas it confirmed a decrease in medium-long term deposits, being those pertaining to bonds, of almost Euro 53 billion over the last 12 months. From the end of 2007, which was prior to the crisis, to the present day, customer deposits have gone up from Euro 1,513 billion to Euro 1,656.3 billion, an increase in absolute terms of more than Euro 143 billion.

The average interest rate as of November 2017 on total customer deposits (sum of deposits, bonds and repurchase agreements in Euro to households and non-financial companies) stood at 0.89% (down on the figure at the end of 2007 of 2.89%) due to:

- the interest rate on deposits (current accounts, savings deposits and certificates of deposits), which reached 0.38%;
- the yield on bonds of 2.62%;
- the interest rate on repurchase agreements of 1.10%.

2. Key figures

2.1 BPER Group structure as at 31 December 2017



a) Equivalent to 50.901% of the entire Capital Stock consisting of ordinary, preferred and savings shares, the latter being non voting shares.

b) The following Companies also are shareholders of BPER Services S.C.p.A :
- Banca di Sassari S.p.A. (0.400%);
- Optima S.p.A. SIM (0.400%);
- Sardaleasing S.p.A. (0.400%);
- Cassa di Risparmio di Bra S.p.A. (0.400%);
- BPER Credit Management S.C.p.A (0.400%)
- Cassa di Risparmio di Saluzzo S.p.A (0.400%)

c) Subsidiary companies consolidated under the equity method.

d) The following Companies also are shareholders of BPER Credit Management S.C.p.A :
- Sardaleasing S.p.A. (6.000%);
- Banca di Sassari S.p.A. (3.000%);
- Cassa di Risparmio di Bra S.p.A. (2.000%);
- Emilia Romagna Factor S.p.A. (1.000%);
- Cassa di Risparmio di Saluzzo S.p.A. (1.000%);

In addition to the above members of the banking group, the scope of consolidation also includes the following subsidiaries companies which are not members of the banking group since they do not contribute directly to its activities.
These companies are consolidated under the equity method:
- **the Parent Company** :
  - Adras S.p.A. (100%);
  - Italiana Valorizzazioni Immobiliari S.r.l. (100%);
  - Polo Campania S.r.l. (100%);
  - Sifà S.p.A. (51%);
  - Banca Farnese S.p.A. in liquidazione (65,13%)
- **Nadia S.p.A.:**
  - Galilei Immobiliare S.r.l. (100%).
- **Italiana Valorizzazioni Immobiliari S.r.l.:**
  - Costruire Mulino S.r.l. (100%);
  - Frara S.r.l. (100%).

2.2 Summary of results

2017 closed with a net profit for the year of Euro 176.4 million (Euro 14.3 million at 31 December 2016), negatively impacted by the expected loss generated by the entry of Nuova Cassa di Risparmio di Ferrara spa (hereafter Nuova Carife) into the scope of consolidation and non-recurring items for Euro 169.9 million, substantially offset by the inclusion of the positive component of "badwill" determined at the end of the Purchase Price Allocation process of Nuova Carife for Euro 190.9 million.
The significant improvement in asset quality is continuing with a gross NPE ratio of 19.8%, down for the sixth quarter running from 23.5% in June 2016 thanks to the strategic measures taken in recent years to protect the Group's asset quality:

- a default rate of 2.1% (4.2% in 2016) with transfers from performing to non-performing loans more or less halved (-46.2% y/y);
- a cure rate of 11.5% (8.3% in 2016) with a significant increase in the flows of NPEs back to performing (+32.9% y/y);
- a danger rate reduced to 16.1% (17.6% in 2016) with inflows to bad loans falling by 12.1% y/y;
- an NPE coverage ratio of 48.7%, a significant increase from 44.5% at the end of 2016;
- a Texas ratio improving considerably to 101.9% from 111.6% in 2016, which is now close to falling below 100%.

Lending to customers recorded a further increase during the year, reaching Euro 47,814.8 million, an increase of 5.1% on 31 December 2016.

The Group's financial solidity is at the top of the Italian banking system with a fully phased CET1 ratio of 13.68% (13.89% phased in), giving it an ample capital buffer (Euro 1,877.8 million under the transitional arrangements) compared with the 2018 SREP requirement.
During the 3rd quarter of the year, having completed various activities requested by the ECB at the time when internal models were being validated, approval was given to eliminate the add-ons to risk-weighted assets.

As regards the figures in the income statement, note that in the summary versions that follow as well as in paragraph 2.4 (Summary schedules), reference is made to the reclassified consolidated financial statements[1] in which indirect tax recoveries, which are allocated for accounting purposes to *"Other operating income"*, have been reclassified as a reduction in the related costs and contributions to the SRF, DGS and FITD-SV funds have been shown separately from the specific accounting technical forms to give a better and clearer representation of the trend in the Group's operating costs.
The profit from current operations before tax amounts to Euro 199.1 million in the year (Euro 10.5 million at 31 December 2016).
Operating profit amounted to Euro 2,038.8 million, down by 1.38% compared with 31 December 2016. In particular:

- net interest income has fallen by 3.93%, mainly due to the higher interest expense on the Tier II subordinated bond placed at the end of May and a slight decline in asset returns, particularly on active current accounts and corporate loans;
- net commission income up by 3.92%. In detail, net commission income on managed funds and bancassurance business strongly increased by 19.90% y/y, whereas there has been a decline in

[1] *Paragraph 2.4 provides the reconciliation required by CONSOB communication DEM/6064293 of 28 July 2006.*

net commission income on the commercial side of the business, particularly as a result of the policy of optimising unused credit lines;

- net result from financial activities (excluding dividends) of Euro 103.1 million (Euro 120 million at 31 December 2016); the result for the period was affected by losses on the sale of non-performing loans of Euro 20.8 million and by the gain on sale of the investments in equities and UCITS classified as AFS (Euro 12 million); whereas in 2016 this item included the gain on sale of the investment in Visa Europe Ltd (Euro 20.8 million) and the earn-out clause linked to the sale of Istituto Centrale delle Banche Popolari Italiane s.p.a., now Nexi s.p.a. (Euro 16.9 million).

Operating costs are 2.33% higher than at 31 December 2016, influenced above all by the change in the scope of consolidation[2]:

- payroll costs amount to Euro 783.5 million, an increase of 1.86%;
- other administrative expenses amount to Euro 425.6 million, an increase of 2.01% compared with 31 December 2016);
- depreciation and amortisation on tangible and intangible assets amount to Euro 87.4 million (Euro 80.6 million in 2016).

Net adjustments to loans have fallen by 13.52% compared with the previous year, leading to a cost of credit of 112 bps (136 bps at 31 December 2016).
Net impairment adjustments to financial assets amount to Euro 104.6 million (Euro 51.8 million in the prior year); This balance includes the writedown of the interest in the Atlante Fund for Euro 52.9 million and IDGF-VS support for the banking system for a total of Euro 29.3 million, of which Euro 8.6 million already recognised in the first half of 2017.

In the balance sheet:

- net loans to customers total Euro 47,814.8 million, up by 5.10% since 31 December 2016, mainly due to the consolidation of Nuova Carife as part of the banking group;
- direct deposits (Euro 50,246.4 million) increased by 5.23%, with a loans/deposits ratio of 95.16% (95.28% at 31 December 2016);
- indirect deposits (Euro 35,864.7 million) posted an increase of 9.11%, mainly attributable to assets under management (+21.30%) the stock of insurance policies (Euro 4,787.8 million), which are not included in indirect deposits, also turned in a significant increase (+7.96% since December 2016).

The capital ratios, calculated taking into account the internal model (AIRB) methodology for the credit risk requirement and with reference to the value of Own Funds, including the share of profit realised during the year and the dividend expected for the Parent Company BPER Banca, are as follows:

- Common Equity Tier 1 Ratio (Phased In) of 13.89% (14.03% at 30 September 2017 and 13.80% at 31 December 2016). This ratio calculated on a fully phased basis comes to 13.68% (13.81% at 30 September 2017 and 13.27% at 31 December 2016);
- Phased In Tier 1 ratio of 13.97% (14.11% at 30 September 2017 and 13.89% at 31 December 2016);
- Total Capital ratio (Phased In) of 16.69% (16.89% at 30 September 2017 and 15.21% at 31 December 2016).

[2] *In the fourth quarter of 2016, the Group acquired control of Cassa di Risparmio di Saluzzo and in the second half of 2017 it acquired control of Nuova Carife.*

Leverage ratios:

- transitional arrangements (Phased In) of 6.1% (6.2% at 30 September 2017 and 6.7% at 31 December 2016);
- full application (Fully Phased) of 6.0% (6.1% at 30 September 2017 and 6.5 % at 31 December 2016).

Liquidity levels higher than the required minimums:

- Liquidity Coverage Ratio (LCR) of 113.7% (113.0% at 30 September 2017 and 102.0% at 31 December 2016);
- Net Stable Funding Ratio (NSFR) of 105.2% (104.9% at 30 September 2017 and 104.3% at 31 December 2016).

2.3 Performance ratios

Financial ratios	31.12.2017	31.12.2016 (*)
Structural ratios		
net loans to customers/total assets	67.02%	70.03%
net loans to customers/direct deposits from customers	95.16%	95.28%
financial assets/total assets	21.67%	21.11%
fixed assets/total assets	2.13%	2.13%
goodwill/total assets	0.46%	0.55%
direct deposits/total assets	88.63%	88.07%
deposits under management/indirect deposits	55.08%	49.55%
financial assets/tangible equity[3]	2.97	2.72
total tangible assets[4]/tangible equity	13.60	12.80
net interbank lending/borrowing (in thousands of Euro)	(9,971,711)	(8,130,867)
number of employees [5]	11,653	11,635
number of national bank branches	1,218	1,200
Profitability ratios		
ROE	3.62%	0.30%
ROTE	4.04%	0.33%
ROA (net profit/total assets)	0.25%	0.02%
Cost/income ratio[6]	63.59%	61.29%
Net adjustments to loans/net loans to customers	1.12%	1.36%
Basic EPS	0.367	0.030
Diluted EPS	0.367	0.030
Risk ratios		
net non-performing exposures/net loans to customers	11.30%	13.62%
net bad loans/net loans to customers	6.05%	6.61%
net unlikely to pay loans/net loans to customers	5.05%	6.69%
net past due loans/net loans to customers	0.19%	0.32%
adjustments to non-performing exposures/gross non-performing exposures	48.70%	44.54%
adjustments to bad loans/gross bad loans	59.30%	57.25%
adjustments to unlikely to pay loans/gross unlikely to pay loans	27.18%	23.49%
adjustments to past due loans/gross past due loans	10.60%	7.80%
adjustments to performing exposures/gross performing exposures	0.53%	0.47%
texas ratio[7]	101.86%	111.61%

(*) Certain performance ratios have been recalculated after restatement of the balance sheet at 31 December 2016 pursuant to para. 45 of IFRS 3, following completion of the Purchase Price Allocation process consequent to the acquisition of Cassa di Risparmio di Saluzzo.

[3] *Tangible equity = total shareholders' equity net of intangible assets.*
[4] *Total tangible assets = total assets net of intangible assets.*
[5] *The number of employees does not include the expectations*
[6] *The cost/income ratio has been calculated on the basis of the layout of the reclassified income statement (operating expenses/operating income); when calculated on the basis of the layouts provided by Circular no. 262 of the Bank of Italy the cost/income ratio is at 65.97% (65.52% as at 31 December 2016).*
[7] *The texas ratio is calculated as the relationship between total gross non-performing loans and net tangible equity, including minority interests, increased by total provisions for non-performing loans.*

(cont.)

Financial ratios	31.12.2017	31.12.2016
Own Funds (Phased in)		
Common Equity Tier 1 (CET1)	4,522,957	4,497,645
Own Funds	5,436,831	4,958,045
Risk-weighted assets (RWA)	32,573,002	32,593,235
Capital and liquidity ratios		
Common Equity Tier 1 Ratio (CET1 Ratio) - Phased in	13.89%	13.80%
Tier 1 Ratio (T1 Ratio) - Phased in	13.97%	13.89%
Total Capital Ratio (TC Ratio) - Phased in	16.69%	15.21%
Common Equity Tier 1 Ratio (CET1 Ratio) - Fully Phased	13.68%	13.27%
Leverage Ratio - Phased in[8]	6.1%	6.7%
Leverage Ratio - Fully Phased[9]	6.0%	6.5%
Liquidity Coverage Ratio (LCR)	113.7%	102.0%
Net Stable Funding Ratio (NSFR)	105.2%	104.3%

Non-financial ratios	31.12.2017	31.12.2016
Productivity ratios (in thousands of Euro)		
direct deposits per employee	4,311.89	4,103.82
loans to customers per employee	4,103.22	3,910.11
assets managed per employee	1,695.21	1,399.75
assets administered per employee	1,382.51	1,425.44
core revenues[10] per employee	160.05	161.85
net interest and other banking income per employee	169.97	173.02
operating costs per employee	112.13	113.35

[8] *The ratio is calculated according to the provisions of Regulation (EU) 575/2013 (CRR), as amended by the Commission Delegated Regulation (EU) 2015/62.*
[9] *See previous note*
[10] *Core revenues = net interest income + net commission income.*

2.4 Summary schedules

In accordance with CONSOB's requirements contained in Communication DEM/6064293 of 28 July 2006, we provide details of aggregations and reclassifications compared to the standard income statement format provided in the Bank of Italy's Circular no. 262/2005:

- *"Net result from financial activities"* includes items 80, 90, 100 and 110 in the standard reporting format;
- indirect tax recoveries, allocated for accounting purposes to item 220 *"Other operating charges/income"*, have been reclassified as a reduction in the related costs under *"Other administrative expenses"* (Euro 126,175 thousand at 31 December 2017 and Euro 118,704 thousand at 31 December 2016);
- *"Net adjustments to property, plant and equipment and intangible assets"* include captions 200 and 210 in the standard reporting format;
- *"Net impairment adjustments to AFS and HTM financial assets"* includes captions 130 b) and 130 c) in the reporting format;
- *"Gains (losses) on equity investments, disposal of investments and Impairment losses on goodwill"* include captions 240, 260 and 270 in the reporting format.
- "Contributions to the DGS, SRF and IDGF-VS funds" has been shown separately from the specific accounting technical forms to give a better and clearer representation, as well as to leave the *"Other administrative costs"* as a better reflection of the trend in the Group's operating costs. In particular, at 31 December 2017, this caption represents the component allocated for accounting purposes to administrative costs in relation to:
  - the 2017 contribution to the SRF (European Single Resolution Fund) of Euro 15,870 thousand;
  - equalisation of the 2015 contribution to the SRF (European Single Resolution Fund) of Euro 61 thousand;
  - 2017 contribution to the DGS (Deposit Guarantee Scheme) for Euro 21,790 thousand.

Note that the comparative figures at 31 December 2016 have been restated compared with those included in the consolidated financial statements at 31 December 2016, including the repayment received from IDGF-VS for redefinition of the intervention in Banca Tercas (Euro 10,970 thousand), previously recorded under the caption *"Net impairment adjustments for other financial transactions"*.

Consolidated reclassified income statement as at 31 December 2017

(in thousands of Euro)

Captions		31.12.2017	31.12.2016	Change	% Change
10+20	Net interest income	1,124,479	1,170,447	(45,968)	-3.93
40+50	Net commission income	740,628	712,722	27,906	3.92
70	Dividends	12,416	9,872	2,544	25.77
80+90+100+110	Net trading income	103,134	119,999	(16,865)	-14.05
220 (*) (**)	Other operating charges/income	58,190	54,238	3,952	7.29
	Operating income	**2,038,847**	**2,067,278**	**(28,431)**	**-1.38**
180 a)	Payroll	(783,478)	(769,149)	(14,329)	1.86
180 b) (***)	Other administrative costs	(425,611)	(417,217)	(8,394)	2.01
200+210	Net adjustments to property, plant, equipment and intangible assets	(87,429)	(80,595)	(6,834)	8.48
	Operating costs	**(1,296,518)**	**(1,266,961)**	**(29,557)**	**2.33**
	Net operating income	**742,329**	**800,317**	**(57,988)**	**-7.25**
130 a)	Net impairment adjustments to loan	(535,975)	(619,750)	83,775	-13.52
130 b)+c)	Net impairment adjustments to financial assets available for sale and held to maturity	(104,628)	(51,811)	(52,817)	101.94
130 d) (*****)	Net impairment adjustments to other financial assets	(15,313)	1,527	(16,840)	--
	Net impairment adjustments	**(655,916)**	**(670,034)**	**14,118**	**-2.11**
190 (****)	Net provisions for risks and charges	(30,578)	(32,648)	2,070	-6.34
###	Contribution to SRF, DGS, IDGF-VS	(37,721)	(62,508)	24,787	-39.65
240+260+270	Gains (Losses) from equity instruments, on disposal of investments and impairment losses on goodwill	(9,886)	(24,583)	14,697	-59.79
265	Gain on a bargain purchase	190,892	-	190,892	n.s.
280	**Profit (Loss) from current operations before tax**	**199,120**	**10,544**	**188,576**	**--**
290	Income taxes on current operations for the period	(22,238)	5,270	(27,508)	-521.97
320	**Net profit (loss) for the period**	**176,882**	**15,814**	**161,068**	**--**
330	Net profit (loss) pertaining to minority interests	(444)	(1,515)	1,071	-70.69
340	**Profit (Loss) for the period pertaining to the Parent Company**	**176,438**	**14,299**	**162,139**	**--**

	Caption net of:				
(*)	Recovery of indirect taxes	126,175	118,704	7,471	6.29
(**)	Accounting recovery of the guarantee expired as part of the Banca Tercas transaction	-	775	(775)	-100.00
(***)	Contribution to SRF, DGS, IDGF-VS	(37,721)	(78,233)	40,512	-51.78
(****)	Contribution to SRF, DGS, IDGF-VS	-	3,980	(3,980)	-100.00
(*****)	Repayment received from IDGF-VS for redefinition of the intervention in Banca Tercas	-	10,970	(10,970)	-100.00

The numbers corresponding to the item in the financial statements have been given next to each entry in order to facilitate reconciliation of the items in the reporting format required by Bank of Italy Circular no. 262/2005 with the reclassified income statement.

Consolidated reclassified income statement by quarter as at 31 December 2017

(in thousands of Euro)

Captions		1st quarter 2017	2nd quarter 2017	3rd quarter 2017	4th quarter 2017	1st quarter 2016	2nd quarter 2016	3rd quarter 2016	4th quarter 2016
10+20	Net interest income	288,114	282,005	280,218	274,142	296,800	293,576	285,728	294,343
40+50	Net commission income	177,373	181,851	184,802	196,602	177,083	181,035	174,803	179,801
70	Dividends	312	10,812	507	785	86	8,732	338	716
80+90+ 100+110	Net trading income	24,664	25,869	20,489	32,112	15,662	49,064	25,518	29,755
220 (*) (**)	Other operating charges/income	10,310	14,298	23,565	10,017	15,538	16,430	13,605	8,665
	Operating income	**500,773**	**514,835**	**509,581**	**513,658**	**505,169**	**548,837**	**499,992**	**513,280**
180 a)	Payroll	(194,125)	(191,551)	(191,656)	(206,146)	(196,586)	(201,655)	(176,168)	(194,740)
180 b) (***)	Other administrative costs	(96,628)	(104,864)	(107,465)	(116,654)	(101,125)	(102,758)	(106,098)	(107,236)
200+210	Net adjustments to property, plant and equipment and intangible assets	(18,685)	(22,012)	(20,653)	(26,079)	(17,084)	(20,443)	(17,943)	(25,125)
	Operating costs	**(309,438)**	**(318,427)**	**(319,774)**	**(348,879)**	**(314,795)**	**(324,856)**	**(300,209)**	**(327,101)**
	Net operating income	**191,335**	**196,408**	**189,807**	**164,779**	**190,374**	**223,981**	**199,783**	**186,179**
130 a)	Net impairment adjustments to loans	(133,573)	(189,659)	(89,722)	(123,021)	(114,167)	(161,935)	(124,578)	(219,070)
130 b)+c)	Net impairment adjustments to financial assets available for sale and held to maturity	(17,381)	(54,236)	(29,383)	(3,628)	(3,678)	(3,524)	(4,948)	(39,661)
130 d) (*****)	Net impairment adjustments to other financial assets	4,647	1,787	6,446	(28,193)	(3,666)	3,918	3,097	(1,822)
	Net impairment adjustments	**(146,307)**	**(242,108)**	**(112,659)**	**(154,842)**	**(121,511)**	**(161,541)**	**(126,429)**	**(260,553)**
190 (****)	Net provisions for risks and charges	(5,661)	(5,941)	(9,268)	(9,708)	(9,621)	(12,504)	(5,791)	(4,732)
###	Contributions to SRF, DGS, IDGF - VS	(18,061)	2,114	(20,205)	(1,569)	(15,000)	(432)	(17,607)	(29,469)
240+260 +270	Gains (Losses) on disposal of investments and impairment losses on goodwill	3,705	2,843	4,885	(21,319)	3,193	(4,077)	2,462	(26,161)
265	Gain on a bargain purchase		130,722		60,170	-	-	-	-
280	**Profit from current operations before tax**	**25,011**	**84,038**	**52,560**	**37,511**	**47,435**	**45,427**	**52,418**	**(134,736)**
290	Income taxes on current operations	(7,743)	17,926	(23,696)	(8,725)	(14,104)	(13,689)	(12,838)	45,901
320	**Profit (loss) for the period**	**17,268**	**101,964**	**28,864**	**28,786**	**33,331**	**31,738**	**39,580**	**(88,835)**
330	Profit (loss) for the period pertaining to minority interests	(2,710)	2,540	1,032	(1,306)	(2,356)	2,029	(3,162)	1,974
340	**Profit (Loss) for the period pertaining to the Parent Company**	**14,558**	**104,504**	**29,896**	**27,480**	**30,975**	**33,767**	**36,418**	**(86,861)**

	Captions net of:								
(*)	Recovery of taxes	29,981	31,001	31,382	33,811	30,405	28,899	29,385	30,015
(**)	Accounting recovery of the guarantee expired as part of the Banca Tercas transaction	-	-	-		-	-	-	775
(***)	Contributions to SRF, DGS, IDGF - VS	(18,061)	2,114	(20,205)	(1,569)	(15,000)	(11,402)	(17,607)	(34,224)
(****)	Contributions to SRF, DGS, IDGF - VS	-	-	-		-	-	-	3,980
(*****)	Repayment received from IDGF -VS for redefinition of the intervention in Banca Tercas	-	-	-		-	10,970	-	-

3. Significant events and strategic transactions

3.1 Strategic transactions

Acquisition of control of Nuova Cassa di Risparmio di Ferrara s.p.a. and subsequent merger with BPER Banca s.p.a.

On 1 March 2017, BPER Banca signed a contract to buy 100% of the share capital of Nuova Cassa di Risparmio di Ferrara S.p.A. ("Nuova Carife") from the Single Resolution Fund[11].

From a strategic perspective, this operation has marked industrial value: the acquisition of Nuova Carife allows us to significantly increase our market share, above all in the province of Ferrara, an area where the BPER Banca Group has a below-average penetration compared with the other provinces of Emilia-Romagna.

The process of integrating Nuova Carife into the BPER Banca Group was facilitated by the geographical proximity and the considerable knowledge that the Group already has of the local area. The BPER Banca Group believes that it will help to give new impetus to the growth of the industrial, economic and social fabric of the areas served by relaunching a virtuous cycle of development for the territory.

The operation allows significant synergies in terms of both costs and revenues. Among the former, the most important involve a rationalization of the branch network, the renegotiation of supply contracts, a reduction in the cost of corporate governance and a lower funding cost. Synergies in terms of revenues will be realised, not only through an increase in business volumes, but also by extending the banking products and services of the BPER Banca Group to the new customers; they can also benefit from those distributed through its companies specialising in consumer credit and payment card, leasing and factoring, and asset and wealth management.

The main terms of the deal contained in the purchase contract are as follows:

- consideration for the purchase of the entire share capital (100%) of Nuova Carife of Euro 1;
- equity of the Nuova Carife Group of at least Euro 153 million, after making additional risk provisions and adjustments to assets, also as a result of the due diligence conducted by BPER Banca, relating to the sale of NPLs, staff redundancies, IT migration costs, the costs involved in the integration of Nuova Carife's branch network with BPER Banca, legal risks and a specific impairment adjustment to the value of AFS securities and property assets. This "target equity" was determined after taking into account the forecast loss of Nuova Carife for the whole of 2017;
- work to sell the portfolio of bad and unlikely-to-pay loans outstanding at 31 December 2016 has almost been completed, also thanks to a detailed credit file review carried out by BPER Banca;
- reduction in the cost of human resources thanks to voluntary redundancies prior to the end of the year (with people leaving between 1 April 2017 and 30 November 2017), which will reduce the workforce to not more than no. 500 FTE (Full-Time Equivalents), compared with Nuova Carife's no. 908 employees at 31 December 2016.

BPER Banca believes that the risks of the transaction are low; indeed, they are limited by contract thanks to specific declarations and guarantees backed by an escrow account.

[11] *This transaction concludes the process for the sale of the four banks (Banca delle Marche, Cassa di Risparmio di Chieti, Banca Popolare dell'Etruria e del Lazio, Cassa di Risparmio di Ferrara), which were put up for resolution in November 2015*

The acquisition of the entire share capital of Nuova Carife from the Single Resolution Fund was completed on 30 June 2017, resulting in a business combination governed by IFRS 3.
The difference between the purchase price and the consolidated equity attributable to the group acquired is Euro 156 million. As required by IFRS 3, the provisional Purchase Price Allocation (PPA) was carried out at 30 June 2017 and then completed as of 31 December 2017. The overall benefit of the acquisition amounted to Euro 190.9 million and was recorded in an income statement caption specifically inserted for the purpose called "Badwill".

Subsequently, on 11 July 2017, the Board of Directors of BPER Banca approved a plan for BPER Banca to absorb Nuova Carife. In line with the theoretical intervention plan, the operation aims to improve operating efficiency and facilitate risk monitoring and control, together with achieving cost and revenue synergies.

The merger deed was signed on 8 November 2017, having completed the formalities required by art. 2505 of the Italian Civil Code, and then registered immediately afterwards at the Companies Registers of the banks involved in the merger.
The operation took effect for legal purposes from 20 November 2017, whereas for accounting and tax purposes it took effect from 1 July 2017.

The attachments to this report include pro forma consolidated balance sheets at 30 June 2017 (date on which the transaction took place) in order to help understand the effects of acquiring Nuova Carife on the consolidated financial statements of the BPER Banca Group. Please refer to Part G of the notes to the consolidated financial statements for the further details required by IFRS 3 on business combinations.

BPER Banca invests in Fondo Atlante

In April 2016, BPER Banca decided to participate in the Fondo Atlante initiative (closed-end mutual alternative investment fund), managed by Quaestio Capital Management SGR spa Unipersonale. The initial investment of Euro 100 million gave BPER no. 100 units, representing approximately 2.3535% of the Fund (Euro 100 million out of Euro 4,249 million in total), which are shown in the accounts under *"Financial assets available for sale"*.
At the end of December 2016, the total amount recorded in the consolidated financial statements amounted to Euro 81.2 million. The residual commitment was therefore Euro 18.8 million, considered "off balance sheet" for accounting purposes as an irrevocable commitment that is not certain to be called on.
Having taken note of the lower value of the assets underlying the fund, BPER Banca had deemed it correct and prudent to make a writedown of € 28.3 million before tax (34.83% of the book value). The residual carrying amount of the investment at 31 December 2016 was therefore Euro 52.9 million.

Following approval of the 2016 financial statements of the two Venetian banks supported by investment from Fondo Atlante, and confirmation of their particularly negative results, BPER Banca wrote down the units held in the fund by a further Euro 17 million at 31 March 2017. This increased the accumulated writedown of Fondo Atlante to Euro 45.3 million (55.8% of the total amount paid in).

During the second quarter, BPER Banca made additional contributions, again based on its initial commitment, to finance the investments of Fondo Atlante II (in which Fondo Atlante is an investor):

- Euro 6.2 million was paid in on 2 May 2017 to finance the good banks acquired by UBI Banca: Nuova Banca delle Marche s.p.a, Nuova Banca Etruria s.p.a. and Nuova Cassa di Risparmio di Chieti s.p.a.;
- Euro 0.4 million was paid in on 19 June 2017 to finance the purchase of Nuova Cassa di Risparmio di Ferrara S.p.A.

On 30 June 2017, BPER Banca determined the need to write off completely the contributions made to Fondo Atlante for the two Venetian banks, with a charge to the income statement of Euro 35.9 million. This was a consequence of the mandatory liquidation of Banca Popolare di Vicenza s.p.a. and Veneto Banca s.p.a., whose capital has been sold to Bank Intesa s.p.a. for a symbolic amount.

In the fourth quarter of 2017, the Fondo Atlante made another call to finance investments in the Italian Recovery Fund (formerly Atlante II), relating to the "Project Berenice" in Cassa di Risparmio di Cesena, Cassa di Risparmio di Rimini and Cassa di Risparmio di San Miniato and the first tranche of the "Project Valentine" in Banca Monte dei Paschi di Siena, for a total of Euro 4.4 million.

Following these transactions, at 31 December 2017 BPER Banca has paid a total of Euro 92.2 million to the Fondo Atlante for all of its initiatives; with a residual commitment to the fund of Euro 7.8 million. The overall writedown of the investment is Euro 81.2 million (88.10% of the total), of which Euro 52.9 million on the current year, which results in a net value for the Fondo Atlante of Euro 11 million.

Bassilichi s.p.a: sale of the investment

BPER Banca signed a contract with Istituto Centrale delle Banche Popolari Italiane s.p.a. (now Nexi s.p.a.) on 6 December 2016 for the sale of the shares held in Bassilichi s.p.a. The operation was completed on 30 June 2017.
The consideration for the operation of Euro 11.2 million resulted in a gain on disposal of Euro 6.9 million, gross of tax effect.

Banca della Nuova Terra s.p.a.: sale of the interest held

On 19 April 2017, BPER Banca signed a contract to sell the shares that it held in Banca della Nuova Terra s.p.a. to Banca popolare di Sondrio s.p.a. (15,184,509 shares representing 30.369% of the share capital). The closing of the transaction was completed on 8 September 2017 for a final amount of Euro 7.4 million, recognising a loss of Euro 0.3 million.

BPER Banca Group renews the bancassurance agreement with the UNIPOL Group

On 8 November 2017, the BPER Banca Group renewed the Bancassurance Agreement with the Unipol Group for the distribution of "Arca Vita", "Arca Assicurazioni" and "Arca Vita International" life and non-life insurance policies.
The duration of the new Agreement is five years from 1 January 2018 and provides for early termination of the existing Agreement on 31 December 2017.
The agreements reached with the insurance partner pay particular attention to product innovation and will make it possible to expand and strengthen the range of insurance products offered to customers, as well as to maximize the effectiveness of the BPER Banca Group's bancassurance value proposition.
Renewal of the Agreement strengthens the strategic partnership with Gruppo Assicurativo Unipol, accelerating growth in a significant segment.
As part of the deal, the three main shareholders of "Arca Vita" (Unipol with 63.39%, BPER Banca with 19.67% and Banca Popolare di Sondrio with 14.84%) have renewed the shareholders' agreements and rules governing the circulation of the insurance company's shares for the same period as the Agreement.

Release s.p.a.: increase in capital

On 16 October 2017, the Extraordinary Shareholders' Meeting of Release s.p.a., a company of the BancoBPM Group, held 10.84% by BPER Banca, resolved to reduce the share capital to cover accumulated losses with the cancellation of 256,630,242 shares (31,793,532 owned by BPER Banca) and the subsequent increase in capital, to be carried out by issuing 150,000,000 shares at a price of Euro 1 each, for a total of Euro 150 million.
BPER Banca exercised its option right for only 8,130,000 new Release shares out of a total of 16,260,000 due in respect of its shareholding, for a value of Euro 8.1 million paid on 24 October 2017.
Following the increase in capital, BPER Banca's stake in Release fell to 9.27%.

CARIFE SIM S.p.a. merged with OPTIMA S.p.a. SIM

In the wider context of the acquisition of Nuova Cassa di Risparmio di Ferrara, on 23 October 2017, the Boards of Directors of the securities brokerage companies, Carife SIM spa and Optima spa SIM, approved a merger plan for Carife SIM to be absorbed by Optima SIM.
The purpose of the merger, among other things, is to simplify and rationalise the distribution, organisational and governance structure of the BPER Banca Group, as well as to achieve synergies in terms of operational efficiency.
The plan, which has been prepared in simplified form pursuant to art. 2505 of the Italian Civil Code, will be submitted to the Extraordinary Shareholders' Meeting of the two companies involved in the merger, after its filing and publication as required by law.
The resolutions for the merger of CARIFE SIM with OPTIMA SIM passed by their respective extraordinary shareholders' meetings pursuant to art. 2502 cod. civ. were registered in the Ferrara Companies Register on 4 December 2017 and in the Modena Companies Register on 5 December 2017. The 60-day period laid down by art. 2503 of the Italian Civil Code to implement the merger runs from the latter of these two registrations. In order to achieve cost savings and greater operating efficiency, the administrative bodies of the two companies involved in the merger resolved to implement it before the end of the year, so before the expiry of the legal deadline. To this end, all the necessary activities have been put in place to obtain the consent of the legitimate creditors, or to pay them, as well as to deposit at a bank the sums corresponding to the residual amounts due.

The deed of merger between CARIFE SIM and OPTIMA SIM could therefore be signed on 12 December 2017 and recorded in the pertinent Companies Registers of the entities involved in the merger on 15 December 2017.
The merger took legal effect on 20 December 2017, taking effect for tax and accounting purposes from 1 July 2017.

BPER Banca acquired 51% of Sifà s.p.a.

On 29 November 2017, BPER Banca communicated to Sifà s.p.a. (35% owned, with de facto control) its desire to convert 30,141 Sifà s.p.a. convertible bonds with a nominal value of Euro 10 each into 30,141 ordinary shares with a nominal value of Euro 1, as provided for by art. 7 of the regulation of the bond loan adopted by the Extraordinary Shareholders' Meeting of Sifà s.p.a. on 16 June 2015 and subsequently amended by them on 17 November 2017.
On 6 December 2017, Sifà therefore issued the new share certificate for the 30,141 new shares.
As a result of this transaction, BPER Banca holds 51% of this company, which it now controls by right.

Purchase Price Allocation (PPA) Cassa di Risparmio di Saluzzo s.p.a.

The PPA process, following the acquisition of control over Cassa di Risparmio di Saluzzo s.p.a. in the final quarter of 2016, was completed during the first half of 2017.
This analysis, carried out by an independent advisor, identified intangible assets of Euro 6 million, net of taxes, deriving from relationships with the customers acquired, with specific reference to the funding generated by the management of core deposits i.e. current accounts and savings deposits.
As a result, the provisional amount of "Goodwill" recognised at 31 December 2016, Euro 14 million, was already reduced to Euro 6.1 million at 30 June 2017 and the residual amount in what is now the definitive situation is Euro 7.9 million. This resulted in a restatement of the amounts reported at 31 December 2016, in accordance with para. 45 of IFRS 3. Further details of this operation are provided in Part G of the Explanatory notes on "Business combinations", in section 3 "Retrospective adjustments".

3.2 The BPER Banca Group's Business Plan

In February 2015, the Board of Directors of BPER Banca approved the 2015-2017 Business Plan, aimed at steering the Group's activities over the three-years 2015-2017.
The Plan, which was given the name *"BECOMING BPER"*, was devised with the close involvement of all Group personnel, who worked together on one single, agreed programme of change, drawing on three strategic guidelines:

- the strengthening of revenues, with objectives for the growth of commission income and the development of lines of business that support the needs of the territories served, households and small and medium-sized enterprises;
- the simplification and greater efficiency of the operational model, due to further rationalisation of the branch network and related organisational controls, the simplification of processes and investment in innovative technologies;
- optimisation of the risk profile, involving targeted evolution of the way the lending process is governed and the implementation of strategies that are tied to the Risk Appetite Framework, as

well as more specialisation in the management of impaired loans, partly by the creation of a business unit dedicated to the recovery of non-core assets.

In December 2017, there were no. 120 projects activated as part of the Plan, while work continued on no. 104 projects not included in the Plan. Out of 224 activities commenced, no. 175 have already been completed.

The main planning activities include:

- implementation of the roll-out of the Corporate Advisory platform to all Group companies;
- inauguration of no. 13 branches of BPER Banca, located throughout the country, based on the so-called "New Concept", a project launched in conjunction with the launch of the new brand;
- advanced ATMs have been installed in various branches according to plan, reaching a total of no. 112 workstations;
- developments in BStore of post-sale management of current accounts are currently being completed. The release ought to be completed by March 2018;
- the reorganisation of the distribution network (the "Footprint" project) was concluded, with the preparation of a new distribution model with different types of branch. This resulted in the closure of no. 130 branches (which is the target set in the Business Plan), including no. 44 consequent to the rationalisation and reorganisation of the Sardinian hub (the "Dynamo" project carried out in 2016);
- some of the main objectives of the Digital Transformation Program were achieved, such as: remote selling of Funds and Personal Loans; the release of the Personal Financial Management platform; the launch of the e-commerce partnership with Amazon and couponing with third-party companies;
- within the framework of planned activities, where the Group is focusing more and more on applying the "Paperless" concept, the pilot phase for the extension of the Advanced Electronic Signature to the trading of financial instruments was launched in line with the new principles and obligations established in the new MiFID2 regulations;
- the activities involving Banca di Sassari for the commercial and administrative management of personal loans sold through the Group's distribution network have now been completed. In this regard, the loan approval process for retail customers has also been revised in order to increase efficiency and streamline the procedures applied to date, while maintaining the necessary attention to the quality of the credit being granted.

The Plan identified some end-of-period targets on important enabling factors, such as:

- a ROTE (Return On Tangible Equity) of 9% and Euro 400 million of "Net profit";
- a CET1 ratio of 12%;
- a dividend payout ratio of more than 30%.

The final figures for 2017 show a capital target that has been exceeded by a wide margin, thanks in particular to the benefit deriving from validation of our internal models by the European Central Bank (in June 2016) and the internal capital generation capacity of operations. The pay-out ratio is in line with the Business Plan, while overall profitability, though amply positive, has been penalised by market interest rates at all-time lows for a prolonged period of time and by an economy that has only shown encouraging signs of recovery towards the end of the last three years. The target of reducing operating costs, net of non-recurring items and on a comparable basis, has been substantially achieved. As far as volumes are concerned, loans have not increased to the level expected because of the cyclical factors mentioned above, while indirect deposits, with particular reference to assets under management and insurance premiums, have been showing significantly higher growth than expected.

As the expiry date of the current Business Plan approaches, the Bank has started the process of drafting a new Business Plan.

3.3 European Single Supervisory Mechanism (SSM)

BPER Banca and its Group are among the major European banks supervised directly by the ECB[12].
Consistent with the European SSM, BPER Banca has organised a process of constant discussion and alignment with the ECB that includes the provision of detailed periodic information flows in response to requests from the Joint Supervisory Team (JST).
On 22 November 2017, after completing the annual SREP prudential review and evaluation process, BPER Banca received notification from the ECB of the latest prudential requirements to be met on a consolidated basis pursuant to art. 16 of EU Regulation no. 1024/2013. Based on the outcome of the SREP performed, the ECB decided that BPER Banca should maintain the following consolidated minimum capital ratios from 1 January 2018:

- Common Equity Tier 1 Ratio: of 8.125%, being the sum of the minimum requirement pursuant to art. 92 of EU Regulation 575/2013 (4.50%), plus the additional Pillar 2 requirement in accordance with art. 16 of EU Regulation 1024/2013 (1.75%), plus the capital conservation buffer in accordance with art. 129 of Directive 2013/36/EU as transposed into national law (1.875%);
- Total Capital Ratio: of 11.625%, being the sum of the minimum requirement pursuant to art. 92 of EU Regulation 575/2013 (8.00%), plus the additional Pillar 2 requirement in accordance with art. 16 of EU Regulation no. 1024/2013 (1.75%), plus the capital conservation buffer in accordance with art. 129 of Directive 2013/36/EU as transposed into national law (1.875%).

In accordance with regulations for the prudential supervision of banks, failure to comply with the CET1 Ratio and Total Capital Ratio minimum requirements would lead to limitations on the distribution of earnings and the need to adopt a plan for the conservation of capital.
The ECB has confirmed that the Italian Group banks and the Luxembourg bank must constantly meet the requirements for Own Funds and liquidity on the basis of Regulation (EU) 575/2013, of national legislation enabling Directive 2013/36/EU, and of any applicable national liquidity requirement, in compliance with Article no. 412 paragraph 5 of EU Regulation 575/2013, as well as having authorised the Group, effective as of 1 January 2017, to remove the supplementary specific requirement relating to risk-weighted assets of Banca di Sassari s.p.a., assigned by the Bank of Italy in 2003 and subsequently amended in 2009.
These quantitative capital objectives were accompanied by the following qualitative requests to be sent to the ECB:

- presentation of a new strategic and operational plan as regards NPLs, accompanied by an analysis of the rationales underlying the strategy and preparation of periodic reporting on NPEs;
- preparation of governance mechanisms appropriate for monitoring and control NPLs;

[12] *Regulation (EU) 1024 of 15 October 2013 assigned specific tasks to the European Central Bank (ECB) regarding the prudential supervision of banks in cooperation with the national Supervisory Authorities of the participating countries, within the Single Supervisory Mechanism (SSM). The ECB accepted the tasks assigned by this Regulation on 4 November 2014; they are performed with assistance from the Bank of Italy, in the manner envisaged in Regulation (EU) 468/2014 of 16 April 2014. The ECB works closely with the various European Authorities including the European Banking Authority (EBA), as it has to perform its functions in compliance with EBA regulations.*

- preparation of a half-yearly report to the ECB on the implementation of a strategic and operational plan for the governance of NPLs;
- developments in the field of risk measurement and reinforcement of discussions on ICAAP and ILAAP (Internal Capital/Liquidity Adequacy Assessment Process) with the Corporate Bodies.

BPER Banca has taken appropriate steps to comply with the Supervisory Authority's requirements within the necessary time frames.

During the first half of 2017, the BPER Banca Group:

- completed working on its ICAAP and ILAAP reports, by revising the underlying processes, with the objective of ensuring an effective integration into business practices of the strategic and operational impact of the law and sent them to the European Supervisory Authority as required. All of this in compliance with the indications provided by the regulations for the prudential supervision of banks (Bank of Italy Circular no. 285/2013), with the regulatory updates introduced by the EBA and ECB on periodic reporting on ICAAP and ILAAP;
- completed the sensitivity analysis focused on the effects of changes in interest rates and sent the report to the Supervisory Authority by the set deadline. The results of this analysis were discussed as part of the 2017 SREP and contributed to the assessment of the level of capital that banks have to hold in terms of the Pillar 2 Requirement (P2R) and Pillar 2 Guidance (P2G), communicated to the Group as part of the annual SREP process.

In May 2017, the Internal Resolution Team (IRT) began gathering information for the definition of a Resolution Plan for the BPER Banca Group, requesting information via the completion of specific templates. Based on the information received, the IRT then presented BPER Banca with "Working Technical Notes" for the collection of more detailed qualitative and quantitative information. Following receipt of this input, BPER Banca commenced the related activities by involving the competent functions. BPER Banca provided the first part of the information to the IRT in August 2017 and the second part in October 2017.

During the second half of 2017, the BPER Banca Group:

- completed implementation work on the Remedy Plan, i.e. the action taken to remedy the matters raised in the ECB's Validation Letter of 24 June 2016, confirming authorisation to use the IRB Advanced Methodology for lending requirements. The ECB approved of the corrective action taken and consequently authorised the BPER Banca Group to remove the specific capital requirements requested during the first application of the IRB Advanced Methodology.
- continued preliminary work on the "Target Review of Internal Models" (TRIM);
- initiated the periodic updating of the Recovery Plan and preliminary analyses for the EBA/ECB 2018 Stress Test, which BPER Banca will have to carry out during the first half of 2018;
- planned the activities regarding the evolution of the elements making up the ICAAP process, which will be carried out in the first few months of 2018.

In December 2017, the BPER Banca Group completed drafting the 2017 Recovery Plan, based on the findings received from the ECB relating to its assessment of the 2016 Recovery Plan. This document was approved by the Parent Company's Board of Directors at the meeting held on 19 December 2017.

3.4 Contributions to the Single Resolution Fund and the Deposit Guarantee Fund and developments in the Interbank Deposit Guarantee Fund (Voluntary Scheme) and Solidarity Fund

Single Resolution Fund (SRF)

On 1 January 2015, the European Directive 2014/59/EU (BRRD - Bank Recovery and Resolution Directive), which established the SRF (Single Resolution Fund), came into force. The directive was transposed into Italian law by:

- the European Delegation Law of 2 July 2015 and subsequently by
- Legislative Decree no. 180 (referred to as "Resolution") and by Legislative Decree no. 181 (relating to the pertinent "CBA and CFA amendments"), both published in the Official Gazette on 16 November 2015.

As of 1 January 2016, the Regulation on the Single Resolution Mechanism (2014/806/EU - SRMR) entered into force, consisting of a Single Resolution Mechanism (SRM) managed by a Single Resolution Board (SRB). In its capacity as the National Resolution Authority, the Bank of Italy set up the Single Resolution Fund, to which banks operating in Italy are being asked to contribute.

In May 2017, the Resolution Authorities (Bank of Italy and the CSSF for Luxembourg) issued notification to each bank of their request for payment of contributions to be made between 22 May and 1 June 2017, with a total amount due by the Group of Euro 18.1 million.

The payment request provides an option to pay a portion of the contribution due via irrevocable payment commitments (IPC), which, also for 2017, was set at 15% of the total contribution. Intermediaries are required to provide suitable collateral against their irrevocable payment commitments and, for 2017, this has been restricted to cash.

BPER Banca announced that it would take advantage of this option by the 24 May 2017 deadline, sending, as required, all of the documents requested by the Bank of Italy and to the Single Resolution Board (SRB).

It therefore made the required payments on behalf of all of the Group's Italian banks on 30 May 2017:

- BPER Banca: Euro 12,968 thousand, as 85% of the contribution in addition to Euro 2,288 thousand as collateral for the IPC;
- Banco di Sardegna: Euro 1,835 thousand;
- Banca di Sassari: Euro 246 thousand;
- CR Bra: Euro 316 thousand.

At the same time, CR Saluzzo also contributed Euro 204 thousand to the Bank of Italy and BPER (Europe) International paid Euro 301 thousand to the Luxembourg Resolution Authority (CSSF).

Overall, the Group paid Euro 15,870 thousand in contributions, recorded as administrative costs and Euro 2,288 thousand as collateral.

In addition, the extraordinary contributions accrued at 31 December 2016 (Euro 34,932 thousand) were paid during 2017, as were adjustments for 2015 (following the final calculations made by the National Resolution Authority) totalling Euro 61 thousand. The total amount charged to the income statement of the current year was Euro 34,993 thousand (of which Euro 29,680 thousand already paid by BPER Banca).

As of today, based on the information available, it was felt that there were no new elements to consider this collateral as a definitive contribution; no allocation to the income statement has therefore been made.

Deposit Guarantee Scheme (DGS)

The Deposit Guarantee Scheme (DGS) is foreseen by Directive 2014/49/EU (Deposit Guarantee Scheme Directive – DGSD), which establishes a harmonised regulatory framework at European Union level concerning deposit guarantee schemes.

On 15 February 2016, the Official Gazette of the Italian Republic published Legislative Decree 30, which transposed Directive 2014/49/EU into Italian law. The Legislative Decree's framework, in line with the DGSD, had the aim of ensuring a high level of protection for depositors. In fact, deposit guarantee schemes are an important instrument for the management of banking crises: they make interventions aimed at cushioning the impact of a crisis, reimbursing depositors up to a certain ceiling in the event of liquidation of the intermediary, as well as preventing the crisis in the first place, if possible.

The Legislative Decree's framework establishes:

- the maximum amount that can be reimbursed to depositors (Euro 100,000): this level of coverage has been harmonized by the Directive and applies to all guarantee schemes, irrespective of where the deposits are located within the European Union;
- the minimum level of funding that the national guarantee schemes have to have available;
- the procedures for timely intervention on the part of the guarantee schemes;
- harmonisation of the procedures for repayment of depositors in the event of a bank default;
- to adopt an ex-ante system of funding, with a target set at 0.8% of guaranteed deposits to be achieved in 10 years.

Legislative Decree 30 amended Italian regulations concerning deposit guarantee schemes, as contained in the Consolidated Banking Act (Legislative Decree no. 385, Section IV Title IV of 1 September 1993) and in Legislative Decree 180 of 16 November 2015 that had transposed the BRRD into Italian law.

As manager of the Deposit Guarantee Scheme (DGS), on 15 December 2017 the FITD announced the ordinary contribution for 2017, which was charged to the banks on 20 December 2017.

The total annual amount payable by the national banking system for 2017 was Euro 507.3 million (consisting of Euro 406.7 million of ordinary contributions, Euro 0.6 million of additional contributions and Euro 100 million to be allocated to the Solidarity Fund).

The amount charged to the Group, calculated taking into account not only the amount of covered deposits at 30 September 2017, but also the correction for the risk resulting from application of the new model of operating indicators at 30 June 2017, 31 December 2016 and 30 June 2016, comes to Euro 21.8 million (Euro 15.9 million for BPER Banca), against an ascertained value at 30 September 2017 of Euro 20.2 million.

As far as BPER (Europe) International, the Luxembourg-based subsidiary, is concerned, the 2017 contribution of Euro 16 thousand was requested and paid in May 2017.

Interbank Deposit Guarantee Fund (IDGF) – scheme of intervention on a voluntary basis

In 2016 BPER Banca and the Group's national banks were called upon to support the rescue of Cassa di Risparmio di Cesena ("CariCesena"), which is almost entirely owned by the IDGF Voluntary Scheme.

The BPER Banca Group contributed Euro 11.2 million to this rescue (Euro 8 million relating to BPER Banca); at 31 December, the stock was tested for impairment, resulting in a writedown of Euro 2.8 million (Euro 2 million for BPER Banca). This writedown was charged to the income statements of the Parent Company and Banco di Sardegna (total of Euro 2.6 million) while, for timing reasons, the other Group banks recorded the writedown as a negative reserve for AFS securities, Euro 0.2 million, that was reclassified to the income statement during the first quarter of 2017.

After due consideration, the decision was made to write off the investment at 30 June 2017 and, accordingly, the Group made another impairment adjustment of Euro 8.4 million.

The IDGF's extraordinary meeting of 7 September 2017 approved a further contribution from member banks in order to conclude the acquisition of Caricesena, Cassa di Risparmio di Rimini ("Carim") and Cassa di Risparmio di San Miniato ("Carismi") by Credit Agricole Cariparma for a total of Euro 90 million, plus Euro 5 million needed to meet the operational needs of the Voluntary Scheme, which will only be called in the event of actual need.
The Scheme's overall intervention in the operation amounts to Euro 640 million, financed as follows:

- Euro 130 million, deriving from the sale of the three banks to Credit Agricole-Cariparma;
- Euro 510 million, through the financial resources that the Scheme has available.

On 20 September, the Voluntary Scheme called some of the commitments taken by the participants, amounting to Euro 55 million, to be allocated to the immediate and precautionary recapitalisation of Carim and Carismi (the BPER Banca Group's share is Euro 2.3 million, of which Euro 1.6 million for the Parent Company).
On 29 September 2017, Credit Agricole-Cariparma signed a contract with the IDGF-VS for the acquisition of 95.3% of Caricesena, Carim and Carismi, with the closing completed on 21 December 2017. All of the available resources of the Voluntary Scheme, including the proceeds received for the sale of Caricesena, Euro 130 million, and the additional contribution authorised by the Members of the Voluntary Scheme at the General Meeting held on 7 September 2017, were allocated to completion of this transaction.
On 7 December 2017, the Voluntary Scheme asked for the second tranche to complete the increase in capital of the three banks, for an amount of Euro 455 million at system level (the share borne by the BPER Banca Group is equal to Euro 19 million, of which Euro 13.9 million for the Parent Company).
As a result of the events mentioned in the above chronology and having evaluated the characteristics of the signed agreement, at 31 December 2017 the total investment (Euro 21.3 million) was accounted for under AFS securities in the same way as the previous year; almost entirely written down in the income statement (Caption 130 b) *Impairment adjustments to financial assets available for sale*) (Euro 20.6 million, of which Euro 15 million for the Parent Company BPER Banca), with a total impact on the income statement for the year of Euro 29.3 million (Euro 21.1 million for the Parent Company). In addition, at the end of the year there was still a residual commitment of Euro 131 thousand.

Interbank Deposit Guarantee Fund – Solidarity Fund

The Solidarity Fund was set up by the 2016 Stability Law (Law 208 of 28 December 2015, art. 1, paragraphs 855-861) and subsequently regulated by Decree Law no. 59 (Banks Decree), converted into Law no. 119/2016, in force from 3 July 2016.

The Fund aims to provide protection to small investors who held subordinated securities issued by the four banks put up for resolution on 22 November 2015, upon the occurrence of the conditions expressly provided for and attributes the management and feeding of the Solidarity Fund to the Interbank Deposit Guarantee Fund (IDGF).

Given the need for liquidity to make the first repayments, the FITD anticipated a total initial utilisation of Euro 100 million in respect of the assets acquired as 2016 and 2017 contributions to the Deposit Guarantee Scheme (DGS), deciding that this utilisation will be recovered to achieve the target set for the DGS, spreading it over the next few years.
There are no specific reasons to record any adjustments at 31 December 2017.

3.5 Structured finance operations, securitisations and other particular financial transactions

In view of the importance of maintaining an adequate liquidity profile, appropriate initiatives have been devised to diversify the forms of medium/long-term funding. These include refinancing operations with the European Central Bank and the placement of bonds in the domestic and international markets.

Tier 2 subordinated bond

As part of the BPER Banca Euro Medium-Term Notes programme, a "10NC5" (BPER Banca EMTN Tier II 5.125% 2017-2027) subordinated bond was issued on 31 May 2017 for Euro 500 million. As the name implies, this 10-year bond gives the issuer a call option for its early redemption after 5 years. The security pays a fixed yield of 5.125% for the first 5 years, with a subsequent re-fixing for any residual maturity. This issue, placed entirely with institutional investors, includes a Tier 2 subordination clause and was given ratings of B1 and BB- by Moody's and Fitch respectively.

Covered bonds

In February 2011, the Board of Directors of BPER Banca had authorised the structuring of a programme for the issue of guaranteed bank bonds ("GBB" or covered bonds). This programme envisages the issue to institutional investors on several occasions, by 31 December 2018, of covered bonds totalling a maximum of Euro 5 billion (subject to annual renewal of the related prospectus prepared in compliance with the relevant EU regulations).

The loan portfolio segregated in Estense Covered Bond s.r.l. (the SPV) and used as collateral for the bonds that were issued is made up entirely of residential mortgage loans. Issuing covered bonds forms part of the BPER Banca Group's planning as a way to diversify sources of funding, reduce funding costs and extend the maturities of liabilities.

In particular, covered bond issues are extremely appealing at a time when market yields are very low, partly due to institutional intervention by the ECB through its programmes of GBB purchases.

In this context, the following action have been completed since the start of the programme:

- first issue on 1 December 2011, nominal amount of Euro 750 million, redeemed on 22 January 2014;
- second issue on 25 June 2012, nominal amount of Euro 300 million at a floating rate with a maturity of three years. Redeemed early, on 12 January 2015;
- third issue on 15 October 2013, nominal amount of Euro 750 million at a fixed rate with a tenor of five years, placed in full on the domestic and international markets. This issue was reopened on 24 February 2014, adding a further Euro 250 million;
- fourth issue on 22 January 2015, nominal amount of Euro 750 million, placed in full on the domestic and international markets;
- fifth issue on 29 July 2015, nominal amount of Euro 750 million, placed in full on the domestic and international markets;
- sixth issue on 31 May 2016, nominal amount of Euro 500 million, fully self-subscribed for refinancing purposes with the European Central Bank;
- seventh issue on 3 February 2017, nominal amount of Euro 540 million, fully self-subscribed for refinancing purposes with the European Central Bank.

The outstanding debt at 31 December 2017 therefore amounts to Euro 3,540 million.

On 3 March 2015, the Board of Directors of BPER Banca approved the structuring of a second programme for the issue of guaranteed bank bonds, using a new SPV, Estense CPT Covered Bond, in which to segregate a portfolio consisting of commercial and residential mortgage loans granted to employees. The second programme envisages the issue of GBB (subject to annual renewal of the related prospectus prepared in compliance with the relevant EU regulations) to institutional investors or for refinancing transactions with the European Central Bank, within 10 years from the first issue.
In this context, the following transactions have been completed since the start of the programme:

- first issue on 16 December 2015, nominal amount of Euro 625 million, fully self-subscribed for refinancing purposes with the European Central Bank. This issue was partially repaid early for Euro 150 million on 27 September 2017;
- second issue on 1 August 2016, nominal amount of Euro 200 million, fully self-subscribed for refinancing purposes with the European Central Bank;
- third issue on 24 February 2017, nominal amount of Euro 240 million, fully self-subscribed for refinancing purposes with the European Central Bank.

The outstanding debt at 31 December 2017 therefore amounted to Euro 915 million.
In January 2018, the planned repayment of the residual Euro 475 million relating to the first series of securities issued was made in advance and, at the same time, a fourth issue of securities was scheduled with a nominal amount of Euro 420 million, fully self-subscribed for refinancing purposes with the European Central Bank;

Securitisations arranged by the Parent Company

BPER Banca has completed a number of securitisations pursuant to Law no. 130 of 30 April 1999 in order to strengthen the funding available from the ECB to tackle liquidity risk. To those directly originated by BPER Banca, Nuova Carife s.p.a. brought more as a result of the merger.
The operations of this kind still outstanding at 31 December 2017 were as follows:

- Estense Finance, securitisation of residential mortgages carried out in 2009 with the incorporation of Estense Finance s.r.l., an SPV held 9.9% by the Parent Company, to which performing loans were sold without recourse in exchange for asset-backed bonds issued by the SPV. The notional amount outstanding on the Senior securities after the November 2017 payment date comes to Euro 300.6 million. The Mezzanine and Junior Securities at 31 December 2017 amount to Euro 40 million and Euro 132.6 million respectively.
- Casa d'Este, arranged in November 2004 by Cassa di Risparmio di Ferrara with the sale to Casa d'Este Finance s.r.l. of residential and commercial mortgages originally amounting to Euro 281 million. The notional amount outstanding on the Senior securities after the December 2017 payment date comes to Euro 13.2 million, while the Mezzanine and Junior Securities at 31 December 2017 amount to Euro 35.2 million and Euro 1.4 million respectively.
- Casa d'Este 2, arranged in December 2008 by Cassa di Risparmio di Ferrara, with loans originally amounting to Euro 382.55 million that were sold to the same SPV. The notional amount outstanding on the Senior securities after the October 2017 payment date comes to Euro 16 million, while the Mezzanine and Junior Securities at 31 December 2017 amount to Euro 80.7 million and Euro 1.9 million respectively.
- Giovecca Mortgages RMBS, arranged in June 2011 by Cassa di Risparmio di Ferrara with the sale to Giovecca Mortgages s.r.l. of residential and commercial mortgages amounting to Euro 275.2 million; the securities issued were recognised as eligible by the ECB. The securities issued by the SPV were fully repaid in November 2017 against repurchase of the outstanding loans by the bank. Giovecca Mortgages s.r.l. will be put into liquidation.

- Guerriero, completed during the first half of 2014 by Cassa di Risparmio di Ferrara with the sale to Guerriero SPV s.r.l. of loans totalling Euro 192.9 million; the securities issued were recognised as eligible by the ECB. The securities issued by the SPV were fully repaid in November 2017 against repurchase of the outstanding loans by the bank. Guerriero SPV s.r.l will be put into liquidation.

As regards the above action, since there is no basis for derecognising the credit risk underlying the securitised portfolios, BPER Banca has recognised the assets, liabilities and economic effects of the activities of the SPVs in its separate financial statements. This operation effectively "sterilised" the legal structures created by the SPVs and resulted in recognition by the originator of the bonds issued but not retained.

Securitisations arranged by Group banks and companies

Cassa di Risparmio di Bra s.p.a. arranged a self-securitisation (Dedalo Finance) in 2011 and 2012.
The securities issued, recognised as eligible by the ECB, comprise: Senior Securities (class A) issued for Euro 166.8 million, subscribed by Cassa di Risparmio di Bra s.p.a. for Euro 77 million (after the October 2017 payment date, the securities show a nominal value of Euro 25.9 million) and Junior Securities (class B) issued for Euro 33.8 million, subscribed by Cassa di Risparmio di Bra s.p.a. for Euro 15.6 million (after the November 2016 payment date their nominal value amounted to Euro 15.6 million).

Cassa di Risparmio di Saluzzo s.p.a. completed a self-securitisation (Alchera Finance) in 2013 in order to strengthen the funding available from the ECB to tackle liquidity risk.
At 31 December 2016, the nominal value of the Senior Securities issued (Class A) was Euro 40.3 million and that of the Junior Securities (Class B) was Euro 86.5 million.
As part of a project to restructure the above operation, the notes subscribed in exchange for the repurchase by the bank of the outstanding loans were repaid during the first quarter of 2017.

A new self-securitisation transaction called Multi Lease II was launched towards the end of 2015 by Sardaleasing s.p.a., responding to the need to transform the Group's assets into securities eligible for repo transactions with the ECB. As regards the chronology of this transaction, please refer to the consolidated financial statements at 31 December 2016.
The total amount of these notes after the repayment on the payment date (22 January 2018) – repayment of principal Euro 37 million and interest Euro 0.3 million - is Euro 631.9 million made up as follows:

- Class A Senior Notes – Euro 276 million;
- Class B Junior Notes – Euro 355.9 million.

The residual balance of the portfolio at 31 December 2017 amounted to Euro 678.7 million for a total of 3,064 contracts, including Euro 513.9 million of unpaid principal instalments.

As regards the above securitisations, since there is no basis for derecognising the credit risk underlying the securitised portfolios, each Bank has recognised the assets, liabilities, revenues and costs of the SPVs in its separate financial statements. This operation effectively "sterilised" the legal structures created by the SPVs and resulted in recognition by the originators of the bonds issued but not retained.

During the third quarter of 2017, Banco di Sardegna, jointly and with the support of the Parent Company, launched a securitisation of performing residential mortgages, approved by resolutions of its Board of Directors during the meetings of 8 June and 8 September 2017.

The securitisation of assets pursuant to Law no. 130/1999 consists of the transfer without recourse to a SPV of loans to retail customers backed by a first mortgage.
To this end, Sardegna Re-Finance S.r.l. was set up as the recipient of the assignment of receivables, of which the Bank acquired a 10% minority interest in January 2018.
In order to finance the purchase of the loans, the SPV Sardegna Re-Finance issued: Senior Bonds, listed and rated high investment grade by two rating agencies and Unrated Junior Bonds. All of the bonds issued were subscribed by Banco di Sardegna (originator). Senior bonds can be used as collateral in refinancing operations with the ECB and, as such, will be transferred to the Parent Company, BPER Banca.
The securitisation is therefore a "retained" transaction, with the securities issued by the SPV subscribed by Banco di Sardegna and without derecognition of the assets, which remain as such on the books and in the assets of Banco di Sardegna.
Banco di Sardegna, appointed as servicer of the transaction, continues to handle the normal operational management of the relationships, as well as the commercial relationship with the customers. At the end of September 2017, the first phase of the transaction was completed, involving the transfer of the selected loans to the SPV "Sardegna Re-Finance Srl".
Subsequently, the second phase was also completed, with the following activities:

- assessment of the creditworthiness of the transferred portfolio by Moody's and DBRS;
- the issue of two classes of bonds, senior and junior, subscribed by Banco di Sardegna in December.

The senior bonds, backed by the highest investment grade rating, listed on the Dublin Stock Exchange, will have the characteristics to act as collateral for refinancing operations with the European Central Bank.
The Central Bank of Ireland is expected to issue its eligibility certificate for refinancing with the ECB in the first quarter of 2018.
Once this has been acquired, the transaction will improve the liquidity indicators of the Bank and of the Group.

Sales of bad loan portfolios without recourse

During the year, the Parent Company completed the sale without recourse of a portfolio of bad loans with a gross book value of Euro 68.1 million to a specialist investor, D.E. Shaw & Co., L.C. (via Cesio SPV s.r.l., a securitisation vehicle pursuant to Law 130/99), for a net consideration of Euro 7.4 million. This sale resulted in the recognition of a net loss of Euro 8.6 million in the income statement (caption 100).
To finance the transaction, on 12 July 2017, the SPV issued ABS that were subscribed in full by D.E. Shaw & Co., L.P.

Sales of non-performing loan portfolios without recourse

During the year, BPER Banca sold a loan of US$ 21 million to the securitisation vehicle Pillarstone Italy SPV s.r.l. (formed under Law 130/99).
The sale was completed on 4 April 2017 with the issue by the SPV of Super Senior class securities, subscribed for by third parties, as well as Senior and Junior class securities, subscribed for in full by the Parent Company.
This transaction forms part of a larger project organised by the American fund KKR, which envisages the sale of all the loans acquired by the SPV (Pillarstone Italy SPV s.r.l.) to an operating company (Pillarstone Italy Holding s.p.a.) which will restructure the loans sold via segregated asset portfolios set up in

accordance with art. 2447-bis letter a) of the Italian Civil Code. None of the securities issued by the SPV have a rating.
This loan has been derecognised for financial reporting and prudential supervisory purposes, as the requirements of IAS 39 were satisfied. To match the derecognition of the loan, the Parent Company has recognised the securities subscribed as an asset. This disposal resulted in the recognition in income statement caption 100 of a net loss of Euro 1.2 million.

Sales without recourse of bad loan portfolios arising from real estate leases

In line with the strategic guidelines provided by the Parent Company in its Business Plan, at the end of September 2017, Sardaleasing s.p.a. completed a sale without recourse of bad real estate loans to the Arrow Global Institutional Fund.
The portfolio sold by Sardaleasing is represented by 27 defaulted leasing assets for a gross book value (GBV) of Euro 12.5 million and a net book value (NBV) of Euro 9.9 million.
The scope that has been identified is characterised by a low concentration of amounts (average amount around Euro 370 thousand)and a good distribution in terms of intended use (commercial, industrial and office). The main geographical location in terms of GBV is Emilia Romagna (71.9%), whereas the highest number of contracts (44.4%) is in Sardinia.
In accordance with IFRS, this transaction envisages effective derecognition of the NPLs sold, with a consequent improvement in the capital ratios and the release of available capital to be invested in new leases.
This operation generated a loss of Euro 4 million, which is shown in caption 100 of the income statement.

Securis Real Estate Fund

The Securis Real Estate Fund (hereinafter Securis Fund), established in 2008 with a duration of 30 years, is a closed-end real estate mutual investment fund, set up to manage and sell properties coming from bank leasing companies following repossession. The fund is reserved for qualified investors and managed by InvestiRE SGR s.p.a.
Sardaleasing s.p.a. sold properties in several tranches to the Securis Fund, as summarised below:

- in 2013, Sardaleasing s.p.a. made two separate contributions of properties for a total of Euro 15.2 million;
- on 30 June 2014, a third contribution of no. 25 properties was formalised for a value appraised by CB Richard Ellis of Euro 22 million;
- a further contribution (the fourth) of 45 properties for a total of Euro 27.1 million was formalised on 23 December 2014.

On 28 February 2017, the Board of Directors of the Securis Fund decided to make partial repayments of the fund units for a total of Euro 1,999,950, corresponding to a pro-quota amount of Euro 502.50 for the 3,980 units in circulation.
A partial repayment totalling Euro 479,887.50 (Euro 502.50 for each of the 955 fund units held) was made on 10 May 2017.
At 31 December 2017, Sardaleasing recorded an adjustment of Euro 2.5 million in the income statement, following a decrease in the fair value of the units of the Securis Fund compared with December 2016.
At 31 December 2017, Sardaleasing held 18.9% of the total units, corresponding to no. 955 units, accounted for under *"Financial assets available for sale"* for a total of Euro 56 million.

Securis Real Estate II Fund

At 30 December 2015, Sardaleasing s.p.a. sold to the Securis II Fund (established in 2013 with the same characteristics as the first one) no. 35 properties deriving from "non-performing contracts", for a value appraised by Reag s.p.a. (a company belonging to the American Group Duff & Phelps and appointed by InvestiRE SGR s.p.a) of Euro 33.2 million, compared with a net book value of Euro 32.5 million.

On 28 February 2017, the Board of Directors of the Securis II Fund decided to make partial repayments of the fund units for a total of Euro 1,999,298.00, corresponding to a pro-quota amount of Euro 887 for the 2,254 units in circulation.

A partial repayment totalling Euro 304,241.00 (Euro 887 for each of the 343 fund units held) was made on 10 May 2017.

At 31 December 2017, in application of the Group's policy for the impairment test of "Financial assets available for sale", it was necessary to account for a writedown of Euro 2.6 million in the income statement under item "*130 b) Impairment adjustments on financial assets available for sale*".

At 31 December 2017, Sardaleasing s.p.a. held 15.22% of the total units, corresponding to 343 units, accounted for under *"Financial assets available for sale"* for a total of Euro 26.3 million.

Securis Real Estate III Fund

On 20 December 2016, Sardaleasing s.p.a. sold to the Securis III Fund (established with the same characteristics as the first two) no. 25 properties deriving from "non-performing contracts", for a value appraised by Reag s.p.a. (a Company belonging to the American Group Duff & Phelps and appointed by Investire SGR s.p.a) of Euro 15.7 million, compared with a net book value of Euro 15.8 million.

In exchange for the properties that it sold the fund, Sardaleasing obtained 176 units in the Securis III Fund, with a provisional nominal value of Euro 91.6 thousand, which it accounted for as "Financial assets available for sale".

On 28 February 2017, the Board of Directors of the Securis III Fund decided to make partial repayments of the fund units for a total of Euro 599.8 thousand, corresponding to a pro-quota amount of Euro 405 for the 1,481 units in circulation.

On 6 March 2017, the Fund announced the definitive nominal value of the units of Euro 84.9 thousand, which resulted in the allocation of 14 extra units (for a total of 190 units) and a cash payment of Euro 23.7 thousand.

A partial repayment totalling Euro 76.9 thousand (Euro 405 for each of the 190 fund units held) was made on 10 May 2017.

At 31 December 2017, Sardaleasing s.p.a. holds 12.83% of the units, recorded under *"Financial assets available for sale"* for a total of Euro 15.7 million, with a negative fair value change compared with December 2016 of Euro 376.4 thousand recorded among AFS reserves.

Polis fund

The BPER Banca Group and other qualified investors took part in the launch of three reserved closed-end real estate mutual investment funds, established and managed by Polis S.G.R. s.p.a., a company in which the BPER Banca Group has an interest of 19.60%.

The purpose of these funds is to reduce the real estate positions and impaired credit exposures in the portfolios of the banks and leasing companies who invested in them.

Participation in the Fund's equity can take place by:

- contributing investment properties from insolvency procedures and/or repossessed under finance leases in default;

- subscribing shares to be paid up in cash, at the request of the Fund, with a view to acquiring properties at auctions for the recovery of non-performing loans owed to subscribers of the Funds.

In the first operation carried out in 2013, called Fondo Asset Bancari III (ABIII Fund), the BPER Banca Group contributed properties for a total of Euro 15.3 million, subscribed commitments for Euro 5.3 million and sold non-performing loans for Euro 7 million. Following the latest calls in December 2016, the investment (84 units) held by the Parent Company in the ABIII Fund represents 21% of its assets at 31 December 2017.

In the second operation carried out in 2013, called Fondo Asset Bancari IV (ABIV Fund), the BPER Banca Group contributed properties through ABF Leasing s.p.a. (now Sardaleasing s.p.a.) for a total of Euro 9 million and subscribed shares in cash for Euro 0.3 million. Following the latest calls in December 2016, the investment (37 units) held by the Parent Company in the ABIV Fund represents 19.37% of its assets at 31 December 2017.

In the third operation carried out in 2016, called Fondo Asset Bancari VI (ABVI Fund), Sardaleasing s.p.a. contributed properties totalling Euro 2.8 million.
At 31 December 2017, the investment held by Sardaleasing s.p.a. in the ABVI Fund (no. 56 units) represents 3.6% of its assets.

New Targeted Longer-Term Refinancing Operations – TLTRO II

On 10 March 2016, the Executive Council of the European Central Bank (ECB) approved a new series of targeted longer-term refinancing operations (TLTRO II) to be launched through four quarterly auctions commencing from the first half of 2016. As regards the chronology of this transaction, please refer to the consolidated financial statements at 31 December 2016.
BPER Banca took part in three of the four auctions (the first in June 2016 for Euro 4 billion, the third in December 2016 for Euro 1 billion and the fourth in March 2017 for Euro 4.136 billion). To these have to be added Euro 129 million for the subscription by Cassa di Risparmio di Saluzzo (Euro 95 million at the first auction in June 2016 and Euro 34 million at the last auction in March 2017). By 31 December 2016 BPER Banca had already reached the target set for 31 January 2018, as confirmed in the current period, and it has prepared a structured plan to maintain this result. At 31 December 2017, in accordance with IAS 39, it recognised interest income based on a negative interest rate of 0.40%, as it had done at 31 December 2016, allocating an amount of Euro 33 million to net interest income in the year. At 31 December 2017, Cassa di Risparmio di Saluzzo also reached its target, confirmed at 31 January 2018, being able to ascertain interest income at a negative rate of 0.40% for a total of Euro 0.7 million.

3.6 Other significant events

Group Management:

- *New appointments*

The following Directors were appointed at the Shareholders' Meeting held on 8 April 2017: Luigi Odorici (independent), Alberto Marri, Alfonso Roberto Galante (independent), Pietro Ferrari, Mara Bernardini (independent), Valeria Venturelli (independent), Costanzo Jannotti Pecci – all drawn from list no. 1 - and Roberta Marracino (independent) - drawn from List no. 2 – the Junior Minority List.

Following the approval of the amendments to the Articles of Association as per paragraph 1) of extraordinary part of the meeting and, in particular, of the transitional provision contained in art. 45 paragraph 3, the mandate of these Directors will last for one year.
During the board meeting held on 11 April 2017 the Board of Directors confirmed Luigi Odorici as Chairman and Alberto Marri as Deputy Chairman. The Deputy Chairmen in office at the date of this document are therefore: Alberto Marri and Giosuè Boldrini.

- *New Manager responsible for preparing the corporate financial reports of BPER Banca*

As resolved by the Board of Directors of BPER Banca on 20 December 2016, the press release issued on 8 April 2017 officially confirmed the replacement of Emilio Annovi, due to retire shortly, as the Manager responsible for preparing the company's financial reports (art.154-bis of Legislative Decree 58/1998 - Consolidated Finance Law), by Marco Bonfatti, manager of the Accounting Department within the Administration and Reporting Area of BPER Banca. The Board decided that Mr. Bonfatti's appointment would take effect from the date of approval of the 2016 financial statements, having obtained the opinion of the Board of Statutory Auditors and ensured that Mr. Bonfatti met the requirements of the position according to the Bank's Articles of Association.

Tax aspects

In calculating taxes payable, account has been taken of the following changes in tax law:

- Law 208 of 28 December 2015, which envisages from 2017 the full deductibility of interest expense for banks and other financial entities pursuant to art. 1 of Legislative Decree no. 87 of 27 January 1992 (excluding insurance companies), compared with the previous deductibility which was limited to 96%;
- Decree Law no. 50/2017 which provides for a reduction in the rates applicable for determining ACE, which are set at 1.50% from 2018 and 1.6% for 2017, versus 4.75% in 2016.

JESSICA Sardinian Urban Development Fund

In 2011, the Autonomous Region of Sardinia (RAS) activated JESSICA (Joint European Support for Sustainable Investment in City Areas), an EU investment instrument. This instrument was devised in 2006 as a joint initiative between the European Commission and the EIB, in collaboration with the Council of Europe Development Bank (CEB), in order to promote sustainable investment, growth and employment in city areas.

RAS and the EIB signed a loan agreement for the creation of a JESSICA Sardinia Investment Fund (FPJS) that would manage the resources available under Axes III and V of the ERDF Regional Operational Programme 2007-2013. In order to transfer resources from the EIB to the managers, two urban development funds (FSU) endowed with Euro 33.1 million each were established: the Energy Fund and the Urban Renewal Fund. The managers of these two UDF were chosen by means of a competitive selection process, with Banco di Sardegna being selected for lot 1 with the technical consultancy of Sinloc: Urban Renewal (Axis V).

In July 2012, the EIB and Banco di Sardegna signed an operational agreement at the Regional Planning Centre of the Sardinia Region for the granting of a loan amounting to Euro 33.1 million (subject to possible increases), to be accompanied by co-financing of about Euro 99 million from Banco di Sardegna and other lenders identified by the latter, and invested on a rotating basis. In order to implement the

JESSICA Project, Banco di Sardegna decided to create a separate fund within the UDF by making a loan for a specific purpose, pursuant to art. 2447 decies of the Italian Civil Code.

The JESSICA instrument allows investment in eligible projects within an integrated Plan that are presented, implemented and managed by public entities or, alternatively, presented by public entities and implemented and managed by private parties.

The resources may be made available in the following ways:

- direct loans to authorities and public entities;
- loans to private companies, selected by a public call for tenders, for the design, construction and management of publicly-owned facilities created under a direct concession or on a project-financing basis;
- investment in the risk capital of selected private companies.

The amendment to the Operating Agreement of 19 July 2012 between the EIB and Banco di Sardegna, for the allocation of Euro 6.3 million of additional resources, was signed on 29 December 2015. This is a concrete demonstration of approval of the way that Banco di Sardegna has managed the Fund, confirming recognition of the excellent work celebrated at the public event held in July 2015 in the presence of representatives of the EIB and the Sardinia Region. The additional resources were paid in full to the UDF on 20 January 2016.

As of 31 December 2017, the Investment Committee of the UDF has approved the following loans and all of the resources available have been disbursed.

(in Euro)

	Investment	JESSICA loan	Investment in the capital of JESSICA	Contract date	Disbursements	
					Loan	Risk capital
					Disbursed as at 31.12.2017	Paid as at 31.12.2017
Purchase of 12 modern trolleybuses	7,126,000	6,769,700	-	18/12/2013	6,365,814	-
Construction and running of a natural gas distribution network (*)	45,120,239	7,000,000	-	15/04/2014	7,000,000	-
Construction and running of a new cruise terminal at the "Molo Rinascita" in Cagliari. Two loan	715,000	534,173	-	18/12/2014 08/07/2016	494,032	-

(in Euro)

	Investment	JESSICA loan	Investment in the capital of JESSICA	Contract date	Disbursements	
					Loan	Risk capital
					Disbursed as at 31.12.2017	Paid as at 31.12.2017
Two projects involving the construction and running of a natural gas distribution network based on two separate catchment areas (*)	38,913,569	8,000,000	4,000,000	16/02/2015	8,000,000	4,000,000
Renovation and expansion of the Municipal Market of Oristano with adjacent parking	4,133,055	1,140,000	-	12/06/2015	950,000	-
Redevelopment of a building owned by the Municipality of Borutta destined to bar diner	265,000	251,750	-	22/06/2015	209,792	-
Construction of a residential and daytime comprehensive rehabilitation centre for the intellectually and relationally disabled in the Municipality of Selargius	2,150,000	1,432,695	-	31/08/2015	1,311,118	-
Redevelopment of Alghero Town Hall	600,000	570,000	-	30/10/2015	494,000	-
Construction of the municipal indoor swimming pool in Alghero	2,100,000	1,915,026	-	30/05/2016	1,723,523	-
Redevelopment of the multi-purpose sports area in the Latte Dolce district of Sassari	560,000	532,000	-	24/06/2016	496,533	-
Redevelopment of the multi-purpose sports area in the Monte Rosello district of Sassari	750,000	712,500	-	24/06/2016	665,000	-
Redevelopment of the multi-purpose sports area in the Carbonazzi district of Sassari	600,000	570,000	-	24/06/2016	532,000	-
Redevelopment of the "Roberta Serradimigni" sports hall in Sassari	4,300,000	4,085,000	-	24/06/2016	3,812,667	-
Total	**107,332,863**	**33,512,844**	**4,000,000**		**32,054,479**	**4,000,000**

(*) The capital expenditure indicated only takes into account of the technical costs associated with the project. This excludes the financial costs of the operation (costs associated with working capital, interest, commissions, DSRA, etc. which still have to be financed during construction)

The following table shows simplified accounts for the JESSICA Urban Development Fund at 31 December 2017.

Balance sheet

(in Euro)

	Assets	31.12.2017	31.12.2016
60.	Due from banks	1,520,078	395,213
	Total assets	**1,520,078**	**395,213**

(in Euro)

	Liabilities and shareholders' equity	31.12.2017	31.12.2016
10.	Due to banks	1,189,972	645,285
100.	Other liabilities	107,734	107,342
200.	Net profit (loss) for the period	222,372	(357,414)
	Total liabilities and shareholders' equity	**1,520,078**	**395,213**

Income statement

(in Euro)

	Captions	31.12.2017	31.12.2016
10.	Interest and similar income	822,528	443,961
30.	**Net interest income**	**822,528**	**443,961**
40.	Commission income	-	18,662
50.	Commission expense	(600,156)	(820,037)
60.	**Net commission income**	**(600,156)**	**(801,375)**
290.	**Net profit (loss) for the period**	**222,372**	**(357,414)**

4. Summary of activities and strategic direction of the BPER Banca Group

The consolidated non-financial declaration ("consolidated NFD") of the BPER Banca Group, prepared pursuant to Legislative Decree 254/16, constitutes a separate report (Sustainability Report) with respect to this Report on Operations, as provided for in art. 5, paragraph 3, letter *b)* of Legislative Decree 254/16, and is available on the website www.gruppobper.it in the Investor Relations section.
Furthermore, it should be noted that for the sections "Human Resources" and "Corporate Social Responsibility", which were part of the 2016 Report on Operations, reference should be made to the contents of the Sustainability Report (Consolidated NFD).

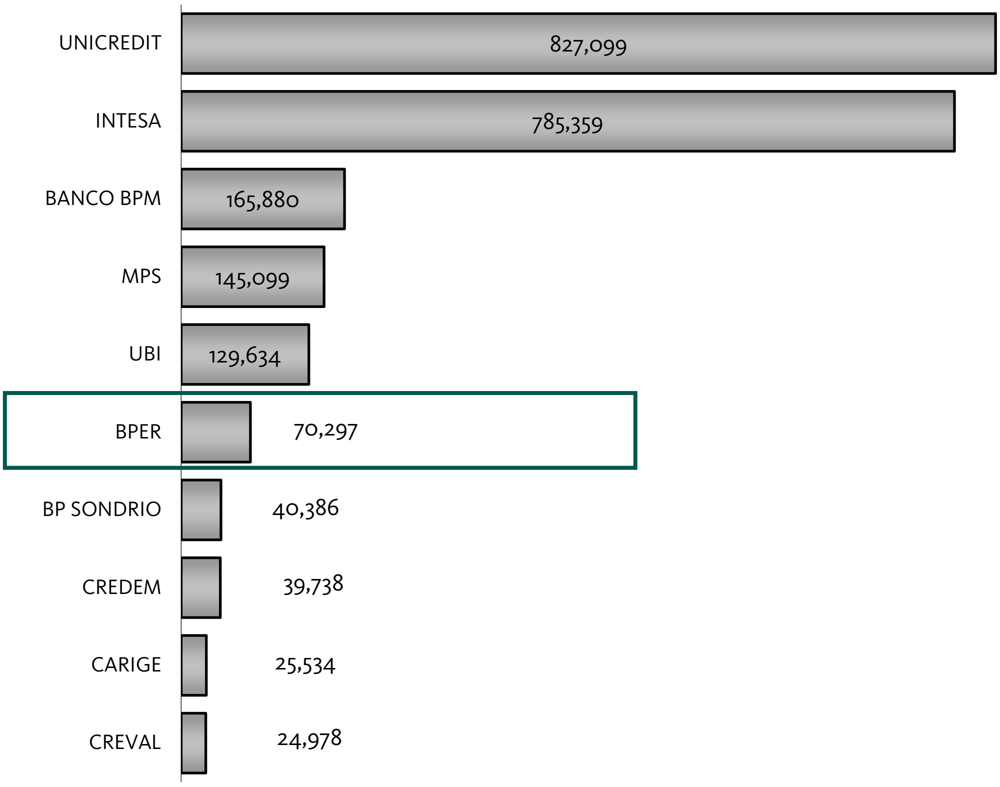
4.1 Market positioning

The BPER Banca Group operates mainly in the traditional banking sector, i.e. loans and deposits and providing credit to customers, who are mainly represented by households and small and medium-sized businesses through the parent company BPER Banca, which operates throughout the country, except in Piedmont and Sardinia: the former is served by Cassa di Risparmio di Bra s.p.a. and by Cassa di Risparmio di Saluzzo s.p.a.; the latter is served by Banco di Sardegna s.p.a.
Through a network of product companies, the Group offers its customers a wide range of services in Corporate and Investment Banking, Wealth Management and Insurance, Leasing, Factoring and Consumer Credit.
At 31 December 2017, the Group's network consists of 1,218 branches located in 18 Italian regions, as well as a branch office in the Grand Duchy of Luxembourg, with a domestic market share, updated to 30 September 2017, of 4.54%[13].
On the Italian banking scene, the BPER Banca Group ranks sixth by total assets and loans.

[13] *Source www.bancaditalia.it - Supervisory registers and lists*

Positioning with respect to competitors

Figures at 30 September 2017 (total assets in Euro/mn)



Source: Accounts of banking groups

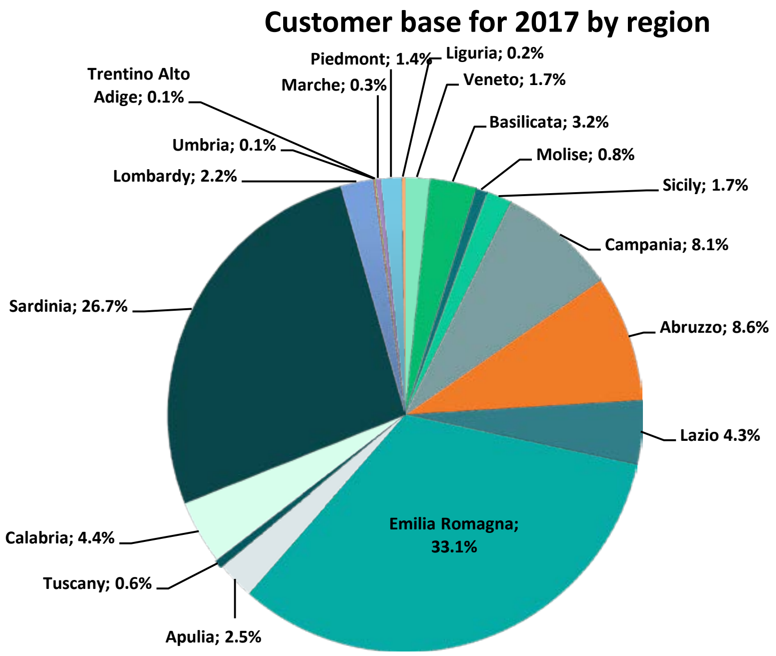
Within the national banking system, the Group's market share[14] of loans to customers, excluding bad loans, at 31 October 2017 comes to 2.60%, up on the same period in 2016, when it stood at 2.51%. There has been an increase during the year in the Group's market share of loans to family businesses (3.97% in October 2017 compared with 3.83% in October 2016) and of large corporate loans (3.30% compared with the prior year figure of 3.17%); the market share of loans to households also increased (to 2.35% from 2.23% at the end of October 2016).
Market share of deposits as of October 2017 was down slightly on the same period in 2016 (2.43% versus 2.45%). The decline is distributed across all categories of customers: the amounts relating to deposits from family businesses and households decreased respectively from 5.42% to 5.23% in October 2017 and from 2.18% to 2.13%. The share relating to companies also declined from 3.77% in October 2016 to 3.73% in October 2017. On the other hand, the Group achieved better results in asset management during the year. In fact, the national market share of assets under management[15] increased from 0.83% in October 2016 to 0.88% in October 2017.

[14] *Source: Planus Corp. analysis of Regulatory Reports*
[15] *Source: Assogestioni*

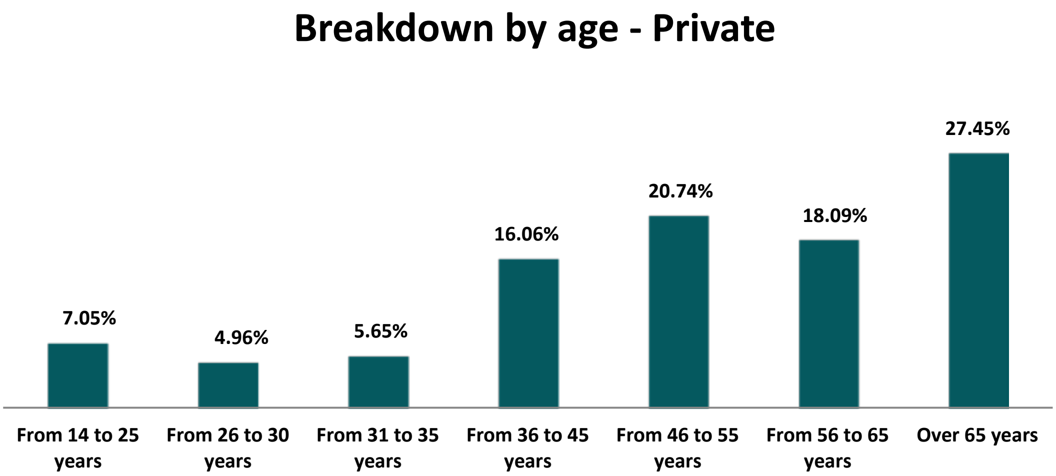
4.2 Relations with customers

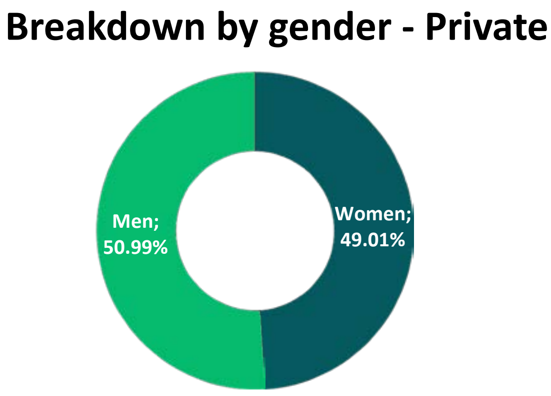
Composition of the customer base

The BPER Banca Group, with its federal structure, brings together four territorial banks for a total of 1,218 branches that cover almost all Italian regions with a vocation for serving families and small and medium-sized enterprises.

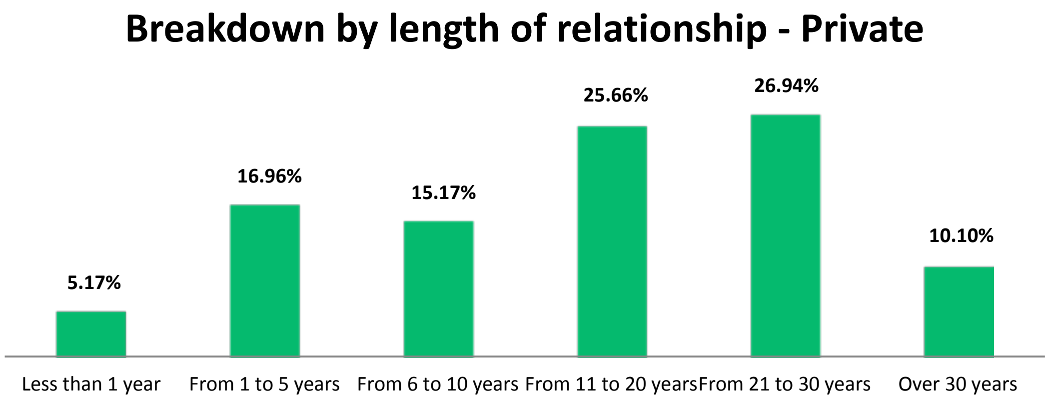


Distribution of the Bank's customers by age is in line with previous years and with the average for the traditional banking system. The majority of customers are of a certain age: more than a quarter of them are over 65, while about 18% are under 35. The breakdown of customers by gender remains in a substantional balance.





On average, most customers have been with the Group Banks for a long time and have a very strong relationship with them. In particular, 37% of customers have been with Bank for more than twenty years, a figure that rises to 62.7% if we also include those who have been with us for more than ten years.



For more information on customer relations, please refer to chapter 5 of the consolidated non-financial declaration entitled "Our customers".

4.3 The relationship with the market: Investor Relations

Against the difficult market conditions experienced over the past year, Investor Relations activities were designed to ensure complete, timely and transparent disclosures to the market of the results of the Bank and the banking Group, significant operating events, action taken as a consequence of regulatory changes and other aspects of interest to the financial community. Also significant is the activity that involves communicating with the Rating Agencies and providing their analysts with information.

In particular, the principal Investor Relations activities have included:

- conference calls following approval of the annual and interim results;
- participation by BPER Banca management at international conferences, road shows and one-on-one meetings, which made it possible to present the Banking Group to over no. 400 institutional investors;

- periodic meetings with institutional investors and analysts who monitor the Bank for their own independent research (currently BPER Banca shares are actively followed by no. 15 analysts in Italian and foreign firms);
- continuous requests for information and clarification from analysts, investors and the Bank's own shareholders and customers.

The intense activity by management aimed at spreading awareness of BPER Banca internationally led to an increase in the number of Italian and foreign institutional investors with shares in the Bank and helped to support the volume of trading in the shares on the stock market, increasing their liquidity.

4.4 Lending policies

In 2017, the recovery in Italy was stronger than expected, even though economic trends remained lower than those of other European countries and of the European Monetary Union (EMU) as a whole.
The phase of economic growth and acceleration of GDP, which according to the Bank of Italy estimates grew by 0.4% in the fourth quarter, as in the third quarter, and which rose by 1.5% over the entire year, was driven by higher demand, i.e. by more consumer spending by households (sustained in turn by a better labour market and more purchasing power, helped by low inflation), more capital expenditure and by restocking; net exports, driven by the goods component (mechanical and metal products above all), both towards EU and non-EU countries, also contributed positively to economic growth (although the exchange rate was not favourable), albeit to a lesser extent.
In particular, thanks to tax incentives, spending on machinery and equipment represented the most dynamic component of demand, where it was the manufacturing sector - in all segments, except for energy which was stationary - that acted as the driving force and that contributed to the increase in the index of industrial output.
In the meantime, consumer confidence has continued to improve and the outlook remains favourable, supported by the ECB's declarations, which said it would continue a moderately expansive monetary policy throughout 2018.
In this macroeconomic context and on the basis of the expected scenario in 12 months, the Group pursued its lending policies by providing Guidelines translated into numerical estimates of asset allocation targets of performing exposures of the Group Banks that are aligned, supplemented by further targets for past due exposures.
The Lending Policies have therefore contributed, along with all the other budget planning processes, to the definition of Group objectives aimed at optimising the risk-return profile of the loan portfolio.
All of this took account of the sustainability of the objectives, compliance with current laws, expansion and support for the territories served and the concepts of sound and prudent management.
These guidelines define the scope within which lending activities should be developed, in both sectoral and geographical terms, and on which assessments of customers' actual creditworthiness should be carried out.
Specifically, through the 2017 Guidelines, which were defined using internal models recognised and authorised by the European Central Bank, drivers have been set for the development and management of loans in relation to:

- economic sectors: i) "IN" sectors in which to develop and increase market shares; as a result of better than expected performances and the presence of exporting companies with which to develop services in the field of production chains/hubs, iii) "NEUTRAL" sectors, which are those

with ambiguous trends, where the focus is on assessments of other risk indicators (rating and segment), iii) "OUT" sectors faced with ongoing difficulties and therefore with significant levels of risk;
- risk segments (repositioning loans to Retail rather than Corporate customers);
- internal ratings (providing indicators for the development of business with low-risk counterparties and with more opening to "neutral" sectors, providing the risk was adequately priced);
- geographical areas (identifying areas or districts characterised by lower risk, development potential or specific entrepreneurial excellence in which to acquire new customers and develop lending);
- agreed customer potential (determining market share with reference to total lending by the banking system as a whole);
- limitation of past due exposures.

The same qualitative lines were also transmitted to Nuova Cassa di Risparmio di Ferrara, following its 100% acquisition, completed on 30 June 2017, and subsequent merger with the Parent Company.
Specific Guidelines for Use, prepared considering the intrinsic characteristics of the products distributed (leasing, factoring, lending-against-salary operations and personal loans) and their reduced risk profile with respect to similar banking transactions, have also been given to the Group's product companies.
Lastly, the Group continued to participate in ABI's initiatives subscribed in 2015 for the benefit of SMEs ("2015 lending agreement – Firms returning to growth") and Individuals ("Mortgage solidarity fund", "Suspension of household loan repayments", "Guarantee fund for the first home"), while also guaranteeing support for areas hit by natural disasters via the suspension of loan repayments, as envisaged by law.

4.5 IT activities

The Group's IT function is handled by the consortium BPER Services s.cons.p.a., which is a wholly-owned subsidiary of BPER Banca Group and which is responsible for:
- the study, design, development, supply, management, maintenance and enhancement of IT and related systems and applications, as well as for the provision of data processing and transmission services;
- the provision of back office services, including accounting, administration and operational support, as well as the management of purchasing and shipments of all kinds, the handling of correspondence, valuables and accounting materials, the processing, management and storage of data, and the management of archives and stores.

Also belonging to the Group is a company named Numera (based in Sardinia and fully held by Banco di Sardegna), which is involved in monetics and electronic document management and which provides services within and outside the Group.
The software used by the Group is essentially owned by the consortium, which at 31 December 2017 recognised an amount relating to it in intangible assets of Euro 142.6 million, net of accumulated amortisation.
The objectives set by the BPER Banca Group in the 2015-2017 Business Plan are reflected in the 2016 IT Plan of BPER Services, which during 2017 took action to strengthen its competitive position, rationalise its operational IT processes and guarantee compliance with regulatory requirements. This led the

consortium to increase the carrying amount of its software by Euro 49.2 million, gross of accumulated amortisation of Euro 35.7 million.

The principal work completed by the Systems Division of BPER Services during the year is summarised below:

- activation of the "remote offer" service for funds and personal loans for the entire BPER Banca Group;
- implementation of a software platform that helps customers to manage their money, available via both the Internet banking channel and Mobile banking;
- introduction of architectural components that allow electronic signatures to be used in banking processes to enable customers to complete contracts using a certified electronic signature;
- activation of advanced functions of the Customer Relationship Management application for use by the BPER Banca Group's network to analyse and plan commercial actions;
- activation of a digital marketing framework common to all of the company functions involved that makes it possible to collect, measure and study online data;
- development of an integrated platform that allows the definition of a system of remote indicators and controls, in order to improve the ability to identify at any time those anomalies that represent a concrete risk for the Bank. This will benefit the Group's various control functions;
- alignment with the new European supervisory requirements;
- optimisation of all litigation-related processes;
- creation of an engine able to provide the credit analysts with the main summary indicators relating to the Business Groups so that they can govern the assessment process constantly and pro-actively, allowing them to approve a credit limit at Group level;
- implementation of a solution to support the process of analysing banks to rationalise and standardise the preparation of electronic loan dossiers;
- absorption of "Nuova Cassa di Risparmio di Ferrara (Nuova Carife)" by BPER Banca on the BPER Banca Group's IT system. The project ensured that the data held in the applications used by Nuova Carife migrated to the Group's IT system and at the same time 50 members of staff from Nuova Carife were taken on by BPER Services;
- adoption of a platform - integrated with the Property Card - to support the management of appraisals for the entire BPER Banca Group;
- definition of an operating model to optimise the management of ICT assets;
- improvement in the efficiency of branch and back-office organisational processes for managing Treasuries;
- improvement of the efficiency of administrative processes via the standardisation and industrialisation of branch operations for the seizure of third-party assets notified to the branches;
- definition and implementation of the data governance and data quality framework through: the activation of organisational procedures and operational regulations, change management and implementation of an integrated platform to support operating activities and the control of governance and quality of data in a centralised manner;
- implementation and configuration of a system designed to combat IT fraud with the aim of implementing information governance and avoiding data leaks;
- creation of a common application platform (Target 2 Securities) to manage the offer of securities to central security depositories (CSD).

Additionally, the 2017 IT Plan prepared by BPER Services envisages continuation of the following activities:

- opening of new channels for the acquisition of business, creating an e-commerce process;
- activation of new functions within the BPER Banca Group's Internet Banking platform;
- implementation of the European regulations on NPE Guidance with a view to implementing a strategy within the BPER Banca Group for the management of non-performing loans;
- review and evolution of the Data Warehouse platform architecture system, with the aim of extending the scope of data available for regulatory, system and commercial needs;
- new interbank application for the presentation of cheques for payment electronically.

As regards Numera, the company, which is fully held by Banco di Sardegna, has included in property, plant and equipment an amount of Euro 9.9 million, up compared to the prior year figure.
Significant events during the year included maintenance of the organisational standing confirmed by the accreditation to the register held by the Agency for Digital Italy of the Keepers of Electronic Documents pursuant to art. 44 *bis* of the Digital Administration Code, ISO 27001 certification and PCI-DSS Certification; this asset is a highly rated operational mode for the performance of IT tasks to the highest industry standards.
Of the more significant events during the year that affected the figures being presented here, the following are worth noting:

- a significant increase in commercial revenue volumes as a consequence of the consolidating the IT ordering service, growth in the POS market and various IT activities;
- the adoption of personnel policies aimed at encouraging redundancy incentives for people close to retirement age;
- preparation of the structure for the launch of the "PagoPA" service, as the Technological Partner for Entities, as well as support for Payment Service Providers (PSP).

4.6 Real estate sector

The real estate assets of Gruppo BPER Banca S.p.a. are organised by the Real Estate Department, which is made up of the Real Estate Management Unit, the Property Administration Office and the Enhancement and Commercialisation Office.
At 31 December 2017, Group properties had a total carrying amount of Euro 957.2 million (Euro 282.5 million for the land component and Euro 674.7 million for the buildings), including the land and buildings belonging to Nuova Cassa di Risparmio di Ferrara s.p.a. and its subsidiaries, acquired on 30 June 2017. The fair value of the entire real estate portfolio is more than Euro 110 million greater than its carrying amount.

Additionally, certain property units are classified among other assets. These have a carrying amount of Euro 18.6 million (fair value of Euro 22.3 million) and relate to the "inventory" of the Group's real estate companies.

The budget is broken down by:

- other administrative expenses (ordinary maintenance);
- interventions that add to the value of the property (capital expenditure).

Ordinary maintenance interventions are assigned an order of priority as follows:

- safety measures for those properties for which defects or deterioration could cause injury to persons and/or property;
- to render currently non-income generating properties capable of being leased or sold.

Extraordinary maintenance interventions (capital expenditure), for which significant amounts were incurred, were carried out throughout the country, a description of which is provided as follows:

- renovation works with the introduction of a new branch concept at the premises of the Matera main branch, Riccione branch, Salerno main branch, Modena branch no. 6, Naples main branch, Lanciano branch no. 1 and Rome branch S;
- replacement of air conditioning systems in various branches where the system had operating and obsolescence problems;
- transfer of the Milan no. 5, Paternò and Monticelli Terme branches;
- L'Aquila (head office): the building was hit by an earthquake in 2009 and, following the receipt of government grants for reconstruction (published on 26 October 2015), reconstruction work started on the property on 30 March 2016 that is expected to be completed by the end of 2018;
- Cavezzo (Modena): the building was hit by an earthquake in 2012 and, following the receipt of government grants for reconstruction (obtained in January 2017), reconstruction work started on the property in December 2016 that is expected to be completed by the end of 2018;
- Concordia (Modena): the building was hit by an earthquake in 2012 and, following the receipt of government grants for reconstruction (obtained on 20 October 2015), reconstruction work started on the property in October 2016 that is expected to be completed by the end of 2018.

In 2017, work was completed on the implementation of project areas envisaged by the 2015-2017 business plan for the new "BPER: Banca" brand, with the replacement of signages, branch design in accordance with the new concept and completion of the "Hub and Spoke" project.
As part of the "fight against cash" project, two pilot branches have been created, called "safe cash", one in Modena branch no. 19 and the other in Parma branch no. 6, with the introduction of a self-service area with sliding doors and an advanced ATM for deposits and cash in/cash out to avoid the cashier having to handle cash.
To enhance the artistic heritage of the Parent Company, a Pinacoteca (art gallery) has been created on the second floor of the historical head office building in Via San Carlo 8/20, using the new BPER Banca brand.
Praxi S.p.A. was appointed to carry out appraisals based on full on-site inspections of all of the Banking Group's property assets; this led to writedowns for a total of Euro 8 million.

Carife Servizi Evolutivi Integrati s.r.l. (Carife S.E.I.) became part of the BPER Banca Group starting from 30 June 2017, following the acquisition of Nuova Carife by the Parent Company.
Most of Carife SEI's properties are leased to BPER Banca. A survey of properties was carried out in 2017 (checking air conditioning and heating systems in particular), which made it possible to plan the activities to be carried out in 2018.
During 2017, Nadia S.p.a. continued significant repurposing and restructuring work to recover its real estate assets to enhance them and make them available for sale/rent. Work on the following locations was particularly important: Modena (Centro Emilia Est), with the redevelopment of the former Hotel Real Fini, Modena Forum Monzani, Modena Corso Canalgrande, Finale Emilia, Concordia, Limidi di Soliera, Modena Centro Servizi "C", Pavullo and Mirandola. In addition to managing real estate maintenance, Nadia s.p.a. is also responsible for leasing properties to the Group and to third parties.

For BPER Banca and Nadia s.p.a., the Enhancement and Commercialisation Office completed new lease agreements as lessor for an annual amount of Euro 1,600 thousand. It also completed no. 11 sales on behalf of the Parent Company and Nadia s.pa. for a total of Euro 2,945 thousand, giving rise to a gain of 3% of their carrying amount.

Moreover, with the absorption of Nuova Carife and Carife Servizi Evolutivi Integrati s.r.l., part of their assets were involved in a due diligence to verify compliance with urban planning and construction regulations and the adequacy of the buildings' plant systems.

5. Scope of consolidation of the BPER Banca Group

5.1 Composition of the Group as at 31 December 2017

The BPER Banca Group has been registered since 7 August 1992 with code no. 5387.6 in the Register of Banking Groups referred to in art. 64 of Legislative Decree no. 385 of 1 September 1993.

The following is a list of the banks and companies included in the scope of consolidation at 31 December 2017, distinguishing between banks and companies consolidated line-by-line and banks and companies, whether or not belonging to the Group, measured using the equity method.

The BPER Banca Group has decided to align the consolidation methodology used for accounting purposes with that required for prudential reporting purposes. This is discussed further in Part A of these Explanatory Notes.

Details are also provided of the percentage held by the Group[16], with further specific information provided, where necessary, by means of footnotes.

a) Group companies consolidated on a line-by-line basis:

1) BPER Banca S.p.A., based in Modena (Parent Company);
2) Banca Popolare dell'Emilia Romagna (Europe) International s.a., based in the Grand Duchy of Luxembourg (100%);
3) Banco di Sardegna s.p.a., based in Cagliari, which is held as follows: 51% of ordinary shares, 60.724% of preference shares and 48.506% of savings shares (without voting rights, listed on the Italian Stock Exchange), representing 50.901% of total capital;
4) Banca di Sassari s.p.a., based in Sassari (99.012%)[17];
5) Cassa di Risparmio di Bra s.p.a., based in Bra (Cuneo) (67%);
6) Cassa di Risparmio di Saluzzo s.p.a., based in Saluzzo (Cuneo) (100%);
7) Nadia s.p.a., based in Modena, real estate company (100%);
8) Modena Terminal s.r.l., based in Campogalliano (Modena), the activities of which are the storage of goods, the storage and ageing of cheeses and the cold storage of meat and perishable products (100%);
9) BPER Services s.cons.p.a., based in Modena, IT services consortium (100%)[18];
10) Emilia Romagna Factor s.p.a, based in Bologna, a factoring company (94.403%);
11) Optima s.p.a. SIM, based in Modena, investment broker (100%);
12) Sardaleasing s.p.a., based in Sassari, leasing company (98.373%)[19];
13) Numera s.p.a., based in Sassari, IT company and subsidiary of Banco di Sardegna s.p.a. which holds 100% of share capital;

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[16] *unless otherwise specified, the percentage shown refers to the Parent Company.*
[17] *held by: the Parent Company (78.490%) and Banco di Sardegna s.p.a. (20.522%).*
[18] *held by: the Parent Company (92.838%), Banco di Sardegna s.p.a. (4.762%), Banca di Sassari s.p.a. (0.400%), Optima s.p.a. SIM (0.400%), Sardaleasing s.p.a. (0.400%), Cassa di Risparmio di Bra s.p.a. (0.400%), BPER Credit Management s.cons.p.a. (0.400%) and Cassa di Risparmio di Saluzzo s.p.a. (0.400%).*
[19] *held by: the Parent Company (51.440%) and Banco di Sardegna s.p.a. (46.933%).*

14) Tholos s.p.a., based in Sassari, real estate company and subsidiary of Banco di Sardegna s.p.a. which holds 100% of share capital;
15) BPER Credit Management s.cons.p.a., based in Modena, a consortium for the recovery and management of non-performing loans (100%)[20];
16) Carife Servizi Evolutivi Integrati s.r.l., property company based in Ferrara (100%).

b) Other subsidiaries consolidated using the equity method[21]:

1) Mutina s.r.l., based in Modena, used as a vehicle for the securitisation of receivables (100%);
2) Estense Covered Bond s.r.l. based in Conegliano (Treviso), a vehicle for the issue of Guaranteed Bank Bonds under art. 7 *bis* of Law 130/99 (60%);
3) BPER Trust Company s.p.a., based in Modena, with the role of trustee for trusts established by customers, as well as providing advice on trust matters (100%);
4) Estense CPT Covered Bond s.r.l., based in Conegliano (Treviso), a vehicle for the issue of Guaranteed Bank Bonds under art. 7 *bis* of Law 130/99 (60%).

Following the alignment of the consolidation methodologies described in Part A of these Explanatory notes, the above companies have been measured using the equity method, rather than consolidated on a line-by-line basis, since art. 19 of Regulation (EU) no. 575/2013 (CRR) requires the exclusion of financial and operating companies, including those belonging to the Banking Group, if their total assets and off-balance sheet amounts fall below the lower of the following amounts:

- Euro 10 million;
- 1% of the total assets and off-balance sheet amounts of the parent company or the company that holds the investment.

In addition to the above companies that belong to the Banking Group, the following direct and indirect subsidiaries are including in this grouping at 31 December 2017, even though they are not members of the Banking Group since they do not contribute to its banking activities[22]:

5) Italiana Valorizzazioni Immobiliari s.r.l. (100%);
6) Adras s.p.a. (100%);
7) Polo Campania s.r.l. (100%);
8) Galilei Immobiliare s.r.l. wholly owned by Nadia s.p.a.;
9) Costruire Mulino s.r.l., a wholly-owned subsidiary of Italiana Valorizzazioni Immobiliari s.r.l;
10) Frara s.r.l. (formerly Sviluppo Formica s.r.l.), a wholly-owned subsidiary of Italiana Valorizzazioni Immobiliari s.r.l.[23];
11) SIFA'- Società Italiana Flotte Aziendali s.p.a. (51%);
12) Banca Farnese s.p.a. in liquidation (65.127%).

c) Companies consolidated using the equity method

1) Cassa di Risparmio di Fossano s.p.a., based in Fossano (Cuneo) (23.077%);
2) Cassa di Risparmio di Savigliano s.p.a., based in Savigliano (Cuneo) (31.006%);

[20] *held by: the Parent Company (67.000%), Banco di Sardegna s.p.a. (20.000%), Sardaleasing s.p.a. (6.000%), Banca di Sassari s.p.a. (3.000%), Cassa di Risparmio di Bra s.p.a. (2.000%), Emilia Romagna Factor s.p.a. (1.000%) and Cassa di Risparmio di Saluzzo s.p.a. (1.000%).*
[21] *following alignment of the consolidation methodology with that used for prudential reporting purposes.*
[22] *following alignment of the consolidation methodology with that used for prudential reporting purposes.*
[23] *company that during 2017 had not yet started operating and is still dormant.*

3) Alba Leasing s.p.a., based in Milan (33.498%);
4) CO.BA.PO. - Consorzio Banche Popolari s.con., based in Bologna (23.587%);
5) Sofipo s.a. in liquidation, based in Lugano, held by Banca Popolare dell'Emilia Romagna (Europe) International s.a. which holds 30% of share capital;
6) CONFORM - Consulenza Formazione e Management s.c.a.r.l., based in Avellino (49.410%)[24];
7) CAT Progetto Impresa Modena s.c.r.l., based in Modena (20%);
8) Resiban s.p.a., based in Modena (20%);
9) Unione Fiduciaria s.p.a., based in Milan (24%);
10) Atriké s.p.a., based in Modena (45%);
11) Sarda Factoring s.p.a., based in Cagliari (21.484%)[25];
12) Emil-Ro Service s.r.l., based in Bologna (25%)[26];
13) Lanciano Fiera Polo fieristico d'Abruzzo - consortium based in Lanciano (20%);
14) Arca Holding s.p.a., based in Milan (32.752%);
15) Immobiliare Oasi nel Parco s.r.l., based in Milan (36.80%).

5.2 Changes in the scope of consolidation

The scope of consolidation has changed compared with 31 December 2016 following the acquisition (and subsequent absorption by the Parent Company) of Nuova Cassa di Risparmio di Ferrara s.p.a., as already discussed in detail in the chapter on *"Significant events and strategic transactions"*.
The following companies were included in the scope of consolidation for the first time:

- Carife Servizi Evolutivi Integrati s.r.l.
- Banca Farnese s.p.a. in liquidazione.
- Carife SIM. In December 2017, the latter was merged with the subsidiary Optima s.p.a. SIM as already discussed in the chapter on *"Significant events and strategic transactions".*

The following changes in interests took place during the period:

- Banco di Sardegna s.p.a.: the Parent Company, which already owned 50.669% at 31 December 2016, increased its holding to 50.901% after buying savings shares on the market;
- Banca di Sassari s.p.a.: the Parent Company's interest has increased from 78.462% at 31 December 2016 to 78.490% at 31 December 2017;
- SIFA' - Società Italiana Flotte Aziendali s.p.a.: the Parent Company's interest has risen from 35% at 31 December 2016 to 51% at 31 December 2017, following conversion of the company's convertible bonds, thereby passing from de facto control to legal control.

[24] *held by: the Parent Company (46.430%) and Banco di Sardegna s.p.a. (2.980%).*
[25] *held by: Banco di Sardegna s.p.a. (13.401%) and the Parent Company (8.083%).*
[26] *held by: the Parent Company (16.667%) and Emilia Romagna Factor s.p.a. (8.333%).*

Significant investments carried at equity

The following changes occurred during the period:

- inclusion of Immobiliare Oasi nel Parco s.r.l. in associated companies, following the acquisition (and subsequent merger by absorption into the Parent Company) of Nuova Cassa di Risparmio di Ferrara s.p.a., at 36.80%;
- inclusion of Vegagest SGR s.p.a. in associated companies, following the acquisition (and subsequent merger) of Nuova Cassa di Risparmio di Ferrara s.p.a., at 31.87%, sold to third parties on 6 October 2017;
- sale of the investment in Banca della Nuova Terra s.p.a. (no. 15,184,509 shares representing 30.369% of the share capital), completed on 8 September 2017;
- sale of the investment in Sintesi 2000 s.r.l. (no. 25,000 shares representing 33.333% of the share capital), completed on 18 December 2017.

6. The BPER Banca Group's results of operations

6.1 Balance sheet aggregates

The more important consolidated accounting aggregates and captions are presented below on a comparative basis with the figures at 31 December 2016, in thousands of Euro, indicating the changes between periods in absolute and percentage terms.

Note that the figures for the Parent Company BPER Banca include the figures of Nuova Cassa di Risparmio di Ferrara s.p.a., which was acquired on 30 June 2017 and subsequently merged with effect for accounting purposes from 1 July 2017. The comparative figures have not been restated; the footnotes to the relevant tables indicate the main balance sheet figures at the date of the business combination, where significant.

Assets

(in thousands of Euro)

Assets	31.12.2017	31.12.2016	Change	% Change
10. Cash and cash equivalents	420,299	364,879	55,420	15.19
20. Financial assets held for trading	663,134	676,844	(13,710)	-2.03
30. Financial assets designated at fair value	83,299	84,307	(1,008)	-1.20
40. Financial assets available for sale	12,076,053	10,433,222	1,642,831	15.75
50. Financial assets held to maturity	2,637,135	2,515,993	121,142	4.81
60. Due from banks	3,012,515	1,331,811	1,680,704	126.20
70. Loans to customers	47,814,808	45,494,179	2,320,629	5.10
80. Hedging derivatives	54,061	62,365	(8,304)	-13.32
100. Equity investments	454,367	413,923	40,444	9.77
120. Property, plant and equipment	1,063,483	969,470	94,013	9.70
130. Intangible assets (*)	506,627	520,829	(14,202)	-2.73
of which: goodwill (*)	327,084	355,441	(28,357)	-7.98
140. Tax assets	1,848,127	1,518,027	330,100	21.75
a) current	575,441	221,395	354,046	159.92
b) deferred	1,272,686	1,296,632	(23,946)	-1.85
b1) of which L. 214/2011	1,021,455	1,073,172	(51,717)	-4.82
160. Other assets	704,899	574,175	130,724	22.77
Total assets	**71,338,807**	**64,960,024**	**6,378,783**	**9.82**

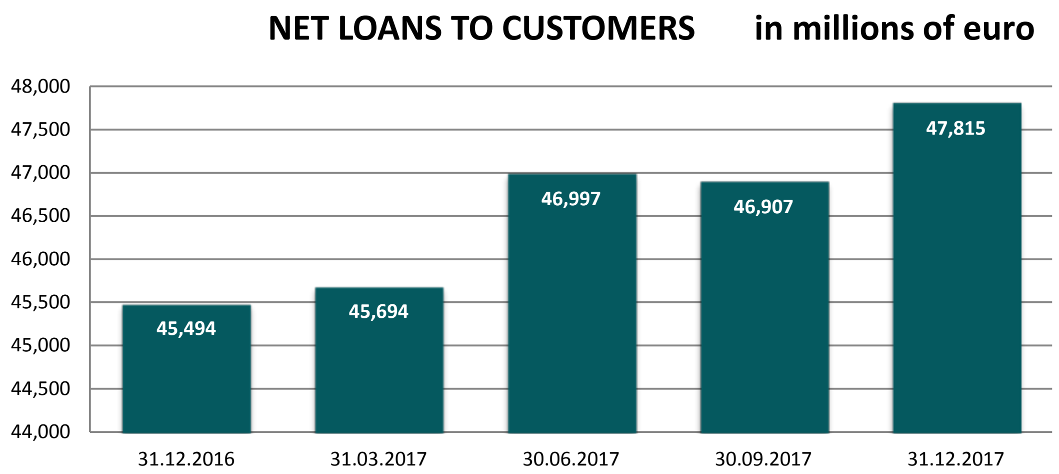
(*) The Purchase Price Allocation (PPA) process of Cassa di Risparmio di Saluzzo was completed at 30 June 2017. Control over it was acquired in the fourth quarter of 2016 and the purchase price was allocated on a provisional basis at 31 December 2016; in accordance with paragraph 45 of IFRS 3, the conclusion of the process resulted in an adjustment of the figures at 31 December 2016 compared with those previously published, following the identification of intangible assets with a defined useful life for a total of Euro 9,061 thousand, recognition at the same time of deferred tax liabilities of Euro 2,996 thousand and therefore a reduction in the provisionally recorded goodwill of Euro 6,065 thousand.

Loans to customers

(in thousands of Euro)

Captions	31.12.2017	31.12.2016	Change	% Change
Current accounts	5,151,220	5,392,378	(241,158)	-4.47
Mortgage loans	28,783,725	26,487,871	2,295,854	8.67
Leases and factoring	3,622,836	3,372,666	250,170	7.42
Debt securities	205,678	322,196	(116,518)	-36.16
Other transactions	10,051,349	9,919,068	132,281	1.33
Net loans to customers	**47,814,808**	**45,494,179**	**2,320,629**	**5.10**

Loans to customers, net of adjustments, amount to Euro 47,814.8 million (Euro 45,494.2 million at 31 December 2016), representing an increase of 5.10% in the year, mainly due to the first-time consolidation of Nuova Cassa di Risparmio di Ferrara s.p.a. (net loans of Euro 1,337.3 million at 30 June 2017, after completion of the Purchase Price Allocation) and to the increase in residential mortgage loans during the year.
As regards the individual technical forms, there have been reductions in current accounts of Euro 241.2 million (-4.47%) and in debt securities of Euro 116.5 million (-36.16%), while there have been increases in mortgage loans of Euro 2,295.9 million (+8.67%), leasing and factoring transactions of Euro 250.2 million (+7.42%) and in other loan transactions of Euro 132.3 million, (+1.33%), comprising "bullet" loans of Euro 3,701.1 million and advances against notes of Euro 2,204.3 million.



The average interest rate for the year on loans to customers amounted to 2.37%, a decrease of about 25 bps compared with the previous year's average rate.
The spread between lending and deposit rates of banking relationships with customers came to 1.91% (2.07% at 31 December 2016).
The overall gap between the average annual rate of return on interest-bearing assets and the average annual cost of interest-bearing liabilities amounts to 1.67%, down on last year (when it was 1.86%).

(in thousands of Euro)

Captions	31.12.2017	31.12.2016	Change	% Change
Gross non-performing exposures	**10,531,682**	**11,173,562**	**(641,880)**	**-5.74**
Bad loans	7,109,151	7,039,097	70,054	1.00
Unlikely to pay loans	3,318,267	3,976,794	(658,527)	-16.56
Past due loans	104,264	157,671	(53,407)	-33.87
Gross performing exposures	**42,637,647**	**39,480,917**	**3,156,730**	**8.00**
Total gross exposure	**53,169,329**	**50,654,479**	**2,514,850**	**4.96**
Adjustments to non-performing exposures	**5,128,962**	**4,976,250**	**152,712**	**3.07**
Bad loans	4,215,945	4,029,875	186,070	4.62
Unlikely to pay loans	901,967	934,075	(32,108)	-3.44
Past due loans	11,050	12,300	(1,250)	-10.16
Adjustments to performing exposures	**225,559**	**184,050**	**41,509**	**22.55**
Total adjustments	**5,354,521**	**5,160,300**	**194,221**	**3.76**
Net non-performing exposures	**5,402,720**	**6,197,312**	**(794,592)**	**-12.82**
Bad loans	2,893,206	3,009,222	(116,016)	-3.86
Unlikely to pay loans	2,416,300	3,042,719	(626,419)	-20.59
Past due loans	93,214	145,371	(52,157)	-35.88
Net performing exposures	**42,412,088**	**39,296,867**	**3,115,221**	**7.93**
Total net exposure	**47,814,808**	**45,494,179**	**2,320,629**	**5.10**

The adjustments that relate to performing loans total Euro 225.6 million (Euro 184.1 million at 31 December 2016; -22.55%), giving a coverage ratio of 0.53% (0.47% at 31 December 2016).
Adjustments to non-performing loans amount to Euro 5,129 million (Euro 4,976.2 million at 31 December 2016; +3.07%) with a coverage ratio of 48.70% (44.54% at 31 December 2016). The total coverage ratio is 10.07% versus 10.19% at 31 December 2016.

(in thousands of Euro)

Loans to customers	31.12.2017		31.12.2016		%	%	%
	Gross	Net	Gross	Net	Gross change	Net change	Coverage ratio
1. BPER Banca S.p.A.	41,265,265	37,390,988	39,215,734	35,478,258	5.23	5.39	9.39
2. Bper (Europe) International s.a.	270,493	266,214	257,219	255,059	5.16	4.37	1.58
3. Banca di Sassari s.p.a.	511,126	501,225	261,118	252,080	95.75	98.84	1.94
4. Banco di Sardegna s.p.a.	8,779,529	7,750,469	8,586,405	7,575,797	2.25	2.31	11.72
5. Cassa di Risparmio di Bra s.p.a.	1,215,049	1,064,913	1,159,539	1,014,579	4.79	4.96	12.36
6. Cassa di Risparmio di Saluzzo s.p.a.	726,154	652,979	678,979	606,189	6.95	7.72	10.08
Total banks	**52,767,616**	**47,626,788**	**50,158,994**	**45,181,962**	**5.20**	**5.41**	**9.74**
7. Sardaleasing s.p.a.	3,312,943	3,119,313	3,023,171	2,857,507	9.59	9.16	5.84
8. Emil-Ro Factor s.p.a.	807,534	787,471	818,293	800,689	-1.31	-1.65	2.48
Other companies and consolidation adjustments	(3,718,764)	(3,718,764)	(3,345,979)	(3,345,979)	11.14	11.14	-
Total of balance sheet	**53,169,329**	**47,814,808**	**50,654,479**	**45,494,179**	**4.96**	**5.10**	**10.07**

The non-performing loans (bad loans, unlikely to pay loans and loans past due by more than 90 days) indicated here relate solely to those exposures associated with the *"Loans to customers"* portfolio. Their net amount of Euro 5,402.7 million (-12.82%) is equal to 11.30% of total net loans to customers (13.62% at 31 December 2016), whereas, on a gross basis, it is equal to 19.81% (22.06% at 31 December 2016).
More specifically, net bad loans amount to Euro 2,893.2 million (-3.86%), net unlikely to pay loans total Euro 2,416.3 million (-20.59%) and net past due amounts total Euro 93.2 million (-35.88%).
The coverage ratio is suitable for the portfolio's level of risk: the coverage ratio of total non-performing loans comes to 48.70% versus 44.54% at the end of 2016, an increase of 416 bps.

If we take into account the direct write-offs of bad loans involved in bankruptcy proceedings for Euro 858.6 million (Euro 1,066.8 million at 31 December 2016), the effective coverage ratio comes to 52.57% (49.37% at 31 December 2016).

(in thousands of Euro)

Non-performing loans	31.12.2017		31.12.2016		%	%	%
	Gross	Net	Gross	Net	Gross change	Net change	Coverage ratio
1. BPER Banca S.p.A.	7,150,234	3,447,762	7,669,831	4,055,628	-6.77	-14.99	51.78
2. Bper (Europe) International s.a.	9,567	5,288	5,416	3,256	76.64	62.41	44.73
3. Banca di Sassari s.p.a.	12,020	5,171	10,571	4,192	13.71	23.35	56.98
4. Banco di Sardegna s.p.a.	2,151,514	1,147,932	2,232,430	1,250,750	-3.62	-8.22	46.65
5. Cassa di Risparmio di Bra s.p.a.	326,820	181,361	330,693	191,278	-1.17	-5.18	44.51
6. Cassa di Risparmio di Saluzzo s.p.a.	129,652	58,765	136,003	68,374	-4.67	-14.05	54.67
Total banks	**9,779,807**	**4,846,279**	**10,384,944**	**5,573,478**	**-5.83**	**-13.05**	**50.45**
7. Sardaleasing s.p.a.	721,392	539,432	750,149	595,928	-3.83	-9.48	25.22
8. Emil-Ro Factor s.p.a.	30,483	17,009	38,469	27,906	-20.76	-39.05	44.20
Total of balance sheet	**10,531,682**	**5,402,720**	**11,173,562**	**6,197,312**	**-5.74**	**-12.82**	**48.70**
Direct write-downs of bad loans	858,628	-	1,066,784	-	-19.51	n.s.	100.00
Adjusted total	**11,390,310**	**5,402,720**	**12,240,346**	**6,197,312**	**-6.94**	**-12.82**	**52.57**
Non-performing loans (Total of balance sheet)/Loans to customers	**19.81%**	**11.30%**	**22.06%**	**13.62%**			

The bad loans shown here relate solely to exposures in the *"Loans to customers"* portfolio. Their net amount of Euro 2,893.2 million (-3.86%) comes to 6.05% of total net loans to customers (6.61% at 31 December 2016), whereas, on a gross basis, the ratio of bad loans to total *Loans to customers* comes to 13.37% (13.90% at 31 December 2016).

The coverage of bad loans is 59.30%, up compared with 57.25% in December 2016.

If we take account of the direct write-offs made to bad loans involved in bankruptcy procedures for Euro 858.6 million (Euro 1,066.8 million at 31 December 2016), the total actual value of the claim for bad loans comes to Euro 7,967.8 million (Euro 8,105.9 million at 31 December 2016) and the effective coverage ratio is 63.69% (62.88% at 31 December 2016).

(in thousands of Euro)

Bad loans	31.12.2017		31.12.2016		%	%	%
	Gross	Net	Gross	Net	Gross change	Net change	Coverage ratio
1. BPER Banca S.p.A.	4,870,993	1,854,935	4,727,690	1,879,625	3.03	-1.31	61.92
2. Bper (Europe) International s.a.	5,590	1,574	60	-	-	-	71.84
3. Banca di Sassari s.p.a.	5,824	814	5,956	821	-2.22	-0.85	86.02
4. Banco di Sardegna s.p.a.	1,586,985	715,954	1,647,205	771,346	-3.66	-7.18	54.89
5. Cassa di Risparmio di Bra s.p.a.	165,102	54,048	164,616	56,837	0.30	-4.91	67.26
6. Cassa di Risparmio di Saluzzo s.p.a.	84,314	23,010	85,694	27,421	-1.61	-16.09	72.71
Total banks	**6,718,808**	**2,650,335**	**6,631,221**	**2,736,050**	**1.32**	**-3.13**	**60.55**
7. Sardaleasing s.p.a.	368,664	234,153	391,119	265,582	-5.74	-11.83	36.49
8. Emil-Ro Factor s.p.a.	21,679	8,718	16,757	7,590	29.37	14.86	59.79
Total of balance sheet	**7,109,151**	**2,893,206**	**7,039,097**	**3,009,222**	**1.00**	**-3.86**	**59.30**
Direct write-downs of bad loans	858,628		1,066,784	-	-19.51	n.s.	100.00
Adjusted total	**7,967,779**	**2,893,206**	**8,105,881**	**3,009,222**	**-1.70**	**-3.86**	**63.69**
Bad loans (Total of balance sheet)/Loans to customers	**13.37%**	**6.05%**	**13.90%**	**6.61%**			

The "unlikely to pay" loans shown here are all in the *"Loans to customers"* portfolio. The net amount of Euro 2,416.3 million (-20.59%) represents 5.05% of total net loans to customers (6.69% at 31 December 2016), whereas, on ad gross basis, the ratio of "unlikely to pay" loans to total *Loans to customers* is 6.24% (7.85% at 31 December 2016).
The coverage of "unlikely to pay" loans has increased to 27.18%, compared with 23.49% at 31 December 2016.

(in thousands of Euro)

Unlikely to pay loans	31.12.2017		31.12.2016		%	%	%
	Gross	Net	Gross	Net	Gross change	Net change	Coverage ratio
1. BPER Banca S.p.A.	2,245,953	1,563,841	2,860,537	2,102,050	-21.48	-25.60	30.37
2. Bper (Europe) International s.a.	3,977	3,714	5,356	3,256	-25.75	14.07	6.61
3. Banca di Sassari s.p.a.	4,222	2,651	3,836	2,709	10.06	-2.14	37.21
4. Banco di Sardegna s.p.a.	549,636	418,946	563,552	460,040	-2.47	-8.93	23.78
5. Cassa di Risparmio di Bra s.p.a.	155,907	122,022	153,792	123,475	1.38	-1.18	21.73
6. Cassa di Risparmio di Saluzzo s.p.a.	45,337	35,754	50,228	40,880	-9.74	-12.54	21.14
Total banks	**3,005,032**	**2,146,928**	**3,637,301**	**2,732,410**	**-17.38**	**-21.43**	**28.56**
7. Sardaleasing s.p.a.	312,003	268,535	331,673	303,662	-5.93	-11.57	13.93
8. Emil-Ro Factor s.p.a.	1,232	837	7,820	6,647	-84.25	-87.41	32.06
Total of balance sheet	**3,318,267**	**2,416,300**	**3,976,794**	**3,042,719**	**-16.56**	**-20.59**	**27.18**
Unlikely to pay loans/Loans to customers	**6.24%**	**5.05%**	**7.85%**	**6.69%**			

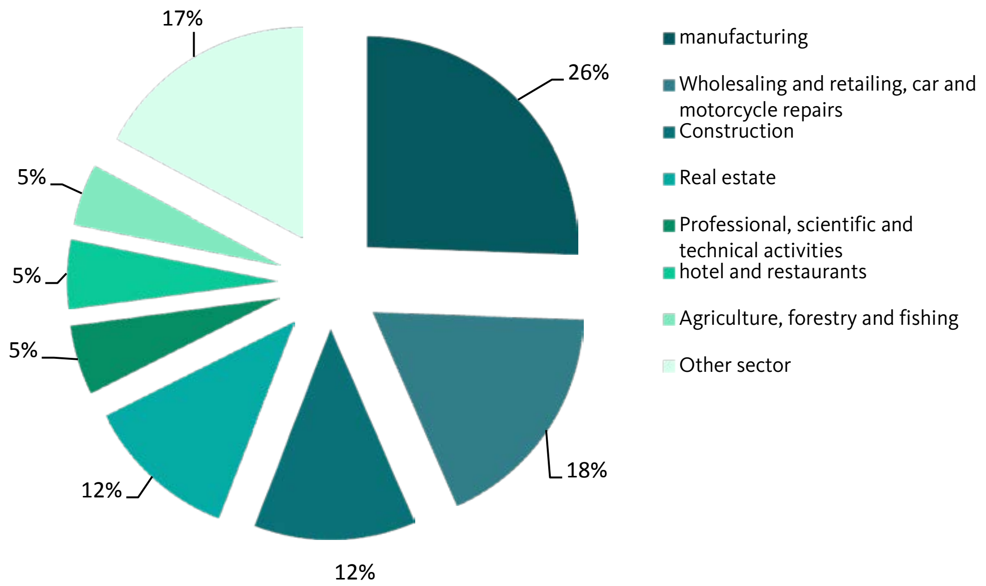
The past due loans shown here relate solely to the exposures associated with the *"Loans to customers"* portfolio. The net amount of Euro 93.2 million (-35.88%) represents 0.19% of total net loans to customers (0.32% at 31 December 2016), whereas, on a gross basis, the ratio of past due loans to total *"Loans to customers"* is 0.20% (0.31% at 31 December 2016). The coverage of past due loans is 10.60% (7.80% at 31 December 2016).

(in thousands of Euro)

Past due loans	31.12.2017		31.12.2016		%	%	%
	Gross	Net	Gross	Net	Gross change	Net change	Coverage ratio
1. BPER Banca S.p.A.	33,288	28,986	81,604	73,953	-59.21	-60.80	12.92
2. Bper (Europe) International s.a.	-	-	-	-	-	-	-
3. Banca di Sassari s.p.a.	1,974	1,706	779	662	153.40	157.70	13.58
4. Banco di Sardegna s.p.a.	14,893	13,032	21,673	19,364	-31.28	-32.70	12.50
5. Cassa di Risparmio di Bra s.p.a.	5,811	5,291	12,285	10,966	-52.70	-51.75	8.95
6. Cassa di Risparmio di Saluzzo s.p.a.	1	1	81	73	-98.77	-98.63	0.00
Total bank	**55,967**	**49,016**	**116,422**	**105,018**	**-51.93**	**-53.33**	**12.42**
7. Sardaleasing s.p.a.	40,725	36,744	27,357	26,684	48.87	37.70	9.78
8. Emil-Ro Factor s.p.a.	7,572	7,454	13,892	13,669	-45.49	-45.47	1.56
Total of balance sheet	**104,264**	**93,214**	**157,671**	**145,371**	**-33.87**	**-35.88**	**10.60**
Past due loans/Loans to customers	**0.20%**	**0.19%**	**0.31%**	**0.32%**			

The table and graph below show the amount of loan disbursements to resident non-financial companies at 31 December 2017, broken down by the debtors' industry sector according to the Bank of Italy's ATECO classification.

Distribution of loans to resident non-financial businesses



(in thousands of Euro)

Distribution of loans to resident non-financial businesses	31.12.2017	%	31.12.2016	% Change
A. Agriculture, forestry and fishing	1,525,664	3.19	1,375,793	10.89
B. Mining and quarrying	49,828	0.10	48,253	3.26
C. Manufacturing	7,451,165	15.58	7,148,314	4.24
D. Provision of electricity, gas, steam and air-conditioning	842,974	1.76	801,501	5.17
E. Provision of water, sewerage, waste management and rehabilitation	296,119	0.62	298,115	-0.67
F. Construction	3,616,061	7.56	3,899,711	-7.27
G. Wholesaling and retailing, car and motorcycle repairs	5,203,928	10.88	5,207,630	-0.07
H. Transport and storage	1,153,540	2.41	979,991	17.71
I. Hotel and restaurants	1,542,481	3.23	1,532,248	0.67
J. Information and communication	570,123	1.19	506,287	12.61
K. Finance and insurance	251,547	0.53	306,747	-18.00
L. Real estate	3,421,148	7.15	3,417,022	0.12
M. Professional, scientific and technical activities	1,358,362	2.84	1,572,001	-13.59
N. Rentals, travel agencies, business support services	812,267	1.70	597,112	36.03
O. Public administration and defence, compulsory social security	3,648	0.01	5,203	-29.89
P. Education	33,836	0.07	26,163	29.33
Q. Health and welfare	543,511	1.14	494,040	10.01
R. Arts, sport and entertainment	236,630	0.49	237,261	-0.27
S. Other services	211,837	0.44	212,614	-0.37
T. Activities of households as employers for domestic staff, production of undifferentiated goods and services for own use by households	67	-	1	--
U. Extraterritorial organisations and bodies	-	-	84,462	-100.00
Total loans to resident non-financial businesses	**29,124,736**	**60.91**	**28,750,469**	**1.30**
Loans to non-resident, non-financial businesses	205,472	0.43	141,621	45.09
Total loans to non-financial businesses	**29,330,208**	**61.34**	**28,892,090**	**1.52**
Individuals and other not included above	12,926,095	27.03	11,518,775	12.22
Financial businesses	3,019,047	6.31	2,664,580	13.30
Securities	205,678	0.43	322,196	-36.16
Governments and other public entities	2,315,893	4.84	2,080,253	11.33
Insurance companies	17,887	0.04	16,285	9.84
Total loans	**47,814,808**	**100.00**	**45,494,179**	**5.10**

Analysing total loans granted, the following sectors had the most significant increases in absolute terms: manufacturing, up Euro 302.9 million (+4.24%) and agriculture, up Euro 149.9 million (+10.89%). Conversely, the sectors with the principal decreases were: construction, down Euro 284 million (-7.27%) and professional, scientific and technical activities, down Euro 213.6 million (-13.59%).

Financial assets and equity investments

(in thousands of Euro)

Captions	31.12.2017	31.12.2016	Change	% Change
Financial assets held for trading	663,134	676,844	(13,710)	-2.03
- of which derivatives	*128,533*	*189,347*	*(60,814)*	*-32.12*
Financial assets designated at fair value	83,299	84,307	(1,008)	-1.20
Financial assets available for sale	12,076,053	10,433,222	1,642,831	15.75
Financial assets held to maturity	2,637,135	2,515,993	121,142	4.81
Total financial assets	**15,459,621**	**13,710,366**	**1,749,255**	**12.76**

Financial assets amount to Euro 15,459.6 million, including Euro 14,559.7 million of debt securities (94.18% of the total): of these, Euro 6,104.4 million relate to sovereign States and Central Banks (-5.37% compared with 31 December 2016) and Euro 5,948.3 million to Banks (+28.83%).
Among the different categories of financial assets, there has been an increase in "Financial assets available for sale", up by Euro 1,642.8 million (+15.75%), principally due to the purchase of banking debt securities, and in "Financial assets held to maturity", up by Euro 121.1 million (+4.81%), while "Financial assets held for trading" have decreased by Euro 13.7 million (-2.03%).
For their characteristics, most of the securities in portfolio, being highly liquid, are eligible for use as collateral for refinancing transactions on the institutional market or with the European Central Bank.
Equities come to Euro 421 million (2.72% of the total), inclusive of Euro 321 million of stable equity investments classified in the AFS portfolio.
The impairment testing of securities classified as "Financial assets available for sale", in accordance with the accounting policies adopted by the Group, resulted in writedowns of Euro 104.6 million (Euro 51.8 million at 31 December 2016), of which Euro 61.4 million related to the UCITS portfolio (Euro 52.9 million relating to the Atlante Fund units, which is added to the writedown of Euro 28.3 million at 31 December 2016, for a total investment value of 88.10%), plus Euro 4.4 million of a subordinated debt security and Euro 38.8 million of equities (this amount includes Euro 29.3 million relating to the IDGF-VS intervention in support of Caricesena, Carismi and Carim, of which Euro 8.6 million as a residual portion of the amount paid to the Voluntary Scheme in 2016 and Euro 20.6 million as an additional contribution to the recapitalisation of the three banks following the agreement that the Voluntary Scheme signed with Credit Agricole – Cariparma for their sale, in addition to Euro 7 million relating to Release s.p.a.).
"Financial assets held for trading" include financial derivatives of Euro 128.5 million (-32.12%) made up of forward transactions in foreign currencies (traded with customers and/or used in managing the foreign exchange position), interest rate and foreign exchange derivatives intermediated with customers, derivatives related to securitisations and other operational hedging derivatives. At 31 December 2017 the Group has not entered into any of the "long-term structured repo transactions" mentioned in the document issued jointly by the Bank of Italy, CONSOB and IVASS on 8 March 2013.
Against the "Financial assets available for sale" of Euro 12,076.1 million, there are positive net valuation reserves for a total of Euro 128.1 million, net of the related tax effect, as a result of the sum of positive reserves relating to debt securities, equities and UCITS of Euro 162.6 million and negative reserves of Euro 34.5 million. The net reserve only for government bonds was a positive Euro 28.5 million (-23.49% compared with 31 December 2016).
The portfolio of "Financial assets held to maturity" also includes unrealised gains of Euro 161.3 million (Euro 181.9 million at 31 December 2016, -11.36%), or Euro 107.9 million net of the theoretical tax effect.

(in thousands of Euro)

Financial assets	31.12.2017	31.12.2016	Change	% Change
1. BPER Banca S.p.A.	14,044,048	11,832,761	2,211,287	18.69
2. Bper (Europe) International s.a.	149,026	146,587	2,439	1.66
3. Banca di Sassari s.p.a.	6,327	5,250	1,077	20.51
4. Banco di Sardegna s.p.a.	742,740	1,162,914	(420,174)	-36.13
5. Cassa di Risparmio di Bra s.p.a.	127,059	156,021	(28,962)	-18.56
6. Cassa di Risparmio di Saluzzo s.p.a.	280,184	299,372	(19,188)	-6.41
Total banks	**15,349,384**	**13,602,905**	**1,746,479**	**12.84**
Other companies and consolidation adjustments	110,237	107,461	2,776	2.58
Total	**15,459,621**	**13,710,366**	**1,749,255**	**12.76**

(in thousands of Euro)

Captions	31.12.2017	31.12.2016	Change	% Change
Equity investments	454,367	413,923	40,444	9.77
of which subsidiaries	*34,567*	*13,581*	*20,986*	*154.52*
of which associates	*419,800*	*400,342*	*19,458*	*4.86*

Following the alignment of the consolidation methodologies described in Part A of the explanatory notes, this caption comprises significant investments (non-Group companies subject to considerable influence being, usually, investments in which the equity interest is greater than or equal to 20%), subsidiaries that are not members of the Banking Group since they do not contribute to its banking activities, and Group companies not meeting the requirements of art. 19 of EU Regulation no. 575/2013 that are measured using the equity method.
The increased investment in subsidiaries mainly refers to a company belonging to the former Nuova Cassa di Risparmio di Ferrara s.p.a. group (Euro 21.9 million).
The investment in Banca della Nuova Terra s.p.a. was sold during the year.
The impairment testing resulted in writedowns on the "Equity investments" relating to Cassa di Risparmio di Savigliano s.p.a. (Euro 2.8 million), Polo Campania s.r.l. (Euro 1.1 million), Italiana Valorizzazioni Immobiliari s.r.l. (Euro 0.5 million), Galilei Immobiliare s.r.l. (Euro 0.1 million) and Sofipo s.a. in liquidation (Euro 0.1 million).
The part relating to goodwill in the "Equity investments" portfolio amounted to Euro 112.5 million (Euro 115.5 million in December 2016).

Fixed assets

(in thousands of Euro)

Captions	31.12.2017	31.12.2016	Change	% Change
Intangible assets	506,627	520,829	(14,202)	-2.73
of which goodwill	*327,084*	*355,441*	*(28,357)*	*-7.98*

Intangible assets include goodwill amounting to Euro 327.1 million, representing 0.46% of total assets. The details are shown below:

Goodwill	31.12.2017	31.12.2016
1. Group companies	**327,084**	**355,441**
1.1 Banks	**40,080**	**66,780**
- Banco di Sardegna s.p.a.	27,606	54,306
- Cassa di Risparmio di Bra s.p.a.	4,574	4,574
- Cassa di Risparmio di Saluzzo s.p.a. (*)	7,900	7,900
1.2 Parent Company BPER	**280,236**	**280,236**
-Purchase of UNICREDIT branches	83,650	83,650
- Meliorbanca s.p.a.	104,685	104,685
- Banca CRV - Cassa di Risparmio di Vignola s.p.a.	2,272	2,272
- Banca Popolare di Lanciano e Sulmona s.p.a.	1,655	1,655
- Banca Popolare di Aprilia s.p.a.	10,151	10,151
- CARISPAQ - Cassa di Risparmio della Provincia dell'Aquila s.p.a.	13,477	13,477
- Banca Popolare di Ravenna s.p.a.	6,876	6,876
- Banca Popolare del Mezzogiorno s.p.a.	6,124	6,124
- Banca della Campania s.p.a.	51,346	51,346
1.3 Other companies	**6,768**	**8,425**
- Sardaleasing s.p.a.	-	1,657
- Emilia Romagna Factor s.p.a.	6,768	6,768
Total	**327,084**	**355,441**

The detailed figures relating to the Parent Company BPER Banca represent a purely historical and accounting situation, in any case combined in the only identifiable CGU represented by the Legal Entity BPER Banca.
Impairment testing, as required by IAS 36, has shown the need for a writedown of goodwill relating to Banco di Sardegna of Euro 26.7 million and to Sardaleasing of Euro 1.7 million.

(*) The Purchase Price Allocation (PPA) process of Cassa di Risparmio di Saluzzo was completed at 30 June 2017. Control over it was acquired in the fourth quarter of 2016 and the purchase price was allocated on a provisional basis at 31 December 2016; pursuant to para. 45 of IFRS 3, the completion of this process resulted in amendment of the data previously reported at 31 December 2016, with a reduction in the provisional amount of goodwill recognised by Euro 6,065 thousand

(in thousands of Euro)

Captions	31.12.2017	31.12.2016	Change	% Change
Intangible assets	1,063,483	969,470	94,013	9.70
of which goodwill	*957,156*	*885,282*	*71,874*	*8.12*

Interbank and liquidity position

(in thousands of Euro)

Net interbank position	31.12.2017	31.12.2016	Change	% Change
A. Due from banks	**3,012,515**	**1,331,811**	**1,680,704**	**126.20**
1. Current accounts and deposits	259,261	366,636	(107,375)	-29.29
2. Reverse repurchase agreements	300,025	-	300,025	n.s.
3. Debt securities	-	40,608	(40,608)	-100.00
4. Other	2,453,229	924,567	1,528,662	165.34
B. Due to banks	**12,984,226**	**9,462,678**	**3,521,548**	**37.22**
Total (A-B)	**(9,971,711)**	**(8,130,867)**	**(1,840,844)**	**22.64**

The increase in debt is mainly due to subscriptions to ECB refinancing operations as indicated below.

The following table gives details of such operations with the ECB. The overall increase in the outstanding principal since 31 December 2016, Euro 4,170 million, reflects the subscription, in March 2017, of the TLTRO-II transaction, maturing in March 2021; of this amount, Euro 34 million relates to Cassa di Risparmio di Saluzzo.

(in millions of Euro)

Refinancing transactions with the European Central Bank	Capital	Maturity
1. Targeted Long Term Refinancing Operation (TLTRO-II) -BPER Banca	4,000	Jun-20
2. Targeted Long Term Refinancing Operation (TLTRO-II) - CR Saluzzo	95	Jun-20
3. Targeted Long Term Refinancing Operation (TLTRO-II) - BPER Banca	1,000	Dec-20
4. Targeted Long Term Refinancing Operation (TLTRO-II) -BPER Banca	4,136	Mar-21
5. Targeted Long Term Refinancing Operation (TLTRO-II) - CR Saluzzo	34	Mar-21
Total	**9,265**	

At 31 December 2017, the BPER Banca Group has therefore subscribed its maximum permitted amount of TLTRO II, namely Euro 9,265 million.

At 31 December 2017, the Central Treasury held significant resources relating to securities eligible for refinancing at the European Central Bank, with an overall amount, net of margin calls, of Euro 15,897 million (Euro 13,106 million at 31 December 2016). The available portion amounts to Euro 3,305 million (Euro 4,385 million at 31 December 2016).

(in thousands of Euro)

Counterbalancing Capacity	Nominal value	Guarantee value	Restricted portion	Available portion
Eligible securities and loans		**15,897**	**12,592**	**3,305**
1 Securities as collateral for own and third-party commitments		543	543	
2 Securities subject to funding repurchase agreements		2,784	2,784	
3 Securities and loans not transferred to the Pooling Account		1,305		1,305
4 Securities and loans transferred to the Pooling Account		11,265	9,265	2,000
of which:				
Own debt guaranteed by the Italian Government				
Own securitisations	*639*	*581*		
Guaranteed Bank Bonds issued by the Bank	*1,955*	*1,706*		
Collaterized Bank Assets (A.BA.CO.)	*4,308*	*2,386*		

As summarised in the table, at 31 December 2017, the Pooling account of the Central Treasury possessed significant resources relating to securities eligible for refinancing by the European Central Bank, of an overall amount, net of margin call, of Euro 11,265 million, of which Euro 9,265 million has been refinanced (Euro 2,000 million is still available).

These include:

- securities from self-securitisations of performing residential mortgage portfolios given to the Bank's own customers (currently Euro 326.5 million, eligible for refinancing up to Euro 296.6 million), using the special purpose vehicles Estense Finance s.r.l. and Dedalo s.r.l.;
- securities from self-securitisations of performing residential mortgage portfolios given to the Bank's own customers in the small and medium-sized businesses segment (currently Euro 312.9 million, eligible for refinancing up to Euro 284.1 million), using the special purpose vehicle Multi Lease AS s.r.l.;
- Guaranteed Bank Bonds issue by the Bank with a nominal value of Euro 1,955 million, eligible for refinancing up to Euro 1,706.2 million, using the special purpose vehicle Estense CPT Covered Bond s.r.l.;
- Collateralised Bank Assets (A.BA.CO) for Euro 4,308 million at 31 December 2017, of which Euro 2,386.5 million eligible for refinancing.

Liabilities and shareholders' equity

(in thousands of Euro)

Liabilities and shareholders' equity	31.12.2017	31.12.2016	Change	% Change
10. Due to banks	12,984,226	9,462,678	3,521,548	37.22
20. Due to customers	42,694,078	38,912,714	3,781,364	9.72
30. Debt securities in issue	7,504,019	8,587,243	(1,083,224)	-12.61
40. Financial liabilities held for trading	169,459	226,837	(57,378)	-25.29
50. Financial liabilities designated at fair value	48,320	247,933	(199,613)	-80.51
60. Hedging derivatives	24,383	40,697	(16,314)	-40.09
80. Passività fiscali	106,218	100,992	5,226	5.17
a) current	2,258	1,715	543	31.66
b) differite (*)	103,960	99,277	4,683	4.72
100.Other liabilities	1,463,452	1,197,062	266,390	22.25
110. Provision for termination indemnities	187,536	205,364	(17,828)	-8.68
120. Provisions for risks and charges	440,385	422,791	17,594	4.16
a) pensions and similar commitments	137,148	136,409	739	0.54
b) other provisions	303,237	286,382	16,855	5.89
140. Valuation reserves	110,558	89,951	20,607	22.91
170. Reserves	2,409,985	2,410,357	(372)	-0.02
180. Share premium reserve	930,073	930,073	-	-
190. Share capital	1,443,925	1,443,925	-	-
200. Treasury shares	(7,258)	(7,258)	-	-
210. Minority interests	653,010	674,366	(21,356)	-3.17
220. Profit (Loss) for the period	176,438	14,299	162,139	--
Total liabilities and shareholders' equity	**71,338,807**	**64,960,024**	**6,378,783**	**9.82**

(*) The Purchase Price Allocation (PPA) process of Cassa di Risparmio di Saluzzo was completed at 30 June 2017. Control over it was acquired in the fourth quarter of 2016 and the purchase price was allocated on a provisional basis at 31 December 2016; in accordance with paragraph 45 of IFRS 3, the conclusion of the process resulted in an adjustment of the figures at 31 December 2016 compared with those previously published, following the identification of intangible assets with a finite useful life for a total of Euro 9,061 thousand, recognition at the same time of deferred tax liabilities of Euro 2,996 thousand and therefore a reduction in the provisionally recorded goodwill of Euro 6,065 thousand.

Deposits

(in thousands of Euro)

Captions	31.12.2017	31.12.2016	Change	% Change
Current accounts and demand deposits	35,285,793	32,330,963	2,954,830	9.14
Time deposits	2,455,533	2,219,888	235,645	10.62
Repurchase agreements	2,148,650	1,780,019	368,631	20.71
Other short-term loans	2,804,102	2,581,844	222,258	8.61
Bonds	5,391,780	6,155,707	(763,927)	-12.41
- subscribed by institutional customers	3,037,251	2,688,067	349,184	12.99
- subscribed by ordinary customers	2,354,529	3,467,640	(1,113,111)	-32.10
Certificates	69,771	91,897	(22,126)	-24.08
Certificates of deposit	2,090,788	2,587,572	(496,784)	-19.20
Direct customer deposits	**50,246,417**	**47,747,890**	**2,498,527**	**5.23**
Indirect deposits (off-balance sheet figure)	35,864,653	32,871,047	2,993,606	9.11
- of which managed	19,754,236	16,286,060	3,468,176	21.30
- of which administered	16,110,417	16,584,987	(474,570)	-2.86
Customer funds under management	**86,111,070**	**80,618,937**	**5,492,133**	**6.81**
Bank borrowing	12,984,226	9,462,678	3,521,548	37.22
Funds under administration or management	**99,095,296**	**90,081,615**	**9,013,681**	**10.01**

Direct borrowing from customers, Euro 50,246.4 million, has increased by 5.23% since 31 December 2016, mainly due to the acquisition of Nuova Cassa di Risparmio di Ferrara s.p.a., which had direct deposits of Euro 2,044.4 million at the date of the Business Combination on completion of the Purchase Price Allocation.
As regards the main types, there has been an increase in current accounts of Euro 2,954.8 (+9.14%), restricted deposits of Euro 235.6 million (+10.62%), repurchase agreements of Euro 368.6 million (+20.71%) and other short-term financing of Euro 222.3 million (+8.61%), while there has been a reduction in bonds of Euro 763.9 million (-12.41%), mainly relating to bonds placed with ordinary customers that decreased by Euro 1,113.1 million, and in certificates of deposit of Euro 496.8 million (-19.20%).
Indirect customer deposits, marked to market, come to Euro 35,864.7 million, up on 31 December 2016 (+9.11%).
Total funds administered or managed by the Group, including deposits from banks (Euro 12,984.2 million) amount to Euro 99,095.3 million, an increase of 10.01% compared with 31 December 2016.

The average cost of funding from customers incurred by Group banks during the year was 0.46%, which is down by about 9 basis points with respect to the previous year (0.55%).
Against total interest-bearing liabilities, the cost incurred came to 0.34%, a decrease of 12 bps compared with 0.46% in the previous year.

(in thousands of Euro)

Direct deposits	31.12.2017	31.12.2016	Change	% Change
1. BPER Banca S.p.A.	36,885,323	34,839,862	2,045,461	5.87
2. Bper (Europe) International s.a.	828,847	920,272	(91,425)	-9.93
3. Banca di Sassari s.p.a.	153,606	201,916	(48,310)	-23.93
4. Banco di Sardegna s.p.a.	11,031,484	10,486,254	545,230	5.20
5. Cassa di Risparmio di Bra s.p.a.	830,682	900,401	(69,719)	-7.74
6. Cassa di Risparmio di Saluzzo s.p.a.	788,023	794,688	(6,665)	-0.84
Total banks	**50,517,965**	**48,143,393**	**2,374,572**	**4.93**
Other companies and consolidation adjustments	(271,548)	(395,503)	123,955	-31.34
Total	**50,246,417**	**47,747,890**	**2,498,527**	**5.23**

Direct deposits include subordinated liabilities:

(in thousands of Euro)

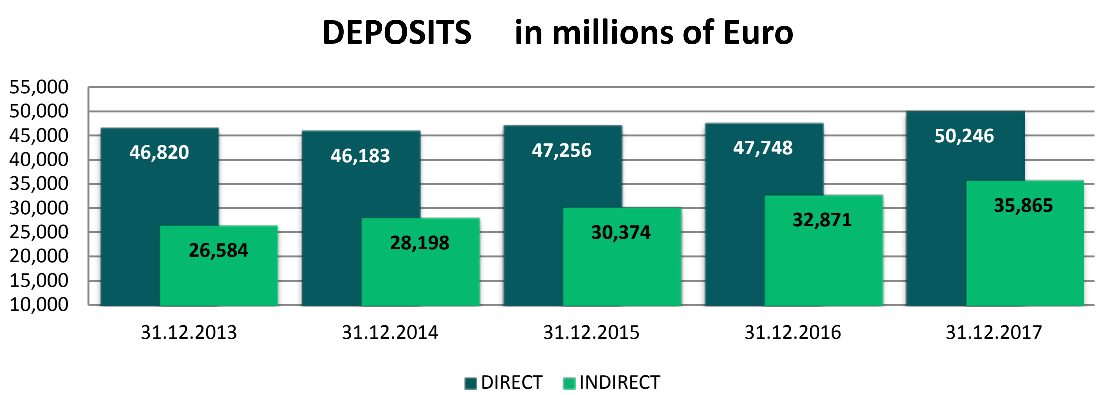
Captions	31.12.2017	31.12.2016	Change	% Change
Non-convertible subordinated liabilities	847,778	678,917	168,861	24.87
Total subordinated liabilities	**847,778**	**678,917**	**168,861**	**24.87**

The "BPER Banca EMTN Tier II 5.125% 2017-2027" subordinated bond, with a nominal value of Euro 500 million, was issued during the year.
The reductions reflect the payment of instalments on loans issued by the Parent Company that fell due on 31 December 2017 and were settled by Istituto Centrale delle Banche Popolari Italiane s.p.a. (now Nexi s.p.a.) on 2 January 2018 and on maturity of the BPER loan 4.75% 2011-2017 and the BPER loan FR 2007-2017.
There are no convertible subordinated liabilities at 31 December 2017 (as at 31 December 2016).

(in thousands of Euro)

Indirect deposits	31.12.2017	31.12.2016	Change	% Change
1. BPER Banca S.p.A.	31,639,460	29,067,987	2,571,473	8.85
2. Bper (Europe) International s.a.	651,612	477,294	174,318	36.52
3. Banco di Sardegna s.p.a.	3,741,020	3,556,371	184,649	5.19
4. Cassa di Risparmio di Bra s.p.a.	503,566	428,139	75,427	17.62
5. Cassa di Risparmio di Saluzzo s.p.a.	362,029	365,653	(3,624)	-0.99
Total banks	**36,897,687**	**33,895,444**	**3,002,243**	**8.86**
Other companies and consolidation adjustments	(1,033,034)	(1,024,397)	(8,637)	0.84
Total	**35,864,653**	**32,871,047**	**2,993,606**	**9.11**

The graph shows the dynamics of direct and indirect deposits in the last five years:



Indirect deposits do not include the placement of insurance policies, which has increased by 7.96% since 31 December 2016, mainly due to the life insurance business.

(in thousands of Euro)

Bankassurance	31.12.2017	31.12.2016	Change	% Change
Insurance policy portfolio	**4,787,781**	**4,434,674**	**353,107**	**7.96**
- of which life sector	*4,694,309*	*4,350,080*	*344,229*	*7.91*
- of which non-life sector	*93,472*	*84,594*	*8,878*	*10.49*

Life insurance premiums plus the indirect deposits under management total Euro 24,448.5 million, which represents 60.28% of the overall total (Euro 40,558.7 million).

Shareholders' equity

(in thousands of Euro)

Captions	31.12.2017	31.12.2016	Change	% Change
Consolidated shareholders' equity	**5,063,721**	**4,881,347**	**182,374**	**3.74**
- of which net profit (loss) for the period	*176,438*	*14,299*	*162,139*	--
- of which shareholders' equity excluding net profit (loss) for the period	*4,887,283*	*4,867,048*	*20,235*	*0.42*

(in thousands of Euro)

Captions	31.12.2017	31.12.2016	Change	% Change
Minority interests	**653,010**	**674,366**	**(21,356)**	**-3.17**
- of which net profit (loss) pertaining to minority interests	*444*	*1,515*	*(1,071)*	*-70.69*
- of which: shareholders' equity pertaining to minority interests excluding their share of net profit (loss) for the period	*652,566*	*672,851*	*(20,285)*	*-3.01*

(in thousands of Euro)

Shareholders' equity	31.12.2017	31.12.2016	Change	% Change
1. BPER Banca S.p.A.	4,677,987	4,662,995	14,992	0.32
2. Bper (Europe) International s.a.	54,226	52,892	1,334	2.52
3. Banca di Sassari s.p.a.	260,288	247,014	13,274	5.37
4. Banco di Sardegna s.p.a.	1,182,886	1,141,253	41,633	3.65
5. Cassa di Risparmio di Bra s.p.a.	62,926	63,513	(587)	-0.92
6. Cassa di Risparmio di Saluzzo s.p.a.	55,765	63,723	(7,958)	-12.49
Total banks	**6,294,078**	**6,231,390**	**62,688**	**1.01**
Other companies and consolidation adjustments	(754,229)	(691,491)	(62,738)	9.07
Total	**5,539,849**	**5,539,899**	**(50)**	**0.00**
Profit (Loss) for the period pertaining to the Parent Company	176,438	14,299	162,139	--
Profit (loss) for the period pertaining to minority interests	444	1,515	(1,071)	-70.69
Total shareholders' equity	**5,716,731**	**5,555,713**	**161,018**	**2.90**

This figure is made up of liability captions 140, 170, 180, 190, 200, 210 and 220.

The total net tangible shareholders' equity (after deduction of intangible assets of Euro 506.6 million) amounted to Euro 5,210.1 million.

6.2 Own funds and capital ratios

The harmonised rules for banks and investment companies contained in Regulation (EU) 575/2013 (CRR) and in the 2013/36/EU Directive (CRD IV) approved on 26 June 2013 and published in the Official Journal of the European Union the next day, entered into force on 1 January 2014.

This regulatory framework, which is the only set of rules that seeks to harmonise prudential regulations of the Member States of the European Community, was made applicable in Italy by the Bank of Italy's Circular no. 285, published on 17 December 2013 and subsequent updates.

From 30 June 2015 the accounting scope of consolidation is aligned with that required for prudential reporting purposes: companies excluded are treated in the same way as the banks and companies subject to significant influence and measured using the equity method.

On 31 December 2017, the BPER Banca Group adopted internal models for measuring the capital requirements relating to the credit risk represented by both business and retail customers. The model scope[27] includes BPER Banca, Banco di Sardegna and Banca di Sassari. Cassa di Risparmio di Bra, Sardaleasing and Cassa di Risparmio di Saluzzo are formally included in the roll-out plan and will adopt the IRB Approach as scheduled in the plan. The other BPER Banca Group companies and asset classes not included in the roll-out plan will continue to use the Standardised Approach.

The use of internal models has given rise to an increase in the capital buffer over and above the ECB's minimum requirement at the time of the 2017 SREP (7.25% Phased in and 8.50% Fully Phased). Compared with that limit, the amount of available equity at 31 December 2017 can be quantified at Euro 2,163 million (about 664 bps of CET1) under the phased in transitional arrangements, while on a fully phased basis it can be put at Euro 1,687 million, about 518 bps.

The CET1 ratio is also well above the specific obligations imposed by the ECB as part of the 2018 SREP process, set at 8.125% Phased In and 8.75% Fully Phased, in force from 1 January 2018. Compared with that limit, the amount of available equity at 31 December 2017 can be quantified at Euro 1,878 million (about 577 bps of CET1) under the phased in transitional arrangements, while on a fully phased basis it can be put at Euro 1,606 million, about 493 bps.

Considering all of the above, the amount of CET1 has been calculated taking into account the portion of the profit for the year that is allocable to equity, namely Euro 123.5 million. BPER Banca has made the required communication to the ECB regarding its calculation for prudential supervision purposes, both pursuant to art. 3 of Decision (EU) 656/2015 of the European Central Bank dated 4 February 2015 and as envisaged in art. 26, para. 2, of Regulation (EU) 575/2013 (CRR), and received authorisation on 12 February 2018.

The following table shows the BPER Banca Group's capital ratios and the minimum capital adequacy requirements for regulatory purposes as at 31 December 2017.

[27] *The ECB authorised the use of internal models on 24 June 2016.*

(in thousands of Euro)

	31.12.2017	31.12.2016	Changes	% Change
Common Equity Tier 1 capital- CET1	4,522,957	4,497,645	25,312	0.56
Additional Tier 1 capital - ATI	28,330	28,694	(364)	-1.27
Tier 1 capital - Tier 1	**4,551,287**	**4,526,339**	**24,948**	**0.55**
Tier 2 capital - Tier 2 - T2	885,544	431,706	453,838	105.13
Total Own Funds	**5,436,831**	**4,958,045**	**478,786**	**9.66**
Total Risk-weighted assets (RWA)	**32,573,002**	**32,593,235**	**(20,233)**	**-0.06**
CET1 Ratio (CET1/RWA)	**13.89%**	**13.80%**	**9 b.p.**	
Tier 1 Ratio (Tier 1/RWA)	**13.97%**	**13.89%**	**8 b.p.**	
Total Capital Ratio (Total Own Funds/RWA)	**16.69%**	**15.21%**	**148 b.p.**	
RWA/Total assets	**45.66%**	**50.17%**	**-451 b.p.**	

Capital ratios have been calculated taking into account the AIRB validation and the share of profit realised at 31 December 2017, which came to:

- Common Equity Tier 1 Ratio (Phased In) of 13.89% (14.03% at 30 September 2017, 13.38% at 30 June 2017, 13.33% at 31 March 2017 and 13.80% at 31 December 2016). The ratio calculated on the full application regime (fully phased) is equal to 13.68% (13.81% at 30 September 2017, 13.17% at 30 June 2017, 13.11% at 31 March 2017 and 13.27% at 31 December 2016);
- phased in Tier 1 ratio of 13.97% (14.11% at 30 September 2017, 13.47% at 30 June 2017, 13.43% at 31 March 2017 and 13.89% at 31 December 2016);
- Total Capital ratio (Phased In) of 16.69% (16.89% at 30 September 2017, 16.16% at 30 June 2017, 14.66% at 31 March 2017 and 15.21% at 31 December 2016).

The capital ratios (Phased in) are all much higher than the minimum levels required by the regulations (at 31 December 2017 equal to 5.75%, 7.25% and 9.25% respectively). The CET1 ratio is also well above the specific obligations for additional Own Funds imposed by the ECB as part of the 2017 SREP process, set at 7.25%, and as part of the 2018 SREP process, in force from 1 January 2018, set at 8.125%.

Note that the BPER Banca Group uses different methods for calculating risk-weighted assets, which are summarised below:

- credit risk - for Group entities represented by BPER Banca, Banco di Sardegna and Banca di Sassari, the credit risk measurement is performed using the AIRB method. For Banks and other Companies that are not in the scope of validation and for other risk assets not included in the validated models, the standardized approach has been maintained;
- credit down-rating risk - the standardised approach is used;
- market risk - the standardised approach is used for assessing market risk (general and specific risk on equities, general risk on debt securities and positioning risk for units in investment funds) to determine the related individual and consolidated capital requirement;
- operational risk - operational risk measurement uses the standardised approach (TSA).

Own Funds regulations (transitional provisions): Prudential filters for AFS reserves relating to debt securities issued by the central administrations of EU countries

With the publication in the Official Journal of the European Union of Regulation (EU) 2016/2067 of 22 November 2016, which amended Regulation (EC) 1126/2008, which, in turn, adopted certain International Accounting Standards in compliance with Regulation (EC) 1606/2002 of the European Parliament and Council with regard to IFRS 9, which will replace IAS 39, the option exercised by the BPER Banca Group has lapsed and, accordingly, at 31 December 2017, AFS reserves attributable to government bonds, for the purpose of the quantification of CET1, were subjected to the same regulatory treatment as other reserves of this kind. The impact is positive for Euro 21.6 million (7 bps) under the transitional arrangements on a phased in basis and a further Euro 5.4 million (2 bps) on a fully phased basis.

6.3 Reconciliation of consolidated net profit/shareholders' equity

Consolidated net profit comprises the sum of the Group's interest in the net profits (losses) at 31 December 2017 of the following Group banks and companies included in the scope of line-by-line consolidation.

(in thousands of Euro)

Reconciliation of consolidated net profit	31.12.2017
BPER Banca S.p.A.	**208,844**
Other Group companies:	**888**
Bper (Europe) International s.a.	*2,916*
Banco di Sardegna s.p.a., (Consolidated value)	*318*
Banca di Sassari s.p.a.	*4,385*
Cassa di Risparmio di Bra s.p.a.	*288*
Cassa di Risparmio di Saluzzo s.p.a.	*960*
Carife Servizi Evolutivi Integrati s.r.l.	*(2,472)*
Nadia s.p.a.	*(210)*
BPER Services s.cons.p.a.	*(351)*
Optima s.p.a. SIM	*3,261*
Modena Terminal s.r.l.	*358*
Emilia Romagna Factor s.p.a.	*5,451*
Sardaleasing s.p.a.	*(14,018)*
BPER Credit Management s.cons.p.a.	*2*
Total Group share	**209,732**
Consolidation adjustments	(33,294)
Consolidated net profit (loss)	**176,438**

As required by current regulations, the following statement is presented with regard to the position at 31 December 2017:

Reconciliation of the shareholders' equity and results of the Parent Company with the related consolidated amounts

	Increase (decrease)	
	Net profit (loss)	Shareholders'
AMOUNTS RELATING TO THE PARENT COMPANY *	**208,844**	**4,886,830**
DIFFERENCES between the shareholders' equity of companies consolidated on a line-by-line basis (net of minority interests) and the book value of the related equity investments held by their parent companies, as follows:	(25,708)	49,711
- adjustments to badwill related to consolidated companies	*(26,700)*	-
- elimination of intercompany profits and losses	*104*	-
- share of the results of fully consolidated companies, net of tax effect	*888*	-
	-	-
DIVIDENDS collected from companies consolidated on a line-by-line basis or stated under the equity method	(27,127)	-
	-	-
DIFFERENCE between book value and the interest in shareholders' equity (including results for the period) of companies consolidated at equity:	20,429	127,180
- share attributable to subsidiaries	*(922)*	2,724
- share attributable to associates	*21,351*	124,456
NET PROFIT FOR THE PERIOD AND SHAREHOLDERS' EQUITY OF THE PARENT COMPANY AS AT 31.12.2017	**176,438**	**5,063,721**
NET PROFIT FOR THE PERIOD AND SHAREHOLDERS' EQUITY OF MINORITY INTERESTS	444	653,010
TOTAL CONSOLIDATED NET PROFIT FOR THE PERIOD AND SHAREHOLDERS' EQUITY AS AT 31.12.2017	**176,882**	**5,716,731**
TOTAL CONSOLIDATED NET PROFIT FOR THE PERIOD AND SHAREHOLDERS' EQUITY AS AT 31.12.2016	**15,814**	**5,555,713**

6.4 Income statement aggregates

Consolidated income statement

(in thousands of Euro)

Captions	31.12.2017	31.12.2016	Change	% Change
10. Interest and similar income	1,416,396	1,483,051	(66,655)	-4.49
20. Interest and similar expense	(291,917)	(312,604)	20,687	-6.62
30. Net interest income	**1,124,479**	**1,170,447**	**(45,968)**	**-3.93**
40. Commission income	776,606	745,959	30,647	4.11
50. Commission expense	(35,978)	(33,237)	(2,741)	8.25
60. Net commission income	**740,628**	**712,722**	**27,906**	**3.92**
70. Dividends and similar income	12,416	9,872	2,544	25.77
80. Net trading income	38,015	7,944	30,071	378.54
90. Net hedging gains (losses)	(493)	(335)	(158)	47.16
100. Gains/losses on disposal or repurchase of:	64,374	107,662	(43,288)	-40.21
a) loans	(12,431)	(9,748)	(2,683)	27.52
b) financial assets available for sale	76,024	118,627	(42,603)	-35.91
c) financial assets held to maturity	316	-	316	n.s.
d) financial liabilities	465	(1,217)	1,682	-138.21
110. Net results on financial assets and liabilities designated at fair value	1,238	4,728	(3,490)	-73.82
120. Net interest and other banking income	**1,980,657**	**2,013,040**	**(32,383)**	**-1.61**
130. Net impairment adjustments to:	(655,916)	(659,064)	3,148	-0.48
a) loans	(535,975)	(619,750)	83,775	-13.52
b) financial assets available for sale	(104,628)	(51,811)	(52,817)	101.94
d) other financial assets	(15,313)	12,497	(27,810)	-222.53
140. Net profit from financial activities	**1,324,741**	**1,353,976**	**(29,235)**	**-2.16**
180. Administrative costs:	(1,372,985)	(1,383,303)	10,318	-0.75
a) payroll	(783,478)	(769,149)	(14,329)	1.86
b) other administrative costs	(589,507)	(614,154)	24,647	-4.01
190. Net provision for risks and charges	(30,578)	(28,668)	(1,910)	6.66
200. Net adjustments to property, plant and equipment	(46,124)	(45,709)	(415)	0.91
210. Net adjustments to intangible assets	(41,305)	(34,886)	(6,419)	18.40
220. Other operating charges/income	184,365	173,717	10,648	6.13
230. Operating costs	**(1,306,627)**	**(1,318,849)**	**12,222**	**-0.93**
240. Profit (Loss) from equity investments	18,483	8,491	9,992	117.68
260. Impairment losses on goodwill	(28,357)	(32,854)	4,497	-13.69
265. Gain on a bargain purchase	190,892	-	190,892	n.s.
270. Gains (Losses) on disposal of investments	**(12)**	**(220)**	**208**	**-94.55**
280. Profit (Loss) from current operations before tax	**199,120**	**10,544**	**188,576**	**--**
290. Income taxes on current operations for the period	(22,238)	5,270	(27,508)	-521.97
300. Utile (Perdita) dell'operatività corrente al netto delle imposte	176,882	15,814	161,068	--
320. Profit (loss) for the period	**176,882**	**15,814**	**161,068**	**--**
330. Profit (Loss) for the period pertaining to minority interests	(444)	(1,515)	1,071	-70.69
340. Profit (Loss) for the period pertaining to the Parent Company	**176,438**	**14,299**	**162,139**	**--**

Consolidated income statement by quarter as at 31 December 2017

(in thousands of Euro)

Captions	1st quarter 2017	2nd quarter 2017	3rd quarter 2017	4th quarter 2017	1st quarter 2016	2nd quarter 2016	3rd quarter 2016	4th quarter 2016
10. Interest and similar income	355,137	351,464	358,537	351,258	384,670	373,463	359,459	365,459
20. Interest and similar expense	(67,023)	(69,459)	(78,319)	(77,116)	(87,870)	(79,887)	(73,731)	(71,116)
30. Net interest income	**288,114**	**282,005**	**280,218**	**274,142**	**296,800**	**293,576**	**285,728**	**294,343**
40. Commission income	185,947	190,680	194,303	205,676	185,186	189,189	183,068	188,516
50. Commission expense	(8,574)	(8,829)	(9,501)	(9,074)	(8,103)	(8,154)	(8,265)	(8,715)
60. Net commission income	**177,373**	**181,851**	**184,802**	**196,602**	**177,083**	**181,035**	**174,803**	**179,801**
70. Dividends and similar income	312	10,812	507	785	86	8,732	338	716
80. Net trading income	10,920	9,069	13,286	4,740	(25,801)	(3,956)	12,051	25,650
90. Net hedging gains (losses)	(300)	41	31	(265)	120	(82)	(129)	(244)
100. Gains/losses on disposal or repurchase of:	13,630	16,756	6,986	27,002	37,346	55,129	11,199	3,988
a) loans	1,253	(9,105)	(5,170)	591	7	1,027	(4,495)	(6,287)
b) financial assets available for sale	12,378	25,466	12,027	26,153	38,237	54,210	15,833	10,347
c) financial assets held to maturity	-	316	-	-	-	-	-	-
d) financial liabilities	(1)	79	129	258	(898)	(108)	(139)	(72)
110. Net results on financial assets and liabilities designated at fair value	414	3	186	635	3,997	(2,027)	2,397	361
120. Net interest and other banking income	**490,463**	**500,537**	**486,016**	**503,641**	**489,631**	**532,407**	**486,387**	**504,615**
130. Net impairment adjustments to:	(146,307)	(242,108)	(112,659)	(154,842)	(121,511)	(150,571)	(126,429)	(260,553)
a) loans	(133,573)	(189,659)	(89,722)	(123,021)	(114,167)	(161,935)	(124,578)	(219,070)
b) financial assets available for sale	(17,381)	(54,236)	(29,383)	(3,628)	(3,678)	(3,524)	(4,948)	(39,661)
d) other financial assets	4,647	1,787	6,446	(28,193)	(3,666)	14,888	3,097	(1,822)
140. Net profit from financial activities	**344,156**	**258,429**	**373,357**	**348,799**	**368,120**	**381,836**	**359,958**	**244,062**
180. Administrative costs:	(338,795)	(325,302)	(350,708)	(358,180)	(343,116)	(344,714)	(329,258)	(366,215)
a) payroll	(194,125)	(191,551)	(191,656)	(206,146)	(196,586)	(201,655)	(176,168)	(194,740)
b) other administrative costs	(144,670)	(133,751)	(159,052)	(152,034)	(146,530)	(143,059)	(153,090)	(171,475)
190. Net provision for risks and charges	(5,661)	(5,941)	(9,268)	(9,708)	(9,621)	(12,504)	(5,791)	(752)
200. Net adjustments to property, plant and equipment	(9,076)	(12,048)	(9,771)	(15,229)	(8,983)	(12,104)	(9,150)	(15,472)
210. Net adjustments to intangible assets	(9,609)	(9,964)	(10,882)	(10,850)	(8,101)	(8,339)	(8,793)	(9,653)
220. Other operating charges/income	40,291	45,299	54,947	43,828	45,943	45,329	42,990	39,455
230. Operating costs	**(322,850)**	**(307,956)**	**(325,682)**	**(350,139)**	**(323,878)**	**(332,332)**	**(310,002)**	**(352,637)**
240. Profit (Loss) from equity investments	3,675	2,857	4,872	7,079	3,143	(406)	2,344	3,410
260. Impairment losses on goodwill	-	-	-	(28,357)	-	(3,254)	-	(29,600)
265. Gain on a bargain purchase	-	130,722	-	60,170	-	-	-	-
270. Gains (Losses) on disposal of investments	30	(14)	13	(41)	50	(417)	118	29
280. Profit (Loss) from current operations before tax	**25,011**	**84,038**	**52,560**	**37,511**	**47,435**	**45,427**	**52,418**	**(134,736)**
290. Income taxes on current operations for the period	(7,743)	17,926	(23,696)	(8,725)	(14,104)	(13,689)	(12,838)	45,901
300. Profit (Loss) from current operations after tax	**17,268**	**101,964**	**28,864**	**28,786**	**33,331**	**31,738**	**39,580**	**(88,835)**
320. Net profit (Loss) for the period	**17,268**	**101,964**	**28,864**	**28,786**	**33,331**	**31,738**	**39,580**	**(88,835)**
330. Profit (Loss) for the period pertaining to minority interests	(2,710)	2,540	1,032	(1,306)	(2,356)	2,029	(3,162)	1,974
340. Profit (Loss) for the period pertaining to the Parent Company	**14,558**	**104,504**	**29,896**	**27,480**	**30,975**	**33,767**	**36,418**	**(86,861)**

The following are the key figures from the consolidated income statement at 31 December 2017, suitably compared with the figures at 31 December 2016.
The figures for the Parent Company BPER Banca include the figures for Nuova Cassa di Risparmio di Ferrara s.p.a., which was acquired on 30 June 2017 and subsequently merged with effect from 1 July 2017.
The figures relating to the prior year have not been restated pro-forma.
Note that the comparative figures relating to Cassa di Risparmio di Saluzzo s.p.a. are only for the last quarter of 2016, given that the latter entered BPER Banca Group on 1 October 2016.

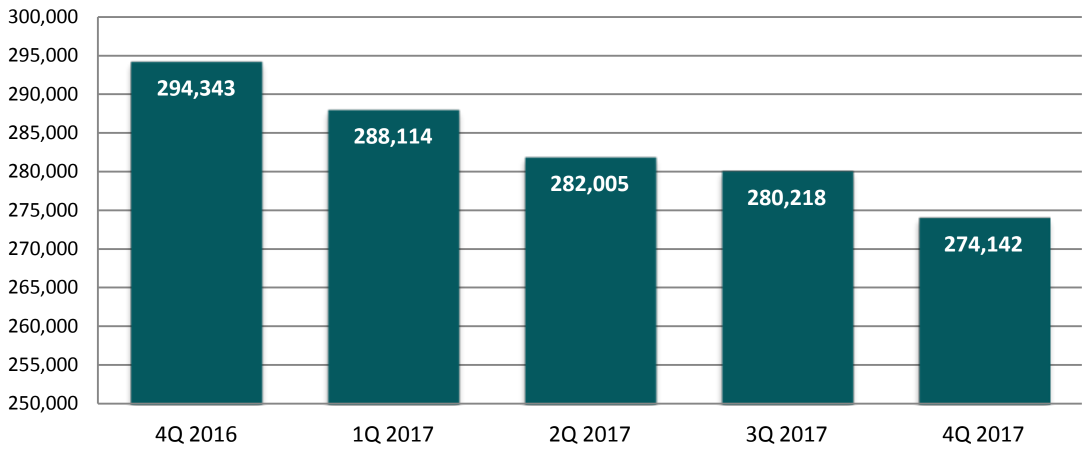
Net interest income

Net interest income comes to Euro 1,124.5 million, down by 3.93% (Euro 1,170.4 million at 31 December 2016), mainly due to higher interest expense on the Tier 2 subordinated bond placed at the end of May and to a slight decline in asset returns, particularly on overdraft accounts and corporate loans. The result includes the benefit for the year of participating in emissions of TLTRO II for Euro 33.7 million.

(in thousands of Euro)

Net interest income	31.12.2017	31.12.2016	Change	% Change
1. BPER Banca S.p.A.	803,472	853,310	(49,838)	-5.84
2. Bper (Europe) International s.a.	4,063	4,284	(221)	-5.16
3. Banca di Sassari s.p.a.	20,233	28,274	(8,041)	-28.44
4. Banco di Sardegna s.p.a.	200,352	200,753	(401)	-0.20
5. Cassa di Risparmio di Bra s.p.a.	22,330	23,342	(1,012)	-4.34
6. Cassa di Risparmio di Saluzzo s.p.a.	13,665	3,160	10,505	332.44
Total banks	**1,064,115**	**1,113,123**	**(49,008)**	**-4.40**
Other companies and consolidation adjustments	60,364	57,324	3,040	5.30
Total	**1,124,479**	**1,170,447**	**(45,968)**	**-3.93**

NET INTEREST INCOME in thousands of Euro



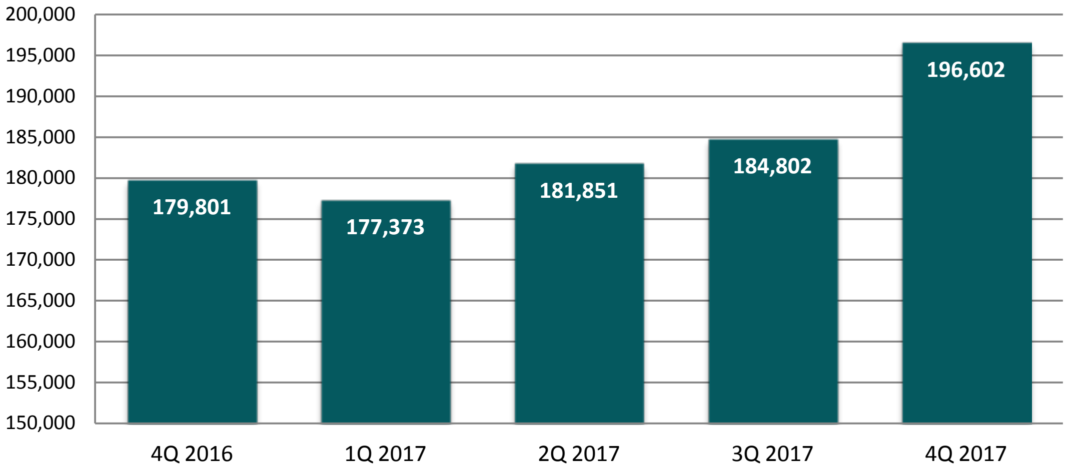
Net commission income

Net commissions, Euro 740.6 million, were 3.92% higher than in the comparative period of 2016. Commissions on indirect deposits and bancassurance increased (+18.12%), but there was a decline in commissions on loans and guarantees (-2.48%).

(in thousands of Euro)

Net commission income	31.12.2017	31.12.2016	Change	% Change
Trading in currency/financial instruments	5,904	5,951	(47)	-0.79
Indirect deposits and insurance policies	233,140	197,374	35,766	18.12
Credit cards, collections and payments	145,717	142,325	3,392	2.38
Loans and guarantees	321,455	329,623	(8,168)	-2.48
Other commissions	34,412	37,449	(3,037)	-8.11
Total net commission income	**740,628**	**712,722**	**27,906**	**3.92**

NET COMMISSION INCOME in thousands of Euro



Net trading income

The net result from trading activities (including dividends) was income of Euro 115.5 million, which was lower than at 31 December 2016 (Euro 129.9 million); the prior year benefited from non-recurring items totalling Euro 37.6 million, due to the sale of the investment in Visa Europe Ltd by Banca di Sassari s.p.a. (Euro 20.8 million) and the earn-out following the disposal of Istituto Centrale delle Banche Popolari Italiane s.p.a. (now Nexi s.p.a.) received by BPER Banca from CartaSì (Euro 16.8 million).

The result for the current year was negatively affected by losses deriving from the sale of bad loans of Euro 20.8 million and positively affected by the sale of equities and UCITS units held in the AFS portfolio, which generated a gain of Euro 12 million.

In detail, there was a net gain on disposal of financial assets and loans of Euro 63.4 million, net gains on financial assets of Euro 35.2 million and other positive items of Euro 4.6 million.

(in thousands of Euro)

Net trading income (including dividends)	31.12.2017	31.12.2016	Change	% Change
Dividends	12,416	9,872	2,544	25.77
Gain from disposal of financial assets and loans	63,370	103,108	(39,738)	-38.54
Capital gains on financial assets	43,717	19,661	24,056	122.35
Capital Losses on financial assets	(8,514)	(12,455)	3,941	-31.64
Fair value option	(2,229)	1,753	(3,982)	-227.15
Other revenues (losses)	6,790	7,932	(1,142)	-14.40
Total	**115,550**	**129,871**	**(14,321)**	**-11.03**

Net interest and other banking income

Net interest and other banking income amounts to Euro 1,980.7 million, a fall compared with 2016 (-1.61%).

(in thousands of Euro)

Net interest and other banking income	31.12.2017	31.12.2016	Change	% Change
1. BPER Banca S.p.A.	1,476,697	1,501,023	(24,326)	-1.62
2. Bper (Europe) International s.a.	10,380	8,167	2,213	27.10
3. Banca di Sassari s.p.a.	41,522	77,399	(35,877)	-46.35
4. Banco di Sardegna s.p.a.	361,832	323,733	38,099	11.77
5. Cassa di Risparmio di Bra s.p.a.	34,923	37,227	(2,304)	-6.19
6. Cassa di Risparmio di Saluzzo s.p.a.	23,814	5,899	17,915	303.70
Total banks	**1,949,168**	**1,953,448**	**(4,280)**	**-0.22**
Other companies and consolidation adjustments	31,489	59,592	(28,103)	-47.16
Total	**1,980,657**	**2,013,040**	**(32,383)**	**-1.61**

Net adjustments to loans and other financial assets

Net adjustments to loans and other financial assets amounted to Euro 655.9 million, substantially in line with 2016 (-0.48%).
In detail, net adjustments to loans, Euro 536 million, were lower than in the previous year (-13.52%).
The coverage of non-performing loans has improved further (48.70%), following an increase since the end of 2016 (+416 bps).

(in thousands of Euro)

Net impairment adjustments to loans caption 130 a)	31.12.2017	31.12.2016	Change	% Change
1. BPER Banca S.p.A.	395,549	516,606	(121,057)	-23.43
2. Bper (Europe) International s.a.	1,971	2,100	(129)	-6.14
3. Banca di Sassari s.p.a.	1,083	2,353	(1,270)	-53.97
4. Banco di Sardegna s.p.a.	83,844	53,431	30,413	56.92
5. Cassa di Risparmio di Bra s.p.a.	11,559	14,603	(3,044)	-20.85
6. Cassa di Risparmio di Saluzzo s.p.a.	2,230	2,724	(494)	-18.14
Total banks	**496,236**	**591,817**	**(95,581)**	**-16.15**
Other companies and consolidation adjustments	39,739	27,933	11,806	42.27
Total	**535,975**	**619,750**	**(83,775)**	**-13.52**

The total cost of credit at 31 December 2017 comes to 112 bps (136 bps at 31 December 2016).

The net adjustments made to "Financial assets available for sale" amounted to Euro 104.6 million (Euro 51.8 million at 31 December 2016) and refer to the recognition of impairment losses, in accordance with the accounting policies adopted by the Group, recorded for Euro 38.8 million in the portfolio of equity instruments (in particular for the investment in the IDGF Voluntary Scheme for the Caricesena, Carim and Carismi operation for Euro 29.3 million, as well as for the writedown of Release s.p.a. for Euro 7 million), for Euro 61.4 million in the UCITS portfolio (mainly relating to the Atlante Fund units for Euro 52.9 million), plus Euro 4.4 million of a subordinated debt security in application of an extremely prudent policy for the measurement of financial assets.

Net profit from financial activities

The net profit from financial activities of Euro 1,324.7 million is down by 2.16% on 31 December 2016.

Operating costs

Operating costs amount to Euro 1,306.6 million, 0.93% down compared with 2016. The main components of operating costs are as follows.

"Administrative expenses – a) payroll costs", Euro 783.5 million, are up by 1.86% compared with the previous year; the acquisition of Nuova Carife s.p.a. offset the positive effect created by the departure of a large number of employees under the Redundancy Incentive Plan and the Solidarity Fund provided for in the current 2015-2017 Business Plan, already fully expensed in 2015.

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"Administrative expenses – b) other administrative expenses" amount to Euro 589.5 million, a decrease of 4.01% compared with the previous year; net of tax recoveries allocated to *"Other operating charges/income"* of Euro 126.2 million (Euro 118.7 million at 31 December 2016), contributions to the Resolution Fund (SRF) of Euro 15.9 million (Euro 50 million at 31 December 2016) and to the Deposit Guarantee Scheme (DGS) of Euro 21.9 million (Euro 16.9 million in 2016), they amount to Euro 425.6 million (+2.0% on a consistent basis compared with 31 December 2016).

"Net provisions for risks and charges" (Euro 30.6 million) are up by Euro 1.9 million.

"Net impairment losses on tangible and intangible assets" amount to Euro 87.4 million (Euro 80.6 million at 31 December 2016), influenced by writedowns on property owned by Euro 8 million (Euro 9.4 million at 31 December 2016).

(in thousands of Euro)

Operating costs	31.12.2017	31.12.2016	Change	% Change
1. BPER Banca S.p.A.	938,557	931,731	6,826	0.73
2. Bper (Europe) International s.a.	4,109	3,611	498	13.79
3. Banca di Sassari s.p.a.	32,434	52,174	(19,740)	-37.83
4. Banco di Sardegna s.p.a.	258,185	266,918	(8,733)	-3.27
5. Cassa di Risparmio di Bra s.p.a.	22,282	23,991	(1,709)	-7.12
6. Cassa di Risparmio di Saluzzo s.p.a.	19,911	7,000	12,911	184.44
Total banks	**1,275,478**	**1,285,425**	**(9,947)**	**-0.77**
Other companies and consolidation adjustments	31,149	33,424	(2,275)	-6.81
Total	**1,306,627**	**1,318,849**	**(12,222)**	**-0.93**

Profit (loss) from equity investments

"Profit (loss) from equity investments" has a positive balance of Euro 18.5 million, helped by the result from investments measured using the equity method of Euro 23.2 million but then hit by writedowns following impairment testing of the investments in Cassa di Risparmio di Savigliano (Euro 2.8 million), Polo Campania s.r.l. (Euro 1.1 million), Italiana Valorizzazioni Immobiliari s.r.l. (Euro 0.5 million), Galilei Immobiliare s.r.l. (Euro 0.1 million) and Sofipo s.a. in liquidation (Euro 0.1 million), in addition to net losses from the sale of investments of Euro 0.2 million.

Write-up/writedown of goodwill

Impairment testing, as required by IAS 36, has shown the need for a writedown of goodwill relating to Banco di Sardegna of Euro 26.7 million and to Sardaleasing of Euro 1.7 million.

Badwill

This caption includes the badwill - being the difference between the purchase price and the fair value of the acquired assets and liabilities - generated by the acquisition of Nuova Carife. The amount determined at the end of the Purchase Price Allocation (PPA) process amounted to Euro 190.9 million.

Net profit

The profit from current operations before tax amounts to Euro 199.1 million (Euro 10.5 million at 31 December 2016).
Income taxes amounted to Euro 22.2 million, giving an effective tax rate of 11.17%, positively influenced in particular by the non-taxability of the badwill arising from the business combination, as explained in "Significant events and strategic transactions", by the reduced taxation (Pex regime) on the gain on sale of equity interests and AFS securities, and by ACE. These positive effects were only partly offset by the non-recognition of deferred tax assets on tax losses, goodwill impairment and other minor charges.
The overall result, net of taxes, was a profit of Euro 176.9 million (Euro 15.8 million at 31 December 2016). The profit attributable to minority interests amounts to Euro 0.4 million (Euro 1.5 million at 31 December 2016).
The net profit attributable to the Parent Company, net of minority interests, is Euro 176.4 million (Euro 14.3 million at 31 December 2016).

(in thousands of Euro)

Net profit	31.12.2017	31.12.2016	Change	% Change
1. BPER Banca S.p.A.	208,844	18,699	190,145	--
2. Bper (Europe) International s.a.	2,916	1,616	1,300	80.45
3. Banca di Sassari s.p.a.	4,930	20,701	(15,771)	-76.18
4. Banco di Sardegna s.p.a.	8,884	71,515	(62,631)	-87.58
5. Cassa di Risparmio di Bra s.p.a.	430	(864)	1,294	-149.77
6. Cassa di Risparmio di Saluzzo s.p.a.	960	(3,452)	4,412	-127.81
Total banks	**226,964**	**108,215**	**118,749**	**109.73**
Other companies and consolidation adjustments	(50,526)	(93,916)	43,390	-46.20
Total	**176,438**	**14,299**	**162,139**	**--**

6.5 Employees

Employees	31.12.2017	31.12.2016	Change
1. BPER Banca S.p.A.	8,323	8,054	269
2. Bper (Europe) International s.a.	18	18	-
3. Banca di Sassari s.p.a.	134	138	(4)
4. Banco di Sardegna s.p.a.	2,451	2,697	(246)
5. Cassa di Risparmio di Bra s.p.a.	168	178	(10)
6. Cassa di Risparmio di Saluzzo s.p.a.	185	198	(13)
Total banks	**11,279**	**11,283**	**(4)**
Subsidiaries consolidated line-by-line	374	352	22
Total of balance sheet	**11,653**	**11,635**	**18**

The number of employees does not include staff on leave.
On a consistent comparative basis, without considering the acquisition of Nuova Cassa di Risparmio di Ferrara by the Group, the number of employees has decreased due, in the main, to implementation of the agreement on redundancy incentives and membership of the Solidarity Fund signed with the trade unions on 14 August 2015.
The number of employees indicated for each bank takes account of staff seconded to other Group companies.
In particular, the Group companies' employees at 31 December 2017 include 1,463 persons seconded within the Group (1,420 at 31 December 2016), of which 1,061 are with BPER Services s.cons.p.a. (1,042 at 31 December 2016) and 163 are with BPER Credit Management s.cons.p.a. (181 at 31 December 2016).

6.6 Geographical organisation

Branches	31.12.2017	31.12.2016	Change
1. BPER Banca S.p.A.	827	779	48
2. Banco di Sardegna s.p.a.	336	366	(30)
3. Cassa di Risparmio di Bra s.p.a.	28	28	-
4. Cassa di Risparmio di Saluzzo s.p.a.	27	27	-
Total commercial banks	**1,218**	**1,200**	**18**
6. Bper (Europe) International s.a. - Lussemburgo	1	1	-
Total	**1,219**	**1,201**	**18**

The increase in the branches of the Parent Company BPER Banca is due to the branches acquired from the merger of Nuova Cassa di Risparmio di Ferrara.

7. Principal risks and uncertainties

7.1 Risk management

BPER Banca Group establishes its risk governance, assumption, control and monitoring policies on the basis of guidelines approved by the Parent Company's Board of Directors and that are applicable to all organisational units of the Parent Company and other Group companies; these regulate the management and control process, which is designed to cope with the risks to which they are exposed, as well as the roles of the bodies and functions involved.
To ensure the achievement of strategic and operational objectives, BPER Banca Group considers its Internal Control System (governed by "Group Guidelines - Internal Control System", in line with Bank of Italy Circular 285 of 17 December 2013 – Supervisory instructions for banks) to be a fundamental element of the risk governance system and as a means of ensuring that the business is run in line with its corporate strategies and policies, as well as in compliance with concepts of sound and prudent management.
This system is organised to improve profitability, protect its financial strength, ensure compliance with internal and external regulations and codes of conduct, promote transparency towards the market by managing the risks taken on by the Group and, more in general, to ensure that the business is run in accordance with the Group's strategies and declared risk appetite. BPER Group's internal control system involves corporate bodies, control functions and line structures and is designed to take account of the business specifics of each Group Company and to comply with the principles established by the Supervisory Authorities, being:

- proportionality in the application of rules according to size and operations;
- graduality in progressively transferring to more advanced methodologies and processes for measuring risk and the capital that is available as a result;
- unity in the definition of the approaches used by the various functions foreseen in the Group's organisational system;
- economy: containment of costs for intermediaries.

The BPER Banca Group uses the Risk Appetite Framework (RAF) to monitor the risk profile deemed acceptable for implementation of the business strategies adopted by the Group (for further details, see section 8.2 "Governance of risks (RAF)").
To ensure the implementation, BPER Banca Group, in compliance with prudential supervisory regulations (Bank of Italy Circular no. 285 of 7 December 2013), performs the identification of major Pillar 1 and Pillar 2 risks to which it is or could be exposed by taking account of its operations and markets, in a current and future perspective.
The risk identification process forms a basis for regular updates to the "Group risk map", which establishes the scope of major risks in a current and future perspective, whereby the "Group risk map" is acknowledged to be of value for the management and governance of risks.
In line with the RAF defined by the Parent Company, for each risk identified as significant, the Board of Directors of BPER Banca sets, with a special "governance policy", the risk objectives, the related risk exposure and operational limits and the "process of risk assumption and management".

In line with the relevant regulations, the Corporate Bodies have a central role in the process of risk governance, providing for certain responsibilities with regard to the design, implementation, evaluation and external communication, as part of the development of the Group's system of internal controls.
The Parent Company's Board of Directors therefore performs the strategic supervision function at Group level, intervening in all phases envisaged by the model and, by issuing strategic directives, involving the Boards of Directors of the individual Group Banks and Companies for the activities that are their responsibility, i.e.:

- it gives the CEO adequate powers and resources to implement the strategic guidelines, the RAF and risk governance policies defined by the Board of Directors of the Parent Company in the design of the internal control system and is responsible for taking all the necessary steps to ensure that the organisation and its internal control system comply with the principles and requirements laid down in regulatory provisions, monitoring compliance on an ongoing basis;
- it receives, either directly or through the CEO, the information flows required to gain a full awareness of the various risk factors and the ability to govern them, as well as to plan and implement interventions to ensure the compliance and adequacy of the Internal Control System.

The various bodies of the Parent Company with delegated powers (i.e. the Executive Committee, Chief Executive Officer and Executive Board, in other words those with appropriate powers to carry on the functions of day-to-day management) perform the management function in all stages of the model. Added to these are the delegated bodies of the individual Companies that ensure implementation of management's strategies and policies at their own level.
The Boards of Statutory Auditors of the Parent Company and of Group companies, each to the extent of its own responsibilities, carry out the assessment of the internal control system foreseen by law and the articles of association and have the responsibility of ensuring the completeness, suitability and functionality of the internal control system and of the RAF. The results of these assessments are brought to the attention of the respective Boards of Directors.
Risk governance is also assisted by the articulated and consolidated system of Group Committees, which meet on a regular basis (also expanded to include the General Management of Group Banks), monitoring of the overall risk profile of the Group and contributing, together with the Parent Company's Board of Directors, to the definition of the risk management policies.
The following tasks are generally assigned to the Committees:

- to communicate and share information on changes in the Group's risk profile;
- to implement the function of guidance and coordination entrusted to the Parent Company;
- to support the competent Corporate Bodies in the area of risk management;
- to identify and propose strategic guidelines and policies for the management of Group risk.

In particular, the Risks Committee, a body with consultative powers, assists the Chief Executive Officer in the determination and implementation of the risk appetite framework, of risk governance policies and of the capital adequacy process for the Group and the companies pertaining thereto, as well as in the preparation of management reporting on risks and development and monitoring of the system of operating limits.

To this effect, the Committee is responsible for examining the following issues:

- risk capacity, risk appetite, risk tolerance, risk profile and risk limits under both normal and stressed conditions;

- consistency of and constant link between and among the business model, the strategic plan, the RAF, ICAAP and ILAAP processes, the budget, business administration and the internal control system;
- the risk management process indicates the series of rules, procedures, methodologies and models, resources (human, technological and organisational) and control activities to identify, measure or assess, monitor, prevent or mitigate and to communicate, by means of a specific reporting process, all risks assumed or assumable by the Group.

The Risks Committee is also responsible for the examination of methodologies, tools, reporting and internal regulations attributable to the Risk Control, Compliance, Anti-Money Laundering and Validation functions and to the Manager responsible for preparing the company's financial reports (hereinafter Manager responsible).

Decentralised at the individual Group companies there are people who act as "Contacts" for all of the second level control functions, in addition to the manager responsible for preparing the Company's financial report for the area, for the following purposes:

- overseeing operations in line with the Parent Company's duties of guidance and coordination, taking into account specific local aspects and the type of business carried on by individual Group companies;
- ensuring effective operational links between the Parent Company and each Group company;
- all communication flows to corporate bodies.

With respect to reporting, the Group has prepared an organic set of periodic reports to ensure the provision of adequate information to the Corporate Bodies of the Parent Company and the Group Banks about their risk exposure. The analyses contained in these reports are discussed in the various committees and are the basis of the assessment of capital adequacy, subsequently brought to the attention of Parent Company's Board of Directors.

Credit risk

With regard to credit risk, the measurements made by the internal rating system are used for management reporting purposes. In particular:

- on a quarterly basis we elaborate the Credit Risk Book, which is the basic information support for the Risk Committee and contains detailed reports at a consolidated and individual company level;
- a summary report is prepared on a monthly basis, including the monitoring of supervisory thresholds set for credit and concentration risk;
- a network reporting tool is prepared, characterised by different views of the loan portfolio, with different levels of aggregation (Branch, Regional Division, General Management, Bank and Group) and hierarchical visibility cones.

Important activities in 2017 concerning the "Basel 2" project included the following:

- introduction of rating models for the Holding and Financial business (non-banking) segments;
- the LGD (Loss Given Default) model update;
- recalibration of the risk models used to calculate the PD (Probability of Default) for corporate and retail counterparties;

- adjustment of credit risk models for IFRS 9;
- performance of activities requested by the ECB at the time when internal models were being validated with subsequent elimination of the add-ons to risk-weighted assets.

Advanced methodologies (AIRB) based on internal ratings have long been used as part of the process of defining capital adequacy (ICAAP).

Following the ECB's authorisation in June 2016 to use internal models for measuring capital requirements for credit risk, starting from the June 2016 Regulatory Reports, the BPER Banca Group began using AIRB methods for the banks included in the scope of the first validation (BPER Banca, Banco di Sardegna and Banca di Sassari) for the following asset classes:

- "Exposures to retail businesses";
- "Exposure to companies".

The other Group companies and asset classes for which Permanent Partial Use (PPU) is not required or which are not included in the roll-out plan, the BPER Banca Group will continue to use the Standardised Approach and the external ratings supplied by the ECAIs (external agencies for the assessment of creditworthiness) recognised by the Supervisory Authority. In particular, the Group used the Cerved Rating for "Exposures to companies," the Scope Ratings AG Rating for "Exposures to central administrations or central banks", the Fitch Rating for "Financial Instruments" lodged in guarantee, "Exposures to UCITS" and "Exposures to securitisation".

Financial risk

An analytical system is used to measure, monitor and report on market, counterparty, liquidity and interest-rate risks. Guidance on management policies for market risk (VaR - Value at Risk), interest rate risk (ALM) and liquidity risk (operational and structural) is provided by the ALCO and Finance Committee and the Liquidity Committee. Operational reports are prepared on the risk profile, with frequencies varying from daily to monthly dependent on the characteristics of each risk that is monitored. Every quarter, an overall report on financial risks is presented to the Risks Committee and the Board of Directors.

Operational risk

As regards the governance of operational risk, starting from the supervisory reports at 31 December 2013, the BPER Banca Group adopted the Traditional Standardised Approach (TSA) to calculate the capital requirement for operational risk.

The model of operational risk governance and management adopted by the BPER Banca Group, designed to identify, assess, monitor, mitigate and report operational risks to the appropriate hierarchical levels, is formalised in specific internal rules. It provides for the centralised management at the Parent Company by the Credit and Operational Risk Department, which has a Contact of the Risk Management Department in place at all Group banks and companies.

The BPER Banca Group has specific criteria for allocating the relevant indicator to the lines of business foreseen in the regulations. The operational risk management and measurement system adopted by the BPER Banca Group is ensured by:

- the Loss Data Collection process: a system for collecting and recording loss events resulting from operational risks;
- risk self assessment methodology: measurement of exposures subject to operational risk;

- system of reporting and communication to the Board of Directors and Senior Management, together with procedures to undertake appropriate mitigation actions based on the information flows sent.

Integrated analysis of the loss data collection and self assessment make it possible to identify areas of vulnerability in which operating losses are more concentrated, in order to understand the underlying causes and highlight the opportunity for corrective action, also by means of insurance cover (external transfer of risk).

Since 2015, the BPER Banca Group has implemented an analytical framework for IT risk, with the aim of providing a representation of the current situation and the adjustment interventions necessary to avoid exceeding the threshold set for the Group's risk appetite.
Specific analysis is conducted on the security of internet payments.

Reputational risk

Commencing from 2017, the BPER Banca Group has implemented a framework for the management of reputational risk in order to monitor, manage and periodically present in an organised manner the position of the Group in relation to this risk, together with the corrective actions needed to mitigate any vulnerabilities identified.
The principal elements comprising the framework for the management of reputational risk are described and formalised in the "Group policy on the governance of reputational risk". This document centralises the management of this activity within the Operations and Credit Risk Department of the Parent Company, and specifies the responsibilities of the organisational units within the Parent Company and the Group companies concerned, both under normal operating conditions and should any "critical reputational events" occur.

The system of reputational risk management adopted by the BPER Banca Group has the following components:

- identification and assessment of risk based on Reputational Data Collection and Reputational Self Assessment;
- monitoring of the Group's exposure to reputational risk using a series of specific Key Risk Indicators;
- management of critical reputational events (*escalation*): management of particularly critical reputational events, by means of a functional escalation process and the determination of short and long term responses and mitigation;
- reporting: preparation of suitable reports, based on the various processes/sub-processes comprising the framework, in order to present in summary form the outcome of the risk management activities to all bodies and functions concerned.

No objectives or operational or exposure limits have been defined for this risk, as no internal capital is allocated to cover it.

Business Continuity

In 2017, the activities envisaged by the ordinary management of Business Continuity were completed, which meant updating the critical processes contained in the Business Continuity Plan of the Parent Company and of the Banks and Companies of the Banking Group.

New elements in the 2017 process concerned:

- completion of recovery sites (where critical processes can be continued if the main facilities are unavailable);
- activation and identification of new roles called "Business Continuity Contacts" (internal contact people who have the responsibility to relate with service providers in the event of accidents or disservices and to check and monitor that contractual requirements are met);
- extension of the scope of analysis of the critical nature of processes, with the aim of investigating recovery priorities in a three to five day period (while maintaining the three-day threshold for the definition of continuity solutions);
- further rationalisation of the framework of the "Continuity Plan" document to make it more accessible to users in the event of a crisis or emergency;
- activation of a specific IT project to develop an integrated solution for handling emergencies.

Training also takes on particular importance, as specific training sessions have been experimented and perfected for the heads of the Organisational Units characterised by "critical" processes, so that operational functions have been made even more aware about crisis management.

As regards the annual test plan, 5 business continuity tests were carried out with positive results (3 exercises related to the unavailability of sites and 2 carried out in walk-through mode for scenarios involving the unavailability of a key supplier and the unavailability of the primary facility) and 6 disaster recovery tests (scenario involving the unavailability of information systems).

The annual analysis of the Bank's critical processes also highlighted the following residual risks, brought to the attention of the Risk Committee on 23 November 2017 and then to the Board of Directors on 28 November 2017:

- compared with the scenario of unavailability of critical information systems, it should be noted that the solution prepared by BPER Services ensures recovery within four hours in the event of partial destruction of the Data Centre and within eight hours in the event of total destruction with disaster recovery at CSE (Group risk);
- with respect to the unavailability of key personnel, it is not always possible to identify back-up resources for processes that need highly specialised non-replicable skills;
- with respect to the unavailability of suppliers, the main business continuity contacts have been identified and contracts are being checked and updated if they are not aligned with the contractual clauses that guarantee the continuity of the services provided by them, even in specific emergency/crisis scenarios;
- with regard to the security accident scenario, the IT security accident management process, which was established by the Parent Company Process-Owner with a four-hour recovery time, was identified at eight hours for the Group Company Numera.

Lastly, it should be noted that in the spring of 2017 BPER Banca's Business Continuity team was awarded 1st place in the "Most Effective Recovery" category at the BCI Awards 2017 in Edinburgh. It was one of the top six in the world-wide finals for the category, held in London in November 2017, a sign of the Company's strong focus on process resilience.

7.2 Disclosure of exposures to sovereign debt held by listed companies

Details are provided below of bonds issued by central and local governments and by government entities, as well as loans granted to them as required by CONSOB Communication DEM/11070007 of 5 August 2011.

Debt securities

Issuer	Rating	Cat	Nominal value	Book value	Fair Value	AFS Reserves	%
Governments (*):			**5,636,760**	**6,083,499**	**6,212,155**	**41,550**	**96.45%**
Italy	BBB		**4,897,179**	**5,332,605**	**5,460,123**	**27,263**	**84.55%**
		HFT	223,362	261,962	261,962	#	
		CFV	10,000	12,075	12,075	#	
		AFS	3,381,317	3,626,744	3,626,744	27,263	
		HTM	1,282,500	1,431,824	1,559,342	#	
		L/R	-	-	-	#	
U.S.A.	AAA		**356,458**	**352,860**	**352,860**	**(2,035)**	**5.59%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	356,458	352,860	352,860	(2,035)	
		HTM	-	-	-	#	
		L/R	-	-	-	#	
U.K.	AA		**33,813**	**36,513**	**36,513**	**985**	**0.58%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	33,813	36,513	36,513	985	
		HTM	-	-	-	#	
		L/R	-	-	-	#	
European Stability Fund	AA		**215,000**	**229,392**	**229,392**	**10,669**	**3.64%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	215,000	229,392	229,392	10,669	
		HTM	-	-	-	#	
		L/R	-	-	-	#	

Issuer	Rating	Cat	Nominal value	Book value	Fair Value	AFS Reserves	%
Austria	AA+		**10,387**	**10,571**	**10,571**	**319**	**0.17%**
		HFT	1,387	1,454	1,454	#	
		CFV	-	-	-	#	
		AFS	9,000	9,117	9,117	319	
		HTM	-	-	-	#	
		L/R	-	-	-	#	
Portugal	BBB		**10,392**	**10,684**	**11,389**	**-**	**0.17%**
		HFT	392	427	427	#	
		CFV	-	-	-	#	
		AFS	-	-	-	-	
		HTM	10,000	10,257	10,962	#	
		L/R	-	-	-	#	
France	AA		**100,000**	**97,484**	**97,484**	**4,442**	**1.55%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	100,000	97,484	97,484	4,442	
		HTM	-	-	-	#	
		L/R	-	-	-	#	
Other			**13,531**	**13,390**	**13,823**	**(93)**	**0.21%**
		HFT	192	168	168	#	
		CFV	-	-	-	#	
		AFS	8,339	8,197	8,197	(93)	
		HTM	5,000	5,025	5,458	#	
		L/R	-	-	-	#	
Central Banks:			**20,845**	**20,903**	**20,903**	**(18)**	**0.33%**
U.K.	AA		**20,845**	**20,903**	**20,903**	**(18)**	**0.33%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	20,845	20,903	20,903	(18)	
		HTM	-	-	-	#	
		L/R	-	-	-	#	

Issuer	Rating	Cat	Nominal value	Book value	Fair Value	AFS Reserves	%
Other public entities :			**201,523**	**202,769**	**204,547**	**315**	**3.21%**
Italy	-		**2,645**	**2,644**	**2,860**	**18**	**0.04%**
		HFT	4	4	4	#	
		CFV	-	-	-	#	
		AFS	945	944	944	18	
		HTM	-	-	-	#	
		L/R	1,696	1,696	1,912	#	
Canada	-		**64,676**	**64,742**	**64,742**	**303**	**1.03%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	64,676	64,742	64,742	303	
		HTM	-	-	-	#	
		L/R	-	-	-	#	
Japan	-		**25,849**	**25,360**	**25,359**	**(602)**	**0.40%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	25,849	25,360	25,359	(602)	
		HTM	-	-	-	#	
		L/R	-	-	-	#	
France	-		**108,353**	**110,023**	**111,586**	**596**	**1.74%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	83,353	84,982	84,982	596	
		HTM	25,000	25,041	26,604	#	
		L/R	-	-	-	#	
Total as at 31.12.2017			**5,859,128**	**6,307,171**	**6,437,605**	**41,847**	**100.00%**

(*) The individual percentages shown in the above table may not agree with the total because of roundings.
The ratings indicated are those of Fitch Ratings at 31 December 2017.

Loans and advances

Issuer	*Rating*	Cat	Nominal value	Book value	*Fair value*	AFS Reserves	%
Governments:			**1,915,304**	**1,915,304**	**1,914,349**	**-**	**82.70%**
Italy	BBB		**1,915,304**	**1,915,304**	**1,914,349**	**-**	**82.70%**
		HFT				#	
		CFV				#	
		AFS				-	
		HTM				#	
		L/R	1,915,304	1,915,304	1,914,349	#	
Other public entities:			**400,589**	**400,589**	**411,810**	**-**	**17.30%**
Italy	-		**395,743**	**395,743**	**406,964**	**-**	**17.09%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	-	-	-	-	
		HTM	-	-	-	#	
		L/R	395,743	395,743	406,964	#	
Algeria	-		**4,846**	**4,846**	**4,846**	**-**	**0.21%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	-	-	-	-	
		HTM	-	-	-	#	
		L/R	4,846	4,846	4,846	#	
Total loans			**2,315,893**	**2,315,893**	**2,326,159**	**-**	**100.00%**

The ratings indicated are those of Scope Ratings at 31 December 2017.

Based on their "Book Value", repayment of these exposures is distributed as follows:

	on demand	until 1 year	1 to 5 years	over 5 years	Total
Debt securities	141	876,744	2,471,682	2,958,604	**6,307,171**
Loans	263,643	265,884	448,531	1,337,835	**2,315,893**
Total	**263,784**	**1,142,628**	**2,920,213**	**4,296,439**	**8,623,064**

7.3 Main litigation and legal proceedings pending

At 31 December 2017, the total risks of tax disputes covered by the provisions included in "Provisions for risks and charges" amounted to Euro 3,033 thousand, almost all attributable to the Parent Company.
Details are provided below of the main disputes and of the status of the main issues mentioned in previous financial statements, to which reference should be made for further information.

a) BPER Banca (formerly Emro Finance Ireland Ltd) tax years 2005-2009

No new elements have arisen at the time of preparing this report. Please refer to the consolidated financial statements at 31 December 2016.

b) BPER Banca (formerly Em.Ro. popolare s.p.a) tax years 2008-2009

On 28 September 2017, the Bank adopted the procedure for the facilitated settlement of tax disputes, introduced by art. 11 of Decree Law no. 50/2017, converted by Law no. 96 of 21 June 2017 and subsequent amendments and additions, with a negative effect on the income statement of approximately Euro 189 thousand.

c) BPER Banca (formerly Cassa di Risparmio della Provincia dell'Aquila and former Banca popolare di Lanciano e Sulmona): subsidised loans relating to the "Abruzzo earthquake" for the 2010-2011-2012 tax years

This is a dispute relating to the three-year period from 2010 to 2012, involving the reclassification for tax purposes of subsidised loans for the reconstruction and purchase of buildings used as principal place of residence damaged by the earthquake of 6 April 2009, provided by Decree Law no. 39/2009, converted into law with modification of art. 1, paragraph 1 of Law 77/2009 (so-called "earthquake loans").
The appeal to the Abruzzo regional tax commission against the adverse first-level rulings was unsuccessful.
The Bank has appealed before the Court of Cassation.
At the reporting date, the related provision amounts to Euro 1,410 thousand.

d) BPER Banca (formerly Meliorbanca): writedown of agricultural loans as per art. 106 of the Consolidated Income Tax Law, tax year 1999

This is a dispute arising from the former Meliorbanca s.p.a. concerning the alleged unlawful deduction for IRPEG and IRAP purposes of writedowns on agricultural loans made pursuant to art. 106 paragraph 3 of the Consolidated Income Tax Law.
After two rounds in the Company's favour, the Supreme Court unexpectedly upheld the arguments of the Tax Authorities, quashing the second instance sentence in the Company's favour and referring the case to another section of the Lombardy Regional Tax Commission.
On 22 June 2017, the Bank was notified of the partially favourable ruling, which cancelled the penalties charged.
On 28 September 2017, the Bank adopted the procedure for the facilitated settlement of tax disputes, introduced by art. 11 of Decree Law 50/2017, converted by Law 96 of 21 June 2017 and subsequent amendments and additions, which made the above-mentioned cancellation definitive.
At 31 December 2017, there is a provision of Euro 869 thousand for the tax still to be paid.

e) BPER Banca: litigation with the Tax Authorities: "IRES - IRAP 2012"

On 3 April 2017, the Emilia-Romagna Regional Tax Authorities informed BPER Banca of two partial notices of assessment pursuant to article 41-bis of Presidential Decree no. 600/73, aimed at the recovery of higher IRES and IRAP, plus sanctions and interest, for a total of Euro 1,755 thousand.
Disputes concern alleged violations of transfer pricing (art. 110, paragraph 7 of the Consolidated Income Tax Law) and the principle of correlation of costs and revenues for IRAP purposes (art. 6 of Legislative Decree no. 446/97).
No agreement was reached through the amicable settlement procedure, which had been activated by the Bank as a preventive measure; so on 29 September 2017, appeals were filed against the assessment notices in order to have the matter heard before the Provincial Tax Commission of Bologna.
The Bank does not currently believe that this matter will have adverse consequences.

f) BPER Banca (formerly Nuova Cassa di risparmio di Ferrara s.p.a.): VAT on nautical leases

On 29 September 2017, the Bank adopted the procedure for the facilitated settlement of three tax disputes, introduced by art. 11 of Decree Law 50/2017, converted by Law 96 of 21 June 2017 and subsequent amendments and additions, relating to the application of VAT on nautical lease contracts for the years 2003, 2005 and 2006.
Overall, the tax claimed amounted to Euro 1,721 thousand, net of interest, for which provisions for the entire amount had been set aside, given the probability that the sentence would go against the company.
Settlement of the dispute had a positive effect on the income statement of Euro 1,014 thousand.

g) Banco di Sardegna s.p.a.: audits by the Tax Authorities

17 November 2017 saw completion of the procedure activated after the notification on 25 July 2017 of the IRAP assessment relating to the 2012 tax period, issued by the Tax Authorities following a general tax audit at Banco di Sardegna in 2015, which the Bank accepted.
Considering that the finding on the participation of writebacks of default interest has no effect on the tax periods before or after the one referred to in the IRAP assessment and the current regulatory framework, it was decided to agree with this finding, as well as other minor findings made for IRES purposes in a separate notice, which was accepted so as to benefit from relief provided by law.
Overall, the cost for the year amounted to Euro 405 thousand, with a reduction of Euro 120 thousand compared with the Tax Authorities' initial claims.

Banco di Sardegna s.p.a. - Litigation concerning Istituto per il Credito Sportivo

There are no changes with respect to the disclosures published in the consolidated financial statements at 31 December 2016, to which reference is made for further information.

Banco di Sardegna s.p.a. - IRAP rebate for 2008-2012

Following the reform of the IRAP tax base that came into force in 2005, establishing the irrelevance for the purposes of determining the IRAP tax base of adjustments and write-backs on loans, the Tax Authorities declined the relevance of the portions of adjustments (sevenths and then ninths) pertaining to periods prior to the reform, for which the deduction had been postponed in accordance with the previous regulations.
Banco di Sardegna, while complying with the criterion dictated by the Financial Administration, activated the reimbursement procedure for 2008-2012 and challenged the rejection order before the Provincial

Tax Commission of Cagliari, which sentenced the Tax Authorities to reimburse taxes for Euro 1.8 million paid in the years 2008-2012, plus interest and expenses.
All of the judgements were promptly appealed by the Tax Authorities, which, having taken note of the stronger orientation in favour of Banco di Sardegna's arguments, recently agreed to settle the dispute by waiving the appeal providing Banco di Sardegna waived the legal expenses at the same time. As a result of the settlement of the dispute, benefits were recognised in the income statement for the year for a total of Euro 2.1 million.

With respect to other ongoing tax disputes, no events have occurred that affect their previous status.

BPER Banca (formerly Cassa di Risparmio dell'Aquila) - Investigation into what the media have labelled the "Parioli scam"

As regards what the media have labelled the "Parioli scam", in the civil case brought by the alleged victims, the Bank is defended by a special team of lawyers formed and coordinated by Prof. Francesco Astone of Rome, with whom an agreement has been signed. These proceedings are at a preliminary phase, although rulings have been issued for 14 of them. With the first ruling, in chronological order, BPER Banca was sentenced to pay damages of Euro 16 thousand. With regard to this decision, for which the reasons appear to be groundless, the Bank presented its appeal based on a series of reasons. The subsequent thirteen rulings issued in 2016 and 2017 have all rejected the applications with, in some cases, the plaintiffs being required to pay the litigation expenses incurred by the Bank. The respective plaintiffs have appealed against eleven of these rulings, which were in favour of the Bank, to the civil Court of Appeal of Rome. Given the above, it is currently believed that there is only a remote possibility that the Bank will suffer adverse consequences as a result of this matter; consequently, in accordance with IAS 37, it was decided not to make any provision.

BPER Banca – Judgement and proceedings of the Court of Modena with regard to the Shareholders' Meeting of 16 April 2011

You are reminded that the Court of Modena, in its judgement of 24 February 2012, cancelled the shareholders' resolution of 16 April 2011 for partial renewal of the Board of Directors of BPER, which appointed as Directors for the three-year period 2011-2013 Piero Ferrari, Alberto Marri, Giuseppe Lusignani, Fioravante Montanari, Erminio Spallanzani and Manfredi Luongo.
The Bank appealed against this judgement, serving notice on 19 June 2012 and highlighting the serious argumentative gaps in it, also with reference to key legal questions.
In the appeal proceedings, at the hearing of 16 January 2013, the Bologna "Corte d'Appello" set the date for the next hearing on 21 October 2014 (subsequently postponed to 11 October 2016) for the statement of conclusions. Statements of conclusions were presented at the hearing of 11 October 2016. The judge set the terms for the statements of conclusions to be lodged.
In ruling no. 1105/2017 published on 15 May 2017, the Bologna "Corte d'Appello" overturned Modena Court ruling no. 396/2012 and rejected all the applications made by the plaintiff shareholders, who were required to pay the litigation expenses.

On the criminal front, in accepting the request made by the public prosecutor that the case should be closed, the investigating judge Mr. Romito of Modena, issued on 12 July 2016 an order with which he closed the lawsuit taken against officers and shareholders of BPER Banca accused of conduct envisaged and sanctioned by art. 2636 of the Italian Civil Code.

8. The internal control system

8.1 Introduction

The Board of Directors of the Parent Company[28] has established internal control guidelines for the entire BPER Banca Group by issuing and implementing "Guidelines for the Group internal control system"[29], in line with the new Regulations for the prudential supervision of banks (Bank of Italy Circular 285 of 17 December 2013 – "Supervisory Instructions for Banks" and subsequent updates).
This system is to be understood as a set of activities organised to:

- improve profitability;
- protect its financial strength;
- ensure compliance with internal and external regulations and codes of conduct;
- promote transparency towards the market by managing the risks taken on by the Group and, more in general, to ensure that the business is run in accordance with the Group's strategies and declared risk appetite.

Within the BPER Banca Group, the System of internal controls is established on three levels:

- the "Group internal control system"
- the "Internal control system of the company"
- the "Internal control system of the Group".

"Group internal control system" means the set of rules, functions, structures, resources, processes and procedures that enable the parent company to carry out the strategic, management and technical and operational control.
"Internal control system of the company" (and, therefore, specific to each company of the Group, including the Parent Company) means the set of rules, functions, structures, resources, processes and procedures ("structure of the internal control system") designed to ensure that "behaviour" is aligned with set standards ("functioning of the internal control system").
"Internal control system of the Group" means the combination of the various "Internal control systems of companies" and the "Group internal control system".
The Parent Company provides the Group with an internal control system that permits effective control over the strategic choices of the Group as a whole and balanced management of the individual components thereof.[30]
In particular, the Parent Company is responsible for the governance, design and implementation of the "Group internal control system".
The "Internal control system of the BPER Group" is designed to take account of the business specifics of each Group Company and comply with the principles established by the Supervisory Authorities, being:

- proportionality in the application of rules according to size and operations;

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[28] Throughout the chapter, any reference to the Board of Directors or the Chief Executive Officer or any other Corporate Bodies are to be understood as referring to the Parent Company BPER Banca, unless otherwise specified.
[29] Last update approved by Board of Directors of the Parent Company on 29 November 2016
[30] Supervisory instructions for banks – Circular 285/2013 of the Bank of Italy, Part I, Title IV, Chapter 3, Section 5, paragraph 2

- graduality in progressively transferring to more advanced methodologies and processes for measuring risk and the capital that is available as a result;
- unity in the definition of the approaches used by the various functions foreseen in the Group's organisational system;
- economy, defined as containment of costs for intermediaries.

In application of the principles described and as a general rule, the internal control system of the Group envisages outsourcing to the Parent Company the second and third-level control functions of the Italian Group companies; however, as required by the regulations, the latter still remain responsible for their performance.
Group companies are responsible for ensuring that operations are carried out properly, in particular by performing the necessary line controls.
The structure of the internal control system is assessed (structure assessment) by ensuring that the decisions made in terms of rules, procedures and organisational structures are consistent with the requirements of laws and regulations (compliance assessment) and/or industry standards of reference for the goals set and the operations put in place (adequacy assessment).
So the overall evaluation of the internal control system is based on "assessments of the structure" and "functional tests".
The internal control system is designed, implemented and evaluated with reference to the "risk map" that identifies the risks, present and potential, to which the Group is or might be exposed.

8.2 Risk management (RAF)

The Risk Appetite Framework (RAF) forms part of the Group's internal control system and acts as a frame of reference, in terms of methodologies, processes, policies, controls and systems, designed to establish, communicate and monitor the Group's risk appetite, this being understood as the set of values that reflect the Group's risk objectives (or "risk appetite"), tolerance thresholds (or "risk tolerance"), as well as the related operational limits. in both ordinary and stress conditions, which the Group intends to respect in pursuing its strategic guidelines, defining consistency levels and the maximum risk that it is able to take on ("risk capacity").
The BPER Banca Group identifies the Risk Appetite Framework (RAF) as a tool for overseeing the risk profile that the Group intends to take in the implementation of its business strategies, considering it as an essential element to ensure that the risk governance policy and process by which risks are handled comply with the principles of sound and prudent business management.
The RAF takes on the importance of a management tool that not only permits concrete application of the regulations, but also makes it possible to activate synergistic governance of the planning, control and risk management activities. It is also a key element to:

- strengthen the ability to govern business risks, facilitating the development and dissemination of an integrated risk culture;
- ensure alignment between strategic guidelines and the levels of risk assumed, through the formalisation of consistent objectives and limits;
- develop a quick and effective system of monitoring and reporting the risk profile taken on.

The key principles of the RAF are formalised and approved by BPER Banca, which periodically reviews them, ensuring that they are in line with the strategic guidelines, business model and regulatory requirements in force at the time.

Lastly, the Group periodically monitors the overall RAF metrics, in order to control on a timely basis any overruns of the tolerance thresholds and/or risk limits assigned and, if appropriate, handle the necessary communications to the Corporate Bodies and subsequent remedies.
The Group's risk appetite is expressed:

- in specific areas of analysis defined in accordance with the Supervisory Provisions (capital adequacy, liquidity and measures that reflect risk capital or economic capital) and the expectations and interests of other Group stakeholders;
- through summary indicators (RAF metrics) that represent regulatory constraints and the risk profile defined in accordance with the capital adequacy verification process and risk management processes. The RAF metrics are defined at Group level and can be adapted to individual risks of strategic importance for the Bank and other relevant analysis axes identified in the strategic planning process.

More specifically, the RAF management process is split into the following stages:

- set up of the RAF structure: definition of the elements that express the Group's level of risk appetite for measurable and non-measurable risks;
- calibration of measurements for RAF metrics: definition of the calibration rules for RAF metrics and quantification of the levels of risk appetite, risk capacity and risk tolerance, consistent with management's decision in terms of strategic planning and economic/financial forecasting;
- formalisation and approval of the decisions taken within the ambit of the RAF in the Risk Appetite Statement (RAS), which is subject to periodic update;
- declension of the RAF metrics by type of risk or other relevant analysis axes to transfer the levels of risk appetite and risk tolerance to the corporate structures involved in taking on the risk so as to direct operations in a consistent manner;
- monitoring and managing threshold overruns by verifying the trend in the risk profile compared with the risk tolerance, operational limits and risk capacity and consequent activation of measures to reduce any overruns;
- periodic communication and reporting on the evolution of the risk profile compared with the risk appetite, risk tolerance and risk capacity thresholds and on implementation of diversified action plans according to the purpose of the communication and the recipients in terms of the corporate bodies/functions of the Company and the Group.

The process defines the roles and responsibilities of the corporate bodies and functions involved, adopting coordination mechanisms that ensure the effective inclusion of risk appetite within operational activities. In particular, the Group reconciles the RAF, business model, strategic plan, ICAAP and budget in a consistent manner via a complex system of coordination mechanisms.

In line with the RAF process, the Board of Directors of the Parent Company, at its meeting of 28 November 2017, approved the proposal to revise the structure of the RAF and to update the list of indicators. At the subsequent meeting of 19 December 2017, the Board of Directors of the Parent Company proceeded to calibrate the limits and the monitoring thresholds on the set of indicators defined. At the meeting held on 25 January 2018, the process of defining the Risk Appetite Statement was completed with the definition of the qualitative statements for non-measurable risks.

8.3 Development of the internal control system

The Parent Company manages the Group's internal control system through a cyclical process that involves the following phases:

- design;
- implementation;
- measurement;
- communicating outside the Group.

The steps involved in the development process and the related responsibilities of the Corporate Bodies are explained below[31].

Design of the internal control system

The Board of Directors of the Parent Company defines and approves:

- the internal control system of the Parent Company and the Group, ensuring that it is consistent with the strategic guidelines and risk appetite established in the RAF and that it is able to reflect the various types of risk as they evolve and interact;
- the risk objectives, the threshold of tolerance (where identified) and the process of risk governance, to ensure that risks are properly governed and effective control maintained over all strategic decisions of the Group as a whole, along with balanced management of the individual components;
- the remedies needed to restore a normal situation after any overrun of the tolerance thresholds;
- the criteria for identifying significant transactions to be submitted to the risk control function;
- system standards for carrying out all activities.

More specifically, the Board of Directors, with the assistance of the Control and Risks Committee and on proposal of BPER Banca's CEO, establishes and approves for the Group as a whole and for its components:

- the business model, being aware of the risks to which this model exposes the Company and understanding the ways in which risks are identified and assessed; in this context it approves the adoption of internal risk measurement for the determination of capital requirements;
- the corporate control functions, specifying their duties and responsibilities within the Group, the procedures for coordination and collaboration and the information flows between these functions and between them and the Corporate Bodies;
- further internal information flow mechanisms to ensure that the corporate bodies and control functions are fully aware of the various risk factors and have the ability to govern them;
- formalised coordination and liaison procedures between Companies and the Parent Company for all areas of operation;
- the ICAAP and the ILAAP process, identifying the roles and responsibilities assigned to functions and business structures, ensuring consistency with the RAF and rapid adjustment in relation to significant changes in strategic lines, organisational structure and operational context of reference;
- the Recovery Plan of BPER Banca Group;

[31] *Corporate Bodies include all bodies with strategic supervision, management and control functions. The definition of Corporate Body also includes the sub-committees of the Board of Directors ("Board Committees").*

- the process for managing anomalies identified by corporate control functions and by control functions, the activation criteria therefore and those to be adopted for the identification of the priority to be assigned to the analysis, consolidation and implementation of corrective action and the means of doing so, as well as the acceptance – in compliance with the RAF – of the residual risk identified by the control functions;
- policies and processes for the measurement of assets, financial instruments in particular, verifying that they always remain appropriate; it also establishes the Bank's maximum exposure to financial instruments or products that are uncertain or difficult to measure;
- the process for the development and validation of internal risk measurement;
- the process for approving new products and services, the launch of new activities, entering new markets (known collectively as Product Approval);
- Group policy for outsourcing business functions.

Lastly, the Board of Directors ensures that:

- implementation of the RAF is consistent with the approved levels of risk appetite and risk tolerance (where identified);
- the strategic plan, the RAF, the ICAAP, budgets and internal control system are consistent, bearing in mind any developments in the internal and external conditions in which the Group operates;
- the amount and the allocation of capital and liquidity held are consistent with the risk appetite, risk governance policies and risk management process.

The Board of Directors appoints and dismisses the heads of the corporate control functions and the Manager responsible for preparing the company's financial reports, after consultation with the Control and Risk Committee, the Nominations Committee, the Board of Statutory Auditors and the Chief Executive Officer[32].

The Board of Directors of Group companies:

- defines any additions that have to be made to the internal control system of their respective entities, in accordance with the coordination and liaison procedures established by the Parent Company;
- acknowledges and approves the risk appetite of its own company, which has to be consistent with the level of risk of the Group.

Implementation of the internal control system

The Board of Directors gives the CEO adequate powers and resources to implement the strategic guidelines, the RAF and risk governance policies defined by the Board of Directors of the Parent Company in the design of the internal control system and is responsible for taking all the necessary steps to ensure that the organisation and its internal control system comply with the principles and requirements laid down in supervisory regulations, monitoring compliance on an ongoing basis.

For this purpose, the CEO, for the Group as a whole and for its components:

- ensures that the responsibilities and duties of the various corporate structures and functions involved in risk assumption and management processes are clearly assigned and potential conflicts of interest are avoided;

[32] *The Chief Executive Officer only intervenes for the appointment of the heads of Internal Audit, Compliance and Risk Control*

- ensures that the activities carried out by the functions and structures involved in the internal control system are carried out by qualified personnel with an adequate degree of independence of judgement and with adequate experience and knowledge for the tasks to be performed;
- carries out any initiatives and interventions needed to ensure the overall reliability of the internal control system on an ongoing basis;
- takes corrective action or makes adjustments as necessary in the event of weaknesses or anomalies being found, or following the introduction of significant new products, activities, services or processes;
- defines and oversees implementation of the risk management process. In this context, the CEO establishes operating limits for the assumption of various types of risk, in line with the risk appetite, explicitly taking account of the results of stress tests and developments in the economic situation;
- examines the more significant transactions subject to an unfavourable opinion by the risk control function and, if appropriate, authorises them; informs the Board of Directors and the Board of Statutory Auditors about these transactions;
- implements the ICAAP and ILAAP processes, ensuring they are developed in accordance with the strategic guidelines and the risk profile identified in the RAF; designs and implements the Group's training programmes to raise awareness among employees about the responsibility for risks so as not to limit the process of risk management to specialists or to the control functions;
- defines internal information flow mechanisms to ensure that the Corporate Bodies and control functions are fully aware of the various risk factors and have the ability to govern them and the assessment of compliance with RAF;
- as part of the RAF, where a tolerance threshold is defined, authorises overruns of the risk appetite within the limit represented by the tolerance threshold and gives prompt notice to the Board of Directors, identifying the management actions needed to bring the risk back down to below the set objective;
- ensures that risks deriving from new operations are fully assessed and that these risks are consistent with the risk appetite, and that the Bank is able to manage them;
- ensures that the risk management process is consistent with the risk appetite and risk governance policies, also taking into account the evolution of the internal and external conditions in which the Bank operates;
- issues instructions to ensure that internal risk measurement systems are developed according to the chosen strategies and are integrated into decision-making processes and operational management.

More specifically, for the Group, the CEO issues instructions to define and render operational:

- mechanisms for the integration of information systems and processes of data management, in order to ensure the reliability of consolidated figures;
- regular information flows to permit effective implementation of the various forms of control over all members of the Group;
- procedures to ensure, at a centralised level, an effective standard process of Group risk management, involving a single register, or several registers providing they can be easily linked, for the various companies in the Group;
- systems for monitoring financial flows, credit reports and other relations between members of the Group;

- controls over the achievement of objectives in terms of information security and business continuity as defined for the entire Group and for the individual members of the Group.

The Board of Directors of each Group bank and company gives a mandate to the appropriate internal functions to implement the decisions made by the Parent Company during the design phase.

Assessment of the internal control system

As part of its strategic supervisory function, the Board of Directors:

- receives from the corporate control functions and other control functions the information flows foreseen for a full awareness of the various risk factors and the ability to govern them;
- periodically assesses the adequacy and effectiveness of the RAF and the compatibility between actual risk and the risk objectives;
- periodically assesses, with the assistance of the Control and Risk Committee, the adequacy and compliance of the Group's internal control system[33], identifying possible improvements and defining the steps needed to correct any weaknesses.

In addition, with regard to internal risk measurement systems for the determination of capital requirements, the Board of Directors:

- periodically verifies the choices of model made to ensure that they remain valid over time, approving significant changes to the system and carrying out overall supervision to ensure that it functions properly;
- monitors, with the assistance of the relevant functions, effective use of internal systems for management purposes and their compliance with regulatory requirements;
- reviews at least once a year the results of the validation process and passes a formal resolution, with the approval of the Board of Statutory Auditors, by which it certifies compliance with the requirements for the use of internal measurement systems.

The Board of Directors of each Group company, including the Parent Company, periodically assesses the internal control system[34].

The function responsible for providing support in assessing the effectiveness of the overall internal control system, company-wide, is the Internal Audit Department.

The Boards of Statutory Auditors of the Parent Company and of Group companies, each to the extent of its own responsibilities, carry out the assessment of the internal control system foreseen by law and the articles of association and have the responsibility of ensuring the completeness, suitability and functionality of the internal control system and of the RAF. The results of these assessments are brought to the attention of the respective Boards of Directors.

The Board of Directors receives, either directly or through the CEO, the information flows required to gain a full awareness of the various risk factors and the ability to govern them, as well as to plan and implement interventions to ensure the compliance and adequacy of the Internal Control System.

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[33] *Supervisory instructions for banks – Circular 285 of the Bank of Italy, Part I, Title IV, Chapter 3, Section II, paragraph 2 "assures that: [...] b) the internal control system and corporate structure are consistently in line with the principles mentioned in Section I and the control functions satisfy the requirements and comply with the provisions of Section III. In the event of weaknesses or anomalies, it promotes timely adoption of appropriate corrective measures and assesses their effectiveness".*

[34] *a) Civil Code – art. 2381 – "The Board of Directors ... omissis ... evaluates the adequacy of the organisational, administrative and accounting structure of the company on the basis of the information received".*

c) Code of Conduct for Listed Companies – Standard 8.P.3. "The Board of Directors assesses the effectiveness of the system of internal control with respect to the characteristics of the business".

External communication on the internal control system

The Board of Directors of each Group company, especially that of the Parent Company as regards the Group internal control system, ensures that information on the internal control and risk management system is given in all cases foreseen by law, guaranteeing the correctness and completeness of the information provided. In this context, it is important to make the disclosures to the general public required by the "Third Pillar". For this, the Board of Directors of the Parent Company assigns control responsibilities and duties to the Corporate Bodies and the various functions involved in the different stages in the handling of such information.

8.4 Levels of control envisaged by the Supervisory Authority

As part of the Group internal control system, the following control functions are identified at the levels provided for in the Supervisory instructions for banks, taking into account of the fact that the second and third level control functions always apply to the entire Group:

- Third-level controls: designed to identify violations of procedures and regulations and to assess periodically the completeness, suitability, functionality (in terms of efficiency and effectiveness) and reliability of the internal control system and information systems (ICT audit), with a set timing in relation to the nature and intensity of the risks involved. They are conducted on an ongoing basis, periodically or at random, by various structures that are independent of production, including spot checks. This activity is entrusted to the Internal Audit Department;
- Second-level controls ("risk and compliance controls"): the second level control functions have been developed and identified with the following objectives:
  - to check on an ongoing basis that company procedures are consistent with the goal of prevention of money laundering and financing of terrorism. This activity is entrusted to the Anti-Money Laundering Unit;
  - to identify non-compliance risks, examining the standards applicable to the Group on an ongoing basis and assessing their impact on Group companies. to establish, depending on the risks that have been identified and assessed, the minimum control objectives foreseen, by proposing organisational and procedural interventions to ensure adequate protection from any risks of non-compliance and monitoring their implementation. This activity is entrusted to the Compliance Unit;
  - to collaborate in the definition and implementation of the RAF and the related risk governance policies, through an adequate risk management process, verifying the adequacy thereof. To define methodologies, processes and tools to be used for risk management. To ensure consistency of the measurement and risk control systems with processes and methodologies to assess business operations. To ensure the correct representation of the risk profile and assessment of loan positions, to perform assessments of loan monitoring and recovery processes, to supervise the process for the allocation/monitoring of the official rating and to perform second-level controls over the lending process. These activities are entrusted to various functions of the Risk Management Unit;
  - qualitative and quantitative ratification of internal risk measurement systems adopted by the Parent Company, as used to estimate internal capital and capital requirements, ensuring compliance with the instructions issued by the Supervisory Authority for this process, as well as consistency with the operational needs of the company and the

evolution of the market. This activity is entrusted to the Model Ratification Office, which forms part of the Risk Department's Credit Control and Internal Ratification Department. The organisational positioning of this Office guarantees independence from the structures responsible for the development and use of internal risk models subjected to ratification;

- First-level controls ("line controls"): designed to ensure that operations are carried out properly. They are performed by the production structures themselves (e.g. hierarchical, systematic and random controls), also through units dedicated exclusively to control duties that report to the heads of the operating structures or carried out as part of the back office activities; as far as possible, they are incorporated into IT procedures.

8.5 Control roles and duties attributed to BPER Banca Group functions

8.5.1 Internal Audit Department

The primary objective of the Internal Audit Department is to provide independent and objective assurance and consulting services aimed at improving the effectiveness and efficiency of the organisation. Internal Audit assists the organisation in pursuing its objectives through a systematic professional approach, which generates added value as it is aimed at assessing and improving the risk management, control and governance processes.
The mission is, therefore, to enhance and protect the value of the organisation by providing objective and risk-based assurance, advice and expertise.
This mission is pursued:

- through a risk-based and process-oriented audit plan;
- by promoting a culture of risk and control in the company;
- by providing assurance and advice on risk management, control and governance processes;
- by evaluating existing controls and making suggestions for their continuous improvement.

The Internal Audit Department, through the Organisational Units that comprise it, has the following main responsibilities, which are differentiated according to:

- outsourcing of Control Functions to the Parent Company;
- exercise of control within the Parent Company's management and coordination activity;
- liaison with Control Functions in Group companies and not centralised at the Internal Audit Department.

Specifically:

- It elaborates and proposes to the competent Body guidelines for the planning and the annual and long-term planning of audit activities, based on the methodological models approved by the Board of Directors. The identification of the activities to be audited is in line with the operations of the members of the Group and their propensity to risk and is compatible with the resources available. In this context, the Audit Universe is updated its components allocated to the Organisational Units according to their competence. Checks that are not preannounced or not expressly indicated in the Audit Plan are also carried out;
- It defines and applies methodologies, tools, regulations and internal audit models, also taking into account international professional standards;
- With a view to third-level controls, it also verifies with on-site checks the regular performance of operations and the evolution of risks and assesses the completeness, adequacy, functionality and reliability of the organisational structure and other components of the internal control

system, bringing possible improvements to the attention of the corporate bodies, with particular reference to the RAF, the risk management process, as well as the tools for measuring and controlling them. It makes recommendations to the Corporate Bodies on the basis of its audit results;

- Periodically, at consolidated level, it carries out on-site checks on Group members, taking into account the importance of the various types of risk taken on by the various entities; this in order to verify whether their conduct complies with the Parent Company's guidelines, as well as the effectiveness of the internal control system as defined by the Parent Company for the individual legal entities;
- It checks the Risk Control, Compliance and Anti-Money Laundering Functions;
- It checks the regularity of the various company activities, including outsourced activities, and the evolution of risks both at the Central Functions and at the distribution network. The frequency of inspections is consistent with the activity performed and the propensity to risk; however, random and unannounced inspections are also performed;
- It monitors compliance with the rules of the activity at all company levels;
- It verifies the adequacy and correct functioning of the processes and methods for measuring company assets;
- It verifies compliance, in the various operating sectors, with the limits set by the delegation mechanisms and the full and correct use of the information available in the various activities;
- It carries out Fraud Investigation, Fraud Prevention and Fraud Audit activities through the recording, assessment and, where appropriate, reporting of anomalous behaviours detected during the audit, also in order to allow the competent functions to start the "internal disciplinary procedure" or, in any case, to take appropriate action to protect the Company;
- It performs periodic tests on the functioning of operating and internal control procedures;
- It also carries out assessments on specific irregularities;
- It makes recommendations to the Corporate Bodies based on the results of the audits checks carried out in accordance with the procedures laid down by the Parent Company;
- It promptly informs the Corporate Bodies about any significant violation or weakness it has found;
- It can provide consultancy services, not having auditing and/or validation/approval nature of the choices made by management, within the limits of the sustainability of the plan. The main assignments accepted must be reported in the Audit Plan;
- It illustrates and summarises with appropriate information to the Corporate Bodies of the Parent Company and of Group companies the results of the audit work performed;
- It prepares the reports required by the Supervisory Authorities and assigned to the Internal Audit Function;
- Based on the Audit Plan approved by the Board of Directors at the time the Plan was adopted, it makes an assessment, at least once a year, of the completeness, adequacy, functionality (in terms of efficiency and effectiveness) and reliability of the overall Internal Control System for the Banking Group as a whole;
- It pursues objectives of efficiency and effectiveness in its activity by identifying opportunities for improvement. In this sense, it appreciates any preliminary work on the development of a Quality Assurance plan;
- It is responsible for third-level controls and operates in the interest of BPER Banca Banking Group within its sphere of competence as outlined in the external regulations and by the Group Guidelines - Internal Control System without any limitations on its scope of intervention;

- It helps the Corporate Bodies and Organisational Units of Group banks and companies pursue their objectives in the field of internal control, contributing to the development of a corporate and group culture.

In general terms, the Group's internal control system provides for the centralisation of the second and third level Control Functions of the Italian Group companies at the Parent Company, as provided by the "Group Guidelines - Internal Control System".
However, as regards the Luxembourg subsidiary, this centralised model is partially waived in consideration of the complexity and delicacy of operations run in a different regulatory environment. In this case, it is possible to activate organisational models that enhance the specific nature of the context in which these companies operate, for each control function required by local regulations, as requested by the Supervisory Authority or by the Parent Company.
The Italian Banks, on the other hand, have all delegated the Internal Audit function to the Parent Company. Specifically, the Internal Audit Department:

- for companies that have an Internal Audit function that has been outsourced to the Parent Company, it performs the control activities foreseen for BPER Banca, according to the audit plan approved by the Board of Directors, while retaining the right to perform internal audit work in fulfilment of the responsibilities assigned to the Parent Company as part of its Group management and coordination role. For the performance of the outsourced activities, the Internal Audit Department has the support of the contacts of the Internal Audit function identified at Group companies;
- for companies that do not have an Internal Audit function, the analyses and assessments performed by the Parent Company's control function are carried out to fulfil the responsibilities allocated to the Parent Company as part of its Group guidance and coordination role and not to fulfil the responsibility of individual Group companies;
- for companies that have an Internal Audit function that has not yet been delegated to BPER Banca, internal audit work is performed in fulfilment of the responsibilities assigned to the Parent Company as part of its Group management and coordination role.

The organisational structure of the Department is made up as follows: 1 office in staff functions for the Head of Department; 4 offices and 1 unit that report directly to the CAE (Chief Audit Executive). As regards the Head of this Unit, 4 offices report to him.

8.5.2 Risk Management Department

The Risk Management Department now reports directly to the Parent Company's Chief Executive Officer and is broken down into the following Organisational Units:

- Rating Office and Risk Governance Office, as staff functions for the Chief Risk Officer;
- Financial Risk Department;
- Credit and Operational Risk Department;
- Credit Control and Internal Ratification Department.

The Risk Management Department, as the Group's risk control function, aims to collaborate in the definition and implementation of the Risk Appetite Framework and the related risk governance policies, through an adequate risk management process.
An integral part of its mission is to ensure adequate reporting to the Corporate Bodies of the Parent Company and Group companies.
The Risk Management Department extends its area of responsibility to all of the Group companies included in the current risk map, given that the "Group Guidelines - Internal Control System" provide for centralised management of the risk control function by the Parent Company.
The Group companies that have this function outsource it to the Parent Company, with the exception of the Luxembourg based company[35].
The mission of the Risk Management Department is carried out as part of the Parent Company's guidance and coordination activity as an outsourcer for Group banks and companies.
The Risk Management Department operates at Group companies through a Contact (who functionally reports to it) identified at the various Group companies.

The responsibilities of the Risk Management Department are entrusted to the Chief Risk Officer (CRO), who relies on the support of the organisational units, whether staff or line functions, which hierarchically report to them in the exercise of the following responsibilities:

- within the context of the Risk Appetite Framework, proposing the quantitative and qualitative parameters necessary for its definition, both in the normal course of business and in situations of stress, ensuring their adequacy over time in relation to changes in the internal and external context;
- proposal of risk governance policies for measurable and non-measurable risks not allocated to other control functions (limited to the sections relating to risk management and exposure/operational limits) and oversight of their implementation, ensuring that the various stages of the risk management process are consistent with the Risk Appetite Framework;
- development of risk management methodologies, processes and tools via the identification, measurement/assessment, monitoring and reporting of risks, ensuring their adequacy over time through the development and application of indicators designed to highlight anomalous situations and inefficiencies. In particular:
  - definition of common metrics of operational risk assessment (including IT risks) that are consistent with the RAF, in coordination with the Compliance Function, the ICT function and the Business Continuity function;
  - definition of methods to evaluate and control reputational risk, in coordination with the Compliance function and the corporate functions that are most exposed to this type of risk;

[35] *Circular CSSF 14/597 – Update of circular CSSF 12/552 on the central administration, internal governance and risk management "117. Outsourcing the compliance function and risk control function is not authorised."*

  - provision of assistance to the Corporate Bodies in the assessment of strategic risk by monitoring significant variables.
- monitoring the actual risk profile assumed in relation to the risk objectives defined in the RAF, collaborating in the definition of operating limits for the assumption of various types of risk and constantly verifying their adequacy and compliance, reporting any overruns to Corporate Bodies;
- provision of support to the Chief Executive Officer in the implementation of the ICAAP, preparation of reports to be submitted to the Supervisory Authority and coordination of the various phases of the process and performance of those assigned thereto;
- provision of support to the Chief Executive Officer in the implementation of the ILAAP, preparation of reports to be submitted to the Supervisory Authority and coordination of the various phases of the process and performance of those assigned thereto;
- coordination of the process for the preparation and update of the BPER Banca Group recovery plan to be submitted to the Supervisory Authority and performance of the phases assigned thereto;
- coordination of activities associated with the internal stress testing programme with the help of the various organisational structures involved, in the various execution areas (operational and regulatory stress test);
- checking the adequacy and effectiveness of the measures taken to correct weaknesses in the risk management process;
- development, ratification[36] and upkeep of the internal systems of risk measurement, ensuring compliance with the instructions issued by the Supervisory Authority, as well as consistency with the operational needs of the company and the evolution of the market;
- provision of preventive advice on the consistency of more significant transactions with the RAF, acquiring if necessary, depending on the nature of the transaction, the opinion of other functions involved in the risk management process;
- analysis of risks deriving from new products/services and from entry into new business segments;
- involvement in the definition and update of criteria for the classification of outsourcing and the assessment of risk assigned to it;
- involvement in the definition and management of remuneration and incentive policies;
- control of the rating and override processes;
- performance of second-level controls in relation to the credit chain and verification that: individual credit exposures are monitored correctly (especially non-performing exposures); risk classifications are correct; the adequacy of provisions; and the effectiveness of the recovery process;
- involvement in the definition of policies for and the valuation of properties lodged as collateral, monitoring the implementation thereof, to the extent of his/her sphere of competence, by checking updates to appraisals performed on properties lodged as collateral, the autonomy of those who prepare the valuations and the consistency of the types of appraisals used for the valuation of the collateral;
- it is involved in defining, updating and monitoring the Non-Performing Loans strategy (providing estimates of the impact on the risk parameters used in the internal rating system and on the Group's capital profile in terms of RWA and Shortfall), as well as in policies and processes for

[36] *Through the Model Ratification Office*

their management before being submitted to the Corporate Bodies of the Parent Company and Group companies;
- it handles execution of the activities included in the second-level control framework on non-performing loans;
- it coordinates the preliminary activities for the preparation and updating of the Resolution Plan, prepared by the Resolution Authority, directly carrying out the steps that are within its sphere of competence.

In addition, the Risk Management Department:
- takes part in the definition of the Group's strategy, assessing the relative impact on risk;
- takes part in deciding on strategic changes to the Group's internal control system.

8.5.3 Anti-Money Laundering Unit

The task of the Anti-Money Laundering Unit is:
- to prevent and combat money laundering and financing of terrorism through the reporting of suspicious transactions and the execution of continuing control activities (Anti-Money Laundering control);
- to check that the IT and organisational procedures adopted by Group companies are consistent with laws and regulations, as well as self-regulation in the field of money laundering and financing of terrorism (Anti-Money Laundering function).

The organisational model adopted by the Group provides for centralised management at the Parent Company of the anti-money laundering function and supervision of the Italian Group banks and non-banking companies subject to money laundering regulations.

As regards the Parent Company's guidance and coordination activities, performed for all Group companies subject to anti-money laundering regulations - for the Luxembourg subsidiary, only with regard to matters of identification and knowledge of customers and monitoring of reports on suspicious transaction - the Anti-Money Laundering Unit has the following responsibilities:
- it identifies and evaluates the Group's exposure to the risk of money laundering and financing of terrorism;
- it identifies any risk of non-compliance with anti-money laundering legislation to which the Group is exposed, continuously examining the rules applicable to the Group and assessing their impact on Group companies;
- it carries out an annual assessment of the main risks of non-compliance with anti-money laundering and counter-terrorism laws at Group level, and reports to the Corporate Bodies of the Parent Company, indicating any critical situations and making proposals for the planning of related management measures to counter any weaknesses that may have emerged and to address any new non-compliance risks that have been identified ("Report of the Group on the risk of non-compliance with anti-money laundering and anti-terrorism laws"). For the Luxembourg subsidiary, it reports any critical issues arising from the opinions expressed and data provided by the relevant Corporate Functions;
- it proposes the Group's management of the risk of non-compliance with anti-money laundering and anti-terrorism regulations;

- it defines the methods, processes and tools that must be followed in performing the activities of the Anti-Money Laundering function and uses the reports defined in coordination with other control functions (corporate or otherwise);
- for companies that have not outsourced the function to the Parent Company (the Luxembourg subsidiary Bper Europe (International) s.a.), it establishes the minimum control objectives and checks their application, depending on the risks that have been identified and assessed;
- it ensures adequate reporting on the outcome of its activities to the Corporate Bodies, highlighting the main non-compliance issues and events of particular risk as they emerge;
- it proposes organisational and procedural changes to the guidance and coordination processes aimed at preventing and combating money laundering, in order to ensure adequate control over the non-compliance risks that have been identified and to monitor that it is carried out;
- it supports the Group Delegate in examining and evaluating, from a Group perspective, the reports filed and the transactions reported to the Bank of Italy's Financial Information Office by the consolidated banks and companies that have outsourced AML control to the Parent Company. This type of support is also provided with reference to reports filed and transactions reported to the competent local authorities by the Group's Luxembourg subsidiary; to this end, the Anti-Money Laundering Unit receives adequate information flows from these companies;
- it supports the General Manager of the Parent Company or the person appointed by him in assessing whether Group companies (in Italy and abroad) should open correspondent accounts with the corresponding authorities of "non-equivalent" non-EU countries;
- it checks authorisations to open ongoing relationships with "politically exposed persons" in Group companies (both Italian and foreign).

Among other activities, the Unit also:

- helps the Company Delegate in the assessment and investigation of reports of suspicious transactions pursuant to art. 35 of Legislative Decree 231/07 coming from the network and central offices, sending them to the Financial Intelligence Unit if found to have some basis, otherwise dropping them;
- helps the Company Delegate in identifying suspicious transactions that were not picked up by the structures in charge of day-to-day dealings with customers or not extracted by the automatic detection procedures;
- performs centralised checks on the Branches and Central Offices to detect potentially abnormal situations that merit specific investigation into proper fulfillment of due diligence and risk profiling of customers, detection and reporting of potentially suspicious transactions and limiting the use of cash and bearer securities;
- performs specific checks to confirm proper compliance with the obligation to keep data and information in accordance with art. 31 et seq. of Legislative Decree 231/07, and to detect any potentially suspicious transactions that could involve money laundering;
- forwards to the Ministry of Economy and Finance the communications on infringements of the rules regarding the use of cash and bearer securities as per art. 49 of Legislative Decree 231/07;
- manages relations with the Financial Information Office, the Investigative Authorities and the Judicial Authorities whenever there is need for in-depth investigation or discussion about the anti-money laundering and anti-terrorism legislation;
- helping to run the staff training activities with the other competent Corporate Functions, in order to promote and strengthen a culture of respect for the rules and fairness in behaviour.

8.5.4 Compliance Unit

The Compliance Unit's task is to ensure the adequacy of internal procedures to prevent the violation of external rules (e.g. laws and regulations) and self-regulation (e.g. codes of conduct) applicable to the Group's companies.
With reference to the procedures adopted under art. 15 of the Regulations of the Bank of Italy and CONSOB pursuant to art. 6, subsection 2-*bis* of Legislative Decree (the Consolidated Law on Finance), the Unit also carries out regular checks on the effective application ("functioning") of the procedures and the measures taken to resolve any weaknesses.
It assists the Corporate Bodies and Organisational Units of Group companies in pursuing the objectives of compliance by promoting the spread of a corporate culture based on compliance and fairness in behaviour as an essential element for a company to function properly.
It assesses the risk of non-compliance arising from innovative projects that the Group intends to undertake, including the launch of new products or services, and operating in new markets or with new types of customers.
The Compliance Unit, as part of the management of non-compliance risk, works - directly or through Special Units - on regulations that concern the entire banking activity, with the exception of those for which there are dedicated corporate functions and other control functions.
In line with its mission, it extends the scope of its guidance, control and coordination activities to all Group companies. Centralised management of the compliance function at the Parent Company for all Italian Group companies that have that function. For Group companies based in foreign countries, the Compliance Unit only provides guidance and coordination.
As part of the guidance and coordination activity exercised by the Parent Company on behalf of the Group companies, the Compliance Unit has the following responsibilities:

- it identifies non-compliance risks, at Group level, examining the standards applicable to the Group on an ongoing basis and assessing their impact on Group companies;
- it establishes, depending on the risks that have been identified and assessed, the minimum control objectives foreseen for the Companies concerned, and verifies that the planning of Compliance activities of the individual companies that did not outsource this function to the Parent Company applies them;
- it ensures adequate reporting on the outcome of its activities to the Corporate Bodies, promptly highlighting the main non-compliance issues and events of particular risk as they emerge;
- it proposes organisational and procedural changes to the guidance and coordination processes and to the processes of the companies that do not have this function, in order to ensure adequate control over the non-compliance risks that have been identified and to monitor that it is carried out.

8.6 Line controls

Line controls (so-called "first-level controls") are designed to ensure that operations are carried out properly; these controls also include those that contribute to the creation of an internal accounting control system, understood as a set of controls that form part of the individual administrative and accounting procedures in order to have reasonable assurance that the recording and processing of data and the production of information have been performed correctly. They are performed by the same operating structures (e.g. hierarchical controls) or incorporated into procedures, or carried out as part of back-office activities.

8.7 Other control functions

In addition to the levels of control laid down by Supervisory Regulations, the regulations governing self-regulation necessitate the allocation of control duties to specific functions other than corporate control functions - or to board committees, the activities of which are consistent with the internal control system.
Specifically, control functions identified within the Group are:

- the Manager responsible for preparing the Company's financial reports;
- Supervisory Bodies pursuant to Legislative Decree no. 231/01.

Manager responsible for preparing the company's financial reports

Law 262/2005 (Savings Protection Law) established the role of Manager responsible for preparing the company's financial reports ("Manager Responsible"), with responsibility, among other things, for ensuring the "reliability of the financial reporting process".
The regulations governing the Manager Responsible are contained in Section V *bis* of the Consolidated financial act concerning the preparation of accounting documents and by art. 154-*bis* which sets out the general regulations regarding the designation, duties and powers of the Manager Responsible; as well as the civil and criminal responsibilities that the appointment involves.

The BPER Banca Group's Manager responsible for preparing the Company's financial reports, who is Marco Bonfatti, manager of the Administration and Reporting Department is identified within the Group as a control function and, as laid down in the Guidelines for the Group internal control system, he is responsible for the design, implementation and maintenance of the "Financial reporting control model" to be applied to the Parent Company and, with reference to the procedures for the preparation of consolidated financial statements, to the Banks and Companies included in the scope of consolidation. With respect to the above scope, the Manager Responsible ensures that administrative and accounting procedures have been prepared.
The financial reporting control model is a set of requirements to be met for proper management and control of the risks of unintentional errors and fraud in financial reports. It is up to the Manager Responsible to ensure that it is adopted.

It follows that in the BPER Banca Group the responsibility for the proper management and control of the risk of unintentional errors and fraud in financial reports, also taking into account the regulatory framework that assigns specific responsibilities to the Manager Responsible, is assigned, not only to the Corporate Bodies, but above all to the Manager Responsible.

The financial reporting control model is represented by a "body of law" made up as follows:

- Group policy for managing the risk of unintentional errors and fraud in financial reports;
- Regulation of the Function of Manager responsible for preparing the Company's financial reports;
- Methodological note addressing macro process management of unintentional errors and fraud in financial disclosures;

- Internal methodological document not included in the regulatory sources addressing macro process management of unintentional errors and fraud in financial disclosures.

In order to perform his duties, the Manager Responsible has at his disposal the Parent Company resources of the Office for the monitoring and control of financial reporting, which reports to him; in relation to the support provided to the Manager In Charge of in managing the risk of intentional errors and fraud in financial disclosures, based on the internal organisation adopted, this Office performs:

- in a "regulatory" environment, activities to ensure adequate supervision of compliance with international accounting standards (art. 154 *bis* of the Consolidated Finance Act, para. 5 letter b), and governance of the Company's documents and communications released to the market and the related financial reports (art. 154 *bis* of the Consolidated Finance Act, para. 2);
- in a "controls" environment, activities aimed at ensuring the proper assessment and verification of the actual application of administrative and accounting procedures (art. 154 *bis* of the Consolidated Finance Act, para. 3 letter a), as well as monitoring financial reporting risk through analyses of indicators and changes in the accounting manual.

In the process for managing the risk of unintentional errors and fraud in financial reports of BPER Banca Group, the Manager responsible for preparing the company's financial reports of the Parent Company is also supported by the Manager responsible for the Sub-Holding Company Banco di Sardegna (this role exists as this is a listed company); the latter reports to the General Manager and is under the Parent Company's Manager responsible for preparing the company's financial reports as regards methods, instruments, reporting and work processes used in carrying out his duties.
Lastly, for the management of the financial reporting control model, within the Group a significant role is also played by the role of the Contact of the Manager responsible for preparing the company's financial reports, appointed in each Bank and Subsidiary, whether or not it forms part of the Banking Group. This person reports functionally to the Manager responsible of the Parent Company and, for the Contacts of the Sub-Holding Company, also to the Manager responsible for the same. Functional dependence relates to the methodologies, tools, reporting system and work processes for performing the Contact's duties; the responsibilities identified relate to three areas: representation, information link and operational support.

Supervisory Body pursuant to Legislative Decree 231/01

The Parent Company, in compliance with arts. 6 and 7 of Legislative Decree 231/01, adopted a Model of Organisation and Management in order to prevent the commission and/or the attempted commission of the types of offence provided for in this Decree. In accordance with this law, the Parent Company has therefore set up its own Supervisory Body (known as the Supervisory Board) with the task of supervising the functioning and observance of the Model of Organisation and Management.
The Board is composed of three members:

- a non-executive and independent Director;
- an employee of the Parent Company, with appropriate specialist skills, especially of a legal/organisational nature, including experience of controls, who does not have operational duties in the Bank;
- an external consultant with the necessary professional skills.

The Supervisory Board carries out its supervision and ensures compliance with the Model of Organisation and Management, by:

- detecting any changes in the "risk map";
- checking compliance with procedures in the area of activities considered to be sensitive to commission of the offences mentioned in Legislative Decree 231/01;
- activating and/or performing internal investigations in coordination with the control functions;
- planning training activities for the staff about legal developments, or about any legislative changes that could affect the nature of the offences mentioned in Legislative Decree 231/01;
- requesting the identification of appropriate procedures to protect new types of activities that could be classified as sensitive;
- requesting updates to existing procedures, if the business could be materially affected by changes in the risks included in the scope;
- reporting proven infringements of the instructions;
- coordinating activities by the Parent Company of the Supervisory Boards of subsidiaries, fostering an exchange of information, knowledge or methodologies;
- adoption by Group Banks, BPER Services s.cons.p.a. and BPER Credit Management s.cons.p.a. of the main regulatory documents that constitute the Organisational and Management Model, subject to limited and necessary adjustments.

The Supervisory Board is also the recipient of specific information flows, given that the employees, Statutory Auditors and the Directors are required to inform the Supervisory Board, on the basis specified in the Model of Organisation and Management, about:

- provisions or news from the Judicial Police, or any other authority, indicating that they are carrying out an investigation for the offences mentioned in Legislative Decree 231/01, also against unknown persons, involving the Parent Company, its employees or members of the Corporate Bodies (Board of Directors, Supervisory Board and Board of Statutory Auditors);
- requests for legal assistance by directors, statutory auditors and/or employees in the event of the initiation of proceedings for offences under Legislative Decree 231/01;
- routine reports requested by the Supervisory Board, prepared by the heads of specialised functions (Manager responsible for preparing the company's financial reports, Internal Audit, Anti-Money Laundering, Compliance, Risk Management, Human Resources, Financial Reporting Monitoring Office);
- information relating to the start of disciplinary proceedings and their progress and any penalties imposed, in the event of circumstances considered relevant under Legislative Decree 231/01;
- information about activities identified by the Model as “sensitive” in terms of their frequency and operational significance;
- organisational/procedural changes that have an impact on the Model of Organisation and Management;
- reporting the onset of other types of risk;
- the system of delegation of powers and/or functions adopted by the Parent Company, and any modifications of a structural nature made to it.

Lastly, the Supervisory Board is also informed by reports received in accordance with pre-established procedures from the persons required to comply with the Model and the Code of Ethics (Shareholders, Statutory Auditors, Directors, Employees, Head of the Internal Reporting System, members of the Supervisory Board, persons who are not employees, but who work and are under the control and direction of BPER Banca, persons who, even if external to the Bank, work for or with the Parent Company,

and any other person or entity who has dealings with the Parent Company for purposes of the report), about events that could give rise to liability under Legislative Decree no. 231/01.
The Supervisory Board reports immediately in case of necessity to the Board of Directors and reports every six months to it and the Board of Statutory Auditors on its activities and on the situation of the Parent Company with respect to the obligations referred to in Legislative Decree no. 231/01.

Within this context, the Parent Company has issued specific guidelines and distributed various regulatory documents, as well as instructions for coordinating the adoption of the Model of Organisation and Management as per Legislative Decree no. 231/01 by the individual Group banks, BPER Services s.cons.p.a. and BPER Credit Management s.cons.p.a., in compliance with the provisions of Legislative Decree no. 231/01 and in accordance with its specific responsibilities.

9. Other information

9.1 Treasury shares

No quotas or shares in Group companies are held through trust companies or other third parties; furthermore, such parties were not used during the period to buy or sell shares or quotas in Group companies.

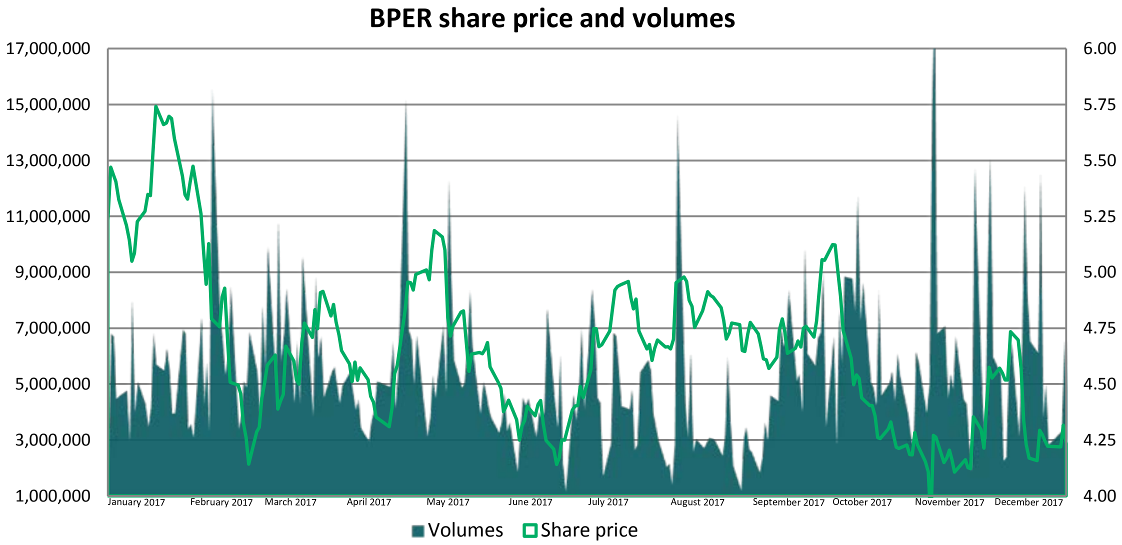
The carrying amount of the Group's interest in the treasury shares held by consolidated companies, classified as a deduction from shareholders' equity caption 200, is Euro 7,258 thousand, of which Euro 7,253 thousand relates to BPER Banca shares held by the Parent Company.

Shares of BPER Banca S.p.A.	Number of shares	Total par value	Group interest
Total as at 31.12.2017	455,458	1,366,374	7,253,180
Total as at 31.12.2016	455,458	1,366,374	7,253,180

There are also 55,910 shares relating to Banca di Sassari s.p.a., held by it, for a total of Euro 5 thousand.

9.2 Share price performance

International stock markets closed 2017 with an upward trend. Among European markets, the Italian index distinguished itself. After a very disappointing 2016, in 2017 the FTSE MIB benefited from a better political climate in the Eurozone, in particular after Macron's victory in the French presidential elections at the end of April, and from economic figures that were a lot better than expected.
As regards the BPER Banca stock, it was one of the least penalised of the banking system in 2016, particularly thanks to the best performance ever recorded in the second half of 2016. In 2017, on the other hand, the stock underperformed the sector index, posting a decline mainly due to exogenous factors. BPER Banca's official share price went from Euro 5.0859 at 31 December 2016 to Euro 4.2333 at 31 December 2017. The trading volumes of BPER Banca shares stabilised at a daily average of between 5 and 6 million shares a day in 2017, reflecting the stock's good liquidity and visibility for investors.

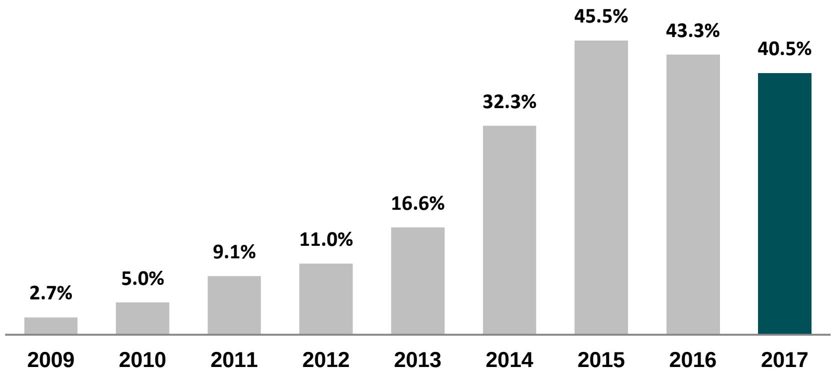


9.3 Breakdown of ownership structure

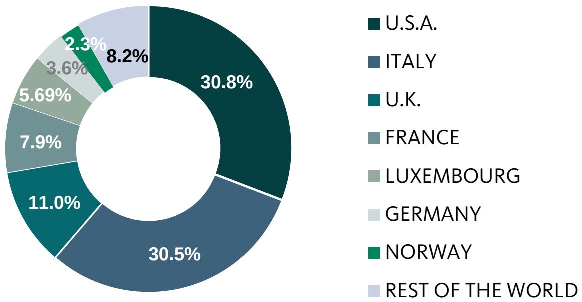
BPER Banca has been a joint-stock company since 26 November 2016, when the Extraordinary Shareholders' Meeting approved the proposal to transform Banca popolare dell'Emilia Romagna from a cooperative to a joint-stock company, under the name of BPER Banca S.p.A.
The share capital (fully subscribed and paid in) amounts to Euro 1,443,925,305 and consists of 481,308,435 registered ordinary shares (including 455,458 treasury shares), with no nominal value
The total number of shares held by "institutional" shareholders[37] comes to 40.5% of the float[38], slightly down compared with 43.3% last year. "Non-institutional" shareholders hold 59.5% (56.7% in 2016).
As regards the geographical breakdown of institutional investors, Italy represents 30.5%, the USA 30.8%, while the UK and France are respectively at 11% and 7.9%.

[37] *Institutional Shareholders/Investors: meaning the entities known as "Undertakings for collective investment of transferable securities" (UCITS), mutual funds (securities, real estate and speculative) and SICAVs, pension funds, insurance companies and banks. All other subjects, including banking foundations, are considered private or "retail" investors*
[38] *Float: with reference to 22 May 2017 (ex-dividend date), meaning the total number of shares issued (481,308,435), net of treasury shares held in portfolio (455,458); the total number of shares includes those in the Group's deposits (391,311).*

BPER Banca shares held by institutional investors



Institutional shareholders: geographical breakdown (%)



9.4 Ratings as at 31 December 2017

Fitch Ratings

On 11 May 2017, the rating agency Fitch confirmed its Long-Term rating as "BB" and its Short-term one as "B". Outlook remained "stable". The Agency also confirmed the viability rating as "bb" and the support rating ("SR") of BPER Banca as "5" and the support rating floor ("SRF") as "No Floor".

International Rating Agency	Issue date	Short Term	Long Term	Outlook	Viability Rating	Support rating	Support rating floor
Fitch Ratings	11.05.2017	B	BB	Stable	bb	5	No floor

Short Term (Issuer Default Rating): Debt repayment capacity in the short term (less than 13 months) (F1: best rating - D: default).
Long Term (Issuer Default Rating): Ability to meet financial commitments in a timely manner regardless of the maturity of the individual bonds. This rating is an indicator of the issuer's probability of default. (AAA: best rating - D: default).
Outlook :indicates the possible future evolution of the rating, which can be "positive", "stable" or "negative".
Viability Rating: Evaluation of the bank's intrinsic solidity, seen on the assumption that it cannot rely on extraordinary forms of external support (aaa: best rating - f: default)
Support rating: Judgement on the probability of any extraordinary external intervention (by the Government or by reference shareholders) if the bank finds it difficult to honour its senior bonds. [1: high probability of external support - 5: inability to rely on any support (as in the case of European banks under the BRRD resolution scheme)
Support rating floor: This rating is an accessory piece of information, closely related to the Support Rating, as it identifies, the minimum level for each level of Support Rating that the Issuer Default Rating could reach in the case of negative events (No Floor for European Banks under the BRRD resolution scheme).

Moody's

On 24 October 2017, the rating agency Moody's confirmed its short and long-term ratings on the deposits at P-3/Baa3 (the outlook has been revised from "stable" to "negative") and the Baseline Credit Assessment ("BCA") at ba3. At the same time, Moody's revised both the Issuer rating and the long-term rating on the senior unsecured debt of the Bank to "Ba3" from "Ba2", with a "negative" outlook.
The change in rating is mainly due to the decrease in the amount of "senior unsecured" bonds, particularly "retail" ones, with a consequent reduction of the overall stock of so-called "bail-in-able" debt instruments, i.e. usable to absorb losses in the event of a bank liquidation. This trend, common to many Italian banks, is the result of the strategy adopted over the last few years aimed at transforming part of direct deposits, particularly bonds nearing maturity, into deposits and asset management products.

Set out below are the ratings assigned to BPER:

International Rating Agency	Issue date	Short Term Deposit	Long Term Deposit	Outlook (Long-term Deposit)	Long Term Issuer	Outlook (Long-term Issuer)	Senior Unsecured Medium-Term Note Program	Baseline Credit Assessment ("BCA")
Moody's	24.10.2017	P-3	Baa3	Negative	Ba3	Negative	Ba3	ba3

Short Term Deposit: Ability to repay deposits in local currency in the short term (original maturity equal to or less than 13 months) (Prime-1: highest quality - Not Prime: not classifiable among the Prime categories)
Long Term Deposit: Ability to repay deposits in local currency in the long term (original maturity equal to or greater than 1 year) (Aaa: best rating - C: default)
Outlook:it indicates the possible future evolution of the rating that can be "positive", "stable", "negative" or "developing".
Long Term Issuer: Opinion on the issuer's ability to honour senior debt and bonds (Aaa: best rating - C: default)
Baseline Credit Assessment (BCA): The BCA is not a rating but an opinion on the intrinsic financial strength of the bank in the absence of external support (aaa: best rating - c: default)
Senior Unsecured Medium Term Note Program: it represents the long-term rating assigned to the debt

9.5 Investigations and audits

CONSOB

At the date of this report, neither investigations and audits have been received.

European Central bank – ECB

The inspections of the BPER Banca Group by the European Central Bank (ECB) are discussed below.

1) An inspection that focused on governance, risk management, the remuneration system and the Group's internal control system, carried out between 16 June 2015 and 18 September 2015 with the aim of assessing the internal control functions and remuneration system and their compliance with current Italian legislation, as well as the solidity of the governance mechanisms and the effectiveness of the organisational structure.

The results of this assessment were notified in a follow-up letter dated 16 March 2016, in which the ECB issued recommendations on the steps that BPER Banca had to take to resolve the findings and to meet the related deadlines.

These include:

- strengthening the role of the Executive Committee in the decision-making process in order to make the role of the Board of Directors more efficient and effective, also in stimulating Top Management and monitoring adherence to the business plan more closely;
- an invitation to continue mapping and regulating business processes and streamlining the organisational structure;
- the need to structure secondary level controls on concentration and counterparty risks to a greater extent and to continue integrating the Risk Appetite Framework with the Business Plan;
- improving the methods used by the Compliance function for analysing customer complaints and for monitoring the steps taken to remedy the findings;
- minor weaknesses in the remuneration system.

On 13 April 2016, BPER Banca sent the ECB the Action Plan on the Supervisory Authority's recommendations. All of the interventions were scheduled to be completed by 31 December 2016.

Quarterly progress reports were sent to the ECB, ending up with the report sent on 21 March 2017.

2) An inspection by the ECB at BPER Banca concerning the system for the management and control of credit and counterparty risk, carried out from 25 January 2016 to 20 April 2016 to evaluate the consistency, effectiveness and adequacy of BPER Banca's measurement and management of credit risk from a Group point of view, including the adequacy of the process of classifying and making provisions for loans.
On 18 October 2016, the ECB sent its follow-up letter on the results of the inspection, with an indication of the action to be taken by BPER Banca to resolve the findings .
These included:

- ensuring greater autonomy and full independence for the second level control function of credit risk in terms of classifications and provisions;
- improving the process of assessing real estate collateral in order to raise the frequency with which they are updated;
- structuring the calculation of provisions more punctually;
- integrating accounting procedures with the management of bad loans.

On 15 November 2016, BPER Banca sent the ECB its Action Plan on the Supervisory Authority's recommendations. Completion was scheduled for 30 September 2017.
Progress on the Action Plan is reported to the ECB on a quarterly basis.

3) An inspection at BPER Banca between 15 December 2016 and 28 March 2017 to assess the accuracy of the calculation of its financial position.
On 16 August 2017, the ECB sent its follow-up letter on the results of the inspection, with an indication of the action to be taken by BPER Banca to resolve the findings :

- internal control processes and procedures to assess the compliance of capital transactions with regulatory requirements;
- acceptance of instruments representing own funds as a guarantee of credit lines.

The recommendations made by the EBC concern:

- the structuring of internal control processes to assess compliance with regulatory requirements for capital transactions;
- the implementation of specific controls on cross-holdings;
- internal regulation to govern the non-acceptance of BPER's own shares or subordinated bonds to guarantee credit lines granted by the BPER Banca Group or, in the case of acceptance, the deduction of such equity instruments from the calculation of Own Funds.

On 11 September 2017, BPER Banca sent the ECB the Action Plan to implement the Supervisory Authority's recommendations. Overall, all of the interventions are scheduled to be completed by 30 September 2018. Progress on the Action Plan is reported to the ECB on a quarterly basis.

4) From 20 September 2017 to the end of December 2017, BPER Banca was involved in an inspection to assess the systems of management and control of market and liquidity risks. The formal outcome of this work is not available at the time of preparing this document.

The following assessment activities were also carried out by the ECB on the BPER Banca Group, mainly in "remote" mode, as part of the ongoing supervisory procedures.

a) Starting from the end of January 2016, the BPER Banca Group was involved in an assessment of the strategy, governance, processes and methodology adopted by the Group concerning non-performing loans (NPLs). This activity has been carried out at European level and also involved other Italian banks.
The ECB's letter on the results of the NPL qualitative assessment was received on 30 March 2017.
The principal recommendations included:

- need for more appropriate segmentation and granularity of the quantitative objectives for non-performing loans and greater integration of the NPL strategy within the Risk Appetite Framework (RAF), the internal capital adequacy assessment process (ICAAP) and the recovery plan; these aspects are an integral part of the strategic plan for the management of non-performing loans (NPL) prepared by BPER Banca as part of the 2016 Supervisory Review and Evaluation Process (SREP) and sent to the ECB on 27 March 2017;
- closer Board supervision of non-performing loans via a specific monitoring system supported by key performance indicators, as well as by efficient and effective controls over the framework for the management of non-performing loans;
- development of "decision trees" for the implementation of forbearance strategies and related standardised solutions for segments of similar debtors with less complex exposures;
- strengthened policies and procedures for identifying NPLs via greater differentiation of the triggers used to determine the difficulty of repayment (UTP) and identify debtors in financial difficulty, as well as improved specification of the criteria for classifying forborne positions and making disclosures to the public;
- further development of policies and the procedural documents for making provisions to include methodologies for estimating future cash flows and criteria and methodologies for determining provisions for going concerns and in the event of business interruption, as well as the definition of a policy for writing off loans or those parts of them that are deemed to be unrecoverable;
- strengthened procedures for updating the appraised value of the properties that secure non-performing loans, applying the criteria indicated in the guidelines for non-performing loans.

The corrective measures proposed in these recommendations were set out in an Action Plan sent to the ECB on 28 April 2017. Overall, all of the interventions are scheduled to be completed by 31 March 2018.

b) Since 2 December 2016, BPER Banca has been evaluated on the topic of implementing IFRS 9 in order to assess preparations and the impact of the new accounting rules on processes, infrastructure and capital for supervisory purposes. As far as we know, this assessment was also carried out on other significant banks. The first part was completed on 31 March 2017 and on 4 September 2017 the first conclusions of this analysis were received together with the recommendations concerning the actions to be taken (in the field of governance and Business Model), by BPER Banca, in order to resolve the findings noted, as the process of implementation of IFRS 9 is only partially in line with the ECB's expectations.
The main recommendations made regarding the areas under investigation concerned:

- the structuring of processes and methodologies regarding the measurement of the accounting adjustments for Expected Credit Losses (ECL) and updating the related documentation;

- the inclusion in internal regulations of internal controls and disclosure procedures regarding the changes involved in the implementation of IFRS 9, as well as specific criteria for identifying business models;
- the internal evaluation of the effectiveness and soundness of the procedure for classification of financial instruments;
- the refinement in internal regulations of provisions regarding the interaction between governance, risk management, remuneration, dividend policy and the identification of the business model;
- the refinement of processes and internal regulations on SPPI (Solely Payments of Principal and Interest)
- the implementation of models for measuring the fair value of unlisted equity instruments;
- the finalisation of internal regulations for application of the definition of default for IFRS 9 purposes.

On 2 October 2017, BPER Banca sent the ECB the Action Plan to implement the Supervisory Authority's recommendations.
On 5 March 2018, the Supervisory Dialogue was held on the preliminary results of the second phase of the Themed Review on IFRS 9. The document with the corresponding official findings is expected to arrive by the end of March.
Progress on the Action Plan will have to be reported to the ECB quarterly from 31 March 2018.

c) From March 2017, the Bank is subject to a themed review specifically on profitability factors.
The formal outcome of this work is not available at the time of preparing this document.

Reference should be made to the chapter *"Significant subsequent events and outlook for operations"* for inspections that began in the first few months of 2018.

9.6 Intercompany and related-party transactions

Relations between the various companies included within the scope of consolidation and with associates and related parties were all of a routine nature and were conducted properly.
For details, as required by art. 2497 *bis* of the Italian Civil Code and by the CONSOB Communication DEM 6064293 dated 28 July 2006, reference should be made to Part H of the Explanatory notes.

In accordance with CONSOB's Regulation 17221/10 and subsequent amendments, issued on the subject of related-party transactions, the BPER Banca Group has adopted specific internal rules to ensure transparency and substantial and procedural correctness of transactions with related parties.
In this context, the Parent Company BPER Banca approved the "Group policy for the governance of non-compliance risk concerning conflicts of interest with related parties and risk activities with associated persons", which was also implemented by the other Group banks and companies. This Policy also complies with the Bank of Italy's requirements in terms of "Risk activities and conflict of interest versus related parties and associated persons" as contained in the 9th update on 12 December 2011 of Circular no. 263 dated 27 December 2006.
The document is published on BPER Banca's website (www.bper.it, in the "Related Parties" section) and on the websites of the other Group banks.

Note that on 31 December 2017, the only Group Bank that is listed and therefore required to observe CONSOB Regulation 17221/10, in addition to the Parent Company, is Banco di Sardegna s.p.a.
Without prejudice to the disclosure requirements of the ruling IAS 24, the following is a summary of transactions with related parties at 31 December 2017, for which information is provided under Regulation no. 17221/10.

a) more significant individual transactions concluded during the reference period

No.	Company that initiated the transaction	Name of the transaction counterparty	Nature of the relationship with the counterparty	Object of the transaction	Consideration for each transaction completed (Euro/000)	Other information
1	BPER Banca S.p.A.	Banco di Sardegna S.p.A.	Directly controlled subsidiary	18 repo transactions/cash deposits concluded in the 1st half of 2017	(*)	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
2	BPER Banca S.p.A.	Estense Covered Bond S.r.l.	Directly controlled subsidiary	Repo transactions	276,944	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
3	BPER Banca S.p.A.	Banca Popolare dell'Emilia Romagna (Europe) International S.A..	Directly controlled subsidiary	Renewal of credit line	250,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
4	BPER Banca S.p.A.	Sardaleasing S.p.A.	Directly controlled subsidiary	Renewal of credit line	692,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
5	Banco di Sardegna S.p.A.	BPER Banca S.p.A.	Directly controlled subsidiary	Securities lending	1,000,000	Information document of 8 June 2017

No.	Company that initiated the transaction	Name of the transaction counterparty	Nature of the relationship with the counterparty	Object of the transaction	Consideration for each transaction completed (Euro/000)	Other information
6	BPER Banca S.p.A.	Emilia Romagna Factor S.p.A.	Directly controlled subsidiary	Renewal of credit line	900,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
7	BPER Banca S.p.A.	Banca di Sassari S.p.A.	Directly controlled subsidiary	Renewal of credit line	630,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
8	BPER Banca S.p.A.	Cassa di Risparmio di Bra S.p.A.	Directly controlled subsidiary	Renewal of credit line	250,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
9	BPER Banca S.p.A.	Sardaleasing S.p.A.	Directly controlled subsidiary	Renewal of credit line	677,500	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
10	BPER Banca S.p.A.	Sardaleasing S.p.A.	Directly controlled subsidiary	Renewal of credit line	677,500	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221

No.	Company that initiated the transaction	Name of the transaction counterparty	Nature of the relationship with the counterparty	Object of the transaction	Consideration for each transaction completed (Euro/000)	Other information
11	BPER Banca S.p.A.	Sardaleasing S.p.A.	Directly controlled subsidiary	Renewal of credit line	569,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
12	BPER Banca S.p.A.	Alba Leasing S.p.A.	Direct associated company	Renewal of credit line	570,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
13	BPER Banca S.p.A.	Sardaleasing S.p.A.	Directly controlled subsidiary	Renewal of credit line	662,300	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
14	Banco di Sardegna S.p.A.	BPER Banca S.p.A.	Direct parent company	Renewal of credit line	2,500,000	Information document of 1 December 2017
15	Banco di Sardegna S.p.A.	BPER Banca S.p.A.	Direct parent company	Renewal of credit line	950,000	Information document of 1 December 2017
16	Banco di Sardegna S.p.A.	BPER Banca S.p.A.	Direct parent company	Renewal of credit line	300,000	Information document of 1 December 2017

With regard to repurchase agreements/cash deposits concluded bilaterally between the Parent Company and the subsidiary Banco di Sardegna s.p.a., it should be noted that these are due to operations which allowed this subsidiary bank to have a more effective supply of liquidity from the market.
(*) It should be noted that the 18 transactions mentioned above are included in the range between Euro 271,831 thousand and Euro 800,000 thousand.

b) other individual transactions with related parties as defined under article 2427, second paragraph, of the Italian Civil Code, entered into in the reporting period, that have materially impacted the financial position and results of the company

On 11 July 2017, the Board of Directors of BPER Banca approved a plan for BPER Banca to absorb Nuova Carife. This is considered to be a less material transaction.

Note that on 23 October 2017, the Boards of Directors of CARIFE SIM s.p.a. and OPTIMA s.p.a. SIM approved a merger plan for CARIFE SIM s.p.a. to be absorbed by OPTIMA s.p.a. SIM. This is considered to be a less material transaction.

As required by CONSOB Regulation no. 17221/10 with regard to other transactions with related parties, it is confirmed that no transactions have had a significant effect on the balance sheet or results of the company.

c) changes or developments in related-party transactions disclosed in the last Annual report that have had a material effect on the financial position or results of the companies during the period

During the period, there have been no changes or developments in the related-party transactions described in the last annual report that would have an effect on the financial position or results of the Company.

9.7 Information on atypical, unusual or non-recurring transactions

During 2017 there were no atypical or unusual transactions, as defined by CONSOB Communication DEM 6064293 dated 28 July 2006.
Neither were there any non-recurring transactions during the year.

9.8 Information on business continuity, financial risks, impairment tests and uncertainties regarding the use of estimates

Joint document 2 issued by the Bank of Italy, CONSOB and ISVAP (now IVASS) on 6 February 2009 requests directors to include adequate information in their reports on Group's operations on business continuity (going concern), financial risks, impairment tests and uncertainties regarding the use of estimates.
Summary information is provided below, bearing in mind that further discussion is presented in the explanatory notes and elsewhere in this report.

Going Concern

In preparing the consolidated financial statements for the year ended 31 December 2017, the Directors considered the going-concern assumption to be appropriate because they did not find any uncertainties related to events or circumstances that, individually or collectively, could give rise to doubts about the business's ability to continue.
To confirm and strengthen this assessment, it should be noted that, on 19 December 2017, the Parent Company's Board of Directors approved the 2018 Budget, which foresees the achievement of a positive economic result and the maintenance of an adequate capital base.

Financial risk

Part E of the explanatory notes provides qualitative and quantitative information on the principal types of financial risk normally faced by the Group.
With regard to market risks, the quantification of the capital required to cover them shows that the amount is insignificant (Euro 72.6 million, being 2.79% of total capital requirements at 31 December 2017).
The characteristics of the financial instruments held, both in terms of counterparty and type, enable management to state confidently that the portfolio, which does not include complex or innovative

derivatives, is not exposed to significant financial risks. As a primary activity, the Parent Company trades on own account.

With regard to liquidity, the composition of assets shows a customer loans/deposits ratio of 95.16% (down on 95.28% on 31 December 2016) and financial investments (represented by the asset captions from 20 to 50, under Financial assets) as a ratio of customer indebtedness (liability caption 20 *"Due to customers"*) is 36.21% (35.23% at 31 December 2016) and as a ratio of direct deposits is 30.77% (28.71% at 31 December 2016).

The net interbank position at 31 December 2017 is a negative balance of Euro 9,971.7 million (Euro 8,130.9 million at the end of 2016).

At the same date, the pooling account of the Central Treasury possessed available resources amounting to Euro 2,000 million, in addition to further securities and loans not transferred to the pooling account of Euro 1,305 million, giving rise to a counterbalancing capacity of Euro 3,305 million.

In view of the amount of securities available for refinancing, the Group's overall operating liquidity is satisfactory overall, steadily improving throughout the year. The quality and size of the refinanceable portfolio, subject to constant refinement, allow any significant risks concerning the liquidity position to be properly addressed. Moreover, these risks are subject to constant monitoring by the relevant functions.

Impairment tests on assets

As regards testing goodwill for impairment, when preparing the separate and consolidated financial statements, the Group carries out specific impairment tests on an annual basis as required by the accounting standards, normally at 31 December of each year, unless there have been changes or there are completely new situations that are likely to have had a material impact on the carrying amounts of assets and on the assumptions used the previous time the assets were measured (particularly the assumptions used to calculate the discount rate (KE) and profit forecast (budget and business plans) of the Companies or CGUs whose goodwill is to be tested, i.e. subsidiaries and associates).

Disclosure has already been made of the methodologies and assumptions adopted for the performance of these activities in Parts A and B of the explanatory notes, which also include the results of stress tests required by law.

Para. 9 of IAS 36 requires an assessment to be made on each accounting reference date about whether or not an asset may be impaired; in addition, paras. 12 to 14 of IAS 36 describe certain situations that might be evidence of impairment.

This testing for impairment revealed the need to make adjustments to the overall investment portfolio of Euro 4.5 million and goodwill of Euro 28.4 million.

With respect to *"Financial assets available for sale"*, which had negative valuation reserves at the year end, the criteria adopted for the identification of permanent losses, for which ample disclosure is given in Part A of the notes, revealed cases in which impairment adjustments had to be made for a total of Euro 104.6 million.

Impairment testing is also required for the determination of the fair value of property held for whatever purpose. Details of the methods and criteria adopted have been disclosed in Part A of the notes, while details of the specific tests conducted in 2017 and the results thereof have been provided in the chapter in this report on real estate.

The impairment testing highlighted the need to write down the carrying amount of the real estate sector by Euro 8 million, compared with the Group's total real estate assets of Euro 957.2 million (net book value of owned land and buildings).

Uncertainties in the use of estimates

Given the current, extremely uncertain macroeconomic conditions, any assumptions about the present and future value of assets and liabilities are inevitably exposed to risk. Accordingly, it is impossible to state that currently unforeseeable future events, perhaps arising very soon, will not result in significant adjustments to the carrying amounts of the various items comprising the balance sheet. As always, the Group has taken the greatest possible care when measuring its exposures at 31 December 2017, considering the estimated realisable value of all financial assets with reference to external information (e.g. market prices for securities) or internal evidence (with regard to loans to customers). This process is discussed in Part A of the explanatory notes.

9.9 Information to be provided about impairment tests, the contractual clauses that govern borrowing, the restructuring of debt and the fair value hierarchy

Document 4, jointly issued by the Bank of Italy, CONSOB and ISVAP (now IVASS) on 3 March 2010 follows on from that issued in February 2009 by the three Authorities and, with respect to certain aspects covered, confirms their recommendations thereon. This joint document draws "the attention of members of administrative and supervisory bodies and managers responsible for preparing financial reports to the need to ensure adequate disclosures for the purposes of clarity of the impact of the crisis on the capital, financial position and results of operations and of operating decisions and strategies, together with any corrective action taken to adapt business strategy to the changed business environment".

The communication does not have an independent prescriptive content, since it does not introduce any further obligations beyond those envisaged by IAS/IFRS, but identifies certain areas of disclosure of specific interest, in which companies must ensure the highest degree of transparency, namely:

- impairment tests on goodwill, other intangible assets with indefinite useful lives and equity investments;
- the measurement of equities classified as "*Financial assets available for sale*";
- disclosures regarding the so-called "fair value hierarchy", introduced by the amendment to IFRS 7 dated March 2009 and subsequent amended by IFRS 13.

Furthermore, this gives a number of details on the information to be provided on debt restructuring and the classification of financial liabilities when the contractual clauses are not respected, leading to the acceleration clause coming into effect.

Impairment testing of goodwill, other intangible assets with an indefinite useful life and equity investments in subsidiary banks

As previously indicated, the measurement of goodwill, of other intangible assets with indefinite useful lives and of equity investments is detailed further in Part A of the explanatory notes, in the paragraph *"22 - Method for determining the extent of impairment"* (which details the method adopted) and in Part B of the explanatory notes in Assets, Sections 10 and 13. Disclosure is also given on the impact on results of such activities, in the commentary on specific income statement components in Part C.

With respect to business combinations and allocation of the purchase price, further disclosure is given in Part A of the notes, in paragraph *"23 - Business combinations: allocation of the purchase cost"*, as well as in Part G of these Explanatory notes, in the event of any changes or new transactions since the last approved set of financial statements.

The tests were carried out on the basis of an updated discount rate (Ke) of 9.90% (a rate of 9.99% was used at 31 December 2016), in line with market conditions and relevant benchmarks.
For 2017 and 2018, reference was also made to the financial projections made on the basis of the budgets approved by the individual banks, especially for the subsidiaries.
For the period 2019-2022, economic-financial projections were developed in a context of inertial growth in order to identify sustainable long-term normalised income, taking into account the expected growth given by the macroeconomic situation and the trend in actual income recorded by each CGU. The effects of actions already approved and in progress have also been considered, namely:

- the impact deriving from the introduction of IFRS 9 (effect of extra provisioning for loans during FTA in 2018);
- the impact deriving from the actions envisaged in the NPEs plan approved by the Parent Company's Board of Directors in October 2017, reflecting these actions on the development of net loans, the evolution of RWA and the cost of credit.

The impairment test performed highlighted impairment losses on the goodwill allocated to the CGUs Banco di Sardegna of Euro 26.7 million and Sardaleasing of Euro 1.7 million. Tests have confirmed the carrying amount of goodwill recognised at 31 December 2017 by the other entities.

Measurement of equities classified as "Financial assets available for sale"

With regard to securities classified as "*Financial assets available for sale*", the related methods for determining the extent of impairment are described in Part A of the explanatory notes.
It is worth mentioning here that the Group has taken steps to identify objective parameters useful for establishing objective evidence of impairment, in accordance with the indications given by IFRIC in its document of July 2009.
The results of impairment testing are shown in section 9.8 *"Information on business continuity, financial risks, impairment tests and uncertainties regarding the use of estimates"*.

Fair value hierarchy

The BPER Banca Group has classified its financial assets and liabilities into the three fair value levels envisaged by IFRS 13, explaining the methodologies and parameters in the document entitled "BPER Banca Group guidelines for the measurement of financial instruments at fair value"; detailed information on these standards is given in Part A of these Explanatory notes, paragraph *"21 - Methods of determining fair value"*.

9.10 Remuneration policies

The remuneration policies of the entire BPER Banca Group were established during 2017 in accordance with the regulatory requirements.
In particular, in an increasingly sophisticated regulatory environment, the Group has adjusted its policies to the new rules on staff remuneration.
In confirming and consolidating the pillars of its policy, the Group proceeded to the evolution of the remuneration systems to ensure consistency with the Company's strategies and priorities, alignment with the rules and compliance with shareholders' expectations, also with reference to 2018, the next financial year.
In light of the foregoing and in accordance with the provisions of CONSOB on remuneration policies, we prepared a "Remuneration Report pursuant to art. 123-*ter* of Legislative Decree 58 of 24 February 1998,

comprising the remuneration policies for 2018 of the BPER Banca Group and the annual disclosure regarding implementation of the remuneration policies for 2017".
This document, which consists of two complementary sections and is accompanied by the certification pursuant to paragraph 2 of article 154-*bis* of the CFA of the Manager responsible for preparing the company's financial reports, summarises the following information:

I. 2018 Remuneration Policies of the BPER Group: this section defines the model adopted by the Group in relation to policies that will be implemented with reference to 2018.
II. 2017 Annual Remuneration Report: this section contains the main results relating to:
   a) Part 1: the items that make up the remuneration, including the conditions applied in the event of the resignation or termination of employment.
   b) Part 2: with particular regard to members of the boards of directors and statutory auditors, general managers and any other managers with strategic responsibilities, it provides a detailed list of the compensation paid in 2017 for any purpose and in any form by the Company, its subsidiaries and affiliates.

Together with this document, the "Proposed remuneration plan pursuant to art. 114-*bis* of Legislative Decree 58 dated 24 February 1998, implementing the remuneration policies for 2018 of the BPER Banca Group" will also be presented to the Shareholders' Meeting, along with a document to provide information on the proposal to adopt the Phantom Stock Plan pursuant to article 84-*bis* of the Issuers' Regulations and in accordance with the instructions contained in schedule 7 of Appendix 3A.
The Plan provides for a cash bonus that is determined on the basis of the quoted market price of BPER's shares, and is defined as a Phantom Stock Plan, as it is not based on physical delivery of the underlying securities, but on the payment in cash of sums of money corresponding to the value of the underlying shares on specified dates that are decided ex-ante.
Please refer to Part I of the notes for further details.

9.11 Report on the Arms Industry

The BPER Banca Group prepared the 2017 Report on the Arms Industry, in compliance with Group guidelines governing the relations with defence contractors and manufacturers of armaments.
This annual report, which has been approved by the governing bodies of the Parent Company BPER Banca, reports on the following types of activities in 2017:

- the identification of counterparties affected by the Guidelines;
- calculation of the aggregate of transactions by individual Group bank with an indication of the number and total amounts;
- other relevant aspects such as decisions regarding "embargoes" of specific countries, any exceptions to the guidelines, staff training, relations with civil society, businesses and entities for identification purposes.

The report will be published on the website www.bper.it, together with the separate financial statements of BPER Banca and the consolidated financial statements of the Group, in the section dedicated to documentation for the Shareholders' Meeting, as well as in the "Sustainability" section.

9.12 Transition to IFRS 9

On 24 July 2014, the International Accounting Standards Board (IASB) issued the definitive version of IFRS 9 "Financial Instruments" to replace IAS 39. IFRS 9 was approved by the European Commission in November 2016 with EC Regulation 2067/2016. The new accounting standard introduces significant changes in relation to:

- classification and measurement of financial assets;
- introduction of a new accounting model for "impairment" based on: (i) an "expected losses" approach instead of the current "incurred losses" one, and (ii) the concept of expected "life time" loss, with a consequent increase in adjustments, especially on loans;
- change in the method of accounting for the entity's own credit risk with regard to financial liabilities.

On 27 October 2017 the European Securities and Market Authority (ESMA) published the document "European common enforcement priorities for 2017 IFRS financial statements", defining the common European priorities in promoting a consistent application of IFRS. In this document, ESMA outlines the disclosures that credit institutions are expected to provide in the financial statements at 31 December 2017 with regard to the decisions made in key areas of IFRS 9 on the transition from IAS 39 to IFRS 9.

The new classification, measurement and impairment requirements will be applied from 1 January 2018, the date of transition to the new standard, with the possibility of not having to restate the comparative figures.

The BPER Banca Group launched a specific project (IFRS 9) to analyse the qualitative-quantitative accounting impacts of applying the new regulatory requirements and making procedures, processes and information systems fully effective by the date of entry into force of the new standard. Details are provided below of the approach followed by BPER Banca Group to analyse the content of IFRS 9 and the consequent implementation, training, organisational and technical aspects associated therewith.

The requirements of IFRS 9

IFRS 9 is divided into three parts:
1) Classification and measurement of financial instruments;
2) Impairment;
3) Hedge accounting.

As far as the first part is concerned, IFRS 9 introduces a model whereby the classification of financial assets is determined based on contractual cash flow characteristics and the purpose for holding the related portfolios (the Business Model). Based on the results of this model, IFRS 9 replaces the current five accounting classifications ("Financial assets held for trading", "Financial assets available for sale", "Financial assets held to maturity", "Loans", "Financial assets designated at fair value") with three new groupings: "Hold to Collect", "Hold to Collect and Sell" and "Other business model", as described below:

- Financial assets are classified as measured at amortised cost or at fair value through other comprehensive income only if the instruments pass the contractual cash flow characteristics test (Solely Payment of Principal and Interest – SPPI test) and the business model test (hold to collect or hold to collect and sell).
- Financial assets held for trading (other business model), and those for which the above two test were not passed, must be classified as assets measured at fair value.

- Equity instruments held for trading are normally classified as measured at fair value; it is also possible to make an irrevocable election at initial recognition to recognise changes in fair value of such equity instruments in an equity reserve, which will never be transferred to profit or loss, not even in the event of disposal of the equity instrument.

IFRS 9 does not introduce any changes to the current requirements of IAS 39 regarding financial liabilities (i.e. they will continue to be valued at amortised cost), except as regards the accounting treatment of own credit risk, changes in which are to be recognised to equity in accordance with IFRS 9, whereas the residual amount of changes in the fair value of liabilities have to be recognised through profit or loss.

The second part of IFRS 9 addresses the classification of credit exposures and the consequent methodology for the determination of impairment. Instruments classified as measured at amortised cost or at fair value through other comprehensive income, except for irrevocably elected equity instruments, must be adjusted using a model based on forward looking expected losses, rather than on the current incurred losses model. The aim is to pre-empt and monitor the status of credit exposures in a timely and continuous manner. Specifically, IFRS 9 requires an estimate to be made of 12-month expected credit losses subsequent to initial recognition and as long as the credit quality continues to be optimal (Stage 1). If the credit risk of the financial instrument has increased significantly subsequent to initial measurement (Stage 2), the expected loss is calculated over the entire residual life of the impaired instruments (life time expected loss). For default positions (Stage 3), the expected loss is calculated over the entire residual life of the impaired instruments (so-called "life time expected loss"), which includes forward-looking factors in scenario assessments; in addition, certain related aspects have changed, such as the calculation of interest revenue.

The aim of the new hedge accounting model, which is addressed in the third part of IFRS 9 and which does not currently extend to macro hedge accounting, is to bring the management and accounting representation of assets closer to the equivalent assets used in the risk management area, increasing disclosure on these risk management actions.

Given these impacts, both on the business and on the organisational, application and reporting side, the project has been organised in three parts, in line with the standard ("Classification and measurement", "Impairment", "Hedge Accounting"), identifying application and organisational interventions within the Group as a whole and for each entity belonging to it.

The main functions within the Group that will be most involved in the implementation of IFRS 9 are Administration and Reporting, which is heading up the project; Risk Management, for the determination and validation of appropriate new risk measures; Credit and Finance, for determination of the portfolios, the consequent business model and the consequent repercussions on operations, and Strategic Marketing, for the analysis of the commercial lending products offered to customers. Also involved are the operating divisions, for the analysis of process implications and for the design of IT system interventions, with the aim of envisaging solutions consistent with the current infrastructure and that are capable of identifying and exploiting potential synergies. The Organisation function is actively involved in the project with a coordination role concerning the adoption and validation of implementation decisions. Alongside the operating divisions, the internal control functions (Internal Audit, Manager responsible for preparing the company's financial reports, Board of Statutory Auditors) and the auditing firm also participated in activation of the Project.

Organisation of the project for implementation within BPER Banca Group

At the beginning of 2016, BPER Banca Group embarked on a project (Project IFRS 9) to analyse the qualitative and quantitative accounting impact arising from the application of the new requirements and to determine the repercussions thereof on the corporate, organisational, process and IT environments.
The IFRS 9 project is scheduled to last for more than 24 months, spread over three financial years 2016-2018. Partly on account of the foregoing, it has been divided into sequential macro-phases:

- a first phase of assessment and determination of the preliminary decisions, completed at the start of 2017;
- a second phase of analysis of the implementation solutions submitted by the three project teams, in order to determine the preferred option and the design of the target operational models, which was completed in 2017;
- a third phase of development and testing of the support procedures and alignment with the internal regulations, which is at an advanced stage of completion.

The project is being supervised by the Parent Company and the implementation interventions will be defined centrally for all subsidiaries, in order to ensure an unequivocal and effective adoption of the standard. As regards IT development activities, Group companies that use common IT systems will not have to do any work, but companies that use different application systems (mostly product-specific companies) will be required to handle development in an autonomous manner, albeit while coordinating the fundamentals. Similarly, from an organisational point of view, the upgrading of existing operating processes and the design and implementation of new processes are being handled by the Parent Company, although the various companies are being duly involved to share and validate the approach adopted.

Methodological approach of the IFRS 9 project

- Classification and Measurement

In order to examine the requirements of IFRS 9, which introduces a classification model for financial assets that is driven by the contractual cash flow characteristics of the instruments, as well as the purpose for which they are held, the work performed has the aim of determining the target business model and the means of performing the contractual cash flow characteristics test (SPPI test).
With regard to classification, the planning activities have been mainly focused:

- on defining the Business Model;
- on a detailed examination of the contractual characteristics of cash flows.

With regard to the first driver for the classification of financial assets (Business Model), the analysis and census activities of the various methods with which the financial instruments are managed in order to generate cash flows were completed.
At the same time, for financial assets (loans and securities) classified in the "Hold to Collect" Business Model, the criteria for admissibility to sales have been defined in order to make them consistent with this Business Model, such as:

- sales following an increase in credit risk;
- financial instruments close to maturity and where the sale price represents the residual contractual cash flows due;
- sales below set frequency and significance thresholds.

With regard to the second driver of classification of financial assets (carrying out the SPPI test for the verification of the contractual characteristics of financial instruments), the activities aimed at assessing whether the contractual cash flows represent exclusively the payment of principal and interest accrued on the amount of principal to be repaid were completed. The BPER Banca Group defined an internal methodology to be allocated to the various functions of the Bank to support both the transition to the new standard and operations.

In particular, an analysis was performed of the cash flows generated by the debt securities that will be classified at amortised cost and at fair value through equity. From the analysis performed, the findings were that only a marginal percentage of debt securities would not pass the SPPI test. These securities, which will have to be classified and measured at fair value, feature optionality that goes beyond their credit risk and time value of money, or they are tranches of ABS or securitisations.

On the basis of national and international working parties in relation to units in UCITS, closed and open-ended funds are classified as financial assets measured at fair value.

The analyses carried out on loan portfolios assessed so-called "plain vanilla" (i.e. standard) contracts, typical of retail accounts, separately from customised ones, essentially relating to larger corporate customers.

Within the BPER Banca Group, it emerged that:

- analysis of the characteristics of the cash flows generated by the financial instruments held in the existing portfolios has not identified, for the moment, any need for significant reclassifications;
- no substantial changes were found for financial liabilities;
- both trading and hedging derivatives will not be subject to reclassification or measurement effects.

- Impairment

The relevant aspects that emerged in the impairment and refining stages are shown below:

a) definition of the objective and quantitative criteria to be used in identifying a significant increase in credit risk when assigning credit lines in Stage 1 or Stage 2. With regard to objective criteria, the Group identified the following conditions for the classification of credit lines in Stage 2:
    - lines that are past-due for at least 30 days at the reporting date;
    - lines belonging to a counterparty in a state of forborne;
    - lines for which there is no origination rating;
    - lines classified as "Watchlist" in the Early Warning credit monitoring system.

    With regard to quantitative criteria, the Bank has adopted an approach that involves comparing the default risk of a financial instrument at the balance sheet date with the risk of non-compliance of the same financial instrument at the date of initial recognition.
b) as regards the potential application under IFRS 9 of the “low credit risk exemption”, the Group currently believes that it is not necessary to adopt this simplification;
c) as regards impaired exposures, the alignment of the accounting and regulatory definitions of default means the current logic applied to the classification of exposures as non-performing/impaired is identical to the future logic to be applied to the classification of exposures at stage 3;
d) Expected credit loss models, including the effect of the forward-looking macroeconomic cycle, have been defined, in particular for the calculation of the one-year expected credit loss (ECL) (to be applied to the exposures in stage 1) and the lifetime expected credit loss (to be applied to the exposures in stage 2);

e) with reference to exposures classified in Stage 3, following in-depth analyses and taking into consideration what is explained in the IFRS Foundation's document entitled "Inclusion of cash flows expected from the sale on default of a loan" and in the "Guidelines for banks on non-performing loans (NPL)" published by the European Central Bank in March 2017 for the pro-active management of non-performing loans, it was felt that including forward-looking factors in scenario evaluations had implications in terms of "measurement", also for impaired assets. Consequently, the application choices of multi-scenario assumptions are being finalised with reference, in particular, to the "disposal scenario" in line with what is defined in the Group's "NPE Business Plan".

The estimates available at the moment show that after first-time application of the standard, impacts will emerge that, according to the rules laid down for transition to the new standard, will be recorded with an impact on equity.
To summarise, these impacts are due to:

- higher adjustments to performing loans and debt securities for Euro 51 million, mainly linked to the allocation of these financial assets to Stage 2, for which the expected loss in lifetime mode is estimated;
- higher adjustments to non-performing loans (Stage 3) of Euro 1.0 billion deriving mainly from the inclusion in the evaluation process of these forward-looking factors introduced by IFRS 9, in multi-scenario hypotheses with reference, in particular, to the "disposal scenario". Even though the planning activities for the definition of the transfer programmes have already begun some time ago, to date we have not yet come to define a sufficiently precise scope of the positions to be sold, such as to allow a precise estimate of the realisation price. Consequently, the amount indicated above, for the portion relating to the "disposal scenario", has been determined on the basis of the objectives and forecasts assumed in the process of defining the 2018-2020 NPE strategy, which is currently being reformulated.
- increases in value of Euro 164 million, deriving from adjustments to the value of financial instruments following the process of classification and measurement in the new portfolios envisaged by IFRS 9.

Based on these estimates, the Fully Phased CET1 ratio will be higher than 12% without considering the tax effect, whereas the one calculated according to the criteria in force for 2018 (Phased in), which will benefit from the delayed impact provided for in EU Regulation 2395/2017, will be higher than 14%, compared with a SREP requirement for the year of 8.125%.

On 30 January 2018, the Group formally communicated to the Supervisory Authority its decision to use the transitional regime for the gradual calculation in the regulatory capital for supervisory purposes of the provisions foreseen in application of IFRS 9. In particular, the Group chose to apply the "Static" option.

The Group will continue to monitor and refine certain elements of the "classification and measurement" and "impairment" processes in the coming months.

- Hedge Accounting:

As regards hedge accounting, the standard provides with an option to implement the new standard, IFRS 9, rather than maintaining the old standard, IAS 39 (opt-in/opt-out option). Based on the work performed, the BPER Banca Group decided to take advantage of the opt-out option and, thus, hedging derivatives will continue to be recognised in accordance with IAS 39 (carve-out).

- IT systems:

As regards the implementation of IT systems, the new software applications have been integrated to help in managing the new classification and measurement process, as well as the calculation of expected credit losses and the inclusion of forward-looking factors for impairment purposes.

9.13 Transition to IFRS 15

IFRS 15, published in April 2016, introduces a new model for the recognition of revenues deriving from contracts with customers. The new standard will replace the current requirements of IFRS on revenue recognition: IAS 11 Construction Contracts, IAS 18 Revenue, IFRIC 13 Customer Loyalty Programmes, IFRIC 15 Agreements for the Construction of Real Estate, IFRIC 18 Transfers of Assets from Customers and SIC-31 Revenue – Barter Transaction involving Advertising Services.

On 27 October 2017 the European Securities and Market Authority (ESMA) published a document entitled "European common enforcement priorities for 2017 IFRS financial statements", laying down common European priorities so as to promote consistent application of IFRS. In this document, ESMA outlines the expectations of "disclosure" that credit institutions should provide in the financial statements at 31 December 2017 in relation to IFRS 15.

The principle is effective from 1 January 2018 and includes specific rules for first-time application; in particular, there is the possibility of choosing between a "full retrospective" approach and a "modified retrospective" approach.

The standard establishes a new model of revenue recognition, which will apply to all contracts with customers, with the exception of those falling within the scope of other IAS/IFRS such as leases, insurance contracts and financial instruments. The fundamental steps for accounting for revenues according to the new model are:

- identification of the contract with the customer;
- identification of the performance obligations of the contract;
- determination of the price;
- allocation of the price to the performance obligations of the contract;
- the criteria for recording the revenue when the entity satisfies each performance obligation.

IFRS 15 provides for the recognition of revenues for an amount that reflects the consideration that the entity deems to be entitled to in exchange for the transfer of goods or services to the customer.

Implementation of the new standard has been coordinated by a working group reporting to the Administration and Reporting Area, which has carried out specific analyses at Group level, involving the subsidiaries where necessary.

Based on analyses to identify contracts with customers and potential changes in revenue recognition, no significant impacts are expected from application of the new standard.

The Group will continue to finalise its analyses, also monitoring the interpretations of the banking market.

10. Significant subsequent events and outlook for operations

10.1 Significant events subsequent to 31 December 2017

Investigations and audits by the ECB

From the beginning of January 2018, Banco di Sardegna is subject to an in-depth analysis by the ECB of the aspects related to internal governance and credit risk management, with the following preliminary objectives:

- compliance with internal regulations and with the thresholds set by the Parent Company for the granting and management of credit, as well as with policies regarding conflict of interest;
- consistency between the Parent Company's strategy and directives and effective implementation at the subsidiary;
- alignment between the role and activities of the bank's Executive Committee and that of the Parent Company.

At the date of preparation of this document, the inspection is still ongoing.

BPER Banca has commenced its securitisation of NPLs

At the end of February 2018, BPER Banca began the work on the securitisation of around Euro 2 billion of bad loans, with the possible use of a GACS (State guarantee) for the Senior component with an investment grade rating.

The start of the operational phase of securitisation of BPER Banca's bad loans is a further and decisive step forward in improving our asset quality, confirming the strong commitment to accelerating the process of reducing non-performing loans. This transaction follows the one carried out by Banco di Sardegna, already at an advanced stage of execution and which will presumably be finalised before the end of the first half of the year. The combined effect of these sales, the significant improvement in the economic scenario and in asset quality trends, as well as the results from the ordinary management of the Group's internal structures, will help significantly in reducing the gross NPE ratio. These effects will be included in the next Business Plan, already at an advanced stage of preparation.

Interventions on the capital of the subsidiaries Sardaleasing S.p.a., Cassa di Risparmio di Bra S.p.a. and Emilia Romagna Factor S.p.a.

As part of its capital management actions, BPER Banca constantly monitors the levels of capitalisation of its subsidiaries. In this context, in January 2018, the Parent Company's Board of Directors decided to recapitalise the three companies in question.

The rationales underlying these proposals, for the most part common to all three companies, are the following:

- reduction of the regulatory ceiling for Large Risks of Financial Companies from 40% to 25% of Own Funds with effect from 1 January 2018 (with alignment to the limits currently in force for the Banks); the event affects the thresholds applicable in both Sardaleasing and Emilia Romagna Factor;

- increase in capital requirements deriving from the growth in loans achieved and/or planned; in the case of Sardaleasing, the increase in volumes is also the result of the extraordinary acquisition of Nuova Carife's leasing portfolio.

Analyses show that the assumed increases come to a maximum of Euro 90 million for Sardaleasing, Euro 30 million for CR Bra and the same for Emilia Romagna Factor.

Once these moves have been completed, offered under option also to the other shareholders of the companies concerned, they will have CET 1 and Total Capital Ratios well above the regulatory minimums (even if a Pillar 2 requirement is applied, though this is not currently envisaged for financial institutions), such as to support even ambitious commercial growth plans without any problems.

10.2 Outlook for operations

At a global level, the economic situation is encouraging, with economic growth and international trade showing signs of strengthening. The European recovery is consolidating, driven above all by the good performance of the German economy. The figures for Italian growth are improving, with GDP that should come in at around +1.5%, with favourable prospects for capital investment and household consumption. The monetary policy adopted by the European Central Bank remains cautious: the ECB has already announced that if inflation does not rise towards the target of 2%, its expansionary policies could be extended over time.

In this favourable scenario, the pressure on net interest income due to the persistence of market rates at all-time lows should be offset by the expected increase in commercial volumes and the easing of competitive tensions on the yield on commercial assets following the closure - at the end of January 2018 - of the verification period for obtaining the benefit deriving from the ECB's TLTRO II programme (the Group met all of its benchmark targets and can therefore benefit in full from the -0.40% interest rate applied to these operations). Important support for revenues is expected to come from commissions, particularly from the asset management and bancassurance sector, while the commercial banking business should remain substantially stable. Operating costs on a like-for-like basis are expected to continue falling gradually. A significant contribution to the Group's profitability is expected to come from the substantial reduction in the cost of credit that began in the first quarter of the year, as a result of the extraordinary intervention on provisions for a total of Euro 1 billion, as announced to the market last November, and the more rapid improvement in asset quality. All of these factors should contribute to support the Group's profitability prospects for the current year.

Modena, 8 March 2018

The Board of Directors
The Chairman
Luigi Odorici

Consolidated financial statements

Consolidated balance sheet as at 31 December 2017

(in thousands of Euro)

Assets	31.12.2017	31.12.2016
10. Cash and cash equivalents	420,299	364,879
20. Financial assets held for trading	663,134	676,844
30. Financial assets designated at fair value	83,299	84,307
40. Financial assets available for sale	12,076,053	10,433,222
50. Financial assets held to maturity	2,637,135	2,515,993
60. Due from banks	3,012,515	1,331,811
70. Loans to customers	47,814,808	45,494,179
80. Hedging derivatives	54,061	62,365
100. Equity investments	454,367	413,923
120. Property, plant and equipment	1,063,483	969,470
130. Intangible assets (*)	506,627	520,829
of which: goodwill (*)	327,084	355,441
140. Tax assets	1,848,127	1,518,027
a) current	575,441	221,395
b) deferred	1,272,686	1,296,632
b1) of which L. 214/2011	1,021,455	1,073,172
160. Other assets	704,899	574,175
Total assets	**71,338,807**	**64,960,024**

Liabilities and shareholders' equity	31.12.2017	31.12.2016
10. Due to banks	12,984,226	9,462,678
20. Due to customers	42,694,078	38,912,714
30. Debt securities in issue	7,504,019	8,587,243
40. Financial liabilities held for trading	169,459	226,837
50. Financial liabilities designated at fair value	48,320	247,933
60. Hedging derivatives	24,383	40,697
80. Tax liabilities	106,218	100,992
a) current	2,258	1,715
b) deferred	103,960	99,277
100.Other liabilities	1,463,452	1,197,062
110. Provision for termination indemnities	187,536	205,364
120. Provisions for risks and charges	440,385	422,791
a) pensions and similar commitments	137,148	136,409
b) other provisions	303,237	286,382
140. Valuation reserves	110,558	89,951
170. Reserves	2,409,985	2,410,357
180. Share premium reserve	930,073	930,073
190. Share capital	1,443,925	1,443,925
200. Treasury shares	(7,258)	(7,258)
210. Minority interests	653,010	674,366
220. Profit (Loss) for the period	176,438	14,299
Total liabilities and shareholders' equity	**71,338,807**	**64,960,024**

(*) The Purchase Price Allocation (PPA) process of Cassa di Risparmio di Saluzzo was completed at 30 June 2017. Control over it was acquired in the fourth quarter of 2016 and the purchase price was allocated on a provisional basis at 31 December 2016; in accordance with paragraph 45 of IFRS 3, the conclusion of the process resulted in an adjustment of the figures at 31 December 2016 compared with those previously published, following the identification of intangible assets with a finite useful life for a total of Euro 9,061 thousand, recognition at the same time of deferred tax liabilities of Euro 2,996 thousand and therefore a reduction in the provisionally recorded goodwill of Euro 6,065 thousand.

Consolidated income statement as at 31 December 2017

(in thousands of Euro)

Captions	31.12.2017	31.12.2016
10. Interest and similar income	1,416,396	1,483,051
20. Interest and similar expense	(291,917)	(312,604)
30. Net interest income	**1,124,479**	**1,170,447**
40. Commission income	776,606	745,959
50. Commission expense	(35,978)	(33,237)
60. Net commission income	**740,628**	**712,722**
70. Dividends and similar income	12,416	9,872
80. Net trading income	38,015	7,944
90. Net hedging gains (losses)	(493)	(335)
100. Gains/losses on disposal or repurchase of:	64,374	107,662
a) loans	(12,431)	(9,748)
b) financial assets available for sale	76,024	118,627
c) financial assets held to maturity	316	-
d) financial liabilities	465	(1,217)
110. Net results on financial assets and liabilities designated at fair value	1,238	4,728
120. Net interest and other banking income	**1,980,657**	**2,013,040**
130. Net impairment adjustments to:	(655,916)	(659,064)
a) loans	(535,975)	(619,750)
b) financial assets available for sale	(104,628)	(51,811)
d) other financial assets	(15,313)	12,497
140. Net profit from financial activities	**1,324,741**	**1,353,976**
180. Administrative costs:	(1,372,985)	(1,383,303)
a) payroll	(783,478)	(769,149)
b) other administrative costs	(589,507)	(614,154)
190. Net provision for risks and charges	(30,578)	(28,668)
200. Net adjustments to property, plant and equipment	(46,124)	(45,709)
210. Net adjustments to intangible assets	(41,305)	(34,886)
220. Other operating charges/income	184,365	173,717
230. Operating costs	**(1,306,627)**	**(1,318,849)**
240. Profit (Loss) from equity investments	18,483	8,491
260. Impairment losses on goodwill	(28,357)	(32,854)
265. Gain on a bargain purchase	190,892	-
270. Gains (Losses) on disposal of investments	(12)	(220)
280. Profit (Loss) from current operations before tax	**199,120**	**10,544**
290. Income taxes on current operations for the period	(22,238)	5,270
300. Profit (Loss) from current operations after tax	**176,882**	**15,814**
320. Profit (loss) for the period	**176,882**	**15,814**
330. Profit (Loss) for the period pertaining to minority interests	(444)	(1,515)
340. Profit (Loss) for the period pertaining to the Parent Company	**176,438**	**14,299**

	Earnings per share (Euro) 31.12.2017	Earnings per share (Euro) 31.12.2016
Basic EPS	0.367	0.030
Diluted EPS	0.367	0.030

Consolidated statement of comprehensive income

(in thousands of Euro)

Consolidated statement of comprehensive income	31.12.2017	31.12.2016
10. Profit (loss) for the period	**176,882**	**15,814**
Other income items, net of income taxes, without release to the income statement	**-**	**-**
40. Defined benefit plans	(1,723)	(15,693)
60. Portion of the valuation reservesx of equity instruments carried at equity	3,007	(1,080)
Other income items, net of income taxes, with release to the income statement:	-	-
90. Cash-flow hedges	(1,467)	(2,844)
100. Financial assets available for sale	19,457	(56,961)
130. Total other element of income (net of income taxes)	**19,274**	**(76,578)**
140. Total comprehensive income (Captions 10+130)	**196,156**	**(60,764)**
150. Total comprehensive income pertaining to minority interests	(5,017)	(5,309)
160. Consolidated comprehensive income attributable to the Parent Company	**201,173**	**(55,455)**

Consolidated statement of changes in shareholders' equity

(in thousands of Euro)

	Balance as at 31.12.16	Changes in opening balances	Balance as at 1.1.17	Allocation of prior year results: Reserves	Allocation of prior year results: Dividends and other allocations	Changes during the period: Changes in reserves	Transactions on shareholders' equity: Issue of new shares	Transactions on shareholders' equity: Purchase of treasury shares	Transactions on shareholders' equity: Extraordinary distribution of dividends	Transactions on shareholders' equity: Changes in equity instruments	Transactions on shareholders' equity: Derivatives on treasury shares	Transactions on shareholders' equity: Stock options	Transactions on shareholders' equity: Changes in participatory interests	Comprehensive income as at 31.12.2017	Shareholders' equity as at 31.12.2017: Group	Shareholders' equity as at 31.12.2017: Minority
Share capital:	**1,563,547**	-	**1,563,547**	-	-	**(104)**	-	-	-	-	-	-	**(416)**	-	**1,443,925**	**119,102**
a) ordinary shares	1,563,547	-	1,563,547	-	-	(104)	-	-	-	-	-	-	(416)	-	1,443,925	119,102
b) other shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Share premium reserve	**1,013,810**	-	**1,013,810**	-	-	**(4)**		-	-	-	-	-	**(397)**	-	**930,073**	**83,336**
Reserves:	**2,838,856**	-	**2,838,856**	**(8,500)**	-	**8,787**	-	-	**(14,377)**	-	-	-	-	-	**2,409,985**	**414,781**
a) from profits	2,238,357	-	2,238,357	(8,500)		8,685	-	-	(14,377)	-	-	-	-	-	1,851,569	372,596
b) other	600,499	-	600,499			102	-	-	-	-	-	-	-	-	558,416	42,185
Valuation reserves:	**130,945**	-	**130,945**	-	-	**(4,313)**	-	-	-	-	-	-	-	**19,274**	**110,558**	**35,348**
Equity instruments	-	-	-	-	-	-	-	-	-	-	-	-	-	-		
Treasury shares	**(7,259)**	-	**(7,259)**	-	-				-	-	-	-	-	-	**(7,258)**	**(1)**
period	**15,814**	-	**15,814**	**8,500**	**(24,314)**	-	-	-	-	-	-	-	-	**176,882**	**176,438**	**444**
Group shareholders' equity	**4,881,347**	-	**4,881,347**	-	**(14,473)**	**6,088**	-	-	**(14,377)**	-	-	-	**3,963**	**201,173**	**5,063,721**	-
Minority interests	**674,366**	-	**674,366**	-	**(9,841)**	**(1,722)**	-	-	-	-	-	-	**(4,776)**	**(5,017)**	-	**653,010**

	Balance as at 31.12.15	Changes in opening balances	Balance as at 1.1.16	Allocation of prior year results: Reserves	Allocation of prior year results: Dividends and other allocations	Changes during the period: Changes in reserves	Transactions on shareholders' equity: Issue of new shares	Transactions on shareholders' equity: Purchase of treasury shares	Transactions on shareholders' equity: Extraordinary distribution of dividends	Transactions on shareholders' equity: Changes in equity instruments	Transactions on shareholders' equity: Derivatives on treasury shares	Transactions on shareholders' equity: Stock options	Transactions on shareholders' equity: Changes in participatory interests	Comprehensive income as at 31.12.2016	Shareholders' equity as at 31.12.2016: Group	Shareholders' equity as at 31.12.2016: Minority
Share capital:	**1,541,639**	-	**1,541,639**	-	-	**44,509**	-	-	-	-	-	-	**(22,601)**	-	**1,443,925**	**119,622**
a) ordinary shares	1,541,639	-	1,541,639	-	-	44,509	-	-	-	-	-	-	(22,601)	-	1,443,925	119,622
b) other shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Share premium reserve	**972,953**	-	**972,953**	-	-	**82,952**		-	-	-	-	-	**(42,095)**	-	**930,073**	**83,737**
Reserves:	**2,724,674**	-	**2,724,674**	**171,147**	-	**(56,965)**	-	-	-	-	-	-	-	-	**2,410,357**	**428,499**
a) from profits	2,139,608	-	2,139,608	171,147	-	(72,398)	-	-	-	-	-	-	-	-	1,854,182	384,175
b) other	585,066	-	585,066	-	-	15,433	-	-	-	-	-	-	-	-	556,175	44,324
Valuation reserves:	**200,557**	-	**200,557**	-	-	**6,966**	-	-	-	-	-	-	-	**(76,578)**	**89,951**	**40,994**
Equity instruments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Treasury shares	**(7,257)**	-	**(7,257)**	-	-	**(2)**			-	-	-	-	-	-	**(7,258)**	**(1)**
period	**219,232**	-	**219,232**	**(171,147)**	**(48,085)**	-	-	-	-	-	-	-	-	**15,814**	**14,299**	**1,515**
Group shareholders' equity	**5,024,511**	-	**5,024,511**	-	**(48,085)**	**(28,872)**	-	-	-	-	-	-	**(10,752)**	**(55,455)**	**4,881,347**	-
Minority interests	**627,287**	-	**627,287**	-	-	**106,332**	-	-	-	-	-	-	**(53,944)**	**(5,309)**	-	**674,366**

Consolidated statement of cash flows

Indirect method

(in thousands of Euro)

A. Operating activities	31.12.2017	31.12.2016
1. Cash generated from operations	**924,172**	**888,475**
net profit (loss) for the period	176,438	14,299
net gains/losses from financial assets held for trading and financial assets/liabilities designated at fair value	(31,885)	7,007
gains (losses) from hedging activities	493	335
net adjustments for impairment	847,314	691,918
impairment/write-backs to property, plant and equipment and intangible assets	87,429	80,595
net provisions for risks and charges and other costs/income	65,200	107,862
unsettled taxes	22,238	(5,270)
other adjustments	(243,055)	(8,271)
2. Cash generated/absorbed by financial assets	**(4,435,812)**	**(4,559,928)**
financial assets held for trading	45,572	106,240
financial assets designated at fair value	2,276	(2,239)
financial assets available for sale	(1,533,019)	(2,505,533)
loans to customers	(1,680,575)	(2,411,252)
due from banks: on demand	(10,230)	121,303
due from banks: other receivables	(1,286,966)	(365,917)
other assets	27,130	497,470
3. Cash generated/absorbed by financial liabilities	**3,809,091**	**3,678,571**
due to banks: on demand	327,148	(238,071)
due to banks: other debts	3,212,555	4,177,757
due to customers	1,850,054	3,025,056
debt securities in issue	(1,196,320)	(1,907,322)
financial liabilities held for trading	(58,419)	(15,312)
financial liabilities designated at fair value	(200,304)	(620,846)
other liabilities	(125,623)	(742,691)
Net cash generated/absorbed by operating activities	**297,451**	**7,118**

B. Investing activities	31.12.2017	31.12.2016
1. Cash generated by	**158,176**	**164,769**
sale of equity investments	7,728	23,336
sale of financial assets held to maturity	147,842	138,408
sale of property, plant and equipment	2,606	3,025
2. Cash absorbed by	**(362,038)**	**(149,398)**
purchase of equity investments	(301)	-
purchase of financial assets held to maturity	(301,575)	(6,908)
purchase of property, plant and equipment	(36,756)	(72,028)
purchase of intangible assets	(55,479)	(70,462)
purchase of lines of business	32,073	-
Net cash generated/absorbed by investing activities	**(203,862)**	**15,371**

C. Financing activities	31.12.2017	31.12.2016
dividend distribution and other	(38,691)	(48,085)
Net cash generated/absorbed by financing activities	**(38,691)**	**(48,085)**
Net cash generated/absorbed in the period	**54,898**	**(25,596)**

Reconciliation

Captions	31.12.2017	31.12.2016
Cash and cash equivalents at beginning of the period	364,879	390,371
Net cash generated/absorbed in the period	54,898	(25,596)
Cash and cash equivalents: effect of exchange rate variations	522	104
Cash and cash equivalents at end of the period	**420,299**	**364,879**

The cash flow absorbed by the purchase of lines of business reflects the difference between the price paid (Euro 1) and the liquid funds acquired (Euro 32.1 million) on the business combination deriving from the acquisition of Nuova Cassa di Risparmio di Ferrara s.p.a.

Consolidated Explanatory notes

Key to abbreviations in tables:

FV: Fair value
FV: Fair value excluding variations due to changes in the credit worthiness of the issuer since the issue date*
NV: Nominal or notional value
BV: Book value
L_1: Fair value hierarchy – Level 1
L_2: Fair value hierarchy – Level 2
L_3: Fair value hierarchy – Level 3
#: Figure not to be filled in according to the instructions of the Bank of Italy (Circular 262)

Part A – Accounting policies

A.1 – General information

Section 1 - Declaration of compliance with International Financial Reporting Standards

The consolidated financial statements for the year ended 31 December 2017 have been prepared in accordance with the International Accounting Standards (IAS) and International Financial Reporting Standards (IFRS) issued by the International Accounting Standards Board (IASB), endorsed by the European Commission, as provided by EU Regulation 1606 dated 19 July 2002, and currently in force, including the related interpretations of the International Financial Reporting Interpretations Committee (IFRIC) and the Standing Interpretations Committee (SIC).

Reference was also made, where necessary, to the "Framework for the preparation and presentation of financial statements" and to the documents prepared by the Italian Accounting Body (OIC) and the Italian Banking Association (ABI).
In the absence of a standard or interpretation specifically applicable to a particular transaction, the Parent Company makes use of the professional opinion of its own staff, in particular the Administration and Reporting Department, to develop a rule for accounting recognition that makes it possible to provide reliable financial information and to ensure that the financial statements give a true and fair view of the financial position, result of operations and cash flows of the Group, reflecting the economic substance of the transaction and its key aspects.
In formulating these accounting rules, reference has been made as far as possible to International Accounting Standards and interpretations dealing with similar or comparable matters.
As part of its guidance and coordination activity, the Parent Company requires the other Group Banks and Companies to apply the Group's own accounting recognition rules, in the right circumstances.

Section 2 - Basis of preparation

In terms of technical format and layout, the consolidated financial statements have been prepared in accordance with Circular no. 262/2005 and subsequent amendments, and with CONSOB resolution 11971 dated 14 May 1999 and subsequent amendments.
The financial statements also reflect the requirements of the Italian Civil Code, as amended following the reform of company law (Legislative Decrees no. 5 and 6 dated 17 January 2003, and subsequent amendments, including Decree 310 dated 28 December 2004), and the enabling instructions issued for art. 9 of Legislative Decree no. 38/2005.
The financial statements consist of the consolidated balance sheet, the consolidated income statement, the Consolidated statement of comprehensive income, the Consolidated statement of changes in shareholders' equity, the Consolidated statement of cash flows and these explanatory notes. Figures are expressed in thousands of Euro. They are accompanied by the directors' report on operations.

The general criteria underlying the preparation of the financial statements are presented below in accordance with IAS 1:

- Going Concern: assets, liabilities and off-balance sheet transactions are measured in the context of continuity over time.

- Accrual Basis of Accounting: costs and revenues are recognised in accordance with the matching principle, regardless of when they are settled.
- Materiality and Aggregation: each material class of similar items is presented separately in the financial statements. Items that are dissimilar in terms of their nature or use are only aggregated if they are individually immaterial.
- Offsetting: assets and liabilities, income and expenses are not offset unless required or permitted by a standard or an interpretation, or by the Bank of Italy's regulations for the preparation of financial statements.
- Frequency of Disclosures: information must be prepared annually or more frequently; if an entity changes its accounting reference date, the reason must be indicated together with the fact that the information provided is not comparable.
- Comparative Information: comparative information is disclosed in respect of the previous period for all amounts reported in the financial statements, unless required otherwise by a standard or an interpretation.
- Consistency of Presentation: the presentation and classification of items is maintained over time to ensure that information is comparable, unless specified otherwise in new accounting standards or their interpretations, or unless a change is required to improve the meaningfulness and reliability of the amounts reported. The nature of changes in account presentation or classification is described, together with the related reasons; where possible, the new criterion is applied on a retroactive basis.

The description of the accounting policies adopted in relation to the principal financial statement aggregates is presented in sufficient detail to identify the principal assumptions and assessments made for the preparation of the financial statements.

The notes and attachments provide additional information to help to provide a complete, true and fair view of the company's situation, even if such information is not expressly required by the regulations.
Even when required by the regulations, the notes does not distinguish between information on the Group and that relating to Other Businesses, given that the amounts relating to the latter are immaterial.

The scope of consolidation does not include insurance companies.

Uncertainties in the use of estimates

The preparation of financial statements requires recourse to estimates and assumptions that may affect the amounts recorded in the balance sheet and the income statement. as well as the information about contingent assets and liabilities disclosed in the financial statements. The development of such estimates involves the use of available information and the adoption of subjective assessments, partly based on historical experience, in order to make reasonable assumptions for the recognition of operating events. By their nature, the estimates and assumptions used may change from period to period and, accordingly, it may be that the actual amounts recorded in the financial statements in subsequent periods are significantly different as a consequence of changes in the subjective assessments made.
The principal situations in which management is required to make subjective assessments include:

- quantification of the losses arising from the impairment of loans and, in general, other financial assets;
- determination of the fair value of financial instruments for disclosure purposes; in particular, the use of measurement models to determine the fair value of financial instruments that are not listed in active markets;
- quantification of the provisions for employee benefits and the provisions for risks and charges;
- estimates and assumptions about the recoverability of deferred tax assets;
- measurement of goodwill/intangible assets.

Economic and financial projections were prepared and approved by the Board of Directors of the Parent Company as part of the impairment testing of goodwill.
These economic-financial projections have been developed on the basis of a 5-year time horizon; the following have been used, in particular:

- for 2017, the preliminary results of each entity;
- for 2018, the budget figures;
- for the period 2019-2022, the economic-financial projections developed on an inertial basis with the aim of identifying a normalised level of income sustainable in the long term, considering the expected evolution of the macro-economic scenario.

Section 3 - Scope of consolidation and methodology

The international accounting standards referred to when preparing the consolidated financial statements, when the circumstances arise, are IFRS 3 "Business Combinations" (issued with EC Regulation 495/2009 and subsequent updates), IFRS 10 "Consolidated Financial Statements", IFRS 11 "Joint agreements", IAS 27 "Separate Financial Statements", IAS 28 "Investments in associates and joint ventures" (all issued with EC Regulation 1254/2012 and in force since 1 January 2014 and subsequent updates).

Consolidation principles

The BPER Banca Group's consolidated financial statements include the balance sheet and income statement of the Parent Company and of its direct and indirect subsidiaries; they include subsidiaries operating in sectors dissimilar from that of the Parent Company and vehicle companies (special purpose vehicles or SPVs)[39], when they fulfil the requirements for effective control, whether or not there is an equity interest.
The new concept of control (IFRS 10 § 6) is based on the simultaneous presence of three elements:

- the power to direct the relevant activities, i.e. the activities of the investee that significantly affect its returns;
- exposure to variable returns arising from the activity of the investee;
- the exercise of power to influence the returns.

Subsidiaries are companies in which the Parent Company, directly or indirectly, owns more than half of the voting rights. However, the concept of control is considered to exist when at the same time the investor has power over the investee. There has to be a correlation between the powers and returns, which occurs when the investor holds valid rights that give it the ability to direct the relevant activities of the investee or have a significant effect on its returns.
Structured entities are also consolidated, when effective control requirements are met, regardless of whether there is an equity interest. Please refer to Part E, Section D "Information on structured entities (other than securitisation companies)" of these Explanatory Notes.

Jointly controlled companies are those in which the voting rights and control of economic activities are shared equally by the Parent Company, directly and indirectly, and by another external entity. An equity investment is also considered as subject to joint control when, in the absence of an equal share of voting rights, control over the company's economic activities and strategies are shared with other parties under contractual agreements. The BPER Banca Group does not include any jointly controlled entities at 31 December 2017.

Associates are companies subject to significant influence, in which the Parent Company, directly or indirectly, holds at least a fifth of the voting rights (including "potential" rights to vote) and which has the power to take part in deciding the financial and operating policies. Associated companies are also those in which – despite a lower share of voting rights – the Parent Company has the power to take part in deciding the financial and operating policies under a particular legal relationship, such as, for example, participation in shareholder agreements.

[39] *The consolidation of SPVs has the same effects as consolidation on a line-by-line basis.*

Consolidation methodology

As a rule, subsidiaries are consolidated on a line-by-line basis, while jointly controlled entities and non-controlling interests in which the Group exercises significant influence are accounted for using the equity method.

The methods adopted for consolidation on a line-by-line basis are as follows:

- assets, liabilities and equity and income statement items are combined on a line-by-line basis;
- debit and credit balances, off-balance sheet transactions and income and costs arising from transactions between consolidated companies are eliminated;
- the shareholders' equity and net profit attributable to minority interests in the consolidated companies are classified separately in the balance sheet (as a liability) and the income statement;
- on first-time consolidation, the carrying value of the equity investments in companies consolidated on a line-by-line or proportional basis is eliminated against the shareholders' equity in these companies (or the portion of shareholders' equity that the equity investments concerned represent). The acquisition of interests in companies is recorded using the "purchase method" defined in IFRS 3, with the recognition of the assets, liabilities and contingent liabilities of purchased companies at their fair value at the time of acquisition, i.e. at the time that effective control over them is obtained. Accordingly, the results of a subsidiary purchased during the year are consolidated from the date of acquisition. Similarly, the results of a subsidiary that is sold are consolidated until the date that control is lost;
- any excess of the carrying value of the equity investments referred to above with respect to the interest held in their shareholders' equity, as adjusted to reflect the fair value of assets and liabilities, is classified as goodwill among *"Intangible assets"*, while any shortfall is credited to the income statement;
- any changes in the interest held in equity investments are booked as transactions on capital. Any difference between the value of equity investments to be adjusted and the fair value of the consideration paid (or received) has to be booked directly as a change in shareholders' equity and suitably allocated to minority interests;
- the fairness of the value recorded for goodwill is tested at least once a year (or whenever there is evidence of impairment), as required by IAS 36. To meet regulatory requirements, the cash-generating unit to which goodwill is allocated has to be identified. Write-downs reflect the difference between the book value of goodwill and its recoverable value, if lower, as represented by the fair value of the cash generating unit, less costs to sell, or, if higher, its value in use. Any adjustments are recorded in the income statement under item 235 *"Badwill"*.

Under the equity method:

- the book value of significant equity investments held by the parent bank or by other group companies is compared with the related interest in the shareholders' equity of these associated companies carried at equity. Any excess book value - identified on initial consolidation - is included in the carrying value of the investment. Changes in shareholders' equity subsequent to first-time consolidation are classified in caption 240 of the consolidated income statement as "*Losses (income) from investments*", to the extent that they relate to their net profit or losses, while other changes are recognised as a direct adjustment of shareholders' equity;

- if there is evidence that a significant investment in an associate may be impaired, its recoverable amount is estimated with reference to the present value of future cash flows, including the expected proceeds from the future sale of the investment. If the recoverable amount is lower than the carrying amount, the related difference is charged to the income statement.

Current regulations require the scope of consolidation to be managed on two levels:

- the accounting scope of consolidation governed by IFRS 10[40] "Consolidated financial statements", IAS 27 "Separate financial statements", IAS 28 "Investments in Associates and Joint Ventures" and, if required by the circumstances, IFRS 11 "Joint Agreements" (all adopted by Regulation (EU) 1254/2012 and effective from 1 January 2014 and subsequent amendments) and IFRS 3 "Business Combinations" (adopted by Regulation (EU) 495/2009 and subsequent amendments).
- the prudential scope of consolidation governed by Regulation (EU) 575/2013, in which art. 19 indicates the entities to be excluded from the prudential consolidation.

The above regulations contribute to determining the scope of consolidation at each level, as well as the methodologies to be used for each consolidation.
International accounting standards require subsidiaries to be consolidated on a line-by-line basis, while jointly controlled entities and non-controlling interests in which the Group exercises significant influence are accounted for using the equity method.

Art. 19 of the CRR excludes from the scope of line-by-line consolidation all financial entities and operating companies, including members of the Banking Group, whose total assets and off-balance sheet amounts are less than the lower of the following two amounts:

- Euro 10 million;
- 1% of the total assets and off-balance sheet amounts of the parent company or the entity that holds the equity investment.

From 30 June 2015 the BPER Banca Group has decided to adopt the consolidation methodology envisaged for prudential supervisory purposes. This approach was also applied when determining the financial disclosures to be made, thus aligning the two levels of consolidation.
This decision was necessary in order to rationalise, simplify and streamline the production of consolidated information for supervisory and financial reporting purposes. Its effects on the latter are negligible. In terms of the areas affected, the marginal dynamics previously indicated in the income statement on a line-by-line basis are now summarised in the "Profit (loss) from equity investments" line item; in the balance sheet, the "Equity investments" caption reports the amounts that have not been eliminated that were previously recognised on a line-by-line basis, while shareholders' equity remains unchanged.
The following companies are members of the Banking Group which at 31 December 2017 do not satisfy the requirements of art. 19 of the CRR[41]:

- Mutina s.r.l.;

[40] *IFRS 10 §B86 in relation to consolidation procedures.*
[41] *Circular 575/2013 states "An entity, financial entity or supporting operational company in which an equity investment is held must not be consolidated if the total of its assets and off-balance sheet amounts is less than the lower of the following two amounts: a) Euro 10 million; b) 1% of the total assets and off-balance sheet amounts of the parent company or the entity that holds the equity investment"*

- Estense Covered Bond s.r.l.;
- BPER Trust Company s.p.a.;
- Estense CPT Covered Bond s.r.l.;

the other subsidiaries that are not members of the banking Group, since their activities do not contribute to its banking operations, are:

- Italiana Valorizzazioni Immobiliari s.r.l.;
- Adras s.p.a.;
- Polo Campania s.r.l.;
- Galilei Immobiliare s.r.l.;
- SIFA' - Società Italiana Flotte Aziendali s.p.a.;
- Costruire Mulino s.r.l.;
- Banca Farnese s.p.a. in liquidation.

At 31 December 2017, these companies have been consolidated under the equity method.
Frara s.r.l. (formerly Sviluppo Formica s.r.l.) has not been included in the list as it is not yet operational at 31 December 2017.

1. Investments in subsidiaries on an exclusive basis

1.1 Equity investments of the Group consolidated line-by-line

	Name	Operational head office	Registered head office	Type of relationship (1)	Share capital in Euro	Nature of holding		% Voting rights (2)
						Parent company	% held	
1.	Banco di Sardegna s.p.a.	Sassari	Cagliari	1	155,247,762	BPER Banca	50.901	51.000
2.	Banca di Sassari s.p.a.	Sassari	Sassari	1	74,458,607	BPER Banca	78.490	
						B. Sard.	20.522	
3.	Cassa di Risparmio di Bra s.p.a.	Bra	Bra	1	27,300,000	BPER Banca	67.000	
4.	Cassa di Risparmio di Saluzzo s.p.a.	Saluzzo	Saluzzo	1	33,280,000	BPER Banca	100.000	
5.	Bper (Europe) International s.a.	Luxembourg	Luxembourg	1	30,667,500	BPER Banca	100.000	
6.	Nadia s.p.a.	Modena	Modena	1	87,000,000	BPER Banca	100.000	
7.	Carife Servizi Evolutivi Integrati s.r.l.	Ferrara	Ferrara	1	5,070,000	BPER Banca	100.000	
8.	BPER Services s.cons.p.a.	Modena	Modena	1	10,920,000	BPER Banca	92.838	
						B. Sard.	4.762	
						Optima	0.400	
						B.S.S.	0.400	
						Sardaleasing	0.400	
						CR Bra	0.400	
						BCM	0.400	
						CR Saluzzo	0.400	
9.	Sardaleasing s.p.a.	Milan	Sassari	1	93,951,350	BPER Banca	51.440	
						B. Sard.	46.933	
10.	Optima s.p.a. S.I.M.	Modena	Modena	1	13,000,000	BPER Banca	100.000	
11.	Tholos s.p.a.	Sassari	Sassari	1	52,015,811	B. Sard.	100.000	
12.	Numera s.p.a.	Sassari	Sassari	1	2,065,840	B. Sard.	100.000	
13.	Modena Terminal s.r.l.	Campogalliano	Campogalliano	1	8,000,000	BPER Banca	100.000	
14.	Emilia Romagna Factor s.p.a.	Bologna	Bologna	1	36,393,940	BPER Banca	94.403	
15.	BPER Credit Management s.cons.p.a.	Modena	Modena	1	1,000,000	BPER Banca	67.000	
						B. Sard.	20.000	
						B.S.S.	3.000	
						CR Bra	2.000	
						CR Saluzzo	1.000	
						EmilRo Factor	1.000	
						Sardaleasing	6.000	

The "% voting rights" column is only used if the actual share of votes exercisable at the Ordinary Shareholders' Meeting is different from the interest held in the company's share capital.

Key:

(1) Type of relationship:
1 Majority of votes at the ordinary shareholders' meeting.
(2) Voting rights at ordinary shareholders' meeting, distinguishing between actual and potential.

1.2 Equity investments belonging to the Group consolidated under the equity method

	Name	Operational head office	Registered head office	Type of relationship (1)	Share capital in Euro	Nature of holding		% Voting rights (2)
						Parent company	% held	
A. Subsidiaries Companies that are not members of the Banking Group								
1.	Galilei Immobiliare s.r.l.	Modena	Modena	1	100,000	Nadia	100.000	
2.	Polo Campania s.r.l.	Avellino	Avellino	1	110,000	BPER Banca	100.000	
3.	Adras s.p.a.	Milan	Milan	1	1,954,535	BPER Banca	100.000	
4.	Italiana Valorizzazioni Immobiliari s.r.l.	Milan	Milan	1	2,000,000	BPER Banca	100.000	
5.	SIFA' - Società Italiana Flotte Aziendali s.p.a.	Milano/Reggio Emilia	Trento	1	122,449	BPER Banca	51.000	
6.	Banca Farnese s.p.a. in liquidazione	Ferrara	Ferrara	1	27,965,637	BPER Banca	65.127	
7.	Costruire Mulino s.r.l.	Milan	Milan	1	10,000	IVI	100.000	
B. Subsidiaries Companies that are members of the Banking Group but do not satisfy the requirements of art. 19 of the CRR								
8.	Mutina s.r.l.	Modena	Modena	1	10,000	BPER Banca	100.000	
9.	Estense Covered Bond s.r.l.	Conegliano	Conegliano	1	10,000	BPER Banca	60.000	
10.	BPER Trust Company s.p.a.	Modena	Modena	1	500,000	BPER Banca	100.000	
11.	Estense CPT Covered Bond s.r.l.	Conegliano	Conegliano	1	10,000	BPER Banca	60.000	

The "% voting rights" column is only used if the actual share of votes exercisable at the Ordinary Shareholders' Meeting is different from the interest held in the company's share capital.
Frara s.r.l. (formerly Sviluppo Formica s.r.l.) has not been included in the list as it is not yet operational at 31 December 2017.

Key:

(1) Type of relationship:
1 Majority of votes at the ordinary shareholders' meeting.
(2) Voting rights at ordinary shareholders' meeting, distinguishing between actual and potential.

2. Significant assessments and assumptions made when determining the scope of consolidation

As regards the companies included in the scope of consolidation, no facts and circumstances, as foreseen in IFRS 10, took place during 2017 that might change our assessment of possession of control, joint control or significant influence.
For further details about changes in the scope of consolidation in 2017, please refer to the Directors' Report on Group Operations under "Scope of consolidation of the BPER Banca Group".

3. Investments in subsidiaries with significant minority interests

Minority interests are considered significant based on the materiality of total equity compared with the equivalent consolidated figure.

3.1 Minority interests, Voting rights of third parties and dividends distributed to third parties

Name	% Minority interests	% Voting rights of third parties (1)	Dividends distributed to third parties
1. Banco di Sardegna s.p.a.	49.099	49.000	8,917
2. Cassa di Risparmio di Bra s.p.a.	33.000	33.000	-
3. Banca di Sassari s.p.a.	0.988	0.988	68
4. Emilia Romagna Factor s.p.a.	5.597	5.597	143
5. Sardaleasing s.p.a.	1.627	1.627	-

For consolidation purposes, we used the consolidation of the sub-holding company Banco di Sardegna and its subsidiaries. The dividends relate to profit for 2016 that was distributed in 2017.

Key:

(1) Voting rights at ordinary shareholders' meeting.

3.2 Investments with significant minority interests: accounting information

Name	Total assets	Cash and cash equivalents	Financial assets	Property, plant and equipment and intangible assets	Financial liabilities	Shareholders' equity	Net interest income	Net interest and other banking income
1. Banco di Sardegna s.p.a.	12,655,548	105,800	12,025,163	239,358	11,181,680	1,191,770	200,352	361,832
2. Cassa di Risparmio di Bra s.p.a.	1,271,494	6,390	1,209,869	14,015	1,171,036	63,356	22,330	34,923
3. Banca di Sassari s.p.a.	859,556	1	777,505	19,885	523,613	265,218	20,233	41,522
4. Emilia Romagna Factor s.p.a.	803,920	3	791,618	6,521	694,703	90,004	11,927	19,717
5. Sardaleasing s.p.a.	3,361,192	4	3,230,330	39,634	3,187,227	127,312	46,699	43,278

(cont.)

Name	Operating costs	Profit (Loss) from current operations before tax	Profit (Loss) from current operations after tax	Profit (Loss) after tax on non-current assets held for sale	Net profit (loss) for the period(1)	Other elements of income, net of income taxes (2)	Compre-hensive income (3)= (1)+(2)
1. Banco di Sardegna s.p.a.	(258,185)	12,591	8,884	-	8,884	(11,902)	(3,018)
2. Cassa di Risparmio di Bra s.p.a.	(22,282)	701	430	-	430	277	707
3. Banca di Sassari s.p.a.	(32,434)	7,333	4,930	-	4,930	1,294	6,224
4. Emilia Romagna Factor s.p.a.	(8,957)	8,352	5,775	-	5,775	(33)	5,742
5. Sardaleasing s.p.a.	(19,145)	(19,891)	(18,610)	-	(18,610)	611	(17,999)

The amounts provided are before intercompany eliminations.
The economic and financial information refers to the situation at 31 December 2017.

4. Significant restrictions

At the banks and companies that make up the BPER Banca Group's scope of consolidation, there are no significant restrictions as foreseen by IFRS 12 § 13.

5. Other information

The line-by-line consolidation was carried out using the approved financial statements prepared at 31 December 2017 by the subsidiaries concerned. These financial statements have been prepared in accordance with IAS/IFRS by the individual banks and financial companies subject to Bank of Italy supervision. All the other Group companies and BPER (Europe) International s.a. included within the new scope of consolidation normally prepare their financial statements under Italian accounting standards. These companies therefore prepared separate accounting schedules and data under the international accounting standards used for consolidation purposes.
The value of Group subsidiaries carried at equity was measured with reference to their accounting information prepared and approved at 31 December 2017.
Where available, the book figures at 31 December 2017 have been used to consolidate the other investments consolidated at net equity.

Section 4 – Subsequent events

These draft consolidated financial statements were approved on 8 March 2018 by the Board of Directors of BPER Banca.
Reference is made to the detailed information provided in the *"Significant subsequent events and outlook for operations"* section of the directors' report on operations.

Section 5 – Other aspects

Amendments to accounting standards endorsed by the European Commission

As required by IAS 8, the following table shows the new international accounting standards or amendments to standards already in force, whose application is mandatory from 2017.

EC Approval Regulation	Title	In force from years beginning
1989/2017	EU Commission Regulation 2017/1989 of 6 November 2017, published in the Official Journal L 291 of 9 November 2017 adopts Amendments to IAS 12 Income taxes - Recognition of deferred tax assets for unrealised losses. The amendments are intended to clarify how to account for deferred tax assets relating to debt instruments measured at fair value.	1 January 2017
1990/2017	EU Commission Regulation 2017/1990 of 6 November 2017, published in the Official Journal L 291 of 9 November 2017 adopts Amendments to IAS 7 Statement of cash flows - Disclosure initiative, aimed at clarifying IAS 7 to improve information on the financing activities of an entity provided to users of the financial statements.	1 January 2017

None of these updates has produced particular effects on the Group financial statements.

The following table shows the new international accounting standards or amendments to standards already in force, whose application is mandatory from 1 January 2018 or later date (if the financial statements do not coincide with the calendar year).

EC Approval Regulation	Title	In force from years beginning
1905/2016	EU Commission Regulation 2016/1905 of 22 September 2016, published in the Official Journal L 295 of 29 October 2016, endorsed IFRS 15 Revenue from contracts with customers, the objective of which is to improve financial reporting about revenue and, thus, the comparability of reported revenue.	1 January 2018
2067/2016	EU Commission Regulation 2016/2067 of 22 November 2016, published in the Official Journal L 323 of 29 November 2016, endorsed IFRS 9 Financial instruments, the objective of which is to improve financial reporting about financial instruments by addressing relevant issues that arose during the financial crisis. In particular, IFRS 9 responds to the G20's call to move to a more forward-looking model for the recognition of expected losses on financial assets.	1 January 2018
1987/2017	EU Commission Regulation 2017/1987 of 31 October 2017, published in the Official Journal L 291 of 9 November 2017, adopts Clarifications of IFRS 15 "Revenues from contracts with customers". The amendments aim to clarify certain requirements and provide a further transitional facilitation for companies applying the standard.	1 January 2018
1988/2017	EU Commission Regulation 2017/1988 of 3 November 2017, published in the Official Journal L 291 of 9 November 2017 adopts Amendments to IFRS 4 Joint application of IFRS 9 Financial instruments and IFRS 4 Insurance contracts. The amendments to IFRS 4 aim to remedy the temporary accounting consequences of the mismatch between the date of entry into force of IFRS 9 and the effective date of the new accounting standard on insurance contracts that replaces IFRS 4 (IFRS 17). The financial conglomerates referred to in the definition in article 2 (14) of Directive 2002/87/EC can decide that none of its entities operating in the insurance sector pursuant to article 2 (8) (b) of the same Directive will apply IFRS 9 to the consolidated financial statements for the years commencing before 1 January 2021, if all of the following conditions are met: a) after 29 November 2017, between the insurance sector and the other sectors of the financial conglomerate, no financial instruments other than those measured at fair value are transferred for which the changes in fair value are recognised in profit or loss for the year by both of the sectors involved in the transfers; b) the financial conglomerate indicates in the consolidated financial statements the group insurance companies that apply IAS 39; c) the additional information required by IFRS 7 is provided separately for the insurance sector that applies IAS 39 and for the rest of the group that applies IFRS 9.	1 January 2018
1986/2017	EU Commission Regulation 2017/1986 of 31 October 2017, published in the Official Journal L 291 of 9 October 2017, adopts IFRS 16 Leases, which aims to improve the accounting treatment of leasing contracts.	1 January 2019

The Group has decided not to take advantage of the possibility of early implementation.

Change in the format of the consolidated income statement

Following the acquisition and absorption of Nuova Cassa di Risparmio di Ferrara s.p.a. by the Parent Company BPER Banca, as detailed in the *"Directors' Report on Group Operations"*, it was deemed opportune to insert a new caption in the Consolidated Income Statement for the recognition of badwill. Caption 265 "Badwill" was included as required by the consolidated Regulatory Finrep Reports. Part C of these Explanatory Notes includes a section 18-bis, which provides information on the amount recorded.

Documents of the Supervisory Authority

Bank of Italy documents in force at the balance sheet date

The Bank of Italy issued instructions concerning:

- setting the ratios for the Countercyclical Capital Buffer (CCyB) for the fourth quarter of 2017, equal to 0% (unchanged compared with the previous periods);
- guidance on accounting recognition methods and supervisory regulatory reporting of contributions paid to the Single Resolution Fund:
- the procedures for recording targeted long-term refinancing operations (TLTRO), first and second series, with the ECB in the financial statements and supervisory reports;
- Circular 285 "Supervisory Instructions for Banks" (20th update): amends the chapters on "Supervisory review process" (Part One, Title III, Chapter 1) and "Large exposures" (Part Two, Chapter 10); the amendments are designed to bring Italian legislation into line with changes in the European regulatory framework, including the guidelines issued by the European Banking Authority (EBA). This update applies on 31 December 2017.

Bank of Italy documents already issued and in force from subsequent dates

In December, the Bank of Italy issued updates to various circulars concerning supervisory and financial regulations:

- Circular 272 "Accounts Matrix" (10th update): the changes introduced by IFRS 9 have been included in the Finrep Reports. This update will take effect as of 1 January 2018.
- Circ. 115 "Instructions for the compilation of reports on a consolidated basis" (23rd update): the changes introduced by IFRS 9 have been included in the Finrep Reports. This update will take effect on 1 January 2018.
- Circular 286 "Instructions for prudential reporting by supervised entities" (10th update): the changes simplify and update the reporting formats, introducing some new captions and eliminating other ones. This update applies to reports as of 31 March 2018.
- Circular 154 "Supervisory reports by banks and financial institutions – data collection schemes and submission of information flows" (66th update): new sub-items have been included for supervisory reporting on non-banking financial intermediaries. This update will take effect on 1 January 2018.
- Circular 262 "Banks' financial statements: layout and preparation": the 5th amendment of the Circular has been issued, adopting the changes introduced by IFRS 9 which, in turn, amended other international standards, including IFRS 7. This update will take effect as of 1 January 2018.

European Central bank – ECB

On 20 March 2017, the European Central Bank issued its "Guidelines on Non-Performing Loans (NPLs)" to make known the supervisory expectations regarding the identification, management, measurement and derecognition of NPLs in sectors that are unregulated or not specifically governed by regulations, directives or guidelines currently in force. The document covers all non-performing exposures (NPE) as defined by the EBA, as well as foreclosed assets, performing exposures with a high risk of deterioration, such as watchlist exposures and forborne exposures.

On 4 October 2017, the Supervisory Authority issued for consultation, completed on 8 December 2017, an addendum to these Guidelines, spelling out its expectations regarding the minimum prudential provisioning levels for new NPLs.

ESMA

On 27 October 2017 ESMA issued a Public Statement which sets out the priority issues, according to the European Authority, to be disclosed in the financial statements as at 31 December 2017:

- disclosure on the new standards that will come into force in subsequent financial years (IFRS 9, IFRS 15 and IFRS 16) where there is a significant impact. In the context of IFRS 9, the document also contains specific indications for sectors of economic activities;
- disclosure in the context of Business Combinations (IFRS 3);
- specific information as regards the Statement of cash flows (IAS 7).

Please refer to the Directors' Report on Group operations under *"Other information"*.

CONSOB

On 4 May 2017, CONSOB issued Recommendation no. 0062667 concerning the representation in the separate or annual financial statements of the effects of unlisted operating companies being merged with listed non-operating companies, with interim accounting effects. Under IAS/IFRS, mergers are generally considered to fall within the scope of IFRS 3 "Business Combinations". In practice, mergers involving listed non-operating companies are becoming more and more frequent and are generally designed to allow the listing of the operating company without making a public offering of its shares.
At 31 December 2017, there have not been any transactions of this kind involving the BPER Banca Group.

Other regulations – Internal recognition rules

As stated in the paragraph entitled "General assessment criteria", in the absence of a standard or interpretation specifically applicable to a particular transaction, an appropriate internal rule for accounting recognition should be developed and formalised.
Since 2015 there are no longer any internal interpretations that need to be complied with and no need arose to introduce any new rules in 2017.

Domestic tax group election

Commencing from 2007, BPER Banca has elected to establish a domestic tax group, which was introduced by Legislative Decree 344/2003 and subsequent amendments and is governed by arts. 117-129 of the Consolidated Income Tax Law.
Under this optional arrangement, which is binding for three years, the subordinate members transfer their results to the parent, for fiscal purposes only, which then calculates the consolidated taxable income or tax loss.
The option relating to Cassa di Risparmio di Bra and Emilia Romagna Factor s.p.a. is due to expire in the 2017 tax period and the scope of consolidation has expanded as a result of including Cassa di Risparmio di Saluzzo s.p.a. The option for the three-year period was regularly exercised for the companies listed above on 31 October 2017 on presentation of the income tax return of the consolidating company, as well as the reporting of the inclusion of Cassa di risparmio di Saluzzo in the scope of consolidation.

Consolidated companies	2015	2016	2017	2018	2019
Banca di Sassari s.p.a.	x	x	x		
Banco di Sardegna s.p.a.		x	x	x	
Cassa di Risparmio di Bra s.p.a.			x	x	x
Cassa di Risparmio di Saluzzo s.p.a			x	x	x
Optima s.p.a. SIM		x	x	x	
Emilia Romagna Factor s.p.a.			x	x	x
Sardaleasing s.p.a.	x	x	x		
BPER Trust Company s.p.a.		x	x	x	

Independent Auditors

On 26 November 2016, the Shareholders' Meeting approved the appointment of Deloitte & Touche s.p.a. as external independent auditors for the period 2017-2025, as well as their remuneration.

A.2 - Main captions in the financial statements

1 - Financial assets held for trading

Recognition

Financial assets represented by debt or equity instruments are initially recognised on the settlement date, while derivative contracts are recognised on the date of signature.

In particular, any changes in the fair value of the asset to be received between the settlement date and the earlier arrangement date are recognised at the time of settlement, in the same way in which the asset acquired is recorded.

After initial recognition, financial assets held for trading are measured at their fair value; unless stated otherwise, this is represented by the consideration paid for the transaction, without considering any related costs or income attributable to them, which are recorded directly in the income statement.

Embedded derivatives (instruments whose characteristics satisfy the definition of a "derivative") embedded in but not closely correlated with hybrid financial instruments, and classified in financial asset or liability categories other than assets or liabilities measured at fair value, are separated from the host contract, reclassified to this category and measured at fair value. The related host contract is measured on the basis applicable to the category in which it is classified.

Classification

The Group classifies as "Financial assets held for trading" those financial instruments that are held with a view to generating short-term profits deriving from variations in their prices. This category includes the derivative instruments that are not held for hedging purposes.

Measurement

After initial recognition, financial assets held for trading are measured at their fair value. If the fair value of a financial asset becomes negative, it is accounted for as a financial liability.

The VaR techniques used to determine fair value are described in point 21 within this part of the explanatory notes.

As an exception, if the fair value of equity instruments and the related derivatives cannot be reliably determined using the above guidelines, they are valued at cost.

Derecognition

Financial assets are derecognised on expiry of the contractual rights over the related cash flows or when the financial asset is sold with the transfer of essentially all the related risks and benefits.

If the Group sells a financial asset classified in its own trading portfolio, it derecognises the asset on the date it is transferred (the settlement date).

Securities received as part of a transaction that contractually provides for their subsequent sale and securities delivered as part of a transaction that contractually provides for their repurchase are not recorded or eliminated from the financial statements.

Recognition of components affecting the income statement

The positive elements of income comprising interest on securities and similar revenues, as well as the differentials and margins from derivative contracts classified as financial assets held for trading, but operationally linked with the financial assets and liabilities measured at fair value (under the fair value option), are recorded in the interest captions of the income statement on an accruals basis.

The differentials and margins from other derivative contracts classified in the trading portfolio are recorded as *"Net trading income"*.

Gains and losses realized on sale or redemption and unrealised gains and losses deriving from changes in the fair value of the trading portfolio are classified as *"Net trading income"*, except for amounts relating to derivative contracts that are operationally linked to assets or liabilities measured at fair value, which are classified as *"Net results on financial assets and liabilities designated at fair value"*.

2 - Financial assets available for sale

Recognition

Financial assets represented by debt or equity instruments are initially recognised on the settlement date, while loans are recognised on the payout date.

Financial assets available for sale are initially recorded at fair value; unless stated otherwise, this is represented by the consideration paid for the transaction, including any directly-attributable transaction costs or income. Assets reclassified from *"Financial assets held to maturity"* are recognised at their fair value at the time of transfer.

Classification

This category comprises the financial assets, other than derivatives, that have not been classified in the other categories envisaged by IAS 39 and do not represent interests in subsidiaries, joint ventures or associates.

Measurement

Subsequent to initial recognition, assets available for sale continue to be measured at their fair value. The techniques for determining fair value are described in point 21 in this part of the explanatory notes. As an exception, if the fair value of equity instruments cannot be determined reliably, they are valued at cost.

An impairment test is performed at each reporting date to check if there is any objective evidence of a reduction in value.

If subsequently the reasons for impairment cease to apply, the amounts concerned are written back without causing the value of the asset to exceed the amortised cost that would have been reported in the absence of earlier adjustments.

Derecognition

Financial assets are derecognised on expiry of the contractual rights over the related cash flows or when the financial asset is sold with the transfer of essentially all the related risks and benefits.

Recognition of components affecting the income statement

The return on financial instruments, determined using the effective interest method ("amortised cost" basis), is recognised as income on an accruals basis, while gains or losses deriving from changes in fair value are recorded in a specific "equity reserve" until the financial asset is derecognised or a loss in value is recorded. The corresponding amount is included in the statement of comprehensive income.
Dividends are recognised when the right to collect them is established.
On derecognition or when a loss in value is recorded, the accumulated Gains or losses are released from the related reserves to the income statement as, respectively, "*Gains/losses on disposal or repurchase*" or *"Net impairment adjustments"*. If the reasons for recognising a reduction in value cease to apply as a result of subsequent events, the amounts concerned are written back to the income statement, if they relate to loans or debt securities, and to shareholders' equity if equity instruments are concerned.

3 - Financial assets held to maturity

Recognition

Financial assets are initially recognised on the settlement date. At the time of initial recognition, the financial assets classified in this category are recorded at their fair value, including any directly-attributable costs and revenues.
If transferred to this category from "*Assets available for sale*", the fair value of the financial assets at the time of transfer is taken to be their new amortised cost.

Classification

This category is used to record the debt instruments with payments that are fixed or determinable at fixed intervals which the Bank intends and is able to retain until they mature.
Investments are reclassified as "*financial assets held for sale*" if the intention or ability to retain them changes and it is no longer appropriate to classify them in this category. In the case of not-insignificant sales or reclassifications of investments held to maturity (part of a portfolio of financial assets held to maturity) that do not meet any of the conditions set out in paragraph 9 of IAS 39, any residual investment held to maturity is reclassified as a "*financial asset available for sale*".

Measurement

Subsequent to initial recognition, "*Financial assets held to maturity*" are measured at amortised cost.
An impairment test is performed at each reporting date to check if there is any objective evidence of a reduction in value. In the event of impairment, the amount of the loss is measured as the difference between the book value of the assets and the present value of the estimated recoverable cash flows, discounted using the original effective interest rate.
If the reasons for recognising a reduction in value cease to apply as a result of subsequent events, the amounts concerned are written back. The carrying amount after the writeback does not exceed the amortised cost that would have been recognised had the impairment losses not been recorded.

Derecognition

Financial assets are derecognised on expiry of the contractual rights over the related cash flows, or when they are sold with the transfer of essentially all the related risks and benefits of ownership.

Recognition of components affecting the income statement

The positive elements of income comprising interest and similar income are recorded in the interest captions of the income statement, on an accruals basis, using the effective interest method.
Gains and losses on assets held to maturity are recorded in the income statement when the assets are derecognised or suffer a loss in value.
Any write-downs in value are charged to the *"Net impairment adjustments"* caption of the income statement. If the reasons for recognising a reduction in value cease to apply as a result of subsequent events, the amounts concerned are written back to the income statement.

4 - Loans

Recognition

Loans are initially recognised on the payout date or, in the case of debt securities, on the settlement date, with reference to the fair value of the financial instrument concerned. This is represented by the amount paid out, or the subscription price, including costs/revenues that are both directly attributable to the individual loans and identifiable from the start of the transaction, even if they are settled at a later time. Costs with the above characteristics are excluded if they are reimbursable by the borrower or represent routine internal administrative costs.
Agreements involving the forward repurchase or resale of securities are recorded in the financial statements as funding or lending transactions. In particular, spot sales with forward repurchases are recorded as a payable for the spot amount collected, while spot purchases with forward resales are recorded as a loan for the spot amount paid.

Classification

Loans form part of the broadest category of financial instruments and consist of relationships under which the Bank has a right to the cash flows deriving from the loan.
This caption includes loans to customers and deposits with banks, either made directly or acquired from third parties and not listed on active markets, which involve payments that are either fixed or determinable.
The loans caption also includes loans, repurchase agreements, finance leases (which are accounted for under the "financial method", in accordance with IAS 17,) and securities subscribed for at the time of issue or private placement and not listed on active markets, with payments that are fixed or determinable.

Measurement

After initial recognition, loans are valued at their amortised cost, corresponding to the initially recognised amount less principal repayments, net impairment adjustments and amortisation - calculated using the effective interest method – of the difference between the amount paid out and the amount repayable on maturity, which is generally attributable to the costs/income directly allocated to the individual loans.

The effective interest rate is the rate that discounts the flow of estimated payments over the expected duration of the loan back to its initial net book value, inclusive of directly-related costs and revenues. In financial terms, this method of recognition distributes the economic effect of these costs and revenues over the expected residual life of the loan.
The amortised cost method is not used in relation to short-term loans (up to 12 months), since the effect of discounting would be negligible. These loans are stated at historical cost.
Costs and revenues relating to loans without a fixed term or repayable on demand are recorded directly in the income statement.
Loans are assessed at the end of each accounting period to identify any objective evidence, arising from events subsequent to initial recognition, that their value may be impaired. This includes positions classified as bad, "unlikely to pay" and past due loans in compliance with current Supervisory Authority regulations, which are consistent with IAS.
The amount of the adjustment of each balance is equal to the difference between its carrying value at the time of measurement (amortised cost) and the present value of expected future cash flows.
The estimate of expected cash flows comes from assessing analytically the position of bad loans for "unlikely to pay" loans with exposures above the thresholds set by internal procedures. For "unlikely to pay" loans with exposures below the thresholds set by internal procedures and past due loans, expected cash flows are calculated using a flat -rate approach, based on the operational version of LGD.
The adjustments are recorded in the income statement.
The original value of loans is reinstated in subsequent periods, to the extent that the reasons for the adjustments made cease to apply, on condition that this assessment is objectively linked with events that took place subsequent such adjustments.
The reversal of the impairment loss may not exceed the amortised cost of the loan had the impairment not been recognised in the past.
Loans and advances, for which no impairment was identified on an individual basis, have been subjected to measurement as a whole, to estimate the implicit risk component.
This assessment is made on a case-by-case basis with reference to the risk parameters (Probability of Default – PD, and Loss Given Default – LGD) generated by the internal models. Any additional write-downs or write-backs are determined separately at the end of each reporting period, with reference to the entire portfolio of performing loans at that time.

Derecognition

Loans sold are only derecognised if the disposal involved the transfer of essentially all the risks and benefits associated with the loan. Conversely, if the risks and benefits relating to loans that have been sold are retained, these continue to be reported as assets in the balance sheet, even if legal ownership of the loans has been effectively transferred.
Even if the transfer of essentially all the risks and benefits cannot be demonstrated, loans are derecognised if no form of control over them has been retained. By contrast, the partial or total retention of such control means that the related loans are reported in the balance sheet to the extent of the residual involvement, as measured by the exposure to changes in the value of the loans sold and to changes in their cash flows.
Lastly, loans sold are derecognised, despite retention of the contractual rights to collect the related cash flows, if there is a parallel commitment to pay all such flows and only these to third parties.

Recognition of components affecting the income statement

The positive elements of income comprising interest and similar income are recorded in the interest captions of the income statement, on an accruals basis, using the effective interest method.
Default interest, which may be provided by contract, is recognised in the income statement only when actually collected.
The costs/revenues attributable to short-term loans, without a fixed term or repayable on demand, as defined above, are recorded directly in the income statement.
Write-downs and any write-backs are recorded in the "Net impairment adjustments" caption of the income statement.
Profits and losses from the sale of loans are classified in the "*Gains/losses on disposal or repurchase of loans and advances*" caption.

Securitised loans

In accordance with the applicable product breakdown, loans also include securitisation loans (after 1 January 2002 that do not satisfy the IAS 39 requirements for derecognition (see below point 24 - Derecognition of financial assets).
The corresponding amounts received for the sale of securitised loans, net of the securities issued and other forms of credit support that may be held in portfolio (retained risk), are recognised in liability caption *"Due to banks"* and *"Due to customers"*.
Both assets and liabilities are measured at amortised cost and the interest is recorded in the income statement. In the event of losses due to impairment of securitised assets that have not been subject to derecognition from the financial statements, such losses are recorded in income statement caption 130 a) *"Net impairment adjustments to loans"*.

5 - Financial assets designated at fair value

Recognition

These financial assets are initially recognised on the settlement date.
On initial recognition, these financial assets are recorded at their fair value, as represented - unless specified differently - by the consideration paid for the transaction without considering the costs or revenues attributable to the instrument, which are recorded directly in the income statement.

Classification

" Financial assets designated at fair value " include the financial assets, not held for trading, that meet at least one of the following criteria:

- classification in this category eliminates "accounting asymmetries";
- they are part of groups of assets managed together whose performance is measured at fair value, as part of a documented risk-management strategy;
- they contain separable embedded derivatives.

Measurement

Subsequent to initial recognition, financial assets continue to be measured at their fair value. The techniques for determining fair value are described in point 21 in this part of the explanatory notes.

Derecognition

Financial assets are derecognised on expiry of the contractual rights over the related cash flows or when the financial asset is sold with the transfer of essentially all the related risks and benefits.
If the Group sells a financial asset at fair value, it derecognises the asset on the date it is transferred (the settlement date).
Securities received as part of a transaction that contractually provides for their subsequent sale and securities delivered as part of a transaction that contractually provides for their repurchase are not recorded or eliminated from the financial statements.

Recognition of components affecting the income statement

The positive elements of income represented by interest income are recorded in the interest captions of the income statement on an accruals basis.
Gains and losses realized on sale or redemption and unrealized gains and losses deriving from changes in the fair value of the portfolio are classified in the *"Net results on financial assets and liabilities at designated at fair value "* caption.

6 - Hedging derivatives

Recognition

Hedges are arranged to neutralise losses that may be incurred in relation to a given element or group of elements, as a consequence of a given risk, via profits that would be earned on another element or group of elements should that particular risk crystallise. There are two types of hedge:

- fair value hedges: arranged to hedge the exposure to changes in the fair value of a balance sheet caption;
- cash flow hedges: arranged to hedge the exposure to changes in future cash flows attributable to specific balance sheet captions.

Classification

Financial instruments are designated as hedges when the relationship between the hedged and the hedging instrument is adequately documented and formalised, if the hedge is effective both at the start and prospectively throughout its life.

Measurement

Hedging derivatives are measured at their fair value.
Specific tests are performed to verify the effectiveness of hedging transactions. The effectiveness of a hedge depends on the extent to which changes in the fair value of the hedged instrument, caused by changes in the risk factor addressed by the hedge, are offset by changes in the value of the hedging instrument. In order to be effective, the hedge must be made with a counterparty outside the Group.
The method of accounting for the gains and losses deriving from changes in fair value depends on the type of hedge:

- fair value hedge: the change in the fair value of the hedged element representing the hedged risk is recognised in the income statement, together with the change in the fair value of the

derivative instrument; any difference, which represents the ineffective portion of the hedge, determines the consequent net economic effect.
- cash-flow hedge: to the extent that the hedge is effective, changes in the fair value of the derivative are recognised in shareholders' equity; they are only recognised in the income statement when changes in the cash flows from the hedged item need to be offset, or when the hedge becomes ineffective.

Effectiveness is established when changes in the fair value of (or cash flows from) the hedging instrument, caused by the hedged risk factor, almost entirely offset those of the hedged instrument (the percentage limits fall in the range from 80% to 125%).
Effectiveness is checked each month for operational purposes and on every official reporting date for accounting purposes, using:
- prospective tests that justify the application of hedge accounting, by demonstrating the expected effectiveness of the hedge;
- retrospective tests that show the effectiveness of the hedge during the period under review. In other words, they measure by how the actual results differ from the "perfect" hedge.

Derecognition
If transactions do not meet the effectiveness test, hedge accounting - as described above - is terminated and the derivative contract is reclassified as an instrument held for trading, with recognition of the related impacts in the income statement. Hedge accounting is also terminated in the following situations:
- the hedged item is sold and redeemed;
- the hedging transaction is revoked prior to the expiry date;
- the hedging instrument expires, is sold, terminated or exercised.

Recognition of components affecting the income statement
Income elements are allocated to the relevant income statement captions on the following basis:
- differentials earned on derivatives that hedge interest-rate risk (and the interest on the hedged positions) are allocated to the "*Interest and similar income*" or "*Interest and similar expense*" captions;
- capital gains and losses deriving from the measurement of hedging instruments and the positions covered by fair value hedges are allocated to the *"Net hedging gains (losses)"* caption;
- capital gains and losses deriving from measurement of the effective part of "cash flow hedges" are allocated to a special *equity reserve "cash flow hedges"*, net of the related deferred tax effect. Gains and losses relating to the ineffective part of such hedges are recorded in the "*Net hedging gains (losses)*" caption of the income statement.

7 - Equity investments

Recognition
Equity investments are recognised on the settlement date. Equity investments are recorded at cost on initial recognition, including any costs and revenues directly attributable to the transaction.

Classification

This caption includes:

- associates carried under the equity method, adjusting the initial cost of recognition for changes in net equity, including gains and losses realised by the associated company; companies in which at least 20% of the voting rights are held and those where the size of the investment guarantees influence over governance are considered associates;
- jointly controlled companies, which are also accounted for under the equity method;
- other investments with a low value, which are carried at cost.

Measurement

Under IAS 28 and IFRS 11, equity investments in subsidiaries, joint ventures and associated companies can be carried at cost in the separate financial statements, or at fair value pursuant to IAS 39. The Group has measured them at cost; on consolidation, they are valued under the equity method.Any difference between the cost incurred and the share of interest in the fair value of the net identifiable assets of the investment is recorded in a way similar to the provisions of IFRS 3 "Business Combinations".

If there is evidence that an investment in an associate may be impaired, its recoverable amount is estimated with reference to the present value of future cash flows, including the expected proceeds from the future sale of the investment.

If the recoverable amount is lower than the carrying amount, the related difference is charged to the income statement.

If the reasons for making the impairment adjustment cease to apply as a result of an event subsequent to the write-down, the related write-back is credited to the income statement without exceeding the amount of the write-down previously recorded.

The Parent Company's share of any losses of the investee, exceeding the book value of the investment, is recorded in a specific reserve to the extent that the company is required to fulfil legal or implicit obligations of the investee, or, in any case, to cover its losses.

Derecognition

Equity investments are derecognised on expiry of the contractual rights over the related cash flows or when the investment is sold with the transfer of essentially all the related risks and benefits of ownership.

Recognition of components affecting the income statement

Dividends are recorded in the *"Dividends and similar income"* caption when the right to collection is established; dividends received are recognised in the consolidated financial statements by deducting them from the carrying amount of the relevant investment.

Any write-downs/write-backs relating to the impairment of equity investments and gains or losses on the disposal of equity investments are recorded in the *"Profit (loss) from equity investments"* caption.

8 - Property, plant and equipment

Recognition
Property, plant and equipment are initially recorded at purchase price, including all directly statements attributable costs of purchasing and bringing the asset to working condition.
Expenditure on improvements that will generate future economic benefits is added to the value of the assets concerned, while routine maintenance costs are charged to the income statement.

Classification
Property, plant and equipment comprise land, property used for operating purposes, installations, furniture, furnishings and all types of equipment.
These are tangible assets that will be used for more than one accounting period and which are held for use in the production of business or the supply of goods and services, for rental to third parties or for administrative purposes.
This caption also includes assets held under finance lease contracts, even though the lessor remains the legal owner.

Measurement
Property, plant and equipment, including investment property, are carried at cost less accumulated depreciation and any accumulated impairment losses.
Property, plant and equipment are systematically depreciated over their useful lives[42], on a straight-line basis, except for:

- land acquired separately or included in the value of property, since it has an unlimited useful life. The value of land included in property is deemed to be separable from the value of buildings; the allocation of value between land and buildings is based on independent appraisals carried out solely in relating to free-standing buildings;
- works of art, since the useful life of a work of art cannot be estimated and its value normally appreciates over time.

If there is any evidence at a reporting date that the value of an asset may be impaired, its carrying value is compared with its recoverable value, being its fair value net of any selling costs or its value in use, as represented by the present value of the cash flows generated by the asset, whichever is greater.
Any adjustments are recorded in the income statement.
If the reasons for recognising an impairment loss cease to apply, the loss can be written back but without exceeding the carrying value that the asset would have had (net of depreciation) if no impairment losses had been recognised in prior years.

Derecognition
Property, plant and equipment are derecognised on disposal, or when the assets concerned are permanently taken out of use and no further economic benefits are expected from their disposal.

[42] *The relevant section of the Explanatory Notes, Part B, includes a table with the useful life of the main fixed asset categories*

Recognition of components affecting the income statement

Both the depreciation determined on a straight-line basis and any net impairment adjustments are recorded in the "Net adjustments to property, plant and equipment" caption of the income statement.
Disposal gains and losses are however recorded in the "*Gains (losses) on disposal of investments*" caption.

9 - Intangible assets

Recognition

Intangible assets other than goodwill are initially recognised at cost, as represented by the purchase price paid plus any directly-related costs incurred to obtain use of the assets concerned.
Goodwill may be recognised as an intangible asset when the positive difference between the acquisition cost of an equity interest (including related charges) and the fair value of the net assets acquired, including those identified as part of the Purchase Price Allocation (PPA), is representative of the investee's ability to generate income in the future (goodwill).
If the difference is negative (badwill) or the goodwill is not justified by the investee's ability to generate income in the future, the difference is recognised in the income statement.

Classification

Intangible assets are identifiable, non-monetary assets without physical form that are expected to generate economic benefits.
The qualifying characteristics of intangible assets are:

- identifiability;
- control over the resources concerned;
- expectation of economic benefits.

In the absence of any one of the above characteristics, the acquisition or internal production costs are expensed in the year incurred.
Goodwill is represented by the difference between the acquisition cost of an equity investment and the fair value, at the acquisition date, of the assets and other balance sheet items acquired.
Other intangible assets are recognised if they are identifiable and reflect legal or contractual rights.

Measurement

An intangible asset with an indefinite useful life, such as goodwill, is not amortised, but is tested periodically for impairment. An impairment test is performed annually, or whenever there is an indication of impairment. In the case of goodwill, the cash generating unit (CGU) to which it has been allocated is tested for impairment. If the carrying amount of the CGU, inclusive of goodwill, exceeds its recoverable amount, an impairment loss is recognised up to the amount of the goodwill recorded. The recoverable amount is the higher of the cash-generating unit's fair value, net of any selling costs, or its related value in use. Any resulting impairment loss is recognised in the income statement and the reversal thereof is prohibited.
In contrast to the treatment of goodwill, the cost of intangible assets with a finite useful life is amortised on a straight-line basis or by use of the reducing balance method based on the flow of economic benefits expected from the asset. If there is any evidence of impairment, it is envisaged that an asset would be assessed for impairment by comparing its fair value to its carrying amount.

An estimate of recoverable value is made if there is any evidence of asset impairment at the reporting date. The impairment loss, expensed to income, is the difference between the carrying value of an asset and its recoverable amount, if the latter is lower.

Derecognition

Intangible assets are derecognised on retirement and when no further economic benefits are expected.

Recognition of components affecting the income statement

Both the amortisation charge and any net impairment adjustments to intangible assets other than goodwill are recorded in the "*Net adjustments to intangible assets*" caption of the income statement.
Disposal gains and losses are however recorded in the "*Gains (losses) on disposal of investments*" caption.
Adjustments to the value of goodwill are recorded in the "*Goodwill impairment*" caption.

10 - Non-current assets and disposal groups held for sale

Recognition and classification

Non-current assets and groups of assets/liabilities subject to a disposal process are classified in asset caption 150 *"Non-current assets and disposal groups held for sale"* and liability caption 90 *"Liabilities associated with non-current assets held for sale"*, when such sale is deemed to be highly likely.

Measurement

These assets and liabilities are measured at the lower of their carrying value, determined in accordance with IFRS, or their fair value, less costs to sell.

Recognition of components affecting the income statement

Income and charges (net of tax effect) relating to discontinued operations are classified in the *"Net profit/loss from non-current assets and disposal groups held for sale"* caption of the income statement.

11 - Current and deferred taxation

Recognition and classification

Current taxation comprises the net balance of income tax payable for the year and the current tax receivable due from the tax authorities consisting of advances and other withholding tax credits or other tax credits recoverable by future offset.
Current tax assets also include tax credits for which a request for reimbursement has been made to the tax authorities.
Deferred taxes represent the income taxes recoverable in future periods as a result of deductible temporary differences (deferred tax assets), and the income taxes payable in future periods as a result of taxable temporary differences (deferred tax liabilities).

Measurement

Deferred tax assets, representing the future tax benefit deriving from deductible temporary differences and tax losses carried forward, are recognised to the extent that their recovery is highly likely.
The Group recognises the effects of current and deferred taxation by applying, respectively, the current tax rates and the theoretical tax rates in force when the related temporary differences "reverse".

Recognition of components affecting the income statement

Changes in tax assets and liabilities are normally recorded in the *"Income taxes on current operations"* caption.
As an exception, those deriving from transactions recognised directly in equity are treated in the same way, and those deriving from business combinations are included in the calculation of goodwill.

12 - Provisions for risks and charges

Recognition

The provisions for risks and charges cover liabilities whose timing and extent are uncertain, when all the following conditions are met:

- a current obligation exists at the balance sheet date, deriving from a past event. The origin of the obligation must either be legal (deriving from a contract, regulation or the provisions of law) or implicit (arising when the business causes third parties to expect that commitments will be met, even if these do not fall into the category of legal obligations);
- a financial outflow is likely;
- the extent of the obligation can be estimated reliably.

For liabilities that are merely potential and not likely, no provision has been made, but information is provided in the Directors' report on Group operations in the section "Principal risks and uncertainties".

Classification

This caption includes the provisions relating to long-term benefits and post-employment benefits governed by IAS 19, discussed in point 17 below, and the *provisions for risks and charges* governed by IAS 37.

Measurement

Where the time element is significant, the provisions are discounted using current market rates. Provisions are charged to the income statement.

Recognition of components affecting the income statement

Provisions for risks and charges and the related write-backs, including the effects of the passage of time, are classified in the *"Net provisions for risks and charges"* caption.
Provisions are made on the basis of the best estimate of the amount that the company would reasonably pay to settle the obligation or to transfer it to third parties at the balance sheet date. When the financial effect of time is significant and the payment dates of obligations can be reliably estimated, the provision is calculated by discounting the expected future cash flows taking into account the risks associated with the obligation; the increase in the provision due to the passage of time is recognised in the income statement.

13 - Debts and debt securities in issue

Recognition

The initial recognition of these financial liabilities takes place on receipt of the amounts collected or on issue of the debt securities.

These liabilities are initially recognised at their fair value, usually corresponding to the amount collected or the issue price, plus any additional costs/proceeds directly attributable to the individual funding transaction or issue that are not reimbursed by the creditor. This does not include internal administrative costs.

Structured instruments are considered to include compound debt instruments linked to equities, foreign currencies, credit instruments or indices. If such instruments are not classified as Financial Liabilities designated at fair value, the embedded derivative is separated from the primary contract and represents a "derivative" in its own right, if the separation criteria are satisfied. The embedded derivative is recorded at its fair value, while the value of the primary contract represents the difference between the total amount collected and the fair value of the embedded derivative.

The issue of instruments convertible into shares in the Bank involves the recognition, on the issue date, of both a financial liability and an equity element. In particular, the value of a financial liability with the same cash flows but without conversion rights is deducted from the overall value of the instrument. The residual value is then attributed to the equity element of the convertible bond.

Classification

"Due to banks", "Due to customers" and *"Debt securities in issue"* comprise the various forms of interbank and customer funding. These captions also include liabilities recognised by the lessee under finance leases, as well as funding through certificates of deposit and debt securities in issue, net of any repurchases, not classified as *"Financial liabilities designated at fair value "*.

Measurement

Following initial recognition, financial liabilities are valued at amortised cost.

As an exception, short-term liabilities (up to 12 months) are measured at the amount collected and any costs are charged to the income statement, since the effect of the time factor is insignificant.

Any separated embedded derivatives are measured at fair value and the related changes are recorded in the income statement.

Derecognition

Financial liabilities are derecognised when they expire or are settled.

The repurchase of debt securities in issue in prior periods results in their derecognition.

The difference between the carrying amount of the liability and the amount paid to repurchase it is recorded in the income statement.

The renewed placement of treasury securities subsequent to their repurchase is deemed to represent a new issue, with the recognition of a new placement price, without any effect on the income statement.

Recognition of components affecting the income statement

The negative elements of income represented by interest and similar expense are recorded in the interest captions of the income statement on an accruals basis, using the effective interest method.

Costs/revenues relating to short-term payables are recorded directly in the income statement.

The difference between the book value of a liability and the amount paid to settle it is recorded in the "*Gains/losses on disposal/repurchase*".

14 - Financial liabilities held for trading

Recognition

The criteria applied for the recognition of financial assets held for trading (see Section 1 above) are adopted, with suitable modifications.

Classification

This caption includes the negative fair value adjustment of trading derivatives and the fair value of the liabilities deriving from "technical shorts" generated by trading in securities.

Measurement

The criteria applied for the measurement of financial assets held for trading (see Section 1 above) are adopted, with suitable modifications.

Derecognition

The criteria applied for the derecognition of financial assets held for trading (see Section 1 above) are adopted, with suitable modifications.

Recognition of components affecting the income statement

The criteria applied for the recognition of income components of financial assets held for trading (see Section 1 above) are adopted with suitable modifications.

15 - Financial liabilities designated at fair value

Recognition

These liabilities are initially recognised at fair value, net of transaction costs or revenues.

Classification

This caption includes the financial liabilities to be measured at fair value through the income statement, if one of the following conditions are met:

- classification in this category eliminates "accounting asymmetries";
- they are part of groups of liabilities managed together whose performance is measured at fair value, as part of a documented risk-management strategy;
- they contain separable embedded derivatives.

Measurement

Subsequent to initial recognition, financial liabilities continue to be measured at their fair value. The techniques for determining fair value are described in point 21 in these explanatory notes.

Derecognition

Financial liabilities designated at fair value are derecognised when they expire or are settled.
The repurchase of debt securities in issue in prior periods results in their derecognition.
The renewed placement of treasury securities subsequent to their repurchase is deemed to represent a new issue, with the recognition of a new placement price, without any effect on the income statement.

Recognition of components affecting the income statement

The negative elements of income represented by interest are recorded in the interest captions of the income statement on an accruals basis.
The results of measurement are recorded in the "*Net result on financial assets and liabilities designated at fair value*" caption, together with the profits and losses arising on settlement.

16 - Currency transactions

Recognition

On initial recognition, foreign currency transactions are recorded in the reporting currency, by translating the foreign currency amounts using the exchange rates prevailing on the transaction dates.

Measurement

At each reporting date, the amounts originally denominated in a foreign currency are measured as follows:

- monetary items are translated using the closing rate for the period;
- non-monetary items carried at historical cost are translated using the exchange rate on the date of the transaction;
- non-monetary items carried at fair value are translated using the closing rate for the period.

Classification

These comprise all assets and liabilities not denominated in euro.

Derecognition

The criteria applying to the balance sheet captions concerned are used. The exchange rate applying on the settlement date is used.

Recognition of components affecting the income statement

Exchange differences deriving from the settlement of monetary items or from the translation of monetary items using rates other than the initial translation rate, or the closing rate at the end of prior periods, are recorded in the income statement for the period in which they arise.
When gains or losses relating to a non-monetary item are recorded in shareholders' equity, the related exchange differences are also recorded in shareholders' equity. Conversely, when gains or losses are recorded in the income statement, the related exchange differences are also recorded in the income statement.

17 - Employee benefits

Classification

Employee benefits, excluding short-term amounts such as wages and salaries, comprise:

- post - employment benefits;
- other long-term benefits.

Post-employment benefits are, in turn, sub-divided into defined-contribution plans and defined benefit plans, depending on the nature of the benefits envisaged:

- under defined contribution plans, the employer makes fixed contributions and has no legal or constructive obligation to make further contributions if the fund does not hold sufficient assets to pay all employee benefits;
- defined benefit plans are all post-employment benefit plans other than defined contribution plans.

Pursuant to Law 296 dated 27 December 2006 (2007 Finance Law):

- the TFR earned from 1 January 2007 is deemed to be a defined contributions plan for which no actuarial calculations are required;
- the TFR already earned at the dates indicated above, on the other hand, continues to be treated as a defined benefits plan, although such benefits have already been fully earned. As a consequence, the actuarial value of the liability must be redetermined at every accounting date subsequent to 31 December 2006.

Other long-term benefits comprise employee benefits that are not due entirely within twelve months of the end of the year in which employees accumulated their right to them.

Recognition and measurement

The value of a defined-benefit obligation is represented by the present value of the future payments necessary to settle the obligations deriving from work performed by employees in the current and prior years.

This present value is determined using the "Projected Unit Credit Method".

The employee benefits included as other long-term benefits, such as long-service bonuses that are paid on reaching a pre-determined level of seniority, are recorded for an amount determined at the reporting date using the "Projected Unit Credit Method".

The provision for termination indemnities is recorded as a separate liability, while the other post-employment benefits and long-term benefits are recorded among the provisions for risks and charges.

Recognition of components affecting the income statement

Service costs are recorded as payroll costs, together with the related accrued interest.

Actuarial gains and losses (remeasurements) relating to post-employment, defined benefit plans are recorded in shareholders' equity in the year they are identified. These actuarial gains and losses are reported in the " Consolidated statement of comprehensive income ", as required by IAS 1.

The actuarial gains and losses (remeasurements) relating to other long-term benefits are recognised in full as part of payroll costs in the year in which they arise. On this last point, in 2012 the BPER Banca Group has standardised the orientation expressed by the National Institute of Actuaries in Circular 35 dated 21 December 2012, valid with effect from the measurements carried out at 31 December 2012. This document confirmed the guidelines already issued with the previous Circular dated 22 May 2012, in which it was expected that the component represented by interest cost had to be calculated using the rate of the curve corresponding to the duration of the liability, instead of the 1-year rate of the same curve used up to 31 December 2011.

The information not specifically detailed here, is provided in the Remuneration Report and in the Remuneration Policies referred to in Part I of these notes.

18 – Income statement: Revenues

Revenues are the gross inflow of economic benefits arising in the course of ordinary activities of a business, when those inflows result in increases in equity, other than increases relating to contributions from shareholders (IAS 18).
Revenues are recognised at the fair value of the consideration received or receivable, when it can be reliably estimated.
When the result of a rendering of services can be estimated reliably, the revenues associated with the transaction are recognised using the percentage of completion at the balance sheet date.
The outcome of a transaction can be estimated reliably when all of the following conditions are met:

- the amount of the revenues can be reliably measured;
- it is probable that the economic benefits associated with the transaction will flow to the business;
- the stage of completion of the transaction at the balance sheet date can be reliably measured;
- the costs incurred for the transaction and the costs to complete it can be reliably calculated.

Revenues are recognised in the accounting period in which the services are provided and when it is probable that the economic benefits associated with the transaction will flow to the company.
However, when there is uncertainty about the collectability of an amount already included in revenue, the uncollectable amount, or the amount whose recovery is no longer probable, is recognised as an expense, rather than as an adjustment to the original revenue.
Revenues arising from third-party use of the entity's assets yielding interest, dividends and commissions are recognised on the basis of the following criteria:

- interest is recognised using the effective interest method;
- dividends are recognised when the shareholders' right to receive payment is determined.
- commission income on services is recorded in the period when the services are rendered, based on contractual agreements. Commissions considered in amortised cost for the purpose of determining the effective interest rate are recognised as interest.

19 – Income statement: Costs

Costs are recognised at the same time as the related revenues according to the principle of matching revenues and costs. If the correlation between costs and revenues is only generic and indirect, the costs are recorded over several years according to a systematic method of distribution in accordance with the accrual principle. Costs that by nature are not associated with revenues are recognised immediately in the income statement.

Marginal costs and revenues directly attributable to the acquisition of an asset or issue of a financial liability measured at amortised cost are recognised in the income statement together with the interest on the financial asset or liability using the effective interest method.

20 - Other information

– Treasury shares

Any treasury shares held following repurchase are stated at purchase cost and shown in *"Treasury shares"* caption with a negative sign. Profits or losses deriving from their subsequent sale are recorded as changes in shareholders' equity in the "Share premium" caption.

– Leasehold improvements

These costs have been classified as "*Other assets*", since they cannot be recorded as part of "Property, plant and equipment", as required by Bank of Italy instructions.
The related amortisation is recorded in the "*Other operating charges/income*" caption.

21 - Techniques for the determination of fair value

Paragraph 9 of IFRS 13 defines fair value as *"the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date"*.
When determining whether the fair value at initial recognition equals the transaction price, it is necessary to take into account factors specific to the transaction and to the asset and liability. It follows that, if the transaction price (consideration) differs from fair value, the difference should be recognised in the income statement.
It is also established that fair value includes transport costs, but excludes transaction costs.
In addition to the measurement of stand-alone financial instruments at fair value, the Group may also measure groups of similar assets and liabilities at fair value, where it is permitted to do so.
Measurement at fair value assumes that the transaction to sell an asset or transfer a liability takes place in a principal market, defined as the market with the greatest volume and level of trading for the asset or liability to be measured. In the absence of a principal market, reference should be made to the most advantageous market, which is the market that maximises the amount that would be received to sell an asset or minimises the amount that would be paid to transfer a liability, after taking into account transaction costs.

Identification of active markets

The process for measurement of fair value starts with determining whether there is an active market with regularly available quoted prices.

In order to consider a market as active, the Group takes account of the following factors:

- number of participants;
- frequency of price quotations and updates thereto;
- presence of a bid-ask spread;
- width of the bid-ask spread;
- trading volume.

Whether a financial instrument qualifies as traded on an active market can only be determined through extensive research of all the existing markets in order to identify the principal or most advantageous market, taking into account "all information that is reasonably available" (IFRS 13 § 17). This needs to be done for each financial instrument for which the fair value has to be determined.
To determine whether, based on the information that is available, a market can be considered to be active, the Bank assesses the importance and relevance of factors that include the following:

- low level of recent trading activity;
- available prices are not current;
- available prices vary significantly over time or between market-makers;
- it can be demonstrated that indices that previously had a close correlation with the fair value of an asset or a liability no longer have this correlation based on recent indications of fair value of that asset or liability;
- presence of a significant increase in the embedded risk premiums, or default rates, of the transactions being considered or in quoted prices;
- presence of a wide bid-ask spread or of a significant increase therein;
- significant decline in the level of trading activity;
- lack of publicly available information.

If compliance with the necessary requirements is verified periodically, a financial instrument can be considered to be traded on an active market. Within the possible markets, a search is undertaken to identify the principal market or, in the absence of a principal market, the most advantageous market.
Fair value is determined with reference to:

- the closing bid price for assets held or liabilities to be issued;
- the closing ask price for liabilities already issued or assets to be purchased.

Closing bid and ask prices are the bid and ask prices referred to by the entity that regulates the market on which an instrument is traded.
In the absence of reference bid and ask prices, the last price set by the entity which regulates the market could be taken, provided that this price has the following features: advertised, liquidity, prompt adaptation to changing conditions and availability as envisaged by the standards.
For assets and liabilities with offsetting positions in market risks, the average of the bid and ask price can be used, provided that this is commonly used by market participants and is consistent with the objective of measuring fair value in accordance with IFRS 13.

In the case of open-end mutual funds, the Net Asset Value (NAV) is considered to be the most representative of the fair value of the instrument. No adjustments are made to the NAV to take into account the interval between the date redemption is requested and the actual redemption date.

In the case of listed closed-end funds, the fair value is derived from the market quotation.
With regard to foreign shares, if these are listed on regulated stock exchanges, then they are considered to be traded in an active market. The price provided for this type of share, if the bid-ask spread is not available, is the last price. On the contrary, equity trading in OTC markets is not considered to take place in an active market.
Listed derivatives are measured using the last prices supplied by the clearing house.

Financial instruments listed in inactive markets are reported as "unlisted" for the purpose of preparing the tables in the explanatory notes.

With regard to bonds not listed on regulated markets, in view of the role played by the Bank in the institutional market for financial instruments, the Bloomberg Professional system has been identified as an active market for front office operations, if the prices recorded therein have the appropriate features mentioned above.

Identification of the fair value of financial instruments not listed on active markets

If the market for a financial instrument does not meet the conditions required to qualify as an active market, the fair value of the instrument is determined through the use of valuation techniques.
Valuation techniques indicated by international accounting standards are:

- market approach: this uses prices and other relevant information generated by market transactions involving comparable assets;
- cost approach: this reflects the amount that would be required currently to replace the service capacity of an asset ("current replacement cost");
- income approach: this converts future cash flows or income and expenses to a single current amount.

For Bank purposes, the following valuation techniques are valid:

- market approach for identical or comparable assets and liabilities;
- use of matrix pricing;
- present value techniques;
- option pricing models;
- the multi-period excess earnings method.

These techniques may be used if:

- they maximise the use of market data, while minimising the use of Bank estimates and assumptions;
- they reasonably reflect how the market expects the price to be determined;
- the fair value measurement is determined on the basis of the value indicated by current market expectations and the risk and yield of the instrument being valued;
- they reflect the assumptions that market participants would use when pricing an asset or liability;
- they are consistent with commonly accepted methodologies;
- they are periodically subjected to verification and calibration to verify their capability to determine a fair value in line with actual trading prices for the instrument being valued.
- In summary, the Bank's preference is to adopt a market approach for the determination of fair value, even if an active market does not exist. Only in the event that it is not possible to apply the above valuation techniques, quantitative valuation methods may be used.

It is apparent that regulations governing valuation techniques do not authorise a neutral and objective use of quantitative methods. However, their use should be understood to be the development by the Group of an internal process that matches the fair value measurement with a price at which an instrument could be exchanged in a market transaction at current conditions.
As part of this process, it would thus appear necessary to give priority to the use of recent transaction prices (prices on non-active markets, prices provided by third-party participants), or the prices of similar instruments. In this context, quantitative methods can provide a benchmark to supplement, or correct,

any differences between the instrument being valued and that observed in the market, or to reflect the impact of changes in the economic environment on market transactions.

Valuation techniques used to measure fair value are applied consistently. A change in a valuation technique or its application is appropriate if the change results in a measurement that is equally or more representative of fair value in the circumstances. That might be the case if any of the following events take place:

- new markets develop;
- new information becomes available;
- information previously used is no longer available;
- valuation techniques improve;
- market conditions change.

Valuation techniques

Specific techniques are applied in relation to particular types of financial instrument, in order to correctly identify their characteristics.

Equities

For all unlisted shares, the valuation rules set out above apply. Failing this, they are measured at cost.

For unlisted shares, other than equity investments, the methods used the most for fair value measurement fall into the following categories:

- discounted cash flow;
- the use of multiples.

These methods require the availability of a significant amount of data to estimate future cash flows generated by a company or to identify the correct market multiples. They use uncertain estimates of various parameters (cash flows, dividends, beta, risk premium, cost of capital, asset values, etc.), the measurement of which is subjective and which do not always reflect market conditions. This leads to a valuation of a distribution of theoretical fair values. Where it is not possible to reliably determine the fair value with the above methods, securities and instruments are measured at cost.
As an alternative to the valuation techniques above, the value of the share may be based on book value, computed as the ratio between equity and the number of issued ordinary shares.

Plain vanilla debt securities

With regard to plain vanilla debt securities, the valuation technique applied is discounted cash flow analysis. There are three steps:

- mapping of cash flows: recognition of the cash flows expected from the instrument and their distribution of the duration of the contract;
- selection of the discounting curve, having regard for the risk factors affecting the cash flows;
- calculation of the present value of the instrument at the measurement date.

Having identified the cash flows, the appropriate discounting curve is calculated using the discount rate adjustment approach, which takes account of both rate risk and credit risk. This information is used to calculate the instrument's fair value, as the sum of the present values of its cash flows.

Structured debt securities

Given the non-determinant nature of the future cash flows from structured securities, their fair value is calculated by breaking them down into a portfolio of elementary instruments using the replica portfolio technique. The fair value of the structured product is obtained by summing the individual values obtained for elementary instruments comprising the product.

As from 2013, the Bank started issuing protection certificates. They combine two financial instruments:

- a zero coupon bond;
- an option which seeks to replicate the performance of an underlying asset and to protect, partially or completely, the amount invested.

The methods used for the calculation of fair value are similar to those described above for structured debt securities.

Derivatives

The fair value of derivatives is determined using quantitative models that differ depending on the type of instrument concerned. In particular, a distinction is made between:

- Over-The-Counter (OTC) options represented by either stand-alone options or options embedded in complex financial instruments. Pricing techniques include:
  - options with payoff that can be calculated precisely, priced using models generally accepted by the market (e.g. Black & Scholes and variants);
  - options with payoff that cannot be calculated precisely, usually priced using "Montecarlo" simulation techniques;
- Interest Rate Swaps (IRS): the fair value of IRS is determined using net discounted cash flow analysis. In the case of a structured IRS, the instrument is decomposed into a "plain" component and an optional component ("building blocks"), so that their separate values can be determined and summed.

Forward currency transactions

These transactions are measured with reference to the forward rates at period end for maturities corresponding to those of the contracts to be priced.

Balance sheet items measured at amortised cost

Loans and receivables and held to maturity investments are measured at amortised cost and their fair value is determined for disclosure purposes only.

The fair value of loans with a contractual duration of less than twelve months is estimated to be their book value; the fair value of other loans is obtained by discounting the contract cash flows, net of the expected losses determined with reference to the credit rating of the borrower, using the corresponding rate curve for their maturities.

Credit Valuation Adjustment (CVA) and Debit Valuation Adjustment (DVA)

Current regulations state that the pricing of a derivative, in addition to being based on market factors, should also reflect the credit risk of the counterparty determined by a Credit Valuation Adjustment (CVA) and a Debit Valuation Adjustment (DVA).

To assess the credit risk of the counterparty, the BPER Banca S.p.A. Group adopts the following methodology.

The term Credit Valuation Adjustment (CVA) refers to an adjustment in order to properly reflect the credit risk of the derivative counterparty made on the valuation of an OTC derivative (with a positive current exposure) transaction entered into by the Bank with an external counterparty and may be considered to be the market value of a potential loss amount derived from changes in market prices, due to a worsening of the credit or default risk of the counterparty.

Conversely, the term Debit Valuation Adjustment (DVA) refers to an adjustment in order to properly reflect the own default risk of the Bank made on the valuation of an OTC derivative (with a negative current exposure) entered into by the Bank with an external counterparty, that is, the market value of a potential gain derived from changes in market prices, due to a worsening of the credit or default risk of the Bank.

For the quantification of a CVA and a DVA, under certain conditions, IFRS 13 refers to a calculation that must be made by netting set or by counterparty and, thus, based on net exposure and not at individual contract level. In addition, it is necessary to consider whether any collateral has been provided or if there are any netting agreements.
The BPER Banca Group currently makes use of bilateral agreements for the netting of derivative contracts, in accordance with which the reciprocal mark to market receivable and payable positions are offset automatically on a daily basis, leading to a single net balance, without any novation: this results in margin settlement being made solely by the net creditor. The foregoing has led to a considerable reduction in exposure to credit risk and, consequently, the impact of CVAs and DVAs on fair value.

In particular, for the BPER Banca Group, there are two factors that mitigate the impact on fair value of credit risk:

- the signing of ISDA (International Swaps and Derivatives Association, the international industry standard on OTC derivatives) agreements with the main corporate and all the institutional counterparties to OTC derivatives. In respect of the institutional counterparties the related CSA (Credit Support Annex) was also executed in order to cover the provision of collateral and to further reduce current exposure and consequent risks;
- the entry into force of the new EMIR (European Market Infrastructure Regulation) platform, in respect of the exclusion from the scope of CVAs and DVAs of derivatives entered into on that platform/market. On the basis of assessments made, it is likely that most derivative transactions will go through the new system as they mainly consist of derivatives that are eligible for that purpose.

IFRS 13 does not indicate a specific methodology for the calculation of CVAs and DVAs, but it requires the use of valuation techniques that, on the one hand, must be appropriate for the data available and, on the other hand, maximise the use of observable market data.

With reference to the above, in order to align with best market practices, it was decided to use bilateral CVA methodology that considers the presence of two components to the calculation, with the aim of including the potential loss/gain arising from changes in the credit risk of the counterparty/Bank, but taking into account the joint probability of default by counterparties.

Market parameters
The following types of yield curve are used:

- par swap curves;
- bond curves derived from baskets of bonds;
- corporate curves by issuer, rating, and sector.

The following are derived from the par curves:

- zero coupon curves;
- forward rate curves;
- discount factor curves.

The zero coupon rate curves are obtained using the bootstrapping technique. These are used to extrapolate the discount factors used to determine the present value of the cash flows generated by the financial instruments to be priced.The forward rates are implicit in the zero coupon curve are determined with reference to the non-arbitrage theory.

The issuer curves are obtained by adding to the par swap rates the spreads that reflect the credit rating of the instrument's issuer. These are used to price unlisted bonds.

Bond curves are calculated based on baskets of government bonds. Prices of the basket bonds, as well as the curves generated by them, are updated in real-time.

The credit rating curve of the Group is obtained by creating a basket of issues by banking issuers that have similar characteristics and ratings. This is used to price all issued bonds.

The prices thus obtained are applied daily to organised systems of trading for the bonds issued by the Group Banks (MELT-HIMTF) that are reflected in the fair value valuation in the financial statements.

Volatility and other parameters

Volatilities and correlations are used principally to price unlisted derivatives. The volatilities are classified as follows:

- historical volatilities, estimated as the standard deviation of a time series of daily observations of the logarithm of the yields of the underlying concerned;
- contributed volatilities, obtained from information providers;
- implicit volatilities, obtained from the market prices of listed options.

With regard to the correlations, multi-variant derivatives are priced using historical correlations.

Additional information

IFRS 13 requires an entity to "disclose information that helps users of its financial statements assess both of the following:

a) *for assets and liabilities that are measured at fair value on a recurring or non-recurring basis in the statement of financial position after initial recognition, the valuation techniques and inputs used to develop those measurements;*
b) *for recurring fair value measurements using significant unobservable inputs (Level 3), the effect of the measurements on profit or loss or other comprehensive income for the period."*

The Group has a procedure in place to:

- identify transfers between levels;
- analyse and document the reasons for such transfers;
- monitor and control the reliability of the fair value of financial instruments.

In particular, for assets and liabilities measured at fair value on a recurring and non-recurring basis, adequate disclosure is made of:

- the fair value measurement at the end of the reporting period, and for non-recurring fair value measurements, the reasons for the measurement;

- the level of the fair value hierarchy within which the fair value measurements are categorised in their entirety (Level 1, 2 or 3);
- for assets and liabilities categorised within Level 2 or 3, a description of the valuation techniques and inputs used and the reasons for any changes in valuation techniques used.

The Group provides, for assets and liabilities held at the end of the reporting period that are measured at fair value on a recurring basis, the amounts of any transfers between Level 1 and Level 2 of the fair value hierarchy, the reasons for those transfers and the policy for determining when transfers between levels are deemed to have occurred, while, for those categorised on a recurring basis within Level 3 of the fair value hierarchy, a reconciliation is provided from the opening balances to the closing balances.
Information is also provided on the policy for determining when transfers between fair value hierarchy levels are deemed to have occurred.

For assets or liabilities categorised within Level 3 of the fair value hierarchy, the following disclosures are provided:

- quantitative information about the significant unobservable inputs used in the fair value measurement;
- for recurring fair value measurements, the amount of the total gains or losses for the period included in profit or loss that is attributable to the change in unrealised gains or losses relating to those assets and liabilities held at the end of the reporting period, and the line item(s) in profit or loss in which those unrealised gains or losses are recognised;
- a description of the valuation processes used for recurring and non-recurring fair value measurements;
- a narrative description of the sensitivity of the fair value measurement to changes in unobservable inputs if a change in those inputs to a different amount might result in a significantly higher or lower fair value measurement.

For financial assets and liabilities measured at amortised cost (not thus measured at fair value, but with fair value disclosure obligations) the following information is provided:

- the fair value hierarchy level;
- a description of the valuation techniques adopted for Levels 2 and 3, as well as the inputs used;
- if there has been any change in the valuation technique, a description of the change and the reason for it.

For own financial liabilities measured at fair value with credit enhancement (e.g. inseparable guarantees), information is provided on the existence of credit enhancement and the impact thereof on the determination of the fair value of the liability.

The application of the fair value option to loans and receivables and financial liabilities requires disclosure of the change in fair value attributable solely to changes in the credit risk associated with the instrument.
As mentioned, the risk factors are included in the discount curve using the discount rate adjustment approach.
This approach involves making separate and independent estimates of the various risk components (rate risk and credit risk), so that the partial fair value can be determined considering the changes in just one risk factor.

The following factors are considered in relation to credit risk:

- the risk-free market rate observed at the valuation date;
- the credit spread observed at the initial recording date or the previous valuation date;
- the credit spread observed at the valuation date.

The market fair value at the measurement date is compared with the fair value calculated using the credit risk observed at the initial recording date (or, alternatively, at the previous valuation date). This makes it possible to determine the changes in fair value due solely to changes in credit risk on a cumulative or periodic basis.

Fair value hierarchy

The Group classifies its financial assets and liabilities by decreasing degree of fair value quality on the basis of the following principles:

- Fair value Level 1. Measurement is based on the price of the financial instrument concerned, being a quoted price in an active market.
- Fair value level 2. Measurement is not based on quoted prices in active markets for the financial instrument concerned, but on meaningful prices obtained from non-active markets or reliable infoproviders, or on prices determined using an appropriate valuation technique largely based on observable market parameters, including credit spreads, derived from quotations of instruments that are substantially similar in terms of risk factors considered. The objective of the use of valuation techniques is to reaffirm the aim of obtaining a closing price at the valuation date from the point of view of a market participant that holds the financial instrument.
- Fair value level 3. Measurement is based on various inputs that include subjective parameters, that is, parameters whose value cannot be derived from quoted prices observable in active markets. Since the parameters are not observable directly in the market, it follows that the value is required to make estimates and assumptions.

In some cases, the inputs used to measure the fair value of an asset or a liability might be categorised within different levels of the fair value hierarchy. In those cases, the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Group has set out[43]:

- the analyses to be performed in the event of changes in valuation techniques used to measure fair value;
- the policy for determining when transfers between fair value hierarchy levels are deemed to have occurred and which is constantly adhered to.

As a general principle, to be allocated to Level 1 of the fair value hierarchy, if there is a quoted price in an active market for an asset or a liability, that price should be used without adjustment when measuring fair value. In fact, the fair value hierarchy gives the highest priority to quoted prices (unadjusted) in active markets for identical assets or liabilities and the lowest priority to unobservable inputs.
An allocation to Levels 2 and 3 depends on how the inputs used for the fair value measurement of an asset or liability are categorised within different levels of the fair value hierarchy: in those cases, the fair

[43] *Reference should be made to the Group's regulatory framework, which comprises Guidelines, Group Regulations and methodological manual*

value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

Assessing the significance of a particular input to the entire measurement requires judgement, taking into account factors specific to the asset or liability.

The availability of relevant inputs and their relative subjectivity might affect the selection of appropriate valuation techniques.

22 - Method for determining the extent of impairment

Financial assets

At each reporting date, financial assets not classified as at fair value are subjected to an impairment test to verify if there is any objective evidence for believing that their carrying amount may not be fully recoverable.

Value is impaired if there is objective evidence that future cash flows will be lower than the originally estimated contractual amounts; the related loss must be quantified in a reliable manner and associated with actual events rather than just expected events.

Impairment is measured in detail for those financial assets for which there is specific evidence of an impairment adjustment, and on an overall basis for other financial assets.

Pursuant to IAS 39, whenever the fair value of equities classified as available for sale is significantly lower than their purchase cost, or remains lower for an extended period, the Bank recognises an impairment loss with allocation of the negative valuation reserve to the income statement.

In particular, the BPER Banca Group recognises as objective evidence of impairment situations in which fair value is less than 50% of purchase cost or remains below purchase cost for 24 consecutive months.

If fair value is impaired, detailed analysis is performed to determine the reasons for the loss and identify any difficulties faced by the issuer, such as:

- significant financial problems or possibility of court-supervised arrangements;
- announcement/implementation of financial restructuring plans;
- significant changes with an adverse effect on the technological, economic or regulatory environment in which the issuer operates.

If the above analysis causes the Group to believe that impairment exists, the related fair value equity reserve is posted to the income statement.

See paragraph 4 - Loans for detailed information about the treatment of loans.

Equity investments

The Bank's equity investments are also subjected to impairment testing. In particular, the impairment test is performed at least on an annual basis and involves the determination of recoverable value, being the greater of fair value less selling costs or value in use.

The measurement methodology used to calculate fair value less costs to sell was described in an earlier section of this report.

Value in use represents the present value of the cash flows expected to derive from the assets subject to impairment testing; this involves estimating the cash flows expected from the asset, possible changes in the timing and/or extent of such flows, the time value of money, and the price that remunerates the specific risks associated with the asset, together with such other factors as the size of the market for the asset, which might affect operators' assessments of the quality of the expected cash flows.
The estimate of value in use, being the present value of the cash flows expected to derive from the asset determined using a Discounted Cash Flow (DCF) method such as the DDM configured for banks, Excess Capital Method, identifies the value of a business in relation to its ability to generate cash flow and thus its financial solidity.
Value in use is therefore determined by discounting the cash flows identified in the business plan, the time horizon for which must be sufficiently long for "fair" forecasts to be made; in financial practice, the time period covered by the forecast flows is at least three years. Where business plans are not prepared directly by the investees, long-term inertia-based plans are developed based on the companies' results and financial position, as well as market projections.
Shareholders' equity and earnings performance are only referred to on a residual basis, for the measurement of less significant equity investments.

Property, plant and equipment and intangible assets
Property, plant and equipment and intangible assets with a finite useful life are subjected to impairment testing if there is evidence that their carrying amounts may no longer be recoverable. Recoverable value is determined with reference to the fair value of the property, plant and equipment or intangible asset, net of disposal costs, or to its value in use if this can be determined and exceeds fair value.
The fair value of property is usually determined by appraisal. Impairment is only recognised if fair value less costs to sell, or value in use, is lower than the related carrying amount for an extended period.

23 - Business combinations: allocation of purchase cost

Introduction
The process of allocation of the purchase price for business combinations is described below, while details of such transactions are provided in Part G of the explanatory notes.

Fair value of the assets and liabilities acquired
When accounting for a business combination, the Bank determines the fair value of the assets, liabilities and contingent liabilities acquired. Such amount is only identified separately if, at the acquisition date, the following criteria are met:

- in the case of assets other than intangible assets, it is likely that the purchaser will obtain any future economic benefits;
- in the case of liabilities other than contingent liabilities, it is likely that their settlement will require the use of resources capable of producing economic benefits;
- in the case of an intangible asset (IAS 38) or a contingent liability (IAS 37), the related fair value can be measured in a reliable manner.

Identification of intangible assets
Depending on the characteristics of the business acquired, an analysis is performed to identify any unrecorded assets that should be recognised separately, for example customer-related (client relationship) intangibles, or marketing-related (brand name) intangibles.

Customer-related intangible assets: these are recognised as intangible assets when they are separable and can be measured reliably, even though they may not always derive from contractual rights such as marketing-related intangibles.
This category includes:

- client lists: these comprise all the information held about clients (database containing: names, addresses, transaction history, demographic information etc.) that has a recognised market value, on condition that it can be rented or exchanged; such information cannot be treated as an intangible asset if it is considered so confidential that the combination agreement forbids its sale, rental or exchange in other forms;
- contracts with clients and the client relationships established as a consequence: contracts with clients satisfy the contractual/legal requirement for the recognition of an intangible asset, even if the combination contract forbids their sale or transfer separately from the business acquired; this category also includes long-established contacts with clients, even if there is no formal contract, and all other non-contractual relationships that can be separated and measured on their own;
- non-contractual relations with clients: this category includes all intangible assets that, being separable and transferable independently of the business acquired, may be valued individually and recognised as intangibles.

Marketing-related intangible assets: trademarks, commercial names, service brands, collective names and quality marks that derive from contractual rights or which are usually separable. Such assets reflect the collection of productive conditions that are economically correlated with the commercial name, the relationship with the market, and the reach of distribution.
An intangible asset must be measured initially at cost. If acquired as part of a business combination, its cost is its fair value at the time control is obtained.
Fair value, in this context, reflects market expectations about the likelihood that the owner will obtain the future economic benefits deriving from the asset. The entity must assess the probability of obtaining future economic benefits using reasonable and justifiable assumptions that reflect Management's best estimate of the economic conditions that will apply over the useful life of the asset.
The accounting standards do not specify the methodology to be used to measure the fair value of such assets but, among the possible alternatives, preference is given to those making reference to observable market prices. Failing this, the accounting standards allow the use of valuation models that include assumptions which are generally used and recognised by the market.
The fair value of customer-related intangible assets is determined by discounting the profit flows generated by deposits over the expected residual period of the relationships outstanding at the time of acquisition.
In general, brands are valued using market methods as well as methods based on the flows deriving from their management or a royalty recognised by the market.

Determination of goodwill

Goodwill represents the unallocated amount of purchase cost, being the excess of the cost of the business combination over the net fair value of the identifiable assets, liabilities and contingent liabilities acquired (including those intangibles and contingent liabilities that satisfy the requirements for recognition in the financial statements).

This represents the consideration recognised by the purchaser in exchange for the future economic benefits deriving from assets that cannot be identified individually and recognised separately. In substance, this includes the value of the expected synergies, the corporate image of the company acquired, its know how, its professionalism, its procedures and other non-specific factors.
The goodwill acquired as a result of a business combination must not be amortised. The Group verifies each year, or whenever there is evidence of possible impairment, that the recorded value of goodwill has not been impaired (impairment test).
If the residual amount allocated to the purchase value is negative (so-called "badwill"), it is recognised as a benefit in the income statement under item 265 *"Badwill"*.

24 - Derecognition of financial assets

Derecognition involves the elimination of a previously recognised financial asset from the balance sheet.
Before assessing whether the conditions for derecognition of financial assets exist, according to IAS 39, one has to ascertain whether these conditions are to be applied to such assets in their entirety or whether they can refer to only part of them.
The essential condition for full derecognition of a financial asset is the extinction of its contractual rights, either because they expire naturally or because the rights to the cash flows resulting from such assets are transferred to a third party outside the Group.
The elimination of a financial asset is subject to verification that all of the risks and rewards of ownership of the rights have actually been transferred. In the case of transfer of substantially all of the risks and rewards, the transferred asset (or group of assets) can be derecognised and the rights and obligations relating to the transfer have to be recognised separately as assets or liabilities.
Conversely, in the event that the risks and rewards are retained, the asset (or group of assets) transferred has to continue being recognised. In this case, one has to recognise a liability equal to the amount received as consideration for the transfer and subsequently recognise all revenues and expenses accruing on the liability.
The main types of transactions that, under these rules, do not permit the derecognition of a financial asset are securitisations of receivables, repurchase agreements and securities lending.

A.3 – Information on transfers of financial assets between portfolios

A.3.1 Financial assets reclassified: book value, fair value and effects on overall profitability

Type of financial instrument	Source portfolio	Destination portfolio	Book value as at	Fair value as at	Income elements without transfer (before tax)		Income elements recorded for the period (before tax)	
			31.12.2017	31.12.2017	measured	other	measured	other
Debt securities	Financial assets held for trading	Due from banks	-	-	39	2	-	-
Debt securities	Financial assets held for trading	Loans to customers	-	-	-	-	-	-
Debt securities	Financial assets available for sale	Due from banks	-	-	-	-	-	-
Debt securities	Financial assets available for sale	Loans to customers	25,957	28,257	2,438	779	-	675
Debt securities	Financial assets held for trading	Financial assets available for sale	-	-	-	-	-	-
UCITS units	Financial assets held for trading	Financial assets available for sale	2,520	2,520	(166)	-	(166)	10

A.3.2 Financial assets reclassified: effect on overall profitability before transfer

No financial assets were reclassified during the year.

A.3.3 Transfer of financial assets held for trading

No financial assets were reclassified during the year.

A.3.4 Effective interest rate and cash flows expected from reclassified assets

No financial assets were reclassified during the year.

A.4 – Information on fair value

Qualitative information

A.4.1 Fair value Levels 2 and 3: valuation techniques and inputs used

A description of the valuation techniques and inputs used has been disclosed in Chapter 21 of Part A.2 of these explanatory notes "Techniques for the determination of fair value".

A.4.2 Measurement process and sensitivity

Assets and liabilities categorised within Level 3 of the fair value hierarchy mainly consist of:

- connected derivatives, in that they offset each other and which originate from securitisations, classified as "*Financial assets held for trading*" and "*Financial liabilities held for trading*";
- a limited number of equity investments measured at cost or under the equity method and in UCITS units measured at NAV classified as "*Financial assets designated at fair value* ";
- minority equity investments, often held to preserve links with the territory or for the development of commercial relationships (measured mainly on the basis of the book value of shareholders' equity of the companies in question or at cost), as well as UCITS units (usually at NAV), with both classified as *"Financial assets available for sale"*;
- investments in asset-backed securities classified as *"Due from banks"* and *"Loans to customers"*.

For the latter, the related sensitivity is provided below:

Financial asset/liability	Non-observable parameter	Change in parameter	Sensitivity (in thousands)
Investiments in Asset Backed Securities	Credit Spread	+25 b.p.	(1,690)

For the other positions which have just been illustrated, given the use of valuation techniques involving the use of estimates, the measurement thereof is incapable of being significantly impacted by changes in inputs.

A.4.3 Fair value hierarchy

A description of the fair value hierarchy has been disclosed in Part A.2 of these explanatory notes in Chapter 21 "Techniques for the determination of fair value".

A.4.4 Other information

Reference should be made to Chapter 21 of Part A.2 of the explanatory notes "Techniques for the determination of fair value" for further information on fair value.

Quantitative information

A.4.5 Fair value hierarchy

A.4.5.1 Assets and liabilities measured at fair value on a recurring basis: breakdown by fair value levels

Financial assets/Liabilities designated at fair value	31.12.2017			31.12.2016		
	L1	L2	L3	L1	L2	L3
1. Financial assets held for trading	374,100	268,703	20,331	334,749	315,913	26,182
2. Financial assets designated at fair value	59,701	15,932	7,666	62,745	16,320	5,242
3. Financial assets available for sale	10,443,408	1,084,495	548,150	9,037,893	854,484	540,845
4. Hedging derivatives	-	54,061	-	-	62,365	-
5. Property, plant and equipment	-	-	-	-	-	-
6. Intangible assets	-	-	-	-	-	-
Total	**10,877,209**	**1,423,191**	**576,147**	**9,435,387**	**1,249,082**	**572,269**
1. Financial liabilities held for trading	1,396	151,108	16,955	3,291	203,010	20,536
2. Financial liabilities designated at fair value	-	48,320	-	-	247,933	-
3. Hedging derivatives	-	24,383	-	-	40,697	-
Total	**1,396**	**223,811**	**16,955**	**3,291**	**491,640**	**20,536**

Transfers of assets from Level 1 to Level 2 of the fair value hierarchy during the year amounted to € 173,283 thousand and those from Level 2 to Level 1 amounted to € 161,995 thousand.
The former are due to a loss of significance of the prices quoted in the principal market, while, for the latter, the dealer market showed an improvement in the negotiability of the instruments in terms of volumes and in the breadth and depth of the prices quoted.

Key:

L1 = Level 1
L2 = Level 2
L3 = Level 3

A.4.5.2 Period changes in assets measured at fair value on a recurring basis (level 3)

	Financial assets held for trading	Financial assets designated at fair value	Financial assets available for sale	Hedging derivatives	Property, plant and equipment	Intangible assets
1. Opening balance	**26,182**	**5,242**	**540,845**	**-**	**-**	**-**
2. Increases	**1,083**	**6,299**	**151,589**	**-**	**-**	**-**
2.1 Purchases	1	5,920	104,350	-	-	-
2.2 Profits posted to:	8	376	9,252	-	-	-
2.2.1 Income Statement	8	376	3,360	-	-	-
- of which: gains	-	4	-	-	-	-
2.2.2 Shareholders' equity	#	#	5,892	-	-	-
2.3 Transfers from other levels	-	-	-	-	-	-
2.4 Other increase	1,074	3	37,987	-	-	-
3. Decreases	**6,934**	**3,875**	**144,284**	**-**	**-**	**-**
3.1 Sales	7	2,546	31,257	-	-	-
3.2 Redemptions	-	987	12,330	-	-	-
3.3 Losses posted to:	6,858	340	99,801	-	-	-
3.3.1 Income Statement	6,858	340	96,711	-	-	-
- of which: losses	6,858	16	7,096	-	-	-
3.3.2 Shareholders' equity	#	#	3,090	-	-	-
3.4 Transfers to other levels	-	-	405	-	-	-
3.5 Other decreases	69	2	491	-	-	-
4. Closing balance	**20,331**	**7,666**	**548,150**	**-**	**-**	**-**

During the year, an equity instrument was transferred from Level 3 to Level 2 following its listing on the HI-MTF market.

A.4.5.3 Period changes in liabilities measured at fair value on a recurring basis (level 3)

	Financial liabilities held for trading	Financial liabilities designated at fair value	Hedging derivatives
1. Opening balance	**20,536**	**-**	**-**
2. Increases	**1,888**	**-**	**-**
2.1 Issues	-	-	-
2.2 Losses posted to:	847	-	-
2.2.1 Income Statement	847	-	-
- of which: losses	847	-	-
2.2.2 Shareholders' equity	#	#	-
2.3 Transfers from other levels	-	-	-
2.4 Other increase	1,041	-	-
3. Decreases	**5,469**	**-**	**-**
3.1 Redemptions	-	-	-
3.2 Buybacks	-	-	-
3.3 Profits posted to:	5,400	-	-
3.3.1 Income Statement	5,400	-	-
- of which: gains	-	-	-
3.3.2 Shareholders' equity	#	#	-
3.4 Transfers to other levels	-	-	-
3.5 Other decreases	69	-	-
4. Closing balance	**16,955**	**-**	**-**

There were no transfers during the year to or from other levels of the fair value hierarchy.

A.4.5.4 Assets and liabilities not measured at fair value or at fair value on a non-recurring basis: breakdown by fair value levels

Assets/Liabilities not measured at fair value or at fair value on a non-recurring basis	31.12.2017				31.12.2016			
	BV	L1	L2	L3	BV	L1	L2	L3
1. Financial assets held to maturity	2,637,135	2,588,852	209,556	-	2,515,993	2,492,106	205,820	-
2. Due from banks	3,012,515	-	-	3,012,515	1,331,811	-	41,800	1,291,203
3. Loans to customers	47,814,808	-	24,245	48,609,796	45,494,179	-	137,436	46,036,866
4. Investment property, plant and equipment	281,857	-	-	307,042	258,122	-	-	281,039
5. Non-current assets and disposal groups held for sale	-	-	-	-	-	-	-	-
Total	**53,746,315**	**2,588,852**	**233,801**	**51,929,353**	**49,600,105**	**2,492,106**	**385,056**	**47,609,108**
1. Due to banks	12,984,226	-	-	12,984,226	9,462,678	-	-	9,462,678
2. Due to customers	42,694,078	-	-	42,694,078	38,912,714	-	-	38,912,714
3. Debt securities in issue	7,504,019	3,106,380	2,544,304	2,090,788	8,587,243	2,611,580	3,488,831	2,587,572
4. Liabilities associated with non-current assets held for sale	-	-	-	-	-	-	-	-
Total	**63,182,323**	**3,106,380**	**2,544,304**	**57,769,092**	**56,962,635**	**2,611,580**	**3,488,831**	**50,962,964**

Key:

BV = Book value
L1 = Level 1
L2 = Level 2
L3 = Level 3

A.5 – Information on "day one profit/loss"

In the case of Level 3 transactions, the fair value obtained through the use of internal models may differ from the transaction price.
In these cases, the Bank has to indicate the accounting policies it follows to recognise to profit or loss any differences that may arise after initial recognition of the instrument.

There were no differences at 31 December 2017 between the value of transactions and their corresponding fair values.

Part B – Information on the consolidated balance sheet

Assets

Section 1 – Cash and cash equivalents Caption 10

1.1 Cash and cash equivalents: breakdown

	31.12.2017	31.12.2016
a) Cash	420,299	364,879
b) Demand deposits with Central Banks	-	-
Total	**420,299**	**364,879**

Section 2 - Financial assets held for trading
Caption 20

2.1 Financial assets held for trading: breakdown by product

Description/Amounts	31.12.2017			31.12.2016		
	L1	L2	L3	L1	L2	L3
A. Cash assets						
1. Debt securities	189,266	158,831	1	199,958	153,108	1
1.1 Structured securities	21,377	4,813	-	22,215	1,393	-
1.2 Other debt securities	167,889	154,018	1	177,743	151,715	1
2. Equities	97,839	1,692	25	64,950	48	1
3. UCITS units	86,947	-	-	69,431	-	-
4. Loans	-	-	-	-	-	-
4.1 Repurchase agreements	-	-	-	-	-	-
4.2 Other	-	-	-	-	-	-
Total A	**374,052**	**160,523**	**26**	**334,339**	**153,156**	**2**
B. Derivatives						
1. Financial derivatives	48	108,180	20,305	410	162,757	26,180
1.1 Trading	48	108,180	20,305	410	156,902	26,180
1.2 Connected with the fair value option	-	-	-	-	5,855	-
1.3 Other	-	-	-	-	-	-
2. Credit derivatives	-	-	-	-	-	-
2.1 Trading	-	-	-	-	-	-
2.2 Connected with the fair value option	-	-	-	-	-	-
2.3 Other	-	-	-	-	-	-
Total B	**48**	**108,180**	**20,305**	**410**	**162,757**	**26,180**
Total A+B	**374,100**	**268,703**	**20,331**	**334,749**	**315,913**	**26,182**

The financial derivatives connected with the fair value option are mainly associated with debt securities classified as "Financial liabilities designated at fair value " (liability caption 50).
An explanation of the fair value hierarchy used for classification has been given in Part A.2 of these notes in Chapter 21 "Techniques for the determination of fair value".

2.2 Financial assets held for trading: breakdown by issuer/borrower

Description/Amounts	31.12.2017	31.12.2016
A. Cash assets		
1. Debt securities	**348,098**	**353,067**
a) Governments and Central Banks	264,011	268,773
b) Other public entities	4	8
c) Banks	32,263	39,940
d) Other issuers	51,820	44,346
2. Equity instruments	**99,556**	**64,999**
a) Banks	21,318	15,382
b) Other issuers	78,238	49,617
- insurance companies	3,931	4,121
- financial companies	3,320	2,754
- non-financial companies	70,987	42,742
- other	-	-
3. UCITS units	**86,947**	**69,431**
4. Loans	**-**	**-**
a) Governments and Central Banks	-	-
b) Other public entities	-	-
c) Banks	-	-
d) Other parties	-	-
Total A	**534,601**	**487,497**
B. Derivative instruments		
a) Banks	70,985	116,513
- fair value	70,985	116,513
b) Customers	57,548	72,834
- fair value	57,548	72,834
Total B	**128,533**	**189,347**
Total (A+B)	**663,134**	**676,844**

Section 3 - Financial assets designated at fair value Caption 30

3.1 Financial assets designated at fair value: breakdown by product

Description/Amounts	31.12.2017			31.12.2016		
	L1	L2	L3	L1	L2	L3
1. Debt securities	12,074	15,567	-	15,301	15,958	286
1.1 Structured securities	-	-	-	-	-	-
1.2 Other debt securities	12,074	15,567	-	15,301	15,958	286
2. Equity instruments	-	365	-	3	362	-
3. UCITS units	47,627	-	7,666	47,441	-	4,956
4. Loans	-	-	-	-	-	-
4.1 Structured	-	-	-	-	-	-
4.2 Other	-	-	-	-	-	-
Total	**59,701**	**15,932**	**7,666**	**62,745**	**16,320**	**5,242**
Cost	**53,965**	**15,943**	**7,672**	**57,397**	**17,797**	**5,369**

An explanation of the fair value hierarchy used for classification has been given in Part A.2 of these notes in Chapter 21 "Techniques for the determination of fair value".

Financial assets designated at fair value: use of the fair value option

Description	31.12.2017	31.12.2016
a) Natural hedges using derivatives	12,075	12,147
b) Natural hedges using other financial instruments	-	-
c) Other cases of accounting mismatches	-	-
d) Financial instruments managed and measured at fair value	71,224	72,160
e) Structured products with embedded derivatives	-	-
Total	**83,299**	**84,307**

3.2 Financial assets designated at fair value: breakdown by borrower/issuer

Description/Amounts	31.12.2017	31.12.2016
1. Debt securities	**27,641**	**31,545**
a) Governments and Central Banks	12,075	12,147
b) Other public entities	-	-
c) Banks	7,210	7,282
d) Other issuers	8,356	12,116
2. Equity instruments	**365**	**365**
a) Banks	-	-
b) Other issuers:	365	365
- insurance companies	-	-
- financial companies	-	-
- non-financial companies	365	365
- other	-	-
3. UCITS units	**55,293**	**52,397**
4. Loans	**-**	**-**
a) Governments and Central Banks	-	-
b) Other public entities	-	-
c) Banks	-	-
d) Other parties	-	-
Total	**83,299**	**84,307**

Analysis of UCITS units

Description	31.12.2017	31.12.2016
1. Equities	-	-
2. Property - closed end	3,965	7,452
3. Equities - open end	9,302	8,500
4. Balanced - open end	-	-
5. Bonds - open end	2,283	2,131
6. Equities closed end	24	2,190
7. Speculative securities	4	543
8. Bonds - short term	-	-
9. Bonds - long term	-	-
10. Other	39,715	31,581
Total	**55,293**	**52,397**

Section 4 - Financial assets available for sale Caption 40

4.1 Financial assets available for sale: breakdown by product

Description/Amounts	31.12.2017			31.12.2016		
	L1	L2	L3	L1	L2	L3
1. Debt securities	**10,407,074**	**1,084,090**	**55,681**	**8,991,376**	**854,484**	**9,101**
1.1 Structured securities	-	-	-	-	-	-
1.2 Other debt securities	10,407,074	1,084,090	55,681	8,991,376	854,484	9,101
2. Equity instruments	**3,596**	**405**	**317,044**	**3,590**	**-**	**299,918**
2.1 Valued at fair value	3,596	405	294,392	3,590	-	270,875
2.2 Valued at cost	-	-	22,652	-	-	29,043
3. UCITS units	**32,738**	**-**	**172,103**	**42,927**	**-**	**228,592**
4. Loans	**-**	**-**	**3,322**	**-**	**-**	**3,234**
Total	**10,443,408**	**1,084,495**	**548,150**	**9,037,893**	**854,484**	**540,845**

"Financial Assets available for sale" are measured at fair value on the basis described in Part A of these explanatory notes.
"Debt securities" mainly relate to investments made in government bonds with the aim of returning to a more balanced asset sensitivity structure.
"Equity instruments" are represented by stable equity investments.
The "UCITS" units mainly relate to closed-end investment funds.
An explanation of the fair value hierarchy used for classification has been given in Part A.2 of these notes in Chapter 21 "Techniques for the determination of fair value".

4.2 Financial assets available for sale: breakdown by borrower/issuer

Description/Amounts	31.12.2017	31.12.2016
1. Debt securities	**11,546,845**	**9,854,961**
a) Government and Central Banks	4,381,210	4,821,293
b) Other public entities	176,028	110,775
c) Banks	4,938,811	3,636,121
d) Other issuers	2,050,796	1,286,772
2.Equity instruments	**321,045**	**303,508**
a) Banks	130,280	119,523
b) Other issuers:	190,765	183,985
- insurance companies	63,777	63,777
- financial companies	69,345	73,970
- non-financial companies	57,598	46,193
- other	45	45
3. UCITS units	**204,841**	**271,519**
4. Loans	**3,322**	**3,234**
a) Government and Central Banks	-	-
b) Other public entities	-	-
c) Banks	-	-
d) Other parties	3,322	3,234
Total	**12,076,053**	**10,433,222**

4.3 Micro-hedged financial assets available for sale

	31.12.2017	31.12.2016
1. Financial assets covered by specific fair value hedges	**4,385,979**	**2,167,059**
a) Interest rate risk	4,385,979	2,167,059
b) Price risk	-	-
c) Foreign exchange risk	-	-
d) Credit risk	-	-
e) Multiple risks	-	-
2. Financial assets covered by specific cash flow hedges	**111,081**	**282,371**
a) Interest rate risk	111,081	282,371
b) Foreign exchange risk	-	-
c) Other	-	-
Total	**4,497,060**	**2,449,430**

Section 5 - Financial assets held to maturity Caption 50

5.1 Financial assets held to maturity: breakdown by product

	31.12.2017				31.12.2016			
	BV	FV			BV	FV		
		Level 1	Level 2	Level 3		Level 1	Level 2	Level 3
1. Debt securities	2,637,135	2,588,852	209,556	-	2,515,993	2,492,106	205,820	-
- Structured securities	-	-	-	-	-	-	-	-
- Other	2,637,135	2,588,852	209,556	-	2,515,993	2,492,106	205,820	-
2. Loans	-	-	-	-	-	-	-	-

More than half of the portfolio comprises government debt securities, in order to support net interest income and reduce its exposure to interest rate fluctuations, given a foreseeable scenario of exceptionally low risk-free rates for a long time to come.
An explanation of the fair value hierarchy used for classification has been given in Part A.2 of these notes in Chapter 21 "Techniques for the determination of fair value".

Key:

FV = fair value
BV = book value

5.2 Financial assets held to maturity: breakdown by issuer/borrower

Type of transaction/Amounts	31.12.2017	31.12.2016
1. Debt securities	**2,637,135**	**2,515,993**
a) Governments and Central Banks	1,447,106	1,348,283
b) Other public entities	25,041	9,960
c) Banks	970,041	933,791
d) Other issuers	194,947	223,959
2. Loans	**-**	**-**
a) Governments and Central Banks	-	-
b) Other public entities	-	-
c) Banks	-	-
d) Other entities	-	-
Total	**2,637,135**	**2,515,993**
Total fair value	**2,798,408**	**2,697,926**

Section 6 - Due from banks
Caption 60

6.1 Due from banks: breakdown by product

Type of transaction/Amounts	Total 31.12.2017				Total 31.12.2016			
	BV	FV			BV	FV		
		Level 1	Level 2	Level 3		Level 1	Level 2	Level 3
A. Due from Central Banks	**2,040,374**	**-**	**-**	**2,040,374**	**589,386**	**-**	**-**	**589,386**
1. Time deposits	-	#	#	#	-	#	#	#
2. Reserve requirement	2,035,870	#	#	#	589,386	#	#	#
3. Repurchase agreements	-	#	#	#	-	#	#	#
4. Other	4,504	#	#	#	-	#	#	#
B. Due from banks	**972,141**	**-**	**-**	**972,141**	**742,425**	**-**	**41,800**	**701,817**
1. Loans	972,141	-	-	972,141	701,817	-	-	701,817
1.1. Current accounts and demand deposits	97,588	#	#	#	87,358	#	#	#
1.2. Time deposits	161,673	#	#	#	279,278	#	#	#
1.3. Other loans	712,880	#	#	#	335,181	#	#	#
- Repurchase agreements	300,025	#	#	#	-	#	#	#
- Finance leases	-	#	#	#	-	#	#	#
- Other	412,855	#	#	#	335,181	#	#	#
2. Debt securities	-	-	-	-	40,608	-	41,800	-
2.1 Structured securities	-	#	#	#	-	#	#	#
2.2 Other debt securities	-	#	#	#	40,608	#	#	#
Total	**3,012,515**	**-**	**-**	**3,012,515**	**1,331,811**	**-**	**41,800**	**1,291,203**

An explanation of the fair value hierarchy used for classification has been given in Part A.2 of these notes in Chapter 21 "Techniques for the determination of fair value".

Key:

FV = fair value
BV = book value

Section 7 - Loans to customers Caption 70

7.1 Loans to customers: breakdown by sector

Type of transaction/Values	31.12.2017					
	Book value			Fair value		
	Performing exposures	Non-performing exposures		L1	L2	L3
		Purchased	Other			
Loans	**42,207,366**	**-**	**5,401,764**	**-**	**-**	**48,431,994**
1. Current accounts	4,327,749	-	823,471	#	#	#
2. Repurchase agreements	-	-	-	#	#	#
3. Mortgage loans	25,448,156	-	3,335,569	#	#	#
4. Credit cards, personal loans and assignments of one-fifth of salary	1,806,361	-	35,376	#	#	#
5. Finance leases	2,308,510	-	531,907	#	#	#
6. Factoring	772,338	-	10,081	#	#	#
7. Other loans	7,544,252	-	665,360	#	#	#
Debt securities	**204,722**	**-**	**956**	**-**	**24,245**	**177,802**
8. Structured securities	-	-	-	#	#	#
9. Other debt securities	204,722	-	956	#	#	#
Total	**42,412,088**	**-**	**5,402,720**	**-**	**24,245**	**48,609,796**

Type of transaction/Values	31.12.2016					
	Book value			Fair value		
	Performing exposures	Non-performing exposures		L1	L2	L3
		Purchased	Other			
Loans	**38,975,604**	**-**	**6,196,379**	**-**	**-**	**45,841,840**
1. Current accounts	4,455,986	-	936,392	#	#	#
2. Repurchase agreements	-	-	-	#	#	#
3. Mortgage loans	23,102,878	-	3,384,993	#	#	#
4. Credit cards, personal loans and assignments of one-fifth of salary	1,628,188	-	52,030	#	#	#
5. Finance leases	2,004,155	-	585,912	#	#	#
6. Factoring	763,564	-	19,035	#	#	#
7. Other loans	7,020,833	-	1,218,017	#	#	#
Debt securities	**321,263**	**-**	**933**	**-**	**137,436**	**195,026**
8. Structured securities	-	-	-	#	#	#
9. Other debt securities	321,263	-	933	#	#	#
Total	**39,296,867**	**-**	**6,197,312**	**-**	**137,436**	**46,036,866**

The sub-caption "Other loans" of performing loans includes: € 3,701 million of bullet loans (+8.66%), € 2,204 million of advances on invoices subject to collection (+2.70%), € 755 million of import/export advances (3.42%), € 56 million of credit assignment (+12%) and € 828 million of other miscellaneous entries (+20.17%).
An explanation of the fair value hierarchy used for classification has been given in Part A.2 of these notes in Chapter 21 "Techniques for the determination of fair value".

7.2 Loans to customers: breakdown by issuer/borrower

Type of transaction/Values	31.12.2017			31.12.2016		
	Performing exposures	Non-performing		Performing exposures	Non-performing exposures	
		Purchased	Other		Purchased	Other
1. Debt securities	**204,722**	**-**	**956**	**321,263**	**-**	**933**
a) Governments	-	-	-	-	-	-
b) Other public entities	1,696	-	-	1,834	-	-
c) Other issuers	203,026	-	956	319,429	-	933
- non-financial companies	10,290	-	956	9,820	-	933
- financial companies	192,736	-	-	206,022	-	-
- insurance companies	-	-	-	103,587	-	-
- other	-	-	-	-	-	-
2. Loans to	**42,207,366**	**-**	**5,401,764**	**38,975,604**	**-**	**6,196,379**
a) Governments	1,915,303	-	1	1,720,133	-	1
b) Other public entities	387,299	-	13,290	354,684	-	5,435
c) Other parties	39,904,764	-	5,388,473	36,900,787	-	6,190,943
- non-financial companies	24,655,910	-	4,674,298	23,551,414	-	5,340,676
- financial companies	2,922,898	-	96,149	2,521,808	-	142,772
- Insurance companies	17,887	-	-	16,285	-	-
- other	12,308,069	-	618,026	10,811,280	-	707,495
Total	**42,412,088**	**-**	**5,402,720**	**39,296,867**	**-**	**6,197,312**

7.3 Loans to customers: hedged assets

	31.12.2017	31.12.2016
1. Loans subject to micro-hedging of fair value	**13,921**	**14,960**
a) Interest rate risk	13,921	14,960
b) Price risk	-	-
c) Foreign exchange risk	-	-
d) Credit risk	-	-
e) Other risks	-	-
2. Loans subject to micro-hedging of cash flow	**-**	**-**
a) Interest rate risk	-	-
b) Foreign exchange risk	-	-
c) Other	-	-
Total	**13,921**	**14,960**

7.4 Finance leases

Finance lease instalments due: timing of instalments

Time bands	Present value 31.12.2017	Present value 31.12.2016
up to 3 months	106,098	129,043
between 3 months and 1 year	77,655	146,598
between 1 year and 5 years	179,149	489,545
beyond 5 years	2,477,515	1,824,881
Total	**2,840,417**	**2,590,067**

Section 8 – Hedging derivatives Caption 80

8.1 Hedging derivatives: breakdown by type and level

	FV 31.12.2017			VN	FV 31.12.2016			VN
	L1	L2	L3	31.12.2017	L1	L2	L3	31.12.2016
A. Financial derivatives	**-**	**54,061**	**-**	**3,958,667**	**-**	**62,365**	**-**	**2,634,095**
1) Fair value	-	54,061	-	3,958,667	-	62,365	-	2,634,095
2) Cash flows	-	-	-	-	-	-	-	-
3) Foreign investments	-	-	-	-	-	-	-	-
B. Credit derivatives	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
1) Fair value	-	-	-	-	-	-	-	-
2) Cash flows	-	-	-	-	-	-	-	-
Total	**-**	**54,061**	**-**	**3,958,667**	**-**	**62,365**	**-**	**2,634,095**

An explanation of the fair value hierarchy used for classification has been given in Part A.2 of these notes in Chapter 21 "Techniques for the determination of fair value".

Key:

FV = fair value
NV = notional value

8.2 Hedging derivatives: breakdown by hedged portfolio and type of hedge (book value)

Operation/Type of hedge	Fair value						Cash flows		
	Specific								
	Interest rate risk	Exchange risk	Credit risk	Price risk	Multiple risks	General	Specific	General	Foreign investments
1. Financial assets available for sale	24,088	-	-	-	-	#	-	#	#
2. Loans	-	-	-	#	-	#	-	#	#
3. Financial assets held to maturity	#	-	-	#	-	#	-	#	#
4. Portfolio	#	#	#	#	#	-	#	-	#
5. Other operations	-	-	-	-	-	#	-	#	-
Total assets	**24,088**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
1. Financial liabilities	29,973	-	-	#	-	#	-	#	#
2. Portfolio	#	#	#	#	#	-	#	-	#
Total liabilities	**29,973**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
1. Expected transactions	#	#	#	#	#	#	-	#	#
2. Portfolio of financial assets and liabilities	#	#	#	#	#	-	#	-	-

Section 9 – Remeasurement of financial assets backed by general hedges
Caption 90

There are no amounts to be disclosed in this section.

Section 10 – Equity investments Caption 100

10.1 Equity investments: disclosure of shareholdings

Name	Registered head office	Operational head office	Type of relationship	Currency	Share capital	Nature of holding		% Voting rights
						Parent company	% held	
A. Investments in companies under joint control								
B. Companies subject to significant influence								
1 Alba Leasing s.p.a.	Milan	Milan	8	eur	357,953,058	BPER Banca	33.498	
2 Arca Holding s.p.a.	Milan	Milan	8	eur	50,000,000	BPER Banca	32.752	
3 Atriké s.p.a.	Modena	Modena	8	eur	120,000	BPER Banca	45.000	
4 Cassa di Risparmio di Fossano s.p.a.	Fossano	Fossano	8	eur	31,200,000	BPER Banca	23.077	
5 Cassa di Risparmio di Savigliano s.p.a.	Savigliano	Savigliano	8	eur	33,085,179	BPER Banca	31.006	
6 CAT Progetto Impresa Modena s.c.r.l.	Modena	Modena	8	eur	90,000	BPER Banca	20.000	
7 CO.BA.PO Consorzio Banche Popolari dell'Emilia Romagna	Bologna	Bologna	8	eur	29,258	BPER Banca	23.587	
8 CONFORM Consulenza Formazione e Management s.cons.a r.l.	Avellino	Avellino	8	eur	200,000	BPER Banca	46.430	
			8			B. Sard.	2.980	
9 Emil-Ro Service s.r.l.	Bologna	Bologna	8	eur	93,600	BPER Banca	16.667	
			8			Emil-Ro Factor	8.333	
10 Immobiliare Oasi nel Parco s.r.l.	Milan	Milan	8	eur	1,000,000	BPER Banca	36.800	
11 Lanciano Fiera - Polo Fieristico d'Abruzzo Consorzio	Lanciano	Lanciano	8	eur	250,000	BPER Banca	20.000	
12 Resiban s.p.a.	Modena	Modena	8	eur	165,000	BPER Banca	20.000	
13 Sarda Factoring s.p.a.	Cagliari	Cagliari	8	eur	9,027,079	B. Sard.	13.401	
			8			BPER Banca	8.083	
14 Sofipo s.a. in liquidazione	Lugano	Lugano	8	chf	2,000,000	B.P.E.R. Europe	30.000	
15 Unione Fiduciaria s.p.a.	Milan	Milan	8	eur	5,940,000	BPER Banca	24.000	

The figure for share capital is provided as extra information as required by CONSOB Communication DEM/6064293 dated 28 July 2006.
The "% voting rights" column is only used if the actual share of votes exercisable at the Ordinary Shareholders' Meeting is different from the interest held in the company's share capital.

Key:

Type of relationship
8 = associated company

10.2 Significant equity investments: book value, fair value and dividends received

Name	Book value	Fair value	Dividends received
A. Investments in companies under joint control			
B. Companies subject to significant influence			
1. Alba Leasing s.p.a.	139,550	-	-
2. Arca Holding s.p.a.	188,668	-	6,223
3. Cassa di Risparmio di Fossano s.p.a.	45,482	-	692
4. Cassa di Risparmio di Savigliano s.p.a.	27,732	-	373
5. Immobiliare Oasi nel Parco s.r.l.	8,588	-	-
6. Sarda Factoring s.p.a.	1,943	-	-
7. Unione Fiduciaria s.p.a.	7,183	-	363
Total	**419,146**	**-**	**7,651**

See Part A of the Explanatory Notes for an explanation of how these figures were calculated.

Equity investments are considered significant based on the materiality of total assets compared with the equivalent consolidated figure. Other investments, which are not considered significant, are reported in Table 10.4; the controlling interests measured using the equity method are reported in table 10.10.

10.3 Significant equity investments: accounting information

Name	Cash and cash equivalents	Financial assets	Non-financial assets	Financial liabilities	Non-financial liabilities	Total revenues	Net interest income
A. Investments in companies under joint control							
B. Companies subject to significant influence							
1. Alba Leasing s.p.a.	#	4,933,565	209,554	4,675,888	50,639	95,606	#
2. Arca Holding s.p.a.	#	223,489	175,035	81,624	41,657	362,320	#
3. Cassa di Risparmio di Fossano s.p.a.	#	2,002,255	80,004	1,892,623	58,185	44,958	#
4. Cassa di Risparmio di Savigliano s.p.a.	#	1,181,627	48,032	1,195,986	31,841	45,030	#
5. Immobiliare Oasi nel Parco s.r.l.	#	376	27,197	4,513	1,071	196	#
6. Sarda Factoring s.p.a.	#	59,144	1,654	51,448	567	2,801	#
7. Unione Fiduciaria s.p.a.	#	40,602	21,996	22,689	11,549	38,697	#

(cont.)

Name	Net adjustments to property, plant and equipment and intangible assets	Profit (Loss) from current operations before tax	Profit (Loss) from current operations after tax	Profit (Loss) after tax on non-current assets held for sale	Net profit (loss) (1)	Other elements of income, net of income taxes (2)	Compre-hensive income (3)= (1)+(2)
A. Investments in companies under joint control							
B. Companies subject to significant influence							
1. Alba Leasing s.p.a.	#	14,367	9,455	-	9,455	31	9,486
2. Arca Holding s.p.a.	#	85,336	55,948	-	55,948	(38)	55,910
3. Cassa di Risparmio di Fossano s.p.a.	#	11,473	6,518	-	6,518	-	6,518
4. Cassa di Risparmio di Savigliano s.p.a.	#	5,511	3,601	-	3,601	-	3,601
5. Immobiliare Oasi nel Parco s.r.l.	#	(3,140)	(3,140)	-	(3,140)	-	(3,140)
6. Sarda Factoring s.p.a.	#	192	67	-	67	2	69
7. Unione Fiduciaria s.p.a.	#	4,569	3,023	-	3,023	-	3,023

Reconciliation of accounting information with the book value of significant equity investments as required by paragraph B14 b) IFRS 12

Name	Shareholders' equity	Attributable share	Goodwill (formerly positive/negative differences in shareholders' equity)	Other changes	Book value
A. Investments in companies under joint control					
B. Companies subject to significant influence					
1. Alba Leasing s.p.a.	416,599	139,550	-	-	139,550
2. Arca Holding s.p.a.	275,244	90,148	98,520	-	188,668
3. Cassa di Risparmio di Fossano s.p.a.	140,212	32,357	13,125	-	45,482
4. Cassa di Risparmio di Savigliano s.p.a.	83,056	25,753	1,979	-	27,732
5. Immobiliare Oasi nel Parco s.r.l.	23,336	8,588	-	-	8,588
6. Sarda Factoring s.p.a.	8,784	1,887	56	-	1,943
7. Unione Fiduciaria s.p.a.	35,467	8,512	(1,329)	-	7,183

For the values and parameters, see Part A.1 of these Explanatory Notes.
The goodwill relating to and included in the value of significant equity investments (formerly positive/negative differences in shareholders' equity) amounts to € 112,498 thousand. The residual amount, € 147 thousand, relates to Resiban s.p.a., not attributable to significant investments.

Alba Leasing s.p.a. was founded in 2010 on the initiative of some of the major Italian cooperative banks and is the fifth largest leasing company in Italy with more than 23,000 active customers all over the country. It is a company that specialises in finance leases, which are distributed by the BPER Banca Group through its branch network.

Arca SGR s.p.a. has transferred its asset management, portfolio management and investment advisory business to Arca Fondi SGR s.p.a. Subsequent to the transfer, it assumed the role of a holding company and it is responsible for Arca Fondi SGR s.p.a.'s general market positioning and business development.

Cassa di Risparmio di Fossano s.p.a. is a Piedmontese credit institution that offers a wide range of banking services.

Cassa di Risparmio di Savigliano s.p.a., active in Piedmont, aims to increase the spread of credit among small entrepreneurs, artisans and farmers.

Sarda Factoring s.p.a. provides financing services and hedging of business risk to companies in Sardinia.

Unione Fiduciaria s.p.a. was founded by a group of cooperative banks and offers trust services, consultancy, organisational and IT services for financial intermediaries.

Immobiliare Oasi nel Parco s.r.l. purchases, develops and sells land and buildings.

Impairment testing of goodwill implicit in equity investments in companies subject to significant influence

As required by IAS/IFRS, equity investments in these companies have been subjected to impairment tests. With respect to the method for the determination of impairment of investments in associates, the applicable accounting standards require that this be applied by comparing the recoverable amount with the carrying amount of the investment.

The assessment is carried out at least annually and whenever there is an indication that the goodwill may have suffered a reduction in value.

Casse Cuneesi

The recoverable amount was determined on a value in use basis, estimated by discounting future cash flows. The Dividend Discount Model was applied with a cost of capital of 8.20% and a long-term growth rate of 1.5%.

More specifically, for the estimate of the cost of capital, reference was made to the following parameters:

- risk-free rate of 1.89%, i.e. the 3-month average yield on 10-year BTPs;
- market risk premium of 5.50%;
- Beta of 1.15% equal to the average based on a sampling of Italian listed banks representative of the Italian market.

For more details about the methodology and other parameters, reference should be made to section 13 – Intangible assets.

The value in use was estimated by discounting future cash flows relating to an explicit forecast period of five years, from 2018 to 2022. The forecasts were drawn up considering:

- for 2017, reference was made to the latest interim accounts available;
- for the period 2018-2022, financial projections were developed in a context of inertial growth in order to identify sustainable long-term normalised income, having made reference to the historical evolution of the banks and the system estimates provided by Prometeia.

Distributable financial flows have been calculated assuming a target CET 1 ratio in line with the supervisory provisions and able to maintain a satisfactory level of capitalisation that is consistent with the expected growth in business.

The Parent Company acquired an opinion from an independent external expert on the impairment test carried out.

The assessments carried out show an impairment of the goodwill implicit in Cassa di Risparmio di Savigliano s.p.a. for Euro 2.8 million, while the goodwill relating to Cassa di Risparmio di Fossano s.p.a. is confirmed.

Arca Holding s.p.a.

The recoverable amount was determined on a value in use basis, estimated using the multiples method based on recent transactions applied to managed assets.

10.4 Equity investments not considered significant: accounting information

Name	Book value of equity investments	Total assets	Total liabilities	Total revenues	Profit (Loss) from current operations after tax	Profit (Loss) after tax on non-current assets held for sale	Net profit (loss) (1)	Other elements of income, net of income taxes (2)	Comprehensive income (3)= (1)+(2)
Investments in companies under joint control									
Companies subject to significant influence	655	4,096	3,492	2,052	(117)	-	(117)	-	(117)

10.5 Equity investments: changes in the period

	31.12.2017	31.12.2016
A. Opening balance	**413,923**	**415,200**
B. Increases	**63,455**	**32,580**
B.1 Purchases	30,759	-
- of which: business combinations	30,458	-
B.2 Write-backs	-	-
B.3 Revaluation	-	-
B.4 Other changes	32,696	32,580
C. Decreases	**23,011**	**33,857**
C.1 Sales	7,728	23,336
of which: business combinations	-	23,336
C.2 Adjustments	4,521	4,350
C.3 Other changes	10,762	6,171
D. Closing balance	**454,367**	**413,923**
E. Total revaluations	**-**	**-**
F. Total adjustments	**166,925**	**164,033**

"Purchases" relate entirely to the business combination arising on the acquisition of Nuova Cassa di Risparmio di Ferrara s.p.a. with regard to the subsidiaries Banca Farnese s.p.a. in liquidation and Immobiliare Oasi nel Parco s.r.l.
"Sales" refer to the sale of the investments in Banca della Nuova Terra s.p.a. and Sintesi 2000 s.r.l.
"Adjustments" refer to the impairment test performed on the following companies subject to significant influence: Cassa di Risparmio di Savigliano (€ 2,808 thousand), Sofipo s.a. in liquidation (€ 83 thousand) and Atriké s.p.a. (€ 20 thousand); and on the following subsidiaries measured using the equity method: *Polo Campania s.r.l. (€ 1,065 thousand), Italiana Valorizzazioni Immobiliari s.r.l. (€ 493 thousand) and Galilei Immobiliare s.r.l. (€ 52 thousand).*
"Other changes" mainly include the Group's portions of the positive or negative results of affiliates and the consolidation entries under the equity method.

10.9 Significant restrictions

At the banks and companies that make up the BPER Banca Group's scope of consolidation, there are no significant restrictions as foreseen by IFRS 12 § 13.

10.10 Other information

Controlling interests measured using the equity method

Name	Book value of equity investments	Total assets	Total liabilities	Total revenues	Profit (loss) from current operations after tax	Profit (loss) after tax on non-current assets held for sale	Net profit (loss) (1)	Other elements of income, net of income taxes (2)	Comprehensive income (3)= (1)+(2)
Controlling interests measured using the equity method	34,566	181,113	146,518	25,936	(944)	-	(944)	-	(944)

Section 11 – Technical reserves carried by reinsurers Caption 110

There are no amounts to be disclosed in this section.

Section 12 – Property, plant and equipment Caption 120

12.1 Property, plant and equipment used for business purposes: breakdown of assets valued at cost

Description/Amounts	31.12.2017	31.12.2016
1. Assets owned	**764,903**	**707,924**
a) land	186,616	170,909
b) buildings	488,683	456,251
c) furniture	32,342	30,372
d) electronic systems	25,152	26,166
e) other	32,110	24,226
2. Assets purchased under finance leases	**16,723**	**3,424**
a) land	-	-
b) buildings	3,305	3,424
c) furniture	-	-
d) electronic systems	13,418	-
e) other	-	-
Total	**781,626**	**711,348**

12.2 Investment property: breakdown of assets valued at cost

Description/Amounts	31.12.2017				31.12.2016			
	Book value	Fair value			Book value	Fair value		
		L1	L2	L3		L1	L2	L3
1 Assets owned	**281,857**	**-**	**-**	**307,042**	**258,122**	**-**	**-**	**281,039**
a) land	95,884	-	-	81,204	92,677	-	-	96,525
b) buildings	185,973	-	-	225,838	165,445	-	-	184,514
2. Assets purchased under finance leases	-	-	-	-	-	-	-	-
a) land	-	-	-	-	-	-	-	-
b) buildings	-	-	-	-	-	-	-	-
Total	**281,857**	**-**	**-**	**307,042**	**258,122**	**-**	**-**	**281,039**

The BPER Banca Group has opted to measure both assets used in the business and investment property at cost.
An explanation of the fair value hierarchy used for classification has been given in Part A.2 of these notes in Chapter 21 "Techniques for the determination of fair value".

12.5 Property, plant and equipment used in business: changes in the period

	Land	Buildings	Furniture	Electronic systems	Other	Total
A. Opening gross amount	**172,545**	**696,750**	**186,185**	**179,155**	**203,698**	**1,438,333**
A.1 Total net write-downs	1,636	237,075	155,813	152,989	179,472	726,985
A.2 Opening net amount	**170,909**	**459,675**	**30,372**	**26,166**	**24,226**	**711,348**
B. Increases	**16,374**	**52,744**	**6,411**	**20,949**	**15,399**	**111,877**
B.1 Purchases	16,040	37,470	6,190	20,800	13,316	93,816
- of which business combinations	15,718	37,456	3,453	92	1,434	58,153
B.2 Capitalised improvement expenditure	-	7,661	-	-	-	7,661
B.3 Write-backs	-	-	-	-	-	-
B.4 Positive changes in fair value posted to:	-	-	-	-	-	-
a) shareholders’ equity	-	-	-	-	-	-
b) income statement	-	-	-	-	-	-
B.5 Positive exchange rate adjustments	-	-	-	-	-	-
B.6 Transfer from properties held for investment	318	3,185	-	-	-	3,503
B.7 Other changes	16	4,428	221	149	2,083	6,897
C. Decreases	**667**	**20,431**	**4,441**	**8,545**	**7,515**	**41,599**
C.1 Sales	-	-	13	20	65	98
C.2 Depreciation	-	16,142	4,186	8,424	6,096	34,848
C.3 Impairment charges posted to:	-	950	-	-	-	950
a) shareholders’ equity	-	-	-	-	-	-
b) income statement	-	950	-	-	-	950
C.4 Negative changes in fair value posted to:	-	-	-	-	-	-
a) shareholders’ equity	-	-	-	-	-	-
b) income statement	-	-	-	-	-	-
C.5 Negative exchange rate adjustments	-	-	-	-	-	-
C.6 Transfer to:	667	2,817	-	-	-	3,484
a) property, plant and equipment held for investment	667	2,817	-	-	-	3,484
b) non-current assets held for sale	-	-	-	-	-	-
C.7 Other changes	-	522	242	101	1,354	2,219
D. Closing net balance	**186,616**	**491,988**	**32,342**	**38,570**	**32,110**	**781,626**
D.1 Total net write-downs	1,636	257,030	179,400	163,080	222,033	823,179
D.2 Closing gross amount	**188,252**	**749,018**	**211,742**	**201,650**	**254,143**	**1,604,805**

The determination of the fair value of property, held for whatever purpose, which is also useful to highlight any need for impairment, is usually done based on generally accepted valuation methods and principles. At 31 December 2017, the valuation of the Group's entire property portfolio was subjected to review by an independent expert. Based on the valuation submitted to us on completion of the above review, it was deemed appropriate to write down the carrying amount of the various properties with the recognition of an impairment adjustment of € 950 thousand.

12.6 Investment property: changes in the period

	Total	
	Land	Buildings
A Opening net amount	**92,677**	**165,445**
B. Increases	**4,575**	**37,403**
B.1 Purchases	3,908	24,710
- of which business combinations	3,689	23,836
B.2 Capitalised improvement expenditure	-	621
B.3 Positive changes in fair value	-	-
B.4 Write-backs	-	-
B.5 Exchange gains	-	-
B.6 Transfers from assets used in business	667	2,817
B.7 Other changes	-	9,255
C. Decreases	**1,368**	**16,875**
C.1 Sales	620	1,888
C.2 Depreciation	-	3,279
C.3 Negative changes in fair value	-	-
C.4 Impairment changes	239	6,808
C.5 Exchange losses	-	-
C.6 Transfers to other asset portfolios:	318	3,185
a) property used in business	318	3,185
b) non-current assets held for sale	-	-
C.7 Other changes	191	1,715
D. Closing net balance	**95,884**	**185,973**
E. Measured at fair value	**81,204**	**225,838**

As a result of the updated valuation of the property portfolio at fair value, as mentioned previously, it was found necessary, in accordance with IAS 36, to write down the carrying amount of some properties, recording an impairment loss of € 7,047 thousand.

Useful life of the main fixed asset categories

Category	Useful life
Land	not depreciated
Property	based on the useful lives identified from specific appraisals
Office furniture and machines	100 months
Furnishings	80 months
Lifting equipment	160 months
Motor vehicles	48 months
Alarm systems	40 months
IT hardware	60 months

Depreciation is calculated with reference to the estimated useful lives of the assets concerned, commencing from when they enter into service.

Section 13 – Intangible assets
Caption 130

13.1 Intangible assets: breakdown by type

Description/Amounts	31.12.2017		31.12.2016	
	Finite duration	Indefinite duration	Finite duration	Indefinite duration
A.1 Goodwill	**#**	**327,084**	**#**	**355,441**
A.1.1 attributable to the group	#	327,084	#	355,441
A.1.2 attributable to minority interests	#	-	#	-
A.2 Other intangible assets	**179,543**	**-**	**165,388**	**-**
A.2.1 Carried at cost:	179,543	-	165,388	-
a) Intangible assets generated internally	-	-	-	-
b) Other assets	179,543	-	165,388	-
A.2.2 Carried at fair value:	-	-	-	-
a) Intangible assets generated internally	-	-	-	-
b) Other assets	-	-	-	-
Total	**179,543**	**327,084**	**165,388**	**355,441**

The Purchase Price Allocation (PPA) process of Cassa di Risparmio di Saluzzo was completed in the first half of 2017. Control over it was acquired in the fourth quarter of 2016 and the purchase price was allocated on a provisional basis at 31 December 2016; in accordance with paragraph 45 of IFRS 3, the conclusion of the process resulted in an adjustment of the figures at 31 December 2016 compared with those previously published, following the identification of intangible assets with a finite useful life for a total of Euro 9,061 thousand, recognition at the same time of deferred tax liabilities of Euro 2,996 thousand and therefore a reduction in the provisionally recorded goodwill of Euro 6,065 thousand. For further details, see Part G "Business combinations" of these consolidated explanatory notes.
Details of the goodwill recorded in the consolidated financial statements is provided in table 13.3.1.
"Other intangible assets" mainly comprise applications software measured at cost and amortised on a straight-line basis over a period, not exceeding five years, that depends on the degree of obsolescence involved.
The remaining "Other intangible assets" comprise € 12,000 thousand representing the value of the client relationships identified on allocation of the purchase price of the former UNICREDIT branches acquired at the end of 2008 (these relationships are estimated as having a useful life of 18 years), € 4,397 thousand representing the value of the core deposits identified on allocation of the price paid for control of Cassa di Risparmio di Bra in 2013, and € 8,432 thousand relating to the core deposits following finalisation of the PPA (Purchase Price Allocation) relating to Cassa di Risparmio di Saluzzo; their useful life is estimated to be 18 years.

13.2 Intangible assets: changes in the period

	Goodwill	Other intangible assets: generated internally		Other intangible assets: other		Total
		Lim.	Unilm.	Lim.	Unilm.	
A. Opening balance	**471,930**	**51**	**-**	**369,033**	**-**	**841,014**
A.1 Total net write-downs	116,489	51	-	203,645	-	320,185
A.2 Opening net amount	**355,441**	**-**	**-**	**165,388**	**-**	**520,829**
B. Increases	**-**	**-**	**-**	**55,648**	**-**	**55,648**
B.1 Purchases	-	-	-	55,629	-	55,629
- of which business combinations	-	-	-	150	-	150
B.2 Increases in intangible assets generated internally	#	-	-	-	-	-
B.3 Write-backs	#	-	-	-	-	-
B.4 Positive changes in fair value	-	-	-	-	-	-
- posted to shareholders' equity	#	-	-	-	-	-
- posted to income statement	#	-	-	-	-	-
B.5 Exchange gains	-	-	-	-	-	-
B.6 Other changes	-	-	-	19	-	19
C. Decreases	**28,357**	**-**	**-**	**41,493**	**-**	**69,850**
C.1 Sales	-	-	-	-	-	-
C.2 Adjustments	28,357	-	-	41,305	-	69,662
- Amortisation	#	-	-	41,305	-	41,305
- Write-downs	28,357	-	-	-	-	28,357
+ posted to shareholders' equity	#	-	-	-	-	-
+ posted to income statement	28,357	-	-	-	-	28,357
C.3 Negative changes in fair value	-	-	-	-	-	-
- posted to shareholders' equity	#	-	-	-	-	-
- posted to income statement	#	-	-	-	-	-
C.4 Transfer to non-current assets held for sale	-	-	-	-	-	-
C.5 Exchange losses	-	-	-	-	-	-
C.6 Other changes	-	-	-	188	-	188
D. Closing net balance	**327,084**	**-**	**-**	**179,543**	**-**	**506,627**
D.1 Total net value adjustments	144,846	51	-	245,169	-	390,066
E. Closing gross amount	**471,930**	**51**	**-**	**424,712**	**-**	**896,693**

All intangible assets are valued at cost.
As reported at the bottom of table 13.1, following the conclusion of the Purchase Price Allocation relating to the purchase of Cassa di Risparmio di Saluzzo, the opening balances have been restated.

Key:

Fin.: finite useful life
Indef.: indefinite useful life

13.3 Other information

13.3.1 Goodwill

The goodwill reported in the Consolidated financial statements is summarised in the following table:

Goodwill	31.12.2017	31.12.2016
1. Group companies	**327,084**	**355,441**
1.1 Banks	**40,080**	**66,780**
- Banco di Sardegna s.p.a.	27,606	54,306
- Cassa di Risparmio di Bra s.p.a.	4,574	4,574
- Cassa di Risparmio di Saluzzo s.p.a. (*)	7,900	7,900
1.2 Parent Company BPER	**280,236**	**280,236**
-Purchase of UNICREDIT branches	83,650	83,650
- Meliorbanca s.p.a.	104,685	104,685
- Banca CRV - Cassa di Risparmio di Vignola s.p.a.	2,272	2,272
- Banca Popolare di Lanciano e Sulmona s.p.a.	1,655	1,655
- Banca Popolare di Aprilia s.p.a.	10,151	10,151
- CARISPAQ - Cassa di Risparmio della Provincia dell'Aquila s.p.a.	13,477	13,477
- Banca Popolare di Ravenna s.p.a.	6,876	6,876
- Banca Popolare del Mezzogiorno s.p.a.	6,124	6,124
- Banca della Campania s.p.a.	51,346	51,346
1.3 Other companies	**6,768**	**8,425**
- Sardaleasing s.p.a.	-	1,657
- Emilia Romagna Factor s.p.a.	6,768	6,768
Total	**327,084**	**355,441**

The detailed figures relating to the Parent Company BPER Banca represent a purely historical and accounting situation, in any case combined in the only identifiable CGU represented by the Legal Entity BPER Banca.
Impairment testing, as required by IAS 36, has shown the need for a writedown of goodwill relating to Banco di Sardegna of € 26.7 million and to Sardaleasing of € 1.7 million.
(*) As mentioned earlier, the value of goodwill at 31 December 2016 has been restated following completion of the Purchase Price Allocation consequent to the acquisition of Cassa di Risparmio di Saluzzo.

Goodwill impairment test

With respect to business combinations, accounting standard IFRS 3 requires the recognition of new intangible assets and goodwill arising from a transaction; goodwill is measured as the difference between the value of the consideration transferred and the acquisition-date fair value of the assets acquired and the liabilities assumed.

In accordance with IAS 36, assets with an indefinite useful life acquired in a business combination, including goodwill, are required to be subjected annually (or when there is any indication that an asset may be impaired) to an impairment test to verify the recoverability of their carrying amount.

Impairment testing requires the preliminary identification of the cash generating unit (CGU) to which the goodwill should be allocated. A CGU is the smallest group of assets that generates cash inflows in an autonomous manner. When the recoverable amount of an individual asset cannot be measured, the recoverable amount of the cash generating unit to which the asset belongs should be estimated. Since goodwill is not an asset that generates cash inflows autonomously, the CGUs benefiting from the goodwill arising from a business combination should be identified for the purposes of impairment testing and the goodwill should be allocated to these CGUs.

Impairment testing has to be performed by comparing the carrying amount of the CGU with its recoverable value, where the recoverable amount is the higher of its fair value less costs to sell and its related value in use. Any adjustments are recorded in the income statement.

GROUP SUBSIDIARY BANKS

Determination of Cash Generating Unit

According to IAS 36, there is a need to correlate the level at which goodwill is tested with the internal reporting level at which management controls movements in this value. In this regard, the definition of this level is closely dependent on the organisational models and the attribution of management responsibilities for the definition of operating activities and subsequent monitoring.

Due to the characteristics of the individual entities, the management and organisational model of the BPER Banca Group which governs the segment reporting system (based on individual legal entities), each Bank is identified as a separate CGU. The goodwill recorded in the consolidated balance sheet at 31 December 2017, which pertains to individual subsidiary banks, was tested on the basis of the comparison between the book value and the recoverable value of each entity to which the goodwill has been allocated, i.e.:

- BPER Banca s.p.a.;
- CR Bra s.p.a.;
- Banco di Sardegna s.p.a.;
- CR Saluzzo s.p.a.

Carrying amount of the CGUs

The carrying amount of the CGUs is determined in a manner consistent with the criterion used to estimate the recoverable amount thereof.

Given that it refers to a bank, it is not possible to identify the cash flows generated by a CGU without considering the flows deriving from financial assets/liabilities, which represent its core business. In other words, the recoverable amount of the CGU is influenced by these flows, which means that the book value

has to be determined in line with the estimated value of the recoverable amount and therefore also has to include the financial assets/liabilities (so-called "equity side" approach).
The table below sets out the carrying amount of the CGUs, together with the portion of goodwill allocated to it, as well as the value of other intangible assets identified as a result of the Business Combination (in this case, intangible assets relating to Core Deposits have been identified).

(in millions of Euro)

CGU	Book value	of which: goodwill	of which: "core deposits" (attributable to Group)
BPER Banca	5,071.8	*280.2*	-
CR Bra	48.4	*4.6*	*2.0*
Banco di Sardegna	660.9	*54.3*	-
CR Saluzzo	71.1	*7.9*	*5.6*

Criteria for estimation of value in use of CGUs
For the purpose of impairment testing, reference was made to value in use, estimated using the "discounted cash flow" valuation method. This method estimates the value in use of an asset by discounting expected cash flows, determined by management on the basis of financial projections for the asset being valued.
Cash flow beyond the last year of the planning period is projected into perpetuity by using an appropriate long-term growth rate “g” to estimate the terminal value.
In the case of banks and financial institutions in general, free cash flow means distributable cash flow taking account of capital restrictions imposed by the Regulatory Authorities or considered reasonable for the coverage of risk that is typical for the asset in question. Accordingly, future cash flows are identifiable as flows that could potentially be distributed after meeting the minimum constraints for allocation of capital.
Future cash flows are discounted using a discount rate that reflects the present value of the time value of money and the specific risks associated with an asset. Specifically, discount rates used incorporate current market rates with reference to the risk free rate and risk premium associated with the equity component observed over a sufficiently long time period that reflects different market conditions and economic cycles and the use of an appropriate beta coefficient for each CGU that takes account of relevant operating environment risks.
In the specific case of financial institutions, the relevant valuation method is the Dividend Discount Model or Excess Capital Method, represented by the following formula:

$$W = \sum_{i=0}^{n} CF_i (1 + k_e)^{-i} + TV(1 + k_e)^{-n}$$

Key:
W = value in use;
CF_i = cash flow available for distribution over time i;
i = reference year of cash flow;
n = period of time covered by the financial projections;
k_e = discount rate;
TV = terminal value; this corresponds to the present value of a perpetuity calculated on the basis of a cash flow sustainable in the long-term with a constant growth rate of "g".

Estimation of prospective cash flows

The value in use of each CGU was estimated by discounting future cash flows relating to an explicit forecast period of five years, from 2018 to 2022. The forecasts were drawn up based on the preliminary financial position and results of each entity as at and for the year ended 31 December 2017 and was done in two stages:

- for 2018, budget figures were used;
- For the period 2019-2022, economic-financial projections were developed in a context of inertial growth in order to identify sustainable long-term normalised income, taking into account the expected growth given by the macroeconomic situation and the trend in actual income recorded by each CGU. The effects of actions already approved and in progress have also been considered, namely: (i) the impact deriving from the introduction of IFRS 9 (effect of extra provisioning for loans during FTA in 2018), (ii) the impact deriving from the actions envisaged in the NPEs plan approved by the Board of Directors in October 2017, reflecting these actions on the development of net loans, the evolution of RWA and the cost of credit.

The table below sets out the main underlying assumptions for the financial projections used to estimate value in use and, in particular, the compound annual growth rate (CAGR) for deposits and profitability ratios in the last year of the forecast (2022).

CGU	CAGR 2017-2022			Profitability indicators at 2022		
	Loans	Direct deposits	Indirect deposits	Net impairment loans	Operating costs/VH	Operating costs/VH
BPER Banca	1.2%	3.1%	3.0%	1.40%	0.48%	0.85%
CR Bra	0.9%	0.0%	3.8%	1.75%	0.50%	0.94%
Banco di Sardegna	-0.4%	0.0%	4.0%	1.79%	0.50%	1.25%
CR Saluzzo	1.5%	-0.9%	2.4%	1.59%	0.50%	0.94%

Key:
VH = Volumes handled (Loans+Total Deposits)

The prospective financial information used in the inertial period are characterised by a gradual increase in values on the basis of a general recovery in the economy over the coming years and an improvement in market rates; however, it should be noted that the forecasts are sensitive to changes in the macroeconomic scenario which is significantly impacted by the situation of uncertainty on the timing and strength of the Italian economy's recovery. For this reason, sensitivity analyses of the value in use of the CGU to changes in certain significant parameters used for valuation purposes have been carried out.
The terminal value, which incorporates the value for the period beyond that covered by the explicit projections, has been estimated by considering a normalised cash flow generated by income in the last year of the projections, net of physiological capital absorption, and by applying a nominal long-term growth rate ("g") of 1.5%; this "g" rate is substantially in line with expected long-term inflation, thus assuming average real growth of zero.
Distributable financial flows have been calculated assuming a target CET 1 ratio in line with the supervisory provisions and able to maintain a satisfactory level of capitalisation that is consistent with the expected growth in business.

Discount rate

Value in use is estimated by discounting cash flows at a rate that considers the current market rates relating to both the element of time value and country risk, as well as specific risks related to the asset in question.
The discount rate was estimated using the Capital Asset Pricing Model, using the following formula:

$$k_e = R_f + \beta \times (R_m - R_f)$$

Key:
R_f = Risk free rate;
$(R_m - R_f)$ = Market Risk Premium;
β = Beta.

The CAPM expresses a linear relationship in terms of market balance between the return on an investment and its systematic risk. In detail, the return on an investment is calculated as the sum of the risk-free rate (expression of the time value of money) and the risk premium, which corresponds to the product of beta times the equity risk premium.
The discount rate was estimated as 9.90%, considering the following parameters:

- The risk free rate represents the time value of money corresponding to the return on a risk-free investment usually represented by government bonds. The general structure of the CAPM refers to a risk-free rate, but makes no reference to the period of time to be considered. The approach that prevailed for the valuation process was to select a rate of return on long-term government bonds (generally 10-year bonds). On account of the volatility of returns on Italian government bonds, use was made of the 3-month average yield on 10-year BTPs, calculated with reference to a 3-month observation period, of 1.89%.
- The market risk premium is the difference between the return on a diversified portfolio of risky investments available on the market and the yield on a risk-free bond. It should be borne in mind that the risk premium is generally associated with the long-term. Since this represents, in fact, the additional return over the risk free rate that an investor requires to invest in a portfolio of risky assets, it should not be linked to short-term market fluctuations. Specifically, we used a market risk premium based on the national context of 5.50%, as used in valuations by various operators.
- Beta, specific investment risk. A beta expresses the correlation between the return on a single risky investment and the return on a market portfolio. A coefficient equal to one indicates that the investment being considered follows the exact trend of the market portfolio, while a beta greater than one identifies an "aggressive" investment, the yield of which may vary to a greater extent than that on the market return. A beta lower than one corresponds to a "defensive" investment; in this case variations in the investment yield are less sensitive. The beta was estimated to be 1.45, equating to the beta for BPER Banca Group calculated with reference to a 3-year observation period, which eliminates or at least limits any particular fluctuations.

Results of impairment tests

An impairment tests requires a comparison between the recoverable amount of the CGU to which goodwill has been allocated and its carrying amount.
More specifically, the carrying amount was calculated as the sum of the portion of shareholders' equity estimated at 31 December 2017 in proportion to the investment held and the value of goodwill recorded in the consolidated financial statements attributable to the individual CGU.

In accordance with applicable accounting standards, goodwill must be adjusted when the carrying amount of the CGU to which it has been allocated exceeds the recoverable amount, which in this case is assumed to be equal to the value in use.
Based on the above assumptions, the values in use of each CGUs were estimated and compared with their respective carrying amounts. Impairment testing conducted as at the reference date of these consolidated financial statements indicated impairment losses pertaining to goodwill allocated to the Banco di Sardegna CGU of Euro 26.7 million, while that allocated to other CGUs was confirmed. Lastly, the differential margin for CR Bra and CR Saluzzo also makes it possible to confirm the value of specific intangible assets with a finite life, represented by the Core Deposits identified on application of the purchase method.
The Parent Company acquired an opinion from an independent external expert on the impairment test carried out.

Sensitivity analysis
It should be noted that the principal parameters utilised in the measurement model, such as cash flows and discount rate, can be influenced, even significantly, by developments in the general economic environment, especially in the current difficult market conditions and uncertainty as to future economic prospects. The effect that these changes could have on cash flow projections and on the main financial assumptions applied could therefore render future results substantially different from those presented in these financial statements.
For this reason, it was considered useful to perform sensitivity analysis to assess the impact on the estimates of value in use and therefore on the results of the impairment test, of changes in the key parameters on which the valuation model was based. In particular, we verified the impact on value in use of a change of:

- +25 bps and +50 bps in base cost of capital (equating to 9.90%);
- +25 bps and +50 bps of the target CET 1 ratio (starting from 2019);
- -25 bps and -50 bps in the long-term base growth rate "g" (equating to 1.5%).

The following table shows the change in percentage terms of the value in use of the CGU compared with that obtained using the "base" parameters.

CGU	Change in value in use of CGU					
	Interest rate ke		CET 1 ratio target		Growth rate “g”	
	+25 bps	+50 bps	+25 bps	+50 bps	-25 bps	-50 bps
BPER Banca	-1.6%	-3.2%	-1.0%	-2.0%	-0.6%	-1.1%
CR Bra	-3.3%	-6.4%	-1.2%	-2.5%	-1.6%	-3.1%
Banco di Sardegna	-1.2%	-2.4%	-0.7%	-1.3%	-0.6%	-1.1%
CR Saluzzo	-2.5%	-4.9%	-0.9%	-1.9%	-1.2%	-2.4%

Based on the simulations developed by varying certain key parameters, there was a decrease in values in use of between 0.6% and 6.4% assuming a deterioration in the macroeconomic conditions.

Again from a Stress Test point of view, alternative changes were considered in the discount rate and in the normalised cash flow for the last period of the projections (used to estimate the terminal value) until the changes resulted in the CGU's value in use equalling its carrying amount, or, in other words, the threshold value of the main inputs, beyond which impairment testing of the CGU would result in a loss.

CGU	Ke limit rate	Limit change in the normalised flow
BPER Banca	11.57%	-23.6%
CR Bra	12.71%	-35.8%
Banco di Sardegna	9.15%	13.6%
CR Saluzzo	11.15%	-18.7%

Without prejudice to the Banco di Sardegna CGU, the results of these analyses show that there is a satisfactory gap between the amounts used for the impairment test and the maximum values, indicating, as a consequence, that there is sufficient headroom (the amount by which the recoverable amount exceeds the carrying amount) even with an adverse change in the current market scenario.

GROUP SUBSIDIARIES

The impairment test is performed by considering the individual legal entities "Emilia Romagna Factor s.p.a." and "Sardaleasing s.p.a." as CGUs.

For the purpose of impairment testing, reference was made to the value in use, estimated using the "Discounted Cash Flow" valuation method. This method estimates the value in use of an asset by discounting expected cash flows, determined by management on the basis of financial projections for the asset being valued.
Cash flow beyond the last year of the planning period is projected into perpetuity by using an appropriate long-term growth rate "g" to estimate the "Terminal Value".
Free cash flow means distributable cash flow taking account of capital restrictions imposed by the Regulatory Authorities or considered reasonable for the coverage of risk that is typical for the asset in question. Accordingly, future cash flows are identifiable as flows that could potentially be distributed after meeting the minimum constraints for allocation of capital.
Future cash flows are discounted using a discount rate that reflects the present value of the time value of money and the specific risks associated with an asset. Specifically, discount rates used incorporate current market rates with reference to the risk free rate and risk premium associated with the equity component observed over a sufficiently long time period that reflects different market conditions and economic cycles and the use of an appropriate beta coefficient that takes account of risks.
The financial method can be identified in the specific case of financial institutions with the Excess Capital Method version of the Dividend Discount Model.

Estimation of prospective cash flows

The value in use has been estimated by discounting future cash flows over an explicit forecast period of three years, 2018-2020, in the case of Emilia Romagna Factor and adding another 2 years (2021 and 2022) of inertial growth in the case of Sardaleasing. The forecasts have been developed starting from the financial position of the companies at the end of 2017 (preliminary figures in the case of Emilia Romagna

Factor) and assuming a moderate inertial growth rate considering the evolution of the macroeconomic scenario.
The terminal value, being the value for the period beyond that covered by the explicit projections, has been estimated by considering a normalised cash flow generated by income in the last year of the projections, net of physiological capital absorption, and by applying a nominal long-term growth rate ("g") of 1.5%; this "g" rate is substantially in line with expected long-term inflation, thus assuming average real growth of zero.
Distributable financial flows have been calculated assuming a target CET 1 ratio in line with the supervisory provisions and able to maintain a satisfactory level of capitalisation that is consistent with the expected growth in business.

Discount rate

Value in use is estimated by discounting cash flows at a rate that considers the current market rates relating to both the element of time value and country risk, as well as specific risks related to the asset in question.The discount rate was estimated as 9.90%.

Results of impairment tests

Comparison of the recoverable value determined as above with the book value of the CGU (determined as the book value of the company's shareholders' equity) tended to confirm the value recorded as goodwill for Emilia Romagna Factor, whereas it led to a complete write-off of the goodwill recorded for Sardaleasing.

SECOND LEVEL IMPAIRMENT TEST

When the market capitalisation is persistently lower than the carrying amount of equity, it is useful to perform a second level impairment test, even if there are costs not allocated to the individual CGUs and corporate assets; this is done to support the reasonableness of the results achieved with the impairment test carried out on the individual CGUs to which goodwill has been allocated.
The second level impairment test makes it possible to compare the estimated value in use at a consolidated level with the Group's equity resulting from the preliminary figures at 31 December 2017.
In line with the first level impairment test, the valuation method used is the Dividend Discount Model, assessing the Group as a single CGU. This approach is preferable when there are consolidated economic projections and in the presence of a Group with various lines of business that are reasonably similar in nature.
The estimates of potentially distributable cash flows were based on consolidated financial projections, calculated on the basis of the assumptions already discussed above with reference to each CGU; the excess/deficit with respect to the Basel 3 capital requirements was then added/subtracted and applied to the specific case on the basis of the indications received from the Supervisory Authority.
The estimated cash flows were discounted at a rate of 9.90%, which corresponds to that used in the impairment test of the individual CGUs, so reference should be made to them for further details on the inputs used.
On the basis of these assumptions, the value in use of the entire BPER Group confirms that there has been no impairment of the overall goodwill of Euro 327 million recorded in the Consolidated financial statements.

As for the impairment tests of the individual CGUs, a sensitivity analysis was also performed in this case to assess the impact on the estimates of value in use, and therefore on the results of the test, of changes in the key parameters on which the valuation model is based. In particular, we verified the impact on value in use of a change of:

- +25 bps and +50 bps in base cost of capital (equating to 9.90%);
- +25 bps and +50 bps of the target CET 1 ratio (starting from 2019);
- -25 bps and -50 bps in the long-term base growth rate "g" (equating to 1.5%).

The following table shows the change in percentage terms of value in use compared with that obtained using the "base" parameters.

CGU	Change in value in use of CGU					
	Interest rate ke		CET 1 ratio target		Growth rate “g”	
	+25 bps	+50 bps	+25 bps	+50 bps	-25 bps	-50 bps
Gruppo BPER Banca	-2.3%	-4.5%	-1.3%	-2.6%	-0.7%	-1.3%

Based on the simulations performed by varying certain key parameters, there was a decrease in value in use of between 0.7% and 4.5%. On the occurrence of certain conditions, the value in use of the Group would be lower than the carrying amount thereof.

Again from a stress test point of view, alternative changes were considered in the discount rate and in the normalised cash flow for the last period of the projections (used to estimate the terminal value) until the changes resulted in BPER Banca Group's value in use equalling its carrying amount, or, in other words, the threshold value of the main inputs, beyond which a second level impairment testing would result in a recoverable amount lower than the carrying amount.

CGU	Ke limit rate	Limit change in the normalised flow
Gruppo BPER Banca	10.14%	-4.1%

Section 14 – Tax assets and liabilities Asset caption 140 and liability caption 80

14.1 Deferred tax assets: breakdown

	IRES	IRAP	Total
Adjustments to loans to customers	726,549	64,113	790,662
Write-downs of equity investments and securities	27,712	12,162	39,874
Goodwill	137,002	27,745	164,747
Personnel provisions	62,321	5,471	67,792
Endorsement credits, revocatory action during bankruptcy proceedings and outstanding lawsuits	70,460	4,160	74,620
Depreciation of property, plant and equipment and amortisation of intangible assets	24,107	2,410	26,517
Tax losses	66,420	174	66,594
Other deferred tax assets	40,291	1,589	41,880
Total	**1,154,862**	**117,824**	**1,272,686**

The total includes tax assets under Law 214/2011 for an amount of € 1,021.5 million.
The other deferred tax assets deriving from temporary differences and amounting to € 251.2 million, have been recognised based on the expectation of adequate profits in the future .
At 31.12.2017, tax losses amounted to € 628.3 million (mainly relating to the business combination reported in section "Significant events and strategic transactions" in the Directors' Report on Group Operations) on which deferred tax assets have not been recognised; in order to assess the possibility of recognising deferred tax assets, the bank decided to wait for the new business plan, scheduled for 2018, and the effects of the transition to IFRS 9.

14.2 Deferred tax liabilities: breakdown

	IRES	IRAP	Total
Gains from the sale of shares and bonds	46,593	11,460	58,053
Equity investments	587	344	931
Payroll costs	1,648	-	1,648
Gains from the sale of property, plant and equipment	64	-	64
Depreciation of property, plant and equipment and amortisation of intangible assets	8,002	822	8,824
Goodwill	15,273	3,094	18,367
Other deferred tax liabilities	13,326	2,747	16,073
Total	**85,493**	**18,467**	**103,960**

"Deferred tax assets" and "Deferred tax liabilities" are determined on the basis of IRES and IRAP tax rates which are expected to be in force at the time of their recovery.

14.3 Changes in deferred tax assets (with contra-entry to income statement)

	31.12.2017	31.12.2016
1. Opening balance	**1,238,390**	**1,222,520**
2. Increases	**245,584**	**105,770**
2.1 Deferred tax assets recognised during the year	101,087	93,603
a) relating to prior years	-	12
b) due to changes in accounting policies	-	-
c) write-backs	-	-
d) other	101,087	93,591
2.2 New taxes or increases in tax rates	-	-
2.3 Other increases	144,497	12,167
of which: business combinations	143,940	10,164
3. Decreases	**260,753**	**89,900**
3.1 Deferred tax assets derecognised during the year	123,558	85,444
a) reversals	122,319	84,172
b) written down as no longer recoverable	-	-
c) due to changes in accounting policies	-	-
d) other	1,239	1,272
3.2 Reduction in tax rates	-	59
3.3 Other decreases	137,195	4,397
a) transformation of tax credits referred as per L. 214/2011	135,422	1,433
b) other	1,773	2,964
4. Closing balance	**1,223,221**	**1,238,390**

The amount recorded under caption 2.3 "Other increases" refers to the business combination reported in paragraph "Significant events and strategic transactions" of the Directors' Report on Group Operations.

14.3.1 Changes in deferred tax assets as per Law 214/2011 (with contra-entry to income statement)

	31.12.2017	31.12.2016
1. Opening balance	**1,071,084**	**1,072,618**
2. Increases	**162,755**	**49,872**
3. Decreases	**212,384**	**51,406**
3.1 Reversals	76,585	49,938
3.2 Transformations into tax credits	135,422	1,433
a) arising from losses	94,715	1,433
b) arising from tax losses	40,707	-
3.3 Other decreases	377	35
4. Closing balance	**1,021,455**	**1,071,084**

The transformation mentioned in point 3.2.a) was made in light of the provisions of Decree Law 225/2010, converted with amendments into Law 10/2011. In particular, article 2, paragraphs 55-56, provides that in the event of a loss for the year, deferred tax assets recorded in the financial statements relating to adjustments to loans as well as those relating to goodwill and other intangible assets (DTA) are transformed into a tax credit. The transformation runs since the date of approval of the financial statements and takes place for an amount equal to the loss for the year multiplied by the ratio between the DTA and net equity before the loss for the year. With effect from the tax period of transformation, negative components corresponding to the DTA transformed into tax credits are not deductible.
Law 214/2011 also introduced the possibility to transform into tax credits any DTAs recognised in the financial statements for the part of IRES tax losses arising from deduction of temporary differences relating to adjustments to loans and goodwill.
Subsequently, Law 214/2013 (Stability Law 2014) extended the conversion of IRAP DTAs relating to the impairment of loans, the value of goodwill and other intangible assets, also in the case of "negative net value of production".
The increases referred to in paragraph 2 above relate to deferred tax assets on tax losses convertible into tax credits in accordance with the rules mentioned above (of which 93.6 million relating to the business combination reported in paragraph "Significant events and strategic transactions").
These rules therefore ensure the recovery of the DTAs in the case of a loss in the statutory accounts, even if a tax loss is recorded, explaining the reasons that justify full recognition in assets of € 1,021.5 million of deferred tax assets.

The details of DTAs for IRES and IRAP purposes are shown below:

	31.12.2017			31.12.2016		
	IRES	IRAP	Total	IRES	IRAP	Total
Net impairment adjustments to loans	726,547	64,113	790,660	792,440	69,934	862,374
Goodwill	136,553	27,658	164,211	139,908	28,340	168,248
Tax losses	66,410	174	66,584	36,241	4,221	40,462
Total	**929,510**	**91,945**	**1,021,455**	**968,589**	**102,495**	**1,071,084**

14.4 Changes in deferred tax liabilities (with contra-entry to income statement)

	31.12.2017	31.12.2016
1. Opening balance	**26,132**	**22,231**
2. Increases	**5,693**	**7,374**
2.1 Deferred tax liabilities recognised during the year	2,318	5,004
a) relating to prior years	-	-
b) due to change in accounting policies	-	-
c) other	2,318	5,004
2.2 New taxes or increases in tax rates	-	-
2.3 Other increases	3,375	2,370
of which: business combinations	3,313	2,358
3. Decreases	**5,792**	**3,473**
3.1 Deferred tax liabilities derecognised during the year	5,724	2,360
a) reversals	5,368	2,250
b) due to change in accounting policies	-	-
c) other	356	110
3.2 Reduction in tax rates	4	298
3.3 Other decreases	64	815
4. Closing balance	**26,033**	**26,132**

The amount recorded under caption 2.3 "Other increases" refers to the business combination of Nuova Carife reported in paragraph "Significant events and strategic transactions" of the Directors' Report on Group Operations.

14.5 Changes in deferred tax assets (with contra-entry to shareholders' equity)

	31.12.2017	31.12.2016
1. Opening balance	**58,242**	**41,170**
2. Increases	**4,002**	**27,334**
2.1 Deferred tax assets recognised during the year	3,139	26,825
a) relating to prior years	-	-
b) due to changes in accounting policies	-	-
c) other	3,139	26,825
2.2 New taxes or increases in tax rates	-	-
2.3 Other increases	863	509
of wich: business combinations	860	487
3. Decreases	**12,779**	**10,262**
3.1 Deferred tax assets cancelled during the year	12,772	8,451
a) reversals	12,764	8,451
b) written down as no longer recoverable	-	-
c) due to changes in accounting policies	-	-
d) other	8	-
3.2 Reduction in tax rates	-	69
3.3 Other decreases	7	1,742
4. Closing balance	**49,465**	**58,242**

The amount recorded under caption 2.3 "Other increases" refers to the business combination of Nuova Carife reported in paragraph "Significant events and strategic transactions" of the Directors' Report on Group Operations.

14.6 Changes in deferred tax liabilities (with contra-entry to shareholders' equity)

	31.12.2017	31.12.2016
1. Opening balance	**73,145**	**82,871**
2. Increases	**27,375**	**22,741**
2.1 Deferred tax liabilities recognised during the year	26,901	17,173
a) relating to prior years	-	3
b) due to change in accounting policies	-	-
c) other	26,901	17,170
2.2 New taxes or increase in tax rates	-	-
2.3 Other increases	474	5,568
- of wich buisiness combinations	212	5,191
3. Decreases	**22,593**	**32,467**
3.1 Deferred tax liabilities cancelled during the year	22,593	31,971
a) reversals	22,557	31,836
b) due to change in accounting policies	-	-
c) other	36	135
3.2 Reduction in tax rates	-	211
3.3 Other decreases	-	285
4. Closing balance	**77,927**	**73,145**

The amount recorded under caption 2.3 "Other increases" refers to the business combination of Nuova Carife reported in paragraph "Significant events and strategic transactions" of the Directors' Report on Group Operations.
Following the end of the Purchase Price Allocation process relating to the acquisition of Cassa di Risparmio di Saluzzo, the values at 31 December 2016 have been restated.

Section 15 – Non-current assets and disposal groups held for sale and associated liabilities
Asset caption 150 and liability caption 90

There are no amounts to be disclosed in this section.

Section 16 – Other assets
Caption 160

16.1 Other assets: breakdown

	31.12.2017	31.12.2016
Taxes withheld on interest, withholdings and tax credits on dividends, advance taxation	117,448	142,681
Amounts recoverable from the tax authorities for higher taxes paid for previous years and related accrued interest	4,745	3,101
Sundry amounts to be charged to customers	124,242	104,092
Bank charges to be debited to customers or banks	59,330	56,643
Cheques being processed	8,022	6,697
Cheques drawn on other banks	96,185	95,042
Items relating to securities transactions	12,512	7,479
Items in transit with branches	758	84
Leasehold improvement expenditure	7,198	8,648
Gold, silver and precious metals	234	234
Accrued income and prepaid expenses	40,172	45,932
Other items for sundry purposes	234,053	103,542
Total	**704,899**	**574,175**

This caption does not include any positions classed as contingent assets as defined by applicable legislation. Positions classed as such are sufficiently covered by allocations to provisions for risks and charges

Liabilities and shareholders' equity

Section 1 - Due to banks
Caption 10

1.1 Due to banks: breakdown by type

Type of transaction/Members of the group	31.12.2017	31.12.2016
1. Due to Central Banks	**9,222,974**	**5,086,667**
2. Due to banks	**3,761,252**	**4,376,011**
2.1 Current accounts and demand deposits	213,245	540,393
2.2 Time deposits	2,461	212,383
2.3 Loans	3,527,864	3,621,733
2.3.1 Repurchase agreements	3,063,189	3,106,113
2.3.2 Other	464,675	515,620
2.4 Payables for commitments to repurchase own equity instruments	-	-
2.5 Other payables	17,682	1,502
Total	**12,984,226**	**9,462,678**
Fair value - level 1	-	-
Fair value - level 2	-	-
Fair value - level 3	12,984,226	9,462,678
Total fair value	**12,984,226**	**9,462,678**

The net interbank position is negative for € 9,972 million. The Directors' report on Group operations provides further details on this.
An explanation of the fair value hierarchy used for classification has been given in Part A.2 of these notes in Chapter 21 "Techniques for the determination of fair value".

Section 2 - Due to customers
Caption 20

2.1 Due to customers: breakdown by product

Type of transaction/Members of the group	31.12.2017	31.12.2016
1. Current accounts and demand deposits	35,285,793	32,330,963
2. Time deposits	2,455,533	2,219,888
3. Loans	4,125,867	3,663,635
3.1 repurchase agreements	2,148,650	1,780,019
3.2 other	1,977,217	1,883,616
4. Payables for commitments to repurchase own equity instruments	-	-
5. Other payables	826,885	698,228
Total	**42,694,078**	**38,912,714**
Fair value - level 1	-	-
Fair value - level 2	-	-
Fair value - level 3	42,694,078	38,912,714
Total fair value	**42,694,078**	**38,912,714**

An explanation of the fair value hierarchy used for classification has been given in Part A.2 of these notes in Chapter 21 "Techniques for the determination of fair value".

2.5 Finance lease payables

Total minimum future payments for lease transactions

Time bands	Present value 31.12.2017	Present value 31.12.2016
Up to 3 months	635	37
Between 3 months and 12 months	1,910	114
Between 1 and 5 years	11,340	679
Beyond 5 years	-	23
Total	**13,885**	**853**

Section 30 - Debt securities in issue Caption 30

3.1 Debt securities in issue: breakdown by sector

	31.12.2017				31.12.2016			
	Book value	Fair value			Book value	Fair value		
		Level 1	Level 2	Level 3		Level 1	Level 2	Level 3
A. Securities								
1. Bonds	5,343,460	3,106,380	2,473,879	-	5,907,774	2,611,580	3,395,756	-
1.1 structured	-	-	-	-	-	-	-	-
1.2 other	5,343,460	3,106,380	2,473,879	-	5,907,774	2,611,580	3,395,756	-
2. Other securities	2,160,559	-	70,425	2,090,788	2,679,469	-	93,075	2,587,572
2.1 structured	69,771	-	70,425	-	91,897	-	93,075	-
2.2 other	2,090,788	-	-	2,090,788	2,587,572	-	-	2,587,572
Total	**7,504,019**	**3,106,380**	**2,544,304**	**2,090,788**	**8,587,243**	**2,611,580**	**3,488,831**	**2,587,572**

Bonds include subordinated bonds issued by the Group totalling € 833,317 thousand, as analysed in table 3.2 below, none of which are convertible into shares.
In the "Level 3" column of point 2.2, the fair value is assumed to be the same as the book value as these are short-term transactions
Embedded derivatives that satisfy the conditions laid down in IAS 39 at the issue date for separation from the host contract at 31 December 2017 show a net negative fair value of € 3,622 thousand, recorded in liability caption 40.
An explanation of the fair value hierarchy used for classification has been given in Part A.2 of these notes in Chapter 21 "Techniques for the determination of fair value".

3.2 Analysis of caption 30 "Debt securities in issue": subordinated securities

	Book value 31.12.2017	Nominal value 31.12.2017	Book value 31.12.2016	Nominal value 31.12.2016
EMTN B.P.E.R. subordinated non-convertible bond floating rate 3-month Euribor +95 bps, 2007-2017	-	-	153,163	153,043
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.75%, 2012-2018	23,586	23,590	47,162	47,179
Lower Tier II B.P.E.R. subordinated non-convertible bond 5.81%, 2013-2020	7,539	7,167	10,052	9,556
Tier II B.P.E.R. subordinated non-convertible bond 4.25%, 2015-2025 callable	225,286	224,855	225,293	224,855
Tier II B.P.E.R. subordinated non-convertible bond 4.60%, 2016-2026 callable	12,024	12,000	12,024	12,000
EMTN B.P.E.R. subordinated non-convertible bond 5.125%, 2017-2027 callable	512,950	500,000	-	-
Cassa di Risparmio di Bra s.p.a. fixed-rate Lower Tier II subordinated bond 2010-2017 amortising 4%	-	-	2,030	2,000
Cassa di Risparmio di Bra s.p.a. fixed-rate Lower Tier II subordinated bond 2011-2021 amortising nom. 7,000,000	5,668	5,600	7,091	7,000
Cassa di Risparmio di Bra s.p.a. subordinated bond 2012-2020 amortising 5.25%	3,061	3,000	4,085	4,000
Lower Tier II CARISPAQ subordinated non-convertible bond floating rate, 2010-2020	4,268	4,250	4,269	4,250
Cassa di Risparmio di Saluzzo s.p.a. subordinated Lower Tier II bond 5.25% with periodic amortisation, 2011-2018	4,024	4,000	7,972	7,927
Cassa di Risparmio di Saluzzo s.p.a. subordinated Tier II bond 2.50%, 2014-2019	10,004	10,000	9,967	9,961
Total non-convertible bonds	**808,410**	**794,462**	**483,108**	**481,771**
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.75%, 2012-2018	24,907	23,786	25,270	23,589
Total expired non convertible bonds (*)	**24,907**	**23,786**	**25,270**	**23,589**
Total bonds	**833,317**	**818,248**	**508,378**	**505,360**

(*) Instalments of loans with maturity 31 December 2017 for which accounting settlement was received by the custodian bank on 2 January 2018.

There are no convertible subordinated loans outstanding at 31 December 2017.

3.3 Analysis on caption 30 "Debt securities in issue": micro-hedged securities

	31.12.2017	31.12.2016
1. Payables with fair value micro-hedge	**1,759,675**	**1,967,297**
a) interest rate risk	1,759,675	1,967,297
b) foreign exchange risk	-	-
c) multiple risks	-	-
2. Payables with cash flow micro-hedge	**-**	**-**
a) interest rate risk	-	-
b) foreign exchange risk	-	-
c) multiple risks	-	-
Total	**1,759,675**	**1,967,297**

Section 4 - Financial liabilities held for trading Caption 40

4.1 Financial liabilities held for trading: breakdown by sector

Type of transaction/ Members of the group	31.12.2017					31.12.2016				
	NV	FV			FV*	NV	FV			FV*
		L1	L2	L3			L1	L2	L3	
A. Cash liabilities										
1. Due to banks	50	71	-	-	71	-	-	-	-	-
2. Due to customers	507	478	6	-	484	1,600	1,785	-	-	1,785
3. Debt securities	-	-	-	-	-	-	-	-	-	-
3.1 Bonds	-	-	-	-	-	-	-	-	-	-
3.1.1 Structured	-	-	-	-	#	-	-	-	-	#
3.1.2 Other bonds	-	-	-	-	#	-	-	-	-	#
3.2 Other securities	-	-	-	-	-	-	-	-	-	-
3.2.1 Structured	-	-	-	-	#	-	-	-	-	#
3.2.2 Other	-	-	-	-	#	-	-	-	-	#
Total A	**557**	**549**	**6**	**-**	**555**	**1,600**	**1,785**	**-**	**-**	**1,785**
B. Derivatives										
1. Financial derivatives	-	847	151,102	16,955	-	-	1,506	203,010	20,536	-
1.1 For trading	#	847	145,562	16,955	#	#	1,506	194,955	20,536	#
1.2 Connected with the fair value option	#	-	1,918	-	#	#	-	2,021	-	#
1.3 Other	#	-	3,622	-	#	#	-	6,034	-	#
2. Credit derivatives	-	-	-	-	-	-	-	-	-	-
2.1 For trading	#	-	-	-	#	#	-	-	-	#
2.2 Connected with the fair value option	#	-	-	-	#	#	-	-	-	#
2.3 Other	#	-	-	-	#	#	-	-	-	#
Total B	**#**	**847**	**151,102**	**16,955**	**#**	**#**	**1,506**	**203,010**	**20,536**	**#**
Total (A+B)	**#**	**1,396**	**151,108**	**16,955**	**#**	**#**	**3,291**	**203,010**	**20,536**	**#**

The caption "cash liabilities" concerns the balance of "technical shorts" generated by capital market transactions.
The financial derivatives connected with the fair value option are mainly associated with debt securities classified as financial liabilities designated at fair value (liability caption 50).
An explanation of the fair value hierarchy used for classification has been given in Part A.2 of these notes in Chapter 21 "Techniques for the determination of fair value".

Key:

FV = fair value
FV = fair value excluding variations due to changes in the creditworthiness of the issuer since the issue date*
NV = nominal or notional value
L1 = Level 1
L2 = Level 2
L3 = Level 3

Section 5 - Financial liabilities designated at fair value Caption 50

5.1 Financial liabilities designated at fair value: breakdown by sector

Type of security/Amounts	31.12.2017					31.12.2016				
		FV					*FV*			
	NV	L1	L2	L3	FV*	NV	L1	L2	L3	FV*
1. Due to banks	-	-	-	-	-	-	-	-	-	-
1.1 Structured	-	-	-	-	#	-	-	-	-	#
1.2 Other	-	-	-	-	#	-	-	-	-	#
2. Due to customers	-	-	-	-	-	-	-	-	-	-
2.1 Structured	-	-	-	-	#	-	-	-	-	#
2.2 Other	-	-	-	-	#	-	-	-	-	#
3. Debt securities	**47,705**	-	**48,320**	-	**49,362**	**245,240**	-	**247,933**	-	**251,130**
3.1 Structured	-	-	-	-	#	-	-	-	-	#
3.2 Other	47,705	-	48,320	-	#	245,240	-	247,933	-	#
Total	**47,705**	-	**48,320**	-	**49,362**	**245,240**	-	**247,933**	-	**251,130**

"Debt securities" include subordinated bonds for a total of € 14,461 thousand, none of which are convertible into shares.
The cumulative change in fair value attributable to the change in credit risk amounts to € 1,042 thousand; this change had a negative effect during the year of € 325 thousand.
An explanation of the fair value hierarchy used for classification has been given in Part A.2 of these notes in Chapter 21 "Techniques for the determination of fair value".

Key:

FV = fair value
FV = fair value excluding variations due to changes in the creditworthiness of the issuer since the issue date.*
NV = nominal or notional value
L1 = Level 1
L2 = Level 2
L3 = Level 3

Financial liabilities designated at fair value: use of the fair value option

Description/Amounts	31.12.2017		
	Due to banks	Due to customers	Debt securities
a) Natural hedges using derivatives	-	-	48,320
b) Natural hedges using other financial instruments	-	-	-
c) Other cases of accounting mismatches	-	-	-
d) Financial instruments managed and measured at fair value	-	-	-
e) Structured products with embedded derivatives	-	-	-
Total	**-**	**-**	**48,320**

5.2 Analysis of caption 50 "Financial liabilities designated at fair value": subordinated securities

	Book value 31.12.2017	Nominal value 31.12.2017	Book value 31.12.2016	Nominal value 31.12.2016
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.35%, 2010-2017	-	-	3,708	3,600
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.94%, 2010-2017	-	-	10,514	10,200
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.75%, 2011-2017	-	-	141,196	139,104
Total non-convertible bonds	**-**	**-**	**155,418**	**152,904**
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.35%, 2010-2017	3,757	3,600	3,913	3,600
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.94%, 2010-2017	10,704	10,200	11,208	10,200
Total expired non convertible bonds (*)	**14,461**	**13,800**	**15,121**	**13,800**
Total bonds	**14,461**	**13,800**	**170,539**	**166,704**

(*) Instalments of loans with maturity 31 December 2017 for which accounting settlement was received by the custodian bank on 2 January 2018.

There are no convertible subordinated loans outstanding at 31 December 2017.

Section 6 – Hedging derivatives
Caption 60

6.1 Hedging derivatives: breakdown by type and by levels

	Fair value 31.12.2017			NV	Fair value 31.12.2016			NV
	L1	L2	L3		L1	L2	L3	
A. Financial derivatives	**-**	**24,383**	**-**	**2,305,560**	**-**	**40,697**	**-**	**1,757,528**
1) Fair value	-	16,956	-	2,215,560	-	17,242	-	1,527,528
2) Cash flows	-	7,427	-	90,000	-	23,455	-	230,000
3) Foreign investments	-	-	-	-	-	-	-	-
B. Credit derivatives	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
1) Fair value	-	-	-	-	-	-	-	-
2) Cash flows	-	-	-	-	-	-	-	-
Total	**-**	**24,383**	**-**	**2,305,560**	**-**	**40,697**	**-**	**1,757,528**

The cash flow hedge agreements have the following expiry dates: notional value of € 50 million in 2021, € 15 million in 2022 and € 25 million in 2023.
The related cash flows will impact the income statement up to the relevant expiration dates.
An explanation of the fair value hierarchy used for classification has been given in Part A.2 of these notes in Chapter 21 "Techniques for the determination of fair value".

Key:

NV = nominal or notional value
L1 = Level 1
L2 = Level 2
L3 = Level 3

6.2 Hedging derivatives: analysis by hedged portfolio and type of hedge

Operation/Type of hedge	Fair Value						Cash flows		Foreign investments
	Specific					General	Specific	General	
	Interest rate risk	Exchange risk	Credit risk	Price risk	Multiple risks				
1. Financial assets available for sale	13,775	-	-	-	-	#	7,427	#	#
2. Loans	3,181	-	-	#	-	#	-	#	#
3. Financial assets held to maturity	#	-	-	#	-	#	-	#	#
4. Portfolio	#	#	#	#	#	-	#	-	#
5. Other operations	-	-	-	-	-	#	-	#	-
Total assets	**16,956**	**-**	**-**	**-**	**-**	**-**	**7,427**	**-**	**-**
1. Financial liabilities	-	-	-	#	-	#	-	#	#
2. Portfolio	#	#	#	#	#	-	#	-	#
Total liabilities	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
1. Expected transactions	#	#	#	#	#	#	-	#	#
2. Portfolio of financial assets and liabilities	#	#	#	#	#	-	#	-	-

Section 7 – Remeasurement of financial liabilities backed by general hedges
Caption 70

There are no amounts to be disclosed in this section.

Section 8 – Tax liabilities
Caption 80

See asset section 14.

Section 9 – Liabilities associated with non-current assets held for sale
Caption 90

See asset section 15.

Section 10 – Other liabilities Caption 100

10.1 Other liabilities: breakdown

	31.12.2017	31.12.2016
Amounts due to banks	37,434	18,481
Amounts due to customers	701,249	575,069
Net adjustments on collection of receivables for third parties	39,244	15,235
Staff emoluments and related social contributions	35,055	26,443
Amounts due to third parties for coupons, securities and dividends to be collected	37,351	54,708
Amounts due to the tax authorities on behalf of customers and personnel	109,496	100,748
Bank transfers for clearance	15,948	7,971
Advances for the purchase of securities	40	92
Due to suppliers	163,054	143,218
Third-part payments as surety for loans	439	332
Repayment to be made to INPS	619	173
Provisions for guarantees given	80,716	56,923
Items in transit	8,331	18,910
Accrued expenses and deferred income	24,833	25,553
Other liabilities to third parties	209,643	153,206
Total	**1,463,452**	**1,197,062**

Section 11 – Provision for termination indemnities Caption 110

11.1 Provision for termination indemnities: change in the year

	31.12.2017	31.12.2016
A. Opening balance	**205,364**	**200,669**
B. Increases	**18,688**	**13,387**
B.1 Provisions	1,226	2,339
B.2 Other increases	17,462	11,048
of which: business combinations	14,271	4,238
C. Decreases	**36,516**	**8,692**
C.1 Payments made	36,447	7,206
C.2 Other decreases	69	1,486
D. Closing balance	**187,536**	**205,364**
Total	**187,536**	**205,364**

Caption B.4 "other increases, of which business combinations" includes the liabilities acquired by Nuova Carife.

11.2 Other information

The following tables detail the changes in the provision for termination indemnities, as well as the principal demographic and financial assumptions made in order to quantify the provision using the Projected Unit Credit Method (pursuant to IAS 19R, § 65-67); lastly, table 11.2.3 presents the comparative information required by law.

11.2.1 Changes in termination indemnities during the year

Description/Amounts	31.12.2017	31.12.2016
A. Opening balance	**205,364**	**200,669**
B. Increases	**18,688**	**13,387**
1. Pension cost relating to current work	2	3
2. Financial charges	1,224	2,336
3. Contribution to the plan by employees	-	-
4. Actuarial losses	3,120	5,310
5. Translation differences	-	-
6. Pension cost of prior work	-	-
7. Other changes	14,342	5,738
C. Decreases	**36,516**	**8,692**
1. Benefits paid	36,447	7,206
2. Pension cost of prior work	-	-
3. Actuarial gains	-	-
4. Translation differences	-	-
5. Reductions	-	-
6. Positions closed	-	-
7. Other changes	69	1,486
D. Closing balance	**187,536**	**205,364**

Caption B.7 includes the liabilities acquired from the business combination of Nuova Carife (€ 14,271 thousand)

11.2.2.Description of the principal actuarial assumptions of termination indemnities

Main actuarial assumptions/%	31.12.2017	31.12.2016
Discount rates	0.52%	0.38%
Expected increase in remuneration	n/a	n/a
Turnover	1.84%	5.74%
Inflation rate	1.50%	1.40%
Interest rate adopted for the calculation of interest cost	0.40%	0.99%

In addition to the average data included in the table, the approach taken to identify the principal actuarial assumptions is described below:

- Discount rates: the curve of "Euro Composite AA" rates for prime corporate bonds listed in the Euro market on the measurement date has been used.
- Turnover: time series analysis for the period 2014-2016 of the phenomena giving rise to the terminations and adjustments to take account of any "anomalies" that occurred in the past. The assumptions made about turnover took account of grade, seniority, age and gender.
- Inflation rate: the inflationary scenario was inferred from the "Update of the Economics and Finance Document 2017", by adopting an IPCA index of 1.3% for 2018, 1.4% for 2019 and 1.5% for subsequent years;
- Net Interest Cost: it was calculated at a rate that reflected the duration of the liability.

Demographic assumptions.

With reference to the technical demographic bases, the analyses performed on the time series of staff of the Company’s staff focused on monitoring the trend in the following reasons for elimination between 2014 and 2016:

- rate of employee mortality: except for the Section B pension fund, for which, as requested by the Parent Company, use was made of table RG48 (with age shifting), the ISTAT life table of resident population was used, broken down by age and gender, updated as of 2016;
- rate of employee disability: the tables used for the INPS model to generate "Initial prospects for 2010" were used;
- frequency and amount of advances on termination indemnities: in order to take into account the effects that these advances have on the timing of severance payments and, consequently on the discounting of the Company's liability, a probability table for the release of part of the accrued volumes was created. The frequency of advance payments and the average percentage of termination indemnities requested as an advance were taken from corporate data;
- probability of retirement, resignation, dismissal: this was taken from corporate data; in particular, a table showing the propensity of departure from the Company was created, based on age and gender.

11.2.3 Comparative information: history of the plan

Description/Amounts	31.12.2017	31.12.2016
1. Present value of provisions (+)	187,536	205,364
2. Fair value of assets servicing the plan (-)	-	-
3. Plan (surplus) deficit (±)	187,536	205,364
4. Adjustments to plan liabilities based on historical experience - actuarial (gains)/losses	3,120	5,310
5. Adjustments to plan assets based on historical experience	-	-

The sensitivity analysis was carried out on the individual legal entities. Reference should be made to the Parent Company's separate financial statements.

Section 12 – Provisions for risks and charges Caption 120

12.1 Provisions for risks and charges: breakdown

Item/Components	31.12.2017	31.12.2016
1. Pensions and similar commitments	137,148	136,409
2. Other provisions for risks and charges	303,237	286,382
2.1 Legal disputes	151,758	148,444
2.2 Personnel expenses	102,480	118,834
2.3 Other	48,999	19,104
Total	**440,385**	**422,791**

12.2 Provisions for risks and charges: change in the year

Items/Components	Totale	
	Pensions and similar commitments	Other provisions
A. Opening balance	**136,409**	**286,382**
B. Increases	**8,556**	**201,597**
B.1 Provisions	3	88,487
B.2 Changes due to the passage of time	1,322	158
B.3 Changes due to variations in the discount rate	-	314
B.4 Other changes	7,231	112,638
of which: business combinations	7,181	102,048
C. Decreases	**7,817**	**184,742**
C.1 Utilisations during the year	5,881	125,056
C.2 Changes due to variations in the discount rate	1,848	-
C.3 Other changes	88	59,686
D. Closing balance	**137,148**	**303,237**

The changes due to variations in the discount rate also include actuarial gains and losses, considering not just interest rate movements, but also other demographic and financial factors, where applicable.
With regard to disputes relating to Group Banks and Companies, please refer to the explanations in paragraph 7.3 "Main litigation and legal proceedings pending" in the Directors' report on Group operations.
Caption B.4 "other increases, of which business combinations" includes the liabilities acquired by Nuova Carife.

12.3 Defined-benefit pension plans

12.3.1 Features of the pension plans and related risks

The pension plans cover BPER Banca., as referred to in the individual financial statements, Cassa di Risparmio di Bra s.p.a. and Cassa di Risparmio di Saluzzo s.p.a., as detailed below.

Cassa di Risparmio di Bra s.p.a.

This bank's staff pension fund is an in-house defined-benefit plan, it is not a separate legal entity and its assets are invested in the business without any distinction between its assets and those of the Bank.
Its purpose is to provide a supplementary pension to the state pension paid by INPS, but solely to employees that had already retired as of 1 October 1998, given that the actuarial liability payable to "active" members at that date had been paid out.
At the measurement date, the related headcount consisted of no. 7 persons, of whom no. 3 are direct beneficiaries and no. 4 are indirect.

Cassa di Risparmio di Saluzzo s.p.a.

This fund is not a separate legal entity, its purpose is to provide a supplementary pension to the state pension paid by INPS, for employees that had already retired as of 31 August 1998, and its assets are held together with those of the Bank.
At the measurement date, the related headcount consisted of no. 20 persons, of whom no. 6 are direct beneficiaries and no. 14 are indirect.

12.3.2 Changes in net defined benefit plans and repayment rights during the year

Description/Amount	31.12.2017	31.12.2016
Opening balance	**1,718**	**479**
A. Increases	**6**	**1,418**
1. Pension cost relating to current work	-	-
2. Financial charges	6	10
3. Contribution to the plan by employees	-	-
4. Actuarial losses	-	22
5. Translation differences	-	-
6. Pension cost of prior work	-	-
7. Other changes	-	1,386
B. Decreases	**(250)**	**(179)**
1. Benefits paid	(172)	(72)
2. Pension cost of prior work	-	-
3. Actuarial gains	(78)	(24)
4. Translation differences	-	-
5. Reductions	-	-
6. Positions closed	-	-
7. Other changes	-	(83)
Closing balance	**1,474**	**1,718**

12.3.3. Information on fair value of assets servicing the plan

As already reported, the staff pension funds of the two Group Banks are in-house defined-benefit plans and their assets are held together with those of the Bank.

12.3.4 Description of the main actuarial assumptions

Cassa di Risparmio di Bra s.p.a.

The demographic assumptions made for the measurement were based on RG48 tables to arrive at the probability of death of retired staff by gender.
The financial assumptions adopted were:

- Discount rates: the curve of "Euro Composite AA" rates for prime corporate bonds listed in the Euro market on the measurement date has been used;
- Inflation rate: the inflationary scenario was inferred from the "Update of the Economics and Finance Document 2017", by adopting an IPCA index of 1.3% for 2018, 1.4% for 2019 and 1.5% for subsequent years;
- Net Interest Cost: it was calculated at a rate that reflected the duration of the liability.

Cassa di Risparmio di Saluzzo s.p.a.

The demographic assumptions made for the measurement were based on RG48 tables to arrive at the probability of death of retired staff by gender.
The financial assumptions adopted were:

- Discount rates: the curve of "Euro Composite AA" rates for prime corporate bonds listed in the Euro market on the measurement date has been used;
- Inflation rate: the inflationary scenario was inferred from the "Update of the Economics and Finance Document 2017", by adopting an IPCA index of 1.3% for 2018, 1.4% for 2019 and 1.5% for subsequent years.

12.3.5 Information on the amount, timing and uncertainty of cash flows

Cassa di Risparmio di Bra s.p.a.

(in thousands of Euro)

Funds	31.12.2017		+50 bps inflation rate		-50 bps inflation rate	
	DBO	*Service Cost*	*DBO*	*Service Cost*	*DBO*	*Service Cost*
Section A Fund	453	-	432	-	476	-

Cassa di Risparmio di Saluzzo s.p.a.

(in thousands of Euro)

Funds	31.12.2017		+25 bps inflation rate		-25 bps inflation rate	
	DBO	*Service Cost*	*DBO*	*Service Cost*	*DBO*	*Service Cost*
Section A Fund	1,021	-	1,005	-	1,038	-

Future Cash Flows

(in thousands of Euro)

Section A Fund	1st year	2nd year	3rd year	4th year	over 4 year
Cassa di Risparmio di Bra s.p.a.	29	28	27	27	387
Cassa di Risparmio di Saluzzo s.p.a.	136	121	108	96	85

12.3.6 Multi-employer plans

At 31 December 2017 there were no multi-employer plans in place.

12.3.7 Defined benefit plans that share risks between entities under common control

At 31 December 2017 there were no plans of this type.

12.3.8. Comparative information: history of the plan

Description/Amounts	Defined-benefit pension plans 31.12.2017	Defined-benefit pension plans 31.12.2016
1. Present value of provisions (+)	1,474	1,718
2. Fair value of assets servicing the plan (-)	-	-
3. Plan (surplus) deficit (±)	1,474	1,718
4. Adjustments to plan liabilities based on historical experience - actuarial (gains)/losses	(78)	(1)
5. Adjustments to plan assets based on historical experience	-	-

The amounts shown in the table relate to Cassa di Risparmio di Bra s.p.a. and Cassa di Risparmio di Saluzzo s.p.a.
The adjustments based on historical experience solely comprise actuarial gains and losses.

12.4 Provisions for risks and charges - other provisions

12.4.1 Legal disputes

	31.12.2017	31.12.2016
A. Opening balance	**148,444**	**138,499**
B. Increases	55,791	40,744
Charge for the year	38,618	38,924
Other increases	17,173	1,820
C. Decreases	(52,477)	(30,799)
Other decreases	(29,105)	(14,504)
Utilisation during the year	(23,372)	(16,295)
D. Closing balace	**151,758**	**148,444**

There are no contingent liabilities for which it was not possible to record appropriate risk-related provisions.

Personnel charges relate to specific benefits granted to employees based on their length of service, the provisions for which are governed by IAS 19.

"Personnel charges" are analysed in the following table as an aid to understanding the phenomenon.

12.4.2 Personnel charges

Description/Amounts	Other personnel provisions	
	31.12.2017	31.12.2016
Opening balance	**118,834**	**126,372**
A. Increases	**92,068**	**42,132**
1. Pension cost relating to current work	19,340	26,372
2. Financial charges	1,911	4,487
3. Contribution to the plan by employees	-	-
4. Actuarial losses	1,514	2,056
5. Translation differences	-	-
6. Pension cost of prior work	-	3
7. Other changes	69,303	9,214
B. Decreases	**108,422**	**49,670**
1. Benefits paid	88,722	48,268
2. Pension cost of prior work	-	-
3. Actuarial gains	-	231
4. Translation differences	-	-
5. Reductions	-	-
6. Positions closed	-	-
7. Other changes	19,700	1,171
Closing balance	**102,480**	**118,834**

The amount recorded under "Other changes" includes provisions for the Redundancy Fund and for early retirement incentives deriving from the business combination of Nuova Cassa di Risparmio di Ferrara (€ 60,249 thousand).
Personnel charges relate to specific benefits granted to employees based on their length of service, the provisions for which are governed by IAS 19.

The provision for charitable donations is classified together with the provisions for other risks and charges.

The changes are shown in the following table as an aid to understanding the trend.

12.4.3 Other provisions

Captions	31.12.2017		31.12.2016	
	Other provisions	Provision for charitable	Other provisions	Provision for charitable
A. Opening balance	**18,546**	**558**	**20,157**	**871**
B. Provisions	(53,631)	(107)	(5,915)	-
C. Uses	(23,741)	(102)	(7,526)	(313)
D. Residual balance	**(58,826)**	**349**	**6,716**	**558**

Section 13 – Technical reserves
Caption 130

There are no amounts to be disclosed in this section.

Section 14 – Redeemable shares
Caption 150

There are no amounts to be disclosed in this section.

Section 15 – Shareholders' equity Captions 140, 160, 170, 180, 190, 200 and 220

15.1 "Share capital" and "Treasury shares": breakdown

"Share capital" relates solely to the Parent Company. Share capital is represented solely by ordinary shares as quantified as follows:

Treasury shares: breakdown Company	Number shares	Nominal value
BPER Banca S.p.A.	455,458	1,366,374
Total	**455,458**	**1,366,374**

There are also no. 55,910 shares relating to Banca di Sassari s.p.a., held by it, for a total of Euro 5 thousand.

15.2 Share capital - number of shares of the Parent Company: change in the year

Caption/Types	Ordinary	Other
A.Outstanding shares: at the beginning of the year	**481,308,435**	**-**
- fully paid	481,308,435	-
- not fully paid	-	-
A.1 Treasury shares (-)	(455,458)	-
A.2 Shares in issue: opening balance	**480,852,977**	**-**
B. Increases	**-**	**-**
B.1 New share issues	-	-
- for payment:	-	-
- on business combinations	-	-
- on conversion of bonds	-	-
- exercise of warrants	-	-
- other	-	-
- bonus issues:	-	-
- to employees	-	-
- to directors	-	-
- other	-	-
B.2 Sale of treasury shares	-	-
B.3 Other changes	-	-
C. Decreases	**-**	**-**
C.1 Cancellation	-	-
C.2 Purchase of treasury shares	-	-
C.3 Disposal of businesses	-	-
C.4 Other changes	-	-
D. Outstanding shares: closing balance	**480,852,977**	**-**
D.1 Treasury Shares (+)	455,458	-
D.2 Outstanding shares at the end of the year	481,308,435	-
- fully paid	481,308,435	-
- not fully paid	-	-

15.4 Profit reserves: other information

Profit reserves are generally established when the net profit resulting from the financial statements is allocated through a specific reserve.

The Italian Civil Code obliges companies to set aside at least 5% of net profit in a special reserve until it reaches one-fifth of share capital. If, for whatever reason, the amount of the legal reserve falls below this limit of one-fifth of share capital, it has to be reinstated by setting aside at least one-twentieth of the net profit until the shortfall is covered.

This caption also includes the consolidation reserves generated following the elimination of the book value of equity investments against the corresponding portion of equity of each of them.

This caption also includes the effects generated by the transition to international accounting standards.

The reserves can be used for different operations, depending on their constraints and nature; for the disclosures envisaged in art. 2427 paragraph 7 bis of the Italian Civil Code, please refer to the information provided in the Separate financial statements.

Section 16 – Minority interests Caption 210

16.1 Analysis of caption 210 "Minority interests"

Name	31.12.2017	31.12.2016
Equity investments in consolidated companies with significant minority interests	**652,366**	**673,711**
1. Banco di Sardegna (*)	564,312	581,308
2. Banca di Sassari s.p.a.	30,663	30,760
3. Cassa di Risparmio di Bra s.p.a.	22,004	21,840
4. Sardaleasing s.p.a.	30,349	34,943
5. Emilia Romagna Factor s.p.a.	5,038	4,860
Other equity investments	**644**	**655**
Total	**653,010**	**674,366**

(*) consolidation of the sub-holding company Banco di Sardegna and its subsidiaries.

To determine the relevance of minority interests, see Part A of these Explanatory Notes.
Minority interests not considered significant have been recognised under "Other investments".

Other information

1. Guarantees given and commitments

Operations	31.12.2017	31.12.2016
1) Financial guarantees	517,938	530,666
a) Banks	1,548	2,535
b) Customers	516,390	528,131
2) Commercial guarantees	2,175,875	2,226,344
a) Banks	141,742	130,374
b) Customers	2,034,133	2,095,970
3) Irrevocable commitments to disburse funds	903,157	792,117
a) Banks:	1,937	2,595
i) certain to be called on	1,825	2,483
ii) not certain to be called on	112	112
b) Customers:	901,220	789,522
i) certain to be called on	15,220	26,640
ii) not certain to be called on	886,000	762,882
4) Commitments underlying credit derivatives: protection sale	-	-
5) Assets used to guarantee the commitments of third parties	10,000	10,000
6) Other commitments	137,536	54,535
Total	**3,744,506**	**3,613,662**

2. Assets used to guarantee own liabilities and commitments

Portfolios	31.12.2017	31.12.2016
1. Financial assets held for trading	243,640	253,605
2. Financial assets designated at fair value	7,210	7,282
3. Financial assets available for sale	10,023,708	7,276,388
4. Financial assets held to maturity	2,162,741	1,852,778
5. Due from banks	268,828	235,429
6. Loans to customers	11,927,033	9,698,828
7. Property, plant and equipment	-	-

Type of assets used to guarantee own liabilities and commitments

	31.12.2017	31.12.2016
1. Assets sold as part of Covered Bonds	3,454,303	3,248,980
2. Securities and deposits acting as collateral for derivative transactions	276,178	253,239
3. Securities guaranteeing securitisations	35,801	44,594
4. Securities guaranteeing treasury transactions	6,792,879	4,074,713
5. Loans guaranteeing treasury transactions	8,109,159	6,027,183
6. Securities guaranteeing the issue of bankers' drafts	12,782	11,704
7. Securities guaranteeing repurchase agreements	5,167,516	4,773,223
8. Loans sold guaranteeing the related funding	356,222	404,854
9. Securities guaranteeing the funding of subsidised loans	428,320	485,820

The amounts indicated at point 5 include:
- € 2,849,027 thousand relating to mortgage loans sold as part of covered bond issues,
- € 563,613 thousand relating to mortgage loans sold as part of the Estense Finance self-securitisation transaction (BPER Banca),
- € 24,862 thousand relating to mortgage loans sold as part of the Dedalo Finance (CR Bra);
- € 364,135 thousand relating to leases sold as part of the Multi Lease self-securitisation transaction (Sardaleasing).
Operationally, the instruments provided as a guarantee are represented by the Senior Notes originated by the transactions.
No securities pertaining to reverse repurchase agreements have been provided as collateral for guaranteed funding transactions (repurchase agreements).

5. Administration and trading on behalf of third parties

Type of services	31.12.2017
1. Trading in financial instruments on behalf of third parties	**-**
a) purchases	-
1. settled	-
2. unsettled	-
b) sales	-
1. settled	-
2. unsettled	-
2. Asset management	**3,184,987**
a) individual	3,184,987
b) collective	-
3. Custody and administration of securities	**56,129,259**
a) third-party securities on deposit: associated with activities as a custodian bank (excluding portfolio management)	-
1. securities issued by consolidated companies	-
2. other securities	-
b) third party securities held in deposits (excluding segregated accounts): other	35,378,652
1. securities issued by consolidated companies	4,894,733
2. other securities	30,483,919
c) third-party securities in custody with others	33,916,674
d) own securities in custody with others	20,750,607
4. Other transactions	**1,257,787**

6. Financial assets subject to offsetting in the financial statements, or subject to framework agreements for offsetting or similar arrangements

Technical forms	Gross amount of financial assets (a)	Amount of the financial liabilities offset in the financial statements (b)	Net amount of financial assets shown in the financial statements (c = a-b)	Related amounts not subject to offsetting in the financial statements		Net amount (f=c-d-e) 31.12.2017	Net amount (f=c-d-e) 31.12.2016
				Financial instruments (d)	Cash deposits received as collateral (e)		
1. Derivatives	133,259	-	133,259	104,393	4,000	24,866	24,896
2. Repurchase agreements	300,025	-	300,025	300,025	-	-	-
3. Securities lending	-	-	-	-	-	-	-
4. Other	-	-	-	-	-	-	-
Total 31.12.2017	**433,284**	**-**	**433,284**	**404,418**	**4,000**	**24,866**	**#**
Total 31.12.2016	**192,183**	**-**	**192,183**	**125,628**	**41,659**	**#**	**24,896**

The amounts shown in the table relate to standard master agreements such as ISDA (International Swaps and Derivatives Association) and CSA (Credit Support Annex) agreements for derivatives and GMRA (Global Master Repurchase Agreement) for repurchase agreement transactions.
Under the agreements executed using the ISDA standard, offsetting of OTC derivative contracts is permitted in the event of default of either party to the agreement and, for almost all institutional counterparties, the terms of the CSA provide for cash collateral that is revised regularly based on the contracts' underlying value.
None of the amounts shown has been offset in the financial statements as the amounts in question do not meet the requirements of IAS 32 § 42.
The gross amounts (a) shown in the table relate to € 79,197 thousand of derivatives recorded under caption 20 "Financial assets held for trading" and € 54,061 thousand recorded under caption 80 "Hedging derivatives"; related financial instruments (d) consist of derivatives recorded under caption 40 "Financial liabilities held for trading" and under caption 60 "Hedging derivatives", whereas cash deposits received (e) are recorded under caption 10 "Due to banks" and in the caption 20 "Due to customers".
The gross amounts (a) shown in the table relating to repurchase agreement transactions are recorded under caption 60 "Due from banks" at an amount of € 300,025 thousand.
Related financial instruments (d) represent the value of the securities pertaining to the transactions, whereas cash deposits received (e) are recorded under caption 10 "Due to banks" and 20 "Due to customers".

7. Financial liabilities subject to offsetting in the financial statements, or subject to framework agreements for offsetting or similar arrangements

Technical forms	Gross amount of financial liabilities (a)	Amount of financial assets offset in the financial statements (b)	Net amount of financial liabilities shown in the financial statements (c = a-b)	Related amounts not subject to offsetting in the financial statements		Net amount (f=c-d-e) 31.12.2017	Net amount (f=c-d-e) 31.12.2016
				Financial instruments (d)	Cash deposits used as collateral (e)		
1. Derivatives	186,115	-	186,115	104,393	81,159	563	2,581
2. Repurchase agreements	5,211,840	-	5,211,840	5,181,932	28,641	1,267	-
3. Securities lending	-	-	-	-	-	-	-
4. Other operations	-	-	-	-	-	-	-
Total 31.12.2017	**5,397,955**	**-**	**5,397,955**	**5,286,325**	**109,800**	**1,830**	**#**
Total 31.12.2016	**5,103,646**	**-**	**5,103,646**	**4,976,967**	**124,098**	**#**	**2,581**

With regard to the types of agreements, the points made in respect of the previous table apply here as well.
None of the amounts shown has been offset in the financial statements as the amounts in question do not meet the requirements of IAS 32 § 42.
The gross amounts (a) shown in the table relate to € 161,732 thousand of derivatives recorded under caption 40 "Financial liabilities held for trading" and € 24,383 thousand recorded under caption 60 "Hedging derivatives"; related financial instruments (d) consist of derivatives recorded under caption 20 "Financial assets held for trading" and under caption 80 "Hedging derivatives", whereas cash deposits made (e) are recorded under caption 60 "Due from banks" and under caption 70 "Loans to customers".
The gross amounts (a) shown in the table relating to repurchase agreement transactions are recorded under caption 10 "Due to banks" at an amount of € 3,063,189 thousand and under caption 20 "Due to customers" at an amount of € 2,148,650 thousand.
The related financial instruments (d) represent the value of the securities pertaining to the transactions, whereas cash deposits made (e) are recorded under caption 60 "Due from banks".

8. Securities lending

Type of lender/use	To guarantee own financing operations	Sold	Subject to repurchase agreements	Other	31.12.2017
a) Banks	-	-	-	-	-
b) Public entities	-	-	73,067	-	73,067
c) Non-financial businesses	-	-	-	-	-
d) Financial businesses	-	-	-	-	-
e) Insurance companies	-	-	-	-	-
f) Other	-	-	1,733	-	1,733
Total	**-**	**-**	**74,800**	**-**	**74,800**

Part C - Information on the consolidated income statement

Section 1 - Interests
Captions 10 and 20

1.1 Interest and similar income: breakdown

Captions/Technical forms	Debt securities	Loans	Other transactions	31.12.2017	31.12.2016
1. Financial assets held for trading	9,651	-	-	9,651	17,648
2. Financial assets designated at fair value	700	-	-	700	860
3. Financial assets available for sale	140,970	88	-	141,058	121,827
4. Financial assets held to maturity	57,171	-	-	57,171	58,251
5. Due from banks	122	2,556	-	2,678	4,591
6. Loans to customers	9,516	1,148,743	-	1,158,259	1,243,328
7. Hedging derivatives	#	#	-	-	15,073
8. Other assets	#	#	46,879	46,879	21,473
Total	**218,130**	**1,151,387**	**46,879**	**1,416,396**	**1,483,051**

Interest on loan exposures, classified as non-performing, amounts to € 126,197 thousand, being the amounts shown in the "Loans" column relating to "Loans to customers", plus € 24 thousand shown in the "Debt securities" column.
"Other transactions" in point 8 include € 45,371 thousand of interest income on financial liabilities; this amount includes € 33,007 thousand relating to the benefit arising from the application of a negative interest rate of 0.40% to the amount taken up from ECB as part of the TLTRO II programme (€ 4 billion with a settlement date of 29 June 2016, € 1 billion on 21 December 2016 and € 4.1 billion on 29 march 2017) in accordance with IAS 29, having taken account of the fact that BPER Banca and Cassa di Risparmio di Saluzzo had already met the target set for 31 January 2018.
Default interest accrued during the period of € 17,132 thousand was not recognised in application of IAS 18. Default interest relating to prior years was collected on positions classified as bad loans for a total of € 3,002 thousand.

1.2. Interest and similar income: differentials on hedging transactions

Captions/Amounts	31.12.2017	31.12.2016
A. Positive differentials on hedging transactions	-	53,365
B. Negative differentials on hedging transactions	-	(38,292)
C. Balance (A-B)	**-**	**15,073**

1.3 Interest and similar income: other information

1.3.1 Interest income on foreign currency assets

Captions	31.12.2017	31.12.2016
Interest income on foreign currency assets	45,632	33,711

1.3.2 Interest income on finance lease transactions

Captions	31.12.2017	31.12.2016
Interest income on finance lease transactions	74,907	64,014

1.4 Interest and similar expense: breakdown

Captions/Technical forms	Debts	Securities	Other transactions	31.12.2017	31.12.2016
1. Due to Central Banks	56	#	-	56	1,635
2. Due to banks	28,283	#	-	28,283	15,039
3. Due to customers	97,032	#	-	97,032	107,745
4. Debt securities in issue	#	146,413	-	146,413	163,052
5. Financial liabilities held for trading	652	-	3,029	3,681	175
6. Financial liabilities designated at fair value	-	3,083	-	3,083	20,015
7. Other liabilities and provisions	#	#	8,023	8,023	4,943
8. Hedging derivatives	#	#	5,346	5,346	-
Total	**126,023**	**149,496**	**16,398**	**291,917**	**312,604**

"Other transactions" in point 7 include € 7,419 thousand of interest expense on financial assets

1.5 Interest and similar expense: differentials on hedging transaction

Items	31.12.2017	31.12.2016
A. Positive differentials on hedging transactions	56,554	-
B. Negative differentials on hedging transactions	(61,900)	-
C. Net differential (A-B)	**(5,346)**	**-**

1.6 Interest and similar expense: other information

1.6.1 Interest expense on foreign currency liabilities

Captions	31.12.2017	31.12.2016
Interest expense on foreign currency liabilities	28,506	12,668

1.6.2 Interest expense on finance lease obligations

Captions	31.12.2017	31.12.2016
Interest expense on finance leases	11	7

Section 2 - Commissions Captions 40 and 50

2.1 Commission income: breakdown

Type of service/Amounts	31.12.2017	31.12.2016
a) guarantees given	28,663	31,155
b) credit derivatives	-	-
c) management, brokerage and consulting services:	274,809	241,006
1. trading in financial instruments	1,055	1,071
2. trading in foreign exchange	5,413	5,373
3. asset management	26,362	23,457
3.1. individual	25,370	22,322
3.2. collective	992	1,135
4. custody and administration of securities	4,833	4,480
5. custodian bank	-	-
6. placement of securities	149,051	120,868
7. order taking and trasmission	11,662	12,464
8. advisory services	4,757	5,990
8.1 regarding investments	-	-
8.2 regarding financial structuring	4,757	5,990
9. distribution of third-party services	71,676	67,303
9.1 asset management	1,713	1,516
9.1.1. individual	17	5
9.1.2. collective	1,696	1,511
9.2 insurance products	41,234	36,077
9.3 other products	28,729	29,710
d) collection and payment services	124,849	121,742
e) servicing related to securitisation	571	422
f) services for factoring transactions	9,327	8,873
g) tax collection services	-	-
h) management of multilateral trading systems	-	-
i) maintenance and management of current accounts	153,116	149,398
j) other services	185,271	193,363
- commission income on other loans to customers	131,647	141,430
- commission income on cash card services	25,980	25,290
- other commission income	27,644	26,643
Total	**776,606**	**745,959**

2.2 Commission expense: breakdown

Type of service/Amounts	31.12.2017	31.12.2016
a) guarantees received	1,298	1,233
b) credit derivatives	-	-
c) management and brokerage services	2,279	1,981
1. trading in financial instruments	561	490
2. trading in foreign exchange	-	-
3. asset management:	252	4
3.1. own portfolio	4	4
3.2. third-party portfolio	248	-
4. custody and administration of securities	1,463	1,484
5. placement of financial instruments	3	3
6. offer of securities, financial products and services through financial promoters	-	-
d) Collection and payment services	5,112	4,707
e) Other services	27,289	25,316
Total	**35,978**	**33,237**

Section 3 – Dividends and similar income Caption 70

3.1 Dividends and similar income: breakdown

Caption/Income	31.12.2017		31.12.2016	
	Dividends	Income from UCITS units	Dividends	Income from UCITS units
A. Financial assets held for trading	2,631	265	2,316	242
B. Financial assets available for sale	8,820	403	7,140	108
C. Financial assets designated at fair value	30	267	32	34
D. Equity investments	-	#	-	#
Total	**11,481**	**935**	**9,488**	**384**

Section 4 - Net trading income Caption 80

4.1 Net trading income: breakdown

Transactions/Income items	Capital gains	Trading profits	Capital losses	Trading losses	Net result
	(A)	(B)	(C)	(D)	31.12.2017 [(A+B)-(C+D)]
1. Financial assets held for trading	**18,697**	**11,897**	**(8,344)**	**(4,374)**	**17,876**
1.1 Debt securities	1,316	4,816	(4,464)	(2,763)	(1,095)
1.2 Equity instruments	12,268	6,871	(2,657)	(1,611)	14,871
1.3 UCITS units	5,113	98	(1,223)	-	3,988
1.4 Loans	-	-	-	-	-
1.5 Other	-	112	-	-	112
2. Financial liabilities held for trading	**-**	**-**	**-**	**-**	**-**
2.1 Debt securities	-	-	-	-	-
2.2 Debts	-	-	-	-	-
2.3 Other	-	-	-	-	-
3. Other financial assets and liabilities: exchange differences	**#**	**#**	**#**	**#**	**(971)**
4. Derivatives	**80,436**	**107,911**	**(59,032)**	**(116,136)**	**21,110**
4.1 Financial derivatives:	80,436	107,911	(59,032)	(116,136)	21,110
- On debt securities and interest rates	75,867	101,729	(54,600)	(110,609)	12,387
- On equities and equity indices	4,569	3,063	(4,432)	(3,975)	(775)
- On currency and gold	#	#	#	#	7,931
- Other	-	3,119	-	(1,552)	1,567
4.2 Credit derivatives	-	-	-	-	-
Total	**99,133**	**119,808**	**(67,376)**	**(120,510)**	**38,015**

Section 5 - Net hedging gains (losses) Caption 90

5.1 Net hedging gains (losses): breakdown

Income items/Amounts	31.12.2017	31.12.2016
A. Income relating to:		
A.1. Fair value hedges	25,856	28,894
A.2. Hedged financial assets (fair value)	3,422	8,038
A.3. Hedged financial liabilities (fair value)	18,292	6,528
A.4. Cash-flow hedging derivatives	2	-
A.5. Foreign currency assets and liabilities	-	-
Total income from hedging activity (A)	**47,572**	**43,460**
B. Charges relating to:		
B.1. Fair value hedges	22,327	15,407
B.2. Hedged financial assets (fair value)	25,700	12,075
B.3. Hedged financial liabilities (fair value)	38	16,313
B.4. Cash-flow hedging derivatives	-	-
B.5. Foreign currency assets and liabilities	-	-
Total charges from hedging activity (B)	**48,065**	**43,795**
C. Net hedging gains (losses) (A-B)	**(493)**	**(335)**

Section 6 - Gains (losses) on disposal or repurchase Caption 100

6.1 Gains (losses) on disposal or repurchase: breakdown

Caption/Income items	31.12.2017			31.12.2016		
	Gains	Losses	Net Profit	Gains	Losses	Net Profit
Financial assets						
1. Due from banks	1,191	-	1,191	7	(2)	5
2. Loans to customers	10,139	(23,761)	(13,622)	5,052	(14,805)	(9,753)
3. Financial assets available for sale:	76,923	(899)	76,024	119,227	(600)	118,627
3.1 Debt securities	62,404	(579)	61,825	79,454	(350)	79,104
3.2 Equity instruments	7,538	(317)	7,221	37,740	(26)	37,714
3.3 UCITS units	6,981	(3)	6,978	2,033	(224)	1,809
3.4 Loans	-	-	-	-	-	-
4. Financial assets held to maturity	316	-	316	-	-	-
Total assets	**88,569**	**(24,660)**	**63,909**	**124,286**	**(15,407)**	**108,879**
Financial liabilities						
1. Due to banks	-	-	-	-	-	-
2. Due to customers	-	-	-	-	-	-
3. Debt securities in issue	1,171	(706)	465	1,085	(2,302)	(1,217)
Total liabilities	**1,171**	**(706)**	**465**	**1,085**	**(2,302)**	**(1,217)**

The gains relate to the equities classified as "Financial assets available for sale" including the gain realised on the sale of the investment held in Bassilichi s.p.a. (€ 6.9 million).
At 31 December 2016, this caption included the gain realised following the sale of the shares in Visa Europe by Banca di Sassari (€ 20.8 million) and collection of the earn-out clause on sale of the interest in Istituto Centrale delle Banche Popolari Italiane s.p.a. (now Nexi s.p.a.) for € 16.9 million.

Section 7 - Net result on financial assets and liabilities designated at fair value
Caption 110

7.1 Net result on financial assets and liabilities designated at fair value: breakdown

Transactions/Income components	Capital gains	Gains on disposal	Capital losses	Losses on disposal	Net result
	(A)	(B)	(C)	(D)	31.12.2017 [(A+B)-(C+D)]
1. Financial assets	**3,616**	**715**	**(170)**	**(550)**	**3,611**
1.1 Debt securities	250	30	(154)	(232)	(106)
1.2 Equity securities	3	1	-	-	4
1.3 UCITS units	3,363	684	(16)	(318)	3,713
1.4 Loans	-	-	-	-	-
2. Financial liabilities	**487**	**530**	**(1,178)**	**(34)**	**(195)**
2.1 Debt securities	487	530	(1,178)	(34)	(195)
2.2 Due to banks	-	-	-	-	-
2.3 Due to customers	-	-	-	-	-
3. Other financial assets and liabilities: exchange differences	**#**	**#**	**#**	**#**	**(179)**
4. Derivatives	**35**	**34**	**-**	**(2,068)**	**(1,999)**
Total	**4,138**	**1,279**	**(1,348)**	**(2,652)**	**1,238**

The net result of measurement of financial liabilities and operationally connected derivatives at fair value (under the fair value option for financial liabilities) is negative for € 2,229 thousand.

Section 8 - Net impairment adjustments Caption 130

8.1 Net impairment adjustments to loans and advances: breakdown

Transactions/Income items	Adjustments			Write-backs				31.12.2017	31.12.2016
	Specific			Specific		Portfolio			
	Write-offs	Other	Portfolio	Interest	Other write-backs	Interest	Other write-backs		
A. Due from banks	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**(116)**
- Loans	-	-	-	-	-	-	-	-	1
- Debt securities	-	-	-	-	-	-	-	-	(117)
B. Loans to customers	**(57,336)**	**(997,224)**	**(4,865)**	**122,837**	**370,632**	**-**	**29,981**	**(535,975)**	**(619,634)**
Non-performing exposures acquired	-	-		-	-			-	-
- Loans	-	-	#	-	-	#	#	-	-
- Debt securities	-	-	#	-	-	#	#	-	-
Other receivables	(57,336)	(997,224)	(4,865)	122,837	370,632	-	29,981	(535,975)	(619,634)
- Loans	(57,336)	(997,224)	(393)	122,837	370,632	-	29,981	(531,503)	(609,216)
- Debt securities	-	-	(4,472)	-	-	-	-	(4,472)	(10,418)
C. Total	(57,336)	(997,224)	(4,865)	122,837	370,632	-	29,981	(535,975)	(619,750)

8.2 Net impairment adjustments to financial assets available for sale: breakdown

Transactions/Income items	Adjustments		Write-backs		31.12.2017	31.12.2016
	Specific		Specific			
	Write-Offs	Other	Interest	Other write-backs		
A. Debt securities	-	(4,392)	-	-	(4,392)	-
B. Equity instruments	-	(38,828)	#	#	(38,828)	(18,353)
C. UCITS units	-	(61,408)	#	-	(61,408)	(33,458)
D. Due from banks	-	-	-	-	-	-
E. Loans to customers	-	-	-	-	-	-
F. Total	**-**	**(104,628)**	**-**	**-**	**(104,628)**	**(51,811)**

The adjustments to "Equity instruments" mainly consist of writedowns of the interest held in Release s.p.a. of € 7,017 thousand and of the intervention by IDGF-VS to support Caricesena, Carismi and Carim (€ 29,264 thousand). The adjustments to "UCITS units" include a writedown of units in Fondo Atlante of € 52,939 thousand.
Adjustments to debt securities related to a subordinated bond issued by Veneto Banca.

8.4 Impairment losses on other financial assets: breakdown

Transactions / Income items	Adjustments			Write-backs				31.12.2017	31.12.2016
	Specific			Specific		Portfolio			
	Write-offs	Other	Portfolio	Interest	Other write-backs	Interest	Other write-backs		
A. Guarantees given	-	(27,649)	(15,633)	-	27,964	-	-	(15,318)	12,474
B. Credit derivatives	-	-	-	-	-	-	-	-	-
C. Commitments to disburse funds	-	-	-	-	-	-	-	-	23
D. Other transactions	-	-	-	-	5	-	-	5	-
E. Total	**-**	**(27,649)**	**(15,633)**	**-**	**27,969**	**-**	**-**	**(15,313)**	**12,497**

The figures for the previous year include recoveries for the received from the FITD for reimbursement of the quota paid by BPER Banca Group in 2014.

Section 9 – Net premiums Caption 150

There are no amounts to be disclosed in this section.

Section 10 – Net other insurance income/expense Caption 160

There are no amounts to be disclosed in this section.

Section 11 - Administrative expenses Caption 180

11.1 Payroll: breakdown

Type of expense/amounts	31.12.2017	31.12.2016
1) Employees	**757,910**	**744,525**
a) wages and salaries	551,803	539,337
b) social security charges	144,902	141,654
c) termination indemnities	32,037	31,796
d) pension expenses	-	-
e) provision for termination indemnities	1,226	2,339
f) provision for post-retirement benefits and similar commitments:	639	812
- defined contribution	-	-
- defined benefit	639	812
g) payments to external supplementary pension funds:	16,111	16,096
- defined contribution	16,111	16,096
- defined benefit	-	-
h) costs deriving from payment agreements based on own capital instruments	(94)	(53)
i) other personnel benefits	11,286	12,544
2) Other active employees	**15,976**	**15,066**
3) Directors and Statutory Auditors	**8,489**	**8,378**
4) Retired personnel	**1,103**	**1,180**
Total	**783,478**	**769,149**

11.2 Average number of employees, by level

	31.12.2017	31.12.2016
Employees:	**10,979**	**11,170**
a) Managers	224	235
b) Middle managers	3,520	3,543
c) Other employees	7,235	7,392
Other personnel	**295**	**265**

11.2.1 Number of employees, by level: banking group

	31.12.2017	31.12.2016
Employees:	**11,653**	**11,635**
a) Managers	224	241
b) Total 3rd and 4th level middle managers	1,489	1,501
c) Total 1st and 2nd level middle managers	2,199	2,117
d) Other employees	7,741	7,776
Other personnel	**235**	**223**

The number of employees does not include staff on leave.

11.3 Post-retirement defined benefit plans: cost and revenue

Captions	31.12.2017	31.12.2016
Defined-benefit pension plans	639	812

11.4 Other personnel benefits

Captions	31.12.2017	31.12.2016
Other personnel benefits	11,286	12,544

11.5 Other administrative expenses: breakdown

	31.12.2017	31.12.2016
Indirect taxes and duties	**142,755**	**136,080**
Stamp duty	118,553	112,392
Other indirect taxes with right of recourse	9,152	7,547
Municipal property tax	9,030	9,725
Other	6,020	6,416
Other costs	**446,752**	**478,074**
Maintenance and repairs	47,894	41,874
Rental expense	62,059	60,006
Post office, telephone and telegraph	15,698	15,947
Data transmission fees and use of databases	31,037	29,573
Advertising	16,090	21,441
Consulting and other professional services	74,164	76,865
Lease of IT hardware and software	28,558	27,355
Insurance	11,086	13,301
Cleaning of office premises	9,164	8,592
Printing and stationery	7,146	6,586
Energy and fuel	14,776	16,038
Transport	13,830	13,590
Staff training and expense refunds	12,452	12,609
Information and surveys	12,998	11,763
Security	9,362	9,049
Use of external data gathering and processing services	11,950	6,678
Condominium expenses	3,315	2,740
Membership fees	6,603	6,434
Contribution to SRF, DGS, IDGF-VS	37,721	78,233
Sundry other	20,849	19,400
Total	**589,507**	**614,154**

The amount relating to "Consulting and other professional services" of € 74.2 million is attributable to sundry administrative expenses for legal services and for other professional advisors for advice on specific regulations and for the provision of support and advice on matters concerning changes in legislation, the internal control system and the 2015-2017 Business Plan.
Details are as follows:
- services provided by various legal advisors, particularly in respect of litigation, for € 28.6 million (€ 26.9 million at 31 December 2016);
- professional services provided by various firms, regarding the execution of a number of funding transactions completed in the period (issue of covered bonds, update and issues pertaining to the Euro Medium Term Notes programme, etc.), for the audit of the financial statements, to obtain ratings from different agencies, for specific valuation work performed for financial statement purposes (specific appraisals) for € 5.8 million (€ 4.4 million at 31 December 2016);
- other sundry professional services (for example, appraisals and other technical support) for € 13.8 million (€ 15.2 million at 31 December 2016);
- sundry advice in respect of continuous changes in legislation, improvements to the system of internal control and projects foreseen by the 2015-2017 Business Plan.
These are in fact genuine investments for the future, as can be seen from the work performed for the overall development of operations, related above all to the adoption of internal models for the measurement of credit risk and the new Regulations for the prudential supervision of banks referred to in Circular 263 of the Bank of Italy. The total of this type of expense came to € 26 million (€ 30.4 million at 31 December 2016).

"Contributions to SRF, DGS, IDGF-VS" include ordinary contributions paid to the Single Resolution Fund (SRF) of € 15.9 million (€ 50 million in 2016, including extraordinary contributions of € 34.9 million), to the Deposit Guarantee Scheme (DGS) of € 21.8 million (€ 16.9 million in 2016).

Section 12 – Net provisions for risks and charges Caption 190

12.1 Net provisions for risks and charges: breakdown

Type of risks and charges	31.12.2017	31.12.2016
A. Provisions	**(54,073)**	**(43,318)**
1. for legal disputes	(37,190)	(40,184)
2. other	(16,883)	(3,134)
B. Write-backs	**23,495**	**14,650**
1. for legal disputes	18,990	9,955
2. other	4,505	4,695
Total	**(30,578)**	**(28,668)**

Section 13 – Net adjustments to property, plant and equipment Caption 200

13.1 Net adjustments to property, plant and equipment: breakdown

Assets/Income items	Depreciation	Impairment adjustments	Write-backs	Net result
	(a)	(b)	(c)	31.12.2017 (a+b-c)
A. Property, plant and equipment				
A.1 Owned	(37,305)	(7,997)	-	(45,302)
- For business purposes	(34,026)	(950)	-	(34,976)
- For investment purposes	(3,279)	(7,047)	-	(10,326)
A.2 Held under finance leases	(822)	-	-	(822)
- For business purposes	(822)	-	-	(822)
- For investment purposes	-	-	-	-
Total	**(38,127)**	**(7,997)**	**-**	**(46,124)**

As already mentioned in Part B, Section 12, Assets, the amount recorded under "Impairment adjustments" refers to the impairment test carried out in compliance with IAS 36 on a number of property units.

Section 14 – Net adjustments to intangible assets Caption 210

14.1 Net adjustments to intangible assets: breakdown

Assets/Income items	Amortisation	Impairment adjustments	Write-backs	Net result
	(a)	(b)	(c)	31.12.2017 (a+b-c)
A. Intangible assets				
A.1 Owned	(41,305)	-	-	(41,305)
- generated internally by the company	-	-	-	-
- other	(41,305)	-	-	(41,305)
A.2 Held under finance leases	-	-	-	-
Total	**(41,305)**	**-**	**-**	**(41,305)**

Section 15 - Other operating charges/income Caption 220

15.1 Other operating charges: breakdown

Description/Amounts	31.12.2017	31.12.2016
Amortisation of leasehold improvement expenditure	3,182	4,137
Out-of-period expense	1,738	4,956
Other	30,761	24,557
Total	**35,681**	**33,650**

15.2 Other operating income: breakdown

Description/Amounts	31.12.2017	31.12.2016
Rental income	7,491	6,791
Recovery of taxes	126,175	118,704
Other income	86,380	81,872
Total	**220,046**	**207,367**

Section 16 – Profit (loss) from equity investments Caption 240

16.1 Profit (loss) from equity investments: breakdown

Items/Amounts	31.12.2017	31.12.2016
1) Companies under joint control		
A. Income	-	-
1. Revaluations	-	-
2. Gain from disposals	-	-
3. Write-backs	-	-
4. Other income	-	-
B. Charges	-	-
1. Write-downs	-	-
2. Impairment write-downs	-	-
3. Loss from disposals	-	-
4. Other charges	-	-
Net result	**-**	**-**
2) Companies subject to significant influence		
A. Income	25,270	15,698
1. Revaluations	25,227	14,575
2. Gains on disposals	43	1,123
3. Write-backs	-	-
4. Other gains	-	-
B. Charges	(6,787)	(7,207)
1. Write-downs	(1,985)	(2,857)
2. Impairment write-downs	(4,521)	(4,350)
3. Loss from disposals	(281)	-
4. Other charges	-	-
Net result	**18,483**	**8,491**
Total	**18,483**	**8,491**

As already mentioned in Part B, Section 10, Assets, the amount of sub-caption "Impairment adjustments" relates to impairment tests on the following companies subject to significant influence: Cassa di Risparmio di Savigliano s.p.a. (€ 2,808 thousand), Sofipo s.a. in liquidation (€ 83 thousand) and Atriké s.p.a. (€ 20 thousand); and on the following subsidiaries measured using the equity method: Polo Campania s.r.l. (€ 1,065 thousand), Italiana Valorizzazioni Immobiliari s.r.l. (€ 493 thousand) and Galilei Immobiliare s.r.l. (€ 52 thousand).
The "Revaluations" and "Writedowns" reflect the results of the companies measured using the equity method.

Section 17 – Net gains (losses) arising on fair value adjustments to property, plant and equipment and intangible assets Caption 250

There are no amounts to be disclosed in this section.

Section 18 – Impairment losses on goodwill Caption 260

Impairment losses on goodwill: breakdown

Of the amount of € 28,357 thousand, € 26,700 thousand is attributable to the impairment of goodwill recorded in the consolidated financial statements of BPER Banca relating to Banco di Sardegna. The balance of € 1,657 thousand refers to the impairment suffered by the goodwill in the financial statements of Sardaleasing s.p.a.

Section 18 bis – Gain on a bargain purchase Caption 265

The amount of € 190,892 thousand is attributable to the determination of Badwill - the positive differential deriving from the business combination of Nuova Cassa di Risparmio di Ferrara. Further details are given in Part G of these notes entitled *"Business combinations"*.

Section 19 – Gains (losses) on disposal of investments Caption 270

19.1 Gain (loss) on disposal of investments: breakdown

Items/Amounts	31.12.2017	31.12.2016
A. Buildings	**42**	**162**
- Gains on disposal	58	237
- Losses on disposal	(16)	(75)
B. Other assets	**(54)**	**(382)**
- Gains on disposal	44	166
- Losses on disposal	(98)	(548)
Net result	**(12)**	**(220)**

Section 20 – Income taxes for the year on current operations
Caption 290

20.1 Income taxes for the period on current operations: breakdown

Items/Segments	31.12.2017	31.12.2016
1. Current taxes (-)	(6,275)	(5,595)
2. Change in prior period income taxes (+/-)	3,629	3,195
3. Reduction in current taxes (+)	2	2,074
3. bis Reduction in current taxes for tax credits under L. 214/2011 (+)	135,492	1,433
4. Change in deferred tax assets (+/-)	(158,652)	5,706
5. Change in deferred tax liabilities (+/-)	3,566	(1,543)
6. Income taxes for the year on current operations (-) (-1+/-2+3+3 bis+/-4+/-5)	**(22,238)**	**5,270**

20.2 Reconciliation between the theoretical and current tax burden

IRES	31.12.2017
Result of current operations before income taxes	**199,120**
Negative components of the gross result definitively considered not relevant (+)	**70,902**
Non-deductible interest expense	
Losses on disposal/remeasurement of AFS securities and equity investments	3,911
Non-deductible taxes (other than on income)	8,289
Administrative costs of limited deductibility	5,876
Other non-deductible costs	2,041
Allocations to provisions for sundry disputes	14,401
Goodwill impairment	26,700
Other	9,684
Positive components of the gross result definitively considered not relevant (-)	**(219,085)**
Non-relevant portion of gains on disposal/remeasurement of AFS securities and equity investments	(19,743)
Non-relevant portion of dividends	(8,450)
Other	(190,892)
Definitive increases not linked to elements of the gross result (+)	**39,797**
Tax losses	39,797
Definitive increases not linked to elements of the gross result (+)	**(35,103)**
Recovery of intercompany interest expense deductibility for tax consolidation	
Standard deduction 10% IRAP	(74)
Deduction of payroll cost for IRAP	(430)
A.C.E. (aid for economic growth) deduction	(27,633)
Other	(6,966)
Basis of calculation of IRES shown in the income statement	**55,631**
IRES tax rate	*27.50%*
Effective IRES	**15,299**
Effective IRES tax rate	*7.68%*

IRAP	31.12.2017
Result of current operations before income taxes	**199,120**
Negative components of the gross result definitively considered not relevant (+)	**256,327**
Non-deductible interest expense	921
Non-deductible portion of depreciation/amortisation on assets used in business	5,547
Other non-deductible administrative costs	73,171
Payroll, net of permitted deductions	37,352
Other net impairment adjustments (caption 130 of the income statement)	66,725
Net provisions for risks and charges	30,680
IMU	8,189
Goodwill impairment	26,700
Other	7,042
Positive components of the gross result definitively considered not relevant (-)	**(278,737)**
Non-relevant portion of dividends	(6,601)
Profit from equity investments	(19,054)
Other operating income	(57,989)
Badwill	(190,892)
Other	(4,201)
Definitive increases not linked to elements of the gross result (+)	**181**
Negative value of production	181
Definitive decreases not linked to elements of the gross result (-)	**(36,541)**
Recovery of non-relevant charges of prior periods	(10,147)
Contributions to the Single Resolution Fund ("SRF")	(21,349)
Other	(5,045)
Basis of calculation of IRAP shown in the income statement	**140,350**
Weighted average nominal rate of IRAP	*5.57%*
Effective IRAP	**7,817**
Tax rate IRAP	3.93%

Out-of-period IRES and IRAP and other taxes	31.12.2017
Total impact	**(878)**
IRES - Changes in current out-of-period IRES	(1,677)
IRAP - Changes in current out-of-period IRAP	(2,266)
Prior year deferred tax adjustment	(1,056)
Other	4,121
Effective out-of-period IRES and IRAP and other taxes	*-0.44%*

Total tax on gross result	31.12.2017
IRES + IRAP + other taxes	**22,238**
Overall effective tax rate	*11.17%*

Section 21 – Profit (loss) after tax on non-current assets held for sale
Caption 310

There are no amounts to be disclosed in this section.

Section 22 – Net profit (loss) pertaining to minority interests
Caption 330

22.1 Analysis of caption 330 “Net profit (loss) pertaining to minority interest”

Name	31.12.2017	31.12.2016
Consolidated equity investments with significant minority interests	**454**	**1,517**
1. Banco di Sardegna (*)	4,104	(575)
2. Banca di Sassari s.p.a.	545	1,928
3. Cassa di Risparmio di Bra s.p.a.	73	(285)
4. Sardaleasing s.p.a.	(4,591)	158
5. Emilia Romagna Factor s.p.a.	323	291
Other equity investments	**(10)**	**(2)**
Total	**444**	**1,515**

(*) consolidation of the sub-holding company Banco di Sardegna and its subsidiaries.

To determine the relevance of minority interests, see Part A of these Explanatory Notes.
Minority interests not considered significant have been recognised under "Other investments".

Section 23 – Other information

The information contained in the above sections is deemed to be detailed and completed, thus providing a full picture of the consolidated results.

Section 24 - Earnings per share

IAS 33 requires disclosure of basic and diluted earnings per share (EPS), specifying how each is calculated.

Basic earnings per share reflect the relationship between:

- the earnings attributable to ordinary shareholders,
- and the weighted average number of shares outstanding during the period.

Diluted earnings per share reflect the relationship between:

- the earnings used to calculate Basic EPS, as adjusted by the economic effects of converting all outstanding convertible bonds into shares at period end;
- and the number of shares used to calculate basic EPS, as adjusted by the weighted average of the potential ordinary shares with a diluting effect deriving from the conversion of bonds outstanding at period end.

	31.12.2017			31.12.2016		
	Attributable earnings	Weighted average ordinary shares	Earnings per shares (Euro)	Attributable earnings	Weighted average ordinary shares	Earnings per share (Euro)
Basic EPS	176,438	480,852,977	0.367	14,299	480,852,977	0.030
Diluted EPS	176,438	480,852,977	0.367	14,299	480,852,977	0.030

The following tables reconcile the weighted average number of ordinary shares outstanding used to calculate basic earnings per share with the number of ordinary shares used to calculate diluted earnings per share; they also reconcile net profit for the year with the net income used to determine basic and diluted earnings per share.

24.1 Average number of ordinary shares (fully diluted)

	31.12.2017	31.12.2016
Weighted average number of outstanding ordinary shares for Basic EPS calculation	480,852,977	480,852,977
Weighted dilutive effect of the potential conversion of convertible bonds	-	-
Weighted average number of outstanding ordinary shares for diluted EPS calculation	**480,852,977**	**480,852,977**

24.2 Other information

	31.12.2017	31.12.2016
Net profit for the period	176,438	14,299
Allocations not attributable to the shareholders	-	-
Net profit for Basic EPS calculation	176,438	14,299
Change in income and charges deriving from conversion	-	-
Net profit for diluted EPS calculation	**176,438**	**14,299**

Part D – Consolidated comprehensive income

Analytical Consolidated statement of comprehensive income

(in thousands of Euro)

Captions	Gross amount	Income taxes	Net amount
10. Profit (loss) for the period	**199,120**	**(22,238)**	**176,882**
Other income items, net of income taxes, without release to the income statement			
20. Property, plant and equipment	-	-	-
30. Intangible Assets	-	-	-
40. Defined benefit plans	(1,864)	141	(1,723)
60. Portion of the valuation reserves of the equity investments carried at equity	3,007	-	3,007
Other income items, net of income taxes, with release to the income statement			
70. Hedges of foreign investments	**-**	**-**	**-**
a) fair value changes	-	-	-
b) reclassifications through profit or loss	-	-	-
c) other variations	-	-	-
80. Exchange differences	**-**	**-**	**-**
a) changes in values	-	-	-
b) reclassifications through profit or loss	-	-	-
c) other variations	-	-	-
90. Cash-flows hedges:	**(1,391)**	**(76)**	**(1,467)**
a) changes in fair value	(1,391)	(76)	(1,467)
b) release to the income statement	-	-	-
c) other changes	-	-	-
100. Financial assets available for sale:	**29,657**	**(10,200)**	**19,457**
a) changes in fair value	**84,507**	**(25,385)**	**59,122**
b) reclassification through profit or loss	(54,850)	15,510	(39,340)
- impairment write-downs	5,250	(766)	4,484
- gains/losses on disposals	(60,100)	16,276	(43,824)
c) other changes	-	(325)	(325)
110. Non-current assets classified as held for sale	**-**	**-**	**-**
a) fair value changes	-	-	-
b) reclassifications through profit or loss	-	-	-
c) other variations	-	-	-
120. Portion of the measurement reserves of equity investments carried at equity:	**-**	**-**	**-**
a) fair value changes	-	-	-
b) reclassification through profit or loss	-	-	-
- due to impairment	-	-	-
- gains/losses on disposals	-	-	-
c) other variations	-	-	-
130. Total other elements of income	**29,409**	**(10,135)**	**19,274**
140. Total consolidated comprehensive income (Captions 10+130)	**228,529**	**(32,373)**	**196,156**
150. Total comprehensive income pertaining to minorities interests			(5,017)
160. Consolidated comprehensive income attributable to the Parent Company			**201,173**

Part E - Information on risks and related hedging policies

Section 1 - Risks faced by the Banking Group

In compliance with the prudential regulations intended to strengthen the ability of banks to absorb shocks deriving from economic and financial tensions, the Group monitors capital adequacy, the exposure to risks and the general characteristics of the related management and control systems, in order to facilitate market discipline.
This document has been prepared pursuant to the requirements of Circular 285 of 17 December 2013 and subsequent updates issued by the Bank of Italy, Regulation (EU) 575/2013 of the European Parliament and of the Council of 26 June 2013 (CRR) and the EBA Guidelines dated 23 December 2014 that came into force on 1 January 2015.

Entitled "Public Disclosures as at 31 December 2017 – Pillar 3", this document is published together with the financial statements on the websites of the Parent Company – www.bper.it – Institutional area

Introduction

With regard to a summary of the Group's risk governance organisation, of the related processes and key functions, reference should be made to the details provided in the section on "Principal risks and uncertainties" in the directors' report on Group operations.

1.1 Credit risk

The Group's organisation provides for centralisation of the credit risk control function at the Parent Company; consequently, the qualitative information set out below reflects the individual position of BPER Banca.

Qualitative information

1. General aspects

In 2017, Italy experienced better than expected growth thanks to a general expansion of the economies of Italy's European partners, lower political risk in the area as a whole, extension of the ECB's Quantitative Easing and the cumulative effects of Italian fiscal policies.
According to the figures from the last Economic Bulletin of the Bank of Italy[44], GDP grew in 2017 by 1.5%, driven mainly by domestic demand, stimulated in particular by investment in capital goods, but also by foreign trade, with a more marked increase in exports compared with imports.
The level of business and consumer confidence has continued to improve, partly due to the increase in employment and the continued expansion of credit to the private sector.
The projections, again provided by the Bank of Italy, therefore indicate a continuation of growth both in the current year and for 2019-2020 with a moderate recovery in inflation, still supported by expansive economic policies.
In this macroeconomic context, the BPER Group has made every effort to optimise its loan portfolio with a view to the best possible risk-return ratio by defining, in synergy with all other budget planning processes, guidelines for prudent lending policies that are consistent with the operating activity, with the development and knowledge of the territory and in compliance with applicable law.
In order to achieve this, internal models for the measurement of credit risk - validated by the ECB at the end of June 2016 - were used to identify a target scenario for reshaping the loans portfolio in qualitative and quantitative terms. The objective was to give preference to the development of lending to the retail segment and economic sectors that are outperforming, from the development of particular excellences or from the strong presence of exporting companies on which to develop interventions in the field of production chains/districts.
The same quality lines were also transmitted during the year to Nuova Cassa di Risparmio di Ferrara, whose 100% acquisition was completed on 30 June 2017, then subsequently absorbed by the Parent Company with effect for accounting purposes from 1 July 2017.
To supplement the guidelines for loans to commercial banks, specific guidelines on loans have been developed directly or through the Group's product companies, given the intrinsic characteristics of the products being distributed (leasing, factoring, personal loans and lending-against-salary) and the lower risk profile compared with similar banking transactions.
Lastly, to confirm its proximity to the territory, the BPER Banca Group continued to participate in ABI initiatives in favour of SMEs ("2015 lending agreement – Firms returning to growth") and Individuals ("Mortgage solidarity fund", "Suspension of household loan repayments", "Guarantee fund for the first home"), subscribed in 2015, while also guaranteeing support for areas hit by natural disasters via the suspension of loan repayments, as envisaged by law.

[44] *The Bank of Italy Economic Bulletin was published in January 2018*

2. Credit risk management policies

The lending policy of the Group pursues the aim of carefully selecting counterparties through an analysis of their creditworthiness, including the use of well-established tools such as the rating system, having regard for the achievement of commercial and support objectives.
In view of the Group's strategic objectives and operations, the general risk management strategy is to accept a moderate level of risk involving:

- the assessment of the current and prospective creditworthiness of counterparties;
- the diversification of the portfolio, limiting the concentration of exposures towards individual counterparties and sectors of economic activity.

2.1 Organisational aspects

The Group's credit risk management model has the following objectives:

- apply the instructions issued by the Supervisory Authorities, while taking account of the Group's specific operating characteristics;
- ensure that credit risk is managed appropriately by each bank and at a consolidated level.

These objectives are achieved via the segregation of responsibilities and duties between the bodies that manage credit risk and those with a control function.
The following elements underpin work to manage and control the exposure to credit risk:

- independence of the function responsible for the measurement of credit risk with respect to the various business functions;
- clear definition of delegated powers and the resulting structure of limits imposed by the Board of Directors of the Parent Company;
- coordination by the Parent Company of credit risk management processes, while leaving individual companies with operational autonomy for the management of credit risk;
- consistent application of measurement models throughout the Group, in line with international best practice;
- transparent methodology and measurement criteria to facilitate understanding of the risk measures adopted;
- performance of periodic stress tests which use endogenous and exogenous shock scenarios to provide deterministic and/or probability-based indicators of risk.

2.2 Systems for managing, measuring and monitoring

The management of risk involves applying a system of methodologies and approaches for the ongoing measurement and/or assessment of risk. This system helps to guide operational decisions and quantify the level of capital required by the Group in order to cover the risks that have been accepted. Each Bank analyses the various components of credit risk and identifies the exposure associated with the loan portfolio using suitable measurement methodologies. In particular, the Bank uses many tools to measure and monitor credit risk in relation to both performing and non-performing loans.
The characteristics of the rating models developed by the Parent Company for the calculation of PD (Probability of default: i.e. the probability that the borrower will not be able to meet their commitments) depend on the risk segment to which the counterparty belongs, the amount of the exposure and the

stage in the lending process at which they are applied (initial payout or monitoring). The classifications are represented by 13 classes of merit differentiated by risk segment.
All of the Parent Company's systems share a number of common characteristics:

- the rating is determined with reference to the specific counterparty;
- the rating systems are established with reference to the loan portfolio of the BPER Banca group (the rating is unique for each counterparty, even if shared by several banks in the Group);
- the models process internal performance information derived from reports issued by the central risk database, as well as financial information in the case of businesses;
- the models for Corporate SMEs, Long-term Property SMEs, Holding, Financial Companies and Large Corporates add a qualitative element to the purely statistical side. The rating allocation process for these segments also allows the account manager to activate an override process i.e. to request an exception to the quantitative rating based on true and documented information not processed by the model. The requested exception is evaluated by a central function that operates at Group level;
- to support risk analysis in the Large Corporate, Holding and Financial Companies segment, another component was added to the model to take into account whether counterparties belong to a group;
- the Probability of Default is calibrated with reference to regulatory anomalies, which include past due amounts;
- the time series used in order to develop and calibrate the models cover a broad time horizon, consistent with the requirements of current regulations;
- the ratings are analysed and reviewed at least once each year; the Bank has also defined a process for the monitoring of each rating, causing the rating to lapse if it no longer represents the true risk profile of the counterparty and there are signs of deterioration in the quality of the related lending;
- use is made of a rating calculation model for counterparties acting as guarantors for individuals, aimed at the quantification and measurement of credit risk attributable to private counterparties that provide personal guarantees to BPER Banca Group's customers.

Determination of the final rating depends on the type of counterparty. In particular, the rating allocation process involves a level of investigation that is proportional to the complexity/scale of the counterparty under review: a more complex and sophisticated structure is foreseen for medium-large businesses (Corporate SMEs, Long-term Property SMEs, Holding, Financial Companies and Large Corporates), which are fewer but with larger average exposures, while there is a simpler structure for Retail customers (Retail SMEs, Individuals and Small Businesses), which are more numerous, but with lower exposures.
The estimation of LGD (Loss Given Default: representing the extent of the loss expected to occur on default of the borrower, dependent on type of exposure to the counterparty) is based on information on the borrower (segment, geographical area, internal administrative status), the product (technical form, size of exposure), and the presence, type and coverage of guarantees.
LGD estimation includes the impact of the recession (downturn LGD).
Important activities in 2017 concerning the Basel 2 project included the following:

- introduction of rating models for the Holding and Financial business (non-banking) segments;
- update of the LGD model;
- recalibration of the risk models used to calculate the PD (Probability of Default) for corporate and retail counterparties

- the adjustment of credit risk models to IFRS 9 that will be applied from 1 January 2018, the date of entry into force of the standard;
- performance of activities requested by the ECB at the time when internal models were being validated with subsequent elimination of the add-ons to risk-weighted assets.

In addition to indicating the principles of governance, assumption and management of credit risk, the Group Credit Risk Governance Policy defines the BPER Group's credit risk appetite. For this purpose, the policy provides for a new system of credit risk exposure limits, establishing supervisory thresholds that have to be monitored periodically. The document also explains the principles for calculating analytical and collective loan loss provisions and for the classification of loans by status.
In order to manage credit risk, the Group has developed a system of credit limits designed to regulate the lending process, together with a system for authorisations that takes account of the riskiness of the customer and/or the transaction, consistent with the risk evaluation systems adopted. This system ensures compliance with the principle that the level of authorisation be consistent with the riskiness of the transaction, envisaging that the limits on decision making are established with reference to one or more aspects of the specific counterparty and transaction risk (in particular counterparty rating, expected loss, amount of the facility).
The internal rating system's risk measures are used for management reporting purposes; in particular, a Credit Risk Book is prepared on a quarterly basis and is an essential tool for the Risk Committee. This is the basic information support for the Risk Committee and contains detailed reports on credit risk at consolidated and individual level (distribution of the portfolio by type and rating classes, dynamics of risk parameters and expected loss, transition matrices, dynamics of general and analytical provisions and decay rates), with differentiated analyses for risk and management segments and geographical area.
In addition, a summary report is prepared on a monthly basis, including the monitoring of supervisory thresholds set for credit risk.
A network reporting tool is also available, characterised by different views of the loan portfolio, with different levels of aggregation (Branch, Regional Division, General Management, Bank and Group) and hierarchical visibility cones.

Following the ECB's authorisation in June 2016 to use internal models for measuring capital requirements for credit risk, starting from the Regulatory Reports at 30 June 2016, the BPER Banca Group began using AIRB methods for the banks included in the scope of the first validation (BPER Banca, Banco di Sardegna and Banca di Sassari) for the following asset classes:

- retail businesses;
- exposure to companies.

In order to optimise the process of monitoring customers, the Parent Company made some refinements to an early warning model, which is capable of analysing performing loans by level of risk, with a view to suggesting timely action to be taken by the responsible functions.
The model was developed using methodology that responds to two key needs in the process of managing performing counterparties:

- the need to identify as a first step those counterparties that, for the sake of prudence, should be monitored actively in order to avoid a deterioration in their position, or to implement actions that will improve the counterparty's risk profile or contain possible future losses;
- the need to define processes for observing these positions, determining the priorities and the rules for monitoring them, in order to optimise the organisational effort of the account managers and the results of such action.

2.3 Credit risk mitigation techniques

Mitigation techniques are an important tool for reducing or transferring part of the credit risk associated with the portfolio of exposure. Consistent with the low propensity to accept risk that characterises operations, the Group seeks to mitigate credit risk, in particular, by obtaining and managing secured and unsecured guarantees. For this purpose, the Group has prepared suitable IT procedures and systems for managing mortgages and financial guarantees in compliance with prudent supervisory requirements, as well as appropriate internal regulations for managing the life-cycles of the other tangible security obtained.

The secured guarantees obtained by the Group generally comprise mortgages on residential and non-residential property, as part of retail lending and, to a lesser extent, loans to Corporate customers, as well as pledges on securities, receivables and cash. An internal procedure developed over a number of years gathers information in an organised fashion on the property assets of borrowers and on the properties given in guarantee. The value of property is periodically remeasured and updated with reference to the statistical databases maintained by a leading operator in the sector, and steps are taken to renew the related appraisals; an internal function covering the entire banking group has been established to supervise this process and monitor constantly the value obtained to cover exposures, as required by the new regulations. Likewise, the collateral represented by financial instruments is managed within a procedure that updates the fair value on the basis of market trends.

The principal types of unsecured guarantees consist of "specific guarantees" and "restricted omnibus guarantees", mainly given by entrepreneurs in favour of their companies and by parent companies in favour of their subsidiaries in the form of binding letters of patronage. Guarantees given by various guarantee consortiums in favour of their members firms are becoming more significant, as well as guarantees given by third party institutions, such as SACE, MCC (Guarantee Fund for SMEs), EIF (European Investment Fund) and Guarantee Fund for the First Home, also subject to periodic monitoring.

In order to achieve greater alignment with the new directives introduced by the "Guidelines for banks on non-performing loans (NPL)" issued by the ECB in 2017, the Group carried out an activity to adapt internal regulations, credit processes and applications, which concerned in particular the refinement of the criteria for NPL provisions, the introduction of a new decision tree on forbearance measures, the adoption of new criteria for the management of appraisals on real estate collateral and a more precise definition of the internal rules on write-offs.
Application of the above resulted in higher adjustments to the Group's non-performing loans for a total of Euro 18.2 million.

2.4 Impaired financial assets

Impaired financial assets are managed by the classification thereof within risk categories established by supervisory regulations based on the risk profile attributed thereto.

The classification of each anomalous position is decided both automatically and by means of an analysis described in an internal regulation that governs in detail the transfer of a counterparty to a certain administrative position when a certain deterioration of its credit quality has occurred.
The classifications of the positions within problem items, when not automatic, takes place on the basis of subjective performance assessments based on monitoring of the credit chain. The tools that we have available make it possible to identify on a timely basis any signs of deterioration in risk relationships, allowing punctual analysis of the credit worthiness and classification of the position to the correct category of risk.
The consistency of the classification of a position in the right risk category, with respect to internal rules and Bank of Italy regulations, is also ensured by second-level checks that, by applying a suitable method, verify not only that classifications are correct, but also the adequacy of provisions, the presence of first-level controls and the effectiveness of recovery processes, so as to ensure strong supervision throughout the entire credit chain. The improvement in the risk profile of counterparties leads to a transfer to better internal classifications; after the completion of subjective and analytical assessments; this may result, in the final analysis, a return to "performing" status.

2.5 Forborne exposures

On 9 January 2015 the European Commission approved the Implementing Regulation 227/2015, published in the Official Journal of the European Union on 20 February 2015, which transposed the "Implementing Technical Standards" that the EBA issued in 2013 containing the definition of non-performing exposures and forbearance.
Forbearance measures (or "concessions") are the modification of the terms and conditions of a contract or its refinancing, granted to a counterparty in financial difficulties that could have negative effects on its ability to meet its originally assumed contractual commitments and that would not have been granted to another borrower with a similar risk profile not in financial difficulties.

Quantitative information

A. Credit Quality

A.1 Non-performing and performing exposures: amounts, adjustments, trends, economic and territorial distribution

A.1.1 Distribution of credit exposure by portfolio and quality of lending (book values)

Portfolio/quality		Bad loans	Unlikely to pay exposures	Impaired past due exposures	Not impaired past due exposures	Performing exposures	Total
1. Financial assets available for sale		-	-	-	-	11,550,167	11,550,167
2. Financial assets held to maturity		-	-	-	-	2,637,135	2,637,135
3. Due from banks		-	47	-	91	3,012,377	3,012,515
4. Loans to customers		2,893,206	2,416,300	93,214	780,280	41,631,808	47,814,808
5. Financial assets designated at fair value		-	-	-	-	27,641	27,641
6. Financial assets being sold		-	-	-	-	-	-
Total	**31.12.2017**	**2,893,206**	**2,416,347**	**93,214**	**780,371**	**58,859,128**	**65,042,266**
Total	**31.12.2016**	**3,009,222**	**3,042,720**	**145,375**	**918,930**	**52,115,476**	**59,231,723**

The following table analyses, portfolio by portfolio, the maturities of loans that are past due but not impaired, as required by IFRS 7, paragraph 37.

Portfolio/Quality	Other assets not overdue	Not impaired Past due loans			
		Past due up to 3 months	Past due from 3 to 6 months	Past due from 6 to 12 months	Past due for over 1 year
3. Due from banks	3,012,377	91	-	-	-
4. Loans to customers	41,631,808	655,559	76,577	40,288	7,856
Total	**44,644,185**	**780,371**			

A.1.2 Distribution of credit exposures by portfolio and quality of lending (gross and net values)

Portfolio/quality		Non-performing loans			Performing loans			Total
		Gross exposure	Specific provisions	Net exposure	Gross exposure	Collective portfolio provisions	Net exposure	(Net exposure)
1. Financial assets available for sale		-	-	-	11,550,167	-	11,550,167	11,550,167
2. Financial assets held to maturity		-	-	-	2,637,135	-	2,637,135	2,637,135
3. Due from banks		58	11	47	3,012,468	-	3,012,468	3,012,515
4. Loans to customers		10,531,682	5,128,962	5,402,720	42,637,647	225,559	42,412,088	47,814,808
5. Financial assets designated at fair value		-	-	-	#	#	27,641	27,641
6. Financial assets being sold		-	-	-	-	-	-	-
Total	**31.12.2017**	**10,531,740**	**5,128,973**	**5,402,767**	**59,837,417**	**225,559**	**59,639,499**	**65,042,266**
Total	**31.12.2016**	**11,173,567**	**4,976,250**	**6,197,317**	**53,218,456**	**184,050**	**53,034,406**	**59,231,723**

Derecognised bad loans to customers involved in insolvency proceedings amount to € 858,628 thousand. As also indicated in paragraph 6.1 of the directors' report on Group operations, for the purpose of determining the actual level of coverage of bad loans the above mentioned derecognised loans need to be taken into account.

Details of counterparties	Total write-offs
Financial businesses	11,413
- of which: financial and non resident companies	-
Non financial companies	790,983
- of which: non financial and non resident companies	201
Households	56,232
- of which: non resident households	-
Total	**858,628**
- of which: non resident	**201**

Previous write-offs do not include those carried out during the year on bad loans as part of credit extinction events, also reported in the tables A.1.7 and A.1.8, as detailed below.

Category	Total gross write-offs
Financial businesses	14,583
- of which: financial and non resident companies	-
Non financial companies	205,711
- of which: non financial and non resident companies	140
Households	104,117
- of which: non resident households	5,620
Total	**324,411**
- of which: non resident	**5,760**

The amounts shown above are gross of default interest.

Previous write-offs do not include those carried out during the year on bad loans as part of credit extinction events, also reported in the tables A.1.7 and A.1.8, as detailed below.

Portfolio/quality		Low credit quality assets		Other activities
		Cumulated losses	Net exposures	Net exposure
1. Financial assets held for trading		196	543	476,088
2. Hedging derivatives		-	-	54,061
Total	**31.12.2017**	**196**	**543**	**530,149**
Total	**31.12.2016**	**1,110**	**2,515**	**602,264**

A.1.3 Banking group - Cash and off-balance sheet exposures to banks: gross and net values and past-due buckets

Type of exposure/Amounts	Gross exposure					Specific provisions	Collective portfolio provisions	Net exposure
	Non-performing loans				Performing loans			
	up to 3 months	from 3 to 6 months	from 6 months to 1 year	over 1 year				
A. Cash exposures								
a) Bad loans	-	-	-	-	#	-	#	-
- of which: forborne exposures	-	-	-	-	#	-	#	-
b) Unlikely to pay loans	58	-	-	-	#	11	#	47
- of which: forborne exposures	-	-	-	-	#	-	#	-
c) Impaired past due loans	-	-	-	-	#	-	#	-
- of which: forborne exposures	-	-	-	-	#	-	#	-
d) Not impaired past due loans	#	#	#	#	91	#	-	91
- of which: forborne exposures	#	#	#	#	-	#	-	-
e) Other performing assets	#	#	#	#	8,981,605	#	-	8,981,605
- of which: forborne exposures	#	#	#	#	-	#	-	-
Total A	**58**	**-**	**-**	**-**	**8,981,696**	**11**	**-**	**8,981,743**
B. Off-balance sheet exposures								
a) Non-performing exposures	-	-	-	-	#	-	#	-
b) Performing exposures	#	#	#	#	519,830	#	-	519,830
Total B	**-**	**-**	**-**	**-**	**519,830**	**-**	**-**	**519,830**
Total (A+B)	**58**	**-**	**-**	**-**	**9,501,526**	**11**	**-**	**9,501,573**

A.1.4 Banking Group - On-Balance Sheet credit exposures to banks: gross change in non-performing exposures

Description/categories	Bad loans	Unlikely to pay loans	Impaired past due loans
A. Opening balance - gross exposure	**-**	**1**	**4**
- of which: assets sold but not derecognised	-	-	-
B. Increases	**-**	**57**	**-**
B.1 transfers from performing exposures	-	53	-
B.2 transfer from other non-performing exposure categories	-	4	-
B.3 other increases	-	-	-
C. Reductions	**-**	**-**	**4**
C.1 transfers to performing exposures	-	-	-
C.2 derecognised items	-	-	-
C.3 recoveries	-	-	-
C.4 sales proceeds	-	-	-
C.5 bis losses from disposal	-	-	-
C.6 transfer to other non-performing exposure categories	-	-	4
C.7 other reductions	-	-	-
D. Gross exposure closing balance	**-**	**58**	**-**
- of which: assets sold but not derecognised	-	-	-

A.1.5 Banking Group - Non performing balance sheet credit exposures to banks: change in overall impairments

Description/categories	Bad loans		Unlikely to pay loans		Impaired past due loans	
	Total	of which: forborne exposures	Total	of which: forborne exposures	Total	of which: forborne exposures
A. Opening gross write-downs	-	-	-	-	-	-
- of which: assets sold but not derecognised	-	-	-	-	-	-
B. Increases	-	-	11	-	-	-
B.1 write-downs	-	-	11	-	-	-
B.2 lost from disposals	-	-	-	-	-	-
B.3 transfer from other non-performing exposure categories	-	-	-	-	-	-
B.4 other increases	-	-	-	-	-	-
C. Reductions	-	-	-	-	-	-
C.1 write-backs from assessments	-	-	-	-	-	-
C.2 write-backs from recoveries	-	-	-	-	-	-
C.3 profit from disposals	-	-	-	-	-	-
C.4 write-offs	-	-	-	-	-	-
C.5 transfer to other non-performing exposure categories	-	-	-	-	-	-
C.6 other reductions	-	-	-	-	-	-
D. Final gross write-downs	-	-	11	-	-	-
- of which: assets sold but not derecognised	-	-	-	-	-	-

A.1.6 Banking group - Cash and off-balance sheet credit exposures to customers: gross and net values and past-due buckets

Type of exposure/Amounts	Gross exposure					Specific provisions	Collective Portfolio provisions	Net exposure
	Non-performing loans				Performing loans			
	up to 3 months	from over 3 to 6 months	from over 6 months to 1 year	over 1 year				
A. Cash exposures								
a) Bad loans	6,664	340	2,895	7,099,252	#	4,215,945	#	2,893,206
- of which: forborne exposures	-	-	-	899,020	#	418,998	#	480,022
b) Unlikely to pay loans	1,314,447	140,825	459,680	1,403,315	#	901,967	#	2,416,300
- of which: forborne exposures	920,973	79,868	239,728	450,044	#	412,595	#	1,278,018
c) Impaired past due loans	16,382	30,960	39,138	17,784	#	11,050	#	93,214
- of which: forborne exposures	169	3,075	681	184	#	462	#	3,647
d) Not impaired past due loans	#	#	#	#	794,796	#	14,516	780,280
- of which: forborne exposures	#	#	#	#	63,043	#	1,824	61,219
e) Other assets	#	#	#	#	50,436,664	#	211,043	50,225,621
- of which: forborne exposures	#	#	#	#	782,123	#	11,238	770,885
Total A	**1,337,493**	**172,125**	**501,713**	**8,520,351**	**51,231,460**	**5,128,962**	**225,559**	**56,408,621**
B. Off-Balance Sheet exposure								
a) Non-performing loans	183,836	-	-	-	#	48,784	#	135,052
b) Other	#	#	#	#	3,380,882	#	31,932	3,348,950
Total B	**183,836**	**-**	**-**	**-**	**3,380,882**	**48,784**	**31,932**	**3,484,002**
Total (A+B)	**1,521,329**	**172,125**	**501,713**	**8,520,351**	**54,612,342**	**5,177,746**	**257,491**	**59,892,623**

The table includes the exposure to impaired loans deriving from the business combination on the acquisition of Nuova Cassa di Risparmio di Ferrara. In particular, the total gross amount, € 65,486 thousand, is covered by impairment adjustments of € 49,800 thousand.
Note that the "Up to 3 months" period includes non-performing exposures with forbearance measures, which in the cure period do not have any past due amounts, for Italian Group banks, for a gross value of € 738,420 thousand (€ 567,410 thousand of net exposure).

Details of impairment losses on an analytical and collective basis on performing and non-performing loans are provided below.

	Non-performing loans				Performing assets		
	Gross exposure	Specific adjustments - specific measurement	Specific adjustments - automatic measurement	Net exposure	Gross exposure	Collective portfolio adjustments	Net exposure
On-balance sheet credit exposures to customers (Loans and debt securities)	**10,531,681**	**4,889,359**	**239,603**	**5,402,719**	**42,637,649**	**225,559**	**42,412,090**
Governments and other public entities	15,983	2,554	138	13,291	2,317,697	13,398	2,304,299
Financial businesses	255,709	156,486	3,075	96,148	3,140,502	6,981	3,133,521
Non-financial companies	8,217,393	3,823,460	137,742	4,256,191	21,904,652	161,417	21,743,235
Individuals and family businesses	2,042,596	906,859	98,648	1,037,089	15,274,798	43,763	15,231,035

The figures in the table above refer to caption 70 "Loans to customers" at 31 December 2017.

A.1.7 Banking group - Cash credit exposures to customers: dynamics of gross non-performing loans

Description/categories	Bad loans	Unlikely to pay loans	Impaired past due loans
A. Opening gross exposure	**7,039,097**	**3,976,794**	**157,671**
- of which: sold but not derecognised	-	-	-
B. Increases	**886,969**	**1,213,903**	**147,633**
B.1 transfers from performing loans	87,860	646,878	106,401
B.2 transfers from other non-performing exposure categories	664,189	100,354	5,948
B.3 other increases	134,920	466,671	35,284
- of which business combinations	32,091	29,505	3,890
C. Decreases	**816,915**	**1,872,430**	**201,040**
C.1 transfers to performing loans	1,446	423,520	52,107
C.2 write-offs	324,411	20,312	28
C.3 collections	267,967	719,086	44,201
C.4 proceeds from disposals	75,497	25,738	118
C.5 losses from disposals	130,387	28,493	-
C.6 transfers to other non-performing exposure categories	13,022	652,883	104,586
C.7 other decreases	4,185	2,398	-
D. Closing gross exposure	**7,109,151**	**3,318,267**	**104,264**
- of which: assets sold but not derecognised	-	-	-

A.1.7 bis Banking Group - On-Balance Sheet credit exposures to banks: gross change in non-performing exposures

Description/Quality	Non-performing forborne exposures	Performing forborne exposures
A. Opening balance - gross exposure	**2,693,560**	**911,951**
- of which: assets sold but not derecognised	-	-
B. Increases	**852,095**	**706,876**
B.1 transfers from performing not forborne	227,573	268,162
B.2 transfers from performing forborne	119,835	#
B.3 transfers from non-performing forborne	#	211,109
B.4 other increases	504,687	227,605
C. Reductions	**951,913**	**773,661**
C.1 transfers to performing not forborne	#	309,779
C.2 transfers to performing forborne	211,109	#
C.3 transfers from non-performing forborne	#	119,835
C.4 write-offs	13,740	-
C.5 collections	468,274	341,876
C.6 proceeds from disposals	15,747	-
C.7 losses from disposals	24,379	-
C.8 transfers to other categories of impaired exposures	218,664	2,171
D. Gross exposure closing balance	**2,593,742**	**845,166**
- of which: assets sold but not derecognised	-	-

A.1.8 Banking group - Cash credit exposures to customers: dynamics of total write-downs

Description/categories	Bad loans		Unlikely to pay loans		Impaired past due loans	
	Total	of which: forborne exposures	Total	of which: forborne exposures	Total	of which: forborne exposures
A. Total opening adjustments	**4,029,875**	**313,932**	**934,075**	**400,339**	**12,300**	**214**
- of which: sold but not derecognised	-	-	-	-	-	-
B. Increases	**961,042**	**173,167**	**390,444**	**185,919**	**10,567**	**443**
B.1 adjustments	709,863	124,085	352,714	185,375	9,116	102
B.2 loss from disposals	16,784	-	2,088	-	-	-
B.3 transfer from other non-performing exposure categories	194,424	49,082	8,590	255	717	29
B.4 other increases	39,971	-	27,052	289	734	312
C. Reductions	**774,972**	**68,101**	**422,552**	**173,663**	**11,817**	**195**
C.1 write-backs on valuation	212,037	45,550	118,060	61,352	3,334	22
C.2 write-backs due to collections	100,654	7,071	62,142	39,667	245	12
C.3 profit from disposals	2,275	-	-	-	-	-
C.4 write-offs	324,411	8,832	20,312	4,908	28	-
C.5 transfer to other non-performing exposure categories	2,001	-	193,520	49,095	8,210	161
C.6 other decreases	133,594	6,648	28,518	18,641	-	-
D. Total closing adjustments	**4,215,945**	**418,998**	**901,967**	**412,595**	**11,050**	**462**
- of which: sold but not derecognised	-	-	-	-	-	-

The other increases include adjustments made to the impaired loans recognised on the consolidation of Nuova Cassa di Risparmio di Ferrara (bad loans, € 26,230 thousand; unlikely-to-pay loans, € 22,920 thousand; past due non-performing loans, € 619 thousand).
The adjustments (B.1) include default interest accrued in the period (€ 17,132 thousand), but which has not been recognised in the income statement in accordance with IAS 18.
Writebacks also take into account prior year default interest that has been collected for an amount of € 3,002 thousand.

Determination of impairment of performing loans ("collective" method)

Banks that are aligned to the Group's IT system

The methods used for the determination of collective impairment have been determined by the Parent Company and provide for the calculation of collective impairment at the level of individual exposure by applying this formula:

IMPAIRMENT=EXP*PD*LGD

- EXP = gross book value in the case of cash exposures; nominal value multiplied by the regulatory credit equivalent (standard method) in the case of off-balance sheet exposures;
- PD = a figure that estimates the probability of default at 1 year. The PDs associated with internal official ratings are used;
- LGD = Rate of loss in case of default. The LGD estimated by the internal models developed as part of the Basel 2 project is applied, less the downturn component and indirect costs (LGD for management purposes).

Banks and non-banking companies that are not aligned to the Group's IT system

The method used for determining collective impairment is managed by each Group company not aligned to the IT system on the basis of its own internal estimates.

A.2 Classification of exposures based on external and internal ratings

A.2.1 Banking group – Distribution of cash and "off-balance sheet" exposures by external rating class

Exposures	External rating class						Total
	AAA/AA-	A+/A-	BBB+/BBB-	BB+/BB-	B+/B-	Below B-	
A. Cash exposures	644,805	6,953,480	1,172,486	520,657	594,758	90,049	9,976,235
B. Derivatives	14	305	2,119	563	-	-	3,001
B.1 Financial derivatives	14	305	2,119	563	-	-	3,001
B.2 Credit derivatives	-	-	-	-	-	-	-
C. Guarantees given	3,307	244,129	97,338	24,750	11,479	-	381,003
D. Commitments to make loans	-	30,350	174,128	1,572	-	5,047	211,097
E. Other	-	-	-	-	-	-	-
Total	**648,126**	**7,228,264**	**1,446,071**	**547,542**	**606,237**	**95,096**	**10,571,336**

	With external rating	Unrated	Total
A. Cash exposures	9,976,235	55,761,210	65,737,445
B+C+D+E. Off-balance sheet exposures	595,101	3,408,731	4,003,832
Total	**10,571,336**	**59,169,941**	**69,741,277**

The following rating agencies are used: Scope Ratings for exposures to central administrations, CERVED GROUP for exposures to businesses, FITCH for exposures deriving from securitisations.

A.2.2 Banking group - Distribution of cash and "off-balance sheet" exposures by internal rating class

Exposure to individuals:

Exposures	Internal rating class						
	1	2	3	4	5	6	7
A. Cash exposures	2,170,483	1,618,619	1,720,216	1,878,437	2,740,041	1,176,883	957,838
B. Derivatives	26	32	-	35	74	37	-
B.1 Financial derivatives	26	32	-	35	74	37	-
B.2 Credit derivatives	-	-	-	-	-	-	-
C. Guarantees given	8,340	13,839	19,544	25,283	19,431	46,718	19,576
D. Commitments to make loans	10,791	6,215	8,853	12,419	8,265	3,754	4,026
E. Other							
Total	**2,189,640**	**1,638,705**	**1,748,613**	**1,916,174**	**2,767,811**	**1,227,392**	**981,440**

Exposures	Internal rating class						
	8	9	10	11	12	13	Totale
A. Cash exposures	575,325	340,523	232,547	166,250	67,167	180,179	13,824,508
B. Derivatives	-	-	22	-	-	-	226
B.1 Financial derivatives	-	-	22	-	-	-	226
B.2 Credit derivatives	-	-	-	-	-	-	-
C. Guarantees given	15,270	8,096	4,605	3,034	1,261	4,221	189,218
D. Commitments to make loans	868	643	620	144	212	128	56,938
E. Other							
Total	**591,463**	**349,262**	**237,794**	**169,428**	**68,640**	**184,528**	**14,070,890**

Exposure to companies:

Exposures	Internal rating class						
	1	2	3	4	5	6	7
A. Cash exposures	1,335,701	1,690,948	2,435,940	2,719,512	2,929,835	1,572,933	555,553
B. Derivatives	1,848	1,556	1,872	10,398	16,767	6,219	4,663
B.1 Financial derivatives	1,848	1,556	1,872	10,398	16,767	6,219	4,663
B.2 Credit derivatives	-	-	-	-	-	-	-
C. Guarantees given	201,962	193,879	244,948	205,967	114,754	59,742	57,089
D. Commitments to make loans	6,664	14,947	63,444	25,978	28,670	61,788	8,477
E. Other	-	-	-	-	-	-	-
Total	**1,546,175**	**1,901,330**	**2,746,204**	**2,961,855**	**3,090,026**	**1,700,682**	**625,782**

Exposures	Internal rating class						
	8	9	10	11	12	13	Totale
A. Cash exposures	415,289	196,214	108,735	66,860	49,717	53,496	14,130,733
B. Derivatives	236	5	243	-	-	540	44,347
B.1 Financial derivatives	236	5	243	-	-	540	44,347
B.2 Credit derivatives	-	-	-	-	-	-	-
C. Guarantees given	19,045	9,877	4,424	2,304	8,054	9,205	1,131,250
D. Commitments to make loans	3,787	3,173	1,261	253	6,308	1,321	226,071
E. Other	-	-	-	-	-	-	-
Total	438,357	209,269	114,663	69,417	64,079	64,562	15,532,401

Exposure to large businesses:

Exposures	Internal rating class						
	1	2	3	4	5	6	7
A. Cash exposures	87,959	423,148	797,315	1,015,210	1,005,673	447,417	162,871
B. Derivatives	269	366	2,001	1,239	817	292	88
B.1 Financial derivatives	269	366	2,001	1,239	817	292	88
B.2 Credit derivatives	-	-	-	-	-	-	-
C. Guarantees given	47,127	144,714	201,830	201,848	157,066	114,337	29,737
D. Commitments to make loans	-	25,046	5,224	20,552	3,942	90,884	563
E. Other	-	-	-	-	-	-	-
Total	135,355	593,274	1,006,370	1,238,849	1,167,498	652,930	193,259

Exposures	Internal rating class						
	8	9	10	11	12	13	Totale
A. Cash exposures	157,166	43,561	94,232	29,372	29,712	4,453	4,298,089
B. Derivatives	418	361	-	-	-	-	5,851
B.1 Financial derivatives	418	361	-	-	-	-	5,851
B.2 Credit derivatives	-	-	-	-	-	-	-
C. Guarantees given	24,850	3,567	10,407	332	524	49,402	985,741
D. Commitments to make loans	409	163	-	-	-	-	146,783
E. Other	-	-	-	-	-	-	-
Total	182,843	47,652	104,639	29,704	30,236	53,855	5,436,464

	With external rating	Unrated	Total
A. Cash exposures	32,253,330	33,137,034	65,390,364
B+C+D+E. Off-balance sheet exposures	2,786,425	1,217,407	4,003,832
Total	35,039,755	34,354,441	69,394,196

On 24 June 2016, the ECB authorised the Group to use the IRB Advanced Method (PD, LGD, EAD parameters) for the quantification of the capital requirement for customers' credit risk from 30 June 2016.
The internal rating classes are shown as they are used in the management of credit risk.
The Group's rating system for the valuation of counterparties is divided into a Large Corporate model, a Corporate model and an Individuals model. Creditworthiness classifications are represented by 13 rating classes regarding performing counterparties, differentiated by risk segment, and by a class relating to default. In turn, the 13 rating classes have been grouped into 5 operational classes, which indicate aggregate risk levels:

OPERATIONAL CLASSES (of risk)	RATING CLASSES
HIGH	10 - 11 - 12 - 13
SIGNIFICANT	8-Sep
AVERAGE	5 - 6 - 7
LOW	3- 4
VERY LOW	1 - 2

Cash exposures include all financial assets held on a cash basis whatever their accounting allocation portfolio is (measured at fair value, available for sale, held to maturity, loans), with the exception of equity instruments and UCITS units, as a PD-LGD approach is not used in their case; "off-balance sheet" exposures include all financial transactions other than cash transactions (guarantees given, commitments, derivatives) that involve the assumption of a credit risk, whatever the purpose of such transactions is (trading, hedging, etc.)

A.3 Distribution of guaranteed exposures by type of guarantee

A.3.1 Banking group - Guaranteed credit exposures to banks

	Amount of net exposure	Real guarantees (1)			
		Property - mortgages	Properties under finance leases	Securities	Other secured guarantees
1. Guaranteed cash exposures:	**338,049**	**-**	**-**	**299,762**	**-**
1.1. fully guaranteed	338,049	-	-	299,762	-
- of which: non-performing exposures	-	-	-	-	-
1.2. partially guaranteed	-	-	-	-	-
- of which: non-performing exposures	-	-	-	-	-
2. Guaranteed off-balance sheet credit exposures:	**21,040**	**-**	**-**	**-**	**-**
2.1. fully guaranteed	20,993	-	-	-	-
- of which: non-performing exposures	-	-	-	-	-
2.2. partially guaranteed	47	-	-	-	-
- of which: non-performing exposures	-	-	-	-	-

(cont.)

	Personal guarantees (2)									Total (1)+(2)
	Credit derivatives					Endorsement credits				
		Other derivatives								
	CLN	Governments and central banks	Other public entities	Banks	Other parties	Governments and central banks	Other public entities	Banks	Other parties	
1. Guaranteed cash exposures:	**-**	**-**	**-**	**-**	**-**	**36,146**	**-**	**1,878**	**-**	**337,786**
1.1. fully guaranteed	-	-	-	-	-	36,146	-	1,878	-	337,786
- of which: non-performing exposures	-	-	-	-	-	-	-	-	-	-
1.2. partially guaranteed	-	-	-	-	-	-	-	-	-	-
- of which: non-performing exposures	-	-	-	-	-	-	-	-	-	-
2. Guaranteed off-balance sheet credit exposures:	**-**	**-**	**-**	**-**	**-**	**20,553**	**-**	**195**	**292**	**21,040**
2.1. fully guaranteed	-	-	-	-	-	20,553	-	195	245	20,993
- of which: non-performing exposures	-	-	-	-	-	-	-	-	-	-
2.2. partially guaranteed	-	-	-	-	-	-	-	-	47	47
- of which: non-performing exposures	-	-	-	-	-	-	-	-	-	-

A.3.2 Banking group - Guaranteed credit exposures to customers

	Amount of net exposure	Real guarantees (1)			
		Property - mortgages	Properties under finance leases	Securities	Other secured guarantees
1. Guaranteed cash exposures:	**31,611,458**	**19,701,567**	**2,241,201**	**707,283**	**1,537,918**
1.1. fully guaranteed	28,946,131	19,213,733	2,241,201	557,965	1,483,231
- of which: non-performing exposures	4,173,255	2,976,073	459,296	9,366	77,958
1.2. partially guaranteed	2,665,327	487,834	-	149,318	54,687
- of which: non-performing exposures	614,821	312,086	-	5,688	6,868
2. Guaranteed off-balance sheet credit exposures:	**1,076,804**	**12,111**	**-**	**76,536**	**75,709**
2.1. fully guaranteed	750,313	5,889	-	52,690	59,421
- of which: non-performing exposures	47,470	498	-	1,363	5,041
2.2. partially guaranteed	326,491	6,222	-	23,846	16,288
- of which: non-performing exposures	9,548	407	-	270	30

(cont.)

	Personal guarantees (2)									Total (1)+(2)
	Credit derivatives					Endorsement credits				
		Other derivatives								
	CLN	Governments and central banks	Other public entities	Banks	Other parties	Governments and central banks	Other public entities	Banks	Other parties	
1. Guaranteed cash exposures:	**-**	**-**	**-**	**-**	**-**	**34,524**	**621,545**	**54,134**	**5,750,229**	**30,648,401**
1.1. fully guaranteed	-	-	-	-	-	13,797	312,455	45,511	5,055,663	28,923,556
- of which: non-performing exposures	-	-	-	-	-	733	12,483	5,963	627,895	4,169,767
1.2. partially guaranteed	-	-	-	-	-	20,727	309,090	8,623	694,566	1,724,845
- of which: non-performing exposures	-	-	-	-	-	1,002	6,069	207	134,964	466,884
2. Guaranteed off-balance sheet credit exposures:	**-**	**-**	**-**	**-**	**-**	**749**	**1,153**	**13,587**	**839,791**	**1,019,636**
2.1. fully guaranteed	-	-	-	-	-	-	-	10,987	621,325	750,312
- of which: non-performing exposures	-	-	-	-	-	-	-	-	40,568	47,470
2.2. partially guaranteed	-	-	-	-	-	749	1,153	2,600	218,466	269,324
- of which: non-performing exposures	-	-	-	-	-	-	-	-	7,424	8,131

B. Distribution and concentration of credit exposures

B.1 Banking Group - Distribution by sector of cash and “off-balance sheet” exposures to customers (book value)

Exposures/Counterparts	Governments			Other Pubblic Entities			Financial businesses		
	Net exposure	Specific provisions	Collective portfolio provisions	Net exposure	Specific provisions	Collective portfolio provisions	Net exposure	Specific provisions	Collective portfolio provisions
A. Cash exposure									
A.1 Bad loans	-	-	#	22	83	#	28,985	105,124	#
- of which: forborne exposures	-	-	#	-	-	#	6,549	8,538	#
A.2 Unlikelyt to pay loans	-	1	#	4,445	1,141	#	67,125	54,413	#
- of which: forborne exposures	-	-	#	2,107	239	#	47,011	22,078	#
A.3 Impaired past due loans	1	-	#	8,823	1,467	#	39	24	#
- of which: forborne exposures	-	-	#	-	-	#	-	-	#
A.5 Performing exposures	7,998,802	#	10	590,068	#	13,388	4,638,828	#	6,976
- of which: forborne exposures	-	#	-	10,913	#	290	55,644	#	610
Total A	**7,998,803**	**1**	**10**	**603,358**	**2,691**	**13,388**	**4,734,977**	**159,561**	**6,976**
B. Off-Balance Sheet exposures									
B.1Bad loans	-	-	#	-	-	#	21	105	#
B.2 Unlikely to pay loans	-	-	#	34	2	#	1,490	32	#
B.3 Other impaired loans	-	-	#	-	-	#	-	-	#
B.4 Performing exposures	76,974	#	-	20,276	#	18	303,857	#	915
Total B	**76,974**	**-**	**-**	**20,310**	**2**	**18**	**305,368**	**137**	**915**
Total (A+B) 31.12.2017	**8,075,777**	**1**	**10**	**623,668**	**2,693**	**13,406**	**5,040,345**	**159,698**	**7,891**
Total (A+B) 31.12.2016	**8,145,051**	**-**	**-**	**514,479**	**943**	**5,107**	**4,264,915**	**200,685**	**5,574**

(cont.)

Exposures/Counterparts	Insurance companies			Non-financial companies			Other entities		
	Net exposure	Specific provisions	Collective portfolio provisions	Net exposure	Specific provisions	Collective portfolio provisions	Net exposure	Specific provisions	Collective portfolio provisions
A. Cash exposure									
A.1 Bad loans	-	-	#	2,531,349	3,670,983	#	332,850	439,755	#
- of which: forborne exposures	-	-	#	410,837	338,207	#	62,636	72,253	#
A.2 Unlikelyt to pay loans	-	-	#	2,077,604	767,348	#	267,126	79,064	#
- of which: forborne exposures	-	-	#	1,112,449	356,337	#	116,451	33,941	#
A.3 Impaired past due loans	-	-	#	66,302	7,233	#	18,049	2,326	#
- of which: forborne exposures	-	-	#	3,256	418	#	391	44	#
A.5 Performing exposures	83,950	#	5	25,385,484	#	175,871	12,308,769	#	29,309
- of which: forborne exposures	-	#	-	603,526	#	10,573	162,021	#	1,589
Total A	**83,950**	**-**	**5**	**30,060,739**	**4,445,564**	**175,871**	**12,926,794**	**521,145**	**29,309**
B. Off-Balance Sheet exposures									
B.1Bad loans	-	-	#	14,159	32,581	#	147	202	#
B.2 Unlikely to pay loans	-	-	#	114,193	15,549	#	4,177	187	#
B.3 Other impaired loans	-	-	#	727	122	#	104	4	#
B.4 Performing exposures	10,901	#	4	2,763,983	#	4,917	152,102	#	26,078
Total B	**10,901**	**-**	**4**	**2,893,062**	**48,252**	**4,917**	**156,530**	**393**	**26,078**
Total (A+B) 31.12.2017	**94,851**	**-**	**9**	**32,953,801**	**4,493,816**	**180,788**	**13,083,324**	**521,538**	**55,387**
Total (A+B) 31.12.2016	**205,315**	**-**	**5**	**32,246,688**	**4,285,028**	**157,942**	**11,647,323**	**532,970**	**28,969**

B.2 Banking Group - Territorial distribution of the cash and "off-balance sheet" exposure to customers (book value)

Exposures/Geographical area	Italy		Other european countries		America		Asia		Rest of the world	
	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs
A. Cash exposure										
A.1 Bad loans	2,885,100	4,192,286	8,061	23,200	44	432	-	9	1	18
A.2 Unlikely to pay loans	2,367,229	860,011	47,042	40,066	1,903	1,776	10	11	116	103
A.3 Impaired past due loans	91,890	11,004	1,324	41	-	2	-	1	-	2
A.5 Performing exposures	47,640,308	223,980	2,018,782	855	1,131,327	67	152,823	645	62,661	12
Total	**52,984,527**	**5,287,281**	**2,075,209**	**64,162**	**1,133,274**	**2,277**	**152,833**	**666**	**62,778**	**135**
B. Off-Balance Sheet exposures										
B.1 Bad Loans	14,327	32,888	-	-	-	-	-	-	-	-
B.2 Unlikely to pay loans	119,894	15,770	-	-	-	-	-	-	-	-
B.3 Other impaired loans	831	126	-	-	-	-	-	-	-	-
B.4 Performing exposures	3,163,564	31,182	160,219	750	477	-	724	-	3,109	-
Total	**3,298,616**	**79,966**	**160,219**	**750**	**477**	**-**	**724**	**-**	**3,109**	**-**
Total 31.12.2017	**56,283,143**	**5,367,247**	**2,235,428**	**64,912**	**1,133,751**	**2,277**	**153,557**	**666**	**65,887**	**135**
Total 31.12.2016	**54,315,752**	**5,127,284**	**1,581,000**	**87,020**	**966,626**	**2,767**	**99,295**	**99**	**61,098**	**53**

B.2.1 Banking Group - Territorial distribution of the cash and "off-balance sheet" exposure to customers (book value)

Exposures/Geographical area	North-West Italy		North-East Italy		Central Italy		South of Italy and islands		Rest of the world	
	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs
A. Cash exposure										
A.1 Bad loans	258,095	510,154	852,161	1,286,199	299,505	563,454	1,475,339	1,832,479	8,106	23,659
A.2 Unlikely to pay loans	252,331	92,165	878,912	385,556	335,479	112,093	900,507	270,197	49,071	41,956
A.3 Impaired past due loans	8,900	955	26,849	3,092	16,942	1,690	39,199	5,267	1,324	46
A.4 Performing exposures	6,898,212	28,984	16,631,071	53,134	11,679,560	29,236	12,431,465	112,626	3,365,593	1,579
Total	**7,417,538**	**632,258**	**18,388,993**	**1,727,981**	**12,331,486**	**706,473**	**14,846,510**	**2,220,569**	**3,424,094**	**67,240**
B. Off-Balance Sheet exposures										
B.1 Bad loans	1,315	2,716	8,556	18,288	2,971	3,422	1,485	8,462	-	-
B.2 Unlikely to pay loans	7,551	830	90,172	10,451	9,857	1,552	12,314	2,937	-	-
B.3 Other impaired loans	92	8	229	22	73	7	437	89	-	-
B.4 Performing exposures	621,653	839	1,652,766	27,391	399,317	820	489,828	2,132	164,529	750
Total	**630,611**	**4,393**	**1,751,723**	**56,152**	**412,218**	**5,801**	**504,064**	**13,620**	**164,529**	**750**
Total 31.12.2017	**8,048,149**	**636,651**	**20,140,716**	**1,784,133**	**12,743,704**	**712,274**	**15,350,574**	**2,234,189**	**3,588,623**	**67,990**
Total 31.12.2016	**7,656,150**	**641,127**	**18,718,641**	**1,675,509**	**12,828,644**	**731,859**	**15,112,317**	**2,078,789**	**2,708,019**	**89,939**

B.3 Banking Group - Territorial distribution of the cash and "off-balance sheet" exposure to banks (book value)

Exposures/Geographic Area	Italy		Other EU countries		America		Asia		Rest of the world	
	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs
A. Balance Sheet exposures										
A.1 Bad loans	-	-	-	-	-	-	-	-	-	-
A.2 Unlikely to pay loans	47	11	-	-	-	-	-	-	-	-
A.3 Impaired past due loans	-	-	-	-	-	-	-	-	-	-
A.4 Performing exposures	3,460,814	-	3,972,039	-	428,611	-	92,797	-	1,027,435	-
Total	**3,460,861**	**11**	**3,972,039**	**-**	**428,611**	**-**	**92,797**	**-**	**1,027,435**	**-**
B. Off-Balance Sheet exposures										
B.1 Bad loans	-	-	-	-	-	-	-	-	-	-
B.2 Unlikely to pay loans	-	-	-	-	-	-	-	-	-	-
B.3 Other impaired loans	-	-	-	-	-	-	-	-	-	-
B.4 Performing exposures	54,038	-	118,202	-	20,664	-	54,575	-	18,593	-
Total	**54,038**	**-**	**118,202**	**-**	**20,664**	**-**	**54,575**	**-**	**18,593**	**-**
Total 31.12.2017	**3,514,899**	**11**	**4,090,241**	**-**	**449,275**	**-**	**147,372**	**-**	**1,046,028**	**-**
Total 31.12.2016	**1,812,312**	**-**	**3,054,793**	**-**	**364,249**	**-**	**131,340**	**-**	**920,183**	**-**

B.3.1 Banking Group - Territorial distribution of the cash and "off-balance sheet" exposure to banks (book value)

Exposures/Geographic area	North-West Italy		North-East Italy		Central Italy		South of Italy and islands		Rest of the world	
	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs
A. Balance Sheet exposures										
A.1 Bad loans	-	-	-	-	-	-	-	-	-	-
A.2 Unlikely to pay loans	2	-	1	-	44	11	-	-	-	-
A.3 Impaired past due loans	-	-	-	-	-	-	-	-	-	-
A.Performing exposures	926,091	-	200,547	-	2,333,285	-	891	-	5,520,882	-
Total A	**926,093**	**-**	**200,548**	**-**	**2,333,329**	**11**	**891**	**-**	**5,520,882**	**-**
B. Off-Balance Sheet exposures										
B.1 Bad loans	-	-	-	-	-	-	-	-	-	-
B.2 Unlikely to pay loans	-	-	-	-	-	-	-	-	-	-
B.3 Other impaired loans	-	-	-	-	-	-	-	-	-	-
B.4 Performing exposures	50,496	-	580	-	2,781	-	181	-	212,034	-
Total B	**50,496**	**-**	**580**	**-**	**2,781**	**-**	**181**	**-**	**212,034**	**-**
Total 31.12.2017	**976,589**	**-**	**201,128**	**-**	**2,336,110**	**11**	**1,072**	**-**	**5,732,916**	**-**
Total 31.12.2016	**866,277**	**-**	**183,364**	**-**	**761,986**	**-**	**685**	**-**	**4,470,565**	**-**

B.4 Large exposures

	31.12.2017	31.12.2016
a) Book value	15,698,094	14,164,496
b) Weighted value	3,390,273	2,839,214
c) Number	9	7

This measurement was made on the basis of the updates to Circular 285 which regulate "large exposures".
The law define as a "large exposure" the amount of cash assets at risk and off-balance sheet transactions of a single customer or group of related customers that come to 10% or more of admissible capital.
Note that repurchase agreements are included in the amount of risk activities. These transactions contribute to the value of the counterparty exposure for the amount of "securities to be received", while they contribute to the exposure after CRM and exemptions under art. 400 CRR only for the difference between the amount of "securities to be received" and the cash deposit received.
At the end of the year, there are nine "large exposures" for an overall amount of € 15,698 million, corresponding to € 3,390 million after CRM and exemptions under art. 400 CRR. Of these, repurchase agreements account for € 2,464 million and € 14 million respectively.
For an amount in excess of 70% of the total, the positions shown include the Treasury Ministry, the Ministry of Economy and Finance and the Cassa di Compensazione e Garanzia for a total exposure of € 11,024 million, € 1,086 million after CRM and exemptions.
The residual risk relates to two leading European banking groups, one of the largest global banking groups, a counterparty business and an associated company (€ 4,674 million - € 2,305 million after CRM and exemptions).

To facilitate an understanding of the degree of concentration of loans, the nominal value of major exposures has been provided.

Concentration of risks:

Reference date: 31.12.2017	Amount of the exposure	Amount of the exposure after CRM and exemptions under art. 400 CRR
First 5 exposures	13,000,364	2,048,090
First 10 exposures	16,220,850	3,646,050
First 20 exposures	19,998,382	5,701,709

Reference date: 31.12.2016	Amount of the exposure	Amount of the exposure after CRM and exemptions under art. 400 CRR
First 5 exposures	12,769,943	2,235,650
First 10 exposures	15,545,897	3,762,063
First 20 exposures	19,350,067	5,392,856

C. Securitisation transactions

Qualitative information

The primary objectives of the securitisation transactions arranged by the Group in relation to non-performing loans are:

- to improve the asset structure of the banks concerned;
- to facilitate loan recovery strategies and make them more efficient (by centralising work with one group of lawyers);
- to exercise rigorous, direct control over higher risk loans, without modifying the overall risk profile.

Transactions involving performing contracts are, on the other hand, arranged in order to optimise sources of funding.

The following BPER Banca Group transactions, other than self-securitisation transactions described in the subsequent Section 3, are outstanding at 31 December 2017:

- Sardegna no. 1;
- Mutina;
- Diesis
- Casa d'Este 1
- Casa d'Este 2

Sardegna no. 1

The special purpose vehicle has issued three types of bonds, equalling the amount of the assets sold:

Disposal date:	31 December 1997
Seller:	Banco di Sardegna s.p.a.
Special purpose vehicle:	"Sardegna No. 1 Limited", with registered offices in Jersey.
Servicer:	Banco di Sardegna s.p.a.
Issue date of securities	31 December 1997
Type of transaction	Standard
Organisation	The responsible central offices provide a detailed quarterly report on the collections made during the period to Senior Management and the Group secretariat. In addition, the financial statements of the SPV are prepared each quarter by the external accountants and reviewed by management.
Internal systems for the measurement and control of risk	The recovery of loans and management of collections is carried out, in accordance with the contractually-agreed code of conduct, by an organisational unit dedicated to this task.

The operational aspects, managed by ABN Amro Bank, are summarised below:

Assets sold	Mortgage loans, Government securities
Quality of assets securitised	Non-performing
Amount of securitised assets	Mortgage loans of Euro 79,400 thousand and government securities of Euro 309,900 thousand, together totalling Euro 389,300 thousand.
Disposal price of securitised assets	The mortgage loans had a carrying amount of Euro 90.2 million; the difference (Euro 10.8 million) with respect to the disposal price (Euro 79.4 million) was charged to the income statement in the year of disposal.
Guarantees and credit lines granted by the bank	Non-performing loans are guaranteed by voluntary or judgement mortgages and represent a group of similar assets, as required by Art. 58 of the Consolidated Banking Law.
Guarantees and credit lines granted by third parties	-
Related financial transactions	-
Analysis by business sector	Not provided for non-performing loans since this would not be significant given their nature (the businesses concerned may have closed, be bankrupt or subject to other forms of court-supervised arrangements).
Analysis by geographical area	Italy. Coincides with the originator bank that sold the loans, since the operations of the bank are regional.

(in thousands)

ISIN Code	Seniority	Maturity	Issue amount	Residual balance at 31.12.2017	Rating Moody's	Rating S&P
-	Senior	Dec-02	233,600	-	Aa1	AA
XS0083054394	Mezzanine	Dec-03	136,200	-	n.r.	n.r.
XS0083054550	Junior	Dec-20	19,500	-	n.r.	n.r.
Total			**389,300**	**-**		

The Senior securities (tranche A – matured and repaid in full), denominated in US Dollars, were subscribed for by Abn Amro Bank for placement in the international markets.
The mezzanine securities (tranche B – matured and repaid in full) were subordinate to tranche A and guaranteed by Banco di Sardegna s.p.a.
For the Junior securities, the initial maturity date of the transaction was 30 December 2004, and after having been extended three times to 2008, 2012 and then to 2016, it was again postponed to 30 December 2020, as approved at a meeting of the holders of the Junior Securities held on 28 December 2016.

For aspects relating to the assessment of the class C subordinated bond (which at 31 December 2017 has a theoretical value of about Euro 35.7 million, including interest accrued to that date), it should be noted that the security was fully written down. This is because the cash flows of the underlying assets ("non-performing" mortgage loans) will not be sufficient to repay these securities on maturity, as they will be used to pay the loan granted by the Bank to reimburse the Mezzanine securities.

Mutina (transaction structured pursuant to Law no. 130 dated 30 April 1999)

Disposal date:	27 June 2002
Seller:	"Multi-originator" transaction arranged by the following Group banks: - Banca del Monte di Foggia s.p.a. (2); - Banca Popolare di Aprilia s.p.a. (4); - Banca Popolare dell'Irpinia s.p.a. (1); - Banca Popolare di Lanciano e Sulmona s.p.a.(4); - Banca Popolare del Materano s.p.a. (3); - Banca Popolare di Salerno s.p.a. (1); - Cassa di Risparmio della Provincia dell'Aquila s.p.a. (4); - Banca Popolare di Crotone s.p.a.(3); - Banca di Sassari s.p.a. (5) (1) merged with Banca della Campania s.p.a. on 23/06/03 (2) merged with Banca della Campania s.p.a. on 28/12/06 (3) merged with Banca popolare del Mezzogiorno on 03/11/08. (4) now part of BPER as a result of the merger on 27/05/13. (1)(2)(3) Banca della Campania and Banca Popolare del Mezzogiorno are now part of BPER as a result of the merger on 24/11/2014. (5) On 23 May 2016 Banco di Sardegna acquired a business unit of Banca di Sassari, that includes this type.
Special purpose vehicle:	Mutina s.r.l., with registered offices in Modena. Held 100% by BPER Banca (as a result of the merger of Em.Ro. popolare s.p.a. and Meliorbanca s.p.a. in 2012).
Servicer:	Nettuno Gestione Crediti s.p.a. as Master Servicer; the originator banks are used as sub-servicers. Until 31 December 2015, the Parent Company BPER was the back-up servicer. The new "Master Servicing Agreement" was signed on 15 December 2015, providing for the appointment of BPER (former back-up servicer) as a new Master Servicer in place of Nettuno Gestione Crediti s.p.a., with effect from 1 January 2016.

Issue date of securities	20 March 2003
Type of transaction	Standard
Organisation	Commencing from the closing date, the Master Servicer prepares quarterly and six-monthly statements that are provided to the vehicle company. The reports discuss the activities performed and the collections, with details of interest and principal payments made. This information is also provided regularly to General Management and the administrative bodies of the Parent Company, BPER. The Master Servicer ensures that the proper disclosures required by the Bank of Italy are made to the Central Risks database and for supervisory purposes.
Internal systems for the measurement and control of risk	The recovery of loans and management of collections is carried out, in accordance with the contractually-agreed code of conduct, by an organisational unit dedicated to this task.

The operational aspects are summarised below:

Assets sold	Loans of banking origin
Quality of assets securitised	Non-performing
Amount of securitised assets	The carrying amount of the loans portfolio was Euro 840,160,206.
Disposal price of securitised assets	The disposal price was Euro 412,514,712.
Guarantees and credit lines granted by the bank	Liquidity line equal to 20% of the amount of the Senior securities issued.
Guarantees and credit lines granted by third parties	None.
Related financial transactions	Limited recourse loan in the form of government securities representing 120% of the amount of the Senior securities issued.
Analysis by business sector	Not provided for non-performing loans since this would not be significant given their nature (the businesses concerned may have closed, be bankrupt or subject to other forms of court-supervised arrangements).
Analysis by geographical area	The securitised loans were made to parties resident in Italy, mainly in the central and southern regions of the country.

The special purpose vehicle has issued the following 10 bonds in two categories, Senior and Junior.

(in thousands)

ISIN Code	Seniority	Maturity	Issue amount	Residual balance at 31.12.2017	Rating Fitch	Rating S&P
IT0003444327	Senior	Aug-09	228,000	-	AA-	A+
IT0003444350	Junior	Feb-19	12,069	2,054	n.r.	n.r.
IT0003444376	Junior	Feb-19	12,143	7,251	n.r.	n.r.
IT0003444392	Junior	Feb-19	24,001	13,704	n.r.	n.r.
IT0003444459	Junior	Feb-19	61,830	38,903	n.r.	n.r.
IT0003444509	Junior	Feb-19	9,987	198	n.r.	n.r.
IT0003444517	Junior	Feb-19	10,487	10,487	n.r.	n.r.
IT0003444525	Junior	Feb-19	3,432	1,011	n.r.	n.r.
IT0003444558	Junior	Feb-19	31,094	23,424	n.r.	n.r.
IT0003444566	Junior	Feb-19	19,466	8,026	n.r.	n.r.
Total			**412,509**	**105,058**		

The Senior securities bore interest at Euribor plus a spread of 22 basis points. They were redeemed on a six-monthly basis, using the proceeds from the loan recovery activities. They were placed with institutional investors and listed on the Luxembourg stock exchange.
The Junior securities, all subscribed for on a proportional basis by the originator banks, bear interest at 0.10%, with a "without memory" clause, and their redemption is subordinate to full satisfaction of the rights of bearers of the Senior securities.
The remaining outstanding Senior securities matured on 10 August 2009 and were repaid in full on that date. Payment was made using available cash totalling Euro 5,922 thousand, plus Euro 29,350 thousand deriving from the redemption on 1 August of the CCTs previously used to guarantee the securities.
This utilisation, essentially representing an advance of liquidity, has given rise to a liability for Mutina s.r.l. towards the guarantors drawn against. Such liability has the same maturity as the Class C securities and is subordinated to their repayment.
A "Change Agreement" was signed on 12 September 2012, which extended the maturity of the Junior security from August 2013 to February 2019.
The current residual amount of Junior Securities is Euro 105,058 thousand:

- Euro 23,424 thousand held by Banco di Sardegna s.p.a., originating from Banca di Sassari's sale of the business unit in 2016 at a book value of Euro 3,468 thousand;
- Euro 81,634 thousand in portfolio at the Parent Company BPER Banca, following the mergers in 2013 and 2014. The book value is Euro 21,190 thousand.

Diesis (transaction structured pursuant to Law no. 130 dated 30 April 1999)

Disposal date:	13 July 2016
Seller:	"Multi-originator" transaction arranged by the following Group banks: - BPER Banca s.p.a. ; - Banco di Sardegna s.p.a. ;
Special purpose vehicle:	Diesis SPV s.r.l., based in Conegliano (TV)
Servicer:	Securitisation Services s.p.a., acting as Servicer, Corporate Servicer and Calculation and Investor Reporting Agent; Cerved Credit Management s.p.a. acted as Special Servicer.
Issue date of securities	22 December 2016
Type of transaction	Standard
Organisation	The Master Servicer prepares six-monthly statements that are provided to the vehicle company. The reports discuss the activities performed and the collections, with details of interest and principal payments made. The master servicer ensures that the proper disclosures required by the Bank of Italy are made to the Central Risks database and for supervisory purposes.
Internal systems for the measurement and control of risk	The recovery of loans and management of collections is carried out, in accordance with the contractually-agreed code of conduct, by an organisational unit dedicated to this task.

The operational aspects are summarised below:

Assets sold	Loans of banking origin
Quality of assets securitised	Non-performing
Amount of securitised assets	The total nominal value of the loan portfolio sold is Euro 259 million.
Disposal price of securitised assets	The disposal price was Euro 55 million.
Guarantees and credit lines granted by the bank	None.
Guarantees and credit lines granted by third parties	None.
Analysis by business sector	Not provided for non-performing loans since this would not be significant given their nature (the businesses concerned may have closed, be bankrupt or subject to other forms of court-supervised arrangements).
Analysis by geographical area	The securitised loans were made to parties resident in Italy, mainly in the central and southern regions of the country.

The special purpose vehicle has issued the following bonds.

(in thousands)

ISIN Code	*Seniority*	Maturity	Issue amount	Residual balance at 31.12.2017
IT0005224925	Senior	July-26	31,000	272
IT0005224933	Junior	July-28	20,600	206
Total			**51,600**	**478**

The Senior securities bear interest at the 6-month Euribor interest rate plus a spread of 3%. They were redeemed on a six-monthly basis, using the proceeds from the loan recovery activities. The Senior securities were all subscribed for by the originator banks.
Junior Securities were placed with institutional investors and, for a residual part, were subscribed by BPER Banca (Euro 1.1 million). The securities bear interest at the 6-month Euribor interest rate and the payment thereof is subordinate to the full satisfaction of the rights of the bearers of the senior securities.

Casa D’Este (transaction structured pursuant to Law 130 dated 30 April 1999)

Disposal date:	19 October 2004
Seller:	Cassa di Risparmio di Ferrara S.p.A.
Special purpose vehicle:	Casa d'Este Finance s.r.l., based in Conegliano (TV)
Servicer:	Securitisation Services s.p.a., acting as Servicer, Corporate Servicer and Calculation and Investor Reporting Agent.
Issue date of securities	9 November 2004
Type of transaction	Standard
Organisation	Securitisation Services prepares a quarterly report that discusses their activities and the amounts collected, with details of interest and principal payments.
Internal systems for the measurement and control of risk	The recovery and management of collections of the assigned loans was carried out by the originator. Since the date of absorption of Nuova Cassa di Risparmio di Ferrara by BPER Banca, this activity is carried out by the latter.

The operational aspects are summarised below:

Assets sold	Mortgage loans on residential and commercial properties
Quality of assets securitised	Performing loans
Amount of securitised assets	The total nominal value of the loan portfolio sold is Euro 281 million.
Disposal price of securitised assets	The disposal price was Euro 281 million.
Guarantees and credit lines granted by the bank	None.
Guarantees and credit lines granted by third parties	BNP Paribas SA's guarantee of solvency of the bank holding the accounts of the transaction
Analysis by business sector	Mortgage loan contracts entered into with individuals and legal entities, excluding public bodies.
Analysis by geographical area	The securitised loans were made to parties resident in Italy, mainly in the central and southern regions of the country.

The special purpose vehicle has issued the following bonds.

(in thousands)

ISIN Code	*Seniority*	Maturity	Issue amount	Residual balance at 31.12.2017	Rating Moody's
IT0003747786	Senior	15/09/2016	150,000	-	-
IT0003747794	Senior	15/09/2021	94,500	13,176	Aa2
IT0003747802	Mezzanine	15/09/2021	35,200	35,200	Ba1
IT0003747810	Junior	15/09/2021	1,360	1,360	-
Totale			**281,060**	**49,736**	

Casa d'Este 2 (transaction structured pursuant to Law 130 dated 30 April 1999)

Disposal date:	5 December 2008
Seller:	Cassa di Risparmio di Ferrara S.p.A.
Special purpose vehicle:	Casa d'Este Finance s.r.l., based in Conegliano (TV)
Servicer:	Securitisation Services s.p.a., acting as Servicer, Corporate Servicer and Calculation and Investor Reporting Agent.
Issue date of securities	18 December 2008
Type of transaction	Standard
Organisation	Securitisation Services prepares a quarterly report that discusses their activities and the amounts collected, with details of interest and principal payments.
Internal systems for the measurement and control of risk	The recovery and management of collections of the assigned loans was carried out by the originator. Since the date of absorption of Nuova Cassa di Risparmio di Ferrara by BPER Banca, this activity is carried out by the latter.

The operational aspects are summarised below:

Assets sold	Mortgage loans on residential and commercial properties
Quality of assets securitised	Performing loans
Amount of securitised assets	The total nominal value of the loan portfolio sold is Euro 383 million.
Disposal price of securitised assets	The disposal price was Euro 375 million.
Guarantees and credit lines granted by the bank	None.
Guarantees and credit lines granted by third parties	None.
Analysis by business sector	Mortgage loan contracts entered into with individuals and legal entities, excluding public bodies.
Analysis by geographical area	The securitised loans were made to parties resident in Italy, mainly in the central and southern regions of the country.

The special purpose vehicle has issued the following bonds.

(in thousands)

ISIN Code	Seniority	Maturity	Issue amount	Residual balance at 31.12.2017	Rating Moody's
IT0004440365	Senior	oct-2050	270,000	10,195	Aa2
IT0004440456	Senior	oct-2050	30,000	1,133	Aa2
IT0004440571	Mezzanine	oct-2050	80,650	80,650	Caa1
IT0004440589	Junior	oct-2050	1,900	1,900	-
Totale			**382,550**	**93,878**	

Quantitative information

C.1 Banking group - Exposures deriving from principal "own" securisations, analysed by type of asset securitised and by type of exposure

Type of underlying assets/Exposure	Cash exposure					
	Senior		Mezzanine		Junior	
	Book value	Adjustments/ write-backs	Book value	Adjustments/ write-backs	Book value	Adjustments/ write-backs
A. Derecognised in full	**31,306**	**-**	**10,418**	**-**	**25,844**	**(524)**
- performing residential mortgages	2,355	-	1,054	-	86	-
- non-performing residential mortgages	3,433	-	-	-	2,127	(42)
- performing no residential mortgages	-	-	-	-	-	-
- non-performing no residential mortgages	14,052	-	-	-	13,911	(284)
- leasing performing	-	-	-	-	-	-
- leasing non performing	681	-	642	-	-	-
- other performing loans	-	-	-	-	-	-
- other non-performing loans	10,785	-	8,722	-	9,720	(198)
- performing securities	-	-	-	-	-	-
- non-performing securities	-	-	-	-	-	-
B. Derecognised in part	**-**	**-**	**-**	**-**	**-**	**-**
C. Not derecognised	**-**	**-**	**115,850**	**-**	**41,921**	**-**
- performing residential mortgages	-	-	93,217	-	32,396	-
- non-performing residential mortgages	-	-	-	-	3,021	-
- performing no residential mortgages	-	-	22,633	-	5,015	-
- non-performing no residential mortgages	-	-	-	-	1,489	-
- leasing performing	-	-	-	-	-	-
- leasing non performing	-	-	-	-	-	-
- performing credit cards	-	-	-	-	-	-
- non-performing credit cards	-	-	-	-	-	-
- performing securities	-	-	-	-	-	-
- non-performing securities	-	-	-	-	-	-

(cont.)

Type of underlying assets/Exposure	Guarantees given					
	Senior		Mezzanine		Junior	
	Book value	Adjustments/ write-backs	Book value	Adjustments/ write-backs	Book value	Adjustments/ write-backs
A. Derecognised in full		**-**	**-**	**-**	**-**	**-**
- performing residential mortgages	3,750	-	-	-	-	-
- non-performing residential mortgages	-	-	-	-	-	-
- performing no residential mortgages	-	-	-	-	-	-
- non-performing no residential mortgages	-	-	-	-	-	-
- leasing performing	-	-	-	-	-	-
- leasing non performing	-	-	-	-	-	-
- other performing loans	-	-	-	-	-	-
- other non-performing loans	-	-	-	-	-	-
- performing securities	-	-	-	-	-	-
- non-performing securities	-	-	-	-	-	-
B. Derecognised in part	**-**	**-**	**-**	**-**	**-**	**-**
C. Not derecognised	**-**	**-**	**-**	**-**	**-**	**-**
- performing residential mortgages	-	-	-	-	-	-
- non-performing residential mortgages	-	-	-	-	-	-
- performing no residential mortgages	-	-	-	-	-	-
- non-performing no residential mortgages	-	-	-	-	-	-
- leasing performing	-	-	-	-	-	-
- leasing non performing	-	-	-	-	-	-
- performing credit cards	-	-	-	-	-	-
- non-performing credit cards	-	-	-	-	-	-
- performing securities	-	-	-	-	-	-
- non-performing securities	-	-	-	-	-	-

The table shows the cash exposures assumed by the Group in connection with its own securitisations Mutina, Sestante, Diesis, Restart, Italian Credit Recycle, Casa d'Este 1, Casa d'Este 2 and Pillarstone.
"Adjustments/writebacks" show the annual flow of writedowns and writebacks as required by the Bank of Italy's Circular 262/2005.
The parts of the table relating to credit lines have not been shown as there is nothing to report.

C.2 Banking group - Exposures deriving from principal “third party” securitisations, analysed by type of asset securitised and by type of exposure

Type of underlying asset/Exposures	Cash exposure					
	Senior		Mezzanine		Junior	
	Book value	Adjustments/ write-backs	Book value	Adjustments/ write-backs	Book value	Adjustments/ write-backs
- performing residential mortgages	7,871	-	-	-	-	-
- non-performing residential mortgages	-	-	-	-	-	-
- performing no residential mortgages	7,849	-	8,220	-	-	-
- non-performing no residential mortgages	-	-	-	-	-	-
- leasing performing	47,810	-	-	-	-	-
- leasing non-performing	-	-	-	-	-	-
- other performing loans	82,023	4,996	-	-	-	-
- other non-performing loans	-	-	-	-	-	-
- performing securities	3,800	-	-	-	-	-
- non-performing securities	-	-	-	-	-	-

(cont.)

Type of underlying asset/Exposures	Credit lines					
	Senior		Mezzanine		Junior	
	Book value	Adjustments/ write-backs	Book value	Adjustments/ write-backs	Book value	Adjustments/ write-backs
- performing residential mortgages	-	-	-	-	-	-
- non-performing residential mortgages	-	-	-	-	-	-
- performing no residential mortgages	-	-	-	-	-	-
- non-performing no residential mortgages	-	-	-	-	-	-
- leasing performing	-	-	-	-	-	-
- leasing non-performing	-	-	-	-	-	-
- other performing loans	2,100	-	-	-	-	-
- other non-performing loans	-	-	-	-	-	-
- performing securities	-	-	-	-	-	-
- non-performing securities	-	-	-	-	-	-

The parts of the table relating to guarantees given have not been shown as there is nothing to report.

C.3 Banking group - Interests in special purpose vehicles (SPVs) for securitisation

Name of the securitisation/SPV	Head office	Consolidation	Assets			Liabilities		
			Loans	Debt securities	Other	Senior	Mezzanine	Junior
Mutina s.r.l.	Modena	PN (art. 19 CRR)	26,712	-	1,881	-	-	26,717

The Mutina SPV is wholly-owned by the Parent Company but it has not been consolidated line-by-line as reported in Part A.1 of these Explanatory notes.

C.4 Banking group - Unconsolidated SPVs for securitisation

Name of the securitisation/SPV	Head office	% Interest	Assets			Liabilities		
			Loans	Debt securities	Other	*Senior*	*Mezzanine*	*Junior*
Estense Finance s.r.l.	Conegliano (TV)	9.9%	486,296	-	76,976	340,585	-	132,632

C.5 Banking Group - Servicer activities - collection of securitised loans and reimbursement of securities issued by the SPV for securitisation

Servicer	Special purpose vehicle	Securitised assets (at year end)		Loan collections during the year		Percentage of securities redeemed (at year end)					
						Senior		Mezzanine		Junior	
		Non-performing loans	Performing loans	Non-performing loans	Performing loans	Impaired	Performing	Impaired	Performing	Impaired	Performing
BPER Banca	Mutina s.r.l.	26,712	-	3,489		100.00%	-	-	-	43.06%	-
Banco di Sardegna s.p.a.	Sardegna N.1	10,379	-	651		-	100.00%	56.00%	44.00%	-	-

D. Information on structured entities (other than securitisation companies)

From 1 January 2014, application of IFRS 12 "Disclosure of Interests in Other Entities", approved by EU Regulation 1254/2012, became mandatory. The purpose of this standard is to require the disclosure of information that enables users of financial statements to assess:

- the nature and risks arising from the investment of the entity that prepares financial statements in subsidiaries, joint arrangements and unconsolidated structured entities;
- the effects of these investments on its balance sheet/financial position, results and cash flows.

As a rule, a company's investment in another entity takes the form of a holding of equities or debt securities. There are also entities set up in such a way that the voting rights or similar rights are not the dominant factor to determine who controls the entity; there may a situation in which the voting rights only make reference to administrative tasks, while the relevant activities are governed by various contractual agreements. In this hypothesis, according to IFRS 12, we are in the presence of structured entities.

Structured entities often have all or some of the following features or characteristics:

- they have a limited activity;
- they have a limited and well-defined objective;
- they have insufficient net equity to enable the structured entity to finance its activities without subordinated financial support;
- they receive funding, in the form of contractually bound multiple instruments from investors that create concentrations of credit risk or other risk (tranches).

These types of entities can be recognised in:

- special purpose vehicles (for securitisations);
- companies formed to obtain financing secured by assets (for issuing covered bonds);
- certain types of investment funds.

D.1 Consolidated structured entities

At 31 December 2017, the companies that have been consolidated do not include structured entities, as defined in IFRS 12, but only companies controlled by holding voting rights that ensure governance of the relevant activities.

D.2 Structured entities not consolidated from an accounting point of view

D.2.1 Consolidated structured entities for supervisory purposes

At 31 December 2017, the BPER Banca Group does not have any structured entities that are not consolidated from an accounting point of view, but consolidated for supervisory purposes.

D.2.2 Other structured entities

Qualitative information

At 31 December 2017, the BPER Banca Group holds investments in mutual funds of more than 20% which have not been consolidated because:

- there is no quantitative and qualitative correlation between the loan granted and the investment policies of the fund;
- the fund constitutes independent equity distinct from that of each participant;
- the percentage interest is transitory, structurally destined to fall over time.

Along with these types of transactions, the portfolio includes entities that, on the basis of the interest held, would fall within the scope of application of IFRS 10 or IAS 28, but the percentage held in the nominal share capital is limited to situations that do not make it possible to exercise a significant influence.

These are investments of marginal value, for which it is not considered necessary to provide additional information to help give a complete and accurate representation of the economic and financial situation of the Group.

For completeness of information, it should be noted that at 31 December 2017 unconsolidated SPVs are those provided in this Part E of the Explanatory Notes, Section C "Securitisation Transactions" in Table C.4 "Banking Group - Unconsolidated SPVs for securitisation".

As of the same date, the BPER Banca Group has not issued any covered bonds through unconsolidated structured entities.

Quantitative information

Captions/type of structured entity	Asset accounting portfolios	Total assets (A)	Liability accounting portfolios	Total liabilities (B)	Net book value (C=A - B)	Maximum exposure to the risk of loss (D)	Difference between exposure to risk of loss and book value (E=D-C)
1. Special purpose vehicle		-	-	-	-	-	-
2. UCITS							
	AFS	31,337	-	-	31,337	31,337	-
3. Other companies							
	AFS	69	-	-	69	69	-
		-	Debts to customers	89	(89)	(89)	-

E. Disposals

A. Financial assets sold but not derecognised in full

Qualitative information

The Group did not make any sales for which it would have to provide information in accordance with IFRS 7 § 7, 42D letters a), b), c) and § 42H.

Quantitative information

E.1 Banking group - Financial assets sold but not derecognised: book value and full value

Technical forms/Portfolio	Financial assets held for trading			Financial assets designated at fair value		
	Financial assets sold and recognised in full (book value)	Financial assets sold and recognised in part (book value)	Financial assets sold and recognised in full (full value)	Financial assets sold and recognised in full (book value)	Financial assets sold and recognised in part (book value)	Financial assets sold and recognised in full (full value)
A. Cash assets	**2,513**	**-**	**-**	**-**	**-**	**-**
1. Debt securities	2,513	-	-	-	-	-
2. Equity instruments	-	-	-	-	-	-
3. UCITS units	-	-	-	-	-	-
4. Loans	-	-	-	-	-	-
B. Derivatives	**-**	**-**	**-**	**#**	**#**	**#**
Total 31.12.2017	**2,513**	**-**	**-**	**-**	**-**	**-**
- of which: impaired	-	-	-	-	-	-
Total 31.12.2016	**55,502**	**-**	**-**	**-**	**-**	**-**
- of which: impaired	-	-	-	-	-	-

(cont.)

Technical forms/Portfolio	Financial assets available for sale			Financial assets held to maturity		
	Financial assets sold and recognised in full (book value)	Financial assets sold and recognised in part (book value)	Financial assets sold and recognised in full (full value)	Financial assets sold and recognised in full (book value)	Financial assets sold and recognised in part (book value)	Financial assets sold and recognised in full (full value)
A. Cash assets	**4,490,593**	**-**	**-**	**674,410**	**-**	**-**
1. Debt securities	4,490,593	-	-	674,410	-	-
2. Equity instruments	-	-	-	#	#	#
3. UCITS units	-	-	-	#	#	#
4. Loans	-	-	-	-	-	-
B. Derivatives	**#**	**#**	**#**	**#**	**#**	**#**
Total 31.12.2017	**4,490,593**	**-**	**-**	**674,410**	**-**	**-**
- of which: impaired	-	-	-	-	-	-
Total 31.12.2016	**3,663,646**	**-**	**-**	**1,054,075**	**-**	**-**
- of which: impaired	-	-	-	-	-	-

(cont.)

Technical forms/Portfolio	Due from banks			Loans to customers			Total	
	Financial assets sold and recognised in full (book value)	Financial assets sold and recognised in part (book value)	Financial assets sold and recognised in full (full value)	Financial assets sold and recognised in full (book value)	Financial assets sold and recognised in part (book value)	Financial assets sold and recognised in full (full value)	2017	2016
A. Cash assets	-	-	-	-	-	-	**5,167,516**	**4,773,223**
1. Debt securities	-	-	-	-	-	-	5,167,516	4,773,223
2. Equity instruments	#	#	#	#	#	#	-	-
3. UCITS units	#	#	#	#	#	#	-	-
4. Loans	-	-	-	-	-	-	-	-
B. Derivatives	#	#	#	#	#	#	-	-
Total 31.12.2017	-	-	-	-	-	-	5,167,516	#
- of which: impaired	-	-	-	-	-	-	-	#
Total 31.12.2016	-	-	-	-	-	-	#	4,773,223
- of which: impaired	-	-	-	-	-	-	#	-

E.2 Banking Group - Financial liabilities for financial assets sold but not derecognised: book value

Liabilities/Portfolio assets	Financial assets held for trading	Financial assets designated at fair value	Financial assets available for sale	Financial assets held to maturity	Due from banks	Loans to customers	Total
1. Due to customers	**2,500**	**-**	**1,674,303**	**396,976**	**-**	**-**	**2,073,779**
a) for assets recorded in full	2,500	-	1,674,303	396,976	-	-	2,073,779
b) for assets recorded in part	-	-	-	-	-	-	-
2. Due to banks	**-**	**-**	**2,763,647**	**299,542**	**-**	**-**	**3,063,189**
a) for assets recorded in full	-	-	2,763,647	299,542	-	-	3,063,189
b) for assets recorded in part	-	-	-	-	-	-	-
3. Debt securities in issue	**-**	**-**	**-**	**-**	**-**	**-**	**-**
a) for assets recorded in full	-	-	-	-	-	-	-
b) for assets recorded in part	-	-	-	-	-	-	-
Total 31.12.2017	2,500	-	4,437,950	696,518	-	-	5,136,968
Total 31.12.2016	55,466	-	3,602,380	1,155,957	-	-	4,813,803

B. Financial assets sold and not derecognised in full with recognition of continuing involvement

The Group did not make any sales for which it would have to provide information in accordance with IFRS 7 § 7, 42D letters a), b), c) and § 42H.

E.4 Banking Group - Covered bond transactions

Introduction

GBB issues are foreseen by BPER Banca Group's strategic plan as a means of diversification of funding sources, of reduction of related costs and of lengthening of maturities of liabilities. In particular, guaranteed bank bond issues are extremely appealing at a time when market yields are very low, also thanks to the institutional intervention of the ECB through its programmes of GBB purchases (CBPP3).

On 8 February 2011, the Board of Directors launched the structuring of a first programme for the issue of guaranteed bank bonds ("GBB1"), based on a collateralised portfolio of residential mortgage loans pursuant to art. 7-*bis* of Law no. 130 of 30 April 1999 ("Law no. 130/99"), the Ministry of Economy and Finance's Decree no. 310 of 14 December 2006 (the "MEF Decree") and the regulatory provisions of the Bank of Italy of 24 March 2010 (the "Rules" and, together with Law 130 and the MEF Decree and each subsequent amendment, the "Regulations").

On 3 March 2015 the Board of Directors launched the structuring of a second programme for the issue of guaranteed bank bonds ("GBB2"), based on a collateralised portfolio of residential and commercial mortgage loans, as already mentioned in the Directors' report on Group operations.

The basic structure of a guaranteed bank bonds issue

"Guaranteed Bank Bonds", also known as "Covered Bonds", may be issued under a scheme which envisages:

- the sale by a bank, which may differ from the bond issuer, to a special purpose vehicle of high credit quality assets and which constitute segregated assets pursuant to the applicable provisions of Law no. 130/99;
- the selling bank or another bank granting a subordinated loan to the assignee company to provide the assignee with the funding required to purchase the assets;
- the issue of a guarantee by the assignee company in favour of the bondholders, up to the amount of the segregated assets.

High credit quality assets are intended to mean loans that meet the selection criteria defined by the Regulations and related contracts (the "Eligible Assets").

Key elements of the BPER Banca Group's Programmes for the issue of Covered Bonds

The BPER Banca's Covered Bond Programmes (the "Programmes") have been structured as follows:

- the sale without recourse to Estense Covered Bond s.r.l. (the "SPV" or "Estense Covered Bond") for GBB1, and to Estense CPT Covered Bond s.r.l. (the "SPV" or "Estense CPT Covered Bond") for GBB2, initially just by BPER Banca and then, during the Programmes, also by other Group Banks, of assets with a high credit quality, which constitute segregated assets pursuant to Law 130/99;
- the provision to the assignee SPVs, by BPER Banca and other Group Banks that will eventually join the programmes as selling banks, of subordinated loans to provide the assignees with the funding required to purchase the assets sold;
- the issue by the SPVs, up to the amount of the segregated assets, of guarantees in favour of the holders of the Guaranteed Bank Bonds issued by BPER Banca.

Although they are presented as Group programmes, the initial and subsequent transactions only involved BPER Banca as the selling bank, the understanding being that BPER Banca will always take on the role of issuing bank. Only at a later stage, after an expert assessment of the risks and opportunities, is it

expected that other Group Banks will join the Programmes as selling banks to sell additional Eligible Assets.
The portfolios of Eligible Assets involved in the initial sales are composed of loans originating from residential mortgage loans for GBB1 and of residential and commercial mortgage loans for GBB2, which meet the requirements of the Regulations. These portfolios were identified based on general and specific criteria indicated in the sale agreements. Additional portfolios of Eligible Assets may include mortgage loans that meet the requirements of the Rules and any subsequent additional eligible assets referred to in Article 2, paragraph 3, points 2 and 3 of the MEF Decree.
The sale prices of the portfolios is determined, as laid down in the Provisions, with reference to their book values in the latest financial statements approved by BPER Banca with a view to specific sale dates or by having the sale price certified by the Independent Auditors. The sale prices so determined are subject to adjustment to take account of movements on the loans between the financial year end and the date of sale. More specifically, the sale prices shall be adjusted to take account of the collection of the capital element of the loans in the intervening period and the payment of contractually agreed interest in the same period.

The sale of the portfolios - without recourse and under the combined provisions of articles 1 and 4 of Law no. 130/99 and art. 58 of the CFA - is communicated to the mortgage holders by publishing a notice of sale by the seller with the above selection criteria in the Official Journal and by filing the same notice of sale with the Registrar of Companies. Further formalities are also carried out for privacy legislation purposes (Legislative Decree no. 196/2003).
The mortgage holders maintain a direct operational relationship with BPER Banca - or, in the case of sale of Eligible Assets by other selling banks that will join the Programmes, with the other Group Banks that the mortgage holders originally obtained the loans from - since the two SPVs have given BPER Banca responsibility for managing and administering the loans sold and the related collection and payment services (servicing activities), with BPER Banca having the power to grant a sub-proxy to the pertinent selling banks to perform servicing activities for the portfolios sold.
This, in accordance with the Regulations, is in order to minimise the commercial impact with the mortgage holders and, at the same time, to optimise the operational management of each portfolio which, in fact, remains in the hands of the assignors.
At predetermined dates and based on specific operational and market situations, BPER Banca, in the role of Calculation Agent, will perform assessment tests to compare the portfolios sold with the bonds issued, aimed at verifying the adequacy of the guarantees issued with reference to specific legal parameters and the parameters set by the Programmes' documentation based on indications provided by rating agencies, on which the credit rating assigned to the Guaranteed Bank Bonds depends.
In the case of non-compliance with one or more of the required parameters, it will be necessary to add to the portfolios sold by selling further Eligible Assets. The portfolios can be added to by using the SPVs' liquid funds or by further drawdowns of the subordinated loans granted by BPER Banca (or by the other selling banks) to the two SPVs.
Other initiatives are required in the case of violation of contractual conditions, up to the extreme consequences of enforcement of the guarantees provided by the SPVs in the case of an Event of Default by the Issuer (for example, default in repayment of principal or non-payment of interest on the Covered Bonds).
Moreover, on predetermined dates, the functions responsible for supervising the Bank's risk management verify the quality and integrity of the assets provided as collateral for Covered Bonds issued.

The structure of the Programmes, as outlined, permits the creation of segregated assets (consisting of the Eligible Assets assigned from time to time to the SPVs), to serve as a preferred guarantee for the Covered Bond holders, for the counterparties to derivative contracts entered into under the Programmes to hedge the risks inherent in the portfolio of transferred Eligible Assets and for the payment of other transaction costs.

Normally, the charges for payment and redemption of the Covered Bonds remain with the Issuer and, only when there is an Event of Default by the Issuer will automatic protection mechanisms be activated to protect the investors.

In further support of the financial structure, provision has been made for swaps with one or more external counterparties selected on the market and with an appropriate credit standing in line with the eligibility criteria required by rating agencies. The purpose of these contracts is to transform the interest flow produced by the loan portfolios sold so as to make them consistent with that incurred on the bonds issued.

In particular, among the various options available, it is normally envisaged that two separate swap derivative contracts will be entered into:

- asset swap: under this contract, the SPV will pay the swap counterparty the flow received as interest on a notional amount represented by a portion of segregated assets and determined by taking into account the outstanding amount of the liability represented by the Guaranteed Bank Bonds issued and will collect from it a flow corresponding to Euribor for the period plus or minus a Spread applied to the same notional amount for the reference period;
- liability swap: under this derivative the SPV will receive from the swap counterparty a fixed rate equal to the coupon of the related series of Guaranteed Bank Bonds and will pay thereto a flow corresponding to Euribor plus or minus (as appropriate) a Spread applied to an amount equal to the nominal value of the corresponding series of Guaranteed Bank Bonds.

These contracts can be linked to back-to-back swap agreements between the swap counterparties and BPER Banca, a situation that currently exists in the case of the third, fourth and fifth issue of the GBB1 Programme.

In this respect, it should be noted that the first issue of the GBB1 Programme was redeemed on 22 January 2014, whereas the second issue, redemption of which should have taken place in April 2015, was redeemed early on 12 January 2015. For the third, fourth and fifth issue, which bear a fixed interest rate, it was necessary to execute liability swap agreements. Lastly, the sixth and seventh issues bear a floating interest rate and, thus, have no associated liability swap.

The financial mechanism allows, on the one hand, BPER Banca, as selling bank, to maintain a financial position as desired and consistent with its Asset & Liability Management strategies and, on the other hand, the SPV, as guarantor, in the Event of the occurrence of an Event of Default of the Issuer, to cover the costs of the Guaranteed Bank Bonds by trading them for the expected return on portfolio of loans sold.

The GBB1 Programme

The GBB1 Programme provides for the issue of Covered Bonds up to a maximum of Euro 5 billion, to be carried out in a number of issues over time, by 31 December 2018 at latest (subject to the obligations for annual renewal of the prospectus prepared in compliance with EU regulations).

The first series of Guaranteed Bank Bonds with par value of Euro 750 million was issued on 1 December 2011 and was redeemed on 22 January 2014, after the sale on 2 November 2011 by BPER Banca to Estense Covered Bond s.r.l. of a portfolio of loans that met eligibility requirements under the Regulations for a nominal value of Euro 1.1 billion, selected on the basis of the criteria outlined above and having the following main characteristics:

- residential mortgage loans provided in accordance with mortgage lending legislation;
- concluded by 31 December 2010;
- final instalment due after 31 December 2012;
- ratio of outstanding debt to the value of secured property, estimated at the payment date, lower than 80%.

Based on these general assumptions, a second issue of Guaranteed Bank Bonds was completed on 25 June 2012 for a total of Euro 300 million, with a maturity of three years at a floating rate. This was after another Euro 546 million of residential mortgage loans, again originated exclusively by BPER Banca, were transferred to the vehicle company Estense Covered Bond s.r.l. on 4 May 2012, essentially attributable to the "production" of 2011. The new issue has been carefully sized to take into account the possible implications of the earthquake in May 2012 on the value of the collateral.
Based on these same general assumptions, on 10 July 2013, a further Euro 680 million of residential mortgage loans was sold, with these originating solely from BPER Banca or from other Group banks merged into the Parent Company. On 12 January 2015 the second series of GBB was all repaid early.

On 15 October 2013, a third issue of Guaranteed Bank Bonds was completed for an amount of Euro 750 million, at a fixed rate and with a tenor of 5 years, all of which was placed on the market. This issue was then reopened on 24 February 2014 for a further Euro 250 million.
On 23 July 2014, another Euro 501 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.

On 22 January 2015, a fourth issue of Guaranteed Bank Bonds was completed for an amount of Euro 750 million, at a fixed rate and with a tenor of 7 years, all of which was placed on the market.
On 28 April 2015, another Euro 1,074 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.

On 29 January 2015, a fifth issue of Guaranteed Bank Bonds was completed for an amount of Euro 750 million, at a fixed rate and with a tenor of 5 years, all of which was placed on the market.
On 28 January 2016, another Euro 1,086 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
On 31 May 2016, a sixth issue of Guaranteed Bank Bonds was completed for an amount of Euro 500 million, at a floating interest rate, with a tenor of 4 years and which was self-subscribed.
On 27 July 2016, another Euro 310 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
On 25 January 2017, another Euro 404 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
On 3 February 2017, a seventh issue of Guaranteed Bank Bonds was completed for an amount of Euro 540 million, at a floating interest rate, with a tenor of 4 years and which was self-subscribed.

On 23 October 2017, another Euro 816 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
The subordinated loan granted by BPER Banca to Estense Covered Bond s.r.l., under the form of a credit facility to finance the purchase of the assigned portfolios currently amounts to Euro 6 billion. Notwithstanding BPER Banca's right to increase the amount of the subordinated loan granted to finance the purchase of additional portfolios (both in connection with new issues or for the purpose of adding to segregated assets) and with a remuneration that guarantees a return to the transferor of the yield on the segregated mortgage loans, albeit residual with respect to payment of the SPV's operating expenses; thus making the sale essentially neutral from an economic standpoint.
Repayment of this loan is linked to the gradual reimbursement of the Guaranteed Bank Bonds that, in turn, will allow the release of the loan portfolio or the cash collections generated thereby. In this regard it should be noted that in October 2014 drawdowns of the subordinated loan had been reduced to Euro 250 million, as a first partial early redemption was made taking advantage of part of the principal generated by the loan portfolio sold. Subsequently, in October 2015 and again in January, April, July 2016, and October 2017, an additional Euro 250 million, Euro 120 million, Euro 250 million, Euro 250 million and Euro 400 million respectively, were reimbursed, again drawing on the resources of the principal generated by the loan portfolio sold.
The liquidity generated by the portfolio may - within legal limits - also be used for suitable investments or deposits, based on BPER Banca's indications as Investment Agent. It may not, however, in view of the inadequate level of rating, be entrusted to BPER Banca. Accordingly, cash generated from the portfolio of sold Eligible Assets - for which BPER Banca will remain as Servicer - are transferred to current accounts with BNP Paribas Securitisation Services, either in Italy or the UK, since this is a third party with appropriate rating.

Counterparties involved in the GBB1 Programme

Issuing Bank, initial Selling Bank, Servicer, Investment Agent, Principal Paying Agent and Calculation Agent: BPER Banca.
Any other seller banks that could join the Programme:

- Banco di Sardegna s.p.a.;
- Banca di Sassari s.p.a.;
- Cassa di Risparmio di Bra s.p.a.;
- Cassa di Risparmio di Saluzzo s.p.a.

Arranger: The Royal Bank of Scotland plc (RBS).
Joint Lead Manager of the Third series of bonds issued: RBS, Citibank, Mediobanca, Société Générale, UBS.
Joint Lead Manager of re-opening of the Third series of bonds issued: Citibank, Raiffeisen Bank International.
Joint Lead Manager of the Fourth series of bonds issued: RBS, BNP Paribas, Natixis, Nomura International plc., UNICREDIT Bank AG.
Joint Lead Manager of the Fifth series of bonds issued: RBS, Banca IMI, Credit Suisse International, Raiffeisen Bank International, Société Générale.
Lead Manager of the Sixth series of bonds issued: RBS
Lead Manager of the Seventh series of bonds issued: RBS.
Guarantor: Estense Covered Bond s.r.l.
Representative of the Bondholders (RoB): Securitisation Services s.p.a.

Italian Paying Agent, Cash Manager and Account Bank: BNP Paribas Securities Services (both Italian and London branches).
Corporate Servicer: Securitisation Services s.p.a.
Guarantor Calculation Agent: Securitisation Services s.p.a.
Liability Swap counterparty: for the third and fourth issue, RBS; for the fifth issue, Credit Suisse International.
Legal advisor to BPER Banca: Studio Legale Linklaters.
Asset Monitor and Pool Auditor: PriceWaterhouseCoopers s.p.a.
Independent Auditors of the special purpose vehicle: Deloitte & Touche s.p.a.
Rating agencies: Moody's Investor Services.

In 2012, the role of Back Up Servicer (BUS) was added to the structure of this transaction and is being performed by Italfondiario s.p.a.; the aim was to make the transaction more robust, also based on the indications received to that effect from the counterparty to the asset swap and from the rating agency.

The GBB2 Programme

The GBB2 Programme provides for the issue of Covered Bonds up to a maximum of Euro 5 billion, to take place in a number of issues over time, by 31 December 2025 at latest (subject to the obligations for annual renewal of the prospectus prepared in compliance with EU regulations).
The first series of Guaranteed Bank Bonds with par value of Euro 625 million was issued on 16 December 2015, after the sale on 17 September 2015 by BPER Banca to Estense CPT Covered Bond s.r.l. of a portfolio of loans that met eligibility requirements under the regulations for a nominal value of Euro 870 million, selected on the basis of the criteria outlined above and having the following main characteristics:

- residential and commercial mortgage loans;
- granted by 31 December 2014;
- final instalment due after 31 December 2015;
- ratio of outstanding debt to the value of secured property, revalued close to the date of sale, up to a maximum of 80% for residential mortgage loans and up to a maximum of 60% for commercial mortgage loans.

The first bond issue of Euro 625 million was fully subscribed by BPER Banca in order to increase the collateral for refinancing operations with the European Central Bank.
On 23 June 2016, another Euro 478 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
On 1 August 2016, a second issue of Guaranteed Bank Bonds was completed for an amount of Euro 200 million, at a floating interest rate, with a tenor of 4 years and which was self-subscribed.
On 21 November 2016, another Euro 411 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
On 24 February 2017, a third issue of Guaranteed Bank Bonds was completed for an amount of Euro 240 million, at a floating interest rate, with a tenor of 4 years and which was self-subscribed.
On 27 September 2017 a partial early repayment was made for Euro 150 million on the first series of securities issued.
The subordinated loan granted by BPER Banca to Estense CPT Covered Bond s.r.l., under the form of a credit facility, to finance the purchase of the assigned portfolios, amounted to Euro 2 billion, notwithstanding BPER Banca's right to increase the amount of the subordinated loan granted to finance

the purchase of additional portfolios (both in connection with new issues or for the purposes of adding to segregated assets) and with a yield that guarantees a return to the transferor of the yield on the segregated mortgage loans within segregated assets, albeit residual with respect to the payment of the SPV's operating expenses; thus making the sale essentially neutral from an economic standpoint.
Repayment of this loan is linked to the gradual reimbursement of the Guaranteed Bank Bonds that, in turn, will allow the release of the loan portfolio or the cash collections generated thereby. In this regard it should be noted that in July 2017 drawdowns of the subordinated loan had been reduced to Euro 70 million, as a first partial early redemption was made taking advantage of part of the principal generated by the loan portfolio sold. Subsequently, in October 2017, an additional Euro 200 million was repaid, again on the basis of the available capital provided by the transferred loan portfolio.

The liquidity generated by the portfolio may - within legal limits - also be used for suitable investments or deposits, based on BPER Banca's indications as Investment Agent. It may not, however, in view of the inadequate level of rating, be entrusted to BPER Banca. Accordingly, cash generated by the portfolio of sold Eligible Assets - for which BPER Banca will remain as Servicer - are transferred to current accounts with Citibank N.A., either in Italy or the UK, since this is a third party with an appropriate rating.

The specific financial feature of the GBB2 Programme is a different structural technique which, in the event of the Parent Company's default and under other circumstances foreseen in the GBB2 Programme, makes it possible to transform the repayment plan of the Covered Bonds according to the loan portfolio amortisation schedule given in guarantee. This eliminates the financial risk associated with a forced and peremptory liquidation of this portfolio, thereby transforming the outstanding Covered Bonds into securities similar to pass-through securities issued as part of securitisation transactions. In this way, the risk profile of a default on the Covered Bonds is clearly attenuated, making it possible to obtain a higher rating.

Counterparties involved in the GBB2 Programme

Issuing Bank, initial Selling Bank, Servicer, Investment Agent, Primary Paying Agent and Calculation Agent: BPER Banca.
Any other seller banks that could join the Programme:

- Banco di Sardegna s.p.a.;
- Banca di Sassari s.p.a.;
- Cassa di Risparmio di Bra s.p.a.;
- Cassa di Risparmio di Saluzzo s.p.a.

Arranger: Finanziaria Internazionale Securitisation Group s.p.a.
Initial Dealer of the first series of bonds issued: Banca Finanziaria Internazionale s.p.a..
Lead Manager of the Second series of bonds issued: RBS.
Lead Manager of the Third series of bonds issued: RBS.
Guarantor: Estense CPT Covered Bond s.r.l.
Representative of the Bondholders (RoB): Securitisation Services s.p.a.
Subsequent Paying Agent, Cash Manager and Account Bank: Citibank N.A. (both Italian and London branches).
Corporate Servicer: Securitisation Services s.p.a.
Guarantor Calculation Agent: Securitisation Services s.p.a.

Legal advisor to BPER Banca: Jones Day Studio Legale.
Asset Monitor and Pool Auditor: PricewaterhouseCoopers s.p.a.
Independent Auditors of the special purpose vehicle: Deloitte & Touche s.p.a.
Rating agencies: Moody's Investor Services.

The requirements for Issuers

According to the Rules, Guaranteed Bank Bonds may be issued by banks belonging to banking groups that have:

- Own Funds not lower than Euro 250 million;
- Total capital ratio at consolidated level not lower than 9%.

These requirements must be satisfied, on a consolidated basis, even by selling banks, where the latter, as provided for by the Programmes' structure, differ from the bank issuing the Guaranteed Bank Bonds. In the case of banks belonging to the same group, reference should be made to consolidated figures.
With reference to the figures at 31 December 2017, the Own Funds of the BPER Banca Group, calculated under the transitional arrangements ("Phased in"), amount to Euro 5,436.831 million and the Total capital ratio is equal to 16.69%.

Limits on the sale of Eligible Assets

The Provisions set limits to the possibility for banks to sell Eligible Assets, which are based on the level of their Tier 1 (T1) and Common Equity Tier 1 (CET1) ratio.
Sale restrictions refer to total transactions of this kind made by a banking group. Banking groups are classified into three categories, with corresponding specific limits as shown below:

- "a" band: for banking groups with T1 Ratio equal to or higher than 9% and CET1 Ratio equal to or higher than 8%, for which there are no sale limits;
- "b" band: for banking groups with T1 Ratio equal to or higher than 8% and CET1 Ratio equal to or higher than 7%, for which there is a sale limit of 60% of appropriate assets;
- "c" band; for banking groups with T1 Ratio equal to or higher than 7% and CET1 Ratio equal to or higher than 6%, for which there is a sale limit of 25% of appropriate assets.

At 31 December 2017, the Tier 1 Ratio was 13.97% and the Common Equity Tier 1 Ratio 13.89% (Phased in).

Organisational structure and procedures

The structuring process for the GBB Issue Programmes meant organising a team to coordinate the activities of all the departments involved. In this regard, a specific structure was set up, the Structured Finance Management Office, which acts as coordinator of the interfunctional team, taking care to involve all the structures involved in the management process of the Covered Bonds. To supervise the structuring process and management of the Programmes, including when it is fully operational, a specific Group Regulation has been prepared followed by a Group Organisational Procedure.

Accounting, capital and tax impact

With the issue of the GBB, BPER Banca, as initial selling bank and any subsequent selling banks will retain substantially all the risks and benefits of the transferred assets as:

- they are required to reinstate, in line with several alternatives, the collateral should the value of assets sold deteriorate and their value fall below the thresholds set by contract;
- the repayment of the subordinated loan granted to the special purpose vehicle is linked to the performance of the secured assets.

The primary objective of creating a special purpose vehicle and the sale of eligible assets thereto is, in fact, to legally segregate, by means of a without recourse sale contract, the selling bank's assets within a separate legal entity. These assets, segregated in this manner, are subject to a restriction as to their use pursuant to Law 130/99 for the protection, among others, of the holders. Thus, the holders of Covered Bonds benefit, on the one hand, from the general guarantee represented by the issuer's capital and on the other, from the guarantee issued by the SPV in respect of the segregated portfolio for which they have priority creditor rights. This structure of "dual protection" facilitates the creation of conditions for a potential reduction in funding costs.
The overall risk profile of BPER Banca as initial selling bank and that of any further selling banks is not altered in any way.
The same regulatory provisions stipulate that the selling banks retain the same capital requirement that they are already required to comply with, in respect of the assets sold, prior to the sale. The transactions, therefore, do not qualify for derecognition: the selling banks must continue to recognise the transferred assets in their entirety in the balance sheet and the considerations received from the sale must be accounted for as opposite entries to the financial liabilities due to the SPVs (IAS 39, § 29).
In turn, these liabilities must be shown net of the subordinated loans granted to the vehicles, due to the principle of substance over form: it is as if the purchase of loans by the SPVs had never taken place.
The subordinated loans are not taken into consideration for the purposes of counterparty risk; these loans must not, in fact, be considered, as the credit risk is already reflected in the valuation of the mortgage loans being sold.
As regards the impact at consolidation level, it should be noted that both the SPVs are BPER Banca Group's entities, as the Parent Company has a 60% holding; they are therefore subject to consolidation, although limited to their own results and financial position.
Finally, regarding the tax implications, consistent with the dictates of art. 7 *bis*, Law 130/99, all taxes and dues are payable as though the sales of the loans had never taken place.
Again, to ensure that the operation was neutral for tax purposes, it was established, as foreseen in art. 7 *bis*, paragraph 7 of Law 130/99, that the sale price would be equal *"to the latest carrying amount of the loans"*, or as certified by the Independent Auditors of the selling Bank.

More specifically, the book value is adjusted for "endogenous variables", that is, cash collected from the loans in the intervening period and contractual interest accruing in the same period. This is also consistent with the regulatory provisions laid down by the Rules as described previously.
As for the other components that could affect the configuration of the carrying amount, i.e. amortised cost and collective impairments (given that they are performing loans), it has been considered in line with the principles of relevance, pertinence and materiality to assume that their value is equal to the one shown in the latest approved and audited financial statements, or the sale price specifically certified by the auditors of the selling Bank.

The risks associated with the transaction

The GBB1 and GBB2 Programmes involve some financial and other risks, subject to analysis and monitoring by the Group's Risk Management and Compliance functions and, specifically with regard to the risks of fraud and unintentional errors in financial reporting, by the Manager responsible for preparing the company's financial reports. In summary the main risk profiles can be summarised as follows:

- Interest rate risk. In the structure of a Covered Bond, the interest rate risk originates from the different characteristics of interest rates on Guaranteed Bank Bonds and on the portfolio of secured assets. These risks are mitigated by hedging derivatives put in place from time to time with market counterparties.
- Credit risk. In the structure of a covered bond, credit risk is attributable to the quality of loans sold by each Selling Bank in the cover pool. Given this risk, the rating agencies, in order to attribute to the Covered Bonds the maximum rating possible, require a level of over-collateralisation which is also linked to the quality of the cover pool.
- Counterparty risk. The counterparty risk is the possibility that the creditworthiness of counterparties involved in the transaction, in other words, the swap counterparties and the non Group bank, with which the SPV has its accounts, may worsen to the point of creating a liquidity problem, with the result that the cover pool funds that flow into the accounts of the SPV or payments made in connection with the swaps are retained by the same counterparties. This risk is mitigated by the involvement of high rated counterparties and the existence of clauses, in the relevant ISDA and CSA contracts as well as in the "Cash Management and Agency Agreement", according to which, in the case of downgrading of the counterparties, they will be immediately replaced.
- Liquidity risk. An issue of "bullet" Covered Bonds with a cover pool relating to mortgage loans with a given repayment plan entails the need for dynamic management of the cover pool itself. The funds received from the collection of capital instalments on the mortgage loans relating to the cover pool may have to be, in fact, reinvested in new mortgage loans with similar characteristics. If the Group does not have eligible mortgages available to be sold to supplement the cover pool (or to replace non-performing mortgages), it would be forced to pay cash or eligible securities, impacting negatively on Counterbalancy Capacity (the limit set by the Rules for these assets is 15%).
- Compliance risk. The articulate and accurate external legislation regulating Guaranteed Bank Bonds, together with management and internal operating rules, require a precise and formal structuring of activities under the Programmes, both during the up front and on going phases. The analysis of compliance requirements has been performed by the Compliance function.
- Reputational risk. Reputational risk is the possibility that the failure by BPER Banca to fulfil certain obligations arising from its role in the Programmes adversely affects the credibility and image of the Group on the market, resulting in a significant economic and financial impact. In addition to the risks outlined above, already existing at the inaugural issue, there are aspects associated with the multioriginator characteristic of the Programmes, which will be formally integrated into the body of the contract and management processes, as and when other Group Banks join the Programmes as originators.
- Risk of financial inadequacy. The regulatory provisions, in the discipline of Guaranteed Bank Bonds, in relation to the complexity of the contractual profiles and the possible impact on the technical structure of these transactions, require, among other things, a careful assessment of the impact on the financial stability of the bank. The analysis of the projects by the Board of Directors, highlighted:
    - regarding the impact on results, the transactions would have led to, with reference to available market data, a lower cost of funding compared with equivalent senior transactions and this would have allowed start-up costs to be fully covered, already in the

first year, as well as to cover ongoing costs for the period. Under current market conditions, this original estimate may be considered highly conservative;

- regarding the impact on the financial position, having valued the portfolio of eligible residential or commercial mortgage loans, at Group level, there was an assumed plan for 7 and 10 year issues respectively, for the first and second Programme, so as to have appropriate margins for restoration of the cover pool, if necessary, without this having an impact on the Group's financial position or commercial practices.

These findings have allowed the Board to determine that the transactions do not negatively affect the financial stability of the bank and of the Group as a whole.

Organisational and management aspects of special purpose vehicles

With regard to organisational and management aspects of special purpose vehicles (in order to assess their adequacy in relation to the role assigned them) and the contracts entered into as part of the Programmes, "Reports on the transferee company" have been prepared by external legal consultants, in order to ensure that the contracts entered into as part of the Programmes contain clauses that ensure the regular and efficient performance of functions by the assignees, as required by the Regulations.

Assessment of legal aspects of the Programmes for Issue of Guaranteed Bank Bonds

Studio Legale Linklaters and Studio Legale Allen & Overy, for the GBB1 and GBB2 Programme respectively, also issued reports to assess the legal aspects of the activities involved in the Programmes in accordance with the Rules. The reports contain a thorough assessment of legal structures and contractual arrangements used, with particular attention to the characteristics of the guarantees given by the assignee companies and the overall relationships between and among the participants in the Programmes.

Annual assessment of the Programmes for Issue of Guaranteed Bank Bonds by Asset Monitor

Note that, in accordance with the terms of relevant regulations, the asset monitor – in this case PricewaterhouseCoopers s.p.a. replaced Deloitte & Touche s.p.a. in July 2017 – performs annual reviews of the Programmes' status and issues a report to the Board of Directors, the Board of Statutory Auditors and the Bank's Internal Audit Function.

As of to date, reviews have been performed for 2011, 2012, 2013, 2014, 2015 and 2016 without any significant findings emerging.

1.2 Banking Group – Market risk

1.2.1 Interest rate risk and price risk - Trading portfolio reported for supervisory purposes

The Group's organisation provides for centralisation of the market risk control function at the Parent Company; consequently, the qualitative information set out below also reflects the individual position of BPER Banca.

Qualitative information

A. General aspects

As a primary activity, the Group trades on own account.
The portfolio comprises all of the financial instruments acquired for trading purposes or for hedging a risk factor inherent to the portfolio.
"For trading purposes" is understood as being the purchase of financial instruments with the following features:

- exposure to managed risk factors (interest rate risk and price risk, exchange rate risk, issuer risk, counterparty risk and liquidity risk);
- trading done prevalently on active markets;
- securities issued by operators of prime standing.

The trading portfolio is managed according to exposure to the interest rate risk deriving from the overall asset-liability structure and, as a rule, does not include complex or innovative derivatives.
The trading portfolio comprises all those financial instruments not purchased with the aim of achieving equilibrium of the asset-liability structure, but with a view to contributing to the results of the year, optimising the overall risk-yield profile.
The size of the trading portfolio is closely linked to the liquidity position.
Arbitrage and short-term speculative activity with regard to listed derivatives are marginal with respect to routine trading on own account. The objective of the investment strategy underlying trading in these financial instruments is to maximise the overall risk/yield profile via appropriate diversification.
The Parent Company makes medium-term speculative investments in stock markets, in commodity derivatives, in mutual funds and, to a marginal extent, in hedge funds. However, this activity is just a small part of the transactions carried out in the bond markets.
The trading portfolio governance process is centralised in BPER Banca to respond to the needs of central oversight of market risk and greater efficiency of Group investment processes.
This process implies that the individual Group banks remain responsible for optimisation of the yield from liquidity through treasury transactions with BPER Banca or, alternatively, by investing in floating rate or fixed rate bonds issued by the Bank.
In this way, the governance of market risk has been centralised by the Parent Company on the basis of decisions taken by the ALCO and Finance Committee, which is chaired by the Chief Executive Officer.

B. Management and measurement of interest rate risk and price risk

The BPER Banca Group's system of daily checking is consistent with market standards. Value at Risk (VaR) techniques are used to measure market risk.
VaR represents the estimated maximum potential loss, determined based on probabilistic metodologies, that may be suffered by the aggregate concerned over a given time horizon (depending on the degree of liquidity of the portfolio) at a pre-determined level of probability (consistent with the investor's degree of risk aversion).
The methodology used to calculate the VaR belongs to the "variance-covariance" class of models (which approximates well the level of risk inherent in the aggregates analysed, as long as the transactions with a non-linear pay-off comprise only a minimal part of the portfolio), whereby the overall risk depends on the sensitivity of each position to changes in market factors, the volatility of their yields and the degree of correlation between them. The methodologies used to monitor market risks also include a sensitivity analysis based on parallel shifts in the market rate curves.
Currently, the daily calculation of VaR makes reference to two distinct time horizons, in order to meet both regulatory and operational requirements. An analysis is performed with a 10-day time horizon and a 99% confidence interval in order to satisfy the Bank of Italy's requirements (see Bank of Italy's Circular no. 285 dated 17 December 2013 and subsequent amendments) for models that are used to calculate capital adequacy in relation to market risk. This is supported by a further analysis with the same confidence interval, but with a daily time horizon, both to monitor the dynamics of market risk in relation to the Bank's portfolio and to provide a consistent dataset for the recognition of profits and losses for this aggregate. This model is only used for internal management purposes and is not involved in the calculation of the capital adequacy requirements regarding market risk.
The interest rate and price risk control process is centralised at BPER Banca and is carried out by the Risk Management Unit. Periodic information is assured by the distribution of specific daily and monthly reports.
The monitoring and control of interest rate risk of the trading portfolio aims to mitigate the risk in question, by defining certain limits (sensitivity, stop loss and position), in respect of the various risks borne, for portfolios managed by the appropriate Group structure. Limits are checked on a daily basis by the Financial Risk Department.
The daily monitoring and control of the price risk associated with the trading portfolio for supervisory purposes is performed via Value-at-Risk (VaR) analyses. Specifically, the risk related to shares is estimated for each position with respect to a global or sector benchmark index, while the estimate for individual funds is made with reference to a set of risk factors that reflect the management strategy adopted. The overall risk is then determined with reference to the volatility and the correlation between the various risk factors.
The Group's Risk Management Department determines the exposure to exchange risk each day and summarises it monthly in a specific VaR report.

Quantitative information

3. Interest rate risk - Trading portfolio reported for supervisory purposes: internal models and methodologies for the analysis of sensitivity

The VaR readings determined over time horizons of ten days and one day are set out below, in relation to the rate risk associated with the trading portfolio reported for supervisory purposes at 31 December 2017.

Descriptive data		*VaR* Time horizon: 10 days Confidence interval: 99%		*VaR* Time horizon: 1 day Confidence interval: 99%	
Type of transaction	Present value	VaR	Var/Present Value	VaR	Var/Present Value
BOT	-	-	0.00%	-	0.00%
BTP	52,979	121	0.23%	38	0.07%
CCT	-	-	0.00%	-	0.00%
Other government securities	14,852	80	0.52%	25	0.16%
Bonds	265,281	1,518	0.57%	480	0.18%
Mutual funds and Sicavs	58,294	46	0.08%	14	0.03%
Derivatives/Transactions to be settled	(28,326)	9,284	-32.78%	2,936	-10.37%
Effect of diversification		(2,916)		(922)	
Total portfolio 2017	**363,079**	**8,133**	**2.24%**	**2,572**	**0.71%**
Total portfolio 2016	**384,618**	**6,559**	**1.71%**	**2,075**	**0.54%**

The value of the trading portfolio at 31 December 2017 given a parallel shift of +/- 100 basis points (Sensitivity analysis) is set out below.

	+100 bps	-100 bps
31 Dec 2017	55,801	(42,945)
31 Dec 2016	21,958	(16,699)

3. Price risk - Trading portfolio for supervisory purposes: internal models and other methodologies for the analysis of sensitivity

The VaR determined over time horizons of ten days and one day is set out below, in relation to the price risk associated with the trading portfolio reported for supervisory purposes at 31 December 2017.

Descriptive data		VaR		VaR	
		Time horizon: 10 days		Time horizon: 1 day	
		Confidence interval: 99%		Confidence interval: 99%	
Type of transaction	**Present value**	**VaR**	**Var/Present Value**	**VaR**	**Var/Present Value**
Equities	116,912	5,775	4.94%	1,826	1.56%
Mutual funds and Sicavs	58,294	1,962	3.37%	620	1.06%
Derivatives/Transactions to be settled	(10,507)	-	0.00%	-	0.00%
Effect of diversification		(357)		(113)	
Total portfolio 2017	**164,699**	**7,380**	**4.48%**	**2,334**	**1.42%**
Total portfolio 2016	**148,956**	**6,524**	**4.38%**	**2,063**	**1.38%**

1.2.2 Interest rate risk and price risk - Banking book

Qualitative information

A. General aspects, management and measurement of interest rate risk and price risk

Interest rate risk represents the potential impact of unexpected changes in market rates on current profits and the equity value of the Parent Company. This risk typically affects the positions included in the banking book.

The exposure to interest rate risk can be further analysed into:

- income risk;
- investment risk.

Income risk derives from the possibility that an unexpected change in interest rates may reduce net interest income, being the difference between interest received and interest paid. This risk is measured by maturity gap models and depends on:

- the mismatch in the maturity structures of lending and funding, in cases where the related assets and liabilities are remunerated at fixed rates until final maturity;
- the mismatch of the review periods for rate conditions, in the case of floating-rate assets and liabilities.

The timing mismatches mentioned above expose BPER Banca to:

- refinancing risk: the risk arising when the average maturity period (period until the next rate review) is shorter for funding than for lending. In this case, the Bank is exposed to possible increases in interest rates (the Bank is Liability Sensitive);
- reinvestment risk: the risk arising when the average maturity period (period until the next rate review) is shorter for lending than for funding. In this case, the Bank's net interest income will decline if interest rates fall (the Bank is Asset Sensitive).

Investment risk derives from the possibility that adverse changes in the value of all assets, liabilities and off-balance sheet instruments held by the Bank, following changes in interest rates, may destabilise the equilibrium of the balance sheet. This risk is measured by duration gap and sensitivity analysis techniques.

The following types of interest rate risk are identified:

- *Repricing Risk:* risk associated with differences in the maturities (fixed rate) and the repricing dates (floating rate) of the assets and liabilities held in the portfolio.
- *Yield Curve Risk:* risk associated with changes in the gradient and shape of the yield curve.
- *Refixing Risk:* risk associated with the timing of changes in market parameters, for floating rate positions. More specifically, this is the risk that rate of rise in interest rates is more marked in the refixing periods for funding than in those for lending.
- *Basis Risk:* risk arising from the imperfect correlation between the indexation parameters for lending and funding, or from unfavourable changes in the gradient of the curve.
- *Optionality Risk:* risk associated with "explicit" or "embedded" options embedded in the banking book's assets and liabilities (e.g. cap/floor/collar, loan prepayment options).

Every month, BPER Banca monitors at both consolidated and legal entity level the impact that unexpected changes in market interest rates might have on the positions in the banking book, considering both current profits (sensitivity of net interest income) and the economic value of shareholders' equity:

- standpoint of current profits: the purchase of considering the impact on current profits is to evaluate interest risk with reference to the sensitivity of net interest income to rate changes over a given period of time. Adverse changes in net interest income potentially affect the financial stability of a bank by weakening its capital adequacy. The change in net interest income depends on the various types of risk;
- standpoint of economic value: changes in interest rates may affect the economic value of the Parent Company's assets and liabilities. The economic value of a bank is represented by the present value of its expected cash flows, defined as the sum of the present value of the cash flows to be generated by its assets, liabilities and positions in derivatives. By contrast with the standpoint of current profits, that of economic value identifies the risk generated by the repricing or maturity gap over a long time horizon.

The objectives to be pursued in support of the proper management of interest rate risk are:

- reduce the adverse effects of the volatility of net interest income (standpoint of current profits). The stability of net interest income is principally influenced by the yield curve risk, repricing risk, basis risk and optionality risk;
- immunise the economic value, being the sum of the present values of all the expected cash flows, generated by both sides of the balance sheet. By contrast with the standpoint of current profits, the standpoint of economic value takes a medium/long-term view and is principally associated with the repricing risk;
- ensure compliance with the related organisational requirements envisaged by the domestic and international supervisory bodies.

The model for the governance of rate risk is based on the following principles:

- consistency with BPER Banca's current business model in terms of autonomy and the coordination of the commercial and lending policies of Group companies;
- allocation to BPER Banca of powers to manage and coordinate, in order to ensure consistency in the overall governance of rate risk and compliance with regulatory requirements;
- segregation between governance processes and the management of rate risk.

The model for the management of interest rate risk focuses on the following measures of risk:

- sensitivity of net interest income;
- sensitivity of economic value.

Analysis of the sensitivity of net interest income identifies the impact of changes in interest rates as a result of parallel and other shocks.

The Bank calculates the sensitivity of net interest income holding rates and volumes constant. According to this model amounts maturing are reinvested on the assumption of constant volumes, rates and maturities.

The following shocks are considered:

- parallel shock of + 100 bps;
- parallel shock of +/- 50 bps;

- parallel shock of - 25 bps.

The indicator is calculated at both Group and Legal Entity levels.

Analysis of the sensitivity of economic value identifies the impact on the value of shareholders' equity of parallel and other shocks to the yield curve. This change is calculated by discounting all the cash flows using two different yield curves: the current curve at the analysis date and that following the shock, and comparing the two values.

$$\Delta VA = VA_{(Curva1)} - VA_{(Curva2)}$$

In order to incorporate the phenomenon known as prepayment of loans[45], in measuring the sensitivity of economic value, a model was adopted according to which the amount of capital prepaid on a loan is estimated through a percentage of early repayment on the capital outstanding during the reference period. The percentage of prepayment defined in this way is maintained constant for the whole duration of the loan.

For the calculation of sensitivity, demand balances outstanding with customers are simulated using an econometric model which identifies a portfolio that replicates them, by allocating demand funding (lending) to a portfolio of liabilities (assets) with an identified effective repricing profile.

In addition to the risk measures mentioned above, the capital absorbed in relation to interest rate risk is also calculated. Sensitivity analysis is applied in order to estimate the capital absorbed, consistent with the standardised approach envisaged by the Supervisory Authorities. Under this approach, the capital absorbed in relation to the banking book's interest rate risk is the change in the economic value (defined as the present value of expected cash flows) caused by a rate shock of 200 basis points.

With regard to price risk, the banking book mainly comprises shares, mutual funds and SICAVs classified as available for sale or measured using the Fair Value Option.

The portfolio is monitored using the VaR methodology described in the section entitled "Interest-rate risk and price risk – trading portfolio for supervisory purposes".

The Risk Management Department determines the exposure to exchange risk each day and summarises it monthly in a specific VaR report.

B. Fair value hedges

As mentioned earlier, the Bank arranges operational hedges against changes in fair value, which are recognised for accounting purposes using the Fair Value Option.

In this regard, the decisions made by the Parent Company concerning the scope of application of the fair value option, included in the "Guidelines for the application of the fair value option by the BPER Group", envisage that - when deemed appropriate based on the results of interest risk monitoring - certain issues of debt instruments and assets will be hedged via plain vanilla OTC derivative contracts.

[45] *Prepayment can be defined as a total or partial early repayment of the residual loan by the borrower.*

C. Cash flow hedges

In compliance with the law, the Bank decided to take advantage of the Hedge Accounting approach, when deemed appropriate.
In this regard, the decisions concerning the scope of application of cash flow hedges, included in the "Guidelines for the application of the fair value to financial instruments by the BPER Group", identify the area of application to the Group's assets and liabilities and provide that, when considered opportune based on the results of interest risk monitoring, certain floating-rate positions are to be hedged by means of plain vanilla OTC derivative contracts.
In the application of the fair value option, income statement recognition is given solely to the change in fair value attributable to the risk being hedged.

Quantitative information

2. Interest rate risk - Banking book: internal models and other methodologies for the analysis of sensitivity

Year end (31 December 2017) and trend data (minimum, average, maximum) for the year is provided below in relation to the change in the interest margin on the banking book following the application of a parallel shift of +100 basis points and -50 basis points to the relevant interest rate curve.

	+100 bps	-50 bps
31 December 2017	**80,737**	**6,879**
maximum change	92,244	7,700
minimum change	71,401	6,809
average change	81,387	7,212
31 December 2016	**47,006**	**8,297**

Year end (31 December 2017) and trend data (minimum, average, maximum) for the year is provided below in relation to the change in the economic value of equity following the application of a parallel shift of +/-100 basis points to the relevant interest rate curve.

	+100 bps	-100 bps
31 December 2017	**112,211**	**(197,885)**
maximum change	221,583	(270,054)
minimum change	82,919	(142,880)
average change	145,539	(201,509)
31 December 2016	**(53,156)**	**(167,875)**

3. Price risk - Banking book: internal models and other methodologies for the analysis of sensitivity

The VaR determined over time horizons of ten days and one day is set out below, in relation to the price risk associated with the banking book at 31 December 2017.

Descriptive data		VaR Time horizon: 10 days		VaR Time horizon: 1 day	
		Confidence interval: 99%		Confidence interval: 99%	
Type of transaction	Present value	VaR	Var/Present Value	VaR	Var/Present Value
Equities Instruments	322,092	15,833	5.20%	5,007	1.64%
Mutual funds and SICAVs	151,804	6,112	3.03%	1,933	0.96%
Derivatives/Transactions to be settled	-	-	-	-	-
Effect of diversification		(681)		(215)	
Total portfolio 2017	**473,896**	**21,264**	**4.49%**	**6,724**	**1.42%**
Total portfolio 2016	**530,334**	**34,790**	**6.56%**	**11,002**	**2.08%**

1.2.3 Exchange risk

Qualitative information

A. General aspects, management and measurement of exchange risk

The BPER Banca Group is exposed to exchange risk as a consequence of routine funding and lending activities and, to a marginal extent, in relation to speculative activities.
The Parent Company's Financial Risk Department determines the exposure to exchange rate risk each day and summarises it monthly in a specific VaR report.

B. Hedging of exchange risk

The BPER Banca Group uses plain vanilla instruments for the operational hedging of exchange risk.

Quantitative information

1. Foreign currency assets, liabilities and derivatives

Captions	Currency					
	US Dollars	Sterling	Yen	Canadian Dollars	Swiss Francs	Other currency
A. Financial assets	**2,502,002**	**274,898**	**2,135**	**3,561**	**15,883**	**9,136**
A.1 Debt securities	2,255,349	247,806	-	-	-	-
A.2 Equity instruments	23,007	1,163	-	302	1,105	341
A.3 Loans to banks	85,699	14,483	926	1,404	6,107	8,258
A.4 Loans to customers	137,947	11,446	1,209	1,855	8,671	537
A.5 Other financial assets	-	-	-	-	-	-
B. Other assets	**2,909**	**1,925**	**207**	**489**	**1,253**	**1,245**
C. Financial liabilities	**2,435,874**	**264,875**	**8,749**	**4,435**	**15,674**	**11,427**
C.1 Due to banks	2,138,690	248,839	13	81	5,665	1,257
C.2 Due to customers	297,184	16,036	8,736	4,354	10,009	10,170
C.3 Debt securities	-	-	-	-	-	-
C.4 Other financial liabilities	-	-	-	-	-	-
D. Other liabilities	**9,658**	**200**	**-**	**39**	**18**	**89**
E. Financial derivatives						
- Options						
+ long positions	29,036	2,003	582	-	-	253
+ short positions	102,301	2,110	651	-	-	1,753
- Other derivatives						
+ long positions	267,458	54,344	9,784	4,921	3,257	34,163
+ short positions	239,848	65,946	12,122	2,535	4,585	30,510
Total assets	**2,801,405**	**333,170**	**12,708**	**8,971**	**20,393**	**44,797**
Total liabilities	**2,787,681**	**333,131**	**21,522**	**7,009**	**20,277**	**43,779**
Net balance (+/-)	**13,724**	**39**	**(8,814)**	**1,962**	**116**	**1,018**

2. Internal models and other methodologies for the analysis of sensitivity

The VaR determined over time horizons of ten days and one day is set out below, in relation to the risk faced by the BPER Banca Group at 31 December 2017.

	VaR Time horizon: 10 days Confidence interval: 99%	VaR Time horizon: 1 day Confidence interval: 99%
2017 figures	61,708	19,514
2016 figures	94,085	29,752

1.2.4 Derivatives

A. Financial Derivatives

A.1 Trading portfolio for supervisory purposes: period-end values

Underlying assets/Type of derivative	31.12.2017		31.12.2016	
	Over the counter	Central counterparties	Over the counter	Central counterparties
1. Debt securities and interest rates	**4,621,264**	**1,737,274**	**4,167,063**	**1,022,954**
a) Options	1,546,229	61,691	990,420	106,921
b) Swaps	2,383,656	860,205	2,735,184	-
c) Forwards	-	-	-	-
d) Futures	-	815,378	-	916,033
e) Other	691,379	-	441,459	-
2. Equities and stock indices	**1,395**	**10,211**	**554**	**22,368**
a) Options	1,395	8,426	554	21,888
b) Swaps	-	-	-	-
c) Forwards	-	-	-	-
d) Futures	-	1,785	-	480
e) Other	-	-	-	-
3. Currency and gold	**854,255**	**-**	**796,519**	**4,743**
a) Options	304,948	-	303,994	4,743
b) Swaps	-	-	-	-
c) Forwards	549,307	-	492,525	-
d) Futures	-	-	-	-
e) Other	-	-	-	-
4. Goods	**-**	**25,474**	**-**	**14,048**
5. Other underlyings	**-**	**-**	**3**	**-**
Total	**5,476,914**	**1,772,959**	**4,964,139**	**1,064,113**

A.2 Banking portfolio: period-end values

A.2.1 For hedging

Underlying assets/Type of derivative	31.12.2017		31.12.2016	
	Over the counter	Central counterparties	Over the counter	Central counterparties
1. Debt securities and interest rates	**1,659,226**	**4,605,001**	**4,391,623**	**-**
a) Options	-	-	-	-
b) Swaps	1,659,226	4,605,001	4,391,623	-
c) Forwards	-	-	-	-
d) Futures	-	-	-	-
e) Other	-	-	-	-
2. Equities and stock indices	**-**	**-**	**-**	**-**
a) Options	-	-	-	-
b) Swaps	-	-	-	-
c) Forwards	-	-	-	-
d) Futures	-	-	-	-
e) Other	-	-	-	-
3. Currency and gold	**-**	**-**	**-**	**-**
a) Options	-	-	-	-
b) Swaps	-	-	-	-
c) Forwards	-	-	-	-
d) Futures	-	-	-	-
e) Other	-	-	-	-
4. Goods	**-**	**-**	**-**	**-**
5. Other underlyings	**-**	**-**	**-**	**-**
Total	**1,659,226**	**4,605,001**	**4,391,623**	**-**

A.2.2 Other derivatives

Underlying assets/Type of derivative	31.12.2017		31.12.2016	
	Over the counter	Central counterparties	Over the counter	Central counterparties
1. Debt securities and interest rates	**6,395,779**	**565**	**6,592,593**	**-**
a) Options	4,374	-	5,101	-
b) Swaps	6,391,405	565	6,587,492	-
c) Forwards	-	-	-	-
d) Futures	-	-	-	-
e) Other	-	-	-	-
2. Equities and stock indices	**236,470**	**-**	**265,110**	**-**
a) Options	236,470	-	265,110	-
b) Swaps	-	-	-	-
c) Forwards	-	-	-	-
d) Futures	-	-	-	-
e) Other	-	-	-	-
3. Currency and gold	**-**	**-**	**-**	**-**
a) Options	-	-	-	-
b) Swaps	-	-	-	-
c) Forwards	-	-	-	-
d) Futures	-	-	-	-
e) Other	-	-	-	-
4. Goods	**-**	**-**	**-**	**-**
5. Other underlyings	**-**	**-**	**-**	**-**
Total	**6,632,249**	**565**	**6,857,703**	**-**

A.3 Financial derivatives: positive gross fair value - allocation by product

Portfolio/Type of derivative	Positive fair value			
	31.12.2017		31.12.2016	
	Over the counter	Central counterparties	Over the counter	Central counterparties
A. Trading portfolio for supervisory purposes	**85,872**	**2,209**	**102,373**	**398**
a) Options	14,098	-	10,351	398
b) Interest rate swaps	54,647	2,209	72,449	-
c) Cross currency swaps	-	-	-	-
d) Equity swaps	-	-	-	-
e) Forwards	6,419	-	12,577	-
f) Futures	-	-	-	-
g) Other	10,708	-	6,996	-
B. Banking portfolio - for hedging	**14,287**	**39,775**	**62,365**	**-**
a) Options	-	-	-	-
b) Interest rate swaps	14,287	39,775	62,365	-
c) Cross currency swaps	-	-	-	-
d) Equity swaps	-	-	-	-
e) Forwards	-	-	-	-
f) Futures	-	-	-	-
g) Other	-	-	-	-
C. Banking portfolio - other derivatives	**53,371**	**-**	**94,534**	**-**
a) Options	6,787	-	9,297	-
b) Interest rate swaps	46,584	-	85,237	-
c) Cross currency swaps	-	-	-	-
d) Equity swaps	-	-	-	-
e) Forwards	-	-	-	-
f) Futures	-	-	-	-
g) Other	-	-	-	-
Total	**153,530**	**41,984**	**259,272**	**398**

A.4 Financial derivatives: gross negative fair value - breakdown by product

Portfolio/Type of derivative	Negative fair value			
	31.12.2017		31.12.2016	
	Over the counter	Central counterparties	Over the counter	Central counterparties
A. Trading portfolio for supervisory purposes	**104,175**	**20,434**	**138,204**	**1,506**
a) Options	16,439	847	13,019	1,506
b) Interest rate swaps	71,977	19,587	111,585	-
c) Cross currency swaps	-	-	-	-
d) Equity swaps	-	-	-	-
e) Forwards	7,628	-	8,277	-
f) Futures	-	-	-	-
g) Other	8,131	-	5,323	-
B. Banking portfolio - for hedging	**15,391**	**8,993**	**40,697**	**-**
a) Options	-	-	-	-
b) Interest rate swaps	15,391	8,993	40,697	-
c) Cross currency swaps	-	-	-	-
d) Equity swaps	-	-	-	-
e) Forwards	-	-	-	-
f) Futures	-	-	-	-
g) Other	-	-	-	-
C. Banking portfolio - other derivatives	**57,176**	**38**	**93,300**	**-**
a) Options	6,442	-	8,922	-
b) Interest rate swaps	50,734	38	84,378	-
c) Cross currency swaps	-	-	-	-
d) Equity swaps	-	-	-	-
e) Forwards	-	-	-	-
f) Futures	-	-	-	-
g) Other	-	-	-	-
Total	**176,742**	**29,465**	**272,201**	**1,506**

A.5 OTC financial derivatives - Trading Portfolio for supervisory purposes: notional amounts, positive and negative gross fair values by counterparty - contracts not included in offset agreements

Contracts not included in offset agreements	Governments and Central Banks	Other public entities	Banks	Financial businesses	Insurance companies	Non-financial companies	Other parties
1) Debt securities and interest rates							
- notional value	-	-	11	28,923	-	1,495,433	7,514
- positive fair value	-	-	-	398	-	46,028	103
- negative fair value	-	-	-	8	-	6,387	-
- future exposure	-	-	-	116	-	5,352	12
2) Equities and stock indicess							
- notional value	-	-	735	61	-	599	-
- positive fair value	-	-	-	54	-	52	-
- negative fair value	-	-	-	-	-	-	-
- future exposure	-	-	59	5	-	39	-
3) Currency and gold							
- notional value	-	-	-	41,484	-	424,660	6,173
- positive fair value	-	-	-	241	-	9,304	100
- negative fair value	-	-	-	226	-	3,015	23
- future exposure	-	-	-	331	-	3,993	120
4) Other instruments							
- notional value	-	-	-	-	-	-	-
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
- future exposure	-	-	-	-	-	-	-

A.6 OTC financial derivatives: Trading Portfolio for supervisory purposes: notional amounts, positive and negative gross fair value by counterparty - contracts included in offset agreements

Contracts included in offset agreements	Governments and Central Banks	Other public entities	Banks	Financial businesses	Insurance companies	Non-financial companies	Other parties
1) Debt securities and interest rates							
- notional value	-	-	2,959,301	37,555	-	92,527	-
- positive fair value	-	-	18,431	13	-	7,972	-
- negative fair value	-	-	81,851	5,886	-	-	-
2) Equities and stock indices							
- notional value	-	-	-	-	-	-	-
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
3) Currency and gold							
- notional value	-	-	330,370	51,568	-	-	-
- positive fair value	-	-	2,938	238	-	-	-
- negative fair value	-	-	5,524	1,255	-	-	-
4) Other instruments							
- notional value	-	-	-	-	-	-	-
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-

A.7 OTC financial derivatives agreements - Banking book: notional amounts, positive and negative gross fair value by counterparty - contracts not included in offset agreements

Contracts not included in offset agreements	Governments and Central Banks	Other public entities	Banks	Financial businesses	Insurance companies	Non-financial companies	Other parties
1) Debt securities and interest rates							
- notional value	-	-	-	-	-	-	-
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
- future exposure	-	-	-	-	-	-	-
2) Equities and stock indices							
- notional value	-	-	-	64	-	35,075	71,380
- positive fair value	-	-	-	12	-	1	-
- negative fair value	-	-	-	1	-	-	3,622
- future exposure	-	-	-	4	-	1,605	-
3) Currency and gold							
- notional value	-	-	-	-	-	-	-
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
- future exposure	-	-	-	-	-	-	-
4) Other instruments							
- notional value	-	-	-	-	-	-	-
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
- future exposure	-	-	-	-	-	-	-

A.8 OTC financial derivatives - Banking book: notional amounts, positive and negative gross fair value by counterparty - contracts included in offset agreements

Contracts included in offset agreements	Governments and Central Banks	Other public entities	Banks	Financial businesses	Insurance companies	Non-financial companies	Other parties
1) Debt securities and interest rates							
- notional value	-	-	7,382,715	672,290	-	-	-
- positive fair value	-	-	58,575	2,297	-	-	-
- negative fair value	-	-	63,814	2,413	-	-	-
2) Equities and stock indices							
- notional value	-	-	127,701	2,250	-	-	-
- positive fair value	-	-	6,773	-	-	-	-
- negative fair value	-	-	2,381	336	-	-	-
3) Currency and gold							
- notional value	-	-	-	-	-	-	-
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
4) Other instruments							
- notional value	-	-	-	-	-	-	-
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-

A.9 Residual life of OTC financial derivatives: notional values

Underlyings/Residual value	Within 1 year	Beyond 1 year up to 5 years	Over 5 years	Total
A. Trading portfolio for supervisory purposes	**1,905,283**	**1,899,975**	**1,671,656**	**5,476,914**
A.1 Financial derivatives on debt securities and interest rates	1,107,514	1,844,095	1,669,655	4,621,264
A.2 Financial derivatives on equities and stock indices	432	963	-	1,395
A.3 Financial derivatives on exchange rates and gold	797,337	54,917	2,001	854,255
A.4 Financial derivatives on other	-	-	-	-
B. Banking portfolio	**2,853,696**	**3,978,664**	**1,459,115**	**8,291,475**
B.1 Financial derivatives on debt securities and interest rates	2,842,136	3,785,818	1,427,051	8,055,005
B.2 Financial derivative contracts on equity securities and stock indexes	11,560	192,846	32,064	236,470
B.3 Financial derivatives on exchange rates and gold	-	-	-	-
B.4 Financial derivatives on other instruments	-	-	-	-
Total 31.12.2017	**4,758,979**	**5,878,639**	**3,130,771**	**13,768,389**
Total 31.12.2016	**1,860,633**	**7,546,636**	**6,806,196**	**16,213,465**

C. Credit and financial derivatives

C.1 OTC financial and credit derivatives: net fair value and future exposure by counterparty

	Governments and Central Banks	Other public entities	Banks	Financial businesses	Insurance companies	Non-financial companies	Other parties
1) Bilateral financial derivative agreements							
- positive fair value	-	-	7,527	-	-	7,972	-
- negative fair value	-	-	74,380	7,342	-	-	-
- future exposure	-	-	36,167	1,072	-	690	-
- net counterparty risk	-	-	39,051	1,072	-	8,662	-
2) Bilateral credit derivative agreements							
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
- future exposure	-	-	-	-	-	-	-
- net counterparty risk	-	-	-	-	-	-	-
3) Cross product agreements							
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
- future exposure	-	-	-	-	-	-	-
- net counterparty risk	-	-	-	-	-	-	-

1.3 Banking Group - Liquidity risk

Qualitative information

A. General aspects, management and measurement of liquidity risk

The BPER Banca Group has a specific policy for the management of liquidity risk (Group Policy for Liquidity and Funding Risk Governance), which includes the plan for emergencies covering the objectives, processes and strategies for action (Contingency Funding Plan).

Group Policy for Liquidity and Funding Risk Governance

This document, which forms an integral part of the Risk Appetite Framework of the BPER Banca Group, defines the principles, objectives and methods of governance and monitoring of liquidity and funding risk at Group level.
In particular, the policy aims to clarify the internal regulatory framework through:

- the definition of the governance model in terms of the parties involved in risk governance and their roles and responsibilities;
- definition of limits and mitigating actions aimed at risk containment;
- the formalisation of risk management methods, through the establishment of rules, procedures and metrics for the measurement and monitoring of liquidity and funding risk, describing the Stress Test model adopted to evaluate the risk exposure in stress scenarios.

Liquidity risk typically crystallises in the form of failure to meet payment obligations; it may take various forms, depending on the circumstances in which the risk arises. With reference to the definitions adopted at international level, a distinction is made between funding liquidity risk and market liquidity risk.
Funding liquidity risk is the risk that the Parent Company will not be able to make, in an efficient manner, expected and unexpected cash payments, both current and future, nor will it be able to meet collateral obligations, without an adverse effect on current operations or its financial position.
Market liquidity risk, on the other hand, is the risk that the Parent Company is not able to sell a financial asset without incurring a capital loss due to poor liquidity or disorder in the reference market.
These two forms of liquidity risk are often highly correlated, and may crystallise as a result of the same underlying factors. Market liquidity risk is usually considered to be a type of market risk (price risk); accordingly, the processes and rules for measuring, controlling and mitigating liquidity risk focus on the funding risk aspect.
In the context of funding risk, a distinction is made between:

- mismatch liquidity risk, being the liquidity risk implicit in the structure of the Parent Company’s assets and liabilities due to the transformation of maturities typical of financial intermediaries, when the profile of cash outflows is not perfectly matched by the profile of cash inflows (with reference to contractual maturities and routine behaviour);
- contingency liquidity risk, being the risk that future events may require access to significantly more liquidity than previously planned by the Parent Company; in other words, this is the risk of

not being able to settle sudden and unexpected payment commitments in the short or very short term.

Liquidity risk can derive from different types of sources. In particular, two macro-categories are considered: endogenous sources and exogenous sources.

- Endogenous sources of liquidity risk: these include, among specific adverse events for the Group, a rating downgrade or other event that causes the market to lose confidence in the Group. Such a downgrade or a widespread market perception of a deterioration in the Group's solidity (which could arise from other risks, such as major losses on the trading book or loan portfolio) might also result in:
  - reduced access to the market for unsecured funds (e.g. commercial paper) by institutional investors;
  - a reduction in or cancellation of interbank lines of credit;
  - the withdrawal of deposits by retail customers;
  - an increased need for liquidity, for example a request to increase margins and guarantees due, or the need to finance assets that can no longer be sold or converted into securities through securitisations.
- Exogenous sources of liquidity risk include:
  - systemic events that cause a liquidity crisis in the market (political and financial crises, catastrophic events, etc.);
  - specificity of some financial products (derivative contracts, stock-borrowing contracts), where events, such as sudden market movements, bankruptcies or downgrades in the ratings, could trigger a request for further collateral from counterparties;
  - commitments relating to committed lines that in the event of a crisis could generate an increase in the demand for liquidity on the part of customers; endorsement credits or committed lines facilities stipulated with special purpose vehicles in connection with securitisations act in a similar way;
  - structural changes in the market that can lead to an increase in the liquidity risk perceived overall (increasing system demand for more volatile funding sources such as wholesale funds, rapid movement of accounts via internet banking).

Consistent with the Group Guidelines - Internal Control System, the management of liquidity risk can be broken down into the following components:

- definition of risk objectives,
- risk-taking,
- risk management,
- definition of risk exposure and operational limits.

The Group's governance model of short-term liquidity (operating liquidity) is based on centralised governance of liquidity and the related risk. In particular, the Parent Company:

- is responsible for this policy,
- governs short-term liquidity,
- determines and manages the funding plan,
- monitors liquidity risk,

for all Group banks and companies covered by the policy.

Funding/lending transactions involving liquidity are centralised at the Treasury and Institutional Liquidity Office in order to ensure that the Group's overall liquidity is managed efficiently:

- by optimising access to liquidity markets in terms of volumes and costs, exploiting the creditworthiness of the Group and minimising the cost of funding;
- by centralising "rating sensitive" funding transactions, as well as interventions on the money market;
- by implementing a principle of functional specialisation through centres of competence for secured funding transactions (issues of secured instruments, funding from particular categories of institutional investors, etc.).

The Group's governance model for medium/long term liquidity (or "structural liquidity") is based on the following principles:

- attribution to the Parent Company of the prerogatives for the management and coordination of the commercial and credit policies of Group Companies to ensure consistency in the overall governance of funding risk and to ensure compliance with the requisites envisaged by the regulations;
- communication of decisions and clear division of responsibilities between management, control and operational bodies;
- development of processes for the governance and control of funding risk that are consistent with the Group's reporting structure and by using the governance model formalised by this policy.

From the principles listed above derives a model based on integrated governance of the structural liquidity risk among all Group banks/companies included in the scope of consolidation. Specifically, this model is characterised by the following aspects:

- governance of the structural liquidity risk assigned to individual Group companies within the framework of a system of individual and consolidated limits defined by the Parent Company and formalised in this policy;
- control of structural liquidity risk centralised at the Parent Company.

The Policy and its updates approved by the Parent Company's Board of Directors once they have been reviewed or proposed by the Risk Committee. It is then adopted by the Board of each Group bank/company covered by the policy.
Pursuit of the above objectives takes account of the following aspects:

- segregation of responsibilities and roles between the internal functions responsible for managing liquidity and those responsible for managing liquidity risk;
- measurement of the exposure to liquidity risk, according to the Liquidity Risk Mismatch Model;
- definition of a Group Contingency Funding Plan that establishes the liquidity policy to be followed in a crisis scenario caused by endogenous and/or exogenous factors.

The Liquidity Policy Mismatch Model is based on the liquidity policy and on the metrics and tools aimed at managing liquidity risk, split into short-term liquidity and medium/long-term liquidity. In particular:

- the purpose of managing short-term (operational) liquidity risk is to manage the events affecting the Group's liquidity position over time horizons from 1 day to 1 year, with the paramount objective of maintaining the Group's ability to meet routine and special payment commitments, while minimising the related costs;

- the purpose of managing medium/long-term (structural) liquidity risk, deriving from events that affect the Group's liquidity position over a time horizon in excess of one year, is to maintain a suitable dynamic between medium/long-term assets and liabilities, while avoiding pressure on the current and future sources of short-term liquidity and, at the same time, optimising the cost of funding.

The metrics for monitoring short-term liquidity risk include:

- calculation of the liquidity mismatch having regard for the assets that can be promptly converted to cash, comprising the portfolio of eligible and marketable securities, as well as any reserves under the form of working capital;
- maintaining the lending-funding maturing in the various time bands within a cumulative limit expressed in absolute terms; daily checking for internal operational purposes and weekly checks using the methodologies defined by the Supervisory Authorities.

The metrics for the monitoring of structural liquidity risk include calculation of the liquidity mismatch which, operationally, involves:

- calculating the gap ratio between assets and liabilities in the time bands that exceed one year;
- the use of statistical/quantitative behavioural models for items without contractual maturities or which are subject to options;
- the performance of periodic stress tests which, based on the application of endogenous and exogenous shock scenarios, generate deterministic and/or probability-based indicators of risk.

The Group's liquidity position is monitored both under normal conditions and under stress: scenarios analysis is carried out once a month by the Risk Management Department.
When carrying out stress analysis, scenarios are constructed with reference to events of a systemic nature (Market Stress Scenario) as well as those specific to BPER Banca (Name Crisis Stress Scenario) and with a combination of the two (Composite Scenario), taking account of the macroeconomic environment, commercial policies and potential changes in the behaviour of customers.

Contingency Funding Plan

The Contingency Funding Plan formalises the process of liquidity management under stress or crisis scenarios. The business functions responsible for monitoring and managing liquidity risk must be able to carry out their activities both under normal conditions and under stress scenarios and/or liquidity crises that are unlikely to occur, but which would have a significant impact.
In view of the governance model of the liquidity and funding risk previously illustrated, BPER Banca - as the lender of last resort for all Group subsidiaries - guarantees their short, medium and long-term solvency and is responsible for activating the Contingency Funding Plan, regardless of where in the Group the liquidity crisis arises.
The purpose of the Contingency Funding Plan is to safeguard the net assets of the Bank at the early stages of liquidity stress and to guarantee the Group's continuity in the event of a serious and/or prolonged liquidity crisis, by:

- defining a process for the identification and monitoring of risk indicators that signal and measure the stages in a liquidity crisis;
- identifying ex ante a system of predetermined but flexible actions to be implemented in the early stages of a crisis;
- determining the roles and responsibilities of each business function;

- identifying the internal regulations that may be invoked to justify the actions of the BPER Banca Group's management, which at a time of crisis must be authorised to modify on a timely and perhaps radical basis the structure of the assets and liabilities in the balance sheet.

A state of liquidity crisis is defined as a situation in which a Group finds it difficult or impossible to settle the cash payments falling due, except by activating procedures and/or using tools with an intensity or in a manner not envisaged as part of ordinary administration.
Liquidity crises fall into two broad categories:

- systemic or "market driven" liquidity crises generated by market, political or macroeconomic crises;
- specific liquidity crises or "name crises" limited to the Group or to one or more Group companies/banks.

Considering the types of liquidity crisis and their scale, three operational scenarios have been identified:

- ordinary course of business;
- state of stress;
- state of crisis.

Depending on the scenario, the actions required and the functions involved in its management can be identified.
The operational scenario faced by the Group is identified by monitoring the system of early warnings, which comprises a series of indicators that flag the scenario with reference to progressive levels of stress/crisis associated with one or more drivers. Depending on the level of stress/crisis identified, monitoring and/or communications procedures are activated in preparation for implementing procedures designed to manage the state of stress or state of crisis concerned.

The Contingency Funding Plan and its revisions must be approved by the Board of Directors of the Parent Company.

B. Liquidity indicators

The new harmonised rules for banks and investment companies contained in EU Regulation 575/2013 (CRR), as currently updated, also introduced new liquidity indicators:

- Liquidity Coverage Ratio (LCR): this is an indicator of coverage of short-term liquidity whose purpose is to force banks to accumulate sufficient high-quality assets that are readily convertible into cash, in order to deal with a scenario of high stress on the funding side over a period of thirty days. At 31 December 2017 it comes to 113.7%.
- Net stable funding ratio (NSFR): a structural long-term indicator that is measured with a view to reporting any mismatches between liquid assets and liabilities. At 31 December 2017, the indicator stood at 105.2%. The liquidity requirements are over 100%, so above the minimum requirements of Basel 3.

Moreover, in its 14th update of Circular 285 dated 24 November 2015, the Bank of Italy established a transitional limit for the Liquidity Coverage Ratio (LCR) of 80% for 2017, while starting from 1 January 2018 the minimum threshold will be stable at 100%.

The new rules also place the leverage ratio alongside these indicators. Further details are given in Part F of these Explanatory notes in the section on capital adequacy.

1.1. Distribution of financial assets and liabilities by residual maturity - Currency: Euro

Items/Time period	On demand	1 to 7 days	7 to 15 days	15 days to 1 month	1 to 3 months	3 to 6 months	6 to 12 months	1 to 5 years	Over 5 years	Unspecified maturity
Cash assets	**5,688,499**	**617,396**	**746,470**	**1,712,950**	**4,067,690**	**2,636,032**	**5,761,674**	**21,465,026**	**25,074,155**	**2,028,441**
A.1 Government securities	-	-	29,248	11,144	183,912	75,964	660,663	1,889,544	2,329,612	-
A.2 Other debt securities	6,943	60	10,005	52,146	18,215	73,858	167,870	3,159,850	7,436,455	-
A.3 UCITS units	334,022	-	-	-	-	-	-	-	-	-
A.4 Loans	5,347,534	617,336	707,217	1,649,660	3,865,563	2,486,210	4,933,141	16,415,632	15,308,088	2,028,441
- Banks	365,780	1,285	6,565	102,753	339,432	16,960	24,397	15,796	648	2,028,441
- Customers	4,981,754	616,051	700,652	1,546,907	3,526,131	2,469,250	4,908,744	16,399,836	15,307,440	-
Cash liabilities	**36,461,900**	**2,269,164**	**712,127**	**491,266**	**1,804,251**	**1,381,521**	**2,515,846**	**13,000,271**	**2,152,144**	**-**
B.1 Deposits and current accounts	35,623,679	59,401	82,109	164,635	1,111,121	458,668	380,888	21,932	8	-
- Banks	435,269	-	-	1,267	-	-	-	-	6	-
- Customers	35,188,410	59,401	82,109	163,368	1,111,121	458,668	380,888	21,932	2	-
B.2 Debt securities	71,871	36,935	137,874	166,933	544,830	779,989	1,917,623	3,105,747	811,647	-
B.3 Other liabilities	766,350	2,172,828	492,144	159,698	148,300	142,864	217,335	9,872,592	1,340,489	-
Off-balance sheet transactions										
C.1 Financial derivatives with exchange of capital										
- Long positions	-	79,564	6,495	49,479	106,396	82,623	76,079	18,779	1,328	-
- Short positions	-	86,622	9,909	29,634	116,276	79,314	49,499	14,092	3,363	-
C.2 Financial derivatives without exchange of capital										
- Long positions	75,900	-	-	-	-	-	-	-	-	-
- Short positions	116,058	-	-	-	-	-	-	-	-	-
C.3 Deposit and loans to be received										
- Long positions	-	3,253,177	-	-	-	-	-	-	-	-
- Short positions	-	3,220,392	-	32,786	-	-	-	-	-	-
C.4 Irrevocable commitments to make loans										
- Long positions	22,827	794	1,946	6,574	9,636	9,741	17,109	346,508	460,772	178
- Short positions	850,881	-	-	-	-	-	-	-	-	-
C.5 Financial guarantees given	172	-	-	-	-	45	26	1,417	85	-
C.6 Financial guarantees received	-	-	-	-	-	-	-	-	-	-
C.7 Credit derivatives with exchange of capital										
- Long positions	-	-	-	-	-	-	-	-	-	-
- Short positions	-	-	-	-	-	-	-	-	-	-
C.8 Credit derivatives without exchange of capital										
- Long positions	-	-	-	-	-	-	-	-	-	-
- Short positions	-	-	-	-	-	-	-	-	-	-

1.5. Distribution of financial assets and liabilities by residual maturity - Currency: Other currencies

Items/Time period	On demand	1 to 7 days	7 to 15 days	15 days to 1 month	1 to 3 months	3 to 6 months	6 to 12 months	1 to 5 years	Over 5 years	Unspecified maturity
Cash assets	**91,150**	**2,071**	**18,362**	**25,818**	**147,336**	**38,633**	**78,541**	**2,350,532**	**447,417**	**-**
A.1 Government securities	-	-	-	-	300	3,416	3,514	437,500	30,470	-
A.2 Other debt securities	63	393	6,242	2,420	80,192	25,293	52,650	1,898,886	416,947	-
A.3 UCITS units	13,058	-	-	-	-	-	-	-	-	-
A.4 Loans	78,029	1,678	12,120	23,398	66,844	9,924	22,377	14,146	-	-
- Banks	36,480	-	805	1,327	11,120	1,567	6,852	-	-	-
- Customers	41,549	1,678	11,315	22,071	55,724	8,357	15,525	14,146	-	-
Cash liabilities	**331,943**	**221,559**	**232,829**	**501,219**	**1,383,350**	**4,693**	**1,387**	**-**	**8**	**-**
B.1 Deposits and current accounts	331,603	5,341	-	1,947	4,336	4,693	1,387	-	-	-
- Banks	1,651	255	-	255	941	-	-	-	-	-
- Customers	329,952	5,086	-	1,692	3,395	4,693	1,387	-	-	-
B.2 Debt securities	-	-	-	-	-	-	-	-	-	-
B.3 Other liabilities	340	216,218	232,829	499,272	1,379,014	-	-	-	8	-
Off-balance sheet transactions										
C.1 Financial derivatives with exchange of capital										
- Long positions	-	96,295	16,058	30,280	114,266	78,326	49,084	14,123	1,042	-
- Short positions	-	86,078	12,649	50,031	116,828	80,207	74,772	18,717	1,118	-
C.2 Financial derivatives without exchange of capital										
- Long positions	494	-	-	-	-	-	-	-	-	-
- Short positions	1,624	-	-	-	-	-	-	-	-	-
C.3 Deposit and loans to be received										
- Long positions	-	-	-	-	-	-	-	-	-	-
- Short positions	-	-	-	-	-	-	-	-	-	-
C.4 Irrevocable commitments to disburse funds										
- Long positions	2,475	1,306	5	160	398	22	-	-	-	-
- Short positions	2,393	1,306	-	-	-	-	-	-	-	-
C.5 Financial guarantees given	-	-	-	-	-	-	-	-	-	-
C.6 Financial guarantees received	-	-	-	-	-	-	-	-	-	-
C.7 Credit derivatives with exchange of capital										
- Long positions	-	-	-	-	-	-	-	-	-	-
- Short positions	-	-	-	-	-	-	-	-	-	-
C.8 Credit derivatives without exchange of capital										
- Long positions	-	-	-	-	-	-	-	-	-	-
- Short positions	-	-	-	-	-	-	-	-	-	-

As required by the regulations, liquidity risk includes the self-securitisations carried out by the BPER Banca Group and outstanding in 2017, as shown below.

Estense Finance self-securitisation

During 2009, BPER Banca completed a securitisation of performing residential mortgages pursuant to Law 130 dated 30 April 1999, with a view to strengthening the funding available to tackle liquidity risks.
This operation involved the without-recourse sale of a block of 20,198 performing loans, comprising residential mortgages granted to developers and residential mortgages granted to home owners, totalling Euro 1,922,631,856, to Estense Finance s.r.l., a company formed pursuant to Law 130 that is 9.9% owned by the Bank.
The vehicle company financed the operation via issue of the asset-backed bonds described in the following table, all of which were taken up by BPER Banca.
In order to hedge the interest-rate risk associated with the issue of these bonds, the SPV has arranged an IRS contract with a leading financial institution. The originator has entered into an equal but opposite contract with this institution, in order to internalise the returns from the operation.
The objective of this operation, not involving the market, was to create a reserve of liquidity via the issue of securities eligible for refinancing with the ECB and for use as a guarantee for other funding transactions. It represents one aspect of the liquidity management activities arranged by BPER Banca.
The securities, which initially had a rating only from Standard & Poor's, have since been rated by a second agency, Fitch Ratings, as required by the subsequent changes in European regulations.
As structured, the sale does not transfer to third parties, with respect to the originator bank, the real credit risk associated with the underlying loans. Accordingly, pursuant to the provisions of IAS 39 on the subject of derecognition, the securitised loans remain classified as an asset in BPER Banca's balance sheet and are described in the explanatory notes.

Classes	A	B	C
Issue amount	1,750,000,000	40,000,000	132,632,000
Currency	Euro	Euro	Euro
Maturity	24/08/2048	24/08/2048	24/08/2048
Listing	Luxembourg Stock Exchange	Luxembourg Stock Exchange	Unlisted
ISIN Code	IT0004513542	IT0004513559	IT0004513567
Amortisation	Pass Through	Pass Through	Pass Through
Indexation	3-month Euribor	3-month Euribor	Not indexed
Spread	0.60%	2.50%	Residual
S&P's issue rating	AAA	A	Unrated
Fitch issue rating	Unrated	Unrated	Unrated
Current S&P's rating	AA-sf	Asf	Unrated
Current Fitch rating	AAsf	Asf	Unrated

Sardegna Re-Finance self-securitisation

During 2017, Banco di Sardegna completed a securitisation of performing residential mortgages pursuant to Law 130 dated 30 April 1999 to strengthen the funding available - through BPER Banca - to control liquidity risk.

This operation involved the without-recourse sale of a block of 19,494 performing loans, comprising residential mortgages granted to developers and residential mortgages granted to home owners, totalling Euro 1,494,858,369, to Sardegna Re-Finance s.r.l., a company formed pursuant to Law 130.

The vehicle company financed the operation via issue of the asset-backed bonds described in the following table, all of which were taken up by Banco di Sardegna.

The objective of this operation, which did not involve the market, was to create a reserve of liquidity via the issue of securities eligible for refinancing with the ECB - through BPER Banca - and for use as collateral for other funding transactions. It represents one aspect of the liquidity management activities arranged by the BPER Group.

The securities have been rated by Moody's and DBRS.

As structured, the sale does not transfer to third parties, with respect to the originator bank, the real credit risk associated with the underlying loans. Accordingly, pursuant to the provisions of IAS 39 on the subject of derecognition, the securitised loans remain classified as an asset in Banco di Sardegna's balance sheet and are explained in the notes.

The possibility of subsequent assignments of the loan portfolio is envisaged - within 24 months from the closing date of December 2017 - which will be followed by an adjustment of the securities issued due to the increase in the value of the pool factor.

Classes	A	J
Issue amount	1,668,800,000	531,200,000
Currency	0.69000000	0.69000000
Maturity	Euro	Euro
Listing	22/12/2060	22/12/2060
ISIN Code	Dublin Stock Exchange	Unlisted
Amortisation	IT0005317034	IT0005317042
Indexation	Pass Through	Pass Through
Spread	Euribor 3m	Not indexed
Spread	0.80%	0.00%
Moody's issue rating	Aa2	Unrated
DBRS issue rating	AA (low)	Unrated
Current Moody's rating	Aa2	Unrated
Current DBRS rating	AA (low)	Unrated

Multi Lease AS self-securitisation

A new securitisation transaction called Multi Lease2, worth over Euro 1,014 million, was launched towards the end of 2015 by Sardaleasing s.p.a.; the portfolio is made up of part of the loans already sold in the Multi Lease transaction (closed early in January 2016, but effective for income statement recognition purposes as of 31 December 2015) including the 2013 and 2014 production and the contracts that were not eligible in 2012 for lack of "seniority".
As always, the self-securitisation transaction responds to the need to transform the Group's assets into securities eligible for repo transactions with the ECB; as a direct result, this made it possible to access sources of intercompany funding for 2016 at lower costs with respect to traditional funding.
On 26 January 2016, the sale of a pool of performing loans to the SPV Multilease AS was formalised, with effect from 1 January 2016, while the securities were issued on 18 February 2016; due to the positive performance of the previous deal in 2013, a volume of Senior Notes of Euro 658 million (with an "A-" rating) was confirmed by the rating agencies to be superior to those in the past (64.95% versus 61.5%).
Furthermore, the retention structure of the transaction has been confirmed, that is, the securities have been subscribed for by the Originator (Sardaleasing) and subsequently loaned to the Parent Company and used as collateral for repo transactions with ECB.

The total amount of these notes after the repayment on the payment date (22 January 2018) – repayment of principal Euro 36,958,083.40 and interest Euro 343,994.60 - is Euro 631,873,740.2 made up as follows:

- Class A Senior Notes – Euro 275,969,740.20
- Class B Junior Notes – Euro 355,904,000.00

The residual balance of the portfolio at 31 December 2017 amounted to Euro 678,652,878.17 for a total of 3,064 contracts, including Euro 513,930.63 of unpaid principal instalments.
Based on the servicing contract, credit monitoring and loan recovery remain with the Servicer, which takes all steps possible to collect any loan instalments that have not been repaid or defaulted loans included in the securitised portfolio, using the same recovery policies applied to the non-securitised part of the loans.

Dedalo Finance self-securitisation

In 2011, before it was acquired by BPER Banca, Cassa di Risparmio di Bra s.p.a. completed a self-securitisation under Law 130/99, which allowed the sale of loans by transforming them into securities eligible for refinancing at the European Central Bank. The operation was a multioriginator and through joint use of the portfolios of Cassa di Risparmio di Bra s.p.a., Banca Alpi Marittime s.c. and Bcc di Pianfei and Rocca de Baldi s.c.p.a., made it possible to combine the advantages in terms of lower costs without any penalisation compared with the situation of the individual bank's portfolio. The sale involved the portfolios of performing residential mortgage loans granted to households, which were sold to a company called Dedalo Finance S.r.l., that financed the purchase by issuing bonds.
Each of the loan portfolios sold was rated by two rating agencies to determine the overall quality and structure of the bond issue. Each bank continues to manage its credit position, in terms of both risk management and control, and the business relationship with the customer by virtue of a servicing agreement signed with the SPV.
The structure of the operation involved issuing two tranches of senior securities: one with two AAA ratings, used for refinancing with the ECB, and one tranche of junior securities. Both tranches of securities were subscribed by each bank in proportion to the loans sold.

The securities issued during the operation are as follows:

- Senior Securities (class A) issued for a total of Euro 166,800 thousand, subscribed by Cassa di Risparmio di Bra s.p.a. for Euro 77,000 thousand (at 31 December 2017 the securities show a nominal value of Euro 25,870 thousand).
- Junior Securities (class B) issued for a total of Euro 33,837 thousand, subscribed by Cassa di Risparmio di Bra s.p.a. for Euro 15,625 thousand (at 31 December 2017 the securities show a nominal value of Euro 15,625 thousand).

The securities have gained eligibility at the European Central Bank.

Alchera self-securitisation

In 2013, Cassa di Risparmio di Saluzzo s.p.a. completed a self-securitisation under Law 130/99, by transferring for valuable consideration part of its loans to a special purpose vehicle called Alchera s.r.l., which financed the purchase via the issue of class A securities that had been rated and which were listed on the Irish Stock Exchange, as well as via the issue of class B securities, which were subordinated to the class A securities and were unlisted. The class A securities were used for refinancing with the European Central Bank. The multi-originator transaction took place by combining the loan portfolios of Cassa di Risparmio di Saluzzo s.p.a., Banca Mediocredito del Friuli Venezia Giulia s.p.a. and Banca Cassa di Risparmio di Savigliano s.p.a. with the aim of obtaining a mass of liquidity at a lower cost than traditional means and, as a result, of improving margin money management or of meeting future financing needs. The sale involved portfolios of performing loans that had been granted to small and medium-sized enterprises.
As part of a project to restructure the above operation, the notes subscribed in exchange for the repurchase by the bank of the outstanding loans were repaid during the first quarter of 2017.
The repurchased loan portfolio can be used for other types of refinancing.

1.4 Banking Group – Operational risk

Qualitative information

A. General aspects, management and measurement of operational risk

Operational risk is "the risk of losses due to inadequate or dysfunctional procedures, human resources or internal systems, or to exogenous events, including the legal risk[46]".
The BPER Banca Group adopts the Traditional Standardised Approach (TSA) to calculate the individual capital requirement for operational risk. The Own Funds requirement is calculated using the standardised approach by determining the three-year average of the sum of the annual Own Funds requirement for the lines of business in which the relevant indicator was classified[47].

Note that, on the basis of the principles of organisational separation and independence of functions exercising second and third level control activities, it is envisaged that there is:

- a first level control of operational risk;
- a function that performs second level controls of operational risk within the Risk Management Department, part of the Credit and Operational Risk Management Unit;
- a function for third level controls that is attributed to the Internal Audit Department, in accordance with the Group's internal control system.

Operational risk management is based on the following principles:

- identification: operational risks are identified, highlighted and reported to senior management;
- measurement and assessment: the risk is quantified by determining the impact on business processes, inclusive of the financial impact thereon;
- monitoring: monitoring of operational risk and of exposure to significant losses is ensured, generating information flows that favour active risk management;
- mitigation: appropriate measures have been taken to mitigate operational risk;
- reporting: a reporting system has been set up to report on operational risk management.

The collection and storage of data relating to loss events is done by means of the Group's Loss Data Collection process.
The process of Loss Data Collection is supported by special IT tools, which are under constant development, to ensure the integrity and quality of data.
The assessment of operational risk exposure, which is performed by means of risk self assessment and scenario analysis, is aimed at determining, with an annual time horizon and for significant operating segments:

- the extent of exposure to operational risk;
- an assessment of the adequacy of line processes and controls.

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[46] See (EU) Regulation 575/2013 of the European Parliament and the Council of 26 June 2013 on prudential requirements for credit institutions and investment companies (CRR) – Part one, Title I, art. 4. Legal risk is the risk of losses resulting from violations of laws or regulations, from contractual or extra-contractual liability or from other disputes.
[47] See CRR – Part three, Title III, Chapter 3, art.317.

In 2015, the Group implemented an analytical framework for IT risk, in compliance with Circular 285 of 17 December 2013, with the aim of providing an overview of the current risk situation and the remedy plan needed to avoid exceeding the threshold set for the Group's risk appetite.

In 2017, the Group implemented a reputational risk management framework in accordance with applicable regulations and best practice to continuously oversee and monitor the risk and to mitigate any abnormal situations. With this purpose in mind, objectives and risk exposure and operational limits were established, given that there is no requirement to quantify internal capital in relation to reputational risk.
The Parent Company prepares detailed reports for senior management and the heads of central organisational units concerning the operational losses that occurred during the period and mitigating actions planned for their resolution and a report to the operational structures to make them aware of the losses incurred and of the anomalies to be mitigated.
Specific reporting requirements have also been established by the IT and reputational risk management framework.

Membership by the BPER Banca Group of the DIPO consortium[48] allows the Bank to obtain feedback about the operational losses reported by the other Italian banks that are members. The Parent Company uses these feedback to analyse positioning in comparison with the ones indicated by the system and as support for specific assessments of processes in order to implement any corrective measures that may be needed.
Operational risk management includes the various steps involved in the process of Business Continuity Management. This process is designed to maintain an appropriate level of attention regarding operational continuity and to avoid the progressive obsolescence of organisational measures (rules, impact assessment, scenarios, emergency measures, operating plans etc.) taken to ensure the continuity of critical business processes.

Quantitative information

The following is the distribution of the number of events and operating losses recorded in 2017, divided into the following risk categories:

- internal fraud: losses due to fraud, embezzlement or circumvention of regulations, laws or company policies, excluding incidents of discrimination or failure to apply equal treatment, which involves at least one internal resource of the entity;
- external fraud: losses due to fraud, embezzlement or violation/circumvention laws, by a third party;
- employment and safety at work: losses arising from acts not in compliance with laws or agreements in respect of employment, health and safety at work, from the payment of compensation for personal injuries or incidents of discrimination or failure to apply equal treatment;
- customers, products and business practices: losses arising from unintentional or negligent non-performance relating to professional obligations to specific clients (including fiduciary and suitability requirements), or from the nature or characteristics of the product;

[48] *Database Italiano Perdite Operative (Italian Database of Operational Losses) which the BPER Banca Group has participated in since 2003. The DIPO observatory is a service provided by the Italian Banking Association designed to support the development of Operational Risk Management and to create a methodology for gathering and exchanging information on operational losses suffered by members.*

- damage to fixed assets: losses resulting from loss or damage to assets from natural disasters or other events;
- business interruption and system failures: losses arising from business interruption or system failures;
- performance, delivery and management of processes: losses due to weaknesses in the handling of transactions or management of processes, as well as losses due to relations with business partners and suppliers.

Figure 1 – Breakdown by Frequency

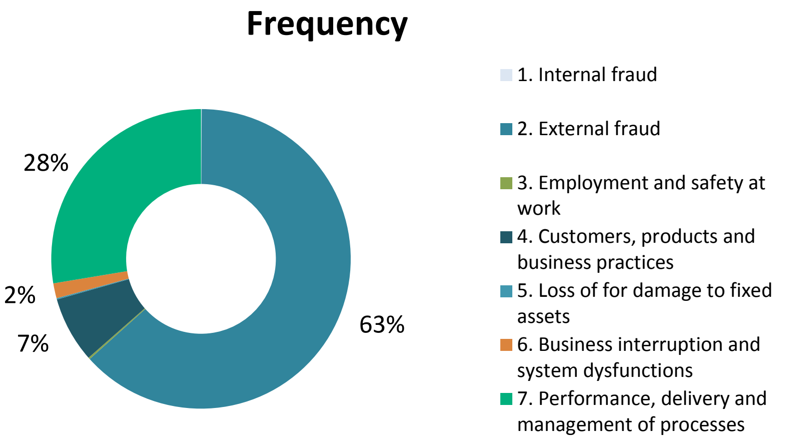
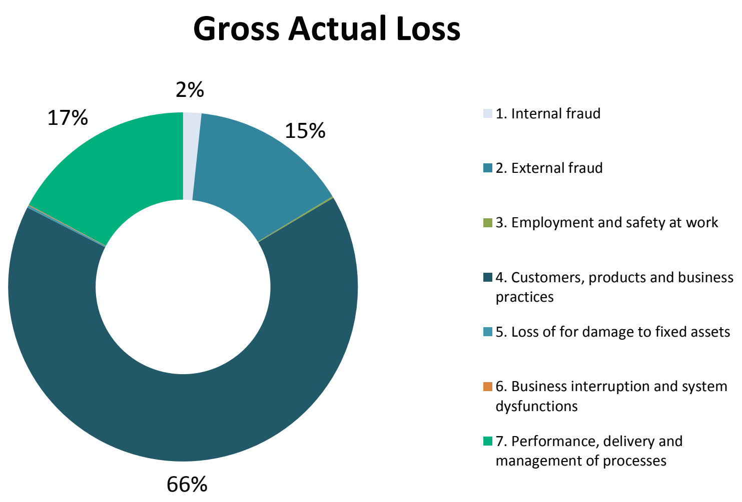


Figure 2 – Breakdown by Gross Actual Loss



An analysis of the graphs shows that the most relevant type of event in terms of frequency is:

- "External fraud" with 63% of the total frequency;
- "Performance, delivery and management of processes", with 28% of the total frequency.

In terms of economic impact the most significant events related to:

- "Customers, products and business practices", with 66% of the total gross loss;
- "Performance, delivery and management of processes", with 17% of the total gross loss.

Part F - Information on consolidated shareholders' equity

Section 1 - Consolidated shareholders' equity

Qualitative information

Equity management and its continuous monitoring in terms of size and quality compared with the risks assumed is an activity that the BPER Banca Group carries on constantly to ensure an adequate level of capitalisation in compliance with the prudential rules. A suitable combination of different capitalisation instruments and continuous monitoring have enabled the Group to achieve one of the best capital profiles among Italian banking groups.

By means of an active style of capital management, the Parent Company has succeeded in combining development projects and the best possible use of its capital; the size of the Group's consolidated capital resources and those of the individual Group companies are verified periodically and brought to the attention of management and of the Board of Directors and Board of Statutory Auditors. The capital position is monitored as part of the RAF (Risk Appetite Framework) process, by the Risk Committees, in periodic reports relating to the financial statements and in the impact simulations relating to extraordinary transactions and regulatory changes. As Parent Company, BPER Banca performs the role of coordination and guidance of Group companies, coordinating the management of capital in each company and providing appropriate guidelines.

The Parent Company is subject to the capital adequacy requirements established by the Basel Committee, in accordance with the rules defined by EU Regulation 575/2013 (CRR). In regulatory terms, BPER Banca, Banco di Sardegna s.p.a. and Banca di Sassari s.p.a. were authorised from 30 June 2016 to use the AIRB approach for measuring credit risk for corporate and retail segments, while all other entities of the BPER Banca Group continue to use the "Standardized Approach" (SA).

Capital management, planning and allocation activities are intended to govern the current and future financial strength of the Group with the use of levers linked to the improvement of the level of capital, such as conservative pay-out policies, strategic finance transactions (capital increases, convertible bonds, subordinated bonds) and levers linked to the limiting of risk, such as insurance, managing lending policy on the basis of counterparty risk, type of exposure and the guarantees provided.

Quantitative information

B.1 Consolidated shareholders' equity: breakdown by business type

Captions	Banking Group	Insurance companies	Other businesses	Consolidation adjustments and eliminations	31.12.2017
Share capital	2,139,316	-	-	(576,289)	1,563,027
Share premium	1,379,430	-	-	(366,021)	1,013,409
Reserves	3,736,678	-	-	(911,912)	2,824,766
Interim dividends	-	-	-	-	-
Equity instruments	-	-	-	-	-
(Treasury shares)	(7,258)	-	-	(1)	(7,259)
Valuation reserves	146,432	-	-	(526)	145,906
- Financial assets available for sale	129,315	-	-	(1,205)	128,110
- Property, plant and equipment	-	-	-	-	-
- Intangible assets	-	-	-	-	-
- Foreign investments hedges	-	-	-	-	-
- Cash-flow hedges	(1,534)	-	-	-	(1,534)
- Exchange differences	-	-	-	-	-
- Non-current assets and disposal groups held for sale	-	-	-	-	-
- Actuarial gains (losses) on defined-benefit pension plans	(124,011)	-	-	-	(124,011)
- Portion of valuation reserves relating to investments carried at equity	-	-	-	5,264	5,264
- Special revaluation laws	142,662	-	-	-	142,662
- Other	-	-	-	(4,585)	(4,585)
Profit (loss) of the period pertaining to the Group and minority interests	206,449	-	-	(29,567)	176,882
Consolidated shareholders' equity	**7,601,047**	**-**	**-**	**(1,884,316)**	**5,716,731**

B.2 Valuation reserves for financial assets available for sale: breakdown

Assets/Amount	Banking Group		Insurance companies		Other businesses		Consolidation adjustments and eliminations		31.12.2017	
	Positive reserve	Negative reserve	Positive reserve	Negative reserve	Positive reserve	Negative reserve	Positive reserve	Negative reserve	Positive reserve	Negative reserve
1. Debt securities	107,868	30,218	-	-	-	-	968	1	108,836	30,219
2. Equity instruments	49,429	684	-	-	-	-	(38)	-	49,391	684
3. UCITS units	4,334	1,414	-	-	-	-	-	2,134	4,334	3,548
4. Loans	-	-	-	-	-	-	-	-	-	-
Total 2017	**161,631**	**32,316**	**-**	**-**	**-**	**-**	**930**	**2,135**	**162,561**	**34,451**
Total 2016	**153,727**	**44,444**	**-**	**-**	**-**	**-**	**1,256**	**2,143**	**154,983**	**46,587**

The valuation reserve for financial assets available for sale at 31 December 2017 has a positive net balance of € 128,110 thousand (at 31 December 2016 it had a positive balance of € 108,396 thousand).
The net reserve for government debt securities amounts to € 28,516 thousand.

B.3 Valuation reserves for financial assets available for sale: change in year

Captions/Amounts	Debt securities	Equity instruments	UCITS units	Loans
1. Opening balance	**56,503**	**52,202**	**(309)**	**-**
2. Positive changes	**130,954**	**5,677**	**8,212**	**-**
2.1 Increases in fair value	103,246	3,855	4,693	-
2.2 Release to the income statement of negative reserves:	3,042	1,194	2,214	-
- from impairment	1,926	1,151	2,173	-
- from disposal	1,116	43	41	-
2.3 Other changes	24,666	628	1,305	-
- of which business combinations	274	-	6	-
3. Negative changes	**108,840**	**9,172**	**7,117**	**-**
3.1 Reductions in fair value	23,909	1,488	1,889	-
3.2 Impairment write-downs	-	-	-	-
3.3 Releases to the income statement of positive reserves:				
- from disposal	50,632	7,293	3,375	-
3.4 Other changes	34,299	391	1,853	-
- of which business combinations	5	-	17	-
4. Closing balance	**78,617**	**48,707**	**786**	**-**

B.4 Valuation reserves about actuarial gains (losses) on defined-benefit pension plans

Captions/Amounts	31.12.2017	31.12.2016
1. Opening balance	**(122,033)**	**(105,113)**
2. Positive changes	**8,528**	**6,335**
2.1 Actuarial gains	7,870	757
2.2 Other changes	658	5,578
3. Negative changes	**10,506**	**23,255**
3.1 Actuarial losses	9,723	20,566
3.2 Other changes	783	2,689
4. Closing balance	**(124,011)**	**(122,033)**

Section 2 - Own funds and capital adequacy ratios

2.1 Scope of application and regulations

The harmonised rules for banks and investment companies contained in Regulation (EU) 575/2013 (CRR) and in the 2013/36/EU Directive (CRD IV) approved on 26 June 2013 and published in the Official Journal of the European Union the next day, entered into force on 1 January 2014. The CRR has been updated subsequently, with the issue of specific regulations.
The regulatory framework, which is the only set of rules that seeks to harmonise prudential regulations of the Member States of the European Community, was made applicable in Italy by the Bank of Italy's Circular no. 285, published on 17 December 2013 and subsequent amendments. This new Circular brings together provisions that were contained in Circular no. 263 of 27 December 2006 and Circular no. 229 of 21 April 1999.

This legislation outlines the substance of a complete and organic prudential framework that is divided into three main parts, each developing specific sections in an analytical manner:

- part 1: it lays down the rules for implementing the provisions contained in CRD IV to be transposed into national law; more specifically, it details the provisions on authorisation to do business, cross-border operations and capital reserves;
- part 2: on the one hand, it contains information on the European standards to be applied immediately, defining the guidelines for application, and, on the other hand, it identifies and explains the so-called "national discretions" and how they are to be applied (it is worth noting in this regard the decisions taken by the national Supervisory Authority about the so-called "transitional arrangements");
- part 3: it governs the topics and types of risk that are not subject to EU legislation, but which are considered essential to keep the domestic regulatory system in line with the standards established by international bodies.

2.2 The Bank's Own Funds

The Group provides information about its Own Funds in the document entitled "Public Disclosures as at 31 December 2017 – Pillar 3", which is published on the website of the Parent Company – www.bper.it – Institutional Area

A. Qualitative information

The elements of Own Funds are:

- Common Equity Tier 1 - CET1;
- Additional Tier 1 - AT1;
- Tier 2 - T2.

CET1 and AT1 constitute Total Tier 1 Capital, which added to Tier 2 Capital leads to the determination of Own Funds.

1. *Common Equity Tier 1 - CET1*

Common Equity Tier 1 capital (CET1) is made up of positive and negative elements:

- Share capital and related share premiums;
- Profit reserves;
- positive and negative valuation reserves (from OCI);
- Other reserves;
- CET1 instruments subject to transitional provisions ("grandfathering");
- Minority interests;
- Prudential filters;
- Deductions.

Prudential filters are positive or negative adjustments of CET1, their purpose being to stabilise the balance sheet aggregate of reference as much as possible, reducing the potential volatility. The prudential filters exclude from CET1 the valuation reserve generated by cash flow hedges and gains/losses arising from changes in own creditworthiness (liabilities under the fair value option and derivative liabilities).
Deductions are negative elements of CET1 such as goodwill, intangible assets and other accounting items that directly reduce the Tier 1 capital component.

On a fully phased basis, the equity instruments listed above have to meet clearly defined requirements (art. 28 CRR):

- they must be classified as equities for accounting purposes;
- they must have a perpetual duration, i.e. not have any maturity;
- they must not be subject to obligations in terms of remuneration;
- they must not be subject to distribution caps;
- any cancellation of distributions must not result in any kind of restriction on the issuer;
- they must be the first to absorb business losses as soon as they occur;
- they are the most subordinated instruments in the event of bankruptcy or liquidation of the entity in question;
- they must not enjoy any form of guarantee or contractual clause that can raise their level of seniority.

2. *Additional Tier 1 - ATI*

"Additional Tier 1 Capital" (AT1) consists of the following positive and negative elements:

- Equity instruments and related share premiums;
- AT1 instruments subject to transitional provisions ("grandfathering");
- instruments issued by affiliates and included in AT1;
- Deductions.

On a fully phased basis, the equity instruments listed above have to meet clearly defined requirements (art. 52 CRR):

- the instruments must be issued or the loans granted and fully paid up;
- the purchase of instruments or the assignment of subordinated loans cannot be paid for by the entity, neither directly nor indirectly;

- the capital receivable for these instruments or subordinated loans is fully subordinated to the receivables of all unsubordinated creditors;
- the instruments or subordinated loans are not hedged or covered by a guarantee that allows the receivable's ranking to be increased by the entity or its subsidiaries, parent company and any company that has close links with the entity;
- the instruments or subordinated loans are not subject to any provision that allows the receivable's ranking to be increased in any other way;
- the instruments or subordinated loans must have an original maturity of at least five years;
- the provisions governing the instruments or subordinated loans must not contain any incentive that encourages the entity to reimburse or repay the principal amount prior to maturity;
- if the instruments or subordinated loans include one or more call or early repayment options, these may be exercised at the sole discretion of the issuer or obligor;
- the instruments or subordinated loans cannot be repaid or repurchased or repaid in advance earlier than five years from the date of issue or assignment;
- the provisions governing the instruments or subordinated loans must not indicate, expressly or implicitly, that they shall or may be redeemed, repurchased or repaid in advance by the entity in cases other than those of insolvency or liquidation;
- the provisions governing the instruments or subordinated loans must not give the holder the right to accelerate future scheduled payments of interest or principal, except in the event of insolvency or liquidation;
- the level of payments of interest or dividends due on these instruments or subordinated loans cannot be changed on the basis of the creditworthiness of the entity or its parent company.

At 31 December 2017 the instruments included in this category relate to investments that involve minority interests, which are subject to transitional arrangements: specifically, they comprise the preferred and savings shares issued by Banco di Sardegna s.p.a.

3. Tier 2 - T2

Tier 2 capital (T2) consists of the following positive and negative elements:

- Equity instruments, subordinated loans and related share premiums;
- T2 instruments subject to transitional provisions ("grandfathering");
- Instruments issued by affiliates and included in T2;
- General adjustments;
- Deductions.

On a fully phased basis, the equity instruments listed above have to meet clearly defined requirements (art. 63 CRR):

- the instruments must be issued/assigned and fully paid up;
- the assignment of the instrument cannot be financed by the entity, neither directly nor indirectly;
- the capital receivable for these instruments has to be fully subordinated to the receivables of all unsubordinated creditors;
- the instruments cannot be hedged, nor subject to any form of guarantee;
- these instruments should not be subject to any provision that increases their credit ranking;
- the instruments must have an original maturity of at least five years;

- the provisions governing these instruments must not contain any kind of incentives that encourage the entity to reimburse or repay the principal prior to maturity;
- in the event that the instruments include in their rules one or more call or early repayment options, they can only be exercised at the discretion of the issuer or obligor;
- the provisions do not give the holder the right to accelerate future scheduled payments, except in the event of the entity's insolvency or liquidation;
- these instruments can be reimbursed, also in advance, but only in that the event that the entity asks for prior authorisation from the competent authority, and not earlier than five years from the date of issue, except in the following cases:
  - the entity of reference replaces the above instruments with other instruments of Own Funds of equal or higher quality, at conditions that are sustainable considering its earning capacity,
  - the entity can demonstrate that it complies with the minimum capital requirements imposed by the regulations to the satisfaction of the competent authority.

At 31 December 2017, the T2 instruments included the Group's subordinated loans covered by the grandfathering rules, since they were issued prior to the deadline of 31 December 2011 identified by the regulations, together with the "Banca popolare dell'Emilia Romagna Subordinated Tier II 4.25% 15/06/2015-15/06/2025 Callable", "BPER Banca Tier II 4.60% 15/12/2016-15/12/2026 Callable" and "BPER Banca EMTN Tier II 5.125% 31/05/2017 -31/05/2027 Callable" bonds.

Transitional arrangements

The new regulations also provide for transitional arrangements ("Phased In"), during which the provisions contained in Circular 285/2013 Section II are gradually introduced. Their applicability to the capital requirements and grandfathering rules develops over a period of about 4 years (2014-2017), during which partial inclusion is replaced by the gradual exclusion of equity instruments that do not meet all the requirements of the CRR.

Specific regulatory requirements

The Supervisory rules introduced by Circular 285/13 require Italian banks belonging to banking groups to fully comply with the following minimum ratios for 2017:

- CET1 ratio of 4.5%;
- Tier 1 ratio of 6%;
- Total Capital ratio of 8%.

In addition to the mandatory requirements prescribed in the Regulations, the following requirements have also been added:

- Capital Conservation Buffer (CCB): this consists of Common Equity Tier 1 capital, for an additional requirement of 1.25% from 1 January 2017 to 31 December 2017;
- Countercyclical Capital Reserve: this is also made up of Tier 1 capital and must be accumulated in periods of economic growth against possible future losses on the basis of a specific coefficient established on a national basis. On 22 September 2017, the Bank of Italy, in its capacity as the designated authority for the adoption of macroprudential measures for the banking sector, published a document with which it set the Countercyclical Capital Buffer (CCyB) also for the fourth quarter of 2017 (relating to exposures to Italy counterparts) as 0%;

- Additional Reserves for so-called Global & Other Systemically Important Institutions (G-SII & O-SII): both consist of Tier 1 capital and make direct reference to entities of particular importance at a global or national level. The buffer for G-SII can vary between a minimum level of 1% and a maximum of 3.5%, whereas the one for O-SII only provides for a non-binding maximum threshold of 2%;
- Capital reserve for systemic risk: it is at least 1% of the related risk exposures and is established by each Member State; it is essentially used to mitigate the risk of non-cyclical macro-prudential long-term risk, i.e. to deal with the negative effects related to unexpected crises in the banking system.

The sum of regulatory requirements and additional reserves determine the minimum level of capital conservation required for banking groups at a consolidated level; for 2017, that level is as follows:

- CET1 Ratio of 5.75%;
- Tier 1 Ratio of 7.25%;
- Total Capital ratio of 9.25%.

At the end of November 2017, the ECB established that BPER Banca Group had to maintain, as from 1 January 2018, the following minimum capital ratios:

- Common Equity Tier 1 Ratio: of 8.125%, consisting of the sum of the minimum requirement pursuant to art. 92 of EU Regulation 575/2013 of the European Parliament and the Council on prudential requirements for banks and other financial institutions (4.50%), plus the amount by which CET1 exceeds the minimum requirement in accordance with art. 16 of EU Regulation 1024/2013 (Pillar 2 Requirement of 1.75%; 1.50% in 2017), plus the capital conservation buffer in accordance with art. 129 of Directive 2013/36/EU that has been transposed into national law (1.875%; 1.25% in 2017);
- Total Capital Ratio: of 11.625%, consisting of the sum of the minimum requirement pursuant to art. 92 of EU Regulation 575/2013 of the European Parliament and the Council on prudential requirements for banks and other financial institutions (8.00%), plus the amount by which CET1 exceeds the minimum requirement in accordance with art. 16 of EU Regulation 1024/2013 (the aforementioned Pillar 2 Requirement equating to 1.75%) and plus the capital conservation buffer in accordance with art. 129 of Directive 2013/36/EU that has been transposed into national law (1.875%).

Conditions for the inclusion of interim or year-end earnings

With reference to EU Regulation 575/2013 (CRR), on 4 February 2015 the ECB issued a "Decision" published in the Official Journal of the European Union on 25 April 2015, that laid down the procedures to be followed by banks under its direct supervision (EU Regulation 468/2014) with regard to the inclusion in CET1 Capital of interim or year-end earnings before a formal decision is taken confirming the result.

They can only be included (art. 26 CRR) with the prior approval of the Competent Authority, which in this case is the ECB, and it will only give approval if the following conditions are met:

- earnings must be checked and certified by the Independent Auditors;
- the Bank must provide a specific declaration about the earnings with particular reference to the accounting standards applied and the inclusion of foreseeable charges and dividends. The latter have to be calculated according to specific methodologies as indicated.

The "Decision" also provides a standard letter and certification form that the Banks have to use when asking for approval.

Considering all of the above, the amount of CET1 has been calculated taking into account the portion of the profit for the year that is allocable to equity, namely Euro 123.5 million. BPER Banca has made the required communication to the ECB regarding its calculation for prudential supervision purposes, both pursuant to art. 3 of Decision (EU) 656/2015 of the European Central Bank dated 4 February 2015 and as envisaged in art. 26, para. 2, of Regulation (EU) 575/2013 (CRR), and received authorisation on 12 February 2018.

Subordinated loans included in Tier 2 capital

Characteristics of subordinated liabilities	Interest rate	Step up	Maturity date	Currency	Original amount (in Euro)	Contribution to Own Funds (in thousands of Euro)
Lower Tier II CARISPAQ subordinated non-convertible bond floating rate, 2010-2020	FR	NO	30-09-2020	Eur	25,000,000	1,168
Total bonds included in the scope of grandfathering					**25,000,000**	**1,168**
Tier II B.P.E.R. subordinated non-convertible bond 4.25%, 2015-2025 callable	4.25%	NO	15-06-2025	Eur	224,855,200	224,855
Tier II B.P.E.R. subordinated non-convertible bond 4.60%, 2016-2026 callable	4.60%	NO	15-12-2026	Eur	12,000,000	12,000
EMTN Tier II B.P.E.R. subordinated non-convertible bond 5.125%, 2017-2027 callable	5.125%	NO	31-05-2027	Eur	500,000,000	500,000
Total bonds not included in the scope of grandfathering					**736,855,200**	**736,855**
Total bonds					**761,855,200**	**738,023**

B. Quantitative information

	31.12.2017	31.12.2016
A. Common Equity Tier 1 capital (Common Equity Tier 1 - CET1) before the application of prudential filters	5,182,424	5,056,027
of which CET1 instruments subject to transitional provisions	-	-
B. Prudential filters for CET1 (+/-)	(12,185)	(13,712)
C. CET1 gross of items to be deducted and of transitional arrangements (A+/-B)	5,170,239	5,042,315
D. Items to be deducted from CET1	714,562	717,349
E. Transitional arrangements - Impact on CET1 (+/-), including minority interests subject to transitional provisions	67,280	172,679
F. Total Common Equity Tier 1 - CET1 (C-D+/-E)	4,522,957	4,497,645
G. Additional Tier 1 capital (AT1) gross of items to be deducted and of transitional arrangements	32,099	36,588
of which AT1 instruments subject to transitional provisions	-	-
H. Items to be deducted from AT1	-	-
I. Transitional arrangements - Impact on AT1 (+/-), including instruments issued by affiliates and included in AT1 following transitional provisions	(3,769)	(7,894)
L. Total additional Tier 1 - AT1 (G-H+/-I)	28,330	28,694
M. Tier 2 capital (T2) gross of items to be deducted and of transitional arrangements	885,478	425,753
of which T2 instruments subject to transitional provisions	*1,168*	*27,183*
N. Items to be deducted from T2	5,850	-
O. Transitional arrangements - Impact on T2 (+/-), including instruments issued by affiliates and included in T2 following transitional provisions	5,916	5,953
P. Total Tier 2 (T2) (M-N+/-O)	885,544	431,706
Q. Total Own Funds (F+L+P)	5,436,831	4,958,045

2.3 Capital adequacy

A. Qualitative information

Particular importance is given to checking compliance with capital adequacy requirements, both at CET1 level and in total. The responsible functions at the Parent Company perform this task on an ongoing basis, with the various departments involved (Finance and Planning Department, Risk Department and Administration and Financial Reporting Department) issuing regular reports as part of the broader process of verifying consolidated capital adequacy. The guidelines for this activity are stated in BPER Banca Group's annual report on the verification of capital adequacy (ICAAP). This report identifies the functions, methodology and approach for measuring and assessing accepted risk on an ongoing basis, with a view to guiding operations and quantifying the capital required by the Group to cover the various risks accepted.

B. Quantitative information

Description/Amounts	Unweighted amounts		Weighted amounts/Requirements	
	31.12.2017	31.12.2016	31.12.2017	31.12.2016
A. Assets at risk				
A.1 Credit and counterparty risk	**77,127,251**	**70,704,571**	**28,048,952**	**27,226,084**
1. Standardised methodology	**34,976,903**	**29,641,800**	**14,377,308**	**12,721,998**
2. Methodology based on internal ratings	**41,919,356**	**40,866,907**	**13,320,340**	**14,130,336**
2.1 Basic	-	-	-	-
2.2 Advanced	41,919,356	40,866,907	13,320,340	14,130,336
3. Securitisations	**230,992**	**195,864**	**351,304**	**373,750**
B. Capital adequacy requirements				
B.1 Credit and counterparty risk			**2,243,916**	**2,178,087**
B.2 Credit valuation adjustment risk			11,608	23,755
B.3 Settlement risk				-
B.4 Market risk			**72,597**	**52,350**
1. Standard methodology			72,597	52,350
2. Internal models			-	-
3. Concentration risk			-	-
B.5 Operational risk			**277,719**	**275,559**
1. Basic method			-	-
2. Standardised method			277,719	275,559
3. Advanced method			-	-
B.6 Other elements for the calculation			**-**	**77,708**
B.7 Total precautionary requirements			**2,605,840**	**2,607,459**
C. Risk assets and capital ratios				
C.1 Risk-weighted assets			32,573,002	32,593,235
C.2 Common Equity Tier 1 capital/Risk-weighted assets (CET1 Capital ratio)			13.89%	13.80%
C.3 Tier 1 Capital/Risk-weighted assets (Tier 1 Capital ratio)			13.97%	13.89%
C.4 Total own funds/Risk-weighted assets (Total capital ratio)			16.69%	15.21%

At 31 December 2016, the amount indicated in item B.6 consisted of specific capital requirements requested by the ECB during the first application of the approach based on internal ratings, corresponding to 3% of total risk-weighted assets. During the 3rd quarter, having completed various activities requested by the ECB at the time when internal models were being validated, approval was given to eliminate the add-ons.
As part of the 2017 SREP process, the ECB assigned the BPER Banca Group minimum capital ratio in terms of Common Equity Tier 1 Ratio of 8.125%, which the Bank exceeds by an ample margin. The excess buffer is equal to 576 bps.

At 31 December 2017, the CET1 ratio on a "fully phased" basis is 13.68% (13.27% at 31 December 2016).

Leverage Ratio (LR)

The leverage ratios are very positive:

- transitional arrangements (Phased in) of 6.1%;
- full application (Fully Phased) of 6%.

Part G – Business combinations

Section 1 – Transactions carried out during 2017

1.1 Business combinations: acquisition of Nuova Cassa di Risparmio di Ferrara s.p.a.

Description of the transaction

BPER Banca completed the purchase of 100% of the share capital of Nuova Cassa di Risparmio di Ferrara s.p.a. on 30 June 2017. That was the date on which the conditions precedent were satisfied for the execution of the share purchase agreement signed on 1 March 2017, including authorisations from the competent authorities, completion of the capital increase of the bank acquired and disposal of a portfolio of non-performing loans.
The operation envisaged purchase of the entire share capital of the bank for Euro 1.

On 19 October 2017 the Board of Directors of BPER Banca approved the absorption of Nuova Cassa di Risparmio di Ferrara s.p.a., after the same decision had been taken by the latter's Board of Directors on 13 October 2017.
The deed of merger, signed on 8 November 2017, was recorded in the following days in the Companies Registers of the banks involved in the merger.
The legal effects of the merger run from 20 November 2017, whereas the tax and accounting effects run from 1 July 2017. For further information, reference should be made to the information provided in the Separate Financial Statements of BPER Banca for the year ended 31 December 2017 and the matters discussed in the Directors' Report on Group Operations in the chapter "Significant events and strategic transactions".

The disclosure required by IFRS 3 § B64 (q) (i), i.e. the revenues and profits/losses of the entity acquired from the acquisition date up to the balance sheet date, is not provided because, following the merger of Nuova Carife by BPER Banca and the fact that the merged bank is not a separate operating segment, this information is not available.

The information required by IFRS 3 § B64 (q) (ii) is provided below:

Name	Date of the transaction	Cost of the transaction	Interest acquired	Total revenues	Net profit/loss
Gruppo BPER Banca	30-Jun-17	1.00	100.00%	2,004,831	107,725

The table provides information on revenues (net interest and other banking income) and the profit (loss) for the year of the entity resulting from the business combination for the current year.

Accounting treatment of the transaction

The acquisition of Nuova Carife was recognised in the consolidated financial statements of the BPER Banca Group in accordance with IFRS 3 "Business Combinations". This standard defines a business combination as a transaction or other event in which a purchaser obtains control of one or more businesses and requires the consolidation of the assets, liabilities and contingent liabilities of the acquired company at their fair value at the date of acquisition, including any identifiable intangible assets not recognised in the acquiree's financial statements.

Under this standard, business combinations must be recognised applying the purchase method.
Applying the purchase method, the price of the business combination must be allocated (Purchase Price Allocation – PPA) at the date of acquisition of control by recognising the assets acquired and the liabilities (including contingent liabilities) assumed at their fair values and minority interests, as well as identifying any implicit intangible assets previously not recognised in the financial statements of the acquiree. Any resulting positive difference between the price of the acquisition and the fair value (net of tax effects) of those assets and liabilities is recognised as goodwill in the balance sheet, whereas any negative difference must be credited to the income statement as "badwill".

In accordance with International Accounting Standards, an acquisition must be recognised on the date that control over the business or operations was acquired: in this case, 30 June 2017, being the date on which the conditions precedent agreed in the purchase agreement signed on 1 March 2017 were satisfied.
On that date, the acquirer has to measure goodwill or badwill as the difference between the total determined in point (a) below and the amount indicated in point (b):

a) the aggregate of:
   a. the value of the consideration transferred at fair value;
   b. the amount of any non-controlling interest;
   c. in a business combination achieved in stages, the fair value of the acquirer's previously-held equity interest in the acquiree;
b) the fair value of the assets acquired, the liabilities assumed and any contingent liabilities.

As previously indicated, the recognition of the business combination requires measurement at fair value of the identifiable assets acquired and liabilities assumed, inclusive of any contingent liabilities and identifiable intangible assets not recognised in the financial statements of the acquired company. Any positive amount remaining after this allocation must be recognised as goodwill, representing a payment by the acquirer for future economic benefits deriving from assets that cannot be identified individually and recognised separately, while any negative residual amount must be recognised as an economic benefit, known as badwill. IFRS 3 allows for the final allocation of the cost of the business combination to be made within twelve months of the acquisition date. The BPER Banca Group has made this election, by including a preliminary estimate of the effects of the PPA in the consolidated half-year report at 30 June 2017 and has completed the process of allocating the purchase price in the consolidated financial statements at 31 December 2017, as explained below.
Recognition of the fair values led to the identification of Euro 190.9 million of badwill.
In accordance with paragraph 36 of IFRS 3, which requires companies to ensure that the assessments correctly reflect all of the information available at the acquisition date, before recognising a gain on purchase at favourable prices, BPER Banca requested an independent advisor to verify the correct identification of all assets acquired and liabilities assumed, as well as the recognition of any other assets or liabilities identified during this verification.
This review confirmed the correctness of the value recorded as badwill, as detailed in the following tables.

Final allocation of the cost of the transaction

As explained above, already at the date of acquisition, the cost of the combination has been allocated by recognising the assets, liabilities and contingent liabilities of the acquired entity at their fair values at the

date of acquisition, including any identifiable intangible assets not recognised in the acquiree's financial statements.
Definitive accounting entries were made for the acquisition of Nuova Carife at 31 December 2017. Based on the detailed information available in the months following the provisional recognition, the procedure for allocating the price paid to the fair value of the identifiable assets acquired and liabilities (including contingent liabilities) assumed revealed, at 30 June 2017, with respect to the book values of the acquired bank:

- a higher value of the "available for sale" assets acquired, represented by shares previously valued at cost, for Euro 6.5 million;
- a lower value of loans to customers for lease transactions for Euro 1.7 million;
- lower property values for Euro 12.0 million;
- a higher value of deferred tax assets linked to temporary differences made in previous years by Nuova Carife, which are now recoverable on the basis of the expected tax results of the merging bank for Euro 40.7 million;
- a higher value of certain types of direct deposit, Euro 2.5 million (mainly attributable to types of restricted, interest-bearing deposits);
- higher provisions for risks and charges, including the recognition of contingent liabilities totalling Euro 3.8 million.

The amounts indicated above are expressed gross of the related tax effect.
The table below summarises the adjustments made and the economic benefit following the definitive allocation of the cost, identifying the fair value of identifiable assets and liabilities (including contingent liabilities) at the acquisition date.

(in thousands of Euro)

PPA Nuova Carife	
Accounting difference between assets and liabilities as at 30 June 2017	**156,029**
Amount paid	(*)
Negative difference to be allocated	**156,029**
Higher FV of AFS	6,525
Lower FV of loans to customers	(1,742)
Lower FV of property, plant and equipment	(11,987)
Higher FV of deferred tax assets (**)	49,560
Higher FV of due to customers	(2,496)
Higher FV of tax liabilities (**)	(1,196)
Higher FV of contingent liabilities	(3,801)
Badwill	**190,892**

(*) BPER Banca paid Euro 1 (one) to the Resolution Fund
(**) The effects of deferred taxes caused by misalignments between book values and fair values are included.

On completion of the allocation process, the total benefit of the acquisition, Euro 190.9 million, was recognised as income in caption 265 of the income statement "Badwill".

The aggregate book value at the acquisition date of the assets and liabilities acquired through Nuova Carife (and its subsidiaries), as well as their fair value in accordance with IFRS 3, is shown below:

(in thousands of Euro)

Assets	Consolidated Nuova Carife 30.06.2017	Purchase Price Allocation	Effect of consolidating Nuova Carife as at 30.06.2017
Cash and cash equivalents	32,073		32,073
Financial assets held for trading	1,076		1,076
Financial assets available for sale	178,245	11,544	189,789
Due from banks	383,508		383,508
Loans to customers	1,339,070	(1,742)	1,337,328
Equity investments	32,098		32,098
Property, plant and equipment	97,665	(11,987)	85,678
Intangible assets	150		150
Tax assets	345,610	49,560	395,170
a) current	250,370		250,370
b) deferred	95,240	49,560	144,800
b1) of which L. 214/2011	93,571		93,571
Other assets	85,670	3,711	89,381
Total assets	**2,495,165**	**51,086**	**2,546,251**

(in thousands of Euro)

Liabilities and shareholders' equity	Consolidated Nuova Carife 30.06.2017	Purchase Price Allocation	Effect of consolidating Nuova Carife as at 30.06.2017
Due to banks	15,537		15,537
Due to customers	1,928,814	2,496	1,931,310
Debt securities in issue	113,096		113,096
Financial liabilities held for trading	1,041		1,041
Tax liabilities:	3,669	1,196	4,865
a) current	1,340		1,340
b) deferred	2,329	1,196	3,525
Other liabilities	157,960	8,730	166,690
Provision for termination indemnities	14,271		14,271
Provisions for risks and charges:	105,428	3,801	109,229
a) pensions and similar commitments	7,181		7,181
b) other provisions	98,247	3,801	102,048
Valuation reserves	(5,260)		(5,260)
Reserves	4,580		4,580
Accounting difference between assets and liabilities	156,029	34,863	190,892
Total liabilities and shareholders' equity	**2,495,165**	**51,086**	**2,546,251**

The considerations made in the process of determining fair value for the purposes of the PPA are summarised below and were carried out with the support of an external consultant:

- Financial assets – debt securities: the carrying amount was consistent with the relative direct reference market (Level 1 of the fair value hierarchy), therefore no change in fair value attributable to these assets was identified.

- Financial assets – equity instruments: methods were used that were linked to market prices (Level 1 of the fair value hierarchy), multiples (Level 2 of the fair value hierarchy) and asset values (Level 3 of the fair value hierarchy), recording lower values for Euro 2.0 million. With regard to the investment in Cedacri, based on the sale price (which took place in January 2018), the transaction price was considered (Level 3 of the fair value hierarchy), recognising a gain of Euro 8.5 million.
- Equity investments: the equity method was used (Level 3 of the fair value hierarchy), which did not result in any fair value differences.
- Performing customer loans: the fair value was determined using the Discounted Cash Flow method (Level 2 of the fair value hierarchy) which discounts the future cash flows for each dossier, considered as the instalments falling due, including the paid-in capital and the interest accrued on maturity, at an appropriate discounting rate, consisting of a risk-free component and a spread component. No fair value changes attributable to these assets have been identified.
- Non-performing customer loans: a market criterion was considered, based on the valuation of non-performing loans in the previous sales of Nuova Carife to the Atlante Fund (Level 2 of the fair value hierarchy). This method was substantially already applied in the Nuova Carife financial statements at 30 June 2017, so no fair value changes attributable to these assets were identified.
- Leases to customers: a book value was recorded in the financial statements of the portfolio in question above the fair value of Euro 1.7 million, in consideration of a special due diligence carried out on this portfolio for the purpose of its sale to Sardaleasing s.p.a. (Level 3 of the fair value hierarchy).
- Property: the book value of the asset in question recognised in the financial statements, estimated for each property by an independent expert, was higher than the fair value, applying the most appropriate method to the case and using the most up-to-date market data, for Euro 12 million (Level 2 of the fair value hierarchy).
- Intangible assets – Core deposits: in consideration of (i) the decrease in volumes related to deposits and the high concentration, (ii) the absence of a mark-down compared with the market benchmark, (iii) a cost/income ratio constantly above 100%, no fair value was identified for this asset.
- Intangible assets – assets under management and administration: considering (i) the high concentration of assets in a few transactions, (ii) a cost/income ratio constantly above 100%, no fair value was identified for this asset.
- Due to customers: a fair value determined using the Discounted Cash Flow method was recorded for Euro 2.5 million higher than the related book value of the liability deriving from a specific funding instrument issued by Nuova CARIFE which has a high level of interest (Level 2 of the fair value hierarchy); in the estimate, the cash flows were discounted at a market rate that was lower than the one at which the instrument was placed.
- Debt securities in issue: the fair value was determined using the Discounted Cash Flow method (Level 2 of the fair value hierarchy) which discounts future cash flows for each issue, intended as a coupon including the principal repaid and the interest accrued on maturity, at an appropriate discounting rate, consisting of a risk-free component and a spread component (Level 2 of the fair value hierarchy). No fair value changes attributable to these liabilities were identified.
- Contingent liabilities: provisions were recorded representing potential liabilities deriving from the costs associated with unwinding transactions relating to securitisation vehicles, from penalties for the delay in IT and document migration to Credito Fondiario (new servicer in the

recovery of bad loans transferred to Italian Credit Recycle S.r.l. and Restart SPV S.r.l.) and of the exemption on the guarantee provided by the Resolution Fund (i.e. the seller) to BPER Banca, for a total of Euro 3.8 million (Level 3 of the fair value hierarchy).

Section 2 – Transactions subsequent to the year end

No business combinations have been carried out after 31 December 2017.

Section 3 – Retrospective adjustments

Description of the transaction

The Purchase Price Allocation (PPA) process relating to Cassa di Risparmio di Saluzzo (CR Saluzzo) was completed on 30 June 2017, following the acquisition of control on 4 October 2016.

On that date, BPER Banca completed – after having obtained the necessary approvals from the competent authorities – the acquisition from Fondazione Cassa di Risparmio di Saluzzo (Fondazione) of a 68.98% controlling interest in CR Saluzzo for Euro 1.18 per share.

The transaction, which was a multi-step acquisition pursuant to the purchase agreement signed by the parties on 13 April 2016, involved the acquisition of 48.98% of the capital of CR Saluzzo and the recognition of a put option at a fixed price allowing the Fondazione to sell the remaining 20.0%. That option was exercised on 23 December 2016.

The total consideration paid for the acquisition of a 68.98% interest was Euro 51.9 million. The equity interest acquired, combined with the interest previously held by BPER Banca Group in the Fondazione of 31.02%, has brought its holding to 100%.

Accounting treatment of the transaction

The accounting treatment applied for the recognition of the acquisition of CR Saluzzo in BPER Banca Group's consolidated financial statements was in accordance with IFRS 3 "Business Combinations". This standard defines a business combination as a transaction or other event in which a purchaser obtains control of one or more businesses and provides for the consolidation of the assets, liabilities and contingent liabilities of the acquired company at their fair value at the date of acquisition, including any identifiable intangible assets not recognised in the acquiree's financial statements.

Under this standard, business combinations must be recognised applying the purchase method.

Applying the purchase method, the cost of the business combination must be allocated (Purchase Price Allocation – PPA) at the transaction date by recognising the assets acquired and the liabilities accepted (including contingent liabilities) at their fair values, the minority interests and any implicit intangible assets previously not recognised in the financial statements of the acquiree. Any resulting positive difference between the cost of the acquisition and the fair value (net of tax effects) of those assets and liabilities is recognised as goodwill in the balance sheet, while any negative difference must be credited to the income statement. In accordance with International Accounting Standards, an acquisition has to be accounted for at the date on which the acquirer obtains control of the acquiree. In this case, although this was a multi-step acquisition, the steps had been predetermined to form part of a sole acquisition of a controlling interest as governed by the share sale and purchase agreement and the effective date thereof

was 4 October 2016, being the date on which the necessary approvals were obtained from the competent authorities that satisfied the conditions precedent set out in the agreement; accordingly, this date has been determined to be the acquisition date.
The acquirer has to measure goodwill at that date as the difference between the total as per point (a) below and the amount indicated at point (b):

a. the aggregate of:
    i) the value of the consideration transferred at fair value;
    ii) the amount of any non-controlling interest;
    iii) in a business combination achieved in stages, the fair value of the acquirer's previously-held equity interest in the acquiree;
b. the fair value of the assets acquired, the liabilities accepted and any contingent liabilities.

As previously indicated, the recognition of the business combination requires measurement at fair value of the identifiable assets acquired and liabilities assumed, inclusive of any contingent liabilities and identifiable intangible assets not recognised in the financial statements of the acquired company. Any positive amount remaining after this allocation must be recognised as goodwill, representing a payment by the acquirer for future economic benefits deriving from assets that cannot be identified individually and recognised separately.
Having identified 4 October 2016 as the acquisition date, the fair value of the net assets acquired was determined to be the equity of the subsidiary at 30 September 2016, being the date of the latest available financial statements and the closest to the transaction date.
IFRS 3 allows for the final allocation of the cost of the business combination to be made within twelve months of the acquisition date. The BPER Banca Group made this election, by including a preliminary estimate of the effects of the PPA in the financial statements at 31 December 2016. In particular, at that date, the excess of purchase price over the net carrying amounts of the net assets acquired of Euro 13,965 thousand was provisionally allocated to the "Goodwill" caption.

Final allocation of the cost of the transaction

Subsequent to the provisional recognition of the acquisition, the additional price paid with respect to the corresponding book value of the equity acquired was allocated to the assets identified following a detailed analysis.
The PPA did not identify any significant differences between the fair value of the assets acquired and the liabilities accepted and the amounts already recognised in the financial statements at 30 September 2016; furthermore, no contingent liabilities were identified.

With regard to the implicit intangible assets not reflected in the financial statements of the acquiree, analysis identified the customer relationships associated with the funding generated by the management of core deposits, being current accounts and savings deposits. This activity has an intrinsic value, in that the holder of the deposits collected may accrue future benefits from the available funds, which can be employed in the performance of lending activities and which bear interest at rates below market. The fair value of core deposits was determined by discounting the profit flows generated by deposits over the expected residual period of the relationships outstanding at the time of acquisition. Accordingly, this asset has a finite useful life and is thus subject to amortisation over the residual duration of the relationships existing at the acquisition date, which was estimated to be 18 years.
The final allocation of the additional value paid with respect to the net fair value of the assets acquired is summarised below.

PPA CR Saluzzo

Equity of the group acquired as at 30 September 2016	**61,264**
value of the consideration	51,893
Fair value of previously-held equity interest	23,336
Positive difference to assign (*)	13,965
Core Deposit	9,061
Tax effect	*(2,996)*
Core Deposit (net of tax effect)	6,065
Goodwill	**7,900**

(*) allocated provisionally to goodwill at 31 December 2016

Completion of the PPA process resulted, pursuant to para. 45 of IFRS3, in the following changes to the amounts reported at 31 December 2016:

- allocation of part of the acquisition cost to intangible assets with a finite useful life, Euro 9.1 million, and the recognition of deferred tax liabilities, Euro 3 million;
- reduction of goodwill to about Euro 7.9 million, from the provisional amount of Euro 14 million.

Part H – Related-party transactions

1. Information on the remuneration of Managers with strategic responsibilities

	Description	31.12.2017	31.12.2016
	Directors		
-	short-term benefits (as shown in the Parent Company's annual report)	2,886	2,940
-	other long-term benefits (as shown in the Parent Company's annual report)	102	-
-	directors' emoluments received from other banks and companies within the scope of consolidation on a line-by-line basis	279	422
	Statutory Auditors		
-	short-term benefits (as shown in the Parent Company's annual report)	522	522
-	Statutory Auditors' emoluments received from other banks and companies within the scope of consolidation on a line-by-line basis	8	16
	Other managers with strategic responsibilities (General Manager, Deputy General Managers, Manager responsible for preparing the company's financial reports and Manager of the executive subcommittees):		
1	- short-term benefits (as shown in the Parent Company's annual report) includes salaries, social security contributions, indemnities in lieu of untaken vacation, paid leave of absence and any fringe benefits, such as insurance, housing and car.	2,868	4,213
	- other short-term benefits - contributions for social contributions (as shown in the Parent Company's annual report)	790	1,100
	- Directors' emoluments received from other Banks and Companies withit the scope of consolidation on a line-by-line basis	321	296
2	post-employment benefits includes payments to supplementary pension funds and provisions for termination indemnities	277	461
3	other long-term benefits	85	-
4	indemnities for termination of employment	98	86
5	share-based payments	-	-

The information provided is consistent with that required by IAS 24.
The amounts shown for the Directors, including the emoluments of the Chief Executive Officer, the Statutory Auditors and other Managers with strategic responsibilities represent their emoluments for the period, regardless of when paid. These amounts are classified in the income statement caption 180-a "Payroll".
As regards the Directors, note that the amount shown (€ 2,886 thousand) consists of their emoluments for the period in accordance with art. 11 of the Articles of Association. More specifically:
- € 1,511 thousand (€ 1,542 thousand at 31 December 2016), which is below that fixed by the Shareholders' Meeting of 8 April 2017 (€ 1,600 thousand), consisting of fees payable to the members of the Board of Directors (€ 832 thousand), supplementary fees payable to members of the Executive Committee (€ 180 thousand) and of all subcommittees (€ 400 thousand), as well as for attendance fees payable to Directors for their participation at meetings of the Board, of the Executive Committee and of subcommittees (€ 99 thousand);
- € 495 thousand (€ 548 thousand at 31 December 2016) of additional emoluments payable to Directors appointed to particular positions in compliance with the Articles of Association (specifically Chairman and Deputy Chairmen); in fact, this remuneration has to be set by the Board of Directors, after having sought the opinion of the Board of Statutory Auditors;
- € 850 thousand (unchanged from the previous year) of additional emoluments payable to the Chief Executive Officer, again in compliance with the Articles of Association, plus € 26 thousand of variable remuneration and € 4 thousand of further non-monetary benefits.
- Other long-term benefits worth € 102 thousand for the Directors (specifically, the Chief Executive Officer), relating, as indicated in the Report on Remuneration, to deferred variable remuneration inclusive of € 64 thousand for a phantom stock-based remuneration plan.
The amounts shown for other Managers with strategic responsibility (the General Manager, 4 Deputy General Managers, the Manager responsible for preparing the company's financial reports and 3 other Group Senior Managers in the Parent Company BPER Banca) belong to the types of costs detailed above. They are disclosed in the Report on Remuneration (art. 123-ter of Legislative Decree 58/1998) in accordance with CONSOB requirements. The amounts at 31 December 2016 referred to a total of 17 Senior Managers.
Other long-term benefits relating to managers with strategic responsibilities relate entirely to the valuation of the Phantom Stocks assigned.
Gli altri benefici a lungo termine riferiti ai dirigenti con responsabilità strategica fanno totalmente riferimento alla valorizzazione delle Phantom stock" assegnate.

2. Related-party transactions disclosures

Other related parties comprise parties controlled or significantly influenced by Directors, Statutory Auditors or Managers, or parties that may exercise significant influence over these individuals, as defined in IAS 24.

	Assets	Liabilities	Guarantees given	Revenues	Costs
Subsidiary	194,977	4,338	-	2,002	2,235
Associates	752,819	7,670	43,038	6,286	2,192
Directors, Statutory Auditors and Managers	448	1,999	6	70	6
Other related parties	5,771	6,588	893	211	2,502
Total 31.12.2017	**954,015**	**20,595**	**43,937**	**8,569**	**6,935**
Subsidiary	86,828	9,129	-	1,390	667
Associates	796,764	6,361	61,622	6,271	2,132
Directors, Statutory Auditors and Managers	1,349	2,662	6	123	18
Other related parties	8,735	9,482	1,127	333	2,075
Total 31.12.2016	**893,676**	**27,634**	**62,755**	**8,117**	**4,892**

There are no critical outstanding balances or transactions with related parties. They all relate to routine banking and other services and arose normally during the year, as a consequence of needs and requirements in the common interests of the parties or, where applicable, of the Group. The conditions applied to individual balances and transactions with these companies are in line with those currently applied in the market.

The total amount of cash and endorsement loans due from Directors, Statutory Auditors, Managers and their related parties comes to € 7.1 million (€ 11.2 million at 31 December 2016). The above amount represents 0.01% of total cash and endorsement loans.

With reference to the entry into force with effect from 2012 of the regulations relating to "Risk activities and Conflicts of Interest in respect of Related Parties" issued by the Bank of Italy with the 9th update of Circular 263/2006, the BPER Group adopted a set of rules which describes the following processes: definition of prudential limits to risk activities with related parties; continuous monitoring of the limits; managing situations where the limits have been exceeded, also governing the roles, responsibilities, tasks and coordination mechanisms of the Corporate Bodies and Top Management of the various functions at the Parent Company and at Group banks and companies.

The provisions for non-performing loans to associates total € 1.6 million; no losses were recognised during the period and net adjustments totalled € 22 thousand (IAS 24, paras. 17 and 18).

	Assets	Liabilities	Guarantees given	Revenues	Costs
Total reference amounts - 31.12.2017	71,338,807	65,622,076	2,703,813	2,413,048	1,736,561
Total reference amounts - 31.12.2016	64,957,028	59,401,315	2,767,010	2,436,377	1,762,794

The total reference amounts for revenues include interest income (caption 10), commission income (caption 40) and other operating income (detail of caption 220); costs include interest expense (caption 20), commission expense (caption 50), other operating expenses (detail of caption 220) and administrative expenses (caption 180).

Related party transactions presented as a percentage of reference amounts (financial position and results)

	Assets	Liabilities	Guarantees given	Revenues	Costs
Subsidiary	0.27%	0.01%	0.00%	0.08%	0.13%
Associates	1.06%	0.01%	1.59%	0.26%	0.13%
Directors, Statutory Auditors and Managers	0.00%	0.00%	0.00%	0.00%	0.00%
Other related parties	0.01%	0.01%	0.03%	0.01%	0.14%
Total 31.12.2017	**1.34%**	**0.03%**	**1.62%**	**0.35%**	**0.40%**
Subsidiary	0.13%	0.02%	0.00%	0.06%	0.04%
Associates	1.23%	0.01%	2.23%	0.26%	0.12%
Directors, Statutory Auditors and Managers	0.00%	0.00%	0.00%	0.01%	0.00%
Other related parties	0.01%	0.02%	0.04%	0.01%	0.12%
Total 31.12.2016	**1.37%**	**0.05%**	**2.27%**	**0.34%**	**0.28%**

Part I – Equity-based payments

A. Qualitative information

1. Description of equity-based payments

On 27 February 2017 the Bank's Board of Directors approved:

- the Remuneration Report pursuant to art. 123-*ter* of Legislative Decree no. 58 dated 24 February 1998, relating to the remuneration policies for 2017 of the BPER Banca Group;
- the remuneration plan pursuant to art. 114-*bis* of Legislative Decree no. 58 dated 24 February 1998, implementing the remuneration policies for 2017 of the BPER Banca Group. The Plan covers those employees of the BPER Banca Group identified as "key personnel" in accordance with the 7th update of 18 November 2014 of Circular no. 285 "Supervisory Provisions for banks", Title IV, Chapter 2 "Remuneration and incentive policies and practices" and in Delegated EU Regulation 604 of 4 March 2014.

Both documents were approved by the Shareholders' Meeting held on 8 April 2017 at single calling.

The remuneration of key personnel is composed of a fixed element and a variable element that is lower than the maximum of 60% of the fixed component, though there are certain exceptional situations[49] in which it is possible to raise this percentage to 100%, and it is governed by particularly stringent rules (Bank of Italy's Circular no. 285, 7th update of 18 November 2014, Section III, paragraphs 1.2, 2.1 points 3 and 4, 2.2.1 and 2.2.2). With regard to alignment to the ex-ante risk, this is based on actual and lasting results, it also takes qualitative objectives into account, it is parametrised to performance indicators, it is measured net of risks and takes into account the level of capital resources.
The sustainability of the overall maximum amount of variable remuneration allocated to key personnel (those most responsible for running the company), is assessed in relation to the economic and financial stability of the Group as a whole.
The payment of bonuses is in fact dependent on achieving basic economic and financial objectives (the so-called "entry gates") that have to be achieved at the same time.

The entry gates that have been identified are based on the following parameters:

- Consolidated Common Equity Tier 1 ratio (CET 1);
- Consolidated Return On Risk-Weighted Assets (RORWA);
- Consolidated Liquidity Coverage Ratio (LCR).

If all the above entry gates are achieved, the company's results are subjected to an assessment which can change the bonus pool by means of a multiplier/demultiplier mechanism which acts directly on the individual target bonuses.
In particular, for key personnel belonging to the Parent Company, with the exception of those belonging to the branch network, the target bonus is determined entirely on the basis of the Group's gross profit.
For key personnel belonging to Group companies and key personnel of the parent company belonging to the network, the target bonus is determined on the basis of both the Group's Gross Profit and the Gross Profit of the company to which they belong.

[49] *Entry bonus or incentive packages designed to facilitate the acquisition of resources that the company deems necessary for the achievement of important objectives.*

For those belonging to consortium companies, the same rules apply as for the key personnel of the parent company.
After it has been verified that the entry gates have been exceeded and the bonus pool has been calculated, the actual allocation of the bonus and the related amount, within the maximum limits[50] of the variable remuneration, are defined through a process of individual performance evaluation that includes an analysis of various qualitative and quantitative indicators.

If the Bonus exceeds a specific amount established by the Board of Directors, the Plan envisages an allocation (which can also be deferred) of part of the total bonus through an assignment of "phantom stock"[51].
In particular, this Plan provides for: (apart from as provided by the stricter regulations foreseen for the CEO of the Parent Company):

- in the case of a bonus of more than Euro 100 thousand:
  - 60% is attributed at the date the bonus is granted ("upfront portion");
  - the remainder of 40% is attributed in equal portions on a deferred basis: for bonuses lower than Euro 120 thousand, it is attributed over the subsequent three years; for bonus amounting to between Euro 120 thousand and Euro 150 thousand, the deferral period is increased to 4 years; for bonuses higher than Euro 150 thousand, there is a 5 year deferral period.

  The allocation of 50% of the up-front and deferred portions takes place through phantom stock, the other 50% in cash;

- for bonuses amounting to between Euro 60 thousand and Euro 100 thousand:
  - 50% of the bonus is attributed at the grant date in cash;
  - the remainder of 50% is allocated through phantom stock, attributed in equal portions in the three years subsequent to the grant year;

- for bonuses amounting to between Euro 30 thousand[52] and Euro 60 thousand:
  - the first Euro 30 thousand is attributed at the grant date in cash;
  - the allocation of the portion of the bonus exceeding Euro 30 thousand[53] takes place through phantom stock entirely attributed in equal portions in the three years subsequent to the grant year;

- for bonuses of less than Euro 30 thousand and less than 30% of the fixed remuneration:
  - the amount in question is attributed at the grant date in cash;

- in the case of the Bank's Chief Executive Officer, assignment of 50% of the bonus in the form of phantom stock; 40% of the portion represented by phantom stock is allocated at the time the Bonus is granted (up-front subject to a 2-year retention period), whereas the other 60% is

[50] *The theoretical maximum amount of the bonus payable is the sum of the maximum bonuses obtainable at an individual level.*
[51] *Phantom Stock: these are "virtual" financial instruments (free, personal and not transferable inter vivos) that assign to each recipient the right to demand on maturity an amount of money corresponding to the value of the BPER Banca stock, calculated as per paragraph 3.8 of the information document on the remuneration plan based on financial instruments - Phantom Stock 2017, at the payment date.*
[52] *Or 30% of the fixed remuneration, if lower.*
[53] *Or 30% of the fixed remuneration, if lower. In exceptional and unlikely circumstances where the bonus is more than 60% of the fixed remuneration, but less than Euro 60 thousand, 50% of the bonus is paid in cash up-front and 50% in phantom stock deferred over three years.*

allocated in equal portions over the next three, four or five[54] years, providing adequate earnings and capital standards are maintained (subject to a 1 year retention period from the vesting date of each deferred portion).

The deferred instalments are subject to malus rules that can reduce the instalment to zero in the event of failure to achieve the access thresholds ("entry gates") for the financial year preceding the year of payment of each deferred instalment.

The malus mechanism, which can block payment of the deferred portions of the bonus, also acts on activation of the clawback clauses.

Note that there are compensation plans still outstanding for the years 2013, 2014 and 2015.

B. Quantitative information

In accordance with the instructions contained in Circular no. 285/2013 (and subsequent updates) and Regulation (EU) 575/2013, the Group provides information on Remuneration Policies also in the document "Public disclosures as at 31.12.2017 - Pillar 3" which is available, as provided by law, on the website of the Parent Company - www.bper.it - Institutional Area

2. Other information

With reference to the compensation plan for 2017, in the light of the economic and financial results achieved at Group level, 36,563 Phantom stocks for a total of Euro 168 thousand were allocated.
Please also note that the same results affect the 2015 Plan allowing the vesting of 32,543 Phantom Stocks, for a consideration of Euro 153 thousand and the 2014 Plan allowing the vesting of 1,416 Phantom Stocks for a consideration of Euro 7 thousand.

[54] *The time period varies according to the amount of the bonus awarded.*

Part L – Segment reporting

According to IAS/IFRS, the disclosures in the financial statements must include descriptive information or more detailed analysis of the values shown in the other schedules of the financial statements (balance sheet, income statement, statement of comprehensive income and statement of changes in shareholders' equity, statement of cash flows).
In addition, the Conceptual Framework of Financial Information points out that financial statements can include additional information compared with what is specifically requested by the Standards, when, in the opinion of those who are preparing the financial statements, this is likely to give a clearer explanation of the company's business.
In this sense, paragraph 1 of the IFRS 8 establishes as the objective of the Standard to provide the information that allows readers of the financial statements to assess the nature and the effects on the financial statements of the various business activities of the company and the economic contexts in which it operates.
Based on these recommendations, the following representation is structured in a broader way with more detailed information than is used in the top management reporting system, which is mainly based on a vision by legal entity[55], although it is aligned with it and can be reconciled with it.
The criteria used to allocate the various captions being analysed are based on qualitative and quantitative parameters that are consistent with the customer segmentation adopted by the Bank only for defining its commercial policies; each segment identified has similar economic characteristics and is internally consistent in terms of:

- nature of products and services offered and distribution processes;
- type of customers;
- marketing approach;
- nature of regulatory environment.

The segments identified are covered in the disclosures made, even if their results are quantitatively lower than the thresholds envisaged, since this is deemed helpful to users of the financial statements.

Segments

Economic and financial information is presented for the following segments:

Retail

This segment comprises the economic and financial information deriving from relations with the following types of customers:

- individuals and joint accounts not regulated by the "BPER Private Banking" service;
- sole traders;
- partnerships or limited companies with sales of less than Euro 2.5 million and agreed facilities with the banking totalling less than Euro 1 million.

This segment also includes the results and financial position of Optima s.p.a. SIM, a Group company, that, by its nature, offers products and services to retail customers.

[55] *Information on the individual legal entities can be found in the schedules attached to these consolidated financial statements*

Private

This segment comprises the economic and financial information deriving from relations with the following types of customers:

- individuals and joint accounts regulated by the "BPER Private Banking" service.

Corporate

This segment comprises the economic and financial information deriving from relations with the following types of customers:

- public administration;
- non financial and non resident companies;
- non-financial partnerships and companies with turnover equal to or greater than 2.5 million but less than 250 million;
- non-financial partnerships and companies with turnover greater than Euro 250 million or belonging to a corporate group (as reported in the general register) with reported consolidated turnover equal to or greater than Euro 250 million;
- financial companies.

This segment also includes the results and financial position of Group companies that, by their nature, offer products and services to Corporate customers (Sardaleasing s.p.a. and Emil-Ro Factor s.p.a.).

Large Corporate

This segment comprises the economic and financial information deriving from relations with the following types of customers:

- partnerships and companies, which on their own or as part of a group, ought to be considered in the Corporate macrosegment, but which are considered as Large Corporate to ensure maximum supervision. (Assignment to this segment is performed solely in expert mode and not automatically).

Finance

This segment includes the results and financial position deriving from treasury activities, management of the Group’s investment portfolio, access to financial markets and specialist operational support for the commercial network.

Corporate centre

Included herein are income statement and balance sheet captions arising from activities related to the governance of the Group, to strategic decisions and results thereof (shareholders' equity, equity investments, etc.) or from activities not directly connected to other areas of the business.

Other activities

This segment also includes the results and financial position of those non-banking Group companies that are not allocated to the other segments.

A.1 Distribution by segment: income statement

Based on the requirements established in IFRS 8, the income statement by segment contains the following information:

Captions	Retail	Private	Corporate	Large Corporate	Finance	Corporate centre	Other activities	Total
Net interest income	400,018	2,218	371,144	23,884	204,366	118,677	4,172	1,124,479
Net commission income	485,757	63,519	177,346	11,516	-	-	2,490	740,628
Net interest and other banking income	880,853	65,614	539,779	34,692	331,678	118,678	9,363	1,980,657
Net profit from financial activities 31.12.2017	**681,393**	**64,997**	**203,239**	**17,004**	**232,087**	**118,678**	**7,343**	**1,324,741**
Net profit from financial activities 31.12.2016	**735,512**	**62,876**	**170,794**	**32,256**	**308,243**	**38,142**	**6,153**	**1,353,976**
Operating costs	(643,022)	(26,786)	(230,976)	(29,697)	(6,113)	(237,998)	(132,035)	(1,306,627)
Profit (Loss) from current operations before tax 31.12.2017	**38,371**	**38,211**	**(29,394)**	**(12,693)**	**225,974**	**63,521**	**(124,870)**	**199,120**
Profit (Loss) from current operations before tax 31.12.2017	**102,395**	**36,950**	**(9,182)**	**2,805**	**303,429**	**(311,214)**	**(114,639)**	**10,544**

The above captions have been allocated to the segments using the information held on the management information system, which has been reconciled with the accounting system.

A.2 Distribution by segment: balance sheet

Based on the requirements established in IFRS 8, the balance sheet by segment contains the following information:

Captions	Retail	Private	Corporate	Large Corporate	Finance	Corporate centre	Other activities	Total
Financial assets	49,178	-	102,353	-	15,159,028	-	149,062	15,459,621
Due from banks	-	-	-	-	3,012,515	-	-	3,012,515
Loans to customers	20,024,984	289,364	23,961,319	3,079,320	193,607	-	266,214	47,814,808
Other assets	580,496	15,241	279,487	26,968	67,329	3,615,490	466,852	5,051,863
Total assets 31.12.2017	**20,654,658**	**304,605**	**24,343,159**	**3,106,288**	**18,432,479**	**3,615,490**	**882,128**	**71,338,807**
Total assets 31.12.2016	**19,056,610**	**220,364**	**23,353,495**	**3,477,078**	**14,949,214**	**3,063,094**	**837,173**	**64,957,028**
Due to banks	-	-	-	-	12,984,226	-	-	12,984,226
Due to customers	27,921,089	1,512,377	9,062,323	1,242,990	2,127,573	-	827,726	42,694,078
Debt securities in issue	6,924,381	426,033	150,377	3,228	-	-	-	7,504,019
Financial liabilities designated at fair value	45,024	2,546	725	25	-	-	-	48,320
Other liabilities and equity	37,174	-	175,212	-	193,727	7,571,134	130,917	8,108,164
Total liabilities and shareholders' equity 31.12.2017	**34,927,668**	**1,940,956**	**9,388,637**	**1,246,243**	**15,305,526**	**7,571,134**	**958,643**	**71,338,807**
Total liabilities and shareholders' equity 31.12.2016	**34,913,683**	**1,910,661**	**7,185,464**	**1,411,454**	**11,381,722**	**7,114,606**	**1,039,438**	**64,957,028**

Balance sheet information has been allocated to the segments using the criteria adopted for the allocation of the income statement.

Financial information by geographical area

All activities of the BPER Banca Group are concentrated essentially in Italy.

Attachments

Fees for audit and non-audit services

Information pursuant to art. 149-duodecies of CONSOB's Issuers' Regulations

This schedule, prepared pursuant to art. 149-duodecies of CONSOB's Issuers' Regulations (Resolution 11971 and subsequent amendments), reports the 2017 fees for audit and non-audit services provided by the Independent Auditors and member firms of the same network. These fees represent the costs incurred and recorded in the consolidated financial statements, including expenses, unrecoverable VAT and the CONSOB contribution.

(in thousands)

Type of services	Party providing the service	Recipient		Fees
Audit services	Deloitte & Touche s.p.a	Parent Company BPER Banca		571
	Deloitte & Touche s.p.a	Subsidiaries in Italy		365
	Deloitte Audit S.à r.l.	Subsidiaries in Luxembourg		74
Certification services:	Deloitte & Touche s.p.a	Parent Company BPER Banca	(1)	178
Other services	Deloitte Consulting s.r.l.	Parent Company BPER Banca	(2a)	400
	Deloitte Consulting s.r.l.	Subsidiaries	(2b)	412
Total				**2,000**

Certification services:
(1) Certification services provided to the Parent Company:
- *activities performed in relation to the translation into English of the condensed consolidated half-year financial statements at 30 June 2017 and of the separate and consolidated financial statements for the year ended 31 December 2017 for € 28 thousand;*
- *activities performed as part of the covered bond issue programme for € 94 thousand;*
- *activities performed for the issue of comfort letters as part of the "Euro Medium Term Notes" issue Programme for € 15 thousand;*
- *activities carried out for the issue of the compliance opinion on the Consolidated Non-Financial Statement (Consolidated Sustainability Report), for € 41 thousand.*

Other services:
(2a) Other services rendered to the Parent Company by Deloitte Consulting s.r.l. :
- *methodological support in surveying the current situation, user requirements and benchmarking in the Operational Risk framework, for € 100 thousand;*
- *methodological support in the detection of regulatory and benchmarking requirements in the area of supervisory reports relating to bad loans, for € 300 thousand.*

(2b) Other services rendered to Group companies by Deloitte Consulting s.r.l.:
- *methodological support in surveying the current situation, user requirements and benchmarking in the Operational Risk framework, in favour of Banco di Sardegna s.p.a. (€ 24 thousand), Banca di Sassari s.p.a. (€ 2 thousand) and Cassa di Risparmio di Bra s.p.a. (€ 2 thousand);*
- *methodological support in surveying user requirements and benchmarking of the "Data Governance" of the 2015-17 Business Plan for € 384 thousand in favour of BPER Services s.cons.p.a.*

Information country by country at 31 December 2017

Information pursuant to Circular 285/2013 of the Bank of Italy

This information is disclosed following the introduction into Italian law, with the 4th update of the Bank of Italy's Circular 285 of 17 December 2013, of the rules laid down in article 89 of EU Directive 2013/36/EU (CRD IV) on Country by Country Reporting.

Name	Head office	Nature of the activity	Turnover (a)	Number of employees	Profit (Loss) before tax (b)	Income taxes (c)	Government grants received
BPER Banca s.p.a.	Italy	Banking	1,436,491	7,062	185,212	(11,603)	120
Banco di Sardegna s.p.a.	Italy	Banking	334,240	2,179	5,716	(3,713)	-
Banca di Sassari s.p.a.	Italy	Banking	57,107	113	9,293	(2,403)	-
Cassa di Risparmio di Bra s.p.a.	Italy	Banking	35,932	155	266	(167)	-
Cassa di Risparmio di Saluzzo s.p.a.	Italy	Banking	23,073	148	583	40	-
Carife SEI	Italy	Asset management	-	-	478	(186)	51
Sardaleasing s.p.a.	Italy	Leasing	61,571	65	(19,891)	1,281	-
Emilia Romagna Factor s.p.a.	Italy	Factoring	21,613	45	8,352	(2,578)	-
Optima s.p.a. S.I.M.	Italy	Asset management	1,266	20	4,570	(1,309)	-
Bper Services s.cons.p.a.	Italy	IT services consortium	(10)	125	(137)	(223)	-
Bper Credit Management s.cons.p.a.	Italy	Debt collection consortium	-	5	20	(18)	-
Numera s.p.a.	Italy	IT services	-	45	367	(102)	-
Nadia s.p.a.	Italy	Real estate	(4)	-	(511)	301	159

Name	Head office	Nature of the activity	Turnover (a)	Number of employees	Profit (Loss) before tax (b)	Income taxes (c)	Government grants received
Tholos s.p.a.	Italy	Real estate	-	-	1,109	(367)	-
Modena Terminal s.r.l	Italy	Storage and safekeeping warehouse	(6)	28	412	(54)	-
Total Italy			**1,971,273**	**9,989**	**195,839**	**(21,101)**	**330**
Bper (Europe) International s.a.	Luxembourg	Banking	9,384	16	3,281	(1,137)	21
Total Luxembourg			**9,384**	**16**	**3,281**	**(1,137)**	**21**
Total			**1,980,657**	**10,005**	**199,120**	**(22,238)**	**351**

Key:

(a) net interest and other banking income, in thousands of euro, net of eliminations where necessary.

(b) profit (loss) from current operations added to profit (loss) before tax on non-current assets held for sale, in thousands of euro, net of eliminations where necessary.

(c) income taxes for the period on current operations and on assets held for sale, in thousands of euro, net of eliminations where necessary.

Certifications and other reports

Certification of the consolidated financial statements for 2017 pursuant to art. 81-ter of Consob Regulation no. 11971 dated 14 May 1999 and subsequent additions and amendments

- The undersigned
  - Alessandro Vandelli, as Chief Executive Officer,
  - Marco Bonfatti, as the Manager responsible for preparing the Company's financial report,

  of BPER Banca S.p.A., having considered the requirements of paras. 3 and 4 of art. 154-bis of Decree no. 58 dated 24 February 1998, confirm:
  - the adequacy in relation to the characteristics of the Bank and
  - the proper application

  during 2017, of the administrative and accounting procedures adopted for the preparation of the consolidated financial statements .

- This assessment of the adequacy of the administrative and accounting procedures adopted for the preparation of the consolidated financial statements at 31 December 2017 is based on a model developed by BPER Banca S.p.A., consistent with the Internal Control - Integrated Framework issued by the Committee of Sponsoring Organizations of the Tradeway Commission. These framework represent reference standards for systems of internal control that are generally accepted at an international level.

- It is also certified that
  - the consolidated financial statements at 31 December 2017:
    a) have been prepared in accordance with the applicable international accounting standards recognised within the European Union pursuant to European Parliament and Council Regulation (EC) no. 1606/2002 dated 19 July 2002, Decree 38/2005 and the enabling regulations for art. 9 of this Decree;
    b) agree with the underlying accounting records and entries;
    c) present a true and fair view of the financial position and results of operations of the Bank and the companies included within the scope of consolidation.
  - The report on operations includes a reliable analysis of performance and the results of operations, as well as of the position of the Bank and the companies included within the scope of consolidation, together with a description of the principal risks and uncertainties to which they are exposed.

Modena, 8 March 2018

Chief executive officer

Alessandro Vandelli

Manager responsible for preparing the company's financial report

Marco Bonfatti

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INDEPENDENT AUDITOR'S REPORT
PURSUANT TO ARTICLE 14 OF LEGISLATIVE DECREE No. 39 OF JANUARY 27, 2010 AND ARTICLE 10 OF THE EU REGULATION 537/2014

To the Shareholders of
BPER Banca S.p.A.

REPORT ON THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS

Opinion

We have audited the consolidated financial statements of BPER Banca S.p.A. and its subsidiaries (the Group), which comprise the consolidated balance sheet as at December 31, 2017, and the consolidated income statement, the consolidated statement of comprehensive income, the consolidated statement of changes in shareholders' equity and the consolidated statement of cash flows for the year then ended, and the consolidated explanatory notes.

In our opinion, the accompanying consolidated financial statements give a true and fair view of the consolidated financial position of the Group as at December 31, 2017, and of its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with International Financial Reporting Standards as adopted by the European Union and the requirements of national regulations issued pursuant to art. 9 of Italian Legislative Decree no. 38/05 and to art. 43 of Italian Legislative Decree no. 136/15.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISA Italia). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of BPER Banca S.p.A. (the "Bank") in accordance with the ethical requirements applicable under Italian law to the audit of the financial statements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Ancona Bari Bergamo Bologna Brescia Cagliari Firenze Genova Milano Napoli Padova Palermo Parma Roma Torino Treviso Verona

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Key audit matters – Classification of high-risk performing loans to customers	Audit procedures in response to key audit matters
As reported in paragraph "6.1 Balance sheet aggregates" of the report on operations and in the quantitative information of "Section 1 – Credit risk" of Part E – Information on risks and related hedging policies in the explanatory notes at 31 December 2017, performing loans to customers of BPER Banca Group show a gross amount of Euro 42,638 million, reduced by portfolio adjustments of Euro 226 million, to come to a net amount of Euro 42,412 million, resulting in a coverage ratio of 0.53%. As reported in the qualitative information of "Section 1 – Credit risk" of Part E – Information on risks and related hedging policies in the explanatory notes at 31 December 2017, as part of its policies for managing loans to customers, the Group adopted rules and processes for monitoring credit exposures, which entailed, among other things, a structured action of classification into homogeneous risk categories. In particular, on the basis of "rating" and "early warning" systems, the Group identified, among performing loans, those with a higher degree of risk. Given the complexity of the process of classifying loans to customers in homogeneous risk categories followed by the Group, we considered the classification of high-risk performing loans to customers a key audit matter of the consolidated financial statements of BPER Banca Group at 31 December 2017.	The main procedures carried out as part of our audit work were, among others, as follows: • gaining an understanding of the internal regulations and processes implemented by the Group for classifying loans to customers and monitoring their quality, in order to verify compliance with the regulatory framework; • checking the implementation and operating effectiveness of the relevant controls identified in relation to those processes; • checking, on a sample basis, the classification of high-risk performing loans to customers in accordance with the regulatory framework; • checking the accuracy and completeness of the disclosures provided in the consolidated financial statements in accordance with the regulatory framework and the applicable accounting standards.

Key audit matters – Classification and valuation of non-performing loans to customers	Audit procedures in response to key audit matters
As reported in paragraph "6.1 Balance sheet aggregates" of the report on operations and in the quantitative information of "Section 1 – Credit risk" of Part E – Information on risks and related hedging policies of the explanatory notes at 31 December 2017, non-performing loans to customers of the BPER Banca Group show a gross amount of Euro 10,532 million, reduced by specific adjustments of Euro 5,129 million, resulting in a net amount of Euro 5,403 million. The report on operations also shows that the coverage ratio of non-performing loans to customers at 31 December 2017 is equal to 48.7%. More specifically, bad loans show a net value of Euro 2,893 million and a coverage ratio of 59.3%, unlikely to pay loans show a net value of Euro 2,416 million and a coverage ratio of 27.18%, while impaired past due loans show a net value of Euro 93 million and a coverage ratio of 10.6%. Part A – Accounting policies of the explanatory notes describes: • the rules for classifying non-performing loans to customers followed by the Group in compliance with the current instructions of the Supervisory Authorities and the applicable accounting standards; • the methods for determining their recoverable amount which are based on the estimate of the present value of expected cash flows deriving from an analytical valuation of bad loans and unlikely to pay loans whose exposure is higher than the thresholds established by internal regulations, and from a flat-rate approach for the remaining non-performing loans to customers. Given the significance of the amount of non-performing loans to customers recorded in the consolidated financial statements, the complexity of the valuation processes adopted by the Group, which entailed a structured action of classification into homogeneous risk categories, as well as the relevance of the discretionary component linked to the estimate of the recoverable amount, we considered the classification of non-performing loans to customers and their valuation a key audit matter of the consolidated financial statements of BPER Banca Group at 31 December 2017.	The main procedures carried out as part of our audit work were, among others, as follows: • gaining an understanding of the internal regulations and processes implemented by the Group for classifying non-performing loans to customers and determining their recoverable amount in order to verify the relevant compliance with the regulatory framework and the applicable accounting standards; • checking the implementation and operating effectiveness of the relevant controls identified in relation to those processes; • drawing qualitative and trend analysis of non-performing loans to customers by calculating appropriate qualitative and quantitative indicators in order to identify matters of interest; • checking on a sample of credit files, selected also on the basis of the matters of interest emerging from the analysis referred to in the previous point, the relevant classification and determination of the recoverable amount of non-performing loans to customers in accordance with the regulatory framework and the applicable accounting standards, also by obtaining and examining written confirmations by the lawyers appointed for their collection; • checking the accuracy and completeness of the disclosures provided in the consolidated financial statements in accordance with the regulatory framework and the applicable accounting standards.

Key audit matters – Impairment test of goodwill	Audit procedures in response to key audit matters
As reported in the consolidated financial statements at 31 December 2017, intangible assets include goodwill of Euro 327.1 million allocated to cash generating units ("CGUs") identified in the individual legal entities (BPER Banca S.p.A., Banco di Sardegna S.p.A., Cassa di Risparmio di Bra S.p.A., Cassa di Risparmio di Saluzzo S.p.A., Sardaleasing S.p.A. and Emilia Romagna Factor S.p.A.). Under IAS 36 "Impairment of assets", goodwill is not amortised but subjected to an impairment test at least once a year, by comparing it with the recoverable amounts of the CGUs. When preparing the impairment test, the Bank determines the recoverable amount of the CGUs in terms of value in use estimated on the basis of the "Dividend Discount Model". The process of determining the value in use adopted by the Bank is based on assumptions involving, among other things, a forecast of expected cash flows of the CGUs to which goodwill has been allocated and which are based on the 2018 budget and 2019–2022 economic-financial projections, as well as the discount rate to be applied to the expected cash flows and the long-term growth rate. The impairment test carried out by the Bank, supported by the opinion of an independent external expert, revealed the need to adjust goodwill for a total of Euro 28.4 million. In Part A – Accounting Policies and in "Section 13 – Intangible Assets" of Part B – Information on the balance sheet of the explanatory notes, disclosures are provided on these aspects, as well as on the results of the sensitivity analysis performed by the Bank. Given the subjectivity of the estimates involved in determining the cash flows of the CGUs and the key variables of the impairment model, we considered the impairment test of goodwill a key audit matter of the consolidated financial statements of BPER Banca Group at 31 December 2017.	The main procedures carried out as part of our audit work were, among others, as follows: • gaining an understanding of the valuation model and of the assumptions adopted by the Bank to carry out the impairment test, also with the support of experts belonging to Deloitte network; • gaining an understanding of the process involved in carrying out the impairment test and verifying the implementation and operating effectiveness of the relevant controls identified in relation to that process; • performing an analysis of the reasonableness of the main assumptions adopted to estimate cash flows and of the key variables used in the valuation model, carried out also by obtaining information from the Bank and in-depth analysis with the independent external expert; • performing an analysis of actual figures compared with the original plans, in order to assess the nature of variances and the reliability of the process of determining the forecasts; • verifying the clerical accuracy of the model used to determine the value in use of the CGUs to which the goodwill has been allocated, also with the support of experts belonging to Deloitte network; • reviewing the sensitivity analysis performed by the Bank; • checking the accuracy and completeness of the disclosures provided in the consolidated financial statements in accordance with the regulatory framework and the applicable accounting standards.

Key audit matters – Accounting recognition of the business combination of Nuova Cassa di Risparmio di Ferrara S.p.A.	Audit procedures in response to key audit matters
As reported in paragraph "3.1 Strategic transactions" of the report on operations and in "Part G – Business combinations" of the explanatory notes, on 30 June 2017 the Bank completed the acquisition from the National Resolution Fund of 100% of the share capital of Nuova Cassa di Risparmio di Ferrara S.p.A. (Nuova Carife), in execution of the share purchase agreement signed on 1 March 2017 with the Bank of Italy as manager and on behalf of the National Resolution Fund. The transaction was recognised in the consolidated financial statements, as required by IFRS 3 "Business combinations", applying the purchase method, which provides that purchase price allocation ("PPA") is based on the fair value of the assets and liabilities involved in the acquisition. For the purposes of applying the purchase method, the Bank, with the support of an external advisor, implemented valuation processes and methods that, by their very nature, feature elements of high subjectivity. The income statement caption "Gain on a bargain purchase" includes the positive income component, equal to Euro 190.9 million, resulting from the process of allocating the difference between the purchase price and the net value of the assets and liabilities acquired, measured at their fair value, in compliance with the applicable accounting standard. Given the subjectivity that characterises the process of determining the fair value of the assets and liabilities involved in the acquisition, as well as the significance of the effects recorded in the income statement, we considered the accounting recognition of the business combination of Nuova Carife a key audit matter of the consolidated financial statements of BPER Banca Group at 31 December 2017.	The main procedures carried out as part of our audit work were, among others, as follows: • discussing the application of the purchase method for accounting recognition of the business combination with the Bank's management and gaining an understanding of the process and of the relevant controls implemented by the Bank in relation to the accounting recognition of the transaction; • checking the implementation and operating effectiveness of the relevant controls identified in relation to that process; • performing an analysis of compliance with the applicable accounting standards of the accounting recognition of the business combination in the consolidated financial statements; • performing an analysis, also with the support of experts belonging to Deloitte network, of the reasonableness of the main assumptions adopted by the Bank in determining the fair value of the assets and liabilities acquired, also by obtaining information from the Bank and in-depth analysis with the external advisor; • checking the accuracy and completeness of the disclosures provided in the consolidated financial statements in accordance with the applicable accounting standards.

Other aspects

The consolidated financial statements of BPER Banca Group for the year ended December 31, 2016 have been audited by another auditor that on March 16, 2017 issued an unmodified opinion on those financial statements.

Responsibilities of the Directors and the Board of Statutory Auditors for the Consolidated Financial Statements

The Directors are responsible for the preparation of consolidated financial statements that give a true and fair view in accordance with International Financial Reporting Standards as adopted by the European Union and the requirements of national regulations issued pursuant to art. 9 of Italian Legislative Decree no. 38/05 and to art. 43 of Italian Legislative Decree no. 136/15, and, within the terms established by law, for such internal control as the Directors determine is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, the Directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless they have identified the existence of the conditions for the liquidation of the Bank or the termination of the business or have no realistic alternatives to such choices.

The Board of Statutory Auditors is responsible for overseeing, within the terms established by law, the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with International Standards on Auditing (ISA Italia) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with International Standards on Auditing (ISA Italia), we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;

- obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control;

- evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors;

- conclude on the appropriateness of Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern;

- evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation;

- obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance, identified at an appropriate level as required by ISA Italia, regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence applicable in Italy, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report.

Other information communicated pursuant to art. 10 of the EU Regulation 537/2014

The Shareholders' Meeting of BPER Banca S.p.A. has appointed us on November 26, 2016 as auditors of the Bank for the years from December 31, 2017 to December 31, 2025.

We declare that we have not provided prohibited non-audit services referred to in art. 5 (1) of EU Regulation 537/2014 and that we have remained independent of the Bank in conducting the audit.

We confirm that the opinion on the consolidated financial statements expressed in this report is consistent with the additional report to the Board of Statutory Auditors, in its role of Audit Committee, referred to in art. 11 of the said Regulation.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

Opinion pursuant to art. 14 paragraph 2 (e) of Legislative Decree 39/10 and art. 123-bis, paragraph 4, of Legislative Decree 58/98

The Directors of BPER Banca S.p.A. are responsible for the preparation of the report on operations and the report on corporate governance and the ownership structure of BPER Banca Group as at December 31, 2017, including their consistency with the related consolidated financial statements and their compliance with the law.

We have carried out the procedures set forth in the Auditing Standard (SA Italia) n. 720B in order to express an opinion on the consistency of the report on operations and some specific information contained in the report on corporate governance and the ownership structure set forth in art. 123-bis, n. 4 of Legislative Decree 58/98, with the consolidated financial statements of BPER Banca Group as at December 31, 2017 and on their compliance with the law, as well as to make a statement about any material misstatement.

In our opinion, the above-mentioned report on operations and some specific information contained in the report on corporate governance and the ownership structure are consistent with the consolidated financial statements of BPER Banca Group as at December 31, 2017 and are prepared in accordance with the law.

With reference to the statement referred to in art. 14, paragraph 2 (e), of Legislative Decree 39/10, made on the basis of the knowledge and understanding of the Group and of the related context acquired during the audit, we have nothing to report.

Statement pursuant to art. 4 of the Consob Regulation for the implementation of Legislative Decree 30 December 2016, no. 254

The Directors of BPER Banca S.p.A. are responsible for the preparation of the non-financial statement pursuant to Legislative Decree 30 December 2016, no. 254.

We verified the approval by the Directors of the non-financial statement.

Pursuant to art. 3, paragraph 10 of Legislative Decree 30 December 2016, no. 254, this statement is subject of a separate attestation issued by us.

DELOITTE & TOUCHE S.p.A.

Signed by
Marco Benini
Partner

Bologna, Italy
March 23, 2018

This report has been translated into the English language solely for the convenience of international readers.

2017 FINANCIAL STATEMENTS

Directors' report on operations

Contents

1. The Bank in 2017

1.1 Competitive positioning

Market positioning

BPER's share of the market for direct deposits in October 2017 had remained stable over the previous twelve months. There was a substantial decrease in deposits from family businesses, whose share went from 3.86% to 3.74% y/y. In terms of loans, net of bad loans, there has been an increase in the domestic market share (to 2.06% from 2% in October 2016) mainly relating to medium/large companies, whose share went from 2.64% to 2.74% y/y, and to family businesses, whose share went from 2.84% to 2.94% y/y. The trend in the overall market shares held by the Bank in the areas in which it operates are shown in the following tables.

Market shares - Direct borrowing

Period	Total Customers	Households	Companies	Family businesses
31-Oct-17	1.81%	1.52%	3.05%	3.74%
30-Sep-17	1.82%	1.53%	3.15%	3.77%
31-Aug-17	1.81%	1.54%	3.13%	3.76%
31-Jul-17	1.79%	1.55%	3.07%	3.75%
30-Jun-17	1.81%	1.55%	3.08%	3.76%
31-May-17	1.83%	1.56%	3.07%	3.76%
30-Apr-17	1.83%	1.56%	3.15%	3.80%
31-Mar-17	1.84%	1.56%	3.08%	3.82%
28-Feb-17	1.83%	1.57%	3.03%	3.81%
31-Jan-17	1.84%	1.57%	3.04%	3.81%
31-Dec-16	1.88%	1.58%	3.20%	3.85%
30-Nov-16	1.81%	1.56%	3.02%	3.84%
31-Oct-16	1.81%	1.57%	3.05%	3.86%

Market shares - Lending

Period	Total Customers	Households	Companies	Family businesses
31-Oct-17	2.06%	1.69%	2.74%	2.94%
30-Sep-17	2.05%	1.69%	2.72%	2.91%
31-Aug-17	2.03%	1.69%	2.63%	2.92%
31-Jul-17	2.02%	1.68%	2.64%	2.91%
30-Jun-17	2.04%	1.66%	2.69%	2.89%
31-May-17	2.05%	1.65%	2.63%	2.88%
30-Apr-17	2.04%	1.64%	2.67%	2.88%
31-Mar-17	2.06%	1.63%	2.69%	2.86%
28-Feb-17	2.01%	1.63%	2.66%	2.86%
31-Jan-17	2.02%	1.63%	2.69%	2.86%
31-Dec-16	2.05%	1.63%	2.79%	2.88%
30-Nov-16	2.03%	1.62%	2.69%	2.86%
31-Oct-16	2.00%	1.62%	2.64%	2.84%

Source: Market shares - Planus Corp. analysis of Regulatory Reports

Branch network

The branch network recorded an increase compared with 2016 in the number of branches, as a result of the absorption of Nuova Cassa di Risparmio di Ferrara s.p.a: at 31 December 2017, there were in fact no. 827 full-service branches and small branches compared with no. 779 in 2016.

The Bank has a widespread presence of branches in no. 15 of Italy's 20 regions (Emilia-Romagna (338), Abruzzo (97), Campania (95), Lazio (59), Calabria (42), Lombardy (40), Apulia (35), Veneto (40), Basilicata (34), Sicily (17), Molise (10), Marche (9), Tuscany (6), Trentino-Alto Adige (3) and Umbria (2)).

During the year, the Naples main branch, Salerno main branch, Matera main branch, Modena branch no. 6, Rome branch S, Riccione branch and Lanciano branch no. 1 were restructured. The Milan no. 5, Paternò and Monticelli Terme branches were transferred.

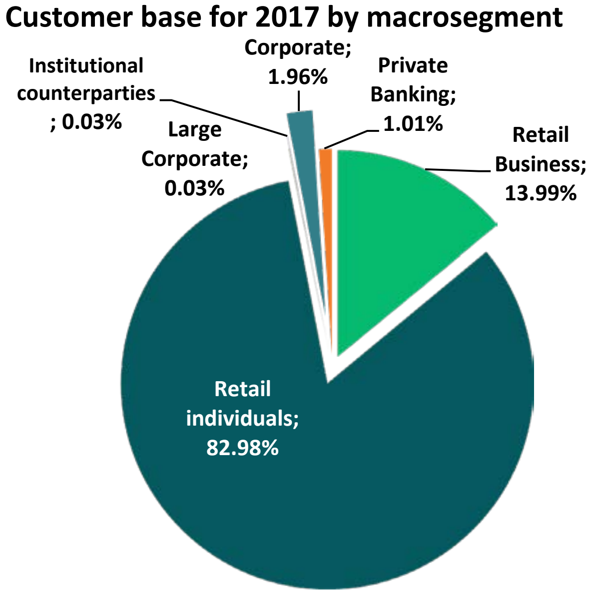
1.2 Relations with customers

Brand

In 2017, BPER Banca made a major effort to promote its brand with the help of various kinds of advertising campaigns.
Communication made use of all possible contact points, both traditional and digital, which stimulated strong growth in brand awareness and consideration.
The entire brand content strategy of 2017 was based on the bank's desire to propose itself as an interlocutor able to offer the right solution for people's needs, while maintaining the transparency and substance of the product or service on offer.
Consumers often perceive banks as being distant from the daily challenges and problems of households, entrepreneurs and businesses. BPER Banca wants to get rid of this commonplace and the proposition "Choose together to grow together" achieves this objective in full, reflecting the BPER Banca's strength as a national bank and its detailed knowledge of the various parts of Italy. In the same way, the promise embodies the spirit of our offer to perfection: "Close to you. Beyond your expectations". The colon in the logo, which evokes BPER Banca's ability to open a dialogue with its customers, is the main element of communication and is reflected on a day-to-day basis in the internal and external corporate identity, while the use of natural and spontaneous photos highlights even more BPER's understanding and sincere, careful approach to its customers' needs.
Financial education remains the focus of BPER Banca's efforts to express its identity as a bank that provides support for the real economy. Providing content that is particularly close to our area of expertise means contributing to the dissemination of knowledge of economic and financial issues, so as to make people more aware of their choices. There are many initiatives that are implemented, without commercial ends, by making our experience and advice available on topics such as how to manage savings and the family budget, with a special focus on the younger generations.
In addition, a powerful online campaign supported by a social media strategy with content aimed primarily at providing information to help people make conscious decisions, leveraged the value of BPER Banca to strengthen its brand positioning between customers and non-customers.

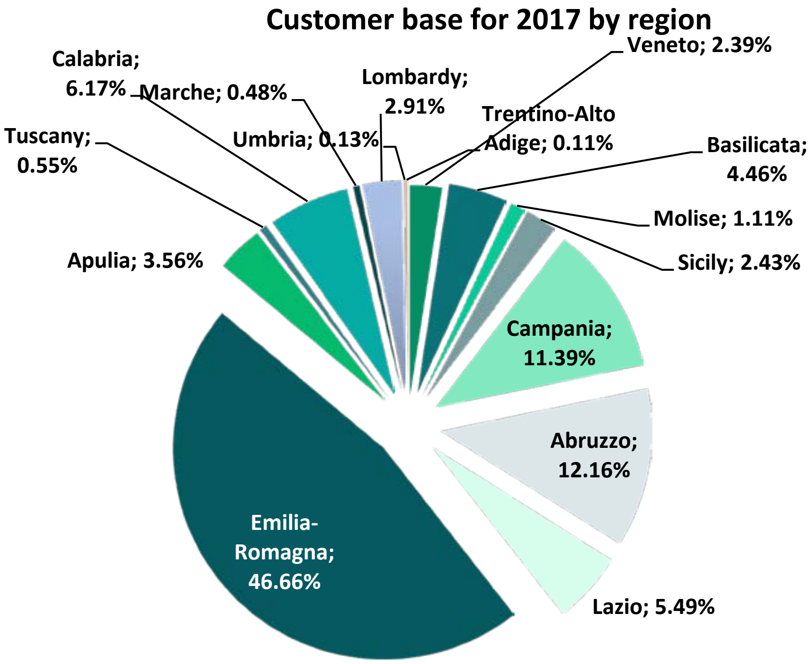
Composition of the customer base

The composition of BPER Banca's customer base confirms the Bank's strong bond with its territory and its vocation as a bank for households and small and medium-sized enterprises, an aspect that remains unchanged even after the recent absorption of Nuova Carife.

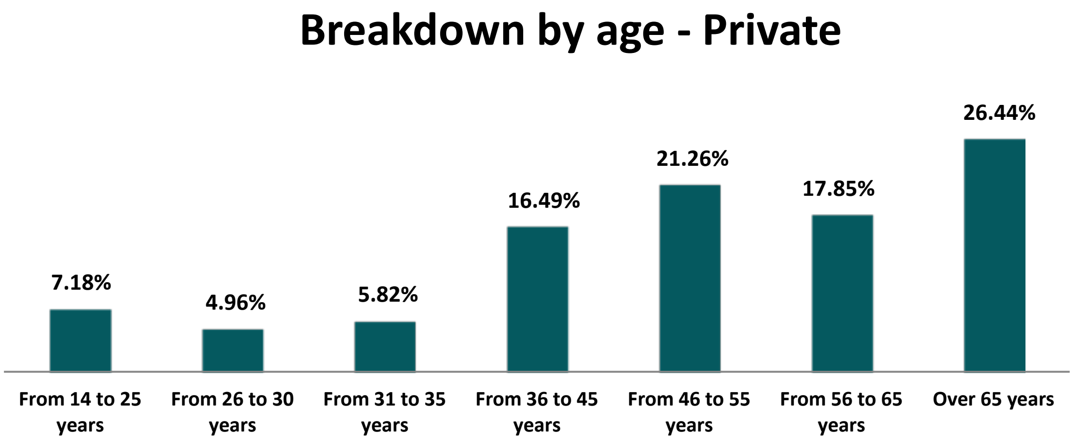


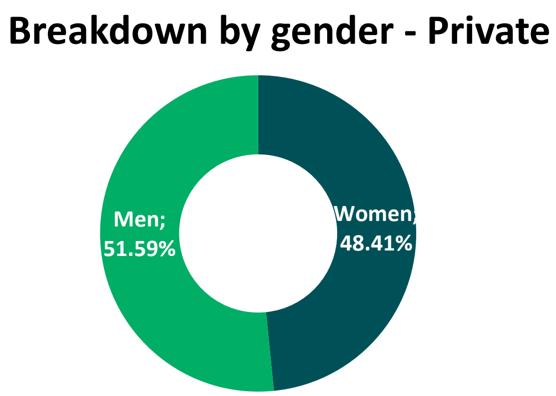
Key:

Retail Individuals: individual customers;
Private Banking: private banking customers with assets of more than Euro 500,000.00 who sign up for a specific service model;
Retail Business: businesses and entities with turnover of up to Euro 2.5 million;
Corporate: companies and groups with turnover of more than Euro 2.5 million;
Large Corporate: Companies and groups with a turnover of more than Euro 250 million selected by experts for their more complex management;
Institutional Counterparties: banks and financial sector companies.

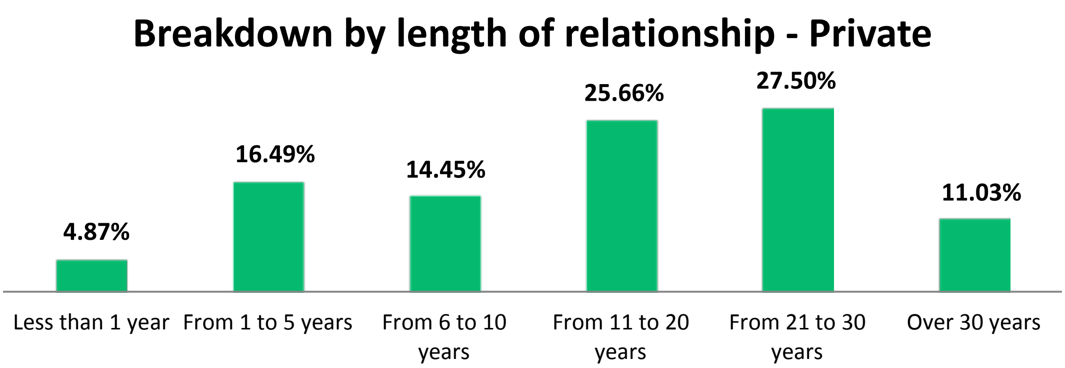


Distribution of the Bank's customers by age is in line with previous years and with the average for the traditional banking system. The majority of customers are of a certain age: more than a quarter of them are over 65, while only 18% are under 35. The breakdown of customers by gender remains in a substantial balance.



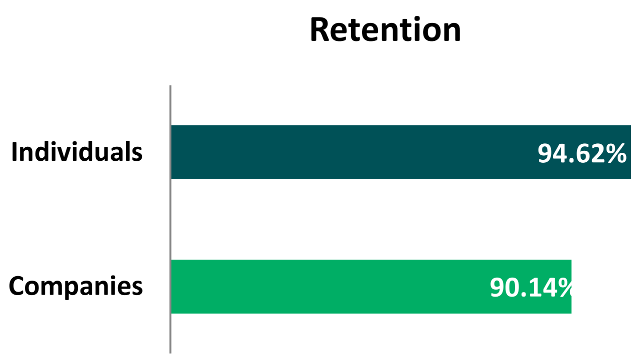


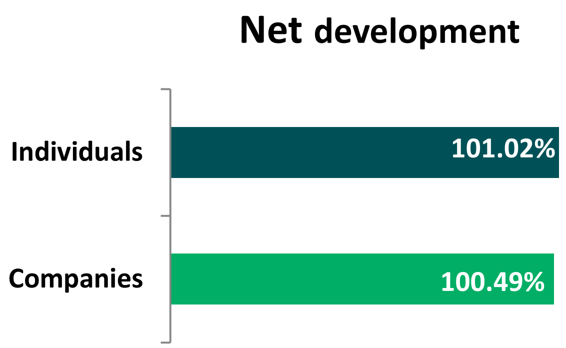
On average, most individual customers have been with the Bank for a long time and have a very strong relationship with it. In particular, 38.5% of customers have been with BPER for more than twenty years, a figure that rises to 64% if we also include those who have been with us for more than ten years.



The main trends in the customer base

Metrics on customer trends, which are an essential tool for guiding and monitoring corporate strategies, are showing a constant trend in BPER Banca's performance compared with December 2016.





There has been steady growth in customers. The Development indicator shows growth in the Companies segment, sustained by an ability to maintain a strong relationship with its customers.

Communications

Throughout 2017, to facilitate the achievement of business and brand related objectives, product and institutional communication was present almost daily on all media (traditional, digital and social).
Specifically, there has been a constant presence of BPER Banca on all major national media.
The main communication campaigns produced by BPER Banca were principally aimed at Individuals: Certificates of Deposit for the new deposits, products for the under 18, Personal Loans and the Home Loan Project.
The last two campaigns mentioned, Personal Loans and the Home Loan Project, had media planning that involved all possible channels and types of media with the aim of setting up appointments at branches through the contact forms on two websites: prestito.bper.it and casa.bper.it.
These campaigns were developed starting from the needs of customers and non-customers.
The Home Loan project, with its dedicated website casa.bper.it, has a wider scope compared with the usual question of mortgages, with BPER Banca offering a different value proposition from the rest of the

market, which differentiates BPER. In 2017, TV publicity, billboards, press and digital marketing campaigns all helped make useful contacts to develop new business at the branches.
The Personal Loans campaign, which used the radio, billboards and digital advertising campaigns, brought contacts to prestito.bper.it, a new website that allows customers to identify the loan that best suits their needs and to ask for an appointment at their local branch.
The campaign for the promotion of the Certificate of Deposit for New Deposits provided support for the network - with digital, billboard and press campaigns - especially in provinces with market shares in decline or worth developing, identified as the result of a careful, structured analysis.
In 2017, BPER Banca confirmed its focus on the under 18 target with new content for those aged 0-12 on grande.bper.it and the second edition of the school project aimed at the last three primary school classes. Furthermore, in the last months of the year, the Teen! Space project for teenagers was launched, with a focus on their passions and talents.
The e-mail channel was also used in support of commercial initiatives, sending out 126 commercial mailshots for a total of 6,082,427 messages. This channel has been well received, going by the high number of messages that have been opened (55.60%).
Lastly, with the aim of increasing brand awareness and attracting new Private Banking and Personal customers, events and workshops were planned for these segments.
In total, 16 events were held for Private Banking customers with 856 participants and 28 financial aperitifs for Personal customers with 1,679 participants.
Among the events, worth noting are the first tests for Family Small Economic Operators (SEO) at the new concept branches: 5 meetings in total, including the one specially for architects in collaboration with Houzz.
In December, the Facebook page reached 200,000 fans about two years after its launch, with an average page impact (an indicator of page performance) of 3.5%.
The Youtube channel, on the other hand, has 635 subscribers with videos that have been seen 303,000 times and received 2,476 "Likes". The LinkedIn channel has 24,000 followers.

Customer Satisfaction

BPER Banca considers the quality of its relationship with customers and their satisfaction as key factors of sustainability for the future. This principle has spawned a need for the construction of a system to monitor quality perceived by customers across all customer segments and the various points of the bank-customer relationship. The listening activity of BPER Banca includes both quantitative and qualitative methods. While quantitative customer satisfaction surveys for the various channels and segments are carried out continuously over the years, qualitative research activities (e.g. focus groups, semiotics, in-depth interviews, etc.) are mainly used when developing new products and services.
In 2017, BPER Banca adopted a new tool, a proprietary panel community called "The Piazza - Your Ideas, Your Bank". It is a space that is continuously populated by a sample of maximum 5,000 customers from 18 to 70 years of age. On this digital platform, listening and collaboration activities are carried out as a communication test, pre or post-launch testing of new products/services, studies of purchasing and consumption behaviours and shared forums/blogs for the exchange of opinions, experiences and dialogue with other participants and moderators. This allows us to gain the most precious point of view, that of the customer, who is encouraged to participate thanks to a system of rewards and incentives.
In line with previous years, the periodic survey of customer satisfaction of BPER Banca customers was carried out with the Private Banking and SEO service models (created in June-July 2017). Telephone interviews were carried out with 5,000 customers.

Bank	Segment	Summary index of customer satisfaction[1]	NPS[2]
BPER Banca	*Retail individual*	76.6	19.9 %
	POE	72.4	4.9 %

As regards Individuals, overall satisfaction is good, even if there has been a slight decline compared with the previous survey. In any case, satisfaction ratings were higher than those recorded by customers of competitor banks in Italy. BPER Banca is perceived as serious and reliable, consistent in its conduct over time and acting as a bank that is close to the people, providing solidarity. SEO customers, who have the most complex expectations to be satisfied, declare a level of satisfaction that is substantially the same as in 2016; they recognise in BPER Banca the values of fairness and transparency, as well as the ability to maintain an active relationship with customers. With regard to the service aspects, both target groups gave their Branch Staff and Contact Person excellent ratings, significantly higher than the benchmark; the Internet banking channel is highly appreciated too, despite a slight decrease in the average rating on the Individuals side. Satisfaction with current accounts, on the other hand, is on the decline for all service models, as customers have a greater need for a clear view of the costs being applied and an ability to customise services and conditions.

Private Banking customers were also listened to in 2017. Overall satisfaction has increased since last year. Branch Managers are the key element in the relationship thanks to their professionalism and for the attention they give to customers. These elements have reached very high levels of satisfaction and are growing.

Bank	Segment	Summary index of customer satisfaction	NPS
BPER Banca	*Private Banking*	77.8	15.9 %

Another important activity is the system for monitoring service quality at branch level, called IESS (Index of experience and service satisfaction) which explores all aspects of a customer's experience at a branch. The main objective is to provide branch staff with a tool to identify in a timely manner critical points on which they can act. For this reason, it is a continuous listening activity that provides 52,000 telephone interviews per year dedicated to individual retail customers and SEOs at all BPER Banca branches. The results are shown on a dedicated portal and are updated on a weekly basis. The main indicators are shown below.

1 Summary index of customer satisfaction: indicator that measures the grade of satisfaction of customers, expressed on a scale of 0 to 100;

2 NPS: indicator that measures the willingness of customers to recommend a product, brand or service and is represented by the proportion of "promoters" net of "detractors". "Promoters" are customers that would certainly recommend the product/service to their friends and colleagues (votes of 9 or 10 on a scale of 0 to 10), whereas "detractors" are those who not recommend it (votes of 0 to 6). Votes of 7 or 8 are considered "neutral" and are not taken into account by the indicator.

Bank	Segment	Summary index of customer satisfaction	NPS
BPER Banca	*Retail individual and Family attending the branch*	85	47 %

Multichannel

Internet banking

2017 saw the introduction of the digital signature, a new service that allows customers to purchase and subscribe for products and services available directly on Smart Web, without having to go to a BPER Banca branch. The documents are signed in digital format, guaranteeing the authenticity of the customer's signature and the fact that the document cannot be altered. This service enables remote communications to be sent during the subscription process, ensures high levels of security both for the Bank and for the Customer and allows documents to be managed in paperless mode (the pages no longer have to be printed).

The introduction of the digital signature made it possible to sell and sign for personal loans directly on Smart Web. A simulator has been developed that can be used in total autonomy on customers' own Internet banking system, which allows them to choose the type of loan that suits them best.

To facilitate the migration of the new customers acquired with the absorption of Nuova Carife from the previous Internet banking system to Smart Web, an entirely online process was created and implemented that, in just a few steps, allowed them to upload an identity document, sign the multi-channel contract with a digital signature and have access to their own page on Smart Web.

Automatic extension of the On-Line Mail service to the newly signed contracts has also been envisaged for customers who have already activated the On-Line Mail service on at least one previously opened contract.

Electronic Money, ATM and POS

During 2017, various activities were completed to improve customers' access to services.

Several advanced ATMs were installed in the self-service area, which allow customers to withdraw or pay in cheques and cash at any time of the day or night, even when the branch is closed.

A "drive through" pilot ATM was also installed, allowing customers to perform operations at the ATM without having to leave their car.

The CBILL function has been tested and is in the process of being made available to all; this service, which is intended for the payment of Consorzio CBI bills, makes it possible to pay bills even through an ATM.

During the year, the POS channel saw the launch of a loyalty system that allows the individual merchant to create and supervise campaigns aimed at their customers. This is an element that will guarantee a high level of differentiation, one that no other banking group has introduced in Italy.

On the plastic card front, activities were mainly focused on studying a Card Control Service that allows the cardholder to feel more secure and protected from fraudulent actions thanks to the possibility to set up blocks and/or notices on the card through a mobile app.

ICB service

The ICB (Interbank Corporate Banking) service is the main channel by which BPER Banca provides cash management services to its Business clientèle.

In mid-2017, the Bank began replacing all of the old WebCBI and WebCBI Plus utilities for companies with the new "BPER CBI" Interbank Corporate Banking. This is aimed at rationalising the products offered to "Companies" and proposing an updated and competitive IT platform.
As part of the development of the international cash management service, a new function was activated for companies structured to manage their own accounts or accounts of subsidiaries/associated companies with foreign banks in different countries. These companies can now link current accounts around the world and operate from and to them from the BPER CBI workstation using a highly automated and technologically advanced service compared with the one previously used, making it possible to manage their Group's liquidity on a centralised basis.

Contact Centre

From this year, family customers can subscribe to mutual funds and SICAVs (Arca Fondi Sgr, BPER Sicav, Etica Sgr) through remote investment advice provided by the Contact Centre operators.
The commercial initiatives undertaken by the Contact Centre's personnel are aimed at the target customers both outbound, on the initiative of the Bank, as well as inbound, on the Customer's initiative.
Subscribing to the funds proposed takes place by inserting an OTP PIN (one time password personal identification number) on the dedicated page on Smart Web, where the customer receives the advisory proposals and the orders that have been placed.
In March 2017, the BPER Banca Contact Centre obtained the UNI EN ISO 9001:2015 and UNI EN ISO 15838:2010 quality certifications.
The UNI EN ISO 9001:2015 certification ensures the efficiency and effectiveness of the processes used at the Contact Centre and the consequent satisfaction of the external and internal customer, requiring continuous monitoring of all the factors that could make the service deviate from the objectives defined and the implementation of preventive controls to minimise the negative effects and maximise any opportunities for each activity. The UNI EN ISO 15838:2010 certification is a product standard that defines for the Contact Centre the monitoring of specific KPI (key performance indicators) and imposes minimum targets for each channel and service to achieve. The BPER Banca Contact Centre only responds from Italy as this is meant to favour national employment and provide customers with a better service. However, it is able to provide assistance to customers in six languages other than Italian (English, French, Spanish, Romanian, Portuguese and Arabic).

In 2017, the contact service was extended through Live Chat and WhatsApp to allow an ever increasing number of customers to get in touch with the Bank, even when they are on the move. In February 2017, the Contact Centre internalised the assistance service for credit and prepaid cardholders, which was previously outsourced. In March 2017, the securities purchase and sale by telephone service was activated; this allows customers with Trading On Line to carry out securities transactions also through the telephone channel. In June 2017, the Remote Offer of Mutual Funds was activated, which allows customers to make investments in funds, also through the specialised consultancy of a dedicated team of colleagues in the Contact Centre and subscription via Smart Web.

Commercial and service policies

Processes

From its start and up to 2015, the CRM directed customer contacts by the Branch Network in a top-down logic, according to a centralised programming model that permitted the diffusion of a homogeneous approach.

The "Bottom-up Programming" project included in the 2015-2017 Business Plan envisaged an evolution in the Commercial Planning model, adding to the existing methods (Central Planning, so-called "Air Actions") initiatives defined according to the bottom-up method: "Ground Actions" (i.e. local programming) identified at branch level and "Self Actions" (i.e. self-programming) defined by the Portfolio Manager.
During the course of 2017, the Self-Programming, the second component of Bottom-up Programming, was released.
The CRM front-end provides a feature that will allow the Contact Person to analyse customers in their portfolio on the basis of the main indicators of reference (relating to personal data, contacts, volumes, margins, products, risk, etc.) and to define customised interventions, in addition to the common macro-guidelines at Central level, for efficient governance of the customer portfolio by creating its own lists (Self Actions).
During 2017, as part of the Business Area Activation project, the main commercial processes were reviewed, with the aim of redefining the tasks and responsibilities of the main functions involved in order to govern and optimize the interaction between the various departments of the Business Area (horizontal) and between the Centre and the Network (vertical), in line with the new organisational approaches. Furthermore, the redefinition of the commercial planning process was particularly important, making it possible to define a clear division of activities between the various areas that make up the commercial plan, as well as ensuring greater involvement on the part of segment managers in the development of the marketing plan, the training plan and the annual media plan.

Commercial agreements

The Bancassurance Agreement with the Unipol Group for the distribution of "Arca Vita", "Arca Assicurazioni" and "Arca Vita International" life and non-life insurance policies has been renewed for the next five years. The agreements reached with the insurance partner pay particular attention to product innovation and will make it possible to expand and strengthen the range of insurance products offered to customers, as well as to maximize the effectiveness of the BPER Banca Group's bancassurance value proposition. Renewal of the Agreement also strengthens the strategic partnership with Gruppo Assicurativo UNIPOL, accelerating growth in a segment that will contribute significantly to raising commission income with a view to further developing the service component.
BPER Banca has signed an agreement with Willis Towers Watson and SiSalute to provide a platform of advanced welfare services for employees of small and medium-sized enterprises. For further details, see the section entitled "Companies".
As part of the Home Loan Project, to support people in their life projects, BPER Banca entered the capital of Homepal, a real estate start-up that manages purchase/sale and rental advertisements between individuals through a digital platform. For further details, reference should be made to section entitled "Individuals".

Products and commercial activities

Individuals

BPER Bank pays constant attention to the needs of customers at every stage of the business. In addition to the day-to-day activities of monitoring and developing its traditional banking services, the Bank has been working on two initiatives aimed at diversifying the business with the support of two partners: Homepal and Amazon.

Thanks to its partnership with Homepal Srl, a real estate start-up that manages purchase/sale and rental ads between individuals through a digital platform, BPER Banca is embarking on a strategic path towards a precise positioning in the real estate business, using a digital approach to enter this high potential market as a major player.
Homepal represents an expansion of BPER Banca's existing service as it intercepts needs connected to the purchase and sale of houses and helps in proposing and selling financial products (mortgages and related ancillary services, personal loans, investments and insurance).
This is an innovative service at advantageous and exclusive economic terms, both to individuals and businesses, with reserved discounts.

Thanks to a partnership with Amazon, the Amazon Locker installation programme began at some of our headquarter offices and branches. The self-service points for collection of packages shipped from Amazon are located in areas accessible to all. The installation of these Amazon Lockers on our premises becomes an innovative way to retain customers, raise awareness of our brand and bring new customers to the Bank.

The 2015-2017 Business Plan envisaged strengthening the Bank's competitive positioning in the field of consumer credit: a new offer of personal loans was therefore activated with more favourable pricing for customers with a higher rating. The credit analysis tools used, both predictive and for measuring performance, allow the Bank to combine its commercial offer and development of consumer loans with a strong focus on risk. Creditworthiness is assessed primarily through an automatic system that includes, among other checks, consultation of the Group's Acceptance Model and is able to intercept any anomalies shown by applicants. If the outcome of the analysis is positive, the request is approved; similarly, if the outcome is negative, the request is rejected without any possibility of it being forced by an expert. In the event of an outcome that is considered worthy of further examination, the request is evaluated by the competent credit functions, obtaining a reply within 48 hours.

Private Banking – BPER Private

BPER Banca's Private Banking Service continues to develop in both qualitative and quantitative terms, with a view to becoming the principal banking provider of global wealth advice for the Bank's more advanced customers.
Training in 2017 was particularly challenging as it was aimed at preparing the Group's Private Bankers for the EFPA certification, as well as a course on the new Global Advisory service. By taking an integrated approach to household wealth as a whole, this service is able to provide sophisticated planning advice for a customer's entire family. The service uses an ad hoc IT platform to offer specialist advice on financial, property, inheritance, insurance and pension matters.
On the financial advisory side, a project was launched to revise the product range with the aim of adapting the services on offer to the changed economic and financial context. In the meantime, the Bank continued to select and maintain the best SICAV segments chosen from among the key international players in the field of asset management.
The PIR (individual savings plans) of Arca Fondi Sgr met with strong demand from both the network and customers.
The offer of evolved financial products expanded with 11 new portfolio management lines delegated to Optima SIM, previously included in the Nuova Carife range (3 lines of Active Finance, 4 lines of Quantitative Finance, 3 lines of Classic Finance and a Global Equity line).

Work continued during 2017 on expanding the platform that delivers "Out of Branch" services. This service is being presented gradually to customers in this segment, considering their propensity to go electronic, not least in view of their somewhat advanced age.
Lastly, events were organised for Private Banking customers during the period as an occasion to discuss financial and non-financial matters.

Companies

Making sure that operations have deep roots in the territory also involves collaborating with local, national and EU entities and institutions, including trade associations and their credit guarantee services (Confidi), the guarantee fund for SMEs and the European Central Bank for Investments, which allows BPER Banca to offer companies specific solutions to facilitate their development:

- "Fin PMI", guaranteed by the Guarantee Fund for small and medium-sized enterprises, is a loan that meets the various needs of companies, such as the purchase of land and buildings and liquidity needs, but also, and above all, the purchase of licences and patents to help the company grow.
- "Innovfin" is a loan that is 50% guaranteed by the European Investment Fund and dedicated to small and medium-sized enterprises with strong innovation or significant investments in research and development; it covers 100% of the cost of the project at advantageous terms and conditions.
- The mortgage loan with EIB funds is a long-term loan to support investment programmes of small and medium-sized enterprises and midcaps operating in industry, services and agro-industry. The loan, which has a low interest rate, can cover up to 100% of the project cost.
- "Fin Sabatini", defined by the ABI - Ministry of Economic Development and Cassa Depositi e Prestiti Spa convention for the implementation of the "Capital Equipment Decree" (Decree Law 69/2013), is a loan for small and medium-sized enterprises that want to buy new machinery, plant and equipment, hardware, software and digital technologies.
- "Finprogex" is a loan issued with a guarantee from SACE and dedicated to internationalisation and investment in a company's foreign markets. It is a loan that stimulates the growth of companies in foreign markets.
- "Fin Short Term", a short-term unsecured loan with a guarantee from SACE, is dedicated to companies that want to internationalise and open up to new markets.

BPER Banca has also focused on the development of "Welfare Solution", a project dedicated to small and medium-sized enterprises to support research and the development of better working conditions for employees.
The innovations introduced recently into tax legislation represent an important step to favour the construction of a more efficient set of welfare services, with quality and sustainable costs able to facilitate the work-life balance and contribute to a system that is increasingly close to the needs of citizens.
This is one of the first agreements signed in Italy by a credit institution, together with companies specialising in welfare and health services. The agreement signed between BPER Banca, Willis Towers Watson and SiSalute provides a platform of advanced welfare services for employees of small and medium-sized enterprises.
The platform, which can be customised, is easy to use and accessible from PCs, tablets and smartphones, making available to employees a tool for them to invest their company bonus as they wish. A team of

BPER Banca professionals, specialised in commercial and tax issues, supported by the experts of Willis Towers Watson and SiSalute, each in their sphere of competence, makes it possible to guarantee a complete and valuable advisory service for companies interested in the platform.
The range of goods and services can be customised based on the preferences of the individual company and its employees.

1.3 Human resources

Key data

During 2017, no. 127 new employees were hired, including no. 8 apprentices, but excluding no. 513 resources originating from Group Banks and Companies (of which 512 deriving from the absorption of Nuova Carife).

Agreements for contract staff (to meet temporary needs) were in place for no. 202 persons at the end of 2017 (with an average of no. 226 during the year).

In 2017, internships involved no. 11 undergraduates and graduates from three-year degree courses and longer specialist courses.

During the course of 2017, no. 369 people terminated their employment with the Bank[3]. The number of employees in active service at the end of 2017 was no. 8,323 (excluding no. 19 who were on leave and 3 who were suspended from work). The number of secondments to other Group businesses increased by 16 persons compared with the prior year, reaching a total of no. 984 persons, of which no. 813 are with the Group consortium, BPER Services s.cons.p.a.; no. 165 people from other Group banks are on secondment with BPER Banca.

Industrial relations

As in previous years, in 2017, the appropriateness of the labour relations system was confirmed by the manner in which discussions were held and negotiations took place with the trade unions, based on constructive dialogue between the parties, despite increasing difficulties caused by different factors, including a difficult environment due to various elements of instability in the political, economic and social scene and issues regarding the banking sector, as well as increased complexity arising from extraordinary operations envisaged by the current business plan.

In this difficult scenario outlined above, also of note was the commencement of various projects, which had repercussions on the staff of both the Parent Company and the rest of the Group.

Of the main agreements reached, worth mentioning in terms of their importance are those relating to the rules governing the variable portion of employees' remuneration (starting with the company bonus to reflect important changes in Corporate Welfare contained in the 2017 Stability Law and the extraordinary company bonus) and access to FBA (Fondo Banche Assicurazioni) contributions to finance most of the Bank's training activities. Negotiations have also begun on new working hours at branches of the Network and some General Management offices.

Protected categories pursuant to Law 68/1999

With regard to the Bank's obligations under Law 68/1999, a certificate of nationwide compliance with the regulations was obtained during 2017. The Bank has no. 615 differently-able or other protected categories employees at 31 December 2017.

[3] *Including those that ran from 1 January 2017, i.e. those for whom 31 December 2016 was their last working day.*

Report on the application of Legislative Decree 81/08 "Health and safety in the workplace" and subsequent amendments

- Risk assessment

The following table shows the number of accidents registered in 2017, split between those in transit and those due to traumas and bruising in the workplace. It also gives comparative figures for the previous two years:

	Year		
	2015	2016	2017
Total number of accidents	**88**	**83**	**76**
of which: "in transit"	68 %	67 %	83 %
traumas and bruising	32 %	33 %	17 %

The decrease in the number of accidents (which are largely "in transit", i.e. not in the workplace) may be considered to be a satisfactory result achieved by the policies in place for the prevention of and protection from risk in the workplace, as promoted by the Bank. The corporate data, in comparison to the banking system, is indicative of the good positioning of BPER Banca, with an accident rate that is lower than the national average.

The Bank currently complies with INAIL statistics for the credit/insurance sector and ranks at the lowest level possible in terms of absolute hazard, frequency and severity of accidents.

As regards the risk of robbery, the prevention and protection policies implemented in recent years are producing good results, with a sharp decline in the number of criminal events. Worth noting is that the decline vastly exceeds the national average for banks.

With strong commitment shown by the relevant structures, we are continuing to provide the branches with technology designed to reduce the presence of ready cash as a main way of deterring robberies (cash-in cash-out, sophisticated safe systems, integrated time locks, etc.). This process is favoured by the introduction of the new branch concept based on cashless and cashlight concepts.

Statistics for the number of robberies in the last five years are shown below. In 2017, further initiatives will be implemented to continue the reduction in robberies, by means of measures to be shared between the security and safety functions.

	Year				
	2013	2014	2015	2016	2017
Attempted robberies	5	4	2	4	3
Robberies that took place	15	14	17	6	2
Number of branches	515	816	780	779	827

A number of years ago, the Bank activated a protocol of psychological assistance (formalised in the Risk Assessment Document) for cases of post-traumatic stress disorder that could take place as a result of criminal events. The protocol envisages an initial meeting with the person responsible for the security of the organisational unit (or, in the case of particularly invasive events, with the Head of the Prevention and Protection Unit) at the branch that was robbed. During the meeting, the Head of the PPU reiterates that the Bank is willing to provide specialist psychological care for those who declare (on a voluntary basis) that they have suffered such a trauma. The second step is a meeting between the company doctor and the employee who has requested assistance, while the third and last step (if the meeting with the company doctor verifies the presence of a trauma) is the beginning of a path of recovery followed by a specialist (psychotherapist) under the supervision of the company doctor.

- Emergency planning and management of the earthquake

In 2017, evacuation drills took place at building complexes in accordance with the Emergency Management Plans. The drills will continue in 2018.

- Health surveillance

Health surveillance has been pursued, in compliance with current law, through increasingly close collaboration between the safety and prevention service and the company doctors.

- Training and information

During 2017, the Bank continued its training activity and the provision of information to employees on safety matters aimed at eliminating information gaps.

A list of courses on safety at work is given below:

Course	Duration	Number of Participants	Hours
2017 Health and safety update workers 6 hours - ADGS	6	147	882
2017 Health and safety update Security Officers 6 hours - ADGS	6	70	420
Refresher course for managers in the prevention and protection service(RSPP)	40	1	40
Safe driving course (external course)	4	3	12
First Aid Staff	12	303	3,620
First Aid Staff: maintenance of certification	4	504	2,016
Health emergency refresh (First aid maintenance c/o Nuova Carife)	5	14	70
Representative of workers for safety (c/o Nuova Carife)	32	1	32
Update for RLS	8	4	32
Refresher course for RLS 2017 (c/o Nuova Carife)	7.5	2	15
Health and safety at the Bank	8	134	1,072
Training for Security Officers (State-Regions Agreement)	8	163	1,304
Training for Security Officers (second day to complete the first day workers) (c/o Nuova Carife)	8	10	80
Fire-Fighting Training	8	164	1,312
Fire-fighting training - periodic update	5	533	2,665
Fire-fighting training - periodic update (c/o Nuova Carife)	2	14	28
Total in classroom		**2,067**	**13,600**

1.4 Real estate sector

The real estate assets of BPER Banca S.p.a. are organised by the Real Estate Department, which is made up of the Real Estate Management Unit, the Property Administration Office and the Enhancement and Commercialisation Office.
In 2017, the Real Estate Management Unit was involved in planning maintenance and capital investment as envisaged in the budget allocated to the department.
The budget is broken down by:

- other administrative expenses (ordinary maintenance);
- interventions that add to the value of the property (capital expenditure).

Ordinary maintenance interventions are assigned an order of priority as follows:

- safety measures for those properties for which defects or deterioration could cause injury to persons and / or property;
- to render currently non-income generating properties capable of being leased or sold.

Extraordinary maintenance interventions (capital expenditure), for which significant amounts were incurred, were carried out throughout the country, a description of which is provided as follows:

- renovation works with the introduction of a new branch concept at the premises of the Matera main branch, Riccione branch, Salerno main branch, Modena branch no. 6, Naples main branch, Lanciano branch no. 1 and Rome branch S;
- replacement of air conditioning systems in various branches where the system had operating and obsolescence problems;
- transfer of the Milan no. 5, Paternò and Monticelli Terme branches;
- L'Aquila (head office): the building was hit by an earthquake in 2009 and, following the receipt of government grants for reconstruction (published on 26 October 2015), reconstruction work started on the property on 30 March 2016 that is expected to be completed by the end of 2018;
- Cavezzo (Modena): the building was hit by an earthquake in 2012 and, following the receipt of government grants for reconstruction (obtained in January 2017), reconstruction work started on the property in December 2016 that is expected to be completed by the end of 2018;
- Concordia (Modena): the building was hit by an earthquake in 2012 and, following the receipt of government grants for reconstruction (obtained on 20 October 2015), reconstruction work started on the property in October 2016 that is expected to be completed by the end of 2018.

In 2017, work was completed on the implementation of project areas envisaged by the 2015-2017 business plan for the new "BPER: Banca" brand, with the replacement of signages, branch design in accordance with the new concept and completion of the "Hub and Spoke" project.
As part of the "fight against cash" project, two pilot branches have been created, called "safe cash", one in Modena branch no. 19 and the other in Parma branch no. 6, with the introduction of a self-service area with sliding doors and an advanced ATM for deposits and cash in/cash out to avoid the cashier having to handle cash.
To enhance the artistic heritage of the Bank, a Pinacoteca (art gallery) has been created on the second floor of the historical head office building in Via San Carlo 8/20, using the new BPER Banca brand.
Praxi S.p.A. was appointed to carry out appraisals based on full on-site inspections of all of the Banking Group's property assets, an activity that was completed in December 2017.

During the year, the Enhancement and Commercialisation Department, the mission of which is the enhancement of the Bank's own real estate portfolio, entered into new lease agreements as lessor for an

annual amount of Euro 792.9 thousands (of which Euro 627.1 thousands is intragroup and Euro 165.7 thousands is with third parties).
Furthermore, it completed no. 5 sales on behalf of the Parent Company for a total amount of Euro 1,460 thousand, giving rise to a gain equating to 4% of their book value.

1.5 Environment

Charitable donations

Numerous charitable donations have been made to scientific, welfare and solidarity initiatives. Of these, the donations that deserve particular mention are those to:

- Azienda Ospedaliero Universitaria of Modena for the acquisition of a 3T magnetic resonance to be used for advanced diagnoses in complex areas such as neuroscience and uro-oncology;
- Agrinnova (a specialised centre belonging to the University of Turin) to finance a scientific research project for the innovation and technological development of Piedmontese agriculture, which involves setting up a research doctorate and a scholarship.

In 2017, a total of Euro 969 thousands was disbursed, of which Euro 867 thousands charged to the income statement, whereas Euro 102 thousands was paid out of the reserve for charitable donations and payments for the public benefit, which still contains Euro 563 thousand, though this amount is already fully committed.
Overall, these payments have been made with particular attention to the most diverse needs expressed in the territories where the Bank operated during the year, with reference to schools, colleges, universities, sports associations, hospitals and health associations, cultural, artistic and tourist associations, ecclesiastical institutions and parishes, municipalities and local authorities, and more.

Activities performed for the benefit of employees

- Welfare project

The welfare plan offered to employees has been expanded to provide more opportunities for the use of goods and services from which utility is derived that takes account of individual family needs of employees.
As a result of amendments introduced by the Stability Law, services already provided concerning education, supplementary pension schemes and supplementary healthcare have been extended to include services related to leisure, culture, recreational activities and family care.
The constant increase in membership of the Welfare Plan as well as the conversion of variable remuneration into welfare as required by current legislation (which in 2017 involved around 40% of employees) confirms the fact that there is growing interest in it, thanks to an extension of the Welfare Plan and streamlining of the manner in which the benefits can be accessed.
As regards initiatives of a social nature, the following are worth remembering:

- "Kids in the office with Mum and Dad", an initiative now in its 20th year promoted by "La Stampa" and "Corriere della Sera" and repeated in 2017 in the 5 Management Hubs in Modena: approximately 150 employees' children under the age of ten had a chance to discover where their mothers and fathers are and what they do when they are at work, with moments of recreation and entertainment;
- "Bike to Work", a national initiative, which BPER Banca participates in, promoted by the non-profit association "Federazione Italiana Amici della Bicicletta – FIAB" and by "Rete Città Sane

OMS" to promote sustainable mobility and a healthy lifestyle. Numerous employees took part in this initiative;

- Start of a collaboration with ANT (Assistenza Nazionale Tumori) Foundation - National Cancer Assistance - with the organisation of a conference entitled "Prevention begins at table" to underline the importance of prevention in the fight against cancer.

- BPER Infant Centre

In 2017 the BPER Infant Centre continued its activities, consisting of a nursery, which opened in 2008 and a kindergarten, which was inaugurated in 2009. The two structures work together to maximise the well-being of their little guests.

The teaching and educational side of the project is decided in close collaboration with the families concerned.

The structure consists of spacious and bright rooms, with play areas and "soft" furnishings designed specifically for children's safety in the nursery, whereas the kindergarten has separate environments equipped for independence, exploration and research.

The Centre is surrounded by a large garden where the children can play, explore and be involved in outdoor physical activities.

- Protection and management of the environment

Efforts continued in 2017 to raise staff awareness about the differentiated collection of waste products in Company premises. Effective educational activities (especially at the branches) took place in favour of the collection and proper disposal of waste matter in accordance with the regulations - in ever more rapid evolution - and with full respect for the environment.

Efforts and resources will continue to be applied to environmental issues with a view to making energy savings, making more and more plant and structural adjustments to improve the energy class of Company buildings.

2. Results of banking activities

2.1 Introduction

The Bank closed 2017 with a profit of Euro 208.8 million (Euro 18.7 million at 31 December 2016). The year was characterised by the business combination of Nuova Cassa di Risparmio di Ferrara, acquired by BPER Banca on 30 June 2017 and subsequently merged by absorption, which took effect for accounting purposes on 1 July 2017. This transaction had a positive influence on the income statement because it led to "badwill", i.e. the positive difference between the price paid and the fair value of the net assets acquired - of Euro 190.9 million. For further details on the terms and timing of the transaction, reference should be made to the chapter entitled "Significant events and strategic transactions" in the Directors' Report on Group Operations.

More specifically, the results of the income statement, compared with the figures at 31 December 2016, are summarised below:

- Net interest income, which amounts to Euro 803.5 million, shows a drop of 5.84% compared with December 2016 (Euro 853.3 million), while net commission income, which amounts to Euro 558.3 million increases by 4.13% compared with December 2016;
- the result from financial activities including dividends (Euro 114.9 million) is up on the prior year figure (Euro 111.5 million, +3.03%);
- total net adjustments (Euro 501.8 million) have declined by Euro 55.8 million (-10.01%): net adjustments to cash loans are down (395.5 million; -23.43%) with a coverage of non-performing loans of 51.78% (+466 bps), while adjustments to assets available for sale (AFS) amounted to Euro 91.4 million, particularly as a result of the recognition of impairment of Atlante Fund units (Euro 52.9 million), of equity instruments relating to Release s.p.a. (Euro 7 million) and of the intervention by IDGF-VS to support Caricesena, Carismi and Carim (Euro 21.1 million);
- operating costs (Euro 938.6 million) are essentially stable compared with 31 December 2016 (+0.73%);
- the net operating result, which is positive for Euro 36.4 million, has to be added to the non-operating result of Euro 184.1 million deriving primarily from the badwill generated by the business combination with Nuova Carife and the impairment adjustments to equity investments;
- the pre-tax result for the year comes to Euro 220.4 million; taxes have an effect on the result for Euro 11.6 million, resulting in a net profit for the year of Euro 208.8 million (Euro 18.7 million at 31 December 2016).

In terms of the balance sheet, the results at 31 December 2017 can be summarised as follows:

- direct deposits of Euro 36,885.3 million (+5.87%);
- indirect deposits of Euro 31,639.5 million (+8.85%);
- net loans to customers of Euro 37,391 million (+5.39%), with an impact on net bad loans (Euro 1,854.9 million) of 4.96%;
- shareholders' equity, including the net profit for the year, amounts to Euro 4,886.8 million (+4.38%).

2.2 Balance sheet aggregates

The balance sheet figures of BPER Banca are compared with those reported in the 2016 financial statements. 2017 was characterised by the acquisition of Nuova Cassa di Risparmio di Ferrara s.p.a., which was merged by absorption on 20 November 2017, effective for tax and accounting purposes from 1 July 2017; the footnotes to the tables involved show the principal effects of this transaction.
Figures relating to the previous year have not been restated pro-forma.

Assets

(in thousands of Euro)

	Assets	31.12.2017	31.12.2016	Change	% Change
10.	Cash and cash equivalents	301,076	255,934	45,142	17.64
20.	Financial assets held for trading	684,649	702,293	(17,644)	-2.51
30.	Financial assets designated at fair value	38,005	38,643	(638)	-1.65
40.	Financial assets available for sale	10,684,259	8,575,832	2,108,427	24.59
50.	Financial assets held to maturity	2,637,135	2,515,993	121,142	4.81
60.	Due from banks	3,909,712	2,155,637	1,754,075	81.37
70.	Loans to customers	37,390,988	35,478,258	1,912,730	5.39
80.	Hedging derivatives	52,825	59,767	(6,942)	-11.62
100.	Equity investments	1,686,979	1,619,457	67,522	4.17
110.	Property, plant and equipment	460,055	426,715	33,340	7.81
120.	Intangible assets	295,036	296,923	(1,887)	-0.64
	of which: goodwill	280,236	280,236	-	-
130.	Tax assets:	1,571,957	1,233,837	338,120	27.40
	a) current	555,528	202,317	353,211	174.58
	b) deferred	1,016,429	1,031,520	(15,091)	-1.46
	b1) of which L. 214/2011	817,687	862,068	(44,381)	-5.15
150.	Other assets	467,510	375,787	91,723	24.41
	Total assets	**60,180,186**	**53,735,076**	**6,445,110**	**11.99**

Loans to customers

(in thousands of Euro)

Loans to customers	31.12.2017	31.12.2016	% Change	Composition % 31.12.2017	Composition % 31.12.2016
Performing loans to customers	**33,793,678**	**31,162,700**	**8.44**	**90.38**	**87.84**
Current accounts	4,595,160	4,876,520	-5.77	12.29	13.75
Repurchase agreements	-	-	n.s.	-	-
Mortgage loans	21,044,261	18,584,278	13.24	56.28	52.38
Credit cards, personal loans and assignments of one-fifth of salary	929,283	945,701	-1.74	2.49	2.67
Leasing	11,060	-	n.s.	0.03	-
Factoring	9,720	-	n.s.	0.03	-
Other transactions	7,204,194	6,756,201	6.63	19.26	19.04
Assets represented by securities	**149,548**	**259,930**	**-42.47**	**0.40**	**0.73**
Non-performing loans	**3,447,762**	**4,055,628**	**-14.99**	**9.22**	**11.43**
Total loans to customers	**37,390,988**	**35,478,258**	**5.39**	**100.00**	**100.00**

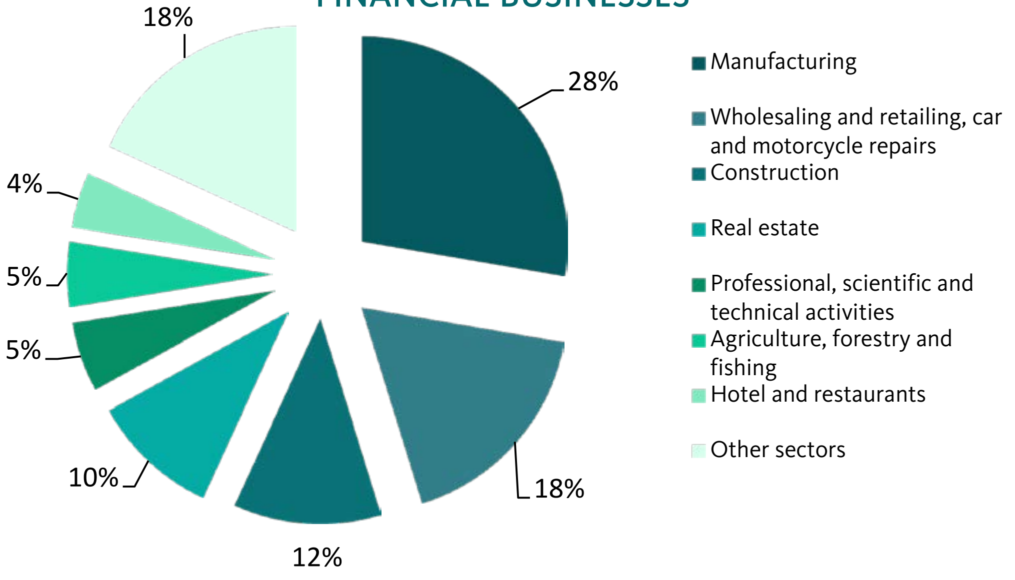
Net loans to customers at 31 December 2017 amount to Euro 37,391 million, an increase of Euro 1,912.7 million (+5.39%) compared with the figure at the end of 2016, mainly for the assets acquired with the merger of Nuova Carife (Euro 1,339.4 million at 30 June 2017, following the end of the Purchase Price Allocation). These represent 62.13% of total assets and are stated net of the allowance for potential losses of Euro 3,874.3 million (Euro 3,737.5 million at 31 December 2016), an increase of 3.66%. This allowance includes a specific provision of Euro 3,702.5 million determined on a detailed analytical basis with respect to non-performing loans, as well as a collective provision of Euro 171.8 million against performing loans.
Analysing performing loans, assets represented by securities, which are a minimal component of total loans and advances (0.40%), amount to Euro 149.5 million, lower than at 31 December 2016 (-42.47%). As regards the main types of loans, there has been an increase in mortgage loans (Euro 2,460 million, +13.24%) and a decrease in current accounts (Euro 281.4 million, -5.77%). On an average liquid basis, loans come to Euro 37,899.8 million, up on the end of last year (+3.31%).

The table and chart below show the amount of loans to resident non-financial companies at the end of the year, broken down by industry according to the Bank of Italy ATECO classification of debtors, which shows that more than 35% of disbursements were granted to manufacturing companies (15.49%), construction companies (6.49%), in activities related to the wholesaling and retailing of cars and motorcycles (9.80%) and real estate companies (5.68%). Compared with the previous year, the main decreases concern loans granted to construction companies (- Euro 263.8 million) and professional, scientific and technical activities (- Euro 236.5 million), while loans to manufacturing activities have increased (+ Euro 247.2 million).

(in thousands of Euro)

Distribution of loans to resident non-financial businesses	31.12.2017	%	31.12.2016	%
A. Agriculture, forestry and fishing	1,056,909	2.83	930,794	2.62
B. Mining and quarrying	38,222	0.10	37,767	0.11
C. Manufacturing	5,792,009	15.49	5,544,790	15.63
D. Provision of electricity, gas, steam and air-conditioning	652,077	1.74	622,733	1.76
E. Provision of water, sewerage, waste management and rehabilitation	213,273	0.57	221,031	0.62
F. Construction	2,427,469	6.49	2,691,273	7.59
G. Wholesaling and retailing, car and motorcycle repairs	3,665,178	9.80	3,734,726	10.53
H. Transport and storage	854,429	2.29	670,931	1.89
I. Hotel and restaurants	905,989	2.42	903,385	2.55
J. Information and communication	539,222	1.44	491,664	1.39
K. Finance and insurance	187,735	0.50	240,213	0.68
L. Real estate	2,123,027	5.68	2,193,148	6.18
M. Professional, scientific and technical activities	1,144,542	3.06	1,381,040	3.89
N. Rentals, travel agencies, business support services	610,883	1.63	435,043	1.23
O. Public administration and defence, compulsory social security	3,040	0.01	4,491	0.01
P. Education	26,101	0.07	19,138	0.05
Q. Health and welfare	394,149	1.05	349,594	0.99
R. Arts, sport and entertainment	123,588	0.34	122,882	0.34
S. Other services	150,885	0.41	133,684	0.37
T. Activities of households as employers for domestic staff, production of undifferentiated goods and services for own use by households	67	-	1	-
Total loans to resident non-financial businesses	**20,908,794**	**55.92**	**20,728,328**	**58.43**
Loans to non-resident, non-financial businesses	84,747	0.23	109,275	0.30
Total loans to non-financial businesses	**20,993,541**	**56.15**	**20,837,603**	**58.73**
Individuals and other not included above	9,309,069	24.89	8,309,302	23.43
Financial businesses	4,841,192	12.95	4,187,878	11.80
Securities	150,504	0.40	260,864	0.74
Governments and other public entities	2,079,615	5.56	1,867,103	5.26
Insurance companies	17,067	0.05	15,508	0.04
Total loans	**37,390,988**	**100.00**	**35,478,258**	**100.00**

DISTRIBUTIONS OF LOANS TO RESIDENT NON-FINANCIAL BUSINESSES



(in thousands of Euro)

Loans to customers		31.12.2017	31.12.2016	Change %
Non performing loans	Gross exposure	7,150,234	7,669,831	-6.77
	Adjustments	*3,702,472*	*3,614,203*	*2.44*
	Net exposure	**3,447,762**	**4,055,628**	**-14.99**
- Bad loans	Gross exposure	4,870,993	4,727,690	3.03
	Adjustments	*3,016,058*	*2,848,065*	*5.90*
	Net exposure	**1,854,935**	**1,879,625**	**-1.31**
- Unlikely to pay loans	Gross exposure	2,245,953	2,860,537	-21.48
	Adjustments	*682,112*	*758,487*	*-10.07*
	Net exposure	**1,563,841**	**2,102,050**	**-25.60**
- Past due loans	Gross exposure	33,288	81,604	-59.21
	Adjustments	*4,302*	*7,651*	*-43.77*
	Net exposure	**28,986**	**73,953**	**-60.80**
Performing loans	Gross exposure	34,115,031	31,545,903	8.14
	Adjustments	*171,805*	*123,273*	*39.37*
	Net exposure	**33,943,226**	**31,422,630**	**8.02**
Total loans to customers	Gross exposure	41,265,265	39,215,734	5.23
	Adjustments	*3,874,277*	*3,737,476*	*3.66*
	Net exposure	**37,390,988**	**35,478,258**	**5.39**

(in percentage)

Indicators of Asset Quality	31.12.2017	31.12.2016
Gross non-performing loans/Gross lending	17.33	19.56
Net non-performing loans/Net lending	9.22	11.43
Gross bad loans/Gross lending	11.80	12.06
Net bad loans/Net lending	4.96	5.30
Gross unlikely to pay loans/Gross lending	5.44	7.29
Net unlikely to pay loans/Net lending	4.18	5.93
Gross past due loans/Gross lending	0.08	0.21
Net past due loans/Net lending	0.08	0.21
Coverage of bad loans	61.92	60.24
Coverage of unlikely to pay loans	30.37	26.52
Coverage of past due loans	12.92	9.38
Coverage of non-performing loans	51.78	47.12
Coverage of performing loans	0.50	0.39
Coverage of loans to customers	9.39	9.53

Total non-performing loans (bad loans, unlikely to pay loans and loans past due by more than 90 days), net of specific adjustments, total Euro 3,447.8 million, down by 14.99% since 31 December 2016.
Net non-performing loans represent 9.22% of total loans to customers (11.43% at the end of 2016). The coverage ratio has increased by about 466 bps.
The related writedowns, up by 2.44% to Euro 3,702.5 million (Euro 3,614.2 million at the end of 2016) represent 51.78% of the gross amount of these loans of Euro 7,150.2 million (-6.77%).

Bad loans before writedowns amount to Euro 4,871 million (+3.03% compared with the end of the previous year). These represent 11.80% of loans before writedowns (12.06% at 31 December 2016). Net of writedowns (Euro 3,016.1 million), they come to Euro 1,854.9 million, or 4.96% of total net loans (5.30% at 31 December 2016). The level of coverage increased by 168 bps.

Taking into account the direct write-downs made to bad loans, on outstanding positions, of Euro 565.1 million, giving overall claims of Euro 5,436.1 million, the level of coverage comes to 65.88%.

Unlikely to pay loans, gross of writedowns, are Euro 2,246 million, down by 21.48% (Euro 2,860.5 million at the end of 2016). These represent 5.44% of loans before writedowns (7.29% at 31 December 2016). After writedowns (Euro 682.1 million) they amount to Euro 1,563.8 million (-25.60% since the end of 2016).

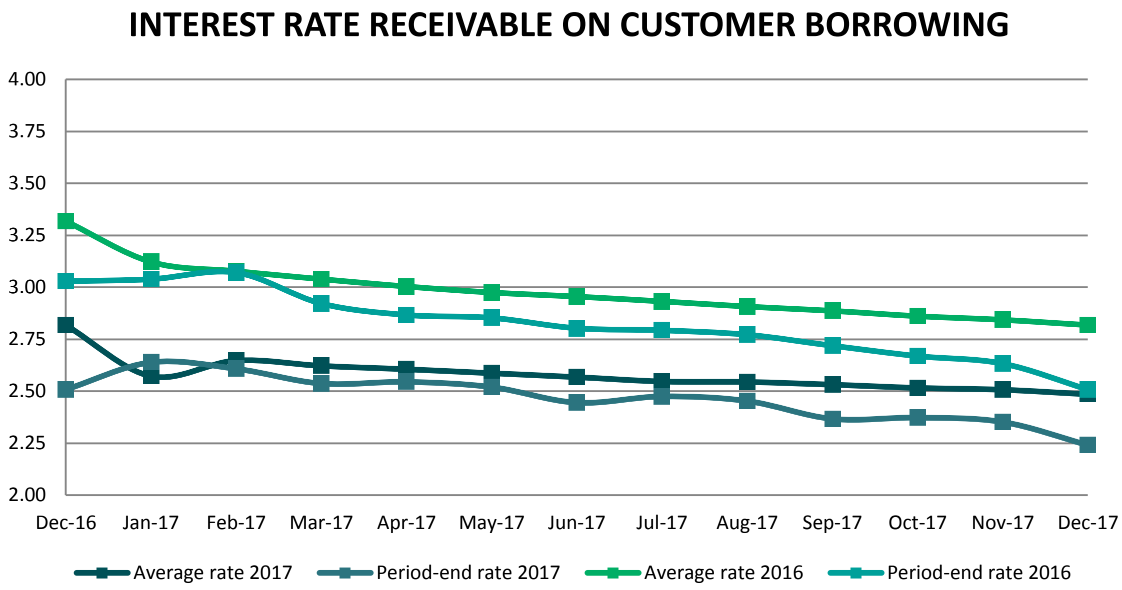
Past due loans before writedowns are Euro 33.3 million, down by 59.21% (Euro 81.6 million at the end of 2016). These represent 0.08% of loans before writedowns (0.21% at 31 December 2016). After writedowns (Euro 4.3 million) they amount to Euro 29 million (-60.80% since the end of 2016).

The allowance for performing loans, Euro 171.8 million, represents 0.50% of the gross amount of performing loans (0.39% at the end of the previous year).

The losses and provisions made to the allowance for non-performing accounts resulted in a cost of credit of 106 bps, on 146 bps recorded at the end of last year.

Interest income

Interest rates on loans fell steadily during the year; the average interest rate for the year on loans to customers amounted to 2.17%, a decrease of about 28 bps compared with the previous year's average rate.
The total remuneration of interest-bearing stood at 1.84%, a decrease of about 35 bps on the figure of 2016.



Financial assets and equity investments

(in thousands of Euro)

Captions	31.12.2017	31.12.2016	Change	% Change
Financial assets held for trading	684,649	702,293	(17,644)	-2.51
- of which: derivatives	*135,303*	*197,737*	*(62,434)*	*-31.57*
Financial assets designated at fair value	38,005	38,643	(638)	-1.65
Financial assets available for sale	10,684,259	8,575,832	2,108,427	24.59
Financial assets held to maturity	2,637,135	2,515,993	121,142	4.81
Total financial assets	**14,044,048**	**11,832,761**	**2,211,287**	**18.69**

Total financial assets, Euro 14,044 million, are 18.69% higher than at the end of 2016. The increase relates in particular to "Financial assets available for sale" (+ Euro 2,108.4 million) and is represented mainly by purchases of banks' debt securities.
The shares held in the banking book amount to Euro 402.7 million (+15.13%) and represent 2.87% of financial assets. These mainly consist of stable equity investments classified as *"Financial assets available for sale"*.

"Financial assets held for trading" include financial derivatives of Euro 135.3 million (-31.57%) made up of forward transactions in foreign currencies (traded with customers and/or used in managing the foreign exchange position), interest rate and foreign exchange derivatives intermediated with customers, derivatives related to securitisations and other operational hedging derivatives. At 31 December 2017 the Bank has not entered into any of the "long-term structured repo transactions" mentioned in the document issued jointly by the Bank of Italy, CONSOB and IVASS on 8 March 2013.

(in thousands of Euro)

Captions	31.12.2017	31.12.2016	Change	% Change
Equity investments	1,686,979	1,619,457	67,522	4.17

"Equity investments", which comprise holdings in banks, subsidiaries and companies over which the Bank has significant influence, amount to Euro 1,687 million, up on 31 December 2016 (+4.17%).
The main increases relate to the investments previously held by Nuova Cassa di Risparmio di Ferrara, which was acquired and then merged during the year. In particular:

- Carife Servizi Evolutivi Integrati s.r.l. for Euro 47.6 million;
- Banca Farnese s.p.a. in liquidation for Euro 21.9 million;
- Immobiliare Oasi nel Parco s.r.l. for Euro 8.6 million.

The main decreases relate to:

- sale of the investment in Banca Nuova Terra (recorded in the 2016 financial statements for an amount of Euro 7.7 million);
- impairment losses on the investments in Nadia s.p.a. (Euro 5.1 million), Polo Campania s.r.l. (Euro 1.1 million) and Italiana Valorizzazioni Immobiliari s.r.l. (Euro 0.5 million).

(in thousands of Euro)

Net interbank position	31.12.2017	31.12.2016	Change	% Change
Due from banks	3,909,712	2,155,637	1,754,075	81.37
Due to banks	16,541,840	12,539,337	4,002,503	31.92
Net interbank position	**(12,632,128)**	**(10,383,700)**	**(2,248,428)**	**21.65**

Amounts due to banks, which are Euro 12,632.1 million higher than the amounts due from banks, include the balances with Group banks resulting from the centralised cash management service; funds are managed in an astute and dynamic manner, paying particular attention to the overall liquidity ratio, which is managed at Group level. In addition, important refinancing operations were carried out with the European Central Bank of Euro 9,136 million as part of TLTRO II, of which Euro 4,000 million matures in June 2020, Euro 1,000 million matures in December 2020 and Euro 4,136 million matures in March 2021.

Liabilities

(in thousands of Euro)

	Liabilities and shareholders' equity	31.12.2017	31.12.2016	Change	% Change
10.	Due to banks	16,541,840	12,539,337	4,002,503	31.92
20.	Due to customers	30,386,711	27,383,757	3,002,954	10.97
30.	Debt securities in issue	6,450,292	7,208,172	(757,880)	-10.51
40.	Financial liabilities held for trading	173,434	232,098	(58,664)	-25.28
50.	Financial liabilities designated at fair value	48,320	247,933	(199,613)	-80.51
60.	Hedging derivatives	21,176	36,860	(15,684)	-42.55
80.	Tax liabilities:	74,009	63,233	10,776	17.04
	b) deferred	74,009	63,233	10,776	17.04
100.	Other liabilities	1,119,335	891,096	228,239	25.61
110.	Provision for termination indemnities	116,670	122,008	(5,338)	-4.38
120.	Provisions for risks and charges:	361,568	328,888	32,680	9.94
	a) pensions and similar commitments	135,674	134,691	983	0.73
	b) other provisions	225,894	194,197	31,697	16.32
130.	Valuation reserves	14,430	(11,747)	26,177	-222.84
160.	Reserves	2,296,812	2,307,997	(11,185)	-0.48
170.	Share premium reserve	930,073	930,073	-	-
180.	Share capital	1,443,925	1,443,925	-	-
190.	Treasury shares	(7,253)	(7,253)	-	-
200.	Net profit (loss) for the period	208,844	18,699	190,145	--
	Total liabilities and shareholders' equity	**60,180,186**	**53,735,076**	**6,445,110**	**11.99**

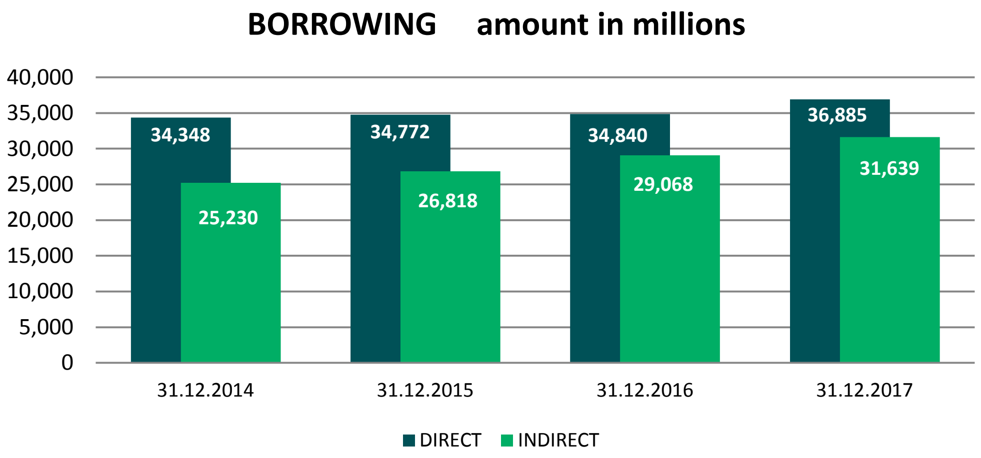
Funding

(in thousands of Euro)

Analysis of funds under administration, as reported in the financial statements	31.12.2017	31.12.2016	Change	% Change
Due to customers	30,386,711	27,383,757	3,002,954	10.97
Debt securities in issue	6,450,292	7,208,172	(757,880)	-10.51
Financial liabilities designated at fair value debt securities	48,320	247,933	(199,613)	-80.51
Indirect deposits	31,639,460	29,067,987	2,571,473	8.85
Total customer funds under administration	**68,524,783**	**63,907,849**	**4,616,934**	**7.22**
Due to banks	16,541,840	12,539,337	4,002,503	31.92
Grand total	**85,066,623**	**76,447,186**	**8,619,437**	**11.28**

At 31 December 2017, the total amount of funds under administration or management, including interbank deposits, was Euro 85,066.6 million, around Euro 8,619.4 million higher than the figures at 31 December 2016 (+11.28%).

The portion relating to customers amounts to Euro 68,524.8 million and increases compared with the previous year (+7.22%), as did bank borrowing (+31.92%).



(in thousands of Euro)

Direct deposits	31.12.2017	31.12.2016	Change %	Composition %	
				31.12.2017	31.12.2016
Due to customers	**30,386,711**	**27,383,757**	**10.97**	**82.38**	**78.60**
Current accounts and demand deposits	26,059,789	23,311,562	11.79	70.65	66.91
Restricted deposits	1,852,364	1,634,948	13.30	5.02	4.69
Loans obtained	1,975,416	1,865,899	5.87	5.36	5.36
Repurchase agreements	3,506	110,577	-96.83	0.01	0.32
Other payables	495,636	460,771	7.57	1.34	1.32
Debt securities in issue	**6,498,612**	**7,456,105**	**-12.84**	**17.62**	**21.40**
Certificates of deposit	1,791,823	2,208,145	-18.85	4.86	6.34
Certificates	69,771	91,897	-24.08	0.19	0.26
Bonds	3,811,997	4,502,436	-15.33	10.33	12.92
Subordinated loans	825,021	653,627	26.22	2.24	1.88
Total direct borrowing	**36,885,323**	**34,839,862**	**5.87**	**100.00**	**100.00**

At the period end, total fiduciary deposits and other forms of funding amount to Euro 36,885.3 million, an increase of Euro 2,045.5 million (+5.87%) compared with 31 December 2016.
In terms of amounts due to customers, there has been an increase in current accounts and demand deposits (+ Euro 2,748.2 thousand, +11.79%) and restricted deposits (+ Euro 217 million, +13.30%), while other forms of deposits, such as repurchase agreements (- Euro 107.1 million, -96.83%) decreased.
Debt securities in issue include certificates of deposit which are down on the end of last year (-18.85%), as well as the ordinary component relating to funding bonds (down by Euro 690.4 million, -15.33%).
Subordinated bonds outstanding have a book value of Euro 825.0 million. The increase of Euro 171.4 million reflects issue of the BPER 5.125% 2017-2027 bond with a nominal value of Euro 500 million, which offset the repayment of loan tranches that fell due on 31 December 2017 and were settled by ICBPI on 2 January 2018 and the maturity of the BPER 4.75% 2011-2017 and BPER floating rate 2007-2017 bonds.
There are no convertible subordinated loans outstanding at 31 December 2017.

Customer deposits averaged Euro 34,813.8 million during the period: it is higher (+3.95%) than the average liquid stock in the previous year (Euro 33,492.3 million).

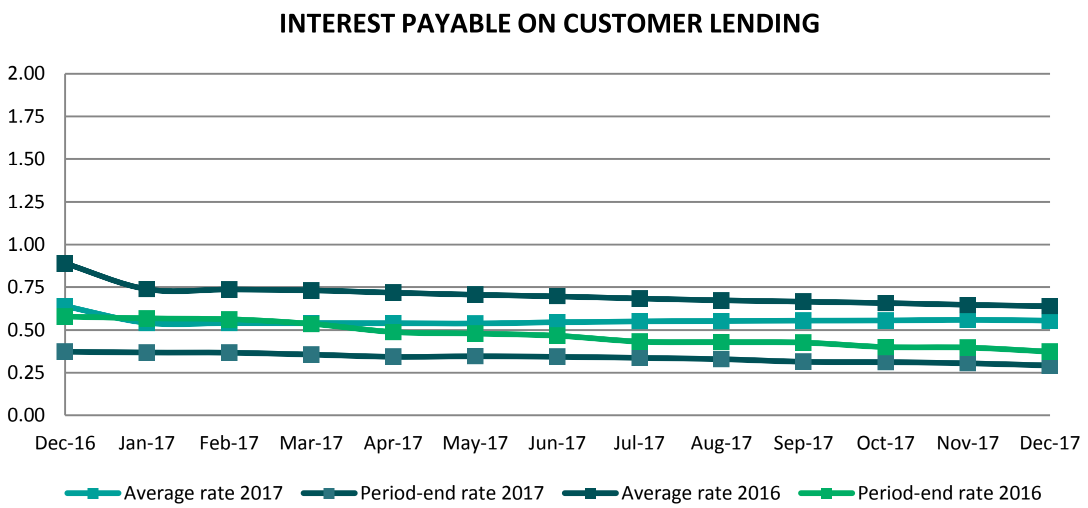
(in thousands of Euro)

Indirect deposits	31.12.2017	31.12.2016	Change	% Change
Assets under management	**2,786,721**	**2,496,963**	**289,758**	**11.60**
- of which: in funds and Sicavs	*1,445,082*	*832,461*	*612,621*	*73.59*
Assets under administration	**28,852,739**	**26,571,024**	**2,281,715**	**8.59**
- of which: in funds and Sicavs	*13,689,449*	*11,058,928*	*2,630,521*	*23.79*
Total indirect deposits	**31,639,460**	**29,067,987**	**2,571,473**	**8.85**
of which: overall management	16,476,170	13,555,891	2,920,279	21.54
administered	15,163,290	15,512,096	(348,806)	-2.25

Indirect deposits, comprising securities held for administration and assets under management, at 31 December 2017 total Euro 31,639.5 million, with a rise of 8.85%; assets under management come to Euro 2,786.7, up on the previous year (+11.60%), while assets under administration amount to Euro 28,852.7 million (+8.59%).
Mutual funds and SICAVs under administration total Euro 13,689.4 million (+23.79%), while those under management amount to Euro 1,445.1 million (+73.59%); the grand total is Euro 15,134.5 million (+27.27%).
The total amount under management therefore comes to Euro 16,476.2 million.

Borrowing rates

The average cost of borrowing from the Bank's customers was 0.55%, which is down on 2016 (0.64%), a decrease of around 9 basis points. The average cost of all "interest-bearing liabilities" also shows a decrease of around 12 bps compared with last year.



Bancassurance

(in thousands of Euro)

Bancassurance	31.12.2017	31.12.2016	Change	% Change
Insurance policy portfolio	**3,681,069**	**3,380,305**	**300,764**	**8.90**
- of which: life sector	*3,613,614*	*3,319,636*	*293,978*	*8.86*
- of which: non-life sector	*67,455*	*60,669*	*6,786*	*11.19*

The placement of insurance policies, which are not included in indirect deposits, showed an increase in the life sector (+8.86%), while the non-life sector managed to grow by 11.19% on last year.

The portfolio of premiums paid by customers amounts to Euro 3,681.1 million at the end of the year (+8.90% on 31 December 2016).

2.3 Income statement aggregates

The following are the income statement figures of BPER Banca compared with those of the financial statements at 31 December 2016.
The results for the current year take into account the figures of Nuova Cassa di Risparmio di Ferrara, which was acquired on 30 June 2017 and subsequently merged with effect for accounting purposes from 1 July 2017. The figures relating to 2016 have not been restated pro-forma.

(in thousands of Euro)

	Captions	31.12.2017	31.12.2016	Change	% Change
10.	Interest and similar income	1,067,225	1,124,288	(57,063)	-5.08
20.	Interest and similar expense	(263,753)	(270,978)	7,225	-2.67
30.	**Net interest income**	**803,472**	**853,310**	**(49,838)**	**-5.84**
40.	Commission income	590,707	565,223	25,484	4.51
50.	Commission expense	(32,402)	(29,053)	(3,349)	11.53
60.	**Net commission income**	**558,305**	**536,170**	**22,135**	**4.13**
70.	Dividends and similar income	39,393	19,961	19,432	97.35
80.	Net trading income	36,061	6,867	29,194	425.13
90.	Net hedging gains (losses)	(494)	(297)	(197)	66.33
100.	Gains (losses) on disposal or repurchase of:	40,194	80,874	(40,680)	-50.30
	a) loans	(8,606)	(9,130)	524	-5.74
	b) financial assets available for sale	47,933	90,001	(42,068)	-46.74
	c) financial assets held to maturity	316	-	316	n.s.
	d) financial liabilities	551	3	548	--
110.	Net results on financial assets and liabilities designated at fair value	(234)	4,138	(4,372)	-105.65
120.	**Net interest and other banking income**	**1,476,697**	**1,501,023**	**(24,326)**	**-1.62**
130.	Net impairment adjustments to:	(501,757)	(557,594)	55,837	-10.01
	a) loans	(395,549)	(516,606)	121,057	-23.43
	b) financial assets available for sale	(91,390)	(48,988)	(42,402)	86.56
	d) other financial assets	(14,818)	8,000	(22,818)	-285.23
140.	**Net profit from financial activities**	**974,940**	**943,429**	**31,511**	**3.34**
150.	Administrative costs:	(1,037,071)	(1,027,400)	(9,671)	0.94
	a) payroll costs	(504,505)	(481,800)	(22,705)	4.71
	b) other administrative costs	(532,566)	(545,600)	13,034	-2.39
160.	Net provisions for risks and charges	(24,451)	(20,832)	(3,619)	17.37
170.	Net adjustments to property, plant and equipment	(23,349)	(22,684)	(665)	2.93
180.	Net adjustments to intangible assets	(2,616)	(2,509)	(107)	4.26
190.	Other operating charges/income	148,930	141,694	7,236	5.11
200.	**Operating costs**	**(938,557)**	**(931,731)**	**(6,826)**	**0.73**
210.	Profit (loss) from equity investments	(6,878)	(10,045)	3,167	-31.53
235.	Gain on a bargain purchase	190,892	-	190,892	n.s.
240.	Gains (losses) on disposal of investments	50	(212)	262	-123.58
250.	**Profit (loss) from current operations before tax**	**220,447**	**1,441**	**219,006**	--
260.	Income taxes on current operations	(11,603)	17,258	(28,861)	-167.23
270.	**Profit (loss) from current operations after tax**	**208,844**	**18,699**	**190,145**	--
290.	**Net profit (loss) for the period**	**208,844**	**18,699**	**190,145**	--

Income statement by quarter for the year ended 31 December 2017

	Captions	1st quarter 2017	2nd quarter 2017	3rd quarter 2017	4th quarter 2017	1st quarter 2016	2nd quarter 2016	3rd quarter 2016	4th quarter 2016
10.	Interest and similar income	267,189	263,528	263,871	272,637	291,941	282,675	272,941	276,731
20.	Interest and similar expense	(59,276)	(62,291)	(68,572)	(73,614)	(75,405)	(68,903)	(64,873)	(61,797)
30.	**Net interest income**	**207,913**	**201,237**	**195,299**	**199,023**	**216,536**	**213,772**	**208,068**	**214,934**
40.	Commission income	141,371	145,161	140,099	164,076	141,354	142,927	137,272	143,670
50.	Commission expense	(7,515)	(7,668)	(7,773)	(9,446)	(6,856)	(7,045)	(7,660)	(7,492)
60.	**Net commission income**	**133,856**	**137,493**	**132,326**	**154,630**	**134,498**	**135,882**	**129,612**	**136,178**
70.	Dividends and similar	299	37,799	552	743	86	18,870	313	692
80.	Net trading income	10,294	8,653	12,551	4,563	(25,279)	(3,901)	11,496	24,551
90.	Net hedging gains (losses)	(244)	(69)	43	(224)	110	16	(180)	(243)
100.	Gains (losses) on disposal or repurchase of:	7,965	6,485	10,273	15,471	33,540	33,354	10,556	3,424
	a) loans	(26)	(8,579)	(510)	509	-	1,468	(4,743)	(5,855)
	b) financial assets available for sale	7,990	14,582	10,640	14,721	33,665	31,919	15,243	9,174
	c) financial assets held to maturity	-	316	-	-	-	-	-	-
	d) financial liabilities	1	166	143	241	(125)	(33)	56	105
110.	Net results on financial assets and liabilities designated at fair value	7	(418)	(155)	332	3,900	(2,315)	2,065	488
120.	**Net interest and other banking income**	**360,090**	**391,180**	**350,889**	**374,538**	**363,391**	**395,678**	**361,930**	**380,024**
130.	Net impairment adjustments to:	(110,164)	(197,708)	(67,327)	(126,558)	(99,046)	(129,118)	(100,019)	(229,411)
	a) loans	(107,625)	(144,252)	(61,547)	(82,125)	(95,220)	(133,376)	(104,516)	(183,494)
	b) financial assets available for sale	(6,598)	(55,279)	(11,683)	(17,830)	-	(6,021)	(177)	(42,790)
	d) other financial assets	4,059	1,823	5,903	(26,603)	(3,826)	10,279	4,674	(3,127)
140.	**Net profit from financial activities**	**249,926**	**193,472**	**283,562**	**247,980**	**264,345**	**266,560**	**261,911**	**150,613**
150.	Administrative costs:	(251,219)	(243,433)	(259,089)	(283,330)	(242,141)	(264,610)	(245,679)	(274,970)
	a) payroll costs	(122,517)	(120,777)	(114,319)	(146,892)	(123,824)	(127,041)	(110,932)	(120,003)
	b) other administrative costs	(128,702)	(122,656)	(144,770)	(136,438)	(118,317)	(137,569)	(134,747)	(154,967)
160.	Net provisions for risks and charges	(4,652)	(1,460)	(3,138)	(15,201)	(7,799)	(10,244)	(5,164)	2,375
170.	Net adjustments to property, plant and equipment	(5,176)	(4,927)	(5,057)	(8,189)	(5,330)	(5,227)	(5,233)	(6,894)
180.	Net adjustments to intangible assets	(627)	(632)	(629)	(728)	(620)	(622)	(635)	(632)
190.	Other operating charges/income	31,371	36,851	43,283	37,425	37,983	35,442	35,659	32,610
200.	**Operating costs**	**(230,303)**	**(213,601)**	**(224,630)**	**(270,023)**	**(217,907)**	**(245,261)**	**(221,052)**	**(247,511)**
210.	Profit (loss) from equity investments	-	(4,944)	-	(1,934)	(924)	(406)	546	(9,261)
235.	Gain on a bargain purchase	-	-	-	190,892	-	-	-	-
240.	Gains (losses) on disposal of investments	59	11	6	(26)	43	(415)	118	42
250.	**Profit (loss) from current operations before tax**	**19,682**	**(25,062)**	**58,938**	**166,889**	**45,557**	**20,478**	**41,523**	**(106,117)**
260.	Income taxes on current operations	(5,893)	16,267	(20,497)	(1,480)	(13,090)	1,154	(10,099)	39,293
270.	**Profit (loss) from current operations after tax**	**13,789**	**(8,795)**	**38,441**	**165,409**	**32,467**	**21,632**	**31,424**	**(66,824)**
290.	**Net profit (loss) for the period**	**13,789**	**(8,795)**	**38,441**	**165,409**	**32,467**	**21,632**	**31,424**	**(66,824)**

The comments below describe in order the most significant income statement captions:

Net interest income, Euro 803.5 million, has gone down by 5.84% compared with December 2016 (Euro 853.3 million) mainly due to the "rate spread" effect. The benefit attributable to 2017 arising from participation in TLTRO II - Targeted Longer Term Refinancing Operations II of Euro 33 million.

Net commission income amounts to Euro 558.3 million (+4.13% compared with December 2016); commissions on the placement of securities and the distribution of third-party services increased, while commissions on loans to customers decreased.

Dividends, which are accounted for on a cash basis, amount to Euro 39.4 million, having increased by Euro 20 million compared with 2016 due to lower dividends collected from subsidiaries.

The net profit from financial activities (captions 80, 90, 100 and 110) comes to Euro 75.5 million (Euro 91.6 million at 31 December 2016). The previous year featured an earn-out clause linked to the sale of Nexi s.p.a., received by CartaSì, for Euro 16.8 million, while the result for the current year was affected negatively by losses deriving from the sale of bad loans of Euro 16.5 million and positively by the sale of various securities held in the AFS portfolio, which generated a gain of Euro 12 million.

Net interest and other banking income comes to Euro 1,476.7 million, a decrease of Euro 24.3 million on December 2016 (-1.62%).

Net adjustments to loans and other financial transactions after write-backs amount to Euro 501.8 million and have decreased (-10.01%) compared with the previous year (Euro 557.6 million). More specifically:

- net adjustments to loans and advances amount to Euro 395.5 million (Euro 516.6 million at 31 December 2016);
- net impairment adjustments to securities available for sale amount to Euro 91.4 million (Euro 49 million at 31 December 2016), mainly due to the writedown of the units in Fondo Atlante by Euro 52.9 million, a subordinated debt security by Euro 4.4 million, the units held in Release s.p.a. by Euro 7 million, as well as the writedown of the investment in the IDGF Voluntary Scheme for the Caricesena, Carim and Carismi operation for Euro 21.1 million;

The net profit from financial activities comes to Euro 974.9 million, 3.34% up on December 2016 (Euro 943.4 million).

Net operating costs amounted to Euro 938.6 million, an increase of 0.73% compared with 2016 (Euro 931.7 million).
In detail:

- payroll costs of Euro 504.5 million, an increase of 4.71% compared with December 2016 (Euro 481.8 million), mainly due to the merger of Nuova Carife, which offset the decrease deriving from the departure of a large number of resources under the Redundancy Incentive Plan and the Solidarity Fund provided for in the current 2015-2017 Business Plan, already fully expensed in 2015;
- other administrative costs amount to Euro 532.6 million, down by Euro 13 million (-2.39%); this caption includes ordinary contributions paid to the Single Resolution Fund, for Euro 15.2 million and expensed for Euro 13 million, taking into account that Euro 2.2 million was paid as collateral

for IPC - Irrevocable Payment Commitment (Euro 42.2 million in 2016, of which Euro 29.6 million of extraordinary contributions) and to the Deposit Guarantee Scheme (DGS) for Euro 15.9 million (Euro 12.3 million in 2016); of these, Euro 104.2 million relates to direct and indirect taxes (+6.08% on 2016), whose recovery of Euro 95.9 million is recorded under "Other operating income", while other expenses, net of taxes, amounted to Euro 428.3 million, a decrease of Euro 19 million (-4.25%);

- net provisions for risks and charges of Euro 24.5 million (Euro 20.8 million in December 2016, +17.37%);
- net adjustments to property, plant and equipment and to intangible assets of Euro 26 million (Euro 25.2 million at 31 December 2016), affected by writedowns on property owned by Euro 2.5 million (Euro 1.6 million at 31 December 2016).
- operating income, net of related charges, amounts to Euro 148.9 million (Euro 141.7 million in December 2016).

Dividing operating costs by net interest and other banking income gives us a cost/income ratio of 63.56% (it was 62.07% at December 2016).

"Profit (loss) from equity investments" shows a loss of Euro 6.9 million, mainly due to impairment testing on the investments in Nadia s.p.a. (Euro 5.1 million), Polo Campania s.r.l. (Euro 1.1 million), Italiana Valorizzazioni Immobiliari s.r.l. (Euro 0.5 million), in addition to net losses from the sale of investments for Euro 0.2 million.

The caption "Badwill" includes the difference between the purchase price and the fair value of the acquired assets and liabilities (including contingent liabilities) generated by the acquisition of Nuova Carife. The amount determined at the end of the Purchase Price Allocation (PPA) process amounted to Euro 190.9 million.

The result of current operations, gross of income taxes, was Euro 220.4 million (Euro 1.4 million at 31 December 2016).

Taxes have a negative impact on the result for Euro 11.6 million (positive for Euro 17.3 million at 31 December 2016) for a tax rate of 5.56%, positively influenced in particular by the non-taxability of the badwill relating to the business combination of Nuova Carife, reduced taxation (Pex regime) on the gain on sale of equity interests and AFS securities and the effects of other unrelated elements (in particular the effects of the ACE deduction) only partly offset by the failed recognition of deferred tax assets on tax losses and other insignificant charges.

Net profit for the year after taxes amounts to Euro 208.8 million (Euro 18.7 million at 31 December 2016).

Services provided and work statistics

Considering the difficult economic situation that has persisted since the previous year, the Bank continued to make an extraordinary effort to manage customer relations in the most effective and appropriate manner possible. In November 2017, 50 branches entered BPER Banca s.p.a. following the merger of Nuova Cassa di Risparmio di Ferrara s.p.a. (to be taken into consideration when making comparisons with 2016 because no prior year figures were recovered before the migration).
The main work statistics for 2017 are shown below, together with comparative figures for 2016:

- current accounts, no. 1,281,441 (+10.89%); no. 109,292 new accounts were opened in 2017, while no. 90,564 were closed;
- a total of 175.1 million current account transactions were carried out (-3.05%);
- no. 17 million bills and notes were presented for collection, totalling Euro 26 billion (+2.64% compared with last year);
- self-liquidating advances against Italian invoices amounted to Euro 32.1 billion (+1.46%);
- 6 million receipts and notes were paid at branches, for a total of Euro 16.3 billion (respectively +0.61% and +3.69%);
- endorsement credits and financial and commercial guarantees amounted to Euro 2.7 billion;
- no. 25,810 mortgages were granted (+5.36%), for a total of Euro 5.3 billion (+2.09%);
- loans granted (personal, business and assignments of one-fifth of salary) numbered no. 45,526, for a total of Euro 1.2 billion (+4.78% and -1.59% respectively);
- over 13.1 million standing order instructions were carried out on behalf of customers, for a total of Euro 3.5 billion (+8.57% and +6.04% respectively);
- bank transfers made totalled Euro 131.4 billion (+1.41%), while those received from third parties amounted to Euro 94.5 billion (+6.99%);
- no. 995 Bancomat ATMs were operational at the end of 2017 (no. 913 in 2016) and they were used to make 22.8 million withdrawals (+4.81%) for a total of Euro 3.5 billion (+4.71%);
- commercial foreign exchange transactions outside the SEPA totalled Euro 11.2 billion (+0.13%);
- there are now no. 53,952 POS units installed in shops or public service locations (6,082 more than in 2016, a growth of 12.71%) and they were used for 63.4 million transactions (+10.36%) for a total of Euro 4.26 billion (+8.94%);
- the number of remote banking connections has risen to no. 91,531 (no. 9,344 more than in 2016, up 11.37%);
- a total of 555,710 Internet banking contracts (+18.01%) have been signed for the provision of information and/or the placement of instructions;
- the number of BPER Cards issued to customers of the Bank now comes to no. 400,730 (+1.83%).

3. Shareholders' equity and capital ratios

3.1 Shareholders' equity

At the start of the year, the Bank's shareholders' equity, excluding net profit for the year, amounted to Euro 4,663 million. In 2017, it increased by Euro 15 million.

As regards the profits from unrealized capital gains of 2016 (net of tax) as per art. 6 of Legislative Decree no. 38/2005, which amounted to Euro 3,434.5 thousand, they have been covered by assigning them to the "Non-distributable reserve pursuant to art. 6, paragraph 1, letter a) of Legislative Decree no. 38/2005)", using the distributable revenue reserve that is fed from time to time through the "liberations" made during the allocation process in previous years. This non-distributable reserve at 31 December 2017 comes to Euro 7,770.9 thousand.

Positive changes:

- Euro 28.3 million, for the net changes in the valuation reserve set up for financial assets available for sale;
- Euro 4.2 million on the allocation of 2016 net profit;

Negative changes:

- Euro 1.4 million for the net changes in the valuation reserve, net of the tax effect, created in connection with hedging transactions;
- Euro 0.7 million to adjust the reserve for actuarial gains/losses, net of the tax effect;
- Euro 1 million for recognition of the tax effects of the various movements that had taken place.

Shareholders' equity now amounts to Euro 4,678 million, up by 0.32% compared with 31 December 2016. Taking into account the net result for the year (Euro 208.8 million), shareholders' equity comes to Euro 4,886.8 million (+4.38% on the shareholders' equity at 31 December 2016).

At 31 December 2017, the share capital was Euro 1,443,925,305, consisting of 481,308,435 shares; of these, no. 455,458 are treasury shares, the same as in December 2016.

3.2 Own funds and capital ratios

(in thousands of Euro)

	31.12.2017	31.12.2016	Change	% Change
Common Equity Tier 1 capital - CET1	**4,271,294**	**4,252,835**	**18,459**	**0.43**
Additional Tier 1 capital - AT1	-	-	-	n.s.
Tier 1 capital - Tier 1	**4,271,294**	**4,252,835**	**18,459**	**0.43**
Tier 2 capital - T2	805,114	341,468	463,646	135.78
Total Own Funds	**5,076,408**	**4,594,303**	**482,105**	**10.49**
Total Risk-weighted assets (RWA)	**24,862,977**	**24,042,033**	**820,944**	**3.41**
CET1 Ratio (CET1/RWA)	**17.18%**	**17.69%**	**-51 b.p.**	
Tier 1 Ratio (Tier 1/RWA)	**17.18%**	**17.69%**	**-51 b.p.**	
Total Capital Ratio (Total Own Funds/RWA)	**20.42%**	**19.11%**	**131 b.p.**	
RWA/Total assets	**41.31%**	**44.74%**	**- 343 b.p.**	

Own funds and capital ratios were calculated at 31 December 2017 via the use of internal models (IRB Advanced Approach) for the measurement of capital requirements for credit risk, after authorisation had been granted by the ECB on 24 June 2016.
As regards the capital requirements of the BPER Banca Group, reference should be made to the "Directors' Report on Group Operations", in the chapter entitled "Own Funds and capital ratios" and to Part F of the consolidated explanatory notes.

Own Funds regulations (transitional provisions): Prudential filters for AFS reserves relating to debt securities issued by the central administrations of EU countries

With the publication in the Official Journal of the European Union of Regulation (EU) 2016/2067 of 22 November 2016, which amended Regulation (EC) no. 1126/2008, which, in turn, adopted certain International Accounting Standards in compliance with Regulation (EC) no. 1606/2002 of the European Parliament and Council with regard to IFRS 9, which will replace IAS 39, the option exercised by the BPER Banca Group has lapsed and, accordingly, at 31 December 2017, AFS reserves attributable to government bonds, for the purpose of the quantification of CET1, were subjected to the same regulatory treatment as other reserves of this kind. The impact is positive for Euro 17.9 million (7 bps) under the transitional arrangements on a phased in basis and a further Euro 4.5 million (2 bps) on a fully phased basis.

4. Principal risks and uncertainties

4.1 Risk management

Please refer to the consolidated financial statements for information on risk management, because, being an activity that is coordinated at Group level, the same considerations made in the relevant section of the Directors' report on Group operations are also valid for the Bank.

4.2 Disclosure of exposures to sovereign debt held by listed companies

Details are provided below of bonds issued by central and local governments and by government entities, as well as loans granted to them as required by CONSOB Communication DEM/11070007 of 5 August 2011.

Debt securities

Issuer	Rating	Cat	Nominal value	Book value	Fair value	AFS Reserves	%
Governments:			**4,548,933**	**4,897,982**	**5,026,637**	**32,133**	**95.66%**
Italy	BBB		**3,809,378**	**4,147,087**	**4,274,605**	**17,846**	**81.00%**
		HFT	223,360	261,959	261,959	#	
		CFV	-	-	-	#	
		AFS	2,303,518	2,453,304	2,453,304	17,846	
		HTM	1,282,500	1,431,824	1,559,342	#	
		L/R	-	-	-	#	
UK	AA		**33,813**	**36,513**	**36,513**	**985**	**0.71%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	33,813	36,513	36,513	985	
		HTM	-	-	-	#	
		L/R	-	-	-	#	
U.S.A.	AAA		**356,458**	**352,860**	**352,860**	**(2,035)**	**6.89%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	356,458	352,860	352,860	(2,035)	
		HTM	-	-	-	#	
		L/R	-	-	-	#	
France	AA		**100,000**	**97,484**	**97,484**	**4,442**	**1.90%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	100,000	97,484	97,484	4,442	
		HTM	-	-	-	#	
		L/R	-	-	-	#	

Issuer	Rating	Cat	Nominal value	Book value	Fair value	AFS Reserves	%
Austria	AA+		**10,387**	**10,571**	**10,571**	**319**	**0.21%**
		HFT	1,387	1,454	1,454	#	
		CFV	-	-	-	#	
		AFS	9,000	9,117	9,117	319	
		HTM	-	-	-	#	
		L/R	-	-	-	#	
European Stability Fund	AA		**215,000**	**229,392**	**229,392**	**10,669**	**4.48%**
		HFT	-	-	-	-	
		CFV	-	-	-	-	
		AFS	215,000	229,392	229,392	10,669	
		HTM	-	-	-	-	
		L/R	-	-	-	-	
Portugal	BBB		**10,392**	**10,684**	**11,389**	**-**	**0.21%**
		HFT	392	427	427	#	
		CFV	-	-	-	#	
		AFS	-	-	-	-	
		HTM	10,000	10,257	10,962	#	
		L/R	-	-	-	#	
Other	_		**13,505**	**13,391**	**13,823**	**(93)**	**0.26%**
		HFT	167	168	168	#	
		CFV	-	-	-	#	
		AFS	8,338	8,198	8,198	(93)	
		HTM	5,000	5,025	5,457	#	
		L/R	-	-	-	#	

Issuer	Rating	Cat	Nominal value	Book value	Fair value	AFS Reserves	%
Central Banks:			**20,845**	**20,903**	**20,903**	**(18)**	**0.41%**
UK	AA		**20,845**	**20,903**	**20,903**	**(18)**	**0.41%**
		HFT	-	-	-	-	
		CFV	-	-	-	-	
		AFS	20,845	20,903	20,903	(18)	
		HTM	-	-	-	-	
		L/R	-	-	-	-	
Other public entities:			**199,967**	**201,214**	**202,777**	**315**	**3.93%**
Italy	-		**1,090**	**1,089**	**1,089**	**18**	**0.02%**
		HFT	4	4	4	#	
		CFV	-	-	-	#	
		AFS	945	944	944	18	
		HTM	-	-	-	#	
		L/R	141	141	141	#	
Japan	-		**25,848**	**25,360**	**25,360**	**(602)**	**0.50%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	25,848	25,360	25,360	(602)	
		HTM	-	-	-	#	
		L/R	-	-	-	#	
Canada	-		**64,676**	**64,742**	**64,742**	**303**	**1.26%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	64,676	64,742	64,742	303	
		HTM	-	-	-	#	
		L/R	-	-	-	#	
France	-		**108,353**	**110,023**	**111,586**	**596**	**2.15%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	83,353	84,982	84,982	596	
		HTM	25,000	25,041	26,604	#	
		L/R	-	-	-	#	
Total debt securities			**4,769,745**	**5,120,099**	**5,250,317**	**32,430**	**100.00%**

The ratings indicated are those of Fitch Rating as at 31 December 2017.

Loans and advances

Issuer	Rating	Cat	Nominal value	Book value	Fair value	AFS Reserves	%
Governments:			**1,892,713**	**1,892,713**	**1,892,713**	**-**	**91.01%**
Italy	BBB+		**1,892,713**	**1,892,713**	**1,892,713**	**-**	**91.01%**
		HFT				#	
		CFV				#	
		AFS				-	
		HTM				#	
		L/R	1,892,713	1,892,713	1,892,713	#	
Other public entities:			**186,903**	**186,903**	**194,563**	**-**	**8.99%**
Italy	-		**186,903**	**186,903**	**194,563**	**-**	**8.99%**
		HFT				#	
		CFV				#	
		AFS				-	
		HTM				#	
		L/R	186,903	186,903	**194,563**	#	
Total loans			**2,079,616**	**2,079,616**	**2,087,276**	**-**	**100.00%**

The ratings indicated are those of Scope Rating as at 31 December 2017.

Based on their "Book value", repayment of these positions is distributed as follows:

	on demand	until 1 year	from 1 to 5 years	over 5 years	Total
Debt securities	141	786,405	2,218,354	2,115,199	5,120,099
Loans	185,479	195,181	412,170	1,286,786	2,079,616
Total	**185,620**	**981,586**	**2,630,524**	**3,401,985**	**7,199,715**

5. Other information

5.1 Management of the Bank

- *New appointments*

The following Directors were appointed at the Shareholders' Meeting held on 8 April 2017: Luigi Odorici (independent), Alberto Marri, Alfonso Roberto Galante (independent), Pietro Ferrari, Mara Bernardini (independent), Valeria Venturelli (independent), Costanzo Jannotti Pecci – all drawn from list no. 1 - and Roberta Marracino (independent) - drawn from List no. 2 – the Junior Minority List.
Following the approval of the amendments to the Articles of Association as per paragraph 1) of extraordinary part of the meeting and, in particular, of the transitional provision contained in art. 45 paragraph 3, the mandate of these Directors will last for one year.
During the board meeting held on 11 April 2017 the Board of Directors confirmed Luigi Odorici as Chairman and Alberto Marri as Deputy Chairman. The Deputy Chairmen in office at the date of this document are therefore: Alberto Marri and Giosuè Boldrini.

- *New Manager responsible for preparing the corporate financial reports of BPER Banca*

As resolved by the Board of Directors of BPER Banca on 20 December 2016, the press release issued on 8 April 2017 officially confirmed the replacement of Emilio Annovi, due to retire shortly, as the Manager responsible for preparing the company's financial reports (art.154-bis of Legislative Decree 58/1998 - Consolidated Finance Law), by Marco Bonfatti, manager of the Accounting Department within the Administration and Reporting Area of BPER Banca. The Board decided that Mr. Bonfatti's appointment would take effect from the date of approval of the 2016 financial statements, having obtained the opinion of the Board of Statutory Auditors and ensured that Mr. Bonfatti met the requirements of the position according to the Bank's Articles of Association.

5.2 Intercompany and related-party transactions

Relations between the various companies included within the scope of consolidation and with associates and related parties were all of a routine nature and were conducted properly.
For details, as required by art. 2497 *bis* of the Italian Civil Code and by the CONSOB Communication DEM 6064293 dated 28 July 2006, reference should be made to Part H of the Explanatory notes.

In accordance with Regulation 17221/10 and subsequent amendments issued by CONSOB on related-party transactions, the Bank adopted the specific internal procedures, valid for the whole Group, designed to ensure transparency and substantial and procedural correctness of transactions with related parties.
In this context, BPER Banca has adopted the "Group policy for the governance of non-compliance risk concerning conflicts of interest with related parties and risk activities with associated persons", subsequently implemented by the other Group banks and companies. The Policy, last updated on 11 July 2017, also complies with the Bank of Italy's requirements in terms of "Risk activities and conflict of interest versus related parties and associated persons" as contained in the 9th update of 12 December 2011 of Circular 263 dated 27 December 2006.

The document is published on the Bank's website (www.bper.it, in the "Related Parties" section) and on the websites of the other Group banks.

Without prejudice to the disclosure requirements of IAS 24, the following is a summary of transactions with related parties, for which information is provided under Regulation 17221/10.

a) More significant individual transactions concluded during the reference period:

No.	Company that initiated the transaction	Name of the transaction counterparty	Nature of the relationship with the counterparty	Object of the transaction	Consideration for each transaction completed (Euro/000)	Other information
1	BPER Banca S.p.A.	Banco di Sardegna S.p.A.	Directly controlled subsidiary	18 repo transactions/cash deposits concluded in the 1st half of 2017	(*)	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
2	BPER Banca S.p.A.	Estense Covered Bond S.r.l.	Directly controlled subsidiary	Repo transactions	276,944	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
3	BPER Banca S.p.A.	Banca Popolare dell'Emilia Romagna (Europe) International S.A..	Directly controlled subsidiary	Renewal of credit line	250,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
4	BPER Banca S.p.A.	Sardaleasing S.p.A.	Directly controlled subsidiary	Renewal of credit line	692,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221

No.	Company that initiated the transaction	Name of the transaction counterparty	Nature of the relationship with the counterparty	Object of the transaction	Consideration for each transaction completed (Euro/000)	Other information
5	BPER Banca S.p.A.	Emilia Romagna Factor S.p.A.	Directly controlled subsidiary	Renewal of credit line	900,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
6	BPER Banca S.p.A.	Banca di Sassari S.p.A.	Directly controlled subsidiary	Renewal of credit line	630,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
7	BPER Banca S.p.A.	Cassa di Risparmio di Bra S.p.A.	Directly controlled subsidiary	Renewal of credit line	250,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
8	BPER Banca S.p.A.	Sardaleasing S.p.A.	Directly controlled subsidiary	Renewal of credit line	677,500	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
9	BPER Banca S.p.A.	Sardaleasing S.p.A.	Directly controlled subsidiary	Renewal of credit line	677,500	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221

No.	Company that initiated the transaction	Name of the transaction counterparty	Nature of the relationship with the counterparty	Object of the transaction	Consideration for each transaction completed (Euro/000)	Other information
10	BPER Banca S.p.A.	Sardaleasing S.p.A.	Directly controlled subsidiary	Renewal of credit line	569,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
11	BPER Banca S.p.A.	Alba Leasing S.p.A.	Direct associated company	Renewal of credit line	570,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
12	BPER Banca S.p.A.	Sardaleasing S.p.A.	Directly controlled subsidiary	Renewal of credit line	662,300	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221

With regard to repurchase agreements/cash deposits concluded bilaterally between the Parent Company and the subsidiary Banco di Sardegna s.p.a., it should be noted that these are due to operations which allowed this subsidiary bank to have a more effective supply of liquidity from the market.
(*) It should be noted that the no. 18 transactions mentioned above are included in the range between Euro 271,831 thousands and Euro 800,000 thousand.

b) other individual transactions with related parties as defined under article 2427, second paragraph, of the Italian Civil Code, entered into in the reporting period, that have materially impacted the financial position and results of the company

On 11 July 2017, the Board of Directors of BPER Banca approved a plan for BPER Banca to absorb Nuova Carife. This is considered to be a less material transaction.
As required by CONSOB Regulation 17221/10 with regard to other transactions with related parties, it is confirmed that no transactions have had a significant effect on the balance sheet or results of the company.

c) changes or developments in related-party transactions disclosed in the last annual report that have had a material effect on the financial position or results of the companies during the period

During the year, there have been no changes or developments in the related-party transactions described in the last annual report that would have an effect on the financial position or results of the Company.

5.3 Information on atypical, unusual or non-recurring transactions

During 2017 there were no atypical or unusual transactions, as defined by CONSOB Communication DEM 6064293 dated 28 July 2006.
Nor were there any non-recurring transactions during the year.

5.4 Information on the ownership structure - (art. 123-bis of Legislative Decree no. 58/1998)

The information required by the above article is detailed in a specific report issued by the Board of Directors ("Report on corporate governance and ownership structure"). This report, pursuant to the aforementioned art. 123-bis, paragraph 3, is made available to the public on the Bank's website (www.bper.it) in the Institutional Area - Governance - Documents section, as well as on the website of Borsa Italiana s.p.a. (www.borsaitaliana.it) and of the authorised storage system managed by Computershare s.p.a. (www.1info.it).

5.5 Application of the MiFID

During 2017, in view of the entry into force of the new MiFID 2 legislation – scheduled for 3 January 2018 – the Bank commenced a planning activity by setting up a specific Work Group with the support of PricewaterhouseCoopers Advisory s.p.a.

5.6 Information on business continuity, financial risks, impairment tests and uncertainties regarding the use of estimates

In preparing the financial statements for the year ended 31 December 2017, the Directors considered the going-concern assumption to be appropriate because they did not find any uncertainties related to events or circumstances that, individually or collectively, could give rise to doubts about the business's ability to continue.

To confirm and strengthen this assessment, it should be noted that, on 19 December 2017, the Parent Company's Board of Directors approved the 2018 Budget, which foresees the achievement of a positive economic result and the maintenance of an adequate capital base.

5.7 Information to be provided about impairment tests, the contractual clauses that govern borrowing, the restructuring of debt and the fair value hierarchy

Please refer to the “Directors' Report on Group operations”.

5.8 Transition to IFRS 9

Please refer to the "Directors' Report on Group Operations", in the chapter entitled "Other information", for details of this planning activity.

5.9 Transition to IFRS 15

IFRS 15, published in April 2016, introduces a new model for the recognition of revenues deriving from contracts with customers. The new standard will replace the current requirements of IFRS on revenue recognition: IAS 11 Construction Contracts, IAS 18 Revenue, IFRIC 13 Customer Loyalty Programmes, IFRIC 15 Agreements for the Construction of Real Estate, IFRIC 18 Transfers of Assets from Customers and SIC-31 Revenue – Barter Transaction involving Advertising Services.

The standard is effective on or after 1 January 2018, with full retrospective application or with the modified approach.

Based on analyses to identify contracts with customers and potential changes in revenue recognition, no significant impacts are expected from application of the new standard.

Please refer to the "Directors' Report on Group operations" for details on the planning activity.

6. Remuneration of the Board of Directors

We bring to your attention the topic of the determination of the amount of Directors' emoluments, as provided for by art. 11 of the Articles of Association.
The Shareholders' Meeting held on 8 April 2017 established that the amount of fees payable to Directors, in accordance with art. 11 of the Articles of Association, for the 2017 financial year was a total of Euro 1,600,000 and that this amount was for the payment of emoluments of the members of the Board of Directors, additional emoluments payable to the Executive Committee and other internal Committees, as well as Directors' attendance fees for participation at meetings of the Board of Directors and of the above committees. Excluded, however, were additional emoluments payable to Directors appointed to particular positions in compliance with the Articles of Association (specifically Chairman, Vice Chairmen and Chief Executive Officer): in accordance with art. 11 of the Articles of Association, this remuneration had to be set, in fact, by the Board of Directors, after having sought the opinion of the Board of Statutory Auditors.
The total amount of fees, determined as indicated and charged to the income statement of the year on an accruals basis, in compliance with IAS 19 under "Personnel costs - Directors and Statutory Auditors", was Euro 1,511.4 thousands (Euro 1,542.2 thousands at 31 December 2016), below the set limit of Euro 1,600 thousand. In detail, this amount includes the fees due to members of the Board of Directors of Euro 831.7 thousands (Euro 860.8 thousands at 31 December 2016), the fees due to members of the Executive Committee of Euro 180 thousands (Euro 170.3 thousands at 31 December 2016), the fees for participation in various Board Sub-Committees set up to meet the obligations of Corporate Governance of Euro 400.4 thousands (Euro 358.7 thousands at 31 December 2016) and attendance fees for Directors taking part in meetings of the Board of Directors and of the various Board Sub-Committees, if any, for a total of Euro 99.3 thousands (Euro 152.4 thousands at 31 December 2016).
In addition to these amounts, there were also emoluments payable to the Chairman and Deputy Chairmen of Euro 495 thousands (Euro 548.3 thousands in the year ended 31 December 2016) and to the Chief Executive Officer of Euro 850 thousands (unchanged compared with the year ended 31 December 2016).
The total amount is therefore Euro 2,856.4 thousand, compared with Euro 2,940.5 thousands for 2016.
Having disclosed the Directors' fees for 2017, we now submit a proposal for their remuneration for 2018, confirming the amount of Euro 1,600 thousand, already established as the limit for the last three years.
We hereby propose the following resolution for your consideration: "the total amount of fees payable to Directors for 2018, pursuant to art. 11 of the Articles of Association, is set at Euro 1,600,000 (one million six hundred thousands euro)".

7. Proposal for the allocation of net profit

Having completed our presentation of the results of operations and the various events that took place in the year just ended, we herewith submit to you the proposed allocation of profit, Euro 208,843,888.33, which adheres to the criteria of prudence and attention to the strengthening of capital, in line with guidance provided by the Supervisory Authorities and which is first of all a preliminary allocation, as provided for by art. 42 (paragraph 2) of the Articles of Association, of an amount of Euro 1,405,753.67, to the non-distributable reserve under Legislative Decree no. 38/2005 (art. 6, paragraph 1.a) for unrealised gains, net of tax.

Accordingly, there is a residual balance of Euro 207,438,134.66 to be allocated, comprising an allocation of Euro 10,371,906.73 to the legal reserve in line with the minimum requirements of law (5%).

Taking account of the capital adequacy of the Parent Company and the Group, in accordance with parameters established by prudential supervision regulations and decisions made by the European Central Bank concerning capital requirements (2017 SREP) and in line with the communications issued thereby concerning dividend distribution policy, we submit to you the proposed payment of a dividend of Euro 0.11 for each of the no. 481,308,435 shares representing the share capital, excluding those held in portfolio at the ex-dividend date (no. 455,458 at 31 December: a number that is confirmed as of today's date). The total amount allocated for dividends therefore comes to Euro 52,943,927.85, i.e. 25.35% of the net profit for the year.

The capitalisable portion of net profit for the year therefore amounts to Euro 155,899,960.48.

Trusting that you will grant your consent, we therefore present in accordance with the Articles of Association the following proposed allocation of net profit:

Net profit for the year	**Euro**	**208,843,888.33**
Preliminary allocation (Art. 42, paragraph 2, of the Articles of Association):		
- to non-distributable reserve, art. 6.1.A of Decree 38/05	Euro	1,405,753.67
Residual profit to be distributed	**Euro**	**207,438,134.66**
- to the legal reserve (5%)	Euro	10,371,906.73
- to the Extraordinary reserve	Euro	144,122,300.08
- to the Shareholders as a dividend of Euro 0.11 for the 481,308,435 shares making up the share capital	Euro	52,943,927.85

According to Borsa Italiana S.p.A.'s calendar, payment of the proposed dividend will take place as from 23 May 2018. As regards its market price, BPER's stock will go ex-coupon on Monday, 21 May 2018, while the record date is scheduled for Tuesday, 22 May 2018.

It is important to remember that the dividend is subject to withholding tax or forms part of taxable income to a varying extent depending on the status of the recipients. It should be noted that, according to the Ministerial Decree of 2 April 2008, for tax purposes, the entire dividend is considered earnings produced up to the year in progress at 31 December 2007.

8. Significant subsequent events and outlook for operations

8.1 Significant events subsequent to 31 December 2017

Sale of receivables from lending-against-salary

The 2015-2017 Business Plan includes the strategic objective of strengthening revenues by boosting commission income and developing business lines to support the needs of households and small and medium-sized enterprises. In this context, the "Consumer Finance" project was implemented, aimed at focusing Banca di Sassari on "Consumer" activities, as a product company and centre of excellence serving the BPER Banca Group, specialised in monetics and consumer credit. With regard to the development of the lending-against-salary business, the Consumer Finance project provides for the centralisation of loans at Banca Sassari.

New disbursements have been centralised since May 2017; the assignment concerns the centralisation of existing stocks, while at the same time enhancing the synergies deriving from bringing together all lending-against-salary in a single procedure, as planned.

Formalisation of this assignment, carried out pursuant to art. 58 of Legislative Decree b.385/93 (CBA), was approved by the Board of Directors of BPER on 28 November 2017.

BPER Banca, with a notarial deed dated 14 December 2017, sold all receivables from lending-against-salary, granted up to 31 December 2017, to Banca di Sassari with effect from 1 January 2018.

The price paid for this portfolio was set at Euro 101 million and involved loans for a residual debt of Euro 96.3 million.

For other significant events, please refer to the "Directors' Report on Group Operations".

8.2 Outlook for operations

Please refer to the *"Directors' Report on Group Operations"*.

9. Acknowledgements

2017 will remain an unforgettable year as it marked the 150th anniversary of the Bank's foundation, which we wanted to remember with a large series of events and initiatives. It was an opportunity to reflect on our history and to represent a long and uninterrupted growth path started on 12 June 1867, when a group of enlightened citizens founded Banca Popolare di Modena, with the aim of facilitating access to credit and to promote savings.

Today we can say that it was an appropriate and visionary choice, realised over time with the daily commitment of all those who cared for the Bank's destiny: from Directors to Employees and, more generally, from Members and Shareholders to Customers and the Communities served.

In this important year we have for a long time reflected on the events of a small local Bank, which over time has become a large national Group, a successful player in a constantly evolving scenario, ready to face the challenges that await us. It has been a long journey of growth and consolidation, made possible by the assimilation of ethical and business values that have become vectors of reliability projected onto the territories of reference.

A path that will continue in the future, with the same intensity and the same principles that have constituted a competitive advantage and a distinctive sign of success.

In the meantime, the most recent years have been full of novelties for the Bank: particularly as regards the transformation into a joint-stock company, which has opened up prospects to be addressed with renewed commitment.

In this regard, it should be noted that the start of this new phase has confirmed our profound conviction: the consensus of many shareholders, who in recent years have distinguished themselves for their attachment to the Bank, has been joined by that of the people who have decided to invest in our capital, convinced of the reliability of management, the advanced governance mechanisms and a strategic vision where the desire to enhance the value of the resources present in the territories served is a prerogative to be safeguarded.

The past year has once again been very demanding. In facing up to these commitments, BPER Banca has been able to count on the contribution made by a large group of participants, who made it possible to achieve our positive results. Above all, the Shareholders and Customers, who more and more frequently show their tangible appreciation.

We also wish to thank those who, with differing roles and responsibilities, have worked for the Bank and all the businesses that make up the Group. We refer to the Chairman, the Directors, Statutory Auditors, Managers and all members of the general management of the Bank and Group companies; recognition is due to all of them for their great professionalism in their management activities and their extraordinary ability to listen and to be attentive to the territorial context in which we operate.

We also express our gratitude to the Chief Executive Officer, the General Manager and the Deputy General Managers: they have managed the Bank in an increasingly collaborative way that is entirely in line with the guidelines provided by the Board of Directors. For them, what has been fundamental is the

dedication shown by all of our personnel, who have never failed in their efforts, with exceptional commitment to the Bank's values, guaranteeing the achievement of objectives set.

We express, in particular, deep gratitude and regard for all those persons who retired from service during the year.

A greeting also goes to the Governor of the Bank of Italy, to the managers of the Central Administration, as well as managers and staff of the relevant structures of the Supervisory Authority and in particular the representatives of the ECB with whom we have had a useful and constructive debate. Also a thought for CONSOB and the Borsa Italiana which runs the Italian Stock Exchange.

Lastly, we would like to thank our auditors and all of their staff who contributed to the development, in-house, of a higher level of attention to different accounting and legislative matters, also thanks to a positive and effective dialogue with full respect for the different roles and functions.

10. Resolutions

Shareholders,
on completion of our discussion and trusting that you concur with us, we present for your approval the 2017 financial statements, accompanied by the report on operations and the other attached documentation.
We also ask you to approve the proposed allocation of net profit, as previously set out, and seek your approval for the remuneration of the Board of Directors in the terms expressed previously.
We confirm you that the financial statements of the Bank and the consolidated financial statements of the Group are accompanied by the certification (required by para. 5 of art. 154-bis of the Consolidated Finance Law) given by the Chief Executive Officer and the Manager responsible for preparing the company's financial reports.
We also specify that the reports of the independent auditors on the financial statements of the Bank and the consolidated financial statements of the Group, included in the printed volume, are issued by Deloitte & Touche s.p.a. under the terms of their mandate for the period 2017-2025.

11. Reappointment of Directors and Officers

We hereby inform you that the mandate of the entire Board of Directors has expired: Luigi Odorici (Chairman) Alberto Marri (Deputy Chairman), Giosuè Boldrini (Deputy Chairman), Alessandro Vandelli (Chief Executive Officer),) Mara Bernardini, Ettore Caselli, Pietro Cassani, Pietro Ferrari, Alfonso Roberto Galante, Elisabetta Gualandri, Costanzo Jannotti Pecci, Roberto Marotta, Roberta Marracino, Valeriana Maria Masperi and Valeria Venturelli.

As required by art. 17 of the Articles of Association, the Meeting is called upon to elect 15 members of the Board of Directors for the three-year period 2018-2020, as well as to decide the remuneration to be paid to Directors.

Finally, the three-year mandate of the following Statutory Auditors has expired: Antonio Mele (Chairman), Carlo Baldi, Diana Rizzo, Francesca Sandrolini, Vincenzo Tardini (Acting Auditors); Giorgia Butturi and Gianluca Spinelli (Alternate Auditors).

The Shareholders' Meeting is therefore called upon to elect the Board of Statutory Auditors for the three-year period 2018-2020, as well as to set the Board's remuneration.

Modena, 8 March 2018

The Board of Directors
The Chairman
Luigi Odorici

Financial statements

Balance sheet as at 31 December 2017

(in Euro)

Assets	31.12.2017	31.12.2016
10. Cash and cash equivalents	301,075,930	255,933,535
20. Financial assets held for trading	684,648,707	702,293,136
30. Financial assets designated at fair value	38,005,116	38,642,715
40. Financial assets available for sale	10,684,258,963	8,575,832,241
50. Financial assets held to maturity	2,637,134,706	2,515,993,095
60. Due from banks	3,909,712,397	2,155,636,542
70. Loans to customers	37,390,987,759	35,478,258,488
80. Hedging derivatives	52,824,516	59,767,383
100. Equity investments	1,686,978,731	1,619,457,479
110. Property, plant and equipment	460,054,567	426,715,104
120. Intangible assets	295,036,275	296,922,762
of which: goodwill	280,235,895	280,235,895
130. Tax assets	1,571,956,647	1,233,836,373
a) current	555,527,557	202,317,279
b) deferred	1,016,429,090	1,031,519,094
b1) of which L. 214/2011	817,687,406	862,067,604
150. Other assets	467,510,822	375,786,869
Total assets	**60,180,185,136**	**53,735,075,722**

Liabilities and shareholders' equity	31.12.2017	31.12.2016
10. Due to banks	16,541,840,376	12,539,336,575
20. Due to customers	30,386,711,085	27,383,756,769
30. Debt securities in issue	6,450,292,175	7,208,172,011
40. Financial liabilities held for trading	173,434,103	232,097,802
50. Financial liabilities designated at fair value	48,319,938	247,933,422
60. Hedging derivatives	21,175,524	36,860,314
80. Tax liabilities	74,009,263	63,232,929
b) deferred	74,009,263	63,232,929
100.Other liabilities	1,119,335,025	891,095,670
110. Provision for termination indemnities	116,669,547	122,008,252
120. Provisions for risks and charges	361,567,903	328,887,775
a) pensions and similar commitments	135,673,768	134,691,225
b) other provisions	225,894,135	194,196,550
130. Valuation reserves	14,429,629	(11,746,702)
160. Reserves	2,296,811,932	2,307,997,481
170. Share premium reserve	930,072,623	930,072,623
180. Share capital	1,443,925,305	1,443,925,305
190. Treasury shares	(7,253,180)	(7,253,180)
200. Net profit (loss) for the period	208,843,888	18,698,676
Total liabilities and shareholders' equity	**60,180,185,136**	**53,735,075,722**

Income statement as at 31 December 2017

(in Euro)

Captions	31.12.2017	31.12.2016
10. Interest and similar income	1,067,225,383	1,124,288,030
20. Interest and similar expense	(263,752,951)	(270,977,792)
30. Net interest income	**803,472,432**	**853,310,238**
40. Commission income	590,706,512	565,222,736
50. Commission expense	(32,402,446)	(29,053,156)
60. Net commission income	**558,304,066**	**536,169,580**
70. Dividends and similar income	39,393,246	19,961,409
80. Net trading income	36,061,314	6,866,834
90. Net hedging gains (losses)	(493,851)	(297,419)
100. Gains/losses on disposal or repurchase of:	40,194,009	80,874,176
a) loans	(8,606,134)	(9,129,542)
b) financial assets available for sale	47,933,094	90,001,230
c) financial assets held to maturity	315,595	(77)
d) financial liabilities	551,454	2,565
110. Net results on financial assets and liabilities designated at fair value	(234,341)	4,137,955
120. Net interest and other banking income	**1,476,696,875**	**1,501,022,773**
130. Net impairment adjustments to:	(501,756,715)	(557,593,759)
a) loans	(395,549,198)	(516,606,305)
b) financial assets available for sale	(91,389,617)	(48,987,575)
d) other financial assets	(14,817,900)	8,000,121
140. Net profit from financial activities	**974,940,160**	**943,429,014**
150. Administrative costs:	(1,037,071,205)	(1,027,399,640)
a) payroll	(504,504,930)	(481,799,932)
b) other administrative costs	(532,566,275)	(545,599,708)
160. Net provisions for risks and charges	(24,450,851)	(20,832,278)
170. Net adjustments to property, plant and equipment	(23,349,274)	(22,684,003)
180. Net adjustments to intangible assets	(2,616,209)	(2,508,735)
190. Other operating charges/income	148,930,185	141,693,322
200. Operating costs	**(938,557,354)**	**(931,731,334)**
210. Profit (loss) from equity investments	(6,878,185)	(10,045,153)
235. Gain on a bargain purchase	190,892,284	-
240. Gains (losses) on disposal of investments	49,537	(211,854)
250. Profit (loss) from current operations before tax	**220,446,442**	**1,440,673**
260.Income taxes on current operations	(11,602,554)	17,258,003
270. Profit (loss) from current operations after tax	**208,843,888**	**18,698,676**
290. Net profit (loss) for the period	**208,843,888**	**18,698,676**

	Earnings per share (Euro) 31.12.2017	Earnings per share (Euro) 31.12.2016
Basic EPS	0.434	0.039
Diluted EPS	0.434	0.039

Statement of comprehensive income

(in Euro)

	31.12.2017	31.12.2016
10. Net profit (loss) for the period	**208,843,888**	**18,698,676**
Other income items, net of income taxes, without release to the income statement	**(658,300)**	**(13,248,147)**
40. Defined benefit plans	(658,300)	(13,248.147)
Other income items, net of income taxes, with release to the income statement	**26,833,595**	**(32,138,924)**
90. Cash-flows hedges	(1,466,892)	(2,844,428)
100. Financial assets available for sale	28,300,487	(29,294,496)
130. Total other elements of income (net of income taxes)	**26,175,295**	**(45,387,071)**
140. Comprehensive income (caption 10+130)	**235,019,183**	**(26,688,395)**

Statement of changes in shareholders' equity

(in thousands of Euro)

	Balance as at 31.12.16	Changes in opening balances	Balance as at 1.1.17	Allocation of prior year results: Reserves	Allocation of prior year results: Dividends and other allocations	Changes during the year: Changes in reserves	Transactions on shareholders' equity: Issue of new shares	Transactions on shareholders' equity: Purchase of treasury	Transactions on shareholders' equity: Extraordinary distributio	Transactions on shareholders' equity: Changes in equity instrumen	Transactions on shareholders' equity: Derivatives on treasury shares	Transactions on shareholders' equity: Stock options	Comprehensive income as at 31.12.17	Shareholders' equity as at 31.12.17
Share capital:	**1,443,925**	-	**1,443,925**	-	-	-	-	-	-	-	-	-	-	**1,443,925**
a) ordinary shares	1,443,925	-	1,443,925	-	-	-		-	-	-	-	-	-	1,443,925
b) other shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Share premium reserve	**930,073**	-	**930,073**	-	-	-		-	-	-	-	-	-	**930,073**
Reserves:	**2,307,997**	-	**2,307,997**	**4,225**	-	**(1,033)**	-	-	**(14,377)**	-	-	-	-	**2,296,812**
a) from profits	1,806,490	-	1,806,490	4,225	-	(1,032)	-	-	(14,377)	-	-	-	-	1,795,306
b) other	501,507	-	501,507	-	-	(1)	-	-	-	-	-	-	-	501,506
Valuation reserves	**(11,747)**	-	**(11,747)**	-	-	**1**	-	-	-	-	-	-	**26,176**	**14,430**
Equity instruments	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Treasury shares	**(7,253)**	-	**(7,253)**	-	-	-			-	-	-	-	-	**(7,253)**
Net profit (loss)	**18,699**	-	**18,699**	**(4,225)**	**(14,474)**	-	-	-	-	-	-	-	**208,844**	**208,844**
Shareholders' equity	**4,681,694**	-	**4,681,694**	-	**(14,474)**	**(1,032)**	-	-	**(14,377)**	-	-	-	**235,020**	**4,886,831**

	Balance as at 31.12.15	Changes in opening balances	Balance as at 1.1.16	Allocation of prior year results: Reserves	Allocation of prior year results: Dividends and other allocations	Changes during the year: Changes in reserves	Transactions on shareholders' equity: Issue of new shares	Transactions on shareholders' equity: Purchase of treasury	Transactions on shareholders' equity: Extraordinary distributio	Transactions on shareholders' equity: Changes in equity instrumen	Transactions on shareholders' equity: Derivatives on treasury shares	Transactions on shareholders' equity: Stock options	Comprehensive income as at 31.12.16	Shareholders' equity as at 31.12.16
Share capital:	**1,443,925**	-	**1,443,925**	-	-	-	-	-	-	-	-	-	-	**1,443,925**
a) ordinary shares	1,443,925	-	1,443,925	-	-	-		-	-	-	-	-	-	1,443,925
b) other shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Share premium reserve	**930,073**	-	**930,073**	-	-	-		-	-	-	-	-	-	**930,073**
Reserves:	**2,192,709**	-	**2,192,709**	**113,877**	-	**1,411**	-	-	-	-	-	-	-	**2,307,997**
a) from profits	1,692,503	-	1,692,503	113,877	-	110	-	-	-	-	-	-	-	1,806,490
b) other	500,206	-	500,206	-	-	1,301	-	-	-	-	-	-	-	501,507
Valuation reserves	**33,640**	-	**33,640**	-	-	-	-	-	-	-	-	-	**(45,387)**	**(11,747)**
Equity instruments	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Treasury shares	**(7,253)**	-	**(7,253)**	-	-	-			-	-	-	-	-	**(7,253)**
Net profit (loss)	**161,962**	-	**161,962**	**(113,877)**	**(48,085)**	-	-	-	-	-	-	-	**18,699**	**18,699**
Shareholders' equity	**4,755,056**	-	**4,755,056**	-	**(48,085)**	**1,411**	-	-	-	-	-	-	**(26,688)**	**4,681,694**

Statement of cash flows as at 31 December 2017

Indirect method

(in thousands of Euro)

A. Operating activities	31.12.2017	31.12.2016
1. Cash generated from operations	**701,634**	**659,992**
net profit (loss) for the period	208,844	18,699
net gains/losses from financial assets held for trading and financial assets/liabilities designated at fair value	(24,980)	4,881
gains (losses) from hedging activities	494	297
net adjustments for impairment	615,401	557,594
impairment/write-backs to property, plant and equipment and intangible assets	25,965	25,193
net provisions for risks and charges and other costs/income	42,438	70,747
unsettled taxes	11,603	(17,258)
other adjustments	(178,131)	(161)
2. Cash generated/absorbed by financial assets	**(4,374,829)**	**(3,851,926)**
financial assets held for trading	42,600	107,714
financial assets designated at fair value	(20,200)	1,343
financial assets available for sale	(2,017,791)	(1,925,434)
loans to customers	(249,014)	193,686
due from banks: on demand	(1,121,554)	(612,293)
due from banks: other receivables	(1,082,558)	(2,109,592)
other assets	73,688	492,650
3. Cash generated/absorbed by financial liabilities	**3,851,252**	**3,358,062**
due to banks: on demand	1,096,840	(1,024,123)
due to banks: other debts	2,857,120	4,908,195
due to customers	1,071,060	2,185,642
debt securities in issue	(853,804)	(1,514,514)
financial liabilities held for trading	(59,705)	(15,310)
financial liabilities designated at fair value	(200,304)	(620,847)
other liabilities	(59,955)	(560,981)
Net cash generated/absorbed by operating activities	**178,057**	**166,128**

B. Investing activities	31.12.2017	31.12.2016
1. Cash generated by	**183,882**	**150,314**
sale of equity investments	7,447	170
dividends collected on equity investments	27,124	10,204
sale of financial assets held to maturity	147,842	138,409
sale of property, plant and equipment	1,469	1,531
2. Cash absorbed by	**(287,986)**	**(289,298)**
purchase of equity investments	(1,166)	(268,579)
purchase of financial assets held to maturity	(301,576)	(6,908)
purchase of property, plant and equipment	(16,737)	(12,670)
purchase of intangible assets	(580)	(1,141)
purchase of lines of business	32,073	-
Net cash generated/absorbed by investing activities	**(104,104)**	**(138,984)**

C. Financing activities	31.12.2017	31.12.2016
dividend distribution and other	(28,851)	(48,085)
Net cash generated/absorbed by financing activities	**(28,851)**	**(48,085)**
Net cash generated/absorbed in the period	**45,102**	**(20,941)**

Key:

(+) generated
(-) absorbed

Reconciliation

Captions	31.12.2017	31.12.2016
Cash and cash equivalents at beginningof the period	255,934	276,777
Net cash generated/absorbed in the period	45,102	(20,941)
Cash and cash equivalents: effect of exchange rate variations	40	98
Cash and cash equivalents at end of the period	**301,076**	**255,934**

The cash flow absorbed by the purchase of lines of business reflects the difference between the price paid (Euro 1) and the liquid funds acquired (Euro 32.1 million) on the business combination deriving from the acquisition of Nuova Cassa di Risparmio di Ferrara s.p.a.

Explanatory notes

Key to abbreviations in tables:

FV: Fair value
FV: Fair value excluding variations due to changes in the creditworthiness of the issuer since the issue date*
NV: Nominal or notional value
BV: Book value
L1: Fair value hierarchy - Level 1
L2: Fair value hierarchy - Level 2
L3: Fair value hierarchy - Level 3
#: Figure not to be filled in according to the instructions of the Bank of Italy (Circular 262)

Part A – Accounting policies

A.1 General information

Section 1 – Declaration of compliance with International Financial Reporting Standards

The separate financial statements for the year ended 31 December 2017 have been prepared in accordance with the International Accounting Standards (IAS) and International Financial Reporting Standards (IFRS) issued by the International Accounting Standards Board (IASB), endorsed by the European Commission, as provided by EU Regulation no. 1606 dated 19 July 2002, and currently in force, including the related interpretations of the International Financial Reporting Interpretations Committee (IFRIC) and the Standing Interpretations Committee (SIC).

Reference was also made, where necessary, to the "Framework for the preparation and presentation of financial statements" and to the documents prepared by the Italian Accounting Commission (OIC) and the Italian Banking Association (ABI).
In the absence of a standard or interpretation specifically applicable to a particular transaction, the Bank makes use of the professional opinion of its own staff, in particular the Administration and Reporting Department, to develop rules for accounting recognition that make it possible to provide reliable financial information and to ensure that the financial statements give a true and fair view of the financial position, result of operations and cash flows of the Bank, reflecting the economic substance of the transaction and its key aspects.
In formulating these accounting rules, reference has been made as far as possible to International Accounting Standards and interpretations dealing with similar or comparable matters.

Section 2 – Basis of preparation

In terms of technical format and layout, the financial statements have been prepared in accordance with Circular no. 262/2005 and subsequent amendments, and with CONSOB resolution 11971 dated 14 May 1999 and subsequent amendments.
The financial statements also reflect the requirements of the Italian Civil Code, as amended following the reform of company law (Legislative Decrees no. 5 and no. 6 dated 17 January 2003, and subsequent amendments, including Decree 310 dated 28 December 2004), and the enabling instructions issued for art. 9 of Legislative Decree no. 38/2005.
The financial statements consist of the balance sheet, the income statement and the statement of comprehensive income, presented in euro, together with the statement of changes in shareholders' equity, the statement of cash flows and these explanatory notes, presented in thousands of euro. They are accompanied by the directors' report on operations.

The general criteria underlying the preparation of the financial statements are presented below in accordance with IAS 1:

- Going Concern: assets, liabilities and off-balance sheet transactions are measured in the context of continuity over time;
- Accrual Basis of Accounting: costs and revenues are recognised in accordance with the matching principle, regardless of when they are settled;

- Materiality and Aggregation: each material class of similar items is presented separately in the financial statements. Items that are dissimilar in terms of their nature or use are only aggregated if they are individually immaterial;
- Offsetting: assets and liabilities, income and expenses are not offset unless required or permitted by a standard or an interpretation, or by the Bank of Italy's regulations for the preparation of financial statements;
- Frequency of Disclosures: information must be prepared annually or more frequently; if an entity changes its accounting reference date, the reason must be indicated together with the fact that the information provided is not comparable;
- Comparative Information: comparative information is disclosed in respect of the previous period for all amounts reported in the financial statements, unless required otherwise by a standard or an interpretation;
- Consistency of Presentation: the presentation and classification of items is maintained over time to ensure that information is comparable, unless specified otherwise in new accounting standards or their interpretations, or unless a change is required to improve the meaningfulness and reliability of the amounts reported. The nature of changes in account presentation or classification is described, together with the related reasons; where possible, the new criterion is applied on a retroactive basis.

The description of the accounting policies adopted in relation to the principal financial statement aggregates is presented in sufficient detail to identify the principal assumptions and assessments made for the preparation of the financial statements.

The notes and attachments provide additional information to help to provide a complete, true and fair view of the company's situation, even if such information is not expressly required by the regulations.

Uncertainties in the use of estimates

The preparation of financial statements requires recourse to estimates and assumptions that may affect the amounts recorded in the balance sheet and the income statement as well as the information about contingent assets and liabilities disclosed in the financial statements. The development of such estimates involves the use of available information and the adoption of subjective assessments, partly based on historical experience, in order to make reasonable assumptions for the recognition of operating events. By their nature, the estimates and assumptions used may change from period to period and, accordingly, it may be that the actual amounts recorded in the financial statements in subsequent periods are significantly different as a consequence of changes in the subjective assessments made.
The principal situations in which management is required to make subjective assessments include:

- quantification of the losses arising from the impairment of loans and, in general, other financial assets;
- determination of the fair value of financial instruments for disclosure purposes; in particular, the use of measurement models to determine the fair value of financial instruments that are not listed in active markets;
- quantification of the provisions for employee benefits and the provisions for risks and charges;
- estimates and assumptions about the recoverability of deferred tax assets;
- measurement of goodwill/intangible assets.

Economic and financial projections were prepared and approved by the Board of Directors of the Parent Company as part of the impairment testing of goodwill.
These economic-financial projections have been developed on the basis of a 5-year time horizon; the following have been used, in particular:

- for 2017, the preliminary results of each entity;
- for 2018, the budget figures;
- for the period 2019-2022, the economic-financial projections developed on an inertial basis with the aim of identifying a normalised level of income sustainable in the long term, considering the expected evolution of the macro-economic scenario.

Section 3 – Subsequent events

These draft financial statements were approved on 8 March 2018 by the Board of Directors of BPER Banca.
Reference is made to the detailed information provided in the "Significant subsequent events and outlook for operations" section of the directors’ report on operations.

Section 4 – Other aspects

Amendments to accounting standards endorsed by the European Commission

As required by IAS 8, the following table shows the new international accounting standards or amendments to standards already in force, whose application is mandatory from 2017.

EC Approval Regulation	Title	In force from years beginning
1989/2017	EU Commission Regulation 2017/1989 of 6 November 2017, published in the Official Journal L 291 of 9 November 2017 adopts Amendments to IAS 12 Income taxes - Recognition of deferred tax assets for unrealised losses. The amendments are intended to clarify how to account for deferred tax assets relating to debt instruments measured at fair value.	1 January 2017
1990/2017	EU Commission Regulation 2017/1990 of 6 November 2017, published in the Official Journal L 291 of 9 November 2017 adopts Amendments to IAS 7 statement of cash flows - Disclosure initiative, aimed at clarifying IAS 7 to improve information on the financing activities of an entity provided to users of the financial statements.	1 January 2017

None of these updates has produced particular effects on the Bank's financial statements.

The following table shows the new international accounting standards or amendments to standards already in force, whose application is mandatory from 1 January 2018 or later date (if the financial statements do not coincide with the calendar year).

EC Approval Regulation	Title	In force from years beginning
1905/2016	EU Commission Regulation 2016/1905 of 22 September 2016, published in the Official Journal L 295 of 29 October 2016, endorsed IFRS 15 Revenue from contracts with customers, the objective of which is to improve financial reporting about revenue and, thus, the comparability of reported revenue.	1 January 2018
2067/2016	EU Commission Regulation 2016/2067 of 22 November 2016, published in the Official Journal L 323 of 29 November 2016, endorsed IFRS 9 Financial instruments, the objective of which is to improve financial reporting about financial instruments by addressing relevant issues that arose during the financial crisis. In particular, IFRS 9 responds to the G20's call to move to a more forward-looking model for the recognition of expected losses on financial assets.	1 January 2018
1987/2017	EU Commission Regulation 2017/1987 of 31 October 2017, published in the Official Journal L 291 of 9 November 2017, adopts Clarifications of IFRS 15 "Revenues from contracts with customers". The amendments aim to clarify certain requirements and provide a further transitional facilitation for companies applying the standard.	1 January 2018
1988/2017	EU Commission Regulation 2017/1988 of 3 November 2017, published in the Official Journal L 291 of 9 November 2017 adopts Amendments to IFRS 4 Joint application of IFRS 9 Financial instruments and IFRS 4 Insurance contracts. The amendments to IFRS 4 aim to remedy the temporary accounting consequences of the mismatch between the date of entry into force of IFRS 9 and the effective date of the new accounting standard on insurance contracts that replaces IFRS 4 (IFRS 17). The financial conglomerates referred to in the definition in article 2 (14) of Directive 2002/87/EC can decide that none of its entities operating in the insurance sector pursuant to article 2 (8) (b) of the same Directive will apply IFRS 9 to the consolidated financial statements for the years commencing before 1 January 2021, if all of the following conditions are met: a) after 29 November 2017, between the insurance sector and the other sectors of the financial conglomerate, no financial instruments other than those measured at fair value are transferred for which the changes in fair value are recognised in profit or loss for the year by both of the sectors involved in the transfers; b) the financial conglomerate indicates in the consolidated financial statements the group insurance companies that apply IAS 39; c) the additional information required by IFRS 7 is provided separately for the insurance sector that applies IAS 39 and for the rest of the group that applies IFRS 9.	1 January 2018
1986/2017	EU Commission Regulation 2017/1986 of 31 October 2017, published in the Official Journal L 291 of 9 October 2017, adopts IFRS 16 Leases, which aims to improve the accounting treatment of leasing contracts.	1 January 2019

The Bank has decided not to take advantage of the possibility of early implementation.

Change in the format of the income statement

Following the acquisition and absorption of Nuova Cassa di Risparmio di Ferrara s.p.a. by BPER Banca, as detailed in the *"Directors' Report on Group Operations"*, it was deemed opportune to insert a new caption in the Income Statement for the recognition of badwill. Caption 235 " Gain on a bargain purchase " was included as required by the consolidated Regulatory Finrep Reports. Part C of these Explanatory Notes includes a section 16-bis, which provides information on the amount recorded.

Documents of the Supervisory Authority

Bank of Italy documents in force at the balance sheet date

The Bank of Italy issued instructions concerning:

- setting the ratios for the Countercyclical Capital Buffer (CCyB) for the fourth quarter of 2017, equal to 0% (unchanged compared with the previous periods);
- guidance on accounting recognition methods and supervisory regulatory reporting of contributions paid to the Single Resolution Fund:
- the procedures for recording targeted long-term refinancing operations (TLTRO), first and second series, with the ECB in the financial statements and supervisory reports;
- Circular no. 285 "Supervisory Instructions for Banks" (20th update): amends the chapters on "Supervisory review process" (Part One, Title III, Chapter 1) and "Large exposures" (Part Two, Chapter 10); the amendments are designed to bring Italian legislation into line with changes in the European regulatory framework, including the guidelines issued by the European Banking Authority (EBA). This update applies on 31 December 2017.

Bank of Italy documents already issued and in force from subsequent dates

In December, the Bank of Italy issued updates to various circulars concerning supervisory and financial regulations:

- Circular no. 272 "Accounts Matrix" (10th update): the changes introduced by IFRS 9 have been included in the Finrep Reports. This update will take effect as of 1 January 2018.
- Circ. No. 115 "Instructions for the compilation of reports on a consolidated basis" (23rd update): the changes introduced by IFRS 9 have been included in the Finrep Reports. This update will take effect on 1 January 2018.
- Circular no. 286 "Instructions for prudential reporting by supervised entities" (10th update): the changes simplify and update the reporting formats, introducing some new captions and eliminating other ones. This update applies to reports as of 31 March 2018.
- Circular no. 154 "Supervisory reports by banks and financial institutions – data collection schemes and submission of information flows" (66th update): new sub-items have been included for supervisory reporting on non-banking financial intermediaries. This update will take effect on 1 January 2018.
- Circular no. 262 "Banks' financial statements: layout and preparation": the 5th amendment of the Circular has been issued, adopting the changes introduced by IFRS 9 which, in turn, amended other international standards, including IFRS 7. This update will take effect as of 1 January 2018.

European Central bank - ECB

On 20 March 2017, the European Central Bank issued its "Guidelines on Non-Performing Loans (NPLs)" to make known the supervisory expectations regarding the identification, management, measurement and derecognition of NPLs in sectors that are unregulated or not specifically governed by regulations, directives or guidelines currently in force. The document covers all non-performing exposures (NPE) as

defined by the EBA, as well as foreclosed assets, performing exposures with a high risk of deterioration, such as watchlist exposures and forborne exposures.
On 4 October 2017, the Supervisory Authority issued for consultation, completed on 8 December 2017, an addendum to these Guidelines, spelling out its expectations regarding the minimum prudential provisioning levels for new NPLs.

ESMA

On 27 October 2017 ESMA issued a Public Statement which sets out the priority issues, according to the European Authority, to be disclosed in the financial statements as at 31 December 2017:

- disclosure on the new standards that will come into force in subsequent financial years (IFRS 9, IFRS 15 and IFRS 16) where there is a significant impact. In the context of IFRS 9, the document also contains specific indications for sectors of economic activities;
- disclosure in the context of Business Combinations (IFRS 3);
- specific information as regards the statement of cash flows (IAS 7).

CONSOB

On 4 May 2017, CONSOB issued Recommendation no. 0062667 concerning the representation in the separate or annual financial statements of the effects of unlisted operating companies being merged with listed non-operating companies, with interim accounting effects. Under IAS/IFRS, mergers are generally considered to fall within the scope of IFRS 3 "Business Combinations". In practice, mergers involving listed non-operating companies are becoming more and more frequent and are generally designed to allow the listing of the operating company without making a public offering of its shares.
At 31 December 2017, there have not been any transactions of this kind involving BPER Banca.

Other regulations – Internal recognition rules

As stated in the paragraph entitled "General assessment criteria", in the absence of a standard or interpretation specifically applicable to a particular transaction, an appropriate internal rule for accounting recognition should be developed and formalised.

Domestic tax group election

Commencing from 2007, BPER Banca has elected to establish a domestic tax group, which was introduced by Legislative Decree no. 344/2003 and subsequent amendments and is governed by arts. 117-129 of the Consolidated Income Tax Law.
Under this optional arrangement, which is binding for three years, the subordinate members transfer their results to the parent, for fiscal purposes only, which then calculates the consolidated taxable income or tax loss.
The effects of the tax consolidation are reported in the *"Other assets - due from members of the tax group"* caption, as the matching entry for the IRES provisions classified as *"Current tax liabilities"* by the above group companies, gross of withholdings and the advances paid.
The "*Other liabilities - due to members of the tax group*" caption represents the matching entry for the IRES advances withheld from and paid by the above group companies, which are classified as "*Current tax assets*" following their transfer to the consolidating company.
The option relating to Cassa di Risparmio di Bra and Emilia Romagna Factor s.p.a. is expiring at the end of 2017 tax period and the scope of consolidation has expanded as a result of including Cassa di Risparmio di Saluzzo s.p.a. The option for the three-year period was regularly exercised for the companies listed above on 31 October 2017 on presentation of the income tax return of the consolidating company, as well as the reporting of the inclusion of Cassa di risparmio di Saluzzo in the scope of consolidation.

Consolidated companies	2015	2016	2017	2018	2019
Banca di Sassari s.p.a.	x	x	x		
Banco di Sardegna s.p.a.		x	x	x	
Cassa di Risparmio di Bra s.p.a.			x	x	x
Cassa di Risparmio di Saluzzo s.p.a			x	x	x
Optima s.p.a. SIM		x	x	x	
Emilia Romagna Factor s.p.a.			x	x	x
Sardaleasing s.p.a.	x	x	x		
BPER Trust Company s.p.a.		x	x	x	

Independent Auditors'

On 26 November 2016, the Shareholders' Meeting approved the appointment of Deloitte & Touche s.p.a. as external independent auditors for the period 2017-2025, as well as their remuneration.

A.2 Main captions in the financial statements

1 - Financial assets held for trading

Recognition

Financial assets represented by debt or equity instruments are initially recognised on the settlement date, while derivative contracts are recognised on the date of signature.
In particular, any changes in the fair value of the asset to be received between the settlement date and the earlier arrangement date are recognised at the time of settlement, in the same way in which the asset acquired is recorded.
After initial recognition, financial assets held for trading are measured at their fair value; unless stated otherwise, this is represented by the consideration paid for the transaction, without considering any related costs or income attributable to them, which are recorded directly in the income statement.
Embedded derivatives (instruments whose characteristics satisfy the definition of a "derivative") embedded in but not closely correlated with hybrid financial instruments, and classified in financial asset or liability categories other than assets or liabilities measured at fair value, are separated from the host contract, reclassified to this category and measured at fair value. The related host contract is measured on the basis applicable to the category in which it is classified.

Classification

The Bank classifies as *"Financial assets held for trading"* those financial instruments that are held with a view to generating short-term profits deriving from variations in their prices. This category includes the derivative instruments that are not held for hedging purposes.

Measurement

After initial recognition, financial assets held for trading are measured at their fair value. If the fair value of a financial asset becomes negative, it is accounted for as a financial liability.
The VaR techniques used to determine fair value are described in point 21 within this part of the explanatory notes.
As an exception, if the fair value of equity instruments and the related derivatives cannot be reliably determined using the above guidelines, they are valued at cost.

Derecognition

Financial assets are derecognised on expiry of the contractual rights over the related cash flows or when the financial asset is sold with the transfer of essentially all the related risks and benefits.
If the Bank sells a financial asset classified in its own trading portfolio, it derecognises the asset on the date it is transferred (the settlement date).
Securities received as part of a transaction that contractually provides for their subsequent sale and securities delivered as part of a transaction that contractually provides for their repurchase are not recorded or eliminated from the financial statements.

Recognition of components affecting the income statement

The positive elements of income comprising interest on securities and similar revenues, as well as the differentials and margins from derivative contracts classified as financial assets held for trading, but

operationally linked with the financial assets and liabilities measured at fair value (under the fair value option), are recorded in the interest captions of the income statement on an accruals basis.
The differentials and margins from other derivative contracts classified in the trading portfolio are recorded as *"Net trading income"*.
Gains and losses realized on sale or redemption and unrealised gains and losses deriving from changes in the fair value of the trading portfolio are classified as "Net trading income", except for amounts relating to derivative contracts that are operationally linked to assets or liabilities measured at fair value, which are classified as *"Net results on financial assets and liabilities designated at fair value"*.

2 - Financial assets available for sale

Recognition

Financial assets represented by debt or equity instruments are initially recognised on the settlement date, while loans are recognised on the payout date.
Financial assets available for sale are initially recorded at fair value; unless stated otherwise, this is represented by the consideration paid for the transaction, including any directly-attributable transaction costs or income. Assets reclassified from *"Financial assets held to maturity"* are recognised at their fair value at the time of transfer.

Classification

This category comprises the financial assets, other than derivatives, that have not been classified in the other categories envisaged by IAS 39 and do not represent interests in subsidiaries, joint ventures or associates.

Measurement

Subsequent to initial recognition, assets available for sale continue to be measured at their fair value. The techniques for determining fair value are described in point 21 in this part of the explanatory notes. As an exception, if the fair value of equity instruments cannot be determined reliably, they are valued at cost.
An impairment test is performed at each reporting date to check if there is any objective evidence of a reduction in value.
If subsequently the reasons for impairment cease to apply, the amounts concerned are written back without causing the value of the asset to exceed the amortised cost that would have been reported in the absence of earlier adjustments.

Derecognition

Financial assets are derecognised on expiry of the contractual rights over the related cash flows or when the financial asset is sold with the transfer of essentially all the related risks and benefits.

Recognition of components affecting the income statement

The return on financial instruments, determined using the effective interest method ("amortised cost" basis), is recognised as income on an accruals basis, while gains or losses deriving from changes in fair value are recorded in a specific "equity reserve" until the financial asset is derecognised or a loss in value is recorded. The corresponding amount is included in the statement of comprehensive income.
Dividends are recognised when the right to collect them is established.
On derecognition or when a loss in value is recorded, the accumulated Gains or losses are released from the related reserves to the income statement as, respectively, *"Gains/losses on disposal or repurchase"* or "Net impairment adjustments". If the reasons for recognising a reduction in value cease to apply as a result of subsequent events, the amounts concerned are written back to the income statement, if they relate to loans or debt securities, and to shareholders' equity if equity instruments are concerned.

3 - Financial assets held to maturity

Recognition

Financial assets are initially recognised on the settlement date. At the time of initial recognition, the financial assets classified in this category are recorded at their fair value, including any directly-attributable costs and revenues.
If transferred to this category from *Assets available for sale*, the fair value of the financial assets at the time of transfer is taken to be their new amortised cost.

Classification

This category is used to record the debt instruments with payments that are fixed or determinable at fixed intervals which the Bank intends and is able to retain until they mature.
Investments are reclassified as *financial assets held for sale* if the intention or ability to retain them changes and it is no longer appropriate to classify them in this category. In the case of not-insignificant sales or reclassifications of investments held to maturity (part of a portfolio of financial assets held to maturity) that do not meet any of the conditions set out in paragraph 9 of IAS 39, any residual investment held to maturity is reclassified as a *financial asset available for sale*.

Measurement

Subsequent to initial recognition, *Financial assets held to maturity* are measured at amortised cost.
An impairment test is performed at each reporting date to check if there is any objective evidence of a reduction in value. In the event of impairment, the amount of the loss is measured as the difference between the book value of the assets and the present value of the estimated recoverable cash flows, discounted using the original effective interest rate.
If the reasons for recognising a reduction in value cease to apply as a result of subsequent events, the amounts concerned are written back. The carrying amount after the writeback does not exceed the amortised cost that would have been recognised had the impairment losses not been recorded.

Derecognition

Financial assets are derecognised on expiry of the contractual rights over the related cash flows, or when they are sold with the transfer of essentially all the related risks and benefits of ownership.

Recognition of components affecting the income statement

The positive elements of income comprising interest and similar income are recorded in the interest captions of the income statement, on an accruals basis, using the effective interest method.
Gains and losses on assets held to maturity are recorded in the income statement when the assets are derecognised or suffer a loss in value.
Any write-downs in value are charged to the *"Net impairment adjustments"* caption of the income statement. If the reasons for recognising a reduction in value cease to apply as a result of subsequent events, the amounts concerned are written back to the income statement.

4 - Loans

Recognition

Loans are initially recognised on the payout date or, in the case of debt securities, on the settlement date, with reference to the fair value of the financial instrument concerned. This is represented by the amount paid out, or the subscription price, including costs/revenues that are both directly attributable to the individual loans and identifiable from the start of the transaction, even if they are settled at a later time. Costs with the above characteristics are excluded if they are reimbursable by the borrower or represent routine internal administrative costs.
Agreements involving the forward repurchase or resale of securities are recorded in the financial statements as funding or lending transactions. In particular, spot sales with forward repurchases are recorded as a payable for the spot amount collected, while spot purchases with forward resales are recorded as a loan for the spot amount paid.

Classification

Loans form part of the broadest category of financial instruments and consist of relationships under which the Bank has a right to the cash flows deriving from the loan.
This caption includes loans to customers and deposits with banks, either made directly or acquired from third parties and not listed on active markets, which involve payments that are either fixed or determinable.
The loans caption also includes loans, repurchase agreements, finance leases (which are accounted for under the "financial method", in accordance with IAS 17) and securities subscribed for at the time of issue or private placement and not listed on active markets, with payments that are fixed or determinable.

Measurement

After initial recognition, loans are valued at their amortised cost, corresponding to the initially recognised amount less principal repayments, net impairment adjustments and amortisation - calculated using the effective interest method – of the difference between the amount paid out and the amount repayable on maturity, which is generally attributable to the costs/income directly allocated to the individual loans.

The effective interest rate is the rate that discounts the flow of estimated payments over the expected duration of the loan back to its initial net book value, inclusive of directly-related costs and revenues. In financial terms, this method of recognition distributes the economic effect of these costs and revenues over the expected residual life of the loan.
The amortised cost method is not used in relation to short-term loans (up to 12 months), since the effect of discounting would be negligible. These loans are stated at historical cost.
Costs and revenues relating to loans without a fixed term or repayable on demand are recorded directly in the income statement.
Loans are assessed at the end of each accounting period to identify any objective evidence, arising from events subsequent to initial recognition, that their value may be impaired. This includes positions classified as bad, "unlikely to pay" and past due loans in compliance with current Supervisory Authority regulations, which are consistent with IAS.
The amount of the adjustment of each balance is equal to the difference between its carrying value at the time of measurement (amortised cost) and the present value of expected future cash flows.
The estimate of expected cash flows comes from assessing analytically the position of bad loans for "unlikely to pay" loans with exposures above the thresholds set by internal procedures. For bad and "unlikely to pay" loans below the thresholds set by in internal procedures and past due loans, expected cash flows are calculated using a flate-rate approach, based on the operational version of LGD.
The adjustments are recorded in the income statement.
The original value of loans is reinstated in subsequent periods, to the extent that the reasons for the adjustments made cease to apply, on condition that this assessment is objectively linked with events that took place subsequent such adjustments.
The reversal of the impairment loss may not exceed the amortised cost of the loan had the impairment not been recognised in the past.
Loans and advances, for which no impairment was identified on an individual basis, have been subjected to measurement as a whole, to estimate the implicit risk component.
This assessment is made on a case-by-case basis with reference to the risk parameters (Probability of Default – PD, and Loss Given Default – LGD) generated by the internal models. Any additional write-downs or write-backs are determined separately at the end of each reporting period, with reference to the entire portfolio of performing loans at that date.

Derecognition

Loans sold are only derecognised if the disposal involved the transfer of essentially all the risks and benefits associated with the loan. Conversely, if the risks and benefits relating to loans that have been sold are retained, these continue to be reported as assets in the balance sheet, even if legal ownership of the loans has been effectively transferred.
Even if the transfer of essentially all the risks and benefits cannot be demonstrated, loans are derecognised if no form of control over them has been retained. By contrast, the partial or total retention of such control means that the related loans are reported in the balance sheet to the extent of the residual involvement, as measured by the exposure to changes in the value of the loans sold and to changes in their cash flows.
Lastly, loans sold are derecognised, despite retention of the contractual rights to collect the related cash flows, if there is a parallel commitment to pay all such flows and only these to third parties.

Recognition of components affecting the income statement

The positive elements of income comprising interest and similar income are recorded in the interest captions of the income statement, on an accruals basis, using the effective interest method.
Default interest, which may be provided by contract, is recognised in the income statement only when actually collected.
The costs/revenues attributable to short-term loans, without a fixed term or repayable on demand, as defined above, are recorded directly in the income statement.
Write-downs and any write-backs are recorded in the *"Net impairment adjustments"* caption of the income statement.
Profits and losses from the sale of loans are classified in the "*Gains/losses on disposal or repurchase of loans and advances*" caption.

Securitised loans

In accordance with the applicable product breakdown, loans also include securitisation loans (after 1 January 2002 that do not satisfy the IAS 39 requirements for derecognition (see paragraph 24 - Derecognition of financial assets).
The corresponding amounts received for the sale of securitised loans, net of the securities issued and other forms of credit support that may be held in portfolio (retained risk), are recognised in liability caption *"Due to banks"* and *"Due to customers"*.
Both assets and liabilities are measured at amortised cost and the interest is recorded in the income statement. In the event of losses due to impairment of securitised assets that have not been subject to derecognition from the financial statements, such losses are recorded in income statement caption *"Net impairment adjustments to loans"*.

5 - Financial assets designated at fair value

Recognition

These financial assets are initially recognised on the settlement date.
On initial recognition, these financial assets are recorded at their fair value, as represented - unless specified differently - by the consideration paid for the transaction without considering the costs or revenues attributable to the instrument, which are recorded directly in the income statement.

Classification

Financial assets designated at fair value include the financial assets, not held for trading, that meet at least one of the following criteria:

- classification in this category eliminates "accounting asymmetries";
- they are part of groups of assets managed together whose performance is measured at fair value, as part of a documented risk-management strategy;
- they contain separable embedded derivatives.

Measurement

Subsequent to initial recognition, financial assets continue to be measured at their fair value. The techniques for determining fair value are described in point 21 in this part of the explanatory notes.

Derecognition

Financial assets are derecognised on expiry of the contractual rights over the related cash flows or when the financial asset is sold with the transfer of essentially all the related risks and benefits.

If the Bank sells a financial asset at fair value, it derecognises the asset on the date it is transferred (the settlement date).

Securities received as part of a transaction that contractually provides for their subsequent sale and securities delivered as part of a transaction that contractually provides for their repurchase are not recorded or eliminated from the financial statements.

Recognition of components affecting the income statement

The positive elements of income represented by interest income are recorded in the interest captions of the income statement on an accruals basis.

Gains and losses realized on sale or redemption and unrealized gains and losses deriving from changes in the fair value of the portfolio are classified in the *"Net results on financial assets and liabilities at designated at fair value "* caption.

6 - Hedging derivatives

Recognition

Hedges are arranged to neutralise losses that may be incurred in relation to a given element or group of elements, as a consequence of a given risk, via profits that would be earned on another element or group of elements should that particular risk crystallise. There are two types of hedge:

- fair value hedges: arranged to hedge the exposure to changes in the fair value of a balance sheet caption;
- cash flow hedges: arranged to hedge the exposure to changes in future cash flows attributable to specific balance sheet captions.

Classification

Financial instruments are designated as hedges when the relationship between the hedged and the hedging instrument is adequately documented and formalised, if the hedge is effective both at the start and prospectively throughout its life.

Measurement

Hedging derivatives are measured at their fair value.

Specific tests are performed to verify the effectiveness of hedging transactions. The effectiveness of a hedge depends on the extent to which changes in the fair value of the hedged instrument, caused by changes in the risk factor addressed by the hedge, are offset by changes in the value of the hedging instrument. In order to be effective, the hedge must be made with a counterparty outside the Group.

The method of accounting for the gains and losses deriving from changes in fair value depends on the type of hedge:

- fair value hedge: the change in the fair value of the hedged element representing the hedged risk is recognised in the income statement, together with the change in the fair value of the derivative instrument; any difference, which represents the ineffective portion of the hedge, determines the consequent net economic effect.

- cash-flow hedge: to the extent that the hedge is effective, changes in the fair value of the derivative are recognised in shareholders' equity; they are only recognised in the income statement when changes in the cash flows from the hedged item need to be offset, or when the hedge becomes ineffective.

Effectiveness is established when changes in the fair value of (or cash flows from) the hedging instrument, caused by the hedged risk factor, almost entirely offset those of the hedged instrument (the percentage limits fall in the range from 80% to 125%).
Effectiveness is checked each month for operational purposes and on every official reporting date for accounting purposes, using:

- prospective tests that justify the application of hedge accounting, by demonstrating the expected effectiveness of the hedge;
- retrospective tests that show the effectiveness of the hedge during the period under review. In other words, they measure by how the actual results differ from the "perfect" hedge.

Derecognition

If transactions do not meet the effectiveness test, hedge accounting - as described above - is terminated and the derivative contract is reclassified as an instrument held for trading, with recognition of the related impacts in the income statement. Hedge accounting is also terminated in the following situations:

- the hedged item is sold and redeemed;
- the hedging transaction is revoked prior to the expiry date;
- the hedging instrument expires, is sold, terminated or exercised.

Recognition of components affecting the income statement

Income elements are allocated to the relevant income statement captions on the following basis:

- differentials earned on derivatives that hedge interest-rate risk (and the interest on the hedged positions) are allocated to the *"Interest and similar income"* or *"Interest and similar expense"* captions;
- capital gains and losses deriving from the measurement of hedging instruments and the positions covered by fair value hedges are allocated to the *"Net hedging gains (losses)"* caption;
- capital gains and losses deriving from measurement of the effective part of "cash flow hedges" are allocated to a special *equity reserve "cash flow hedges"*, net of the related deferred tax effect. Gains and losses relating to the ineffective part of such hedges are recorded in the "*Net hedging gains (losses)*" caption of the income statement.

7 - Equity investments

Recognition

Equity investments are recognised on the settlement date. Equity investments are recorded at cost on initial recognition, including any costs and revenues directly attributable to the transaction.

Classification

This caption comprises both controlling equity interests[4] (understood as the power to manage the relevant activities, influence their returns and be exposed to such returns) and interests in associates (over which significant influence is exercised).

The concept of control explained in IFRS 10 requires a more comprehensive analysis as it is necessary to identify the relevant activities, check whether the rights/powers exist and analyse whether there is exposure to the variability of returns. This includes an evaluation based on a single consolidation model (because it should be applied to all entities regardless of their nature), carried out every time financial statements are prepared.

This caption also includes equity investments in associates which according to IAS 28 are not only companies in which the equity interest equals or exceeds 20% (or an equivalent share of the voting rights), but also those companies subject to significant influence due to certain legal ties (such as shareholder agreements) and those under joint control as a result of contractual, shareholder or other arrangements for the joint management of the business and the appointment of directors.

Measurement

Under IAS 27, 28 and IFRS 11, equity investments in subsidiaries, joint ventures and associated companies can be carried at cost in the Bank's individual financial statements, or at fair value pursuant to IAS 39. The Bank has measured them at cost.

If there is evidence that an investment in an associate may be impaired, its recoverable amount is estimated with reference to the present value of future cash flows, including the expected proceeds from the future sale of the investment.

If the recoverable amount is lower than the carrying amount, the related difference is charged to the income statement.

If the reasons for making the impairment adjustment cease to apply as a result of an event subsequent to the write-down, the related write-back is credited to the income statement without exceeding the amount of the write-down previously recorded.

The Parent Company's share of any losses of the investee, exceeding the book value of the investment, is recorded in a specific reserve to the extent that the company is required to fulfil legal or implicit obligations of the investee, or, in any case, to cover its losses.

Derecognition

Equity investments are derecognised on expiry of the contractual rights over the related cash flows or when the investment is sold with the transfer of essentially all the related risks and benefits of ownership.

Recognition of components affecting the income statement

Dividends are recorded in the *"Dividends and similar income"* caption when the right to collection is established.

Any write-downs/write-backs relating to the impairment of equity investments and gains or Losses on the disposal of equity investments are recorded in the "*Profit (loss) from equity investments*" caption.

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[4] *In the consolidated financial statements, reference is only made to investments in associates*

8 - Property, plant and equipment

Recognition

Property, plant and equipment are initially recorded at purchase price, including all directly statements attributable costs of purchasing and bringing the asset to working condition.
Expenditure on improvements that will generate future economic benefits is added to the value of the assets concerned, while routine maintenance costs are charged to the income statement.

Classification

Property, plant and equipment comprise land, property used for operating purposes, installations, furniture, furnishings and all types of equipment.
These are tangible assets that will be used for more than one accounting period and which are held for use in the production of business or the supply of goods and services, for rental to third parties or for administrative purposes.
This caption also includes assets held under finance lease contracts, even though the lessor remains the legal owner.

Measurement

Property, plant and equipment, including investment property, are carried at cost less accumulated depreciation and any accumulated impairment losses.
Property, plant and equipment are systematically depreciated over their useful lives[5], on a straight-line basis, except for:

- land acquired separately or included in the value of property, since it has an unlimited useful life. The value of land included in property is deemed to be separable from the value of buildings; the allocation of value between land and buildings is based on independent appraisals carried out solely in relating to free-standing buildings;
- works of art, since the useful life of a work of art cannot be estimated and its value normally appreciates over time.

If there is any evidence at a reporting date that the value of an asset may be impaired, its carrying value is compared with its recoverable value, being its fair value net of any selling costs or its value in use, as represented by the present value of the cash flows generated by the asset, whichever is greater.
Any adjustments are recorded in the income statement.
If the reasons for recognising an impairment loss cease to apply, the loss can be written back but without exceeding the carrying value that the asset would have had (net of depreciation) if no impairment losses had been recognised in prior years.

Derecognition

Property, plant and equipment are derecognised on disposal, or when the assets concerned are permanently taken out of use and no further economic benefits are expected from their disposal.

[5] *The relevant section of the Explanatory Notes, Part B, includes a table with the useful life of the main fixed asset categories*

Recognition of components affecting the income statement

Both the depreciation determined on a straight-line basis and any net impairment adjustments are recorded in the "*Net adjustments to property, plant and equipment*" caption of the income statement.
Disposal gains and losses are however recorded in the *"Gains (losses) on disposal of investments"* caption.

9 - Intangible assets

Recognition

Intangible assets other than goodwill are initially recognised at cost, as represented by the purchase price paid plus any directly-related costs incurred to obtain use of the assets concerned.
Goodwill may be recognised as an intangible asset when the positive difference between the acquisition cost of an equity interest (including related charges) and the fair value of the net assets acquired, including those identified as part of the Purchase Price Allocation (PPA), is representative of the investee's ability to generate income in the future (goodwill).
If the difference is negative (badwill) or the goodwill is not justified by the investee's ability to generate income in the future, the difference is recognised in the income statement.

Classification

Intangible assets are identifiable, non-monetary assets without physical form that are expected to generate economic benefits.

The qualifying characteristics of intangible assets are:

- identifiability;
- control over the resources concerned;
- expectation of economic benefits.

In the absence of any one of the above characteristics, the acquisition or internal production costs are expensed in the year incurred.
Goodwill is represented by the difference between the acquisition cost of an equity investment and the fair value, at the acquisition date, of the assets and other balance sheet items acquired.
Other intangible assets are recognised if they are identifiable and reflect legal or contractual rights.

Measurement

An intangible asset with an indefinite useful life, such as goodwill, is not amortised, but is tested periodically for impairment. An impairment test is performed annually, or whenever there is an indication of impairment. In the case of goodwill, the cash generating unit (CGU) to which it has been allocated is tested for impairment. If the carrying amount of the CGU, inclusive of goodwill, exceeds its recoverable amount, an impairment loss is recognised up to the amount of the goodwill recorded. The recoverable amount is the higher of the cash-generating unit’s fair value, net of any selling costs, or its related value in use. Any resulting impairment loss is recognised in the income statement and the reversal thereof is prohibited.
In contrast to the treatment of goodwill, the cost of intangible assets with a finite useful life is amortised on a straight-line basis or by use of the reducing balance method based on the flow of economic benefits

expected from the asset. If there is any evidence of impairment, it is envisaged that an asset would be assessed for impairment by comparing its fair value to its carrying amount.
An estimate of recoverable value is made if there is any evidence of asset impairment at the reporting date. The impairment loss, expensed to income, is the difference between the carrying value of an asset and its recoverable amount, if the latter is lower.

Derecognition

Intangible assets are derecognised on retirement and when no further economic benefits are expected.

Recognition of components affecting the income statement

Both the amortisation charge and any net impairment adjustments to intangible assets other than goodwill are recorded in the *"Net adjustments to intangible assets"* caption of the income statement.
Disposal gains and losses are however recorded in the *"Gains (losses) on disposal of investments"* caption.
Adjustments to the value of goodwill are recorded in the *"Goodwill impairment"* caption.

10 - Non-current assets and disposal groups held for sale

Recognition and classification

Non-current assets and groups of assets/liabilities subject to a disposal process are classified in asset caption 140 *"Non-current assets and disposal groups held for sale"* and liability caption 90 *"Liabilities associated with non-current assets held for sale"*, when such sale is deemed to be highly likely.

Measurement

These assets and liabilities are measured at the lower of their carrying value, determined in accordance with IFRS, or their fair value, less costs to sell.

Recognition of components affecting the income statement

Income and charges (net of tax effect) relating to discontinued operations are classified in the *"Net profit/loss from non-current assets and disposal groups held for sale"* caption of the income statement.

11 - Current and deferred taxation

Recognition and classification

Current taxation comprises the net balance of income tax payable for the year and the current tax receivable due from the tax authorities consisting of advances and other withholding tax credits or other tax credits recoverable by future offset.
Current tax assets also include tax credits for which a request for reimbursement has been made to the tax authorities.
Deferred taxes represent the income taxes recoverable in future periods as a result of deductible temporary differences (deferred tax assets), and the income taxes payable in future periods as a result of taxable temporary differences (deferred tax liabilities).

Measurement

Deferred tax assets, representing the future tax benefit deriving from deductible temporary differences and tax losses carried forward, are recognised to the extent that their recovery is highly likely.
The Bank recognises the effects of current and deferred taxation by applying, respectively, the current tax rates and the theoretical tax rates in force when the related temporary differences "reverse".

Recognition of components affecting the income statement

Changes in tax assets and liabilities are normally recorded in the *"Income taxes on current operations"* caption.
As an exception, those deriving from transactions recognised directly in equity are treated in the same way, and those deriving from business combinations are included in the calculation of goodwill.

12 - Provisions for risks and charges

Recognition

The provisions for risks and charges cover liabilities whose timing and extent are uncertain, when all the following conditions are met:

- a current obligation exists at the balance sheet date, deriving from a past event. The origin of the obligation must either be legal (deriving from a contract, regulation or the provisions of law) or implicit (arising when the business causes third parties to expect that commitments will be met, even if these do not fall into the category of legal obligations);
- a financial outflow is likely;
- the extent of the obligation can be estimated reliably.

For liabilities that are merely potential and not likely, no provision has been made, but information is provided in the report on operations in the section "Principal risks and uncertainties".

Classification

This caption includes the provisions relating to long-term benefits and post-employment benefits governed by IAS 19, discussed in paragraph 17 below, and the provisions for risks and charges governed by IAS 37.

Measurement

Where the time element is significant, the provisions are discounted using current market rates. Provisions are charged to the income statement.

Recognition of components affecting the income statement

Provisions for risks and charges and the related write-backs, including the effects of the passage of time, are classified in the *"Net provisions for risks and charges"* caption.
Provisions are made on the basis of the best estimate of the amount that the company would reasonably pay to settle the obligation or to transfer it to third parties at the balance sheet date. When the financial effect of time is significant and the payment dates of obligations can be reliably estimated, the provision is calculated by discounting the expected future cash flows taking into account the risks associated with the obligation; the increase in the provision due to the passage of time is recognised in the income statement.

13 - Debts and debt securities in issue

Recognition

The initial recognition of these financial liabilities takes place on receipt of the amounts collected or on issue of the debt securities.
These liabilities are initially recognised at their fair value, usually corresponding to the amount collected or the issue price, plus any additional costs/proceeds directly attributable to the individual funding transaction or issue that are not reimbursed by the creditor. This does not include internal administrative costs.
Structured instruments are considered to include compound debt instruments linked to equities, foreign currencies, credit instruments or indices. If such instruments are not classified as Financial Liabilities designated at fair value, the embedded derivative is separated from the primary contract and represents a "derivative" in its own right, if the separation criteria are satisfied. The embedded derivative is recorded at its fair value, while the value of the primary contract represents the difference between the total amount collected and the fair value of the embedded derivative.
The issue of instruments convertible into shares in the Bank involves the recognition, on the issue date, of both a financial liability and an equity element. In particular, the value of a financial liability with the same cash flows but without conversion rights is deducted from the overall value of the instrument. The residual value is then attributed to the equity element of the convertible bond.

Classification

"Due to banks", *"Due to customers"* and *"Debt securities in issue"* comprise the various forms of interbank and customer funding, as well as the funding obtained via the issue of certificates of deposit and bonds, net of any repurchases, that are not classified as Financial liabilities designated at fair value.

Measurement

Following initial recognition, financial liabilities are valued at amortised cost.
As an exception, short-term liabilities (up to 12 months) are measured at the amount collected and any costs are charged to the income statement, since the effect of the time factor is insignificant.
Any separated embedded derivatives are measured at fair value and the related changes are recorded in the income statement.

Derecognition

Financial liabilities are derecognised when they expire or are settled.
The repurchase of debt securities in issue in prior periods results in their derecognition.
The difference between the carrying amount of the liability and the amount paid to repurchase it is recorded in the income statement.
The renewed placement of treasury securities subsequent to their repurchase is deemed to represent a new issue, with the recognition of a new placement price, without any effect on the income statement.

Recognition of components affecting the income statement

The negative elements of income represented by interest and similar expense are recorded in the interest captions of the income statement on an accruals basis, using the effective interest method.
Costs/revenues relating to short-term payables are recorded directly in the income statement.
The difference between the book value of a liability and the amount paid to settle it is recorded in the *"Gains/losses on disposal/repurchase"*.

14 - Financial liabilities held for trading

Recognition

The criteria applied for the recognition of financial assets held for trading (see Section 1 above) are adopted, with suitable modifications.

Classification

This caption includes the negative fair value adjustment of trading derivatives and the fair value of the liabilities deriving from "technical shorts" generated by trading in securities.

Measurement

The criteria applied for the measurement of financial assets held for trading (see Section 1 above) are adopted, with suitable modifications.

Derecognition

The criteria applied for the derecognition of financial assets held for trading (see Section 1 above) are adopted, with suitable modifications.

Recognition of components affecting the income statement

The criteria applied for the recognition of income components of financial assets held for trading (see Section 1 above) are adopted with suitable modifications.

15 - Financial liabilities designated at fair value

Recognition

These liabilities are initially recognised at fair value, net of transaction costs or revenues.

Classification

This caption includes the financial liabilities to be measured at fair value through the income statement, if one of the following conditions are met:

- classification in this category eliminates "accounting asymmetries";
- they are part of groups of liabilities managed together whose performance is measured at fair value, as part of a documented risk-management strategy;
- they contain separable embedded derivatives.

Measurement

Subsequent to initial recognition, financial liabilities continue to be measured at their fair value. The techniques for determining fair value are described in point 21 in this part of the explanatory notes.

Derecognition

Financial liabilities designated at fair value are derecognised when they expire or are settled.
The repurchase of debt securities in issue in prior periods results in their derecognition.
The renewed placement of treasury securities subsequent to their repurchase is deemed to represent a new issue, with the recognition of a new placement price, without any effect on the income statement.

Recognition of components affecting the income statement

The negative elements of income represented by interest are recorded in the interest captions of the income statement on an accruals basis.
The results of measurement are recorded in the "*Net result on financial assets and liabilities designated at fair value*" caption, together with the profits and losses arising on settlement.

16 - Currency transactions

Recognition

On initial recognition, foreign currency transactions are recorded in the reporting currency, by translating the foreign currency amounts using the exchange rates prevailing on the transaction dates.

Measurement

At each reporting date, the amounts originally denominated in a foreign currency are measured as follows:

- monetary items are translated using the closing rate for the period;
- non-monetary items carried at historical cost are translated using the exchange rate on the date of the transaction;
- non-monetary items carried at fair value are translated using the closing rate for the period.

Classification

These comprise all assets and liabilities not denominated in euro.

Derecognition

The criteria applying to the balance sheet captions concerned are used. The exchange rate applying on the settlement date is used.

Recognition of components affecting the income statement

Exchange differences deriving from the settlement of monetary items or from the translation of monetary items using rates other than the initial translation rate, or the closing rate at the end of prior periods, are recorded in the income statement for the period in which they arise.

When gains or losses relating to a non-monetary item are recorded in shareholders' equity, the related exchange differences are also recorded in shareholders' equity. Conversely, when gains or losses are recorded in the income statement, the related exchange differences are also recorded in the income statement.

17 - Employee benefits

Classification

Employee benefits, excluding short-term amounts such as wages and salaries, comprise:

- post - employment benefits;
- other long-term benefits.

Post-employment benefits are, in turn, sub-divided into defined-contribution plans and defined benefit plans, depending on the nature of the benefits envisaged:

- under defined contribution plans, the employer makes fixed contributions and has no legal or constructive obligation to make further contributions if the fund does not hold sufficient assets to pay all employee benefits;
- defined benefit plans are all post-employment benefit plans other than defined contribution plans.

Pursuant to Law 296 dated 27 December 2006 (2007 Finance Law):

- the TFR earned from 1 January 2007 by is deemed to be a defined contributions plan for which no actuarial calculations are required;
- the TFR already earned at the dates indicated above, on the other hand, continues to be treated as a defined benefits plan, although such benefits have already been fully earned. As a consequence, the actuarial value of the liability must be redetermined at every accounting date subsequent to 31 December 2006.

Other long-term benefits comprise employee benefits that are not due entirely within twelve months of the end of the year in which employees accumulated their right to them.

Recognition and measurement

The value of a defined-benefit obligation is represented by the present value of the future payments necessary to settle the obligations deriving from work performed by employees in the current and prior years.
This present value is determined using the "Projected Unit Credit Method".
The employee benefits included as other long-term benefits, such as long-service bonuses that are paid on reaching a pre-determined level of seniority, are recorded for an amount determined at the reporting date using the "Projected Unit Credit Method".
The provision for termination indemnities is recorded as a separate liability, while the other post-employment benefits and long-term benefits are recorded among the provisions for risks and charges.

Recognition of components affecting the income statement

Service costs are recorded as payroll costs, together with the related accrued interest.
Actuarial gains and losses (remeasurements) relating to post-employment, defined benefit plans are recorded in shareholders' equity in the year they are identified. These actuarial gains and losses are reported in the "Statement of comprehensive income", as required by IAS 1.
The actuarial gains and losses (remeasurements) relating to other long-term benefits are recognised in full as part of payroll costs in the year in which they arise. On this last point, in 2012 BPER Banca has standardised the orientation expressed by the National Institute of Actuaries in Circular 35 dated 21 December 2012, valid with effect from the measurements carried out at 31 December 2012. This document confirmed the guidelines already issued with the previous Circular dated 22 May 2012, in which it was expected that the component represented by interest cost had to be calculated using the rate of the curve corresponding to the duration of the liability, instead of the 1-year rate of the same curve used up to 31 December 2011.

The information not specifically detailed here, is provided in the Remuneration Report and in the Remuneration Policies referred to in Part I of these notes.

18 – Income statement: Revenues

Revenues are the gross inflow of economic benefits arising in the course of ordinary activities of a business, when those inflows result in increases in equity, other than increases relating to contributions from shareholders (IAS 18).
Revenues are recognised at the fair value of the consideration received or receivable, when it can be reliably estimated.
When the result of a rendering of services can be estimated reliably, the revenues associated with the transaction are recognised using the percentage of completion at the balance sheet date.

The outcome of a transaction can be estimated reliably when all of the following conditions are met:

- the amount of the revenues can be reliably measured;
- it is probable that the economic benefits associated with the transaction will flow to the business;
- the stage of completion of the transaction at the balance sheet date can be reliably measured;
- the costs incurred for the transaction and the costs to complete it can be reliably calculated.

Revenues are recognised in the accounting period in which the services are provided and when it is probable that the economic benefits associated with the transaction will flow to the company.
However, when there is uncertainty about the collectability of an amount already included in revenue, the uncollectible amount, or the amount whose recovery is no longer probable, is recognised as an expense, rather than as an adjustment to the original revenue.

Revenues arising from third-party use of the entity's assets yielding interest, dividends and commissions are recognised on the basis of the following criteria:

- interest is recognised using the effective interest method;
- dividends are recognised when the shareholders' right to receive payment is determined;
- commission income on services is recorded in the period when the services are rendered, based on contractual agreements. Commissions considered in amortised cost for the purpose of determining the effective interest rate are recognised as interest.

19 – Income statement: Costs

Costs are recognised at the same time as the related revenues according to the principle of matching revenues and costs. If the correlation between costs and revenues is only generic and indirect, the costs are recorded over several years according to a systematic method of distribution in accordance with the accrual principle. Costs that by nature are not associated with revenues are recognised immediately in the income statement.

Marginal costs and revenues directly attributable to the acquisition of an asset or issue of a financial liability measured at amortised cost are recognised in the income statement together with the interest on the financial asset or liability using the effective interest method.

20 - Other information

– Treasury shares

Any treasury shares held are stated at purchase cost and classified, with negative sign, in the "Treasury shares" caption. Profits or losses deriving from their subsequent sale are recorded as changes in shareholders' equity in the *"Share premium"* caption.

– Leasehold improvements

These costs have been classified as *"Other assets"*, since they cannot be recorded as part of "Property, plant and equipment", as required by Bank of Italy instructions.
The related amortisation is recorded in the *"Other operating charges/income"* caption.

21 - Techniques for the determination of fair value

Paragraph 9 of IFRS 13 defines fair value as "the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date".
When determining whether the fair value at initial recognition equals the transaction price, it is necessary to take into account factors specific to the transaction and to the asset and liability. It follows that, if the transaction price (consideration) differs from fair value, the difference should be recognised in the income statement.
It is also established that fair value includes transport costs, but excludes transaction costs.
In addition to the measurement of stand-alone financial instruments at fair value, the Bank may also measure groups of similar assets and liabilities at fair value, where it is permitted to do so.
Measurement at fair value assumes that the transaction to sell an asset or transfer a liability takes place in a principal market, defined as the market with the greatest volume and level of trading for the asset or liability to be measured. In the absence of a principal market, reference should be made to the most advantageous market, which is the market that maximises the amount that would be received to sell an asset or minimises the amount that would be paid to transfer a liability, after taking into account transaction costs.

Identification of active markets

The process for measurement of fair value starts with determining whether there is an active market with regularly available quoted prices.

In order to consider a market as active, the Bank takes account of the following factors:

- number of participants;
- frequency of price quotations and updates thereto;
- presence of a bid-ask spread;
- width of the bid-ask spread;
- trading volume.

Whether a financial instrument qualifies as traded on an active market can only be determined through extensive research of all the existing markets in order to identify the principal or most advantageous market, taking into account "all information that is reasonably available" (IFRS 13 § 17). This needs to be done for each financial instrument for which the fair value has to be determined.
To determine whether, based on the information that is available, a market can be considered to be active, the Bank assesses the importance and relevance of factors that include the following:

a) low level of recent trading activity;
b) available prices are not current;
c) available prices vary significantly over time or between market-makers;
d) it can be demonstrated that indices that previously had a close correlation with the fair value of an asset or a liability no longer have this correlation based on recent indications of fair value of that asset or liability;
e) presence of a significant increase in the embedded risk premiums, or default rates, of the transactions being considered or in quoted prices;
f) presence of a wide bid-ask spread or of a significant increase therein;

g) significant decline in the level of trading activity;
h) lack of publicly available information.

If compliance with the necessary requirements is verified periodically, a financial instrument can be considered to be traded on an active market. Within the possible markets, a search is undertaken to identify the principal market or, in the absence of a principal market, the most advantageous market.

Fair value is determined with reference to:
- the closing bid price for assets held or liabilities to be issued;
- the closing ask price for liabilities already issued or assets to be purchased.

Closing bid and ask prices are the bid and ask prices referred to by the entity that regulates the market on which an instrument is traded.
In the absence of reference bid and ask prices, the last price set by the entity which regulates the market could be taken, provided that this price has the following features: advertised, liquidity, prompt adaptation to changing conditions and availability as envisaged by the standards.

For assets and liabilities with offsetting positions in market risks, the average of the bid and ask price can be used, provided that this is commonly used by market participants and is consistent with the objective of measuring fair value in accordance with IFRS 13.

In the case of open-end mutual funds, the Net Asset Value (NAV) is considered to be the most representative of the fair value of the instrument. No adjustments are made to the NAV to take into account the interval between the date redemption is requested and the actual redemption date.

In the case of listed closed-end funds, the fair value is derived from the market quotation.
With regard to foreign shares, if these are listed on regulated stock exchanges, then they are considered to be traded in an active market. The price provided for this type of share, if the bid-ask spread is not available, is the last price. On the contrary, equity trading in OTC markets is not considered to take place in an active market.
Listed derivatives are measured using the last prices supplied by the clearing house.

Financial instruments listed in inactive markets are reported as "unlisted" for the purpose of preparing the tables in the explanatory notes.

With regard to bonds not listed on regulated markets, in view of the role played by the Bank in the institutional market for financial instruments, the Bloomberg Professional system has been identified as an active market for front office operations, if the prices recorded therein have the appropriate features mentioned above.

Identification of the fair value of financial instruments not listed on active markets

If the market for a financial instrument does not meet the conditions required to qualify as an active market, the fair value of the instrument is determined through the use of valuation techniques.
Valuation techniques indicated by international accounting standards are:
- market approach: this uses prices and other relevant information generated by market transactions involving comparable assets;

- cost approach: this reflects the amount that would be required currently to replace the service capacity of an asset ("current replacement cost");
- income approach: this converts future cash flows or income and expenses to a single current amount.

For Bank purposes, the following valuation techniques are valid:
- market approach for identical or comparable assets and liabilities;
- use of matrix pricing;
- present value techniques;
- option pricing models;
- the multi-period excess earnings method.

These techniques may be used if:
- they maximise the use of market data, while minimising the use of Bank estimates and assumptions;
- they reasonably reflect how the market expects the price to be determined;
- the fair value measurement is determined on the basis of the value indicated by current market expectations and the risk and yield of the instrument being valued;
- they reflect the assumptions that market participants would use when pricing an asset or liability;
- they are consistent with commonly accepted methodologies;
- they are periodically subjected to verification and calibration to verify their capability to determine a fair value in line with actual trading prices for the instrument being valued.

In summary, the Bank's preference is to adopt a market approach for the determination of fair value, even if an active market does not exist. Only in the event that it is not possible to apply the above valuation techniques, quantitative valuation methods may be used.

It is apparent that regulations governing valuation techniques do not authorise a neutral and objective use of quantitative methods. However, their use should be understood to be the development by the Bank of an internal process that matches the fair value measurement with a price at which an instrument could be exchanged in a market transaction at current conditions.

As part of this process, it would thus appear necessary to give priority to the use of recent transaction prices (prices on non-active markets, prices provided by third-party participants), or the prices of similar instruments. In this context, quantitative methods can provide a benchmark to supplement, or correct, any differences between the instrument being valued and that observed in the market, or to reflect the impact of changes in the economic environment on market transactions.

Valuation techniques used to measure fair value are applied consistently. A change in a valuation technique or its application is appropriate if the change results in a measurement that is equally or more representative of fair value in the circumstances. That might be the case if any of the following events take place:
- new markets develop;
- new information becomes available;
- information previously used is no longer available;
- valuation techniques improve;

- market conditions change.

Valuation techniques

Specific techniques are applied in relation to particular types of financial instrument, in order to correctly identify their characteristics.

Equities

For all unlisted shares, the valuation rules set out above apply. Failing this, they are measured at cost.

For unlisted shares, other than equity investments, the methods used the most for fair value measurement fall into the following categories:

- discounted cash flow;
- the use of multiples.

These methods require the availability of a significant amount of data to estimate future cash flows generated by a company or to identify the correct market multiples. They use uncertain estimates of various parameters (cash flows, dividends, beta, risk premium, cost of capital, asset values, etc.), the measurement of which is subjective and which do not always reflect market conditions. This leads to a valuation of a distribution of theoretical fair values. Where it is not possible to reliably determine the fair value with the above methods, securities and instruments are measured at cost.

As an alternative to the valuation techniques above, the value of the share may be based on book value, computed as the ratio between equity and the number of issued ordinary shares.

Plain vanilla debt securities

With regard to plain vanilla debt securities, the valuation technique applied is discounted cash flow analysis. There are three steps:

- mapping of cash flows: recognition of the cash flows expected from the instrument and their distribution of the duration of the contract;
- selection of the discounting curve, having regard for the risk factors affecting the cash flows;
- calculation of the present value of the instrument at the measurement date.

Having identified the cash flows, the appropriate discounting curve is calculated using the discount rate adjustment approach, which takes account of both rate risk and credit risk. This information is used to calculate the instrument's fair value, as the sum of the present values of its cash flows.

Structured debt securities

Given the non-determinant nature of the future cash flows from structured securities, their fair value is calculated by breaking them down into a portfolio of elementary instruments using the replica portfolio technique. The fair value of the structured product is obtained by summing the individual values obtained for elementary instruments comprising the product.
As from 2013, the Bank started issuing protection certificates. They combine two financial instruments:

- a zero coupon bond;
- an option which seeks to replicate the performance of an underlying asset and to protect, partially or completely, the amount invested.

The methods used for the calculation of fair value are similar to those described above for structured debt securities.

Derivatives

The fair value of derivatives is determined using quantitative models that differ depending on the type of instrument concerned. In particular, a distinction is made between:

- Over-The-Counter (OTC) options represented by either stand-alone options or options embedded in complex financial instruments. Pricing techniques include:
  - options with payoff that can be calculated precisely, priced using models generally accepted by the market (e.g. Black & Scholes and variants);
  - options with payoff that cannot be calculated precisely, usually priced using "Montecarlo" simulation techniques;
- Interest Rate Swaps (IRS): the fair value of IRS is determined using net discounted cash flow analysis. In the case of a structured IRS, the instrument is decomposed into a "plain" component and an optional component ("building blocks"), so that their separate values can be determined and summed.

Forward currency transactions

These transactions are measured with reference to the forward rates at period end for maturities corresponding to those of the contracts to be priced.

Balance sheet items measured at amortised cost

Loans and receivables and held to maturity investments are measured at amortised cost and their fair value is determined for disclosure purposes only.

The fair value of loans with a contractual duration of less than twelve months is estimated to be their book value; the fair value of other loans is obtained by discounting the contract cash flows, net of the expected losses determined with reference to the credit rating of the borrower, using the corresponding rate curve for their maturities.

Credit Valuation Adjustment (CVA) and Debit Valuation Adjustment (DVA)

Current regulations state that the pricing of a derivative, in addition to being based on market factors, should also reflect the credit risk of the counterparty determined by a Credit Valuation Adjustment (CVA) and a Debit Valuation Adjustment (DVA).

To assess the credit risk of the counterparty, BPER Banca adopts the following methodology.

The term Credit Valuation Adjustment (CVA) refers to an adjustment in order to properly reflect the credit risk of the derivative counterparty made on the valuation of an OTC derivative (with a positive current exposure) transaction entered into by the Bank with an external counterparty and may be considered to be the market value of a potential loss amount derived from changes in market prices, due to a worsening of the credit or default risk of the counterparty.

Conversely, the term Debit Valuation Adjustment (DVA) refers to an adjustment in order to properly reflect the own default risk of the Bank made on the valuation of an OTC derivative (with a negative current exposure) entered into by the Bank with an external counterparty, that is, the market value of a potential gain derived from changes in market prices, due to a worsening of the credit or default risk of the Bank.

For the quantification of a CVA and a DVA, under certain conditions, IFRS 13 refers to a calculation that must be made by netting set or by counterparty and, thus, based on net exposure and not at individual contract level. In addition, it is necessary to consider whether any collateral has been provided or if there are any netting agreements.

BPER Banca currently makes use of bilateral agreements for the netting of derivative contracts, in accordance with which the reciprocal mark to market receivable and payable positions are offset automatically on a daily basis, leading to a single net balance, without any novation: this results in margin settlement being made solely by the net creditor. The foregoing has led to a considerable reduction in exposure to credit risk and, consequently, the impact of CVAs and DVAs on fair value.

In particular, for the Parent Company, there are two factors that mitigate the impact on fair value of credit risk:

- the signing of ISDA (International Swaps and Derivatives Association, the international industry standard on OTC derivatives) agreements with the main corporate and all the institutional counterparties to OTC derivatives. In respect of the institutional counterparties the related CSA (Credit Support Annex) was also executed in order to cover the provision of collateral and to further reduce current exposure and consequent risks;
- the entry into force of the new EMIR (European Market Infrastructure Regulation) platform, in respect of the exclusion from the scope of CVAs and DVAs of derivatives entered into on that platform/market. On the basis of assessments made, it is likely that most derivative transactions will go through the new system as they mainly consist of derivatives that are eligible for that purpose.

IFRS 13 does not indicate a specific methodology for the calculation of CVAs and DVAs, but it requires the use of valuation techniques that, on the one hand, must be appropriate for the data available and, on the other hand, maximise the use of observable market data.

With reference to the above, in order to align with best market practices, it was decided to use bilateral CVA methodology that considers the presence of two components to the calculation, with the aim of including the potential loss/gain arising from changes in the credit risk of the counterparty/Bank, but taking into account the joint probability of default by counterparties.

Market parameters

The following types of yield curve are used:

- par swap curves;
- bond curves derived from baskets of bonds;
- corporate curves by issuer, rating, and sector.

The following are derived from the par curves:

- zero coupon curves;
- forward rate curves;
- discount factor curves.

The zero coupon rate curves are obtained using the bootstrapping technique. These are used to extrapolate the discount factors used to determine the present value of the cash flows generated by the financial instruments to be priced. The forward rates are implicit in the zero coupon curve are determined with reference to the non-arbitrage theory.

The issuer curves are obtained by adding to the par swap rates the spreads that reflect the credit rating of the instrument’s issuer. These are used to price unlisted bonds.

Bond curves are calculated based on baskets of government bonds. Prices of the basket bonds, as well as the curves generated by them, are updated in real-time.
The credit rating curve of the Bank is obtained by creating a basket of issues by banking issuers that have similar characteristics and ratings. This is used to price all issued bonds.
The prices thus obtained are applied daily to organised systems of trading for the bonds issued by the Group Banks (MELT-HIMTF) that are reflected in the fair value valuation in the financial statements.

Volatility and other parameters

Volatilities and correlations are used principally to price unlisted derivatives. The volatilities are classified as follows:

- historical volatilities, estimated as the standard deviation of a time series of daily observations of the logarithm of the yields of the underlying concerned;
- contributed volatilities, obtained from information providers;
- implicit volatilities, obtained from the market prices of listed options.

With regard to the correlations, multi-variant derivatives are priced using historical correlations.

Additional information

IFRS 13 requires an entity to *"disclose information that helps users of its financial statements assess both of the following*:

a) for assets and liabilities that are measured at fair value on a recurring or non-recurring basis in the statement of financial position after initial recognition, the valuation techniques and inputs used to develop those measurements;

b) for recurring fair value measurements using significant unobservable inputs (Level 3), the effect of the measurements on profit or loss or other comprehensive income for the period."

The Bank has a procedure in place to:

- identify transfers between levels;
- analyse and document the reasons for such transfers;
- monitor and control the reliability of the fair value of financial instruments.

In particular, for assets and liabilities measured at fair value on a recurring and non-recurring basis, adequate disclosure is made of:

- the fair value measurement at the end of the reporting period, and for non-recurring fair value measurements, the reasons for the measurement.
- the level of the fair value hierarchy within which the fair value measurements are categorised in their entirety (Level 1, 2 or 3);
- for assets and liabilities categorised within Level 2 or 3, a description of the valuation techniques and inputs used and the reasons for any changes in valuation techniques used.

The Bank provides, for assets and liabilities held at the end of the reporting period that are measured at fair value on a recurring basis, the amounts of any transfers between Level 1 and Level 2 of the fair value hierarchy, the reasons for those transfers and the policy for determining when transfers between levels are deemed to have occurred, while, for those categorised on a recurring basis within Level 3 of the fair value hierarchy, a reconciliation is provided from the opening balances to the closing balances.

Information is also provided on the policy for determining when transfers between fair value hierarchy levels are deemed to have occurred.

For assets or liabilities categorised within Level 3 of the fair value hierarchy, the following disclosures are provided:

- quantitative information about the significant unobservable inputs used in the fair value measurement;
- for recurring fair value measurements, the amount of the total gains or losses for the period included in profit or loss that is attributable to the change in unrealised gains or losses relating to those assets and liabilities held at the end of the reporting period, and the line item(s) in profit or loss in which those unrealised gains or losses are recognised;
- a description of the valuation processes used for recurring and non-recurring fair value measurements;
- a narrative description of the sensitivity of the fair value measurement to changes in unobservable inputs if a change in those inputs to a different amount might result in a significantly higher or lower fair value measurement.

For financial assets and liabilities measured at amortised cost (not thus measured at fair value, but with fair value disclosure obligations) the following information is provided:

- the fair value hierarchy level;
- a description of the valuation techniques adopted for Levels 2 and 3, as well as the inputs used;
- if there has been any change in the valuation technique, a description of the change and the reason for it.

For own financial liabilities measured at fair value with credit enhancement (e.g. inseparable guarantees), information is provided on the existence of credit enhancement and the impact thereof on the determination of the fair value of the liability.

The application of the fair value option to loans and receivables and financial liabilities requires disclosure of the change in fair value attributable solely to changes in the credit risk associated with the instrument.
As mentioned, the risk factors are included in the discount curve using the discount rate adjustment approach.
This approach involves making separate and independent estimates of the various risk components (rate risk and credit risk), so that the partial fair value can be determined considering the changes in just one risk factor.

The following factors are considered in relation to credit risk:

- the risk-free market rate observed at the valuation date;
- the credit spread observed at the initial recording date or the previous valuation date;
- the credit spread observed at the valuation date.

The market fair value at the measurement date is compared with the fair value calculated using the credit risk observed at the initial recording date (or, alternatively, at the previous valuation date). This makes it possible to determine the changes in fair value due solely to changes in credit risk on a cumulative or periodic basis.

Fair value hierarchy

The Bank classifies its financial assets and liabilities by decreasing degree of fair value quality on the basis of the following principles:

- Fair value Level 1. Measurement is based on the price of the financial instrument concerned, being a quoted price in an active market.
- Fair value Level 2. Measurement is not based on quoted prices in active markets for the financial instrument concerned, but on meaningful prices obtained from non-active markets or reliable infoproviders, or on prices determined using an appropriate valuation technique largely based on observable market parameters, including credit spreads, derived from quotations of instruments that are substantially similar in terms of risk factors considered. The objective of the use of valuation techniques is to reaffirm the aim of obtaining a closing price at the valuation date from the point of view of a market participant that holds the financial instrument.
- Fair value Level 3. Measurement is based on various inputs that include subjective parameters, that is, parameters whose value cannot be derived from quoted prices observable in active markets. Since the parameters are not observable directly in the market, it follows that the value is required to make estimates and assumptions.

In some cases, the inputs used to measure the fair value of an asset or a liability might be categorised within different levels of the fair value hierarchy. In those cases, the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Bank has set out:[6]

- the analyses to be performed in the event of changes in valuation techniques used to measure fair value;
- the policy for determining when transfers between fair value hierarchy levels are deemed to have occurred and which is constantly adhered to.

As a general principle, to be allocated to Level 1 of the fair value hierarchy, if there is a quoted price in an active market for an asset or a liability, that price should be used without adjustment when measuring fair value. In fact, the fair value hierarchy gives the highest priority to quoted prices (unadjusted) in active markets for identical assets or liabilities and the lowest priority to unobservable inputs.

An allocation to Levels 2 and 3 depends on how the inputs used for the fair value measurement of an asset or liability are categorised within different levels of the fair value hierarchy: in those cases, the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

Assessing the significance of a particular input to the entire measurement requires judgement, taking into account factors specific to the asset or liability.

[6] *Reference should be made to the Group's regulatory framework, which comprises Guidelines, Group Regulations and methodological manual*

The availability of relevant inputs and their relative subjectivity might affect the selection of appropriate valuation techniques.

22 - Method for determining the extent of impairment

Financial assets

At each reporting date, financial assets not classified as at fair value are subjected to an impairment test to verify if there is any objective evidence for believing that their carrying amount may not be fully recoverable.
Value is impaired if there is objective evidence that future cash flows will be lower than the originally estimated contractual amounts; the related loss must be quantified in a reliable manner and associated with actual events rather than just expected events.
Impairment is measured in detail for those financial assets for which there is specific evidence of an impairment adjustment, and on an overall basis for other financial assets.

Pursuant to IAS 39, whenever the fair value of equities classified as available for sale is significantly lower than their purchase cost, or remains lower for an extended period, the Bank recognises an impairment loss with allocation of the negative valuation reserve to the Income statement.
In particular, the Bank recognises as objective evidence of impairment situations in which fair value is less than 50% of purchase cost or remains below purchase cost for 24 consecutive months.

If fair value is impaired, detailed analysis is performed to determine the reasons for the loss and identify any difficulties faced by the issuer, such as:

- significant financial problems or possibility of court-supervised arrangements;
- announcement/implementation of financial restructuring plans;
- significant changes with an adverse effect on the technological, economic or regulatory environment in which the issuer operates.

If the above analysis causes the Bank to believe that impairment exists, the related fair value equity reserve is posted to the income statement.
See paragraph 4 - Loans for detailed information about the treatment of loans.

Equity investments

The Bank's equity investments are also subjected to impairment testing. In particular, the impairment test is performed on an annual basis and involves the determination of recoverable value, being the greater of fair value less selling costs or value in use.
The measurement methodology used to calculate fair value less costs to sell was described in an earlier section of this report.
Value in use represents the present value of the cash flows expected to derive from the assets subject to impairment testing; this involves estimating the cash flows expected from the asset, possible changes in the timing and/or extent of such flows, the time value of money, and the price that remunerates the specific risks associated with the asset, together with such other factors as the size of the market for the asset, which might affect operators' assessments of the quality of the expected cash flows.
The estimate of value in use, being the present value of the cash flows expected to derive from the asset determined using a Discounted Cash Flow (DCF) method such as the DDM configured for banks, Excess

Capital Method, identifies the value of a business in relation to its ability to generate cash flow and thus its financial solidity.
Value in use is therefore determined by discounting the cash flows identified in the business plan, the time horizon for which must be sufficiently long for "fair" forecasts to be made; in financial practice, the time period covered by the forecast flows is at least three years. Where business plans are not prepared directly by the investees, long-term inertia-based plans are developed based on the companies' results and financial position, as well as market projections.
Shareholders' equity and earnings performance are only referred to on a residual basis, for the measurement of less significant equity investments.

Property, plant and equipment and intangible assets

Property, plant and equipment and intangible assets with a finite useful life are subjected to impairment testing if there is evidence that their carrying amounts may no longer be recoverable. Recoverable value is determined with reference to the fair value of the property, plant and equipment or intangible asset, net of disposal costs, or to its value in use if this can be determined and exceeds fair value.
The fair value of property is usually determined by appraisal. Impairment is only recognised if fair value less costs to sell, or value in use, is lower than the related carrying amount for an extended period.

23 - Business combinations: allocation of purchase cost

Introduction

The process of allocation of the purchase price for business combinations is described below, while details of such transactions are provided in Part G of the explanatory notes.

Fair value of the assets and liabilities acquired

When accounting for a business combination, the Bank determines the fair value of the assets, liabilities and contingent liabilities acquired. Such amount is only identified separately if, at the acquisition date, the following criteria are met:

- in the case of assets other than intangible assets, it is likely that the purchaser will obtain any future economic benefits;
- in the case of liabilities other than contingent liabilities, it is likely that their settlement will require the use of resources capable of producing economic benefits;
- in the case of an intangible asset (IAS 38) or a contingent liability (IAS 37), the related fair value can be measured in a reliable manner.

Identification of intangible assets

Depending on the characteristics of the business acquired, an analysis is performed to identify any unrecorded assets that should be recognised separately, for example customer-related (client relationship) intangibles, or marketing-related (brand name) intangibles.

Customer-related intangible assets: these are recognised as intangible assets when they are separable and can be measured reliably, even though they may not always derive from contractual rights such as marketing-related intangibles.
This category includes:

- client lists: these comprise all the information held about clients (database containing: names, addresses, transaction history, demographic information etc.) that has a recognised market value, on condition that it can be rented or exchanged; such information cannot be treated as an intangible asset if it is considered so confidential that the combination agreement forbids its sale, rental or exchange in other forms;
- contracts with clients and the client relationships established as a consequence: contracts with clients satisfy the contractual/legal requirement for the recognition of an intangible asset, even if the combination contract forbids their sale or transfer separately from the business acquired; this category also includes long-established contacts with clients, even if there is no formal contract, and all other non-contractual relationships that can be separated and measured on their own;
- non-contractual relations with clients: this category includes all intangible assets that, being separable and transferable independently of the business acquired, may be valued individually and recognised as intangibles.

Marketing-related intangible assets: trademarks, commercial names, service brands, collective names and quality marks that derive from contractual rights or which are usually separable. Such assets reflect the collection of productive conditions that are economically correlated with the commercial name, the relationship with the market, and the reach of distribution.
An intangible asset must be measured initially at cost. If acquired as part of a business combination, its cost is its fair value at the time control is obtained.
Fair value, in this context, reflects market expectations about the likelihood that the owner will obtain the future economic benefits deriving from the asset. The entity must assess the probability of obtaining future economic benefits using reasonable and justifiable assumptions that reflect Management's best estimate of the economic conditions that will apply over the useful life of the asset.
The accounting standards do not specify the methodology to be used to measure the fair value of such assets but, among the possible alternatives, preference is given to those making reference to observable market prices. Failing this, the accounting standards allow the use of valuation models that include assumptions which are generally used and recognised by the market.
The fair value of customer-related intangible assets is determined by discounting the profit flows generated by deposits over the expected residual period of the relationships outstanding at the time of acquisition.
In general, brands are valued using market methods and well as methods based on the flows deriving from their management or a royalty recognised by the market.

Determination of goodwill

Goodwill represents the unallocated amount of purchase cost, being the excess of the cost of the business combination over the net fair value of the identifiable assets, liabilities and contingent liabilities acquired (including those intangibles and contingent liabilities that satisfy the requirements for recognition in the financial statements).
This represents the consideration recognised by the purchaser in exchange for the future economic benefits deriving from assets that cannot be identified individually and recognised separately. In substance, this includes the value of the expected synergies, the corporate image of the company acquired, its know how, its professionalism, its procedures and other non-specific factors.

The goodwill acquired as a result of a business combination must not be amortised. The Bank verifies each year, or whenever there is evidence of possible impairment, that the recorded value of goodwill has not been impaired (impairment test).
If the residual amount allocated to the purchase value is negative (so-called "badwill"), it is recognised as a benefit in the income statement under item 235 " Gain on a bargain purchase ".

24 - Derecognition of financial assets

Derecognition involves the elimination of a previously recognised financial asset from the balance sheet.
Before assessing whether the conditions for derecognition of financial assets exist, according to IAS 39, one has to ascertain whether these conditions are to be applied to such assets in their entirety or whether they can refer to only part of them.
The essential condition for full derecognition of a financial asset is the extinction of its contractual rights, either because they expire naturally or because the rights to the cash flows resulting from such assets are transferred to a third party outside the Group.
The elimination of a financial asset is subject to verification that all of the risks and rewards of ownership of the rights have actually been transferred. In the case of transfer of substantially all of the risks and rewards, the transferred asset (or group of assets) can be derecognised and the rights and obligations relating to the transfer have to be recognised separately as assets or liabilities.
Conversely, in the event that the risks and rewards are retained, the asset (or group of assets) transferred has to continue being recognised. In this case, one has to recognise a liability equal to the amount received as consideration for the transfer and subsequently recognise all revenues and expenses accruing on the liability.
The main types of transactions that, under these rules, do not permit the derecognition of a financial asset are securitisations of receivables, repurchase agreements and securities lending.

A.3 – Information on transfers of financial assets between portfolios

A.3.1 Financial assets reclassified: book value, fair value and effects on overall profitability

Type of financial instrument	Source portfolio	Destination portfolio	Book value as at	Fair value as at	Income elements without transfer (before tax)		Income elements recorded in the year (before tax)	
			31.12.2017	31.12.2017	measured	other	measured	other
Debt securities	Financial assets held for trading	Due from banks	-	-	39	2	-	-
Debt securities	Financial assets available for sale	Loans to customers	-	-	376	1	-	1
UCITS units	Financial assets held for trading	Financial assets available for sale	2,520	2,520	(166)	-	(166)	10

A.3.2 Financial assets reclassified: effect on overall profitability before transfer

No financial assets were reclassified during the year.

A.3.3 Transfer of financial assets held for trading

No financial assets were reclassified during the year.

A.3.4 Effective interest rate and cash flows expected from reclassified assets

No financial assets were reclassified during the year.

A.4 – Information on fair value

Qualitative information

A.4.1 Fair value Levels 2 and 3: valuation techniques and inputs used

A description of the valuation techniques and inputs used has been disclosed in Chapter 21 of Part A.2 of these explanatory notes "Techniques for the determination of fair value".

A.4.2 Measurement process and sensitivity

Assets and liabilities categorised within Level 3 of the fair value hierarchy mainly consist of:

- connected derivatives, in that they offset each other and which originate from securitisations, classified as "*Financial assets held for trading*" and "*Financial liabilities held for trading*";
- a limited number of equity investments measured at cost or under the equity method and in UCITS units measured at NAV classified as *"Financial assets designated at fair value"*;
- minority equity investments, often held to preserve links with the territory or for the development of commercial relationships (measured mainly on the basis of the book value of shareholders' equity of the companies in question or at cost), as well as UCITS units (usually at NAV), with both classified as *"Financial assets available for sale"*;
- investments in asset-backed securities classified as *"Due from banks"* and *"Loans to customers"*.

For the latter, the related sensitivity is provided below:

Financial asset/liability	Non-observable parameter	Change in parameter	Sensitivity (in thousands)
Investments in Asset Backed Securities	Credit Spread	+25 bps	(1,690)

For the other positions which have just been illustrated, given the use of valuation techniques involving the use of estimates, the measurement thereof is incapable of being significantly impacted by changes in inputs.

A.4.3 Fair value hierarchy

A description of the fair value hierarchy has been disclosed in Part A.2 of these explanatory notes in Chapter 21 "Techniques for the determination of fair value".

A.4.4 Other information

Reference should be made to Chapter 21 of Part A.2 of the explanatory notes "Techniques for the determination of fair value" for further information on fair value.

Quantitative information

A.4.5 Fair value hierarchy

A.4.5.1 Assets and liabilities measured at fair value on a recurring basis: breakdown by fair value levels

Assets/Liabilities not measured at fair value or at fair value on a non-recurring basis	31.12.2017			31.12.2016		
	L1	L2	L3	L1	L2	L3
1. Financial assets held for trading	360,941	303,841	19,867	325,255	351,389	25,649
2. Financial assets designated at fair value	18,952	11,937	7,116	20,959	12,490	5,194
3. Financial assets available for sale	9,189,063	1,068,400	426,796	7,345,101	817,811	412,920
4. Hedging derivatives	-	52,825	-	-	59,767	-
5. Property, plan and equipment	-	-	-	-	-	-
6. Intangible assets	-	-	-	-	-	-
Total	**9,568,956**	**1,437,003**	**453,779**	**7,691,315**	**1,241,457**	**443,763**
1. Financial liabilities held for trading	1,396	155,548	16,490	3,291	208,805	20,002
2. Financial liabilities designated at fair value	-	48,320	-	-	247,933	-
3. Hedging derivatives	-	21,176	-	-	36,860	-
Total	**1,396**	**225,044**	**16,490**	**3,291**	**493,598**	**20,002**

Transfers of assets from Level 1 to Level 2 of the fair value hierarchy during the year amounted to € 168,501 thousands and those from Level 2 to Level 1 amounted to € 161,995 thousand.
The former are due to a loss of significance of the prices quoted in the principal market, while, for the latter, the dealer market showed an improvement in the negotiability of the instruments in terms of volumes and in the width and depth of the prices quoted.

Key:

L1 = Level 1
L2 = Level 2
L3 = Level 3

A.4.5.2 Period changes in assets measured at fair value on a recurring basis (level 3)

	Financial assets held for trading	Financial assets designated at fair value	Financial assets available for sale	Hedging derivatives	Property, plant and equipment	Intangible assets
1. Opening balance	**25,649**	**5,194**	**412,920**	**-**	**-**	**-**
2. Increases	**1,083**	**5,791**	**144,297**	**-**	**-**	**-**
2.1 Purchases	1	5,412	98,567	-	-	-
2.2 Profits posted to:	8	376	7,841	-	-	-
2.2.1 Income Statement	8	376	3,368	-	-	-
- of which: gains	-	4	-	-	-	-
2.2.2 Shareholders' equity	#	#	4,473	-	-	-
2.3 Transfers from other levels	-	-	-	-	-	-
2.4 Other increase	1,074	3	37,889	-	-	-
3. Decreases	**6,865**	**3,869**	**130,421**	**-**	**-**	**-**
3.1 Sales	7	2,546	31,239	-	-	-
3.2 Redemptions	-	987	10,710	-	-	-
3.3 Losses posted to:	6,858	334	87,997	-	-	-
3.3.1 Income Statement	6,858	334	86,017	-	-	-
- of which: losses	6,858	16	-	-	-	-
3.3.2 Shareholders' equity	#	#	1,980	-	-	-
3.4 Transfers to other levels	-	-	405	-	-	-
3.5 Other decreases	-	2	70	-	-	-
4. Closing balances	**19,867**	**7,116**	**426,796**	**-**	**-**	**-**

During the year, an equity instrument was transferred from Level 3 to Level 2 following its listing on the HI-MTF market.

A.4.5.3 Period changes in liabilities measured at fair value on a recurring basis (level 3)

	Financial liabilities held for trading	Financial liabilities designated at fair value	Hedging derivatives
1. Opening balance	**20,002**	**-**	**-**
2. Increases	**1,888**	**-**	**-**
2.1 Issues	-	-	-
2.2 Losses posted to:	847	-	-
2.2.1 Income Statement	847	-	-
- of which: losses	847	-	-
2.2.2 Shareholders' equity	#	#	-
2.3 Transfers from other levels	-	-	-
2.4 Other increase	1,041	-	-
3. Decreases	**5,400**	**-**	**-**
3.1 Redemptions	-	-	-
3.2 Buybacks	-	-	-
3.3 Profits posted to:	5,400	-	-
3.3.1 Income Statement	5,400	-	-
- of which: gains	5,400	-	-
3.3.2 Shareholders' equity	#	#	-
3.4 Transfers to other levels	-	-	-
3.5 Other decreases	-	-	-
4. Closing balances	**16,490**	**-**	**-**

There were no transfers during the year to or from other levels of the fair value hierarchy.

A.4.5.4 Assets and liabilities not measured at fair value or at fair value on a non-recurring basis: breakdown by fair value levels

Assets/Liabilities not measured at fair value or at fair value on a non-recurring basis	31.12.2017				31.12.2016			
	BV	L1	L2	L3	BV	L1	L2	L3
1. Financial assets held to maturity	2,637,135	2,588,852	209,556	-	2,515,993	2,492,106	205,820	-
2. Due from banks	3,909,712	-	38,647	3,871,958	2,155,637	-	86,255	2,071,812
3. Loans to customers	37,390,988	-	16,551	38,141,505	35,478,258	-	130,126	36,038,973
4. Investment property, plant and equipment	87,040	-	-	91,724	72,122	-	-	79,376
5. Non-current assets and disposal groups held for sale	-	-	-	-	-	-	-	-
Total	**44,024,875**	**2,588,852**	**264,754**	**42,105,187**	**40,222,010**	**2,492,106**	**422,201**	**38,190,161**
1. Due to banks	16,541,840	-	-	16,541,840	12,539,337	-	-	12,539,337
2. Due to customers	30,386,711	-	-	30,386,711	27,383,757	-	-	27,383,757
3. Debt securities in issue	6,450,292	3,106,380	1,774,540	1,791,823	7,208,172	2,611,580	2,474,844	2,208,145
4. Liabilities associated with non-current assets held for sale	-	-	-	-	-	-	-	-
Total	**53,378,843**	**3,106,380**	**1,774,540**	**48,720,374**	**47,131,266**	**2,611,580**	**2,474,844**	**42,131,239**

Key:

BV = Book value
L1= Level 1
L2 = Level 2
L3 = Level 3

A.5 – Information on "day one profit/loss"

In the case of Level 3 transactions, the fair value obtained through the use of internal models may differ from the transaction price.
In these cases, the Bank has to indicate the accounting policies it follows to recognise to profit or loss any differences that may arise after initial recognition of the instrument.

There were no differences at 31 December 2017 between the value of transactions and their corresponding fair values.

Part B – Information on the balance sheet

Assets

Section 1 - Cash and cash equivalents Caption 10

1.1 Cash and cash equivalents: breakdown

	31.12.2017	31.12.2016
a) Cash	301,076	255,934
b) Demand deposits with Central Banks	-	-
Total	**301,076**	**255,934**

Section 2 - Financial assets held for trading Caption 20

2.1 Financial assets held for trading: breakdown by sector

Description/Amount	31.12.2017			31.12.2016		
	Level 1	Level 2	Level 3	Level 1	Level 2	Level 3
A. Cash assets						
1. Debt securities	189,262	186,735	1	199,836	179,660	1
1.1 Structured securities	21,377	4,813	-	22,215	1,393	-
1.2 Other debt securities	167,885	181,922	1	177,621	178,267	1
2. Equities	95,814	1,692	25	62,538	48	1
3. UCITS units	75,817	-	-	62,471	-	-
4. Loans	-	-	-	-	-	-
4.1 Repurchase agreements	-	-	-	-	-	-
4.2 Other	-	-	-	-	-	-
Total A	**360,893**	**188,427**	**26**	**324,845**	**179,708**	**2**
B. Derivatives						
1. Financial derivatives	48	115,414	19,841	410	171,681	25,647
1.1 Trading	48	115,414	19,841	410	165,826	25,647
1.2 Connected with the fair value option	-	-	-	-	5,855	-
1.3 Other	-	-	-	-	-	-
2. Credit derivatives	-	-	-	-	-	-
2.1 Trading	-	-	-	-	-	-
2.2 Connected with the fair value option	-	-	-	-	-	-
2.3 Other	-	-	-	-	-	-
Total B	**48**	**115,414**	**19,841**	**410**	**171,681**	**25,647**
Total (A+B)	**360,941**	**303,841**	**19,867**	**325,255**	**351,389**	**25,649**

An explanation of the fair value hierarchy used for classification has been given in Part A.2 of these notes in Chapter 21 "Techniques for the determination of fair value".

2.2 Financial assets held for trading: breakdown by issuer/borrower

Description/Amounts	31.12.2017	31.12.2016
A. Cash assets		
1. Debt securities	375,998	379,497
a) Governments and Central Banks	264,008	268,653
b) Other public entities	4	8
c) Banks	60,166	66,490
d) Other issuers	51,820	44,346
2. Equity instruments	97,531	62,587
a) Banks	21,318	14,733
b) Other issuers:	76,213	47,854
- insurance companies	3,546	3,764
- financial companies	3,320	2,754
- non-financial companies	69,347	41,336
- other	-	-
3. UCITS units	75,817	62,471
4. Loans	-	-
a) Governments and Central Banks	-	-
b) Other public entities	-	-
c) Banks	-	-
d) Other parties	-	-
Total A	549,346	504,555
B. Derivative instruments		
a) Banks	79,473	126,770
b) Customers	55,830	70,968
Total B	135,303	197,738
Total (A+B)	684,649	702,293

Section 3 - Financial assets designated at fair value Caption 30

3.1 Financial assets designated at fair value: breakdown by sector

Description/Amounts	31.12.2017			31.12.2016		
	Level 1	Level 2	Level 3	Level 2	Level 2	Level 3
1. Debt securities	-	11,572	-	-	12,128	286
1.1 Structured securities	-	-	-	-	-	-
1.2 Other debt securities	-	11,572	-	-	12,128	286
2. Equity instruments	-	365	-	3	362	-
3. UCITS units	18,952	-	7,116	20,956	-	4,908
4. Loans	-	-	-	-	-	-
4.1 Structured	-	-	-	-	-	-
4.2 Other	-	-	-	-	-	-
Total	**18,952**	**11,937**	**7,116**	**20,959**	**12,490**	**5,194**
Cost	**16,944**	**12,003**	**7,128**	**18,150**	**12,872**	**5,323**

An explanation of the fair value hierarchy used for classification has been given in Part A.2 of these notes in Chapter 21 "Techniques for the determination of fair value".

Financial assets designated at fair value: use of the fair value option

Description	31.12.2017	31.12.2016
a) Natural hedges using derivatives	-	-
b) Natural hedges using other financial instruments	-	-
c) Other cases of accounting mismatches	-	-
d) Financial instruments managed and measured at fair value	38,005	38,643
e) Structured products with embedded derivatives	-	-
Total	**38,005**	**38,643**

3.2 Financial assets designated at fair value: breakdown by borrower/issuer

Description/Amounts	31.12.2017	31.12.2016
1. Debt securities	**11,572**	**12,414**
a) Governments and Central Banks	-	-
b) Other public entities	-	-
c) Banks	7,210	7,282
d) Other issuers	4,362	5,132
2. Equity instruments	**365**	**365**
a) Banks	-	-
b) Other issuers:	365	365
- insurance companies	-	-
- financial companies	-	-
- non-financial companies	365	365
- other	-	-
3. UCITS units	**26,068**	**25,864**
4. Loans	**-**	**-**
a) Governments and Central Banks	-	-
b) Other public entities	-	-
c) Banks	-	-
d) Other parties	-	-
Total	**38,005**	**38,643**

Analysis of UCITS units

Description	31.12.2017	31.12.2016
2. Property - closed end	3,965	7,452
3. Equities - open end	9,302	8,500
5. Bonds - open end	2,283	2,131
6. Equities closed end	24	2,190
7. Speculative securities	3	542
10. Other	10,491	5,049
Total	**26,068**	**25,864**

Section 4 - Financial assets available for sale Caption 40

4.1 Financial assets available for sale: breakdown by sector

Description/Amounts	31.12.2017			31.12.2016		
	Level 1	Level 2	Level 3	Level 1	Level 2	Level 3
1. Debt securities	**9,153,891**	**1,067,995**	**55,681**	**7,300,192**	**817,811**	**9,101**
1.1 Structured securities	-	-	-	-	-	-
1.2 Other debt securities	9,153,891	1,067,995	55,681	7,300,192	817,811	9,101
2. Equity instruments	**3,596**	**405**	**300,776**	**3,590**	**-**	**282,793**
2.1 Valued at fair value	3,596	405	278,622	3,590	-	254,248
2.2 Valued at cost	-	-	22,154	-	-	28,545
3. UCITS units	**31,576**	**-**	**70,339**	**41,319**	**-**	**121,026**
4. Loans	**-**	**-**	**-**	**-**	**-**	**-**
Total	**9,189,063**	**1,068,400**	**426,796**	**7,345,101**	**817,811**	**412,920**

"Financial Assets available for sale" are measured at fair value on the basis described in Part A of these explanatory notes.
"Debt securities" mainly relate to investments made in government bonds with the aim of returning to a more balanced asset sensitivity structure.
"Equity instruments" are represented by stable equity investments.
The UCITS units mainly relate to closed-end property and investment funds.
An explanation of the fair value hierarchy used for classification has been given in Part A.2 of these notes in Chapter 21 "Techniques for the determination of fair value".

4.2 Financial assets available for sale: breakdown by borrower/issuer

Description/Amounts	31.12.2017	31.12.2016
1. Debt securities	**10,277,567**	**8,127,104**
a) Government and Central Banks	3,207,771	3,236,459
b) Other public entities	176,028	110,775
c) Banks	4,861,468	3,522,787
d) Other issuers	2,032,300	1,257,083
2.Equity instruments	**304,777**	**286,383**
a) Banks	126,269	115,513
b) Other issuers:	178,508	170,870
- insurance companies	63,777	63,777
- financial companies	63,669	67,444
- non-financial companies	51,056	39,643
- other	6	6
3. UCITS units	**101,915**	**162,345**
4. Loans	**-**	**-**
a) Government and Central Banks	-	-
b) Other public entities	-	-
c) Banks	-	-
d) Other parties	-	-
Total	**10,684,259**	**8,575,832**

4.3 Micro-hedged financial assets available for sale

	31.12.2017	31.12.2016
1. Financial assets covered by specific fair value hedges	**4,380,799**	**2,167,059**
a) Interest rate risk	4,380,799	2,167,059
b) Price risk	-	-
c) Foreign exchange risk	-	-
d) Credit risk	-	-
e) Multiple risks	-	-
2. Financial assets covered by specific cash flow hedges	**111,081**	**282,371**
a) Interest rate risk	111,081	282,371
b) Foreign exchange risk	-	-
c) Other	-	-
Total	**4,491,880**	**2,449,430**

Section 5 - Financial assets held to maturity Caption 50

5.1 Financial assets held to maturity: breakdown by sector

	31.12.2017				31.12.2016			
	BV	FV			BV	FV		
		Level 1	Level 2	Level 3		Level 1	Level 2	Level 3
1. Debt securities	2,637,135	2,588,852	209,556	-	2,515,993	2,492,106	205,820	-
- structured	-	-	-	-	-	-	-	-
- other	2,637,135	2,588,852	209,556	-	2,515,993	2,492,106	205,820	-
2. Loans	-	-	-	-	-	-	-	-
Total	**2,637,135**	**2,588,852**	**209,556**	**-**	**2,515,993**	**2,492,106**	**205,820**	**-**

More than half of the portfolio comprises government debt securities, in order to support net interest income and reduce its exposure to interest rate fluctuations, given the a foreseeable scenario of exceptionally low risk-free rates for a long time to come.
An explanation of the fair value hierarchy used for classification has been given in Part A.2 of these notes in Chapter 21 "Techniques for the determination of fair value".

Key:

FV = fair value
BV = book value

5.2 Financial assets held to maturity: breakdown by borrower/issuer

Type of transaction/Amounts	31.12.2017	31.12.2016
1. Debt securities	**2,637,135**	**2,515,993**
a) Governments and Central Banks	1,447,106	1,348,283
b) Other public entities	25,041	9,960
c) Banks	970,041	933,791
d) Other issuers	194,947	223,959
2. Loans	**-**	**-**
a) Governments and Central Banks	-	-
b) Other public entities	-	-
c) Banks	-	-
d) Other entities	-	-
Total	**2,637,135**	**2,515,993**
Total fair value	**2,798,408**	**2,697,926**

Section 6 - Due from banks
Caption 60

6.1 Due from banks: breakdown by sector

Type of transaction/Amounts	Total 31.12.2017				Total 31.12.2016			
	BV	FV			BV	FV		
		Level 1	Level 2	Level 3		Level 1	Level 2	Level 3
A. Due from Central Banks	**2,027,004**	**-**	**-**	**2,027,004**	**576,337**	**-**	**-**	**576,337**
1. Time deposits	-	#	#	#	-	#	#	#
2. Reserve requirement	2,022,500	#	#	#	576,337	#	#	#
3. Repurchase agreements	-	#	#	#	-	#	#	#
4. Other	4,504	#	#	#	-	#	#	#
B. Due from banks	**1,882,708**	**-**	**38,647**	**1,844,954**	**1,579,300**	**-**	**86,255**	**1,495,475**
1. Loans	1,844,955	-	-	1,844,954	1,495,475	-	-	1,495,475
1.1. Current accounts and demand deposits	355,018	#	#	#	605,961	#	#	#
1.2. Time deposits	494,018	#	#	#	390,090	#	#	#
1.3. Other loans	995,919	#	#	#	499,424	#	#	#
- Repurchase agreements	567,163	#	#	#	150,291	#	#	#
- Finance leases	-	#	#	#	-	#	#	#
- Other	428,756	#	#	#	349,133	#	#	#
2. Debt securities	37,753	-	38,647	#	83,825	-	86,255	-
2.1 Structured securities	-	#	#	#	-	#	#	#
2.2 Other debt securities	37,753	#	#	#	83,825	#	#	#
Total	**3,909,712**	**-**	**38,647**	**3,871,958**	**2,155,637**	**-**	**86,255**	**2,071,812**

An explanation of the fair value hierarchy used for classification has been given in Part A.2 of these notes in Chapter 21 "Techniques for the determination of fair value".

Key:

FV = fair value
BV = book value

Section 7 - Loans to customers Caption 70

7.1 Loans to customers: breakdown by sector

Type of transaction/Values	31.12.2017					
	Book value			Fair value		
	Performing loans	Non-performing loans		L1	L2	L3
		Purchased	Other			
Loans	**33,793,678**	**-**	**3,446,806**	**-**	**-**	**38,012,657**
1. Current accounts	4,595,160	-	540,826	#	#	#
2. Repurchase agreements	-	-	-	#	#	#
3. Mortgage loans	21,044,261	-	2,386,572	#	#	#
4. Credit cards, personal loans and assignments of one-fifth of salary	929,283	-	22,392	#	#	#
5. Finance leases	11,060	-	376	#	#	#
6. Factoring	9,720	-	61	#	#	#
7. Other loans	7,204,194	-	496,579	#	#	#
Debt securities	**149,548**	**-**	**956**	**-**	**16,551**	**128,848**
8. Structured securities	-	-	-	#	#	#
9. Other debt securities	149,548	-	956	#	#	#
Total	**33,943,226**	**-**	**3,447,762**	**-**	**16,551**	**38,141,505**

Type of transaction/Values	31.12.2016					
	Book value			Fair value		
	Performing loans	Non-performing loans		L1	L2	L3
		Purchased	Other			
Loans	**31,162,700**	**-**	**4,054,695**	**-**	**-**	**35,898,809**
1. Current accounts	4,876,520	-	648,039	#	#	#
2. Repurchase agreements	-	-	-	#	#	#
3. Mortgage loans	18,584,278	-	2,662,000	#	#	#
4. Credit cards, personal loans and assignments of one-fifth of salary	945,701	-	37,935	#	#	#
5. Finance leases	-	-	-	#	#	#
6. Factoring	-	-	-	#	#	#
7. Other loans	6,756,201	-	706,721	#	#	#
Debt securities	**259,930**	**-**	**933**	**-**	**130,126**	**140,164**
8. Structured securities	-	-	-	#	#	#
9. Other debt securities	259,930	-	933	#	#	#
Total	**31,422,630**	**-**	**4,055,628**	**-**	**130,126**	**36,038,973**

The sub-caption "Other loans" of performing loans includes: € 4,289,448 thousands of bullet loans (€ 3,996,473 thousands at the end of 2016), € 1,987,062 thousands of advances on invoices subject to collection (€ 1,923,657 thousands at the end of 2016), € 675,993 thousands of import/export advances (€ 648,654 thousands at the end of 2016), € 45,667 thousands of credit assignment (€ 37,179 thousands at the end of 2016) and € 206,024 thousands of other miscellaneous entries (€ 150,238 thousands at the end of 2016).
An explanation of the fair value hierarchy used for classification has been given in Part A.2 of these notes in Chapter 21 "Techniques for the determination of fair value".
Loans are recorded at their nominal value, which is the same as their fair value, and the level of fair value attributed is L3.

7.2 Loans to customers: breakdown by borrower/issuer

Type of transaction/Amounts	31.12.2017			31.12.2016		
	Performing loans	Non-performing loans		Performing loans	Non-performing loans	
		Purchased	Other		Purchased	Other
1.Debt securities:	**149,548**	**-**	**956**	**259,930**	**-**	**933**
a) Governments	-	-	-	-	-	-
b) Other public entities	141	-	-	141	-	-
c) Other issuers	149,407	-	956	259,789	-	933
- non-financial companies	4,796	-	956	4,842	-	933
- financial companies	144,611	-	-	151,360	-	-
- insurance companies	-	-	-	103,587	-	-
- other	-	-	-	-	-	-
2. Loans to:	**33,793,678**	**-**	**3,446,806**	**31,162,700**	**-**	**4,054,695**
a) Governments	1,892,712	-	-	1,712,350	-	1
b) Other public entities	184,705	-	2,198	150,323	-	4,429
c) Other parties	31,716,261	-	3,444,608	29,300,027	-	4,050,265
- non-financial companies	18,058,020	-	2,935,521	17,425,046	-	3,412,558
- financial companies	4,754,827	-	86,365	4,052,511	-	135,367
- Insurance companies	17,067	-	-	15,508	-	-
- other	8,886,347	-	422,722	7,806,962	-	502,340
Total	**33,943,226**	**-**	**3,447,762**	**31,422,630**	**-**	**4,055,628**

7.4 Finance leases

Finance lease instalments due: timing of instalments

Time bands	Present value 31.12.2017	Present value 31.12.2016
up to 3 months	23	-
between 3 months and 1 year	-	-
between 1 year and 5 years	353	-
beyond 5 years	11,060	-
Total	**11,436**	**-**

Section 8 – Hedging derivatives
Caption 80

8.1 Hedging derivatives: breakdown by type and level

	Fair Value 31.12.2017			NV 31.12.2017	Fair Value 31.12.2016			NV 31.12.2017
	L1	L2	L3		L1	L2	L3	
A. Financial derivatives	**-**	**52,825**	**-**	**3,866,767**	**-**	**59,767**	**-**	**2,513,350**
1) Fair value	-	52,825	-	3,866,767	-	59,767	-	2,513,350
2) Cash flows	-	-	-	-	-	-	-	-
3) Foreign investments	-	-	-	-	-	-	-	-
B. Credit derivatives	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
1) Fair value	-	-	-	-	-	-	-	-
2) Cash flows	-	-	-	-	-	-	-	-
Total	**-**	**52,825**	**-**	**3,866,767**	**-**	**59,767**	**-**	**2,513,350**

An explanation of the fair value hierarchy used for classification has been given in Part A.2 of these notes in Chapter 21 "Techniques for the determination of fair value".

Key:

NV = Nominal value
L1 = Level 1
L2 = Level 2
L3 = Level 3

8.2 Hedging derivatives: breakdown by hedged portfolio and type of hedge

Operations/Type of hedges	Fair value						Cash flows		Foreign investments
	Specific					General	Specific	General	
	Interest Rate Risk	Exchange Risk	Credit risk	Price risk	Multiple risks				
1. Financial assets available for sale	24,088	-	-	-	-	#	-	#	#
2. Loans	-	-	-	#	-	#	-	#	#
3. Financial assets held to maturity	#	-	-	#	-	#	-	#	#
4. Portfolio	#	#	#	#	#	-	#	-	#
5. Other operations	-	-	-	-	-	#	-	#	-
Total assets	**24,088**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
1. Financial liabilities	28,737	-	-	#	-	#	-	#	#
2. Portfolio	#	#	#	#	#	-	#	-	#
Total liabilities	**28,737**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
1. Expected transactions	#	#	#	#	#	#	-	#	#
2. Portfolio of financial assets and liabilities	#	#	#	#	#	-	#	-	-

Section 9 - Remeasurement of financial assets backed by general hedges
Caption 90

There are no amounts to be disclosed in this section.

Section 10 - Equity investments Caption 100

10.1 Equity investments: information on shareholdings

Name	Registered head office	Operational head office	% holding	% Voting rights
A. Investments in wholly-owned subsidiaries				
Direct:				
1 Adras s.p.a.	Milan	Milan	100.000	
2 Banca di Sassari s.p.a.	Sassari	Sassari	78.490	
3 Banca Farnese S.p.A. in liquidazione	Ferrara	Ferrara	65.127	
4 Bper (Europe) International s.a.	Luxembourg	Luxembourg	100.000	
5 Banco di Sardegna s.p.a.	Cagliari	Sassari	50.901	51.000
6 BPER Credit Management s.cons.p.a.	Modena	Modena	67.000	
7 BPER Services s.cons.p.a.	Modena	Modena	92.838	
8 BPER Trust Company s.p.a.	Modena	Modena	100.000	
9 Carife Servizi Evolutivi Integrati S.r.l.	Ferrara	Ferrara	100.000	
10 Cassa di Risparmio di Bra s.p.a.	Bra	Bra	67.000	
11 Cassa di Risparmio di Saluzzo s.p.a.	Saluzzo	Saluzzo	100.000	
12 Emilia Romagna Factor s.p.a.	Bologna	Bologna	94.403	
13 Estense Covered Bond s.r.l.	Conegliano	Conegliano	60.000	
14 Estense CPT Covered Bond s.r.l.	Conegliano	Conegliano	60.000	
15 Italiana Valorizzazioni Immobiliari s.r.l.	Milan	Milan	100.000	
16 Modena Terminal s.r.l.	Campogalliano	Campogalliano	100.000	
17 Mutina s.r.l.	Modena	Modena	100.000	
18 Nadia s.p.a.	Modena	Modena	100.000	
19 Optima s.p.a. S.I.M.	Modena	Modena	100.000	
20 Polo Campania s.r.l.	Avellino	Avellino	100.000	
21 Sardaleasing s.p.a.	Sassari	Milan	51.440	
22 SIFA' - Società Italiana Flotte Aziendali s.p.a.	Trento	Milan/Reggio Emilia	51.000	
B. Investments in companies under joint control				
C. Associates (subject to significant influence)				
1 Alba Leasing s.p.a.	Milan	Milan	33.498	
2 Arca Holding s.p.a.	Milan	Milan	32.752	
3 Atriké s.p.a.	Modena	Modena	45.000	
4 Cassa di Risparmio di Fossano s.p.a.	Fossano	Fossano	23.077	
5 Cassa di Risparmio di Savigliano s.p.a.	Savigliano	Savigliano	31.006	
6 CAT Progetto Impresa Modena s.c.r.l.	Modena	Modena	20.000	
7 Co.Ba.Po. Consorzio Banche popolari dell'Emilia Romagna	Bologna	Bologna	23.587	
8 CONFORM Consulenza Formazione e Management s.cons. a r.l.	Avellino	Avellino	46.430	
9 Lanciano Fiera - Polo Fieristico d'Abruzzo Consorzio	Lanciano	Lanciano	20.000	
10 Immobiliare Oasi nel Parco s.r.l.	Milan	Milan	36.800	
11 Resiban s.p.a.	Modena	Modena	20.000	
12 Unione Fiduciaria s.p.a.	Milan	Milan	24.000	

The "% Voting rights" column is only used if the actual share of votes exercisable at the Ordinary Shareholders' Meeting is different from the interest held in the company's share capital.

Impairment testing of equity investments

In accordance with IAS/IFRS, equity investments have been subjected to impairment testing in order to determine whether the carrying amounts thereof were recoverable.

Impairment testing has to be performed by comparing the carrying amount of an asset with its recoverable value, where the recoverable amount is the higher of its fair value less costs to sell and its value in use.

The recoverable value of each investment has been estimated as being equal to the pro rata value in use of the subsidiary, given that each individual entity is independently capable of generating cash flows. For the estimate of the value in use of the main investments in associates and subsidiaries, reference should be made to sections 10 and 13 respectively of the consolidated explanatory notes.
Comments to table 10.5 explain the adjustments made after impairment testing.

10.5 Equity investments: change in the period

	31.12.2017	31.12.2016
A. Opening balance	**1,619,457**	**1,471,789**
B. Increases	**81,890**	**301,425**
B.1 Purchases	81,576	268,579
- of which: business combinations	80,409	51,893
B.2 Write-backs	-	-
B.3 Revaluation	-	-
B.4 Other changes	314	32,846
C. Decreases	**14,368**	**153,757**
C.1 Sales	7,447	170
C.2 Adjustments	6,640	7,673
C.3 Other changes	281	145,914
D. Closing balance	**1,686,979**	**1,619,457**
E. Total revaluations	-	-
F. Total adjustments	**168,363**	**161,723**

Increases due to purchases (caption B.1) refer to:
- Purchase of 16,954 shares of Banca di Sassari for € 36 thousand.
- Purchase of 120,313 savings shares of Banco di Sardegna for € 829 thousand.
- Purchase of 30,141 Sifà shares for € 302 thousand, for the conversion of the convertible bond loan;
- Equity investments arising from the acquisition of control of Nuova Cassa di Risparmio di Ferrara, detailed under "business combinations":
- 368,000 shares of Immobiliare Oasi nel Parco for € 8,588 thousand;
- 3,529,683 shares of Banca Farnese in liquidation for € 21,865 thousand,
- 385,000 shares of Carife SIM for € 1,644 thousand,
- 50,070,000 shares of Carife Servizi Informativi Integrati for € 47,631 thousand,
- 385,000 shares of Carife SIM, subsequently absorbed by Optima SIM, for € 681 thousand.

"Other increases" (caption B.4) refer to:
- waiver of interest receivable due to BPER Banca by Italiana Valorizzazioni Immobiliari s.r.l. (€ 251 thousand);
- waiver of repayment of the shareholders' loan owed by Atrikè s.r.l. to BPER (€ 20 thousand);
- gain on the sale of 25,000 shares of Sintesi 2000 (€ 43 thousand).

Decreases due to sales (caption B.1) relate to:
- sale of 15,184,509 shares of Banca della Nuova Terra (€ 7,372 thousand);
- sale of 25,000 shares of Sintesi 2000 (€ 75 thousand);

"Adjustments" (caption C.2.) refer to:
- impairment made to the holding in Italiana Valorizzazione Immobili s.r.l. (€ 493 thousand);
- impairment made to the holding in Nadia s.p.a. (€ 5,062 thousand);
- impairment made to the holding in Polo Campania s.r.l. (€ 1,065 thousand);
- impairment made to the holding in Atrikè s.p.a. (€ 20 thousand).

"Decreases" (caption C.3) refer to:
- loss on the sale of 15,184,509 shares of Banca della Nuova Terra (€ 281 thousand).

Section 11 - Property, plant and equipment Caption 110

11.1 Property, plant and equipment used for business purposes: breakdown of assets valued at cost

Description/Amounts	31.12.2017	31.12.2016
1. Assets owned	**370,728**	**352,210**
a) land	89,829	86,199
b) buildings	228,947	223,334
c) furniture	20,960	18,486
d) electronic systems	8,732	8,901
e) other	22,260	15,290
2. Assets purchased under finance leases	**2,287**	**2,383**
a) land	-	-
b) buildings	2,287	2,383
c) furniture	-	-
d) electronic systems	-	-
e) other	-	-
Total	**373,015**	**354,593**

11.2 Investment property: breakdown of assets valued at cost

Description/Amounts	Total 31.12.2017				Total 31.12.2016			
	Book value	Fair value			Book value	Fair value		
		L1	L2	L3		L1	L2	L3
1. Assets owned	87,040	-	-	91,724	72,122	-	-	79,376
a) land	25,635	-	-	18,913	25,580	-	-	27,214
b) buildings	61,405	-	-	72,811	46,542	-	-	52,162
2. Assets purchased under finance leases	-	-	-	-	-	-	-	-
a) land	-	-	-	-	-	-	-	-
b) buildings	-	-	-	-	-	-	-	-
Total	87,040	-	-	91,724	72,122	-	-	79,376

The Bank has opted to measure both assets used in the business and investment property at cost.
An explanation of the fair value hierarchy used for classification has been given in Part A.2 of these notes in Chapter 21 "Techniques for the determination of fair value".

11.5 Property, plant and equipment used in business: changes in the period

	Land	Buildings	Furniture	Electronic systems	Other	Total
A. Opening gross amount	**86,199**	**343,456**	**120,133**	**77,209**	**158,502**	**785,499**
A.1 Total net write-downs	-	117,739	101,647	68,308	143,212	430,906
A.2 Opening net amount	**86,199**	**225,717**	**18,486**	**8,901**	**15,290**	**354,593**
B. Increases	**3,997**	**17,942**	**4,991**	**2,770**	**13,023**	**42,723**
B.1 Purchases	3,669	8,611	4,775	2,681	12,234	31,970
- of which business combinations	3,669	8,600	3,453	92	1,432	17,246
B.2 Capitalised improvement expenditure	-	3,383	-	-	-	3,383
B.3 Write-backs	-	-	-	-	-	-
B.4 Positive changes in fair value posted to:	-	-	-	-	-	-
a) shareholders' equity	-	-	-	-	-	-
b) income statement	-	-	-	-	-	-
B.5 Positive exchange rate adjustments	-	-	-	-	-	-
B.6 Transfer from properties held for investment	312	1,853	-	-	-	2,165
B.7 Other changes	16	4,095	216	89	789	5,205
C. Decreases	**367**	**12,425**	**2,517**	**2,939**	**6,053**	**24,301**
C.1 Sales	-	-	2	-	64	66
C.2 Depreciation	-	9,970	2,273	2,849	4,705	19,797
C.3 Impairment charges posted to:	-	585	-	-	-	585
a) shareholders' equity	-	-	-	-	-	-
b) income statement	-	585	-	-	-	585
C.4 Negative changes in fair value posted to:	-	-	-	-	-	-
a) shareholders' equity	-	-	-	-	-	-
b) income statement	-	-	-	-	-	-
C.5 Negative exchange rate adjustments	-	-	-	-	-	-
C.6 Trasfer to:	367	1,854	-	-	-	2,221
a) property, plant and equipment held for investment	367	1,854	-	-	-	2,221
b) non-current assets held for sale	-	-	-	-	-	-
C.7 Other changes	-	16	242	90	1,284	1,632
D. Closing net balance	**89,829**	**231,234**	**20,960**	**8,732**	**22,260**	**373,015**
D.1 Total net write-downs	-	131,955	124,576	72,954	182,652	512,137
D.2 Closing gross amount	**89,829**	**363,189**	**145,536**	**81,686**	**204,912**	**885,152**

The determination of the fair value of property, held for whatever purpose, which is also useful to highlight any need for impairment, is usually done based on generally accepted valuation methods and principles. At 31 December 2017, the valuation of the Bank's entire property portfolio was subjected to review by an independent expert. Based on the valuation submitted to us on completion of the above review, it was deemed appropriate to write down the carrying amount of the various properties with the recognition of an impairment loss of € 585 thousand.

11.6 Investment property: changes in the period

	31.12.2017	
	Land	Buildings
A. Opening net amount	**25,580**	**46,542**
B. Increases	**367**	**22,743**
B.1 Purchases	-	19,852
- of which business combinations	-	19,852
B.2 Capitalised improvement expenditure	-	-
B.3 Positive changes in fair value	-	-
B.4 Write-backs	-	-
B.5 Exchange gains	-	-
B.6 Transfers from assets used in business	367	1,854
B.7 Other changes	-	1,037
C. Decreases	**312**	**7,880**
C.1 Sales	-	1,404
C.2 Depreciation	-	1,039
C.3 Negative changes in fair value	-	-
C.4 Impairment changes	-	1,928
C.5 Exchange losses	-	-
C.6 Transfers to other asset portfolios:	312	1,853
a) property used in business	312	1,853
b) non-current assets held for sale	-	-
C.7 Other changes	-	1,656
D. Closing net balance	**25,635**	**61,405**
E. Measured at fair value	**18,913**	**72,811**

As a result of the updated valuation of the property portfolio at fair value, as mentioned previously, it was found necessary, in accordance with IAS 36, to write down the carrying amount of five properties, recording an impairment loss of € 1,928 thousand.

Useful life of the main fixed asset categories

Category	Useful life
Land	not depreciated
Property	based on the useful lives identified from specific appraisals
Office furniture and machines	100 months
Furnishings	80 months
Lifting equipment	160 months
Motor vehicles	48 months
Alarm systems	40 months
IT hardware	60 months

Depreciation is calculated with reference to the estimated useful lives of the assets concerned, commencing from when they enter into service.

Section 12 - Intangible assets Caption 120

12.1 Intangible assets: breakdown by type

Description/Amounts	31.12.2017		31.12.2016	
	Limited duration	Unlimited duration	Limited duration	Unlimited duration
A.1 Goodwill	**#**	**280,236**	**#**	**280,236**
A.2 Other intangible assets	**14,800**	**-**	**16,687**	**-**
A.2.1 Carried at cost:	14,800	-	16,687	-
a) Intangible assets generated internally	-	-	-	-
b) Other assets	14,800	-	16,687	-
A.2.2 Carried at fair value:	-	-	-	-
a) Intangible assets generated internally	-	-	-	-
b) Other assets	-	-	-	-
Total	**14,800**	**280,236**	**16,687**	**280,236**

"Other intangible assets" include € 12,000 thousands representing the value of the client relationships identified on final allocation of the purchase price paid for the former Unicredit branches in 2008, the useful life of which is estimated as 18 years.
The remaining "Other intangible assets" comprise software which is amortised on a straight-line basis over a period that depends on its degree of obsolescence; in any case, this period does not exceed five years.

BPER Banca's items of goodwill recorded in the financial statements are summarised in the following table:

Goodwill	31.12.2017	31.12.2016
- Purchase of UNICREDIT branches	83,650	83,650
- Meliorbanca s.p.a.	104,685	104,685
- Banca CRV - Cassa di Risparmio di Vignola s.p.a.	2,272	2,272
- Banca Popolare di Lanciano e Sulmona s.p.a.	1,655	1,655
- Banca Popolare di Aprilia s.p.a.	10,151	10,151
- CARISPAQ - Cassa di Risparmio della Provincia dell'Aquila s.p.a.	13,477	13,477
- Banca Popolare di Ravenna s.p.a.	6,876	6,876
- Banca Popolare del Mezzogiorno s.p.a.	6,124	6,124
- Banca della Campania s.p.a.	51,346	51,346
Total	**280,236**	**280,236**

The detailed figures represent a purely historical and accounting situation, in any case combined in the only identifiable CGU represented by the Legal Entity BPER Banca.

Goodwill impairment test

In recent years, BPER Banca has been subject to a series of internal reorganisation transactions, including the merger of a number of subsidiary banks (specifically, Banca Popolare di Lanciano e Sulmona s.p.a., Banca Popolare di Aprilia s.p.a., CARISPAQ – Cassa di Risparmio della Provincia dell'Aquila s.p.a, Banca Popolare di Ravenna s.p.a., Banca della Campania s.p.a., Banca Popolare del Mezzogiorno s.p.a. and Meliorbanca s.p.a.) that did not result in changes in the amounts of goodwill, but simply a different allocation of their value to the Cash Generating Units (CGUs).
The characteristics of the individual business units merged, which were fully absorbed by BPER Banca's organisation and its structure, in terms of both the commercial network and risk management, led to the identification of the Bank as a whole as the CGU, representing the lowest level at which Management checks the profitability of an investment. In addition, planning processes and reporting systems are managed at the level of the individual legal entity.
Goodwill recorded in the Bank's assets for a total of Euro 280.2 million is therefore verified on the basis of cash flows potentially distributable by the Bank as a whole. Accordingly, even the goodwill that was previously verified at individual entity level is now verified with reference to the Bank as a whole.
On account of the fact that intangible assets with an indefinite useful life recognised in the separate financial statements coincide in substance with the same assets recognised in the consolidated financial statements of the BPER Banca CGU, the analysis performed and the results of impairment tests conducted for the preparation of the consolidated financial statements were also considered valid for the separate financial statements.
Details of the criteria used for the calculation of the recoverable amounts of CGUs, of the assumptions underlying the valuation models used and of sensitivity analysis are provided in "Section 13 Intangible assets" of the Consolidated explanatory notes.
The analysis did not indicate any need to recognise an impairment loss pertaining to goodwill recorded in the separate financial statements.

12.2 Intangible assets: changes in the period

	Goodwill	Other intangible assets: generated internally		Other intangible assets: others		Total
		Lim.	Unilm.	Lim.	Unilm.	
A. Opening balance	**280,236**	**-**	**-**	**34,040**	**-**	**314,276**
A.1 Total net write-downs	-	-	-	17,353	-	17,353
A.2 Opening net amount	**280,236**	**-**	**-**	**16,687**	**-**	**296,923**
B. Increases	**-**	**-**	**-**	**750**	**-**	**750**
B.1 Purchases	-	-	-	731	-	731
- of which business combinations	-	-	-	150	-	150
B.2 Increases in intangible assets generated internally	#	-	-	-	-	-
B.3 Write-backs	#	-	-	-	-	-
B.4 Positive changes in fair value	-	-	-	-	-	-
- posted to shareholders' equity	#	-	-	-	-	-
- posted to income statement	#	-	-	-	-	-
B.5 Exchange gains	-	-	-	-	-	-
B.6 Other changes	-	-	-	19	-	19
C. Decreases	**-**	**-**	**-**	**2,637**	**-**	**2,637**
C.1 Sales	-	-	-	-	-	-
C.2 Adjustments	-	-	-	2,616	-	2,616
- Amortisation	#	-	-	2,616	-	2,616
- Write-downs	-	-	-	-	-	-
+ shareholders' equity	#	-	-	-	-	-
+ income statement	-	-	-	-	-	-
C.3 Negative changes in fair value	#	-	-	-	-	-
- posted to shareholders' equity	#	-	-	-	-	-
- posted to income statement	#	-	-	-	-	-
C.4 Transfers to discontinued operations due for disposal	-	-	-	-	-	-
C.5 Exchange losses	-	-	-	-	-	-
C.6 Other changes	-	-	-	21	-	21
D. Closing net balance	**280,236**	**-**	**-**	**14,800**	**-**	**295,036**
D.1 Total net value adjustments	-	-	-	19,969	-	19,969
E. Closing gross amount	**280,236**	**-**	**-**	**34,769**	**-**	**315,005**

All intangible assets are stated at cost.

Key:

Fin.= defined duration
Indef.= indefined duration

Section 13 - Tax assets and liabilities Asset caption 130 and liability caption 80

13.1 Deferred tax assets: breakdown

	IRES	IRAP	Total
Adjustments to loans to customers	550,007	49,826	599,833
Write-downs of equity investments and securities	16,250	9,791	26,041
Goodwill	134,518	27,246	161,764
Personnel provisions	52,198	4,202	56,400
Endorsement credits, revocatory action during bankruptcy proceedings and outstanding lawsuits	56,116	4,093	60,209
Depreciation of property, plant and equipment and amortisation of intangible assets	17,488	1,668	19,156
Tax losses	56,089	-	56,089
Other deferred tax assets	35,434	1,503	36,937
Total	**918,100**	**98,329**	**1,016,429**

The total includes tax assets under Law 214/2011 for an amount of € 817,687 thousand.
The other deferred tax assets deriving from temporary differences, amounting to € 198.7 million, have been recognised based on the expectation of adequate profits in the future.
At 31.12.2017, tax losses amounted to € 612.8 million (mainly relating to the business combination reported in section "Significant events and strategic transactions" in the Directors' Report on Group Operations) on which deferred tax assets have not been recognised; to assess the possibility of recognising deferred tax assets, it would be best to wait for the new business plan, scheduled for 2018, and the effects of the transition to IFRS 9.

13.2 Deferred tax liabilities: breakdown

	IRES	IRAP	Total
Goodwill	12,955	2,624	15,579
Payroll	1,518	-	1,518
Depreciation of property, plant and equipment and amortisation of intangible assets	1,996	330	2,326
Gains from the sale of shares and bonds	41,639	10,918	52,557
Equity investments	245	-	245
Other deferred tax liabilities	849	935	1,784
Total	**59,202**	**14,807**	**74,009**

"Advanced tax assets" and "Deferred tax liabilities" are determined on the basis of IRES and IRAP tax rates which are expected to be in force at the time of their recovery.

13.3 Changes in deferred tax assets (with contra-entry to income statement)

	31.12.2017	31.12.2016
1. Opening balance	**976,411**	**961,134**
2. Increases	**221,525**	**83,066**
2.1 Deferred tax assets arising during the year	79,711	83,066
a) relating to prior years	-	-
b) due to changes in accounting policies	-	-
c) write-backs	-	-
d) other	79,711	83,066
2.2 New taxes or increases in tax rates	-	-
2.3 Other increases	141,814	-
of which: business combinations	141,814	-
3. Decreases	**228,580**	**67,789**
3.1 Deferred tax assets derecognised during the year	96,066	67,789
a) reversals	96,066	67,789
b) written down as no longer recoverable	-	-
c) due to changes in accounting policies	-	-
d) other	-	-
3.2 Reduction in tax rates	-	-
3.3 Other decrease:	132,514	-
a) transformation of tax credits referred as per L. 214/2011	132,514	-
b) other	-	-
4. Closing balance	**969,356**	**976,411**

Caption 2.1 d) "Increases - other" mainly consists of deferred tax assets relating to tax losses convertible into tax credits of € 56,089 thousands and to an ACE carry forward of € 7,037 thousand; of provisions for legal disputes, € 5,060 thousand; of payroll accruals of € 6,505 thousand; adjustments to property of € 932 thousand.
Caption 2.3 "Other increases" refers entirely to the business combination reported in paragraph "Significant events and strategic transactions".

13.3.1 Changes in deferred tax assets as per Law 214/2011 (with contra-entry to the income statement)

	31.12.2017	31.12.2016
1. Opening balance	**859,979**	**862,146**
2. Increases	**152,003**	**38,943**
3. Decreases	**194,295**	**41,110**
3.1 Reversals	61,781	41,110
3.2 Transformations into tax credits	132,514	-
a) arising from losses	93,571	-
b) arising from tax losses	38,943	-
3.3 Other decreases	-	-
4. Closing balance	**817,687**	**859,979**

The transformation mentioned in point 3.2.a) was made in light of the provisions of Decree Law no. 225/2010, converted with amendments into Law 10/2011. In particular, article 2, paragraphs 55-56, provides that in the event of a loss for the year, deferred tax assets recorded in the financial statements relating to adjustments to loans as well as those relating to goodwill and other intangible assets (DTA) are transformed into a tax credit. The transformation runs since the date of approval of the financial statements and takes place for an amount equal to the loss for the year multiplied by the ratio between the DTA and net equity before the loss for the year. With effect from the tax period of transformation, negative components corresponding to the DTA transformed into tax credits are not deductible.
Law 214/2011 also introduced the possibility to transform into tax credits any DTAs recognised in the financial statements for the part of IRES tax losses arising from deduction of temporary differences relating to adjustments to loans and goodwill.
Subsequently, Law 214/2013 (Stability Law 2014) extended the conversion of IRAP DTAs relating to the impairment of loans, the value of goodwill and other intangible assets, also in the case of "negative net value of production".
The increases referred to in paragraph 2 above relate to deferred tax assets on tax losses convertible into tax credits in accordance with the rules mentioned above (of which 93.6 million relating to the business combination reported in paragraph "Significant events and strategic transactions").
These rules therefore ensure the recovery of the DTAs in the case of a loss in the statutory accounts, even if a tax loss is recorded, explaining the reasons that justify full recognition in assets of € 817.7 million of deferred tax assets.

13.4 Changes in deferred tax liabilities (with contra-entry to income statement)

	31.12.2017	31.12.2016
1. Opening balance	**19,766**	**17,457**
2. Increases	**5,172**	**3,509**
2.1 Deferred tax liabilities arising during the year	1,859	3,509
a) relating to prior years	-	-
b) due to change in accounting policies	-	-
c) other	1,859	3,509
2.2 New taxes or increases in tax rates	-	-
2.3 Other increases	3,313	-
of which: business combinations	3,313	-
3. Decreases	**4,478**	**1,200**
3.1 Deferred tax liabilities derecognised during the year	4,478	1,200
a) reversals	4,478	1,200
b) due to change in accounting policies	-	-
c) other	-	-
3.2 Reduction in tax rates	-	-
3.3 Other decreases	-	-
4. Closing balance	**20,460**	**19,766**

The amount recorded under caption 2.3 "Other increases" refers to the business combination reported in paragraph "Significant events and strategic transactions".

13.5 Changes in deferred tax assets (with contra-entry to shareholders' equity)

	31.12.2017	31.12.2016
1. Opening balance	**55,109**	**38,371**
2. Increases	**3,742**	**24,968**
2.1 Deferred tax assets recognised during the year	2,882	24,968
a) relating to prior years	-	-
b) due to changes in accounting policies	-	-
c) other	2,882	24,968
2.2 New taxes or increases in tax rates	-	-
2.3 Other increases	860	-
of wich: business combinations	860	-
3. Decreases	**11,778**	**8,230**
3.1 Deferred tax assets cancelled during the year	11,778	8,230
a) reversals	11,778	8,230
b) written down as no longer recoverable	-	-
c) due to changes in accounting policies	-	-
d) other	-	-
3.2 Reduction in tax rates	-	-
3.3 Other decreases	-	-
4. Closing balance	**47,073**	**55,109**

The amount recorded under caption 2.3 "Other increases" refers to the business combination reported in paragraph "Significant events and strategic transactions" of the Directors' Report on Group operations.

13.6 Changes in deferred tax liabilities (with contra-entry to shareholders' equity)

	31.12.2017	31.12.2016
1. Opening balance	**43,467**	**53,335**
2. Increases	**25,913**	**16,561**
2.1 Deferred tax liabilities recognised during the year	25,701	16,561
a) relating to prior years	-	-
b) due to change in accounting policies	-	-
c) other	25,701	16,561
2.2 New taxes or increase in tax rates	-	-
2.3 Other increases	212	-
- of wich buisiness combinations	212	-
3. Decreases	**15,831**	**26,429**
3.1 Deferred tax liabilities cancelled during the year	15,831	26,429
a) reversals	15,831	26,429
b) due to change in accounting policies	-	-
c) other	-	-
3.2 Reduction in tax rates	-	-
3.3 Other decreases	-	-
4. Closing balance	**53,549**	**43,467**

The amount shown under "Deferred tax liabilities recognised during the year - other" (2.1 - c) refers mainly to deferred taxes on unrealised capital gains on financial instruments.
The amount recorded under caption 2.3 "Other increases" refers to the business combination reported in paragraph "Significant events and strategic transactions" of the Directors' Report on Group operations.

13.7 Other information

Current tax assets

	31.12.2017	31.12.2016
IRES provisions	1,291	39,197
IRAP provisions	-	23,815
Other assets and withholdings	555,795	139,763
Gross current tax assets	**557,086**	**202,775**
Offset current tax liabilities	1,558	458
Net current tax assets	**555,528**	**202,317**

Current tax liabilities

	31.12.2017	31.12.2016
Tax debt for IRES	295	316
Tax debt for IRAP	1,263	142
Other liabilities for tax current on the income		-
Gross current tax liabilities	**1,558**	**458**
Offset current tax assets	1,558	458
Net current tax liabilities	**-**	**-**

Changes in gross current tax liabilities

	31.12.2017	31.12.2016
Balance at the end of the prior year	**458**	**78,592**
Decreases	**21**	**78,134**
- uses for payment of income taxes	21	76,372
- uses for payment of other taxes	-	1,762
- other decreases		-
Increases	**1,121**	**-**
- provisions:		
- income taxes: parent company	1,121	-
- income taxes: members of domestic tax group	-	-
- flat-rate tax: art. 1.150 Law 147/2013	-	-
- flat-rate tax: art. 15.10 Legislative Decree 185/2008	-	-
- flat-rate tax: art. 1.48 Law 244/2007	-	-
- other increases	-	-
Total gross current tax liabilities	**1,558**	**458**

Section 14 - Non-current assets and disposal groups held for sale and associated liabilities Asset caption 140 and liability caption 90

There are no amounts to be disclosed in this section.

Section 15 - Other assets Caption 150

15.1 Other assets: breakdown

	31.12.2017	31.12.2016
Taxes withheld on interest, withholdings and tax credits on dividends, advance taxation	92,747	118,065
Sundry amounts to be charged to customers	81,882	64,186
Bank charges to be debited to customers or banks	51,681	48,848
Cheques being processed	2,538	1,021
Cheques drawn on other banks	96,107	94,693
Items relating to securities transactions	10,962	6,146
Leasehold improvement expenditure	3,590	4,978
Gold, silver and precious metals	234	234
Accrued income and prepaid expenses	9,849	9,319
Receivables from group companies	284	-
Other items for sundry purposes	117,636	28,297
Total	**467,510**	**375,787**

This caption does not include any positions classed as contingent assets as defined by applicable legislation. Positions classed as such are sufficiently covered by allocations to provisions for risks and charges.

Liabilities

Section 1 - Due to banks
Caption 10

1.1 Due to banks: breakdown by type

Type of transaction/Amounts	31.12.2017	31.12.2016
1. Due to Central Banks	**9,094,659**	**4,991,667**
2. Due to banks	**7,447,181**	**7,547,670**
2.1 Current accounts and demand deposits	2,518,918	1,411,564
2.2 Time deposits	97,385	1,118,197
2.3 Loans	4,808,525	5,012,220
2.3.1 Repurchase agreements	4,569,246	4,704,478
2.3.2 Other	239,279	307,742
2.4 Payables for commitments to repurchase own equity instruments	-	-
2.5 Other payables	22,353	5,689
Total	**16,541,840**	**12,539,337**
Fair value - level 1	-	-
Fair value - level 2	-	-
Fair value - level 3	16,541,840	12,539,337
Total fair value	**16,541,840**	**12,539,337**

The net interbank position is negative for € 12,632 million. The Directors' Report on Operations, chapter "Results of banking activities", provides further details on this.
An explanation of the fair value hierarchy used for classification has been given in Part A.2 of these notes in Chapter 21 "Techniques for the determination of fair value".

Section 2 - Due to customers Caption 20

2.1 Due to customers: breakdown by sector

Type of transaction/Amounts	31.12.2017	31.12.2016
1. Current accounts and demand deposits	26,059,789	23,311,562
2. Time deposits	1,852,364	1,634,948
3. Loans	1,978,922	1,976,476
3.1 repurchase agreements	3,506	110,577
3.2 other	1,975,416	1,865,899
4. Payables for commitments to repurchase own equity instruments	-	-
5. Other payables	495,636	460,771
Total	**30,386,711**	**27,383,757**
Fair value - level 1	-	-
Fair value - level 2	-	-
Fair value - level 3	30,386,711	27,383,757
Total fair value	**30,386,711**	**27,383,757**

An explanation of the fair value hierarchy used for classification has been given in Part A.2 of these notes in Chapter 21 "Techniques for the determination of fair value".

2.5 Finance lease payables

	31.12.2017	31.12.2016
Finance lease payable	-	853

Section 3 - Debt securities in issue
Caption 30

3.1 Debt securities in issue: breakdown by sector

Type of security/Amounts	31.12.2017				31.12.2016			
	Book value	Fair value			Book value	Fair value		
		Level 1	Level 2	Level 3		Level 1	Level 2	Level 3
A. Securities								
1. Bonds	4,588,698	3,106,380	1,704,115	-	4,908,130	2,611,580	2,381,769	-
1.1 structured	-	-	-	-	-	-	-	-
1.2 other	4,588,698	3,106,380	1,704,115	-	4,908,130	2,611,580	2,381,769	-
2. Other securities	1,861,594	-	70,425	1,791,823	2,300,042	-	93,075	2,208,145
2.1 structured	69,771	-	70,425	-	91,897	-	93,075	-
2.2 other	1,791,823	-	-	1,791,823	2,208,145	-	-	2,208,145
Total	**6,450,292**	**3,106,380**	**1,774,540**	**1,791,823**	**7,208,172**	**2,611,580**	**2,474,844**	**2,208,145**

In the "Level 3" column of point 2.2, the fair value is assumed to be the same as the book value as these are short-term transactions.
Bonds include subordinated bonds issued by the Bank for a total of € 810,560 thousand, as analysed in table 3.2 below, none of which is convertible.
An explanation of the fair value hierarchy used for classification has been given in Part A.2 of these notes in Chapter 21 "Techniques for the determination of fair value".

3.2 Analysis of caption 30 "Debt securities in issue": subordinated securities

	Book value 31.12.2017	Nominal value 31.12.2017	Book value 31.12.2016	Nominal value 31.12.2016
EMTN B.P.E.R. subordinated non-convertible bond floating rate 3-month Euribor +95 bps, 2007-2017	-	-	159,018	158,893
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.75%, 2012-2018	23,586	23,590	47,162	47,179
Lower Tier II B.P.E.R. subordinated non-convertible bond 5.81%, 2013-2020	7,539	7,167	10,052	9,556
Tier II B.P.E.R. subordinated non-convertible bond 4.25%, 2015-2025 callable	225,286	224,855	225,293	224,855
Tier II B.P.E.R. subordinated non-convertible bond 4.60%, 2016-2026 callable	12,024	12,000	12,024	12,000
EMTN B.P.E.R. subordinated non-convertible bond 5.125%, 2017-2027 callable	512,950	500,000	-	-
Lower Tier II CARISPAQ subordinated non-convertible bond floating rate, 2010-2020	4,268	4,250	4,269	4,250
Total non-convertible bonds	**785,653**	**771,862**	**457,818**	**456,733**
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.75%, 2012-2018	24,907	23,786	25,270	23,589
Total expired non convertible bonds (*)	**24,907**	**23,786**	**25,270**	**23,589**
Total bonds	**810,560**	**795,648**	**483,088**	**480,322**

(*) Tranche of loans maturing 31 December 2017 for which accounting settlement was received by the custodian bank on 2 January 2018.
There are no convertible subordinated loans outstanding at 31 December 2017.

3.3 Analysis on caption 30 "Debt securities in issue": micro-hedged securities

	31.12.2017	31.12.2016
1. Payables with fair value micro-hedge	**1,668,228**	**1,835,745**
a) interest rate risk	1,668,228	1,835,745
b) foreign exchange risk	-	-
c) multiple risks	-	-
2. Payables with cash flow micro-hedge	**-**	**-**
a) interest rate risk	-	-
b) foreign exchange risk	-	-
c) multiple risks	-	-
Total	**1,668,228**	**1,835,745**

Section 4 - Financial liabilities held for trading Caption 40

4.1 Financial liabilities held for trading: breakdown by sector

Type of transaction/Amounts	31.12.2017					31.12.2016				
	NV	FV			FV*	NV	FV			FV*
		L1	L2	L3			L1	L2	L3	
A. Cash liabilities										
1. Due to banks	50	71	-	-	71	-	-	-	-	-
2. Due to customers	507	478	6	-	484	1,600	1,785	-	-	1,785
3. Debt securities	-	-	-	-	-	-	-	-	-	-
3.1 Bonds	-	-	-	-	-	-	-	-	-	-
3.1.1 Structured	-	-	-	-	#	-	-	-	-	#
3.1.2 Other bonds	-	-	-	-	#	-	-	-	-	#
3.2 Other securities	-	-	-	-	-	-	-	-	-	-
3.2.1 Structured	-	-	-	-	#	-	-	-	-	#
3.2.2 Other	-	-	-	-	#	-	-	-	-	#
Total A	**557**	**549**	**6**	**-**	**555**	**1,600**	**1,785**	**-**	**-**	**1,785**
B. Derivatives										
1. Financial derivatives	-	847	155,542	16,490	-	-	1,506	208,805	20,002	-
1.1 For trading	#	847	151,920	16,490	#	#	1,506	202,771	20,002	#
1.2 Connected with the fair value option	#	-	-	-	#	#	-	-	-	#
1.3 Other	#	-	3,622	-	#	#	-	6,034	-	#
2. Credit derivatives	-	-	-	-	-	-	-	-	-	-
2.1 For trading	#	-	-	-	#	#	-	-	-	#
2.2 Connected with the fair value option	#	-	-	-	#	#	-	-	-	#
2.3 Other	#	-	-	-	#	#	-	-	-	#
Total B	**#**	**847**	**155,542**	**16,490**	**#**	**#**	**1,506**	**208,805**	**20,002**	**#**
Total (A+B)	**#**	**1,396**	**155,548**	**16,490**	**#**	**#**	**3,291**	**208,805**	**20,002**	**#**

The caption "cash liabilities" concerns the balance of "technical shorts" generated by capital market transactions.
An explanation of the fair value hierarchy used for classification has been given in Part A.2 of these notes in Chapter 21 "Techniques for the determination of fair value".

Key:

FV = fair value
FV = fair value excluding variations due to changes in the creditworthiness of the issuer since the issue date*
NV = nominal or notional value
L1 = Level 1
L2 = Level 2
L3 = Level 3

Section 5 - Financial liabilities designated at fair value Caption 50

5.1 Financial liabilities designated at fair value: breakdown by sector

Type of security/Amounts	31.12.2017					31.12.2016				
	NV	FV			FV*	NV	FV			FV*
		L1	L2	L3			L1	L2	L3	
1. Due to banks	-	-	-	-	-	-	-	-	-	-
1.1 Structured	-	-	-	-	#	-	-	-	-	#
1.2 Other	-	-	-	-	#	-	-	-	-	#
2. Due to customers	-	-	-	-	-	-	-	-	-	-
2.1 Structured	-	-	-	-	#	-	-	-	-	#
2.2 Other	-	-	-	-	#	-	-	-	-	#
3. Debt securities	**47,705**	-	**48,320**	-	**49,362**	**245,240**	-	**247,933**	-	**251,130**
3.1 Structured	-	-	-	-	#	-	-	-	-	#
3.2 Other	47,705	-	48,320	-	#	245,240	-	247,933	-	#
Total	**47,705**	-	**48,320**	-	**49,362**	**245,240**	-	**247,933**	-	**251,130**

The cumulative change in fair value attributable to the change in credit risk amounts to € 1,042 thousand; this change had a negative effect during the year of € 325 thousand.
"Debt securities" include subordinated bonds of the Bank for a total of € 14,461 thousand, none of which are convertible into shares.
An explanation of the fair value hierarchy used for classification has been given in Part A.2 of these notes in Chapter 21 "Techniques for the determination of fair value".

Key:

FV = fair value
FV = fair value excluding variations due to changes in the creditworthiness of the issuer since the issue date*
NV = nominal value
L1 = Level 1
L2 = Level 2
L3 = Level 3

Financial liabilities designated at fair value: use of the fair value option

Description/Amounts	31.12.2017		
	Due to banks	Due to customers	Debt securities
a) Natural hedges using derivatives	-	-	48,320
b) Natural hedges using other financial instruments	-	-	-
c) Other cases of accounting mismatches	-	-	-
d) Financial instruments managed and measured at fair value	-	-	-
e) Structured products with embedded derivatives	-	-	-
Total	-	-	**48,320**

5.2 Analysis of caption 50 "Financial liabilities designated at fair value": subordinated securities

	Book value 31.12.2017	Nominal value 31.12.2017	Book value 31.12.2016	Nominal value 31.12.2016
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.35%, 2010-2017	-	-	3,708	3,600
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.94%, 2010-2017	-	-	10,514	10,200
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.75%, 2011-2017	-	-	141,196	139,104
Total non-convertible bonds	**-**	**-**	**155,418**	**152,904**
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.35%, 2010-2017	3,757	3,600	3,913	3,600
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.94%, 2010-2017	10,704	10,200	11,208	10,200
Total expired non convertible bonds (*)	**14,461**	**13,800**	**15,121**	**13,800**
Total bonds	**14,461**	**13,800**	**170,539**	**166,704**

(*) Instalments of loans with maturity 31 December 2017 for which accounting settlement was received by the custodian bank on 2 January 2018.
There are no convertible subordinated loans outstanding at 31 December 2017.

Section 6 - Hedging derivatives Caption 60

6.1 Hedging derivatives: breakdown by type of hedging and by levels

	Fair value 31.12.2017			NV	Fair value 31.12.2016			NV
	L1	L2	L3		L1	L2	L3	
A. Financial derivatives	**-**	**21,176**	**-**	**2,288,914**	**-**	**36,860**	**-**	**1,735,300**
1) Fair value	-	13,749	-	2,198,914	-	13,406	-	1,505,300
2) Cash flows	-	7,427	-	90,000	-	23,454	-	230,000
3) Foreign investments	-	-	-	-	-	-	-	-
B. Credit derivatives	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
1) Fair value	-	-	-	-	-	-	-	-
2) Cash flows	-	-	-	-	-	-	-	-
Total	**-**	**21,176**	**-**	**2,288,914**	**-**	**36,860**	**-**	**1,735,300**

The cash flow hedge agreements have the following expiry dates: notional value of € 50 million in 2021, € 15 million in 2022 and € 25 million in 2023.
The related cash flows will impact the income statement up to the relevant expiration dates.
An explanation of the fair value hierarchy used for classification has been given in Part A.2 of these notes in Chapter 21 "Techniques for the determination of fair value".

Key:

NV = Notional value
L1 = Level 1
L2 = Level 2
L3 = Level 3

6.2 Hedging derivatives: analysis by hedged portfolio and type of hedge

Operation/Type of hedge	Fair value						Cash flows		
	Specific								
	Interest Rate risk	Exchange risk	Credit risk	Price risk	Multiple risks	General	Specific	General	Foreing Investments
1. Financial assets available for sale	13,749	-	-	-	-	#	7,427	#	#
2. Loans	-	-	-	#	-	#	-	#	#
3. Financial assets held to maturity	#	-	-	#	-	#	-	#	#
4. Portfolio	#	#	#	#	#	-	#	-	#
5. Other operations	-	-	-	-	-	#	-	#	-
Total assets	**13,749**	**-**	**-**	**-**	**-**	**-**	**7,427**	**-**	**-**
1. Financial liabilities	-	-	-	#	-	#	-	#	#
2. Portfolio	#	#	#	#	#	-	#	-	#
Total liabilities	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
1. Expected transactions	#	#	#	#	#	#	-	#	#
2. Portfolio of financial assets and liabilities	#	#	#	#	#	-	#	-	-

Section 7 - Remeasurement of financial liabilities backed by general hedges
Caption 70

There are no amounts to be disclosed in this section.

Section 8 - Tax liabilities
Caption 80

See asset section 13.

Section 9 - Liabilities associated with non-current assets held for sale
Caption 90

See asset section 14.

Section 10 - Other liabilities Caption 100

10.1 Other liabilities: breakdown

	31.12.2017	31.12.2016
Amounts due to banks	22,927	6,566
Amounts due to customers	594,583	463,756
Net adjustments on collection of receivables for third parties	26,322	12,439
Staff emoluments and related social contributions	23,605	16,232
Amounts due to third parties for coupons, securities and dividends to be collected	33,013	52,311
Amounts due to the tax authorities on behalf of customers and personnel	87,994	77,897
Bank transfers for clearance	9,088	3,277
Advances for the purchase of securities	40	16
Due to suppliers	63,233	57,041
Third-part payments as surety for loans	119	110
Provisions for guarantees given	71,783	56,080
Accrued expenses and deferred income	10,721	10,321
Payables due to members of the tax group	10,775	31,407
Other liabilities to third parties	165,132	103,643
Total	**1,119,335**	**891,096**

Starting from 2007, the Bank, as Parent Company, has elected to establish a domestic tax group, as described further in Part A of these explanatory notes. The caption "Due to members of the domestic tax group" is the contra-entry for the amount included in "Current tax assets" made up of the positive net balance of the tax credits for IRES advances paid, other tax credits for taxes paid and withholdings incurred, and the IRES tax liability for the domestic tax group member companies that have transferred these amounts to the consolidating Parent Company.

Section 11 - Provision for termination indemnities Caption 110

11.1 Provision for termination indemnities: change in the year

	31.12.2017	31.12.2016
A. Opening balance	**122,008**	**120,872**
B. Increases	**16,784**	**5,041**
B.1 Provisions	705	1,337
B.2 Other increases	16,079	3,704
of which: business combinations	14,271	-
C. Decreases	**22,122**	**3,905**
C.1 Payments made	22,122	3,905
C.2 Other decreases	-	-
D. Closing balance	**116,670**	**122,008**
Total	**116,670**	**122,008**

Note that the caption "Other increases" (B.2) includes actuarial losses (€ 1,807 thousand), in addition to the liability acquired with the absorption of Nuova Carife (€ 14,271 thousand), shown on the line "of which business combinations".

11.2 Other information

The following tables detail the changes in the provision for termination indemnities, as well as the principal demographic and financial assumptions made in order to quantify the provision using the Projected Unit Credit Method (pursuant to IAS 19 Revised, § 65-67); lastly, table 11.2.3 presents the comparative information required by law.

11.2.1 Changes in termination indemnities during the year

Description/Amounts	31.12.2017	31.12.2016
A. Opening balance	**122,008**	**120,872**
B. Increases	**16,784**	**5,041**
1. Pension cost relating to current work	-	-
2. Financial charges	705	1,337
3. Contribution to the plan by employees	-	-
4. Actuarial losses	1,807	3,634
5. Translation differences	-	-
6. Pension cost of prior work	-	-
7. Other changes	14,272	70
C. Decreases	**22,122**	**3,905**
1. Benefits paid	22,122	3,905
2. Pension cost of prior work	-	-
3. Actuarial gains	-	-
4. Translation differences	-	-
5. Reductions	-	-
6. Positions closed	-	-
7. Other changes	-	-
D. Closing balance	**116,670**	**122,008**

11.2.2 Description of the principal actuarial assumptions of termination indemnities

Principal actuarial assumptions/%	31.12.2017	31.12.2016
Discount rates	0.60%	0.52%
Expected increase in remuneration	n/a	n/a
Turnover	1.99%	3.51%
Inflation rate	1.50%	1.40%
Interest rate adopted for the calculation of interest cost	0.52%	1.12%

In addition to the average data included in the table, the approach taken to identify the principal actuarial assumptions is described below:

- Discount rates: the curve of "Euro Composite AA" rates for prime corporate bonds listed in the Euro market on the measurement date has been used.
- Turnover: time series analysis for the period 2014-2016 of the phenomena giving rise to the terminations and adjustments to take account of any "anomalies" that occurred in the past. The assumptions made about turnover took account of grade, seniority, age and gender.
- Inflation rate: the inflationary scenario was inferred from the "Update of the Economics and Finance Document 2017", by adopting an IPCA index of 1.3% for 2018, 1.4% for 2019 and 1.5% for subsequent years;
- Net Interest Cost: it was calculated at a rate that reflected the duration of the liability.

Demographic assumptions.

With reference to the technical demographic bases, the analyses performed on the time series of the Company's staff focused on monitoring the trend in the following reasons for elimination between 2014 and 2016:

- rate of employee mortality: except for the Section B pension fund, for which use was made of table RG48 (with age shifting), the ISTAT life table of resident population was used, broken down by age and gender, updated as of 2016;
- rate of employee disability: the tables used for the INPS model to generate "Initial prospects for 2010" were used;
- frequency and amount of advances on termination indemnities: in order to take into account the effects that these advances have on the timing of severance payments and, consequently on the discounting of the Company's liability, a probability table for the release of part of the accrued volumes was created. The frequency of advance payments and the average percentage of termination indemnities requested as an advance were taken from corporate data;
- probability of retirement, resignation, dismissal: this was taken from corporate data; in particular, a table showing the propensity of departure from the Company was created, based on age and gender.

11.2.3 Comparative information: history of the plan

Description/Amounts	31.12.2017	31.12.2016	31.12.2015	31.12.2014
1. Present value of provisions (+)	116,670	122,008	120,872	135,589
2. Fair value of assets servicing the plan (-)	-	-	-	-
3. Plan (surplus) deficit (+/-)	116,670	122,008	120,872	135,589
4. Adjustments to plan liabilities based on historical experience - actuarial (gains)/losses	1,807	3,634	(6,835)	11,501
5. Adjustments to plan assets based on historical experience	-	-	-	-

The adjustments based on historical experience solely comprise actuarial gains and losses.

11.2.4 Sensitivity analysis

As required by IAS 19 Revised, we carried out a sensitivity analysis on the provision for termination indemnities with respect to the more significant actuarial assumptions to show how the liability would change in relation to possible fluctuations in each of these assumptions. The following table shows how the provision would change in the event of a 50 basis point increase or decrease in the discount and inflation rates compared with the parameters actually used.

Provision for termination indemnities	31.12.2017		+50 bps		-50 bps	
	DBO	Service Cost	DBO	Service Cost	DBO	Service Cost
Discount rates	116,670	-	112,881	-	120,686	-
Inflation rate	116,670	-	119,105	-	114,306	-

In compliance with the requirements of IAS 19 Revised with regard to additional disclosures, an estimate of future cash flows was carried out at 31 December 2017, as shown in the following table:

Provision for termination indemnities	1° year	2° year	3° year	4° year	over the 4° year
Future cash flow	11,950	10,805	10,573	10,564	80,888

Section 12 - Provisions for risks and charges Caption 120

12.1 Provisions for risks and charges: breakdown

Item/Components	31.12.2017	31.12.2016
1. Pensions and similar commitments	135,674	134,691
2. Other provisions for risk and charges	225,894	194,197
2.1 Legal disputes	115,369	106,849
2.2 Personnel expenses	70,973	73,839
2.3 Other	39,552	13,509
Total	**361,568**	**328,888**

12.2 Provisions for risks and charges: change in the year

	Pension and similar commitments	Other provisions	Total
A. Opening balance	**134,691**	**194,197**	**328,888**
B. Increases	**8,501**	**173,755**	**182,256**
B.1 Provisions	-	64,891	64,891
B.2 Changes due to the passage of time	1,319	107	1,426
B.3 Changes due to variations in the discount rate	-	314	314
B.4 Other changes	7,182	108,443	115,625
of which: business combinations	7,181	102,044	109,225
C. Decreases	**7,518**	**142,058**	**149,576**
C.1 Utilisations during the year	5,709	93,319	99,028
C.2 Changes due to variations in the discount rate	1,809	-	1,809
C.3 Other changes	-	48,739	48,739
D. Closing balance	**135,674**	**225,894**	**361,568**

Caption B.4 "other increases, of which business combinations" includes the liabilities acquired with the absorption of Nuova Carife.
The changes due to variations in the discount rate include actuarial gains and losses, considering not just interest rate movements, but also other demographic and financial factors, where applicable.
"Other decreases" (C.3) include € 23,134 thousands released from the provisions for legal disputes and bankruptcy claims recorded in prior years.

12.3 Defined-benefit pension plans

12.3.1. Features of the pension plans and related risks

The In-house supplementary pension fund is not a separate legal entity and its assets are held together with those of the Bank; it is made up entirely of Section "A", classifiable as a "defined benefit" scheme.
Under the Regulations for Section A, beneficiaries receive a supplementary pension subject to revaluation, the cost of which is borne entirely by the Bank.
This section comprises all current employees hired by the Bank prior to 28 April 1993; it also includes all retired beneficiaries, or their heirs, of supplementary pension payments deriving from earlier agreements signed by BPER Banca or by the banks absorbed by the latter over time.
The following tables report the changes in the Fund.
The actuarial gains and losses relating to Section A are recognised as an equity reserve.

The benefits provided by Section A Fund represent post-employment defined benefits, as governed by IAS 19 Revised; accordingly, the liability for these benefits is determined using the actuarial "Projected Unit Credit Method" applied in relation to termination indemnities.

The attachments to the financial statements include a "Statement of the staff pension fund", in accordance with the provisions of Bank of Italy's Circular no. 262/2005.

12.3.2. Changes in the year of net obligations (assets) under the defined benefit plan and reimbursement rights

12.3.2.1 Changes in the plans during the year: Section A Fund

Items/Values	Section A	
	31.12.2017	31.12.2016
Opening balance	**134,691**	**124,021**
A. Increases	**8,500**	**16,154**
1. Pension cost relating to current work	-	-
2. Financial charges	1,319	1,910
3. Contribution to the plan by employees	-	-
4. Actuarial losses	-	14,244
5. Translation differences	-	-
6. Pension cost of prior work	-	-
7. Other changes	7,181	-
B. Decreases	**7,517**	**5,484**
1. Benefits paid	5,708	5,484
2. Pension cost of prior work	-	-
3. Actuarial gains	1,809	-
4. Translation differences	-	-
5. Reductions	-	-
6. Positions closed	-	-
7. Other changes	-	-
Closing balance	**135,674**	**134,691**

The actuarial gains and losses relating to Section A are recognised as an equity reserve. Caption "A.7. Other changes" represents the value of the liabilities acquired from Nuova Carife at 30 June 2017.

12.3.3 Information on fair value of assets servicing the plan

As stated earlier, there are no "plan assets" that meet the requirements of IAS 19 Revised. Since there are no "plan assets" and given that the Bank recognises actuarial gains and losses in the year in which they arise, the present value of the Fund coincides with the value of the liabilities recorded in the balance sheet.

12.3.4 Description of the principal actuarial assumptions

Principal actuarial assumptions/%	31.12.2017	31.12.2016
Discount rates	1.02%	1.18%
Expected increase in remuneration	n/a	n/a
Turn Over	n/a	n/a
Inflation rate	1.50%	1.40%
Interest rate adopted for the calculation of interest cost (active employees)	1.55%	2.17%
Interest rate adopted for the calculation of interest cost (ceased and retired employees)	0.70%	1.31%

In addition to the average data included in the table, the approach taken to identify the principal actuarial assumptions is described below:

- Discount rates: the curve of "Euro Composite AA" rates for prime corporate bonds listed in the Euro market on the measurement date has been used.
- Inflation rate: the inflationary scenario was inferred from the "Update of the Economics and Finance Document 2017", by adopting an IPCA index of 1.3% for 2018, 1.4% for 2019 and 1.5% for subsequent years;
- Interest Cost: it was calculated at a rate that reflected the duration of the liability.

12.3.5 Sensitivity analysis

As required by IAS 19 Revised, we carried out a sensitivity analysis on the obligation of pension funds with respect to the more significant actuarial assumptions to show how the liability would change in relation to reasonably possible movements in each of these assumptions. The following table shows how the provision would change in the event of a 50 basis point increase or decrease in the discount rate compared with the parameters actually used.

Funds	31.12.2017		+50 bps		-50 bps	
	DBO	Service Cost	DBO	Service Cost	DBO	Service Cost
Section A Fund	135,674	-	127,090	-	145,212	-

In compliance with the requirements of IAS 19 Revised with regard to additional disclosures, an estimate of future cash flows was carried out at 31 December 2017, as shown in the following table:

Funds	1° year	2° year	3° year	4° year	over the 4° year
Section A Fund	6,407	6,256	6,102	5,948	131,230

12.3.6 Multi-employer plans

At 31 December 2017 there were no multi-employer plans in place.

12.3.7 Defined benefit plans that share risks between entities under common control

At 31 December 2017 there were no plans of this type.

12.3.8 Comparative information

Description/Amounts	Defined-benefit pension plans	Defined-benefit pension plans	Defined-benefit pension plans
	2017	2016	2015
1. Present value of provisions (+)	135,674	134,691	124,021
2. Fair value of assets servicing the plan (-)	-	-	-
3. Plan (surplus) deficit (±)	135,674	134,691	124,021
4. Adjustments to plan liabilities based on historical experience - actuarial (gains)/losses	(1,809)	14,244	(16,659)
5. Adjustments to plan assets based on historical experience	-	-	-

The adjustments based on historical experience solely comprise actuarial gains and losses.

12.4 Provisions for risks and charges - other provisions

12.4.1 Legal disputes

Description	Legal disputes
Opening balance	**106,849**
Charge for the year	28,080
Other increases	17,169
Other decreases	(23,134)
Utilisation during the year	(13,595)
Closing balance	**115,369**

The legal disputes as of 31 December 2017 comprise court cases, € 106,976 thousand, and bankruptcy clawback actions, € 8,393 thousand.
There are no contingent liabilities for which it was not possible to record appropriate risk-related provisions in the 2017 financial statements.

Personnel charges relate to specific benefits granted to employees based on their length of service, the provisions for which are governed by IAS 19R. The changes are shown in the following table as an aid to understanding the phenomenon.

12.4.2 Personnel charges

Description/Amounts	Other personnel provisions	
	31.12.2017	31.12.2016
Opening balance	**73,839**	**80,897**
A. Increases	**79,020**	**26,692**
1. Pension cost relating to current work	18,314	25,928
2. Financial charges	107	262
3. Contribution to the plan by employees	-	-
4. Actuarial losses	350	502
5. Translation differences	-	-
6. Pension cost of prior work	-	-
7. Other changes	60,249	-
B. Decreases	**81,886**	**33,750**
1. Benefits paid	64,737	33,033
2. Pension cost of prior work	-	-
3. Actuarial gains	-	130
4. Translation differences	-	-
5. Reductions	-	-
6. Positions closed	-	-
7. Other changes	17,149	587
Closing balance	**70,973**	**73,839**

"Actuarial losses" relate to the sum of "25th year of service bonus" of € 35 thousands and the "Special termination indemnity" of € 392 thousand, net of "Actuarial gains" relating to the "Provision for additional cover on death" of € 77 thousand.
Caption "Other increases (A.7)" represents the liabilities set aside by Nuova Carife for redundancy incentives and the Solidarity Fund.
Caption "Other decreases (B.7)" includes the benefit of € 3,408 thousands provided by Law 232 of 11 December 2017 (Stability Law) for companies that have applied for membership of the Solidarity Fund.

12.4.3 Other provisions

Captions	31.12.2017		31.12.2016	
	Provision for charity	Other provisions	Provision for charity	Other provisions
A. Opening balance	**556**	**12,953**	**870**	**11,873**
B. Provisions	107	49,379	-	5,141
C. Uses	(102)	(23,341)	(314)	(4,061)
D. Residual balance	**561**	**38,991**	**556**	**12,953**

"Other provisions" mainly includes provisions for complaints and liabilities acquired with the absorption of Nuova Carife; for further details, see Part G of these Explanatory Notes.

Section 13 - Redeemable shares Caption 140

There are no amounts to be disclosed in this section.

Section 14 - Shareholders' equity Captions 130, 150, 160, 170, 180, 190 and 200

14.1 "Share capital" and "Treasury shares": breakdown

Treasury shares: breakdown	31.12.2017	31.12.2016
Ordinary shares no. 481,308,435	1,443,925	1,443,925
of which: treasury shares no. 455,458	*1,366*	*1,366*

14.2 Share capital - number of shares: change in the period

Caption/Type	Ordinary	Others
A. Shares in issue at the beginning of the year	**481,308,435**	**-**
- fully paid	481,308,435	-
- not fully paid	-	-
A.1 Treasury shares (-)	(455,458)	-
A.2 Shares in issue: opening balance	**480,852,977**	**-**
B. Increases	**-**	**-**
B.1 New share issues	-	-
- for payment:	-	-
- on business combinations	-	-
- on conversion of bonds	-	-
- exercise of warrants	-	-
- other	-	-
- bonus issues:	-	-
- to employees	-	-
- to directors	-	-
- other	-	-
B.2 Sale of treasury shares	-	-
B.3 Other changes	-	-
C. Decreases	**-**	**-**
C.1 Cancellation	-	-
C.2 Purchase of treasury shares	-	-
C.3 Disposal of businesses	-	-
C.4 Other changes	-	-
D. Shares in issue: closing balance	**480,852,977**	**-**
D.1 Treasury Shares (+)	455,458	-
D2. Shares in issue at the end of the year	481,308,435	-
- fully paid	481,308,435	-
- not fully paid	-	-

14.3 Share capital: other information

The Bank's share capital is represented solely by ordinary shares; such shares are not subject to rights, privileges or restrictions. At the reporting date, the Bank directly owns 455,458 treasury shares.

14.4 Profit reserves: other information

Nature and description of items comprising shareholders' equity		Amount	(1) portion available to:		
			Cover losses	Increase capital	Distribution
Share capital		**1,443,925**			
Capital reserves:		**1,431,579**	**1,455,631**	**1,455,631**	**1,455,631**
share premium		930,073	930,073	930,073	930,073
other reserves		501,506	525,558	525,558	525,558
- contribution reserve (Law 218/90)		-	-	-	-
- equity element of convertible instruments		-	-	-	-
- differences of shareholders' equity		(24,061)	-	-	-
- merger surpluses/deficits		525,558	525,558	525,558	525,558
- reserve (art. 55 Decree 917/86)		9	-	-	-
Profit reserves:		**1,795,306**	**1,795,306**	**1,511,582**	**1,509,891**
ordinary / legal reserve		275,954	275,954		
statutory reserve		-	-	-	-
other reserves		1,519,352	1,519,352	1,511,582	1,509,891
- extraordinary reserve		1,206,361	1,206,361	1,206,361	1,206,361
- reserve for treasury shares		-	-	-	-
- reserve for other risks		1,807	1,807	1,807	1,807
- taxed reserve (Law 823/73)		2,872	2,872	2,872	2,872
- special reserve (art. 6 Law 461/1998)		45,711	45,711	45,711	45,711
- special reserve under Law 218/1990 (Amato)		1,207	1,207	1,207	1,207
- special reserve (Decree 124/93)	(2)	963	963	963	
- reserve for dividends on treasury shares held		9,397	9,397	9,397	9,397
- non-distributable reserve - FV and gains to SE	(4)	7,770	7,770		
- reserve for FVO gains on securities - available portion		194,812	194,812	194,812	194,812
- reserve for subordinated bonds issued		-	-	-	-
- equity element of convertible instruments - available portion		6,772	6,772	6,772	6,772
- reserve for adjustments to pension fund Section B		(2,941)	(2,941)	(2,941)	(2,941)
- contribution reserve	(5)	728	728	728	
- FTA reserves		35,733	35,733	35,733	35,733
- IAS net income (loss) for 2004		8,160	8,160	8,160	8,160
Valuation reserves:		**14,430**	**-**	**-**	**-**
- reserve for revaluation surpluses		54	-	-	-
- AFS reserves	(3)	114,193	-	-	-
- cash-flow hedge reserve		(1,534)	-	-	-
- reserve for actuarial gains (losses)		(98,283)	-	-	-
Treasury shares		**(7,253)**			
Equity instruments		**-**			
Total shareholders' equity		**4,677,987**	**3,250,937**	**2,967,213**	**2,965,522**

(1) No utilisations in the past 3 years.
(2) Management has decided that the reserves in suspense for tax purposes are not available for distribution.
(3) Pursuant to art. 6.4 of Legislative Decree no. 38/05.
(4) Pursuant to art. 6.5 of Legislative Decree no. 38/05, these reserves can only be used after fully using the available reserves and the legal reserve.
(5) Relates to the contribution of the Bank's IT resources to BPER Services s.cons.p.a.

14.5 Equity instruments: breakdown and change in year

There are no amounts to be disclosed in this section.

Other information

1. Guarantees given and commitments

Operations	31.12.2017	31.12.2016
1) Financial guarantees	650,699	672,088
a) Banks	484	5,970
b) Customers	650,215	666,118
2) Commercial guarantees	2,045,622	2,048,380
a) Banks	153,638	137,399
b) Customers	1,891,984	1,910,981
3) Irrevocable commitments to disburse loans	540,649	490,535
a) Banks:	2,038	2,483
i) certain to be called on	1,825	2,483
ii) not certain to be called on	213	-
b) Customers:	538,611	488,052
i) certain to be called on	15,214	26,555
ii) not certain to be called on	523,397	461,497
4) Commitments underlying credit derivatives: protection sale	-	-
5) Assets used to guarantee the commitments of third parties	10,000	10,000
6) Other commitments	137,536	54,535
Total	**3,384,506**	**3,275,538**

2. Assets used to guarantee own liabilities and commitments

Portfolios	31.12.2017	31.12.2016
1. Financial assets held for trading	243,640	253,605
2. Financial assets designated at fair value	7,210	7,282
3. Financial assets available for sale	9,303,123	7,077,342
4. Financial assets held to maturity	2,162,741	1,852,778
5. Due from banks	268,828	354,584
6. Loans to customers	10,987,161	8,466,952
7. Property, plant and equipment	-	-

Type of assets used to guarantee own liabilities and commitments

	31.12.2017	31.12.2016
1. Assets sold as part of covered bonds	3,454,303	3,248,980
2. Securities and deposits acting as collateral for derivative transactions	286,651	253,239
3. Securities guaranteeing securitisations	25,328	44,594
4. Securities guaranteeing treasury transactions	6,644,632	4,006,169
5. Loans guaranteeing treasury transactions	7,169,286	4,795,307
6. Securities guaranteeing repurchase agreements	4,607,961	4,773,580
7. Loans guaranteeing the related funding	356,222	404,854
8. Securities guaranteeing the funding of subsidised loans	428,320	485,820

The amounts indicated in point 5 "Loans guaranteeing treasury transactions" include, in addition to A.BA.CO operations:
- € 2,849,027 thousands relating to mortgage loans sold as part of covered bond issues,
- € 563,613 thousands relating to mortgage loans sold as part of the Estense Finance self-securitisation transaction.
Operationally, the instruments provided as a guarantee are represented by the Senior Notes originated by the transactions.
No securities pertaining to reverse repurchase agreements have been provided as collateral for guaranteed funding transactions (repurchase agreements).

4. Administration and trading on behalf of third parties

Type of services	31.12.2017
1. Trading in financial instruments on behalf of customers	**-**
a) Purchases	-
1. settled	-
2. unsettled	-
b) Sales	-
1. settled	-
2. unsettled	-
2. Asset management	**2,785,412**
a) individual	2,785,412
b) collective	-
3. Custody and administration of securities	**47,614,637**
a) third-party securities on deposit: associated with activities as a custodian bank (excluding portfolio management)	-
1. securities issued by consolidated companies	-
2. other securities	-
b) Other third-party securities on deposit (excluding portfolio management): other	29,929,531
1. securities issued by consolidated companies	3,937,741
2. other securities	25,991,790
c) third-party securities in custody with others	28,597,235
d) own securities in custody with others	17,685,106
4. Other transactions	**-**

5. Financial assets subject to offsetting in the financial statements, or subject to framework agreements for offsetting or similar arrangements

Technical form	Gross amount of financial assets (a)	Amount of the financial assets offset in the financial statements (b)	Net amount of financial liabilities shown in the financial statements (c = a-b)	Related amounts not subject to offsetting in the financial statements		Net amount (f=c-d-e) 31.12.2017	Net amount (f=c-d-e) 31.12.2016
				Financial instruments (d)	Cash deposits received as collateral (e)		
1. Derivatives	139,991	-	139,991	104,840	5,901	29,250	31,919
2. Repurchase agreements	567,163	-	567,163	566,496	-	667	-
3. Securities lending	-	-	-	-	-	-	-
4. Other	-	-	-	-	-	-	-
Total 31.12.2017	**707,154**	**-**	**707,154**	**671,336**	**5,901**	**29,917**	**#**
Total 31.12.2016	**199,596**	**-**	**199,596**	**126,658**	**41,019**	**#**	**31,919**

The amounts shown in the table relate to standard master agreements such as ISDA (International Swaps and Derivatives Association) and CSA (Credit Support Annex) agreements for derivatives and GMRA (Global Master Repurchase Agreement) for repurchase agreement transactions.
Under the agreements executed using the ISDA standard, offsetting of OTC derivative contracts is permitted in the event of default of either party to the agreement and, for almost all institutional counterparties, the terms of the CSA provide for cash collateral that is revised regularly based on the contracts' underlying value.
None of the amounts shown has been offset in the financial statements as the amounts in question do not meet the requirements of paragraph 42 of IAS 32.
The gross amounts (a) shown in the table relate to € 87,167 thousands of derivatives recorded under caption 20 "Financial assets held for trading" and € 52,825 thousands recorded under caption 80 "Hedging derivatives"; related financial instruments (d) consist of derivatives recorded under caption 40 "Financial liabilities held for trading" and under caption 60 "Hedging derivatives", whereas cash deposits received (e) are recorded under caption 10 "Due to banks" and in the caption 20 "Due to customers".
The gross amounts (a) shown in the table relating to repurchase agreement transactions are recorded under caption 60 "Due from banks" at an amount of € 567,163 thousand; related financial instruments (d) represent the value of the securities pertaining to the transactions, whereas cash deposits received (e) are recorded under caption 10 "Due to banks" and 20 "Due to customers".

6. Financial liabilities subject to offsetting in the financial statements, or subject to framework agreements for offsetting or similar arrangements

Technical form	Gross amount of financial liabilities (a)	Amount of financial assets offset in the financial statements (b)	Net amount of financial liabilities shown in the financial statements (c = a-b)	Related amounts not subject to offsetting in the financial statements		Net amount (f=c-d-e) 31.12.2017	Net amount (f=c-d-e) 31.12.2016
				Financial instruments (d)	Cash deposits used as collateral (e)		
1. Derivatives	186,954	-	186,954	104,840	81,159	955	2,618
2. Repurchase agreements	4,572,753	-	4,572,753	4,568,795	313	3,645	-
3. Securities lending	-	-	-	-	-	-	-
4. Other operations	-	-	-	-	-	-	-
Total 31.12.2017	**4,759,707**	**-**	**4,759,707**	**4,673,635**	**81,472**	**4,600**	**#**
Total 31.12.2016	**3,452,111**	**-**	**3,452,111**	**3,325,395**	**124,098**	**#**	**2,618**

With regard to the types of master agreements, the points made in respect of the previous table apply here as well.
None of the amounts shown has been offset in the financial statements as the amounts in question do not meet the requirements of paragraph 42 of IAS 32.
The gross amounts (a) shown in the table relate to € 165,779 thousands of derivatives recorded under caption 40 "Financial liabilities held for trading" and € 21,176 thousands recorded under caption 60 "Hedging derivatives"; related financial instruments (d) consist of derivatives recorded under caption 20 "Financial assets held for trading" and under caption 80 "Hedging derivatives", whereas cash deposits made (e) are recorded under caption 60 "Due from banks" and under caption 70 "Loans to customers".
The gross amounts (a) shown in the table relating to repurchase agreement transactions are recorded under caption 10 "Due to Banks" at an amount of € 4,569,246 thousands and under caption 20 "Due to customers" at an amount of € 3,506; related financial instruments (d) represent the value of the securities pertaining to the transactions, whereas cash deposits made (e) are recorded under caption 60 "Due from banks" and 70 "Loans to customers".

7. Securities lending

Type of lender/ use	To guarantee own financing operations	Sold	Subject to repurchase agreements	Other	31.12.2017
a) Banks	-	-	-	-	-
b) Public entities	-	-	-	-	-
c) Non-financial businesses	-	-	-	-	-
d) Financial businesses	297,475	-	-	-	297,475
e) Insurance companies	-	-	-	-	-
f) Other	-	-	-	-	-
Total	**297,475**	**-**	**-**	**-**	**297,475**

Part C – Information on the income statement

Section 1 - Interests
Captions 10 and 20

1.1 Interest and similar income: breakdown

Captions/Technical forms	Debt securities	Loans	Other transactions	31.12.2017	31.12.2016
1. Financial assets held for trading	10,537	-	-	10,537	18,608
2. Financial assets available for sale	119,542	-	-	119,542	99,873
3. Financial assets held to maturity	57,171	-	-	57,171	58,251
4. Due from banks	2,276	4,108	-	6,384	6,972
5. Loans to customers	8,557	822,835	-	831,392	908,498
6. Financial assets designated at fair value	281	-	-	281	349
7. Hedging derivatives	#	#	-	-	14,293
8. Other assets	#	#	41,918	41,918	17,444
Total	**198,364**	**826,943**	**41,918**	**1,067,225**	**1,124,288**

Interest on loan exposures, classified as impaired, amounts to € 83,953 thousand, being the amounts shown in the "Loans" column relating to "Loans to customers", plus € 24 thousands shown in the "Debt securities" column.
"Other transactions" in point 8 include € 41,165 thousands of interest income on financial liabilities; this amount includes € 33,007 thousands for the benefit arising from the application of a negative interest rate of 0.40% to the amount purchased from ECB as part of the TLTRO II programme (€ 4 billion with a settlement date of 29 June 2016, € 1 billion on 21 December 2016 and € 4.1 billion on 29 March 2017) in accordance with IAS 39, taking account of the fact that BPER Banca had already met the target set for 31 January 2018.
Default interest accrued in the year, but which has been fully written down, amounts to € 11,845 thousand.
Default interest relating to prior years was collected on positions classified as bad loans for a total of € 1,504 thousand.

1.2. Interest and similar income: differentials on hedging transactions

Items	31.12.2017	31.12.2016
A. Positive differentials on hedging transactions	-	51,112
B. Negative differentials on hedging transactions	-	(36,819)
C. Balance (A-B)	**-**	**14,293**

1.3 Interest and similar income: other information

1.3.1 Interest income on foreign currency assets

Captions	31.12.2017	31.12.2016
Interest income on foreign currency assets	44,965	32,808

1.3.2 Interest income on finance lease transactions

Captions	31.12.2017	31.12.2016
Interest income on finance lease transactions	10,014	-

1.4 Interest and similar expense: breakdown

Caption/Technical forms	Debts	Securities	Other transactions	31.12.2017	31.12.2016
1. Due to Central Banks	-	#	-	-	1,608
2. Due to banks	33,873	#	-	33,873	21,000
3. Due to customers	87,518	#	-	87,518	91,698
4. Debt securities in issue	#	123,223	-	123,223	132,635
5. Financial liabilities held for trading	652	-	2,838	3,490	175
6. Financial liabilities designated at fair value	-	3,083	-	3,083	20,015
7. Other liabilities and provisions	#	#	7,721	7,721	3,847
8. Hedging derivatives	#	#	4,845	4,845	-
Total	**122,043**	**126,306**	**15,404**	**263,753**	**270,978**

"Other transactions" in point 7 include € 7,721 thousands of interest expense on financial assets as explained in Part A2 of these Explanatory notes.

1.5 Interest and similar expense: differentials on hedging transaction

Items	31.12.2017	31.12.2016
A. Positive differentials on hedging transactions	52,851	-
B. Negative differentials on hedging transactions	(57,696)	-
C. Net differential (A-B)	**(4,845)**	**-**

1.6 Interest and similar expense: other information

1.6.1 Interest expense on foreign currency liabilities

Captions	31.12.2017	31.12.2016
Interest expense on foreign currency liabilities	28,214	12,262

1.6.2 Interest expense on finance leases

Captions	31.12.2017	31.12.2016
Interest expense on finance leases	6	7

Section 2 - Commissions Captions 40 and 50

2.1 Commission income: breakdown

Type of services/Values	31.12.2017	31.12.2016
a) guarantees given	25,859	27,530
b) credit derivatives	-	-
c) management, brokerage and consulting services	229,913	198,280
1. trading in financial instruments	451	538
2. trading in foreign exchange	4,728	4,756
3. portfolio management	21,882	19,068
3.1. individual	21,882	19,068
3.2. collective	-	-
4. custody and administration of securities	3,762	3,579
5. custodian bank	-	-
6. placement of securities	123,195	100,700
7. order taking and trasmission	10,062	10,806
8. advisory services	4,712	5,990
8.1 regarding investments	-	-
8.2 regarding financial structuring	4,712	5,990
9. distribution of third-party services	61,121	52,843
9.1 asset management	1,696	1,511
9.1.1. individual	-	-
9.1.2. collective	1,696	1,511
9.2 insurance products	31,943	28,621
9.3 other products	27,482	22,711
d) collection and payment services	85,885	85,622
e) servicing related to securitisation	571	422
f) services for factoring transactions	-	-
g) tax collection services	-	-
h) management of multilateral trading systems	-	-
i) maintenance and management of current accounts	110,733	107,940
j) other services	137,746	145,429
- commission income on other loans to customers	101,755	110,673
- commission income on cash card services	19,518	18,818
- other commission income	16,473	15,938
Total	**590,707**	**565,223**

2.2 Commission income: distribution channels for products and services

Channels/Sectors	31.12.2017	31.12.2016
a) at own branches:	**206,198**	**172,611**
1. asset management	21,882	19,068
2. placement of securities	123,195	100,700
3. distribution of third-party services and products	61,121	52,843
b) through financial promoters:	**-**	**-**
1. asset management	-	-
2. placement of securities	-	-
3. distribution of third-party services and products	-	-
c) other distribution channels:	**-**	**-**
1. asset management	-	-
2. placement of securities	-	-
3. distribution of third-party services and products	-	-

2.3 Commission expense: breakdown

Type of service/Amounts	31.12.2017	31.12.2016
a) guarantees received	1,833	1,456
b) credit derivatives	-	-
c) management and brokerage services:	10,586	9,784
1. trading in financial instruments	506	432
2. trading in foreign exchange	-	-
3. asset management:	8,160	7,470
3.1 own portfolio	-	-
3.2 third-party portfolio	8,160	7,470
4. custody and administration of securities	1,275	1,343
5. placement of financial instruments	645	539
6. offer of securities, financial products and services through financial promoters	-	-
d) collection and payment services	4,511	4,263
e) other services	15,472	13,550
Total	**32,402**	**29,053**

Section 3 – Dividends and similar income Caption 70

3.1 Dividends and similar income: breakdown

Caption/income	31.12.2017		31.12.2016	
	Dividends	Income from UCITS units	Dividends	Income from UCITS units
A. Financial assets held for trading	2,572	265	2,234	242
B. Financial assets available for sale	8,733	403	7,107	108
C. Financial assets designated at fair value	30	267	32	34
D. Equity investments	27,123	#	10,204	#
Total	**38,458**	**935**	**19,577**	**384**

Section 4 - Net trading income Caption 80

4.1 Net trading income: breakdown

Transactions/Income items	Capital gains (A)	Trading profits (B)	Capital losses (C)	Trading losses (D)	Net result [(A+B)-(C+D)]
1. Financial assets held for trading	**18,051**	**11,656**	**(8,283)**	**(4,370)**	**17,054**
1.1 Debt securities	1,316	4,808	(4,464)	(2,763)	(1,103)
1.2 Equity instruments	11,754	6,667	(2,602)	(1,607)	14,212
1.3 UCITS units	4,981	69	(1,217)	-	3,833
1.4 Loans	-	-	-	-	-
1.5 Other	-	112	-	-	112
2. Financial liabilities held for trading	**-**	**-**	**-**	**-**	**-**
2.1 Debt securities	-	-	-	-	-
2.2 Debts	-	-	-	-	-
2.3 Other	-	-	-	-	-
3. Other financial assets and liabilities: exchange differences	**#**	**#**	**#**	**#**	**(1,736)**
4. Derivatives	**82,096**	**116,838**	**(60,844)**	**(125,091)**	**20,743**
4.1 Financial derivatives:	82,096	116,838	(60,844)	(125,091)	20,743
- On debt securities and interest rates	77,527	110,656	(56,412)	(119,564)	12,207
- On equities and equity indices	4,569	3,063	(4,432)	(3,975)	(775)
- On currency and gold	#	#	#	#	7,744
- Other	-	3,119	-	(1,552)	1,567
4.2 Credit derivatives	-	-	-	-	-
Total	**100,147**	**128,494**	**(69,127)**	**(129,461)**	**36,061**

Section 5 - Net hedging gains (losses) Caption 90

5.1 Net hedging gains (losses): breakdown

Income item/Amounts	31.12.2017	31.12.2016
A. Income relating to:		
A.1. Fair value hedges	25,118	28,812
A.2. Hedged financial assets (fair value)	2,423	7,736
A.3. Hedged financial liabilities (fair value)	17,172	5,665
A.4. Cash-flow hedging derivatives	-	-
A.5. Foreign currency assets and liabilities	-	-
Total income from hedging activity (A)	**44,713**	**42,213**
B. Charges relating to:		
B.1. Fair value hedges	(20,194)	(14,220)
B.2. Hedged financial assets (fair value)	(25,013)	(12,049)
B.3. Hedged financial liabilities (fair value)	-	(16,241)
B.4. Cash-flow hedging derivatives	-	-
B.5. Foreign currency assets and liabilities	-	-
Total charges from hedging activity (B)	**(45,207)**	**(42,510)**
C. Net hedging gains (losses) (A-B)	**(494)**	**(297)**

Section 6 - Gains (losses) on disposal or repurchase Caption 100

6.1 Gains (Losses) on disposal or repurchase: breakdown

Caption/Income items	31.12.2017			31.12.2016		
	Profits	Losses	Net result	Profits	Losses	Net result
Financial assets						
1. Due from banks	1,191	-	1,191	-	-	-
2. Loans to customers	8,906	(18,703)	(9,797)	4,901	(14,031)	(9,130)
3. Financial assets available for sale	48,279	(346)	47,933	90,322	(321)	90,001
3.1 Debt securities	34,277	(26)	34,251	72,083	(72)	72,011
3.2 Equity instruments	7,538	(317)	7,221	16,862	(25)	16,837
3.3 UCITS units	6,464	(3)	6,461	1,377	(224)	1,153
3.4 Loans	-	-	-	-	-	-
4. Financial assets held to maturity	316	-	316	-	-	-
Total assets	**58,692**	**(19,049)**	**39,643**	**95,223**	**(14,352)**	**80,871**
Financial liabilities						
1. Due to banks	-	-	-	-	-	-
2. Due to customers	-	-	-	-	-	-
3. Debt securities in issue	1,105	(554)	551	1,019	(1,016)	3
Total liabilities	**1,105**	**(554)**	**551**	**1,019**	**(1,016)**	**3**

The gains relate to the equities classified as "Financial assets available for sale" including the gain realised on the sale of the investment held in Bassilichi s.p.a. (€ 6.9 million).
This caption, at 31 December 2016, included the amount received under the earn-out clause relating to the sale of an equity interest in Nexi s.p.a. that took place last year (€ 16.9 million).

Section 7 - Net result on financial assets and liabilities designated at fair value
Caption 110

7.1 Net result on financial assets and liabilities designated at fair value: breakdown

Transactions/Income items	Capital gains (A)	Gains on disposal (B)	Capital losses (C)	Losses on disposal (D)	Net result [(A+B)-(C+D)]
1. Financial assets	**2,100**	**572**	**(170)**	**(330)**	**2,172**
1.1 Debt securities	85	7	(154)	(12)	**(74)**
1.2 Equity securities	3	1	-	-	**4**
1.3 UCITS units	2,012	564	(16)	(318)	**2,242**
1.4 Loans	-	-	-	-	**-**
2. Financial liabilities	**487**	**530**	**(1,178)**	**(34)**	**(195)**
2.1 Debt securities	487	530	(1,178)	(34)	**(195)**
2.2 Due to banks	-	-	-	-	**-**
2.3 Due to customers	-	-	-	-	**-**
3. Financial assets and liabilities in foreign currency: exchange differences	**#**	**#**	**#**	**#**	**(177)**
4. Derivatives	**-**	**34**	**-**	**(2,068)**	**(2,034)**
Total	**2,587**	**1,136**	**(1,348)**	**(2,432)**	**(234)**

The net result of the measurement of financial liabilities at fair value and of derivatives connected operationally (fair value option for financial liabilities) is negative for € 2,229 thousand.

Section 8 - Net impairment adjustments Caption 130

8.1 Net impairment adjustments to loans and advances: breakdown

Transactions/Income items	Adjustments			Write-backs				31.12.2017	31.12.2016
	Specific			Specific		Portfolio			
	Write offs	Other	Portfo	Inter	Othe back	Inte	Othe back		
A. Due from banks	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
- Loans	-	-	-	-	-	-	-	-	-
- Debt securities	-	-	-	-	-	-	-	-	-
B. Loans to customers	**(47,974)**	**(723,687)**	**(4,500)**	**87,812**	**270,980**	**-**	**21,820**	**(395,549)**	**(516,606)**
Non-performing loans acquired	-	-		-	-			-	-
- Loans	-	-	#	-	-	#	#	-	-
- Debt securities	-	-	#	-	-	#	#	-	-
Other	(47,974)	(723,687)	(4,500)	87,812	270,980	-	21,820	(395,549)	(516,606)
- Loans	(47,974)	(723,687)	-	87,812	270,980	-	21,820	(391,049)	(506,212)
- Debt securities	-	-	(4,500)	-	-	-	-	(4,500)	(10,394)
C. Total	**(47,974)**	**(723,687)**	**(4,500)**	**87,812**	**270,980**	**-**	**21,820**	**(395,549)**	**(516,606)**

8.2 Net impairment adjustments to financial assets available for sale: breakdown

Transactions/Income items	Adjustments		Write-backs		31.12.2017	31.12.2016
	Specific		Specific			
	Write-offs	Other	Interest	Other write-backs		
A. Debt securities	-	(4,392)	-	-	(4,392)	-
B. Equity instruments	-	(30,626)	#	#	(30,626)	(17,638)
C. UCITS units	-	(56,372)	#	-	(56,372)	(31,350)
D. Due from banks	-	-	-	-	-	-
E. Loans to customers	-	-	-	-	-	-
F. Total	**-**	**(91,390)**	**-**	**-**	**(91,390)**	**(48,988)**

The adjustments to "Equity instruments" mainly consist of writedowns of the interest held in Release s.p.a. of € 7,017 thousands and of the intervention by IDGF-VS to support Caricesena, Carismi and Carim (€ 21,071 thousand). The adjustments to "UCITS units" include a writedown of units in Fondo Atlante of € 52,939 thousand.
Adjustments to debt securities related to a subordinated bond issued by Veneto Banca.

8.4 Net impairment adjustments to other financial assets: breakdown

Transactions/Income items	Adjustments			Write-backs				31.12.2017	31.12.2016
	Specific			Specific		Portfolio			
	offs Write	Other	Portfol	Inter	Othe	Inter	Othe		
A. Guarantees given	-	(24,140)	(15,650)	-	24,972	-	-	(14,818)	8,000
B. Credit derivatives	-	-	-	-	-	-	-	-	-
C. Commitments to disburse funds	-	-	-	-	-	-	-	-	-
D. Other transactions	-	-	-	-	-	-	-	-	-
E. Total	**-**	**(24,140)**	**(15,650)**	**-**	**24,972**	**-**	**-**	**(14,818)**	**8,000**

The adjustments at 31 December 2016 included the amount returned by FITD in relation to the BPER Banca contributions paid in 2014.

Section 9 - Administrative expenses Caption 150

9.1 Payroll: breakdown

Type of expense/Amounts	31.12.2017	31.12.2016
1) Employees	**539,854**	**520,969**
a) wages and salaries	393,577	377,805
b) social security charges	103,284	99,693
c) termination indemnities	23,120	22,751
d) pension expenses	-	-
e) provision for termination indemnities	705	1,337
f) provision for post-retirement benefits and similar commitments:	637	809
- defined contribution	-	-
- defined benefit	637	809
g) payments to external supplementary pension funds:	11,351	11,115
- defined contribution	11,351	11,115
- defined benefit	-	-
h) costs deriving from payment agreements based on own capital instruments	(70)	(45)
i) other personnel benefits	7,250	7,504
2) Other active employees	**12,105**	**11,860**
3) Directors and Statutory Auditors	**3,956**	**4,024**
4) Retired personnel	**1,100**	**1,172**
5) Recovery of cost of employees seconded to other companies	**(62,589)**	**(64,790)**
6) Reimbursement of cost of third-party employees seconded to the Bank	**10,079**	**8,565**
Total	504,505	481,800

The provision for termination indemnities required under art. 2120 of the Italian Civil Code amounted to € 2,302 thousand.

9.2 Average number of employees, by level

	31.12.2017	31.12.2016
Employees	**6,997**	**6,894**
a) Managers	149	153
b) Middle managers	2,311	2,215
c) Other employees	4,537	4,526
Other personnel	**226**	**211**

9.2.1 Number of employees, by level: banking group

	31.12.2017	31.12.2016
Employees:	**8,323**	**8,054**
a) Managers	175	188
b) Total 3rd and 4th level middle managers	1,124	1,096
c) Total 1st and 2nd level middle managers	1,562	1,434
d) Other employees	5,462	5,336
Other personnel	**202**	**200**

9.3 Post-retirement defined benefit plans: costs and revenues

Captions	31.12.2017	31.12.2016
Post-retirement defined benefit plans: total costs	637	809

9.4 Other personnel benefits

Captions	31.12.2017	31.12.2016
Other personnel benefits	7,250	7,504

9.5 Other administrative expenses: breakdown

Captions	31.12.2017	31.12.2016
Taxation	**104,241**	**98,268**
Stamp duty	89,498	84,548
Other indirect taxes with right of recourse	7,142	6,224
Municipal property tax	3,882	3,997
Other	3,719	3,499
Other costs	**428,325**	**447,332**
Post office, telephone and telegraph	9,550	9,793
Maintenance and repairs	15,451	14,466
Rental expense	58,260	54,291
Advertising	13,570	18,808
Data transmission fees and use of databases	19,298	18,572
Energy and fuel	9,904	10,841
Insurance	5,945	8,800
Printing and stationery	2,899	2,431
Cleaning of office premises	5,919	5,369
Transport	8,520	8,600
Use of external data gathering and processing services	90,739	74,900
Information and surveys	9,122	8,853
Lease of IT hardware and software	2	135
Staff training and expense refunds	8,921	9,438
Consulting and other professional services	52,205	54,549
Condominium expenses	2,239	1,831
Security	6,528	6,227
Administrative services	62,378	60,033
Membership fees	4,898	5,026
Contribution to SRF, DGS, IDGF-VS	28,903	62,553
Sundry other	13,074	11,816
Total	**532,566**	**545,600**

The amount relating to "Consulting and other professional services" of € 52.2 million is attributable to sundry administrative expenses for legal services and for other professional advisors for advice on specific regulations and for the provision of support and advice on matters concerning changes in legislation, the system of internal control and the 2015-2017 Business Plan.
Details are as follows:
• services provided by various legal advisors, particularly in respect of litigation, for € 20.4 million (€ 20.8 million in 2016);
• professional services provided by various firms, regarding the execution of a number of funding transactions completed in the year (issue of Covered Bonds, update and issues pertaining to the Euro Medium Term Notes programme, etc.), for the audit of the financial statements, to obtain ratings from different agencies and for specific valuation work performed for financial statement purposes of € 4.1 million (€ 3.4 million in 2016);
• other sundry professional services (for example, appraisals and other technical support) for € 10.1 million (€ 10.2 million in 2016);
• sundry advice in respect of continuous changes in legislation, improvements to the system of internal control and projects foreseen by the 2015-2017 Business Plan.
These are in fact genuine investments for the future, as can be seen from the work performed for the overall development of operations, related above all to the adoption of internal models for the measurement of credit risk and the new Regulations for the prudential supervision of banks referred to in Circular no. 263 of the Bank of Italy. The total of this type of cost is € 17.6 million (€ 20.1 million in 2016).
"Contributions to SRF, DGS, IDGF-VS" include ordinary contributions paid to the Single Resolution Fund (SRF) of € 13 million (€ 42.2 million in 2016, including extraordinary contributions of € 29 million), to the Deposit Guarantee Scheme (DGS) of € 15.9 million (€ 12.3 million in 2016).

Section 10 - Net provisions for risks and charges Caption 160

10.1 Net provisions for risks and charges: breakdown

Type of risks and charges	31.12.2017	31.12.2016
A. Provisions	**(42,776)**	**(33,040)**
1. for legal disputes	(26,650)	(30,078)
2. other	(16,126)	(2,962)
B. Write-backs	**18,325**	**12,208**
1. for legal disputes	13,865	9,262
2. other	4,460	2,946
Total	**(24,451)**	**(20,832)**

Section 11 - Net adjustments to property, plant and equipment Caption 170

11.1 Net adjustments to property, plant and equipment: breakdown

Assets/Income items	Depreciation (a)	Impairment adjustments (b)	Write-backs (c)	Net result (a+b-c)
A. Property, plant and equipment				
A.1 Owned	(20,741)	(2,513)	-	(23,254)
- For business purposes	(19,702)	(585)	-	(20,287)
- For investment purposes	(1,039)	(1,928)	-	(2,967)
A.2 Held under finance leases	(95)	-	-	(95)
- For business purposes	(95)	-	-	(95)
- For investment purposes	-	-	-	-
Total	**(20,836)**	**(2,513)**	**-**	**(23,349)**

As detailed in Part B, Section 11, Assets, tables 11.5 and 11.6, the amount recorded under "Impairment adjustments" refers to the impairment test.

Section 12 - Net adjustments to intangible assets Caption 180

12.1 Net adjustments to intangible assets: breakdown

Assets/Income items	Amortisation (a)	Impairment adjustments (b)	Write-backs (c)	Net result (a+b-c)
A. Intangible assets				
A.1 Owned	(2,616)	-	-	(2,616)
- generated internally by the company	-	-	-	-
- other	(2,616)	-	-	(2,616)
A.2 Held under finance leases	-	-	-	-
Total	**(2,616)**	**-**	**-**	**(2,616)**

Section 13 - Other operating charges/income Caption 190

13.1 Other operating charges: breakdown

Description/Amounts	31.12.2017	31.12.2016
Reimbursement of interest for collections and payments settled through the clearing house	(465)	(376)
Amortisation of leasehold improvement expenditure	(2,206)	(3,074)
Other	(15,760)	(10,110)
Total	**(18,431)**	**(13,560)**

13.2 Other operating revenues: breakdown

Description/Amounts	31.12.2017	31.12.2016
Rental income	4,705	4,173
Recovery of taxes	95,903	90,059
Recovery of interest for collections and payments settled through the clearing house	1	-
Other income	66,752	61,022
Total	**167,361**	**155,254**

Other income includes recoveries for services provided to Group companies (€ 9,967 thousand), recoveries for rapid preliminary investigation fees (€ 19,007 thousand) and write-backs of provisions for legal disputes (€ 9,783 thousand)

Section 14 - Profit (loss) from equity investments Caption 210

14.1 Profit (Loss) from equity investments: breakdown

Income item/Amounts	31.12.2017	31.12.2016
A. Income	43	551
1. Revaluations	-	-
2. Gain from disposals	43	551
3. Write-backs	-	-
4. Other income	-	-
B. Charges	(6,921)	(10,596)
1. Write-downs	-	-
2. Impairment write-downs	(6,640)	(7,673)
3. Loss from disposals	(281)	(2,923)
4. Other charges	-	-
Net result	**(6,878)**	**(10,045)**

As already mentioned in Part B, Section 10, Assets, table 10.5, the amount recorded under "Impairment adjustments" refers to the impairment test.

Section 15 - Net gains (losses) arising on fair value adjustments to property, plant and equipment and intangible assets Caption 220

There are no amounts to be disclosed in this section.

Section 16 - Impairment losses on goodwill Caption 230

There are no amounts to be disclosed in this section.

Section 16 bis– Gain on a bargain purchase Caption 235

The caption " Gain on a bargain purchase " – includes the difference between the purchase price and the fair value of the acquired assets and liabilities (including contingent ones) assumed - was generated by the acquisition of Nuova Carife. The amount calculated at the end of the Purchase Price Allocation (PPA) process resulted in Euro 190.9 million.

Section 17 - Gains (losses) on disposal of investments Caption 240

17.1 Gains and losses on disposal of investments: breakdown

Income item/Amounts	31.12.2017	31.12.2016
A. Building		
- Gains on disposal	58	195
- Losses on disposal	(2)	-
B. Other assets		
- Gains on disposal	31	63
- Losses on disposal	(37)	(470)
Net result	**50**	**(212)**

Section 18 - Income taxes for the year on current operations
Caption 260

18.1 Income taxes for the period on current operations: breakdown

Items/Segments	31.12.2017	31.12.2016
1. Current taxes (-)	1,703	1,519
2. Change in prior period income taxes (+/-)	206	2,771
3. Reduction in current taxes (+)	-	-
3. bis Reduction in current taxes for tax credits under L. 214/2011 (+)	132,585	-
4. Change in deferred tax assets (+/-)	(148,870)	15,277
5. Change in deferred tax liabilities (+/-)	2,773	(2,309)
6. Income taxes for the year on current operations (-) (-1+/-2+3+3 bis+/-4+/-5)	**(11,603)**	**17,258**

18.2 Reconciliation between the theoretical and current tax burden

IRES	31.12.2017
Result of current operations before income taxes	**220,446**
Negative components of the gross result definitively considered not relevant (+)	**38,697**
Losses on disposal/remeasurement of AFS securities and equity investments	16,434
Non-deductible taxes (other than on income)	3,167
Administrative costs of limited deductibility	3,243
Other non-deductible costs	1,564
Allocations to provisions for sundry disputes	13,629
Recovery of IRES deducted from IRES in prior years	-
Other	660
Positive components of the gross result definitively considered not relevant (-)	**(232,425)**
Non-relevant portion of gains on disposal/remeasurement of AFS securities and equity investments	(6,870)
Non-relevant portion of dividends	(33,275)
Badwill	(190,892)
Other	(1,388)
Definitive increases not linked to elements of the gross result (+)	**24,264**
Tax losses without recognition of deferred tax assets	24,264
Definitive decreases not linked to elements of the gross result (-)	**(26,709)**
Recovery of intercompany interest expense deductibility for tax consolidation	-
Standard deduction 10% IRAP	-
Deduction of payroll cost for IRAP	(25,588)
A.C.E. (aid for economic growth) deduction	(1,121)
Other	
Basis of calculation of IRES shown in the income statement	**24,273**
IRES tax rate	27.50%
Effective IRES	**6,675**
Effective IRES tax rate	3.03%

IRAP	31.12.2017
Result of current operations before income taxes	**220,446**
Negative components of the gross result definitively considered not relevant (+)	**169,159**
Non-deductible interest expense	-
Non-deductible portion of depreciation/amortisation on assets used in business	3,281
Other non-deductible administrative costs	53,257
Payroll, net of permitted deductions	21,647
Other net impairment adjustments (caption 130 of the income statement)	53,631
Net provisions for risks and charges	24,451
Losses from equity investments	6,878
IMU	3,494
Other	2,520
Positive components of the gross result definitively considered not relevant (-)	**(255,938)**
Non-relevant portion of dividends	(19,229)
Profit from equity investments	-
Other operating income	(45,817)
Badwill	(190,892)
Contributions to the Single Resolution Fund ("SRF")	-
Definitive increases not linked to elements of the gross result (+)	**-**
Negative value of production	-
Definitive decreases not linked to elements of the gross result (-)	**(25,548)**
Recovery of non-relevant charges of prior periods (loan disposals)	(7,293)
Contributions to the Single Resolution Fund ("SRF")	(17,133)
Other	(1,122)
Basis of calculation of IRAP shown in the income statement	**108,119**
Weighted average nominal rate of IRAP	5.57%
Effective IRAP	6,022
Effective IRAP tax rate	2.73%

Out-of-period IRES and IRAP and other taxes	31.12.2017
Total impact	**(1,094)**
IRES - Changes in current out-of-period IRES	34
IRAP - Changes in current out-of-period IRAP	-
Prior year deferred tax adjustment	(1,949)
Other	821

Effective out-of-period IRES and IRAP and other taxes	-0.50%

Total tax on gross result	31.12.2017
IRES + IRAP + other taxes	**11,603**
Overall effective tax rate	5.26%

Section 19 - Profit (loss) after tax on current assets held for sale
Caption 280

There are no amounts to be disclosed in this section.

Section 20 - Other information

The information contained in the above sections is deemed to be detailed and completed, thus providing a full picture of the results.

Section 21 - Earnings per share

IAS 33 requires disclosure of basic and diluted earnings per share (EPS), specifying how each is calculated.

Basic earnings per share reflect the relationship between:

a) the earnings attributable to ordinary shareholders,
b) and the weighted average number of shares outstanding during the period.

Diluted earnings per share reflect the relationship between:

a) the earnings used to calculate basic EPS, as adjusted by the economic effects of converting all outstanding convertible bonds into shares at period end,
b) and the number of shares used to calculate Basic EPS, as adjusted by the weighted average of the potential ordinary shares with a diluting effect deriving from the conversion of bonds outstanding at period end.

	31.12.2017			31.12.2016		
	Attributable earnings	Weighted average ordinary shares	Earnings per share (Euro)	Attributable earnings	Weighted average ordinary shares	Earnings per share (Euro)
Basic EPS	208,844	480,852,977	0.434	18,699	480,852,977	0.039
Diluted EPS	208,844	480,852,977	0.434	18,699	480,852,977	0.039

The following tables reconcile the weighted average number of ordinary shares outstanding used to calculate basic earnings per share with the number of ordinary shares used to calculate diluted earnings per share; they also reconcile net profit for the year with the net income used to determine basic and diluted earnings per share.

21.1 Average number of ordinary shares (fully diluted)

	31.12.2017	31.12.2016
Weighted average number of outstanding ordinary shares for Basic EPS calculation	480,852,977	480,852,977
Weighted dilutive effect of the potential conversion of convertible bonds	-	-
Weighted average number of outstanding ordinary shares for diluted EPS calculation	**480,852,977**	**480,852,977**

21.2 Other information

	31.12.2017	31.12.2016
Net profit for the period	208,844	18,699
Allocations not attributable to the shareholders	-	-
Profit for basic EPS calculation	208,844	18,699
Change in income and charges deriving from conversion	-	-
Profit for diluted EPS calculation	**208,844**	**18,699**

Part D – Comprehensive income

Statement of comprehensive income

(in thousands of Euro)

Captions	Gross amount	Income taxes	Net amount
10. Profit (loss) for the period	**220,447**	**(11,603)**	**208,844**
Other income items, net of income taxes, without release to the income statement			
20. Property, plant and equipment	-	-	-
30. Intangible Assets	-	-	-
40. Defined benefit plans	(389)	(269)	(658)
60. Portion of the valuation reserves of the equity investments carried at equity	-	-	-
Other income items, net of income taxes, with release to the income statement			
70. Hedges of foreign investments	**-**	**-**	**-**
a) fair value changes	-	-	-
b) reclassifications through profit or loss	-	-	-
c) other variations	-	-	-
80. Exchange differences	**-**	**-**	**-**
a) changes in values	-	-	-
b) reclassifications through profit or loss	-	-	-
c) other variations	-	-	-
90. Cash-flows hedges:	**(1,391)**	**(76)**	**(1,467)**
a) changes in fair value	(1,391)	(76)	(1,467)
b) release to the income statement	-	-	-
c) other changes	-	-	-
100. Financial assets available for sale:	**43,429**	**(15,129)**	**28,300**
a) changes in fair value	80,591	(25,282)	55,309
b) reclassification through profit or loss	(37,162)	10,153	(27,009)
- impairment write-downs	3,034	(751)	2,283
- gains/losses on disposals	(40,196)	10,904	(29,292)
c) other changes	-	-	-
110. Non-current assets classified as held for sale	**-**	**-**	**-**
a) fair value changes	-	-	-
b) reclassifications through profit or loss	-	-	-
c) other variations	-	-	-
120. Portion of the measurement reserves of equity investments carried at equity:	**-**	**-**	**-**
a) fair value changes	-	-	-
b) reclassification through profit or loss	-	-	-
- due to impairment	-	-	-
- gains/losses on disposals	-	-	-
c) other variations	-	-	-
130. Total other elements of income	**41,649**	**(15,474)**	**26,175**
140. Total comprehensive income (captions 10+130)	**262,096**	**(27,077)**	**235,019**

Part E - Information on risks and related hedging policies

Introduction

With regard to a summary of the risk governance organisation, of the related processes and key functions, reference should be made to the details provided in the section on "Principal risks and uncertainties" in the directors' report on Group operations.

Section 1 - Credit risk

The Group's organisation provides for centralisation of the credit risk control function at the Parent Company; consequently, the qualitative information set out below reflects the individual position of BPER Banca s.p.a. too.

Qualitative information

1. General aspects

In 2017, Italy experienced better than expected growth thanks to a general expansion of the economies of Italy's European partners, lower political risk in the area as a whole, extension of the ECB's Quantitative Easing and the cumulative effects of Italian fiscal policies.
According to the figures from the last Economic Bulletin of the Bank of Italy[7], GDP grew in 2017 by 1.5%, driven mainly by domestic demand, stimulated in particular by investment in capital goods, but also by foreign trade, with a more marked increase in exports compared with imports.
The level of business and consumer confidence has continued to improve, partly due to the increase in employment and the continued expansion of credit to the private sector.
The projections, again provided by the Bank of Italy, therefore indicate a continuation of growth both in the current year and for 2019-2020 with a moderate recovery in inflation, still supported by expansive economic policies.
In this macroeconomic context, the BPER Group has made every effort to optimise its loan portfolio with a view to the best possible risk-return ratio by defining, in synergy with all other budget planning processes, guidelines for prudent lending policies that are consistent with the operating activity, with the development and knowledge of the territory and in compliance with applicable law.
In order to achieve this, internal models for the measurement of credit risk - validated by the ECB at the end of June 2016 - were used to identify a target scenario for reshaping the loans portfolio in qualitative and quantitative terms. The objective was to give preference to the development of lending to the retail segment and economic sectors that are outperforming, from the development of particular excellences or from the strong presence of exporting companies on which to develop interventions in the field of production chains/districts.
The same quality lines were also transmitted during the year to Nuova Cassa di Risparmio di Ferrara, whose 100% acquisition was completed on 30 June 2017, then subsequently absorbed by BPER Banca with effect for accounting purposes from 1 July 2017.
To supplement the guidelines for loans to commercial banks, specific guidelines on loans have been developed directly or through the Group's product companies, given the intrinsic characteristics of the

[7] *The Bank of Italy Economic Bulletin was published in January 2018*

products being distributed (leasing, factoring, personal loans and lending-against-salary) and the lower risk profile compared with similar banking transactions.
Lastly, to confirm its proximity to the territory, the BPER Banca Group continued to participate in ABI initiatives in favour of SMEs ("2015 lending agreement – Firms returning to growth") and Individuals ("Mortgage solidarity fund", "Suspension of household loan repayments", "Guarantee fund for the first home"), subscribed in 2015, while also guaranteeing support for areas hit by natural disasters via the suspension of loan repayments, as envisaged by law.

2. Credit risk management policies

The lending policy of the Group pursues the aim of carefully selecting counterparties through an analysis of their creditworthiness, including the use of well-established tools such as the rating system, having regard for the achievement of commercial and support objectives.
In view of the Group's strategic objectives and operations, the general risk management strategy is to accept a moderate level of risk involving:

- the assessment of the current and prospective creditworthiness of counterparties;
- the diversification of the portfolio, limiting the concentration of exposures towards individual counterparties and sectors of economic activity.

2.1 Organisational aspects

The Group's credit risk management model has the following objectives:

- apply the instructions issued by the Supervisory Authorities, while taking account of the Group's specific operating characteristics;
- ensure that credit risk is managed appropriately by each bank and at a consolidated level.

These objectives are achieved via the segregation of responsibilities and duties between the bodies that manage credit risk and those with a control function.
The following elements underpin work to manage and control the exposure to credit risk:

- independence of the function responsible for the measurement of credit risk with respect to the various business functions;
- clear definition of delegated powers and the resulting structure of limits imposed by the Board of Directors of the Parent Company;
- coordination by the Parent Company of credit risk management processes, while leaving individual companies with operational autonomy for the management of credit risk;
- consistent application of measurement models throughout the Group, in line with international best practice;
- transparent methodology and measurement criteria to facilitate understanding of the risk measures adopted;
- performance of periodic stress tests which use endogenous and exogenous shock scenarios to provide deterministic and/or probability-based indicators of risk.

2.2 Systems for managing, measuring and monitoring

The management of risk involves applying a system of methodologies and approaches for the ongoing measurement and/or assessment of risk. This system helps to guide operational decisions and quantify the level of capital required by the Group in order to cover the risks that have been accepted. Each Bank

analyses the various components of credit risk and identifies the exposure associated with the loan portfolio using suitable measurement methodologies. In particular, the Bank uses many tools to measure and monitor credit risk in relation to both performing and non-performing loans.
The characteristics of the rating models developed by the Parent Company for the calculation of PD (Probability of default: i.e. the probability that the borrower will not be able to meet their commitments) depend on the risk segment to which the counterparty belongs, the amount of the exposure and the stage in the lending process at which they are applied (initial payout or monitoring). The classifications are represented by 13 classes of merit differentiated by risk segment.
All of the Parent Company's systems share a number of common characteristics:

- the rating is determined with reference to the specific counterparty;
- the rating systems are established with reference to the loan portfolio of the BPER Banca group (the rating is unique for each counterparty, even if shared by several banks in the Group);
- the models process internal performance information derived from reports issued by the central risk database, as well as financial information in the case of businesses;
- the models for Corporate SMEs, Long-term Property SMEs, Holding, Financial Companies and Large Corporates add a qualitative element to the purely statistical side. The rating allocation process for these segments also allows the account manager to activate an override process i.e. to request an exception to the quantitative rating based on true and documented information not processed by the model. The requested exception is evaluated by a central function that operates at Group level;
- to support risk analysis in the Large Corporate, Holding and Financial Companies segment, another component was added to the model to take into account whether counterparties belong to a group;
- the Probability of Default is calibrated with reference to regulatory anomalies, which include past due amounts;
- the time series used in order to develop and calibrate the models cover a broad time horizon, consistent with the requirements of current regulations;
- the ratings are analysed and reviewed at least once each year; the Bank has also defined a process for the monitoring of each rating, causing the rating to lapse if it no longer represents the true risk profile of the counterparty and there are signs of deterioration in the quality of the related lending;
- use is made of a rating calculation model for counterparties acting as guarantors for individuals, aimed at the quantification and measurement of credit risk attributable to private counterparties that provide personal guarantees to BPER Banca Group's customers.

Determination of the final rating depends on the type of counterparty. In particular, the rating allocation process involves a level of investigation that is proportional to the complexity/scale of the counterparty under review: a more complex and sophisticated structure is foreseen for medium-large businesses (Corporate SMEs, Long-term Property SMEs, Holding, Financial Companies and Large Corporates), which are fewer but with larger average exposures, while there is a simpler structure for Retail customers (Retail SMEs, Individuals and Small Businesses), which are more numerous, but with lower exposures.
The estimation of LGD - Loss Given Default: represents the extent of the loss expected to occur on default of the borrower, dependent on type of exposure to the counterparty and is based on information on the borrower (segment, geographical area, internal administrative status), the product (technical form, size of exposure), and the presence, type and coverage of guarantees.
LGD estimation includes the impact of the recession (downturn LGD).

Important activities in 2017 concerning the Basel 2 project included the following:

- introduction of rating models for the Holding and Financial business (non-banking) segments;
- update of the LGD model;
- recalibration of the risk models used to calculate the PD (Probability of Default) for corporate and retail counterparties
- the adjustment of credit risk models to IFRS 9 that will be applied from 1 January 2018, the date of entry into force of the standard;
- performance of activities requested by the ECB at the time when internal models were being validated with subsequent elimination of the add-ons to risk-weighted assets.

In addition to indicating the principles of governance, assumption and management of credit risk, the Group Credit Risk Governance Policy defines the BPER Group's credit risk appetite. For this purpose, the policy provides for a new system of credit risk exposure limits, establishing supervisory thresholds that have to be monitored periodically. The document also explains the principles for calculating analytical and collective loan loss provisions and for the classification of loans by status.
In order to manage credit risk, the Group has developed a system of credit limits designed to regulate the lending process, together with a system for authorisations that takes account of the riskiness of the customer and/or the transaction, consistent with the risk evaluation systems adopted. This system ensures compliance with the principle that the level of authorisation be consistent with the riskiness of the transaction, envisaging that the limits on decision making are established with reference to one or more aspects of the specific counterparty and transaction risk (in particular counterparty rating, expected loss, amount of the facility).

The internal rating system's risk measures are used for management reporting purposes; in particular, a Credit Risk Book is prepared on a quarterly basis and is an essential tool for the Risk Committee. This is the basic information support for the Risk Committee and contains detailed reports on credit risk at consolidated and individual level (distribution of the portfolio by type and rating classes, dynamics of risk parameters and expected loss, transition matrices, dynamics of general and analytical provisions and decay rates), with differentiated analyses for risk and management segments and geographical area.
In addition, a summary report is prepared on a monthly basis, including the monitoring of supervisory thresholds set for credit risk.
A network reporting tool is also available, characterised by different views of the loan portfolio, with different levels of aggregation (Branch, Regional Division, General Management, Bank and Group) and hierarchical visibility cones.

Following the ECB's authorisation in June 2016 to use internal models for measuring capital requirements for credit risk, starting from the Regulatory Reports at 30 June 2016, the BPER Banca Group began using AIRB methods for the banks included in the scope of the first validation (BPER Banca, Banco di Sardegna and Banca di Sassari) for the following asset classes:

- retail businesses;
- exposure to companies.

In order to optimise the process of monitoring customers, the Parent Company made some refinements to an early warning model, which is capable of analysing performing loans by level of risk, with a view to suggesting timely action to be taken by the responsible functions.
The model was developed using methodology that responds to two key needs in the process of managing performing counterparties:

- the need to identify as a first step those counterparties that, for the sake of prudence, should be monitored actively in order to avoid a deterioration in their position, or to implement actions that will improve the counterparty's risk profile or contain possible future losses;
- the need to define processes for observing these positions, determining the priorities and the rules for monitoring them, in order to optimise the organisational effort of the account managers and the results of such action.

2.3 Credit risk mitigation techniques

Mitigation techniques are an important tool for reducing or transferring part of the credit risk associated with the portfolio of exposure. Consistent with the low propensity to accept risk that characterises operations, the Group seeks to mitigate credit risk, in particular, by obtaining and managing secured and unsecured guarantees. For this purpose, the Group has prepared suitable IT procedures and systems for managing mortgages and financial guarantees in compliance with prudent supervisory requirements, as well as appropriate internal regulations for managing the lifecycles of the other tangible security obtained.

The secured guarantees obtained by the Group generally comprise mortgages on residential and non-residential property, as part of retail lending and, to a lesser extent, loans to Corporate customers, as well as pledges on securities, receivables and cash. An internal procedure developed over a number of years gathers information in an organised form on the property assets of borrowers and on the properties given in guarantee. The value of property is periodically remeasured and updated with reference to the statistical databases maintained by a leading operator in the sector, and steps are taken to renew the related appraisals; an internal function covering the entire banking group has been established to supervise this process and monitor constantly the value obtained to cover exposures, as required by the new regulations. Likewise, the collateral represented by financial instruments is managed within a procedure that updates the fair value on the basis of market trends.

The principal types of unsecured guarantees consist of "specific guarantees" and "restricted omnibus guarantees", mainly given by entrepreneurs in favour of their companies and by Parent Companies in favour of their subsidiaries in the form of binding letters of patronage. Guarantees given by various guarantee consortiums in favour of their members firms are becoming more significant, as well as guarantees given by third party institutions, such as SACE; MCC (Guarantee Fund for SMEs); EIF (European Investment Fund); Guarantee Fund for the First Home, also subject to periodic monitoring.

In order to achieve greater alignment with the new directives introduced by the "Guidelines for banks on non-performing loans (NPL)" issued by the ECB in 2017, the Group carried out an activity to adapt internal regulations, credit processes and applications, which concerned in particular the refinement of the criteria for NPL provisions, the introduction of a new decision tree on forbearance measures, the adoption of new criteria for the management of appraisals on real estate collateral and a more precise definition of the internal rules on write-offs.
Application of the above resulted in higher adjustments to the Bank's non-performing loans for a total of Euro 1.2 million.

2.4 Impaired financial assets

Impaired financial assets are managed by the classification thereof within risk categories established by supervisory regulations based on the risk profile attributed thereto.

The classification of each anomalous position is decided both automatically and by means of an analysis described in an internal regulation that governs in detail the transfer of a counterparty to a certain administrative position when a certain deterioration of its credit quality has occurred.
The classifications of the positions within problem items, when not automatic, takes place on the basis of subjective performance assessments based on monitoring of the credit chain. The tools that we have available make it possible to identify on a timely basis any signs of deterioration in risk relationships, allowing punctual analysis of the credit worthiness and classification of the position to the correct category of risk.
The consistency of the classification of a position in the right risk category, with respect to internal rules and Bank of Italy regulations, is also ensured by second-level checks that, by applying a suitable method, verify not only that classifications are correct, but also the adequacy of provisions, the presence of first-level controls and the effectiveness of recovery processes, so as to ensure strong supervision throughout the entire credit chain. The improvement in the risk profile of counterparties leads to a transfer to better internal classifications; after the completion of subjective and analytical assessments; this may result, in the final analysis, a return to "performing" status.

Quantitative information

A. Credit quality

A.1 Non performing and performing loans: amounts, adjustments, trends, economic and territorial distribution

A.1.1 Distribution of credit exposures by portfolio and quality of lending (book values)

Portfolio/quality	Bad Loans	Unlikely to pay loans	Impaired past due loans	Past due loans not impaired	Other performing exposures	Total
1. Financial assets available for sale	-	-	-	-	10,277,567	10,277,567
2. Financial assets held to maturity	-	-	-	-	2,637,135	2,637,135
3. Due from banks	-	-	-	93	3,909,619	3,909,712
4. Loans to customers	1,854,935	1,563,841	28,986	531,646	33,411,580	37,390,988
5. Financial assets designated at fair value	-	-	-	-	11,572	11,572
6. Financial assets being sold	-	-	-	-	-	-
Total 31.12.2017	**1,854,935**	**1,563,841**	**28,986**	**531,739**	**50,247,473**	**54,226,974**
Total 31.12.2016	**1,879,625**	**2,102,050**	**73,953**	**675,928**	**43,557,850**	**48,289,406**

The following table analyses, portfolio by portfolio, the maturities of loans that are past due but not impaired, as required by IFRS 7, paragraph 37.

Portfolio/Quality	Other assets not overdue	Past due loans that are not considered non-performing			
		Past due up to 3 months	Past due from 3 to 6 months	Past due from 6 to 12 months	Past due for over 1 year
3. Due from banks	3,909,619	93	-	-	-
4. Loans to customers	33,411,580	466,606	49,291	13,534	2,215
Total	**37,321,199**	**531,739**			

A.1.2 Distribution of credit exposures by portfolio and quality of lending (gross and net values)

Portfolio/quality		Non-performing loans			Performing loans			Total
		Gross exposure	Specific provisions	Net exposure	Gross exposure	Collective portfolio provisions	Net exposure	(Net exposure)
1. Financial assets available for sale		-	-	-	10,277,567	-	10,277,567	10,277,567
2. Financial assets held to maturity		-	-	-	2,637,135	-	2,637,135	2,637,135
3. Due from banks		-	-	-	3,909,712	-	3,909,712	3,909,712
4. Loans to customers		7,150,234	3,702,472	3,447,762	34,115,031	171,805	33,943,226	37,390,988
5. Financial assets designated at fair value		-	-	-	#	#	11,572	11,572
6. Financial assets being sold		-	-	-	-	-	-	-
Total	**31.12.2017**	**7,150,234**	**3,702,472**	**3,447,762**	**50,939,445**	**171,805**	**50,779,212**	**54,226,974**
Total	31.12.2016	7,669,831	3,614,203	4,055,628	44,357,051	123,273	44,233,778	48,289,406

Derecognised bad loans to customers involved in insolvency proceedings amount to € 565,066 thousand. As also indicated in paragraph 2.2 of the directors' report on operations, for the purpose of determining the actual level of coverage of bad loans the above mentioned derecognised loans need to be taken into account.

Details of counterparties	Total write-offs
Financial businesses	9,609
- of which: financial and non resident companies	-
Non financial companies	536,388
- of which: non financial and non resident companies	201
Households	19,069
- of which: non resident households	-
Total	**565,066**
- of which: non resident	**201**

Category	Total gross write-offs
Financial businesses	14,364
- of which: financial and non resident companies	-
Non financial companies	149,606
- of which: non financial and non resident companies	140
Households	68,675
- of which: non resident households	5,620
Total	**232,645**
- of which: non resident	**5,760**

The amounts shown above are gross of default interest

Previous write-offs do not include those carried out during the year on bad loans as part of credit extinction events, also reported in the tables A.1.7 and A.1.8, as detailed below.

Portfolio/quality	Low credit quality assets		Other activities
	Cumulated losses	Net exposures	Net exposure
1. Financial assets held for trading	196	543	510,758
2. Hedging derivatives	-	-	52,825
Total 31.12.2017	**196**	**543**	**563,583**
Total 31.12.2016	**1,110**	**2,515**	**634,487**

A.1.3 Banking group - Cash and off-balance sheet exposures to banks: gross and net values and past-due buckets

Type of exposure/Amounts	Gross exposure					Specific provisions	Collective portfolio provisions	Net exposure
	Non-performing loans				Performing exposures			
	up to 3 months	from 3 to 6 months	from 6 to 12 months	over 1 year				
A. Cash exposures								
a) Bad loans	-	-	-	-	#	-	#	-
- of which: forborne exposures	-	-	-	-	#	-	#	-
b) Unlikely to pay loans	-	-	-	-	#	-	#	-
- of which: forborne exposures	-	-	-	-	#	-	#	-
c) Impaired past due loans	-	-	-	-	#	-	#	-
- of which: forborne exposures	-	-	-	-	#	-	#	-
d) Not impaired past due loans	#	#	#	#	93	#	-	93
- of which: forborne exposures	#	#	#	#	-	#	-	-
e) Other performing assets	#	#	#	#	9,829,407	#	-	9,829,407
- of which: forborne exposures	#	#	#	#	-	#	-	-
Total A	**-**	**-**	**-**	**-**	**9,829,500**	**-**	**-**	**9,829,500**
B. Off-balance sheet exposures								
a) Non-performing exposures	-	-	-	-	#	-	#	-
b) Performing exposures	#	#	#	#	568,706	#	-	568,706
Total B	**-**	**-**	**-**	**-**	**568,706**	**-**	**-**	**568,706**
Total (A+B)	**-**	**-**	**-**	**-**	**10,398,206**	**-**	**-**	**10,398,206**

A.1.6 Cash and off-balance sheet credit exposures to customers: gross and net values and past-due buckets

Type of exposure/Amounts	Gross exposure					Specific provisions	Collective Portfolio provisions	Net exposure
	Non-performing loans				Performing exposures			
	up to 3 months	from over 3 to 6 months	from over 6 to 12 months	over 1 year				
A. Cash exposures								
a) Bad loans	-	156	-	4,870,837	#	3,016,058	#	1,854,935
- of which: forborne exposures	-	-	-	767,015	#	372,358	#	394,657
b) Unlikely to pay loans	942,215	106,237	286,828	910,673	#	682,112	#	1,563,841
- of which: forborne exposures	709,800	62,152	158,850	338,022	#	341,459	#	927,365
c) Impaired past due loans	2,386	12,197	16,258	2,447	#	4,302	#	28,986
- of which: forborne exposures	145	249	671	184	#	122	#	1,127
d) Not impaired past due loans	#	#	#	#	540,948	#	9,302	531,646
- of which: forborne exposures	#	#	#	#	48,825	#	1,025	47,800
e) Other assets	#	#	#	#	40,956,567	#	162,503	40,794,064
- of which: forborne exposures	#	#	#	#	609,096	#	8,255	600,841
Total A	**944,601**	**118,590**	**303,086**	**5,783,957**	**41,497,515**	**3,702,472**	**171,805**	**44,773,472**
B. Off-Balance Sheet exposure								
a) Non-performing loans	158,597	-	-	-	#	41,858	#	116,739
b) Other	#	#	#	#	3,138,670	#	29,925	3,108,745
Total B	**158,597**	**-**	**-**	**-**	**3,138,670**	**41,858**	**29,925**	**3,225,484**
Total (A+B)	**1,103,198**	**118,590**	**303,086**	**5,783,957**	**44,636,185**	**3,744,330**	**201,730**	**47,998,956**

The table includes the exposure to impaired loans deriving from the business combination on the acquisition of Nuova Cassa di Risparmio di Ferrara. In particular, the total gross amount, € 65,486 thousand, is covered by impairment adjustments of € 49,800 thousand.

Note that the "Up to 3 months" period includes non-performing exposures with forbearance measures, which in the "cure period" do not have an expiry date for a gross value of Euro 603.7 million (Euro 457.9 million of net exposure).

Details of impairment losses on an analytical and collective basis on performing and non-performing loans are provided below.

	Non-performing loans				Performing assets		
	Gross exposure	Specific adjustments - specific measurement	Specific adjustments - automatic measurement	Net exposure	Gross exposure	Collective portfolio adjustments	Net exposure
On-balance sheet credit exposures to customers (Loans and debt securities)	**7,149,277**	**3,535,718**	**166,754**	**3,446,805**	**34,264,580**	**171,806**	**34,092,774**
Governments and other public entities	2,492	160	134	2,198	2,087,736	10,178	2,077,558
Financial businesses	227,552	138,648	2,540	86,364	4,922,892	6,387	4,916,505
Non-financial companies	5,569,066	2,799,876	92,436	2,676,754	16,054,537	122,440	15,932,097
Individuals and family businesses	1,350,167	597,034	71,644	681,489	11,199,415	32,801	11,166,614

The figures in the table above refer to caption 70 "Loans to customers" at 31 December 2017.

A.1.7 Cash credit exposures to customers: dynamics of gross impaired loans

Description/categories	Bad loans	Unlikely to pay loans	Impaired past due loans
A. Opening gross exposure	**4,727,690**	**2,860,537**	**81,604**
- of which: sold but not derecognised	-	-	-
B. Increases	**756,310**	**866,523**	**52,346**
B.1 transfers from performing loans	75,362	459,967	30,358
B.2 transfers from other categories of impaired exposures	563,468	54,100	3,837
B.3 other increases	117,480	352,456	18,151
- of which business combinations	32,091	29,505	3,890
C. Decreases	**613,007**	**1,481,107**	**100,662**
C.1 transfers to performing loans	-	282,399	16,820
C.2 write-offs	232,645	18,818	1
C.3 collections	204,791	568,581	18,811
C.4 proceeds from disposals	46,008	24,920	-
C.5 losses from disposals	125,879	28,493	-
C.6 transfers to other categories of impaired exposures	877	555,498	65,030
C.7 other decreases	2,807	2,398	-
D. Closing gross exposure	**4,870,993**	**2,245,953**	**33,288**
- of which: assets sold but not derecognised	-	-	-

A.1.7 bis On-balance sheet credit exposures to customers: dynamics of gross forborne exposures by credit quality

Description/Quality	Non-performing forborne exposures	Performing forborne exposures
A. Opening balance - gross exposure	**2,133,866**	**720,451**
- of which: assets sold but not derecognised	-	-
B. Increases	**702,518**	**555,698**
B.1 transfers from performing not forborne	189,601	203,298
B.2 transfers from performing forborne	88,980	#
B.3 transfers from non-performing forborne	#	159,965
B.4 other increases	423,937	192,435
C. Reductions	**799,296**	**618,228**
C.1 transfers to performing not forborne	#	245,012
C.2 transfers to performing forborne	159,965	#
C.3 transfers from non-performing forborne	#	88,980
C.4 write-offs	12,644	-
C.5 collections	398,905	284,236
C.6 proceeds from disposals	7,263	-
C.7 losses from disposals	21,727	-
C.8 transfers to other categories of impaired exposures	198,792	-
D. Gross exposure closing balance	**2,037,088**	**657,921**
- of which: assets sold but not derecognised	-	-

A.1.8 Non performing cash credit exposures to customers: dynamics of total write-downs

Description/categories	Bad Loans		Unlikely to pay loans		Impaired past due loans	
	Total	of which: forborne exposures	Total	of which: forborne exposures	Total	of which: forborne exposures
A. Total opening adjustments	**2,848,065**	**273,399**	**758,487**	**343,122**	**7,651**	**132**
- of which: sold but not derecognised	-	-	-	-	-	-
B. Increases	**746,510**	**156,956**	**287,375**	**153,306**	**4,147**	**121**
B.1 adjustments	523,070	111,118	257,448	153,212	2,989	98
B.2 loss from disposals	15,748	-	2,088	-	-	-
B.3 transfer from other categories of impaired exposures	173,443	45,838	4,921	94	538	23
B.4 other increases	34,249	-	22,918	-	620	-
C. Reductions	**578,517**	**57,997**	**363,750**	**154,969**	**7,496**	**131**
C.1 write-backs on valuation	153,325	40,440	91,585	51,255	1,741	17
C.2 write-backs due to collections	61,555	6,373	51,997	34,454	93	9
C.3 bis profit from disposals	1,522	-	-	-	-	-
C.4 write-offs	232,645	7,875	18,818	4,769	1	-
C.5 transfer to other categories of impaired exposures	384	-	172,857	45,850	5,661	105
C.6 other decreases	129,086	3,309	28,493	18,641	-	-
D. Total closing adjustments	**3,016,058**	**372,358**	**682,112**	**341,459**	**4,302**	**122**
- of which: sold but not derecognised	-	-	-	-	-	-

The other increases include adjustments made to the non-performing loans recognised on the consolidation of Nuova Cassa di Risparmio di Ferrara (bad loans, € 26,230 thousand; unlikely-to-pay loans, € 22,920 thousand; past due non-performing loans, € 619 thousand).
The adjustments take account of default interest accrued in the year of € 11,845 thousand.
Writebacks also take into account prior year default interest that has been collected for an amount of € 1,504 thousand.

Determination of impairment of performing loans ("collective" method)

The Bank's method used for the determination of collective impairment provides for the calculation of collective impairment by single exposure by means of the following formula:

IMPAIRMENT=EXP*PD*LGD

- EXP = gross book value in the case of cash exposures; nominal value multiplied by the regulatory credit equivalent (standard method) in the case of off-balance sheet exposures;
- PD = a figure that estimates the probability of default at 1 year. The PDs associated with internal official ratings are used;
- LGD = Rate of loss in case of default. The LGD estimated by the internal models developed as part of the Basel 2 project is applied, less the downturn component and indirect costs (LGD for management purposes).

A.2 Classification of exposures based on external and internal ratings

A.2.1 Distribution of cash and "off-balance sheet" exposures by external rating class

Exposures	External rating classes						Total
	AAA/AA-	A+/A-	BBB+/BBB-	BB+/BB-	B+/B-	Down of B-	
A. Cash exposures	644,805	5,983,522	882,477	143,775	333,487	12,267	8,000,333
B. Derivatives	14	305	1,918	563	-	-	2,800
B.1 Financial derivatives	14	305	1,918	563	-	-	2,800
B.2 Credit derivatives	-	-	-	-	-	-	-
C. Guarantees given	3,307	227,828	92,710	20,520	11,356	-	355,721
D. Commitments to make loans	-	11,519	144,154	995	-	-	156,668
E.Other	-	-	-	-	-	-	-
Total	**648,126**	**6,223,174**	**1,121,259**	**165,853**	**344,843**	**12,267**	**8,515,522**

	with external rating	Unrated	Total
A. Cash exposures	8,000,333	46,806,440	54,806,773
B+C+D+E. Off-balance sheet exposures	515,189	3,279,001	3,794,190
Total	**8,515,522**	**50,085,441**	**58,600,963**

The following rating agencies are used: Scope Ratings for exposures to central administrations, Cerved Group for exposures to businesses, FITCH for exposures deriving from securitisations.

A.2.2 Distribution of cash and "off-balance sheet" exposures by internal rating class

Exposures to individuals:

Exposures	Internal rating class						
	1	2	3	4	5	6	7
A. Cash exposures	1,640,498	1,146,110	1,252,112	1,390,498	2,093,161	881,633	676,470
B. Derivatives	27	32	-	35	71	37	-
B.1 Financial derivatives	27	32	-	35	71	37	-
B.2 Credit derivatives	-	-	-	-	-	-	-
C. Guarantees given	5,869	3,032	4,724	4,017	5,595	5,852	2,811
D. Commitments to make loans	4,691	2,726	3,698	5,739	4,772	2,135	2,164
E. Other	-	-	-	-	-	-	-
Total	**1,651,085**	**1,151,900**	**1,260,534**	**1,400,289**	**2,103,599**	**889,657**	**681,445**

(cont.)

Exposures	Internal rating class						
	8	9	10	11	12	13	Totale
A. Cash exposures	412,522	247,740	165,717	121,753	51,771	130,043	10,210,028
B. Derivatives	-	-	23	-	-	-	225
B.1 Financial derivatives	-	-	23	-	-	-	225
B.2 Credit derivatives	-	-	-	-	-	-	-
C. Guarantees given	5,080	3,239	875	345	164	188	41,791
D. Commitments to make loans	441	337	471	91	3	89	27,357
E. Other	-	-	-	-	-	-	-
Total	**418,043**	**251,316**	**167,086**	**122,189**	**51,938**	**130,320**	**10,279,401**

Exposure to businesses:

Exposures	Internal rating class						
	1	2	3	4	5	6	7
A. Cash exposures	1,275,673	1,595,931	2,192,243	2,321,284	2,329,589	1,230,173	397,756
B. Derivatives	1,845	1,508	1,850	9,347	16,559	5,256	4,656
B.1 Financial derivatives	1,845	1,508	1,850	9,347	16,559	5,256	4,656
B.2 Credit derivatives	-	-	-	-	-	-	-
C. Guarantees given	195,114	178,935	230,798	185,367	96,257	56,212	47,108
D. Commitments to make loans	6,092	11,622	58,102	19,062	17,793	57,341	5,781
E. Other	-	-	-	-	-	-	-
Total	**1,478,724**	**1,787,996**	**2,482,993**	**2,535,060**	**2,460,198**	**1,348,982**	**455,301**

(cont.)

Exposures	Internal rating class						
	8	9	10	11	12	13	Totale
A. Cash exposures	325,294	138,983	87,250	55,779	42,097	32,987	12,025,039
B. Derivatives	236	1	243	-	-	540	42,041
B.1 Financial derivatives	236	1	243	-	-	540	42,041
B.2 Credit derivatives	-	-	-	-	-	-	-
C. Guarantees given	16,032	8,762	3,802	2,112	8,001	8,743	1,037,243
D. Commitments to make loans	2,066	1,663	1,244	123	-	609	181,498
E. Other	-	-	-	-	-	-	-
Total	**343,628**	**149,409**	**92,539**	**58,014**	**50,098**	**42,879**	**13,285,821**

Exposure to large businesses:

Exposures	Internal rating class						
	1	2	3	4	5	6	7
A. Cash exposures	87,003	374,147	713,926	917,556	925,702	415,054	128,596
B. Derivatives	269	366	2,001	1,239	817	85	88
B.1 Financial derivatives	269	366	2,001	1,239	817	85	88
B.2 Credit derivatives	-	-	-	-	-	-	-
C. Guarantees given	49,827	109,605	191,402	193,272	163,597	103,064	28,564
D. Commitments to make loans	-	928	5,224	20,330	3,942	90,884	563
E. Other	-	-	-	-	-	-	-
Total	**137,099**	**485,046**	**912,553**	**1,132,397**	**1,094,058**	**609,087**	**157,811**

(cont.)

Exposures	Internal rating class						
	8	9	10	11	12	13	Totale
A. Cash exposures	145,274	33,812	68,188	28,543	20,436	3,417	3,861,654
B. Derivatives	418	361	-	-	-	-	5,644
B.1 Financial derivatives	418	361	-	-	-	-	5,644
B.2 Credit derivatives	-	-	-	-	-	-	-
C. Guarantees given	20,919	3,624	6,222	377	525	49,349	920,347
D. Commitments to make loans	409	-	-	-	-	-	122,280
E. Other	-	-	-	-	-	-	-
Total	**167,020**	**37,797**	**74,410**	**28,920**	**20,961**	**52,766**	**4,909,925**

	with external rating	Unrated	Total
A. Cash exposures	26,096,721	28,506,251	54,602,972
B+C+D+E. Off-balance sheet exposures	2,378,426	1,415,764	3,794,190
Total	**28,475,147**	**29,922,016**	**58,397,163**

On 24 June 2016, the ECB authorised the Group to use the IRB Advanced Method (PD, LGD, EAD parameters) for the quantification of the capital requirement for customers' credit risk from 30 June 2016.
The internal rating classes are shown as they are used in the management of credit risk. The Group's rating system for the valuation of counterparties is divided into a Large Corporate model, a Corporate model and an Individuals model. Creditworthiness classifications are represented by 13 rating classes regarding performing counterparties, differentiated by risk segment, and by a class relating to default. In turn, the 13 rating classes have been grouped into 5 operational classes, which indicate aggregate risk levels:

Operational Classes (of risk)	Rating Classes
High	10 - 11 - 12 - 13
Significant	8 -9
Average	5 - 6 - 7
Low	3 - 4
Very low	1 - 2

Cash exposures include all financial assets held on a cash basis whatever their accounting allocation portfolio is (measured at fair value, available for sale, held to maturity, loans), with the exception of equity instruments and UCITS units, as a PD-LGD approach is not used in their case; "off-balance sheet" exposures include all financial transactions other than cash transactions (guarantees given, commitments, derivatives) that involve the assumption of a credit risk, whatever the purpose of such transactions is (trading, hedging, etc.)

A.3 Distribution of guaranteed exposures by type of guarantee

A.3.1 Guaranteed credit exposures to banks

	Amount of net exposure	Real guarantees (1)			
		Property - Mortgages	Property finance lease	Securities	Other secured guarantees
1. Guaranteed cash exposures:	**605,187**	**-**	**-**	**564,750**	**-**
1.1. fully guaranteed	605,187	-	-	564,750	-
- of which: non-performing exposures	-	-	-	-	-
1.2. partially guaranteed	-	-	-	-	-
- of which: non-performing exposures	-	-	-	-	-
2. Guaranteed off-balance sheet credit exposures:	**21,040**	**-**	**-**	**-**	**-**
2.1. fully guaranteed	20,993	-	-	-	-
- of which: non-performing exposures	-	-	-	-	-
2.2. partially guaranteed	47	-	-	-	-
- of which: non-performing exposures	-	-	-	-	-

(cont.)

	Personal guarantees (2)									Total (1)+(2)
	Credit Derivatives					Endorsement credits				
		Other derivatives								
	Creadit link notes	Governments and central banks	Other public entities	Banks	Other parties	Governments and central banks	Other public entities	Banks	Other parties	
1. Guaranteed cash exposures:	**-**	**-**	**-**	**-**	**-**	**36,146**	**-**	**1,878**	**-**	**602,774**
1.1. fully guaranteed	-	-	-	-	-	36,146	-	1,878	-	602,774
- of which: non-performing exposures	-	-	-	-	-	-	-	-	-	-
1.2. partially guaranteed	-	-	-	-	-	-	-	-	-	-
- of which: non-performing exposures	-	-	-	-	-	-	-	-	-	-
2. Guaranteed off-balance sheet credit exposures:	**-**	**-**	**-**	**-**	**-**	**20,553**	**-**	**195**	**292**	**21,040**
2.1. fully guaranteed	-	-	-	-	-	20,553	-	195	245	20,993
- of which: non-performing exposures	-	-	-	-	-	-	-	-	-	-
2.2. partially guaranteed	-	-	-	-	-	-	-	-	47	47
- of which: non-performing exposures	-	-	-	-	-	-	-	-	-	-

A.3.2 Guaranteed credit exposures to customers

	Amount of net exposure	Real guarantees (1)			
		Property - Mortgages	Property Finance lease	Securities	Other secured guarantees
1. Guaranteed cash exposures:	**21,703,008**	**14,736,044**	**-**	**523,373**	**496,318**
1.1. fully guaranteed	19,381,097	14,353,187	-	384,196	443,320
- of which: non-performing exposures	2,514,089	2,093,296	-	6,374	3,160
1.2. partially guaranteed	2,321,911	382,857	-	139,177	52,998
- of which: non-performing exposures	487,502	256,733	-	3,834	6,571
2. Guaranteed off-balance sheet credit exposures:	**896,726**	**6,073**	**-**	**62,190**	**58,898**
2.1. fully guaranteed	640,475	3,166	-	39,680	42,640
- of which: non-performing exposures	44,359	498	-	1,323	5,035
2.2. partially guaranteed	256,251	2,907	-	22,510	16,258
- of which: non-performing exposures	2,176	407	-	270	30

(cont.)

	Personal guarantees (2)									Total (1)+(2)
	Credit derivatives					Endorsement credits				
		Other derivatives								
	Credit link notes	Governments and central banks	Other public entities	Banks	Other parties	Governments and central banks	Other pubblic entities	Banks	Other parties	
1. Guaranteed cash exposures:	**-**	**-**	**-**	**-**	**-**	**22,280**	**538,222**	**45,171**	**4,502,635**	**20,864,043**
1.1. fully guaranteed	-	-	-	-	-	8,677	254,348	36,746	3,897,705	19,378,179
- of which: non-performing exposures	-	-	-	-	-	428	6,028	184	402,563	2,512,033
1.2. partially guaranteed	-	-	-	-	-	13,603	283,874	8,425	604,930	1,485,864
- of which: non-performing exposures	-	-	-	-	-	231	4,710	120	95,588	367,787
2. Guaranteed off-balance sheet credit exposures:	**-**	**-**	**-**	**-**	**-**	**749**	**1,145**	**7,289**	**724,296**	**860,640**
2.1. fully guaranteed	-	-	-	-	-	-	-	7,289	547,699	640,474
- of which: non-performing exposures	-	-	-	-	-	-	-	-	37,502	44,358
2.2. partially guaranteed	-	-	-	-	-	749	1,145	-	176,597	220,166
- of which: non-performing exposures	-	-	-	-	-	-	-	-	1,036	1,743

B. Distribution and concentration of credit exposures

B.1 Distribution by sector of cash and “off-balance sheet” exposures to customers (book value)

Exposures/Counterparts	Governments			Other Pubblic Entities			Financial businesses		
	Net ex	Specif pro	Co portf	Net ex	Specifi prov	Co portf	Net ex	Specific prov	Co portf
A. Cash exposure									
A.1 Bad loans	-	-	#	-	-	#	26,814	98,718	#
- of which: forborne exposures	-	-	#	-	-	#	6,530	8,533	#
A.2 Unlikelyt to pay loans	-	1	#	2,196	293	#	59,525	42,456	#
- of which: forborne exposures	-	-	#	2,107	239	#	44,957	21,851	#
A.3 Impaired past due loans	-	-	#	2	-	#	25	13	#
- of which: forborne exposures	-	-	#	-	-	#	-	-	#
A.5 Performing exposures	6,790,694	#	-	385,919	#	10,178	6,417,474	#	6,382
- of which: forborne exposures	-	#	-	10,913	#	290	55,614	#	610
Total A	**6,790,694**	**1**	**-**	**388,117**	**293**	**10,178**	**6,503,838**	**141,187**	**6,382**
B. Off-Balance Sheet exposures									
B.1Bad loans	-	-	#	-	-	#	21	18	#
B.2 Unlikely to pay loans	-	-	#	34	2	#	1,441	29	#
B.3 Other impaired loans	-	-	#	-	-	#	-	-	#
B.4 Performing exposures	76,787	#	-	2,903	#	6	453,337	#	907
Total B	**76,787**	**-**	**-**	**2,937**	**2**	**6**	**454,799**	**47**	**907**
Total (A+B) 31.12.2017	**6,867,481**	**1**	**-**	**391,054**	**295**	**10,184**	**6,958,637**	**141,234**	**7,289**
Total (A+B) 31.12.2016	**6,543,428**	**-**	**-**	**284,839**	**661**	**809**	**5,882,499**	**184,317**	**4,856**

(cont.)

Exposures/Counterparts	Insurance companies			Non-financial companies			Other entities		
	Net e	Speci pr	Collec port	Net ex	Specific provi	Collective portfo	Net ex	Specifi prov	Collective portfo
A. Cash exposure									
A.1 Bad loans	-	-	#	1,580,778	2,582,235	#	247,343	335,105	#
- of which: forborne exposures	-	-	#	332,413	294,516	#	55,714	69,309	#
A.2 Unlikelyt to pay loans	-	-	#	1,336,445	582,302	#	165,675	57,060	#
- of which: forborne exposures	-	-	#	784,227	288,839	#	96,074	30,530	#
A.3 Impaired past due loans	-	-	#	19,255	2,936	#	9,704	1,353	#
- of which: forborne exposures	-	-	#	736	78	#	391	44	#
A.5 Performing exposures	75,815	#	5	18,769,461	#	133,166	8,886,347	#	22,074
- of which: forborne exposures	-	#	-	442,859	#	6,964	139,255	#	1,416
Total A	**75,815**	**-**	**5**	**21,705,939**	**3,167,473**	**133,166**	**9,309,069**	**393,518**	**22,074**
B. Off-Balance Sheet exposures									
B.1Bad loans	-	-	#	14,669	27,571	#	147	191	#
B.2 Unlikely to pay loans	-	-	#	98,938	13,861	#	923	131	#
B.3 Other impaired loans	-	-	#	541	53	#	25	2	#
B.4 Performing exposures	10,901	#	4	2,444,675	#	3,772	120,084	#	25,236
Total B	**10,901**	**-**	**4**	**2,558,823**	**41,485**	**3,772**	**121,179**	**324**	**25,236**
Total (A+B) 31.12.2017	**86,716**	**-**	**9**	**24,264,762**	**3,208,958**	**136,938**	**9,430,248**	**393,842**	**47,310**
Total (A+B) 31.12.2016	**193,840**	**-**	**5**	**23,798,012**	**3,061,030**	**109,924**	**8,405,155**	**410,885**	**21,069**

B.2 Territorial distribution of the cash and "off-balance sheet" exposure to customers (book value)

Exposures/Geographical area	Italy		Other european countries		America		Asia		Rest of the world	
	Net e›	dow Total w	Net e	dov Total \	Net e	do\ Total	Net ε	do Total	Net ‹	do Total
A. Cash exposure										
A.1 Bad loans	1,846,841	2,993,721	8,058	22,265	35	54	-	-	1	18
A.2 Unlikely to pay loans	1,518,626	650,886	43,190	29,340	1,902	1,775	10	11	113	100
A.3 Impaired past due loans	28,983	4,291	3	7	-	2	-	1	-	1
A.5 Performing exposures	38,263,032	170,964	1,734,178	222	1,123,372	21	143,807	591	61,321	7
Total A	**41,657,482**	**3,819,862**	**1,785,429**	**51,834**	**1,125,309**	**1,852**	**143,817**	**603**	**61,435**	**126**
B. Off-Balance Sheet exposures										
B.1 Bad Loans	14,837	27,780	-	-	-	-	-	-	-	-
B.2 Unlikely to pay loans	101,336	14,023	-	-	-	-	-	-	-	-
B.3 Other impaired loans	566	55	-	-	-	-	-	-	-	-
B.4 Performing exposures	2,950,484	29,176	157,347	749	229	-	627	-	-	-
Total B	**3,067,223**	**71,034**	**157,347**	**749**	**229**	**-**	**627**	**-**	**-**	**-**
Total (A+B) 31.12.2017	**44,724,705**	**3,890,896**	**1,942,776**	**52,583**	**1,125,538**	**1,852**	**144,444**	**603**	**61,435**	**126**
Total (A+B) 31.12.2016	**42,746,515**	**3,718,361**	**1,255,925**	**72,712**	**961,364**	**2,388**	**96,119**	**70**	**47,850**	**25**

B.2.1 Territorial distribution of the cash and "off-balance sheet" exposure to customers (book value)

Exposures/Geographical area	North-West Italy		North-East Italy		Central Italy		South of Italy and islands		Rest of the world	
	Net e	do\ Total \	Net e:	dow Total w	Net e	do\ Total	Net e:	dow Total v	expos Net	do Total
A. Cash exposure										
A.1 Bad loans	138,305	261,550	799,111	1,244,060	190,478	432,594	718,947	1,055,517	8,094	22,337
A.2 Unlikely to pay loans	78,610	45,271	786,787	364,502	212,315	82,258	440,914	158,855	45,215	31,226
A.3 Impaired past due loans	1,485	219	7,325	912	8,791	1,200	11,382	1,960	3	11
A.4 Performing exposures	4,314,526	16,480	15,645,577	46,317	9,156,469	20,078	9,146,460	88,089	3,062,678	841
Total A	**4,532,926**	**323,520**	**17,238,800**	**1,655,791**	**9,568,053**	**536,130**	**10,317,703**	**1,304,421**	**3,115,990**	**54,415**
B. Off-Balance Sheet exposures										
B.1 Bad loans	1,166	2,552	9,011	18,712	3,068	3,082	1,592	3,434	-	-
B.2 Unlikely to pay loans	4,972	777	79,285	10,608	9,915	1,392	7,164	1,246	-	-
B.3 Other impaired loans	92	10	177	22	21	3	276	20	-	-
B.4 Performing exposures	501,203	703	1,615,524	27,282	353,279	452	480,478	739	158,203	749
Total B	**507,433**	**4,042**	**1,703,997**	**56,624**	**366,283**	**4,929**	**489,510**	**5,439**	**158,203**	**749**
Total (A+B) 31.12.2017	**5,040,359**	**327,562**	**18,942,797**	**1,712,415**	**9,934,336**	**541,059**	**10,807,213**	**1,309,860**	**3,274,193**	**55,164**
Total (A+B) 31.12.2016	**4,855,385**	**346,270**	**17,834,657**	**1,624,876**	**9,790,311**	**555,636**	**10,266,162**	**1,191,579**	**2,361,258**	**75,195**

B.3 Territorial distribution of the cash and "off-balance sheet" exposure to banks (book value)

Exposures/Geographic Area	Italy		Other EU countries		America		Asia		Rest of the world	
	Net e	- dov Total	Net e	- dov Total	Net e	- dov Total	Net e	- dov Total	expo Net	- dov Total
A. Balance Sheet exposures										
A.1 Bad loans	-	-	-	-	-	-	-	-	-	-
A.2 Unlikely to pay loans	-	-	-	-	-	-	-	-	-	-
A.3 Impaired past due loans	-	-	-	-	-	-	-	-	-	-
A.4 Performing exposures	4,203,493	-	4,091,574	-	425,286	-	81,713	-	1,027,434	-
Total A	**4,203,493**	**-**	**4,091,574**	**-**	**425,286**	**-**	**81,713**	**-**	**1,027,434**	**-**
B. Off-Balance Sheet exposures										
B.1 Bad loans	-	-	-	-	-	-	-	-	-	-
B.2 Unlikely to pay loans	-	-	-	-	-	-	-	-	-	-
B.3 Other impaired loans	-	-	-	-	-	-	-	-	-	-
B.4 Performing exposures	66,178	-	125,664	-	20,664	-	54,575	-	18,593	-
Total B	**66,178**	**-**	**125,664**	**-**	**20,664**	**-**	**54,575**	**-**	**18,593**	**-**
Total (A+B) 31.12.2017	**4,269,671**	**-**	**4,217,238**	**-**	**445,950**	**-**	**136,288**	**-**	**1,046,027**	**-**
Total (A+B) 31.12.2016	**2,452,145**	**-**	**3,173,754**	**-**	**363,870**	**-**	**129,715**	**-**	**920,153**	**-**

B.3.1 Territorial distribution of the cash and "off-balance sheet" exposure to banks (book value)

Exposures/Geographic area	North-West Italy		North-East Italy		Central Italy		South of Italy and islands		Rest of the world	
	Net e	- dov Total	Net e	- dov Total	Net e	- dov Total	Net e	- dov Total	Net e	- dov Total
A. Balance Sheet exposures										
A.1 Bad loans	-	-	-	-	-	-	-	-	-	-
A.2 Unlikely to pay loans	-	-	-	-	-	-	-	-	-	-
A.3 Impaired past due loans	-	-	-	-	-	-	-	-	-	-
A.Performing exposures	1,324,851	-	155,195	-	2,316,613	-	406,834	-	5,626,007	-
Total A	**1,324,851**	**-**	**155,195**	**-**	**2,316,613**	**-**	**406,834**	**-**	**5,626,007**	**-**
B. Off-Balance Sheet exposures										
B.1 Bad loans	-	-	-	-	-	-	-	-	-	-
B.2 Unlikely to pay loans	-	-	-	-	-	-	-	-	-	-
B.3 Other impaired loans	-	-	-	-	-	-	-	-	-	-
B.4 Performing exposures	52,918	-	580	-	2,781	-	9,899	-	219,496	-
Total B	**52,918**	**-**	**580**	**-**	**2,781**	**-**	**9,899**	**-**	**219,496**	**-**
Totale (A+B) 31.12.2017	**1,377,769**	**-**	**155,775**	**-**	**2,319,394**	**-**	**416,733**	**-**	**5,845,503**	**-**
Totale (A+B) 31.12.2016	**1,188,502**	**-**	**142,219**	**-**	**734,891**	**-**	**386,533**	**-**	**4,587,492**	**-**

B.4 Large exposures

	31.12.2017	31.12.2016
a) Book value	20,045,387	18,551,713
b) Weighted value	3,585,383	2,661,309
c) Number	10	8

This measurement was made on the basis of the recent updates to Circular 285 which regulate "large exposures".
The rules define as a "large exposure" the amount of cash assets at risk and off-balance sheet transactions of a single customer or group of related customers that come to 10% or more of admissible capital.
Note that repurchase agreements are included in the amount of risk activities. These transactions contribute to the value of the counterparty exposure for the amount of "securities to be received", while they contribute to the exposure after CRM and exemptions under art. 400 CRR only for the difference between the amount of "securities to be received" and the cash deposit received.
At the end of the year, there are ten "major risks" for an overall amount of € 20,045 million, corresponding to € 3,585 million of weighted value. Of these, repurchase agreements account for € 3,698 million and € 184 million.
These exposures include the Treasury Ministry and the Ministry of Economy and Finance for a nominal value of € 7,612 million (38% of the total).
The remainder consists mainly of balances with large banking groups, a counterparty company and an associated company for a nominal amount of € 4,988 million and a weighted amount of € 2,420 million.

To facilitate an understanding of the degree of concentration of loans, the nominal value of major exposures has been provided.

Concentration of risks:

Reference date: 31.12.2017	Amount of the exposure	Amount of the exposure after CRM and exemptions under art. 400 CRR
First 5 exposures	16,888,704	1,364,826
First 10 exposures	20,045,387	3,585,383
First 20 exposures	23,734,584	5,573,001

Reference date: 31.12.2016	Amount of the exposure	Amount of the exposure after CRM and exemptions under art. 400 CRR
First 5 exposures	16,559,632	2,038,769
First 10 exposures	19,444,538	3,102,104
First 20 exposures	23,256,414	4,992,438

C. Securitisation transactions

QUALITATIVE INFORMATION

The primary objectives of the securitisation transactions arranged by the Bank in relation to non-performing loans are:

- to improve the asset structure of the banks concerned;
- to facilitate loan recovery strategies and make them more efficient (by centralising work with one group of lawyers);
- to exercise rigorous, direct control over higher risk loans, without modifying the overall risk profile.

Transactions involving performing contracts are, on the other hand, arranged in order to optimise funding.

At 31 December 2017, BPER Banca is involved in the following transactions:

- Mutina
- Diesis
- Casa d'Este 1
- Casa d'Este 2

Mutina (transaction structured pursuant to Law 130 dated 30 April 1999)

Disposal date:	27 June 2002
Seller:	"Multi-originator" transaction arranged by the following Group banks: - Banca del Monte di Foggia s.p.a. (2); - Banca Popolare di Aprilia s.p.a. (4); - Banca Popolare dell'Irpinia s.p.a. (1); - Banca Popolare di Lanciano e Sulmona s.p.a.(4); - Banca Popolare del Materano s.p.a. (3); - Banca Popolare di Salerno s.p.a. (1); - Cassa di Risparmio della Provincia dell'Aquila s.p.a. (4); - Banca Popolare di Crotone s.p.a.(3); - Banca di Sassari s.p.a. (5) (1) merged with Banca della Campania s.p.a. on 23/06/03 (2) merged with Banca della Campania s.p.a. on 28/12/06 (3) merged with Banca popolare del Mezzogiorno on 03/11/08. (4) now part of BPER as a result of the merger on 27/05/13. (1)(2)(3) Banca della Campania and Banca Popolare del Mezzogiorno are now part of BPER as a result of the merger on 24/11/2014. (5) On 23 May 2016 Banco di Sardegna acquired a business unit of Banca di Sassari, that includes this type.
Special purpose vehicle:	Mutina s.r.l., with registered offices in Modena. Held 100% by BPER Banca (as a result of the merger of Em.Ro. popolare s.p.a. and Meliorbanca s.p.a. in 2012).
Servicer:	Nettuno Gestione Crediti s.p.a. as Master Servicer; the originator banks are used as sub-servicers. Until 31 December 2015, the Parent Company BPER was the back-up servicer. The new "Master Servicing Agreement" was signed on 15 December 2015, providing for the appointment of BPER (former back-up servicer) as a new Master Servicer in place of Nettuno Gestione Crediti s.p.a., with effect from 1 January 2016.
Issue date of securities	20 March 2003
Type of transaction	Standard
Organisation	Commencing from the closing date, the Master Servicer prepares quarterly and six-monthly statements that are provided to the vehicle company. The reports discuss the activities performed and the collections, with details of interest and principal payments made. This information is also provided regularly to General Management and the administrative bodies of the Parent Company, BPER. The Master Servicer ensures that the proper disclosures required by the Bank of Italy are made to the Central Risks database and for supervisory purposes.
Internal systems for the measurement and control of risk	The recovery of loans and management of collections is carried out, in accordance with the contractually-agreed code of conduct, by an organisational unit dedicated to this task.

The operational aspects are summarised below:

Assets sold	Loans of banking origin
Quality of assets securitised	Non-performing
Amount of securitised assets	The carrying amount of the loans portfolio was Euro 840,160,206.
Disposal price of securitised assets	The disposal price was Euro 412,514,712.
Guarantees and credit lines granted by the bank	Liquidity line equal to 20% of the amount of the Senior securities issued.
Guarantees and credit lines granted by third parties	None.
Related financial transactions	Limited recourse loan in the form of government securities representing 120% of the amount of the Senior securities issued.
Analysis by business sector	Not provided for non-performing loans since this would not be significant given their nature (the businesses concerned may have closed, be bankrupt or subject to other forms of court-supervised arrangements).
Analysis by geographical area	The securitised loans were made to parties resident in Italy, mainly in the central and southern regions of the country.

The special purpose vehicle has issued the following no. 10 bonds in two categories, Senior and Junior.

(in thousands)

ISIN Code	Seniority	Maturity	Issue amount	Residual balance at 31.12.2017	Rating Fitch	Rating S&P
IT0003444327	Senior	Aug-09	228,000	-	AA-	A+
IT0003444350	Junior	Feb-19	12,069	2,054	n.r.	n.r.
IT0003444376	Junior	Feb-19	12,143	7,251	n.r.	n.r.
IT0003444392	Junior	Feb-19	24,001	13,704	n.r.	n.r.
IT0003444459	Junior	Feb-19	61,830	38,903	n.r.	n.r.
IT0003444509	Junior	Feb-19	9,987	198	n.r.	n.r.
IT0003444517	Junior	Feb-19	10,487	10,487	n.r.	n.r.
IT0003444525	Junior	Feb-19	3,432	1,011	n.r.	n.r.
IT0003444558	Junior	Feb-19	31,094	23,424	n.r.	n.r.
IT0003444566	Junior	Feb-19	19,466	8,026	n.r.	n.r.
Total			**412,509**	**105,058**		

The Senior securities bore interest at Euribor plus a spread of 22 basis points. They were redeemed on a six-monthly basis, using the proceeds from the loan recovery activities. They were placed with institutional investors and listed on the Luxembourg stock exchange.
The Junior securities, all subscribed for on a proportional basis by the originator banks, bear interest at 0.10%, with a "without memory" clause, and their redemption is subordinate to full satisfaction of the rights of bearers of the Senior securities.
The remaining outstanding Senior securities matured on 10 August 2009 and were repaid in full on that date. Payment was made using available cash totalling Euro 5,922 thousand, plus Euro 29,350 thousands deriving from the redemption on 1 August of the CCTs previously used to guarantee the securities.

This utilisation, essentially representing an advance of liquidity, has given rise to a liability for Mutina s.r.l. towards the guarantors drawn against. Such liability has the same maturity as the Class C securities and is subordinated to their repayment.
A "Change Agreement" was signed on 12 September 2012, which extended the maturity of the Junior security from August 2013 to February 2019.
The current residual amount of Junior Securities is Euro 105,058 thousand:

- Euro 23,424 thousands held by Banco di Sardegna s.p.a., originating from Banca di Sassari's sale of the business unit in 2016 at a book value of Euro 3,468 thousand;
- Euro 81,634 thousands in portfolio at the Parent Company BPER Banca, following the mergers in 2013 and 2014. The book value is Euro 21,190 thousand.

Diesis (transaction structured pursuant to Law 130 dated 30 April 1999)

Disposal date:	13 July 2016
Seller:	"Multi-originator" transaction arranged by the following Group banks: - BPER Banca s.p.a. ; - Banco di Sardegna s.p.a. ;
Special purpose vehicle:	Diesis SPV s.r.l., based in Conegliano (TV)
Servicer:	Securitisation Services s.p.a., acting as Servicer, Corporate Servicer and Calculation and Investor Reporting Agent; Cerved Credit Management s.p.a. acted as Special Servicer.
Issue date of securities	22 December 2016
Type of transaction	Standard
Organisation	The Master Servicer prepares six-monthly statements that are provided to the vehicle company. The reports discuss the activities performed and the collections, with details of interest and principal payments made. The master servicer ensures that the proper disclosures required by the Bank of Italy are made to the Central Risks database and for supervisory purposes.
Internal systems for the measurement and control of risk	The recovery of loans and management of collections is carried out, in accordance with the contractually-agreed code of conduct, by an organisational unit dedicated to this task.

The operational aspects are summarised below:

Assets sold	Loans of banking origin
Quality of assets securitised	Non-performing
Amount of securitised assets	The total nominal value of the loan portfolio sold is Euro 259 million.
Disposal price of securitised assets	The disposal price was Euro 55 million.
Guarantees and credit lines granted by the bank	None.
Guarantees and credit lines granted by third parties	None.
Analysis by business sector	Not provided for non-performing loans since this would not be significant given their nature (the businesses concerned may have closed, be bankrupt or subject to other forms of court-supervised arrangements).
Analysis by geographical area	The securitised loans refers to parties resident in Italy, mainly in the central and southern regions of the country.

The special purpose vehicle has issued the following bonds.

(in thousands)

ISIN Code	*Seniority*	Maturity	Issue amount	Residual balance at 31.12.2017
IT0005224925	Senior	Lug-26	31,000	272
IT0005224933	Junior	Lug-28	20,600	206
Total			**51,600**	**478**

The Senior securities bear interest at the 6-month Euribor interest rate plus a spread of 3%. They were redeemed on a six-monthly basis, using the proceeds from the loan recovery activities. The Senior securities were all subscribed for by the originator banks.

Junior Securities were placed with institutional investors and, for a residual part, were subscribed by BPER Banca (Euro 1.1 million). The securities bear interest at the 6-month Euribor interest rate and the payment thereof is subordinate to the full satisfaction of the rights of the bearers of the senior securities.

Casa d'Este (transaction structured pursuant to Law 130 dated 30 April 1999)

Disposal date:	19 October 2004
Seller:	Cassa di Risparmio di Ferrara S.p.A.
Special purpose vehicle:	Casa d'Este Finance s.r.l., based in Conegliano (TV)
Servicer:	Securitisation Services s.p.a., acting as Servicer, Corporate Servicer and Calculation and Investor Reporting Agent.
Issue date of securities	9 November 2004
Type of transaction	Standard
Organisation	Securitisation Services prepares a quarterly report that discusses their activities and the amounts collected, with details of interest and principal payments.
Internal systems for the measurement and control of risk	The recovery and management of collections of the assigned loans was carried out by the originator. Since the date of absorption of Nuova Cassa di Risparmio di Ferrara by BPER Banca, this activity is carried out by the latter.

The operational aspects are summarised below:

Assets sold	Mortgage loans on residential and commercial properties
Quality of assets securitised	Performing loans
Amount of securitised assets	The total nominal value of the loan portfolio sold is Euro 281 million.
Disposal price of securitised assets	The disposal price was Euro 281 million.
Guarantees and credit lines granted by the bank	None.
Guarantees and credit lines granted by third parties	BNP Paribas SA's guarantee of solvency of the bank holding the accounts of the transaction
Analysis by business sector	Mortgage loan contracts entered into with individuals and legal entities, excluding public bodies.
Analysis by geographical area	The securitised loans refers to parties resident in Italy, mainly in the central and southern regions of the country.

The special purpose vehicle has issued the following bonds.

(in thousands)

ISIN Code	Seniority	Maturity	Issue amount	Residual balance at 31.12.2017	Rating Moody's
IT0003747786	Senior	15/09/2016	150,000	-	-
IT0003747794	Senior	15/09/2021	94,500	13,176	Aa2
IT0003747802	Mezzanine	15/09/2021	35,200	35,200	Ba1
IT0003747810	Junior	15/09/2021	1,360	1,360	-
Total			**281,060**	**49,736**	

Casa d'Este 2 (transaction structured pursuant to Law 130 dated 30 April 1999)

Disposal date:	5 December 2008
Seller:	Cassa di Risparmio di Ferrara S.p.A.
Special purpose vehicle:	Casa d'Este Finance s.r.l., based in Conegliano (TV)
Servicer:	Securitisation Services s.p.a., acting as Servicer, Corporate Servicer and Calculation and Investor Reporting Agent.
Issue date of securities	18 December 2008
Type of transaction	Standard
Organisation	Securitisation Services prepares a quarterly report that discusses their activities and the amounts collected, with details of interest and principal payments.
Internal systems for the measurement and control of risk	The recovery and management of collections of the assigned loans was carried out by the originator. Since the date of absorption of Nuova Cassa di Risparmio di Ferrara by BPER Banca, this activity is carried out by the latter.

The operational aspects are summarised below:

Assets sold	Mortgage loans on residential and commercial properties
Quality of assets securitised	Performing loans
Amount of securitised assets	The total nominal value of the loan portfolio sold is Euro 383 million.
Disposal price of securitised assets	The disposal price was Euro 375 million.
Guarantees and credit lines granted by the bank	None.
Guarantees and credit lines granted by third parties	None.
Analysis by business sector	Mortgage loan contracts entered into with individuals and legal entities, excluding public bodies.
Analysis by geographical area	The securitised loans refers to parties resident in Italy, mainly in the central and southern regions of the country.

The special purpose vehicle has issued the following bonds.

(in thousands)

ISIN Code	*Seniority*	Maturity	Issue amount	Residual balance at 31.12.2017	Rating Moody's
IT0004440365	Senior	oct-2050	270,000	10,195	Aa2
IT0004440456	Senior	oct-2050	30,000	1,133	Aa2
IT0004440571	Mezzanine	oct-2050	80,650	80,650	Caa1
IT0004440589	Junior	oct-2050	1,900	1,900	-
Total			**382,550**	**93,878**	

Quantitative information

C.1 Banking group - Exposures deriving from principal “own” securisations, analysed by type of asset securitised and by type of exposure

Type of underlying assets/Exposure	Cash exposure					
	Senior		Mezzanine		Junior	
	Book value	Adjustments/ write-backs	Book value	Adjustments/ write-backs	Book value	Adjustments/ write-backs
A. Derecognised in full	**22,156**	**-**	**10,090**	**-**	**22,377**	**(496)**
- performing residential mortgages	1,291	-	726	-	86	-
- non-performing residential mortgages	2,319	-	-	-	2,181	(48)
- performing no residential mortgages	-	-	-	-		
- non-performing no residential mortgages	9,651	-	-	-	12,584	(282)
- leasing performing	-	-	-	-		
- leasing non performing	681	-	642	-		
- other performing loans	-	-	-	-		
- other non-performing loans	8,214	-	8,722	-	7,526	(166)
- performing securities	-	-	-	-	-	-
- non-performing securities	-	-	-	-	-	-
B. Derecognised in part	-	-	-	-	-	-
C. Not derecognised	-	-	115,850	-	41,921	-
- performing residential mortgages	-	-	93,217	-	32,396	-
- non-performing residential mortgages	-	-	-	-	3,021	-
- performing no residential mortgages	-	-	22,633	-	5,015	-
- non-performing no residential mortgages	-	-	-	-	1,489	-
- leasing performing	-	-	-	-	-	-
- leasing non performing	-	-	-	-	-	-
- performing credit cards	-	-	-	-	-	-
- non-performing credit cards	-	-	-	-	-	-
- performing securities	-	-	-	-	-	-
- non-performing securities	-	-	-	-	-	-

(cont.)

Type of underlying assets/Exposure	Guarantees given					
	Senior		Mezzanine		Junior	
	Book value	Adjustments/ write-backs	Book value	Adjustments/ write-backs	Book value	Adjustments/ write-backs
A. Derecognised in full	**3,750**	**-**	**-**	**-**	**-**	**-**
- performing residential mortgages	3,750	-	-	-	-	-
- non-performing residential mortgages	-	-	-	-	-	-
- performing no residential mortgages		-	-	-	-	-
- non-performing no residential mortgages	-	-	-	-	-	-
- leasing performing		-	-	-	-	-
- leasing non performing		-	-	-	-	-
- other performing loans		-	-	-	-	-
- other non-performing loans	-	-	-	-	-	-
- performing securities	-	-	-	-	-	-
- non-performing securities	-	-	-	-	-	-
B. Derecognised in part	-	-	-	-	-	-
C. Not derecognised	-	-	-	-	-	-
- performing residential mortgages	-	-	-	-	-	-
- non-performing residential mortgages	-	-	-	-	-	-
- performing no residential mortgages	-	-	-	-	-	-
- non-performing no residential mortgages	-	-	-	-	-	-
- leasing performing	-	-	-	-	-	-
- leasing non performing	-	-	-	-	-	-
- performing credit cards	-	-	-	-	-	-
- non-performing credit cards	-	-	-	-	-	-
- performing securities	-	-	-	-	-	-
- non-performing securities	-	-	-	-	-	-

The table shows the cash exposures assumed in connection with its own securitisations Mutina, Sestante, Diesis, Restart, Italian Credit Recycle, Casa d'Este 1, Casa d'Este 2 and Pillarstone.
"Adjustments/writebacks" show the annual flow of writedowns and writebacks as required by the Bank of Italy's Circular 262/2005.
The parts of the table relating to credit lines have not been shown as there is nothing to report.

C.2 Exposures deriving from principal “third party” securitisations, analysed by type of asset securitised and by type of exposure

Type of underlying asset/Exposures	Cash exposure					
	Senior		Mezzanine		Junior	
	Book value	Adjustments/ write-backs	Book value	Adjustments/ write-backs	Book value	Adjustments/ write-backs
- performing residential mortgages	7,871	-	-	-	-	-
- non-performing residential mortgages	-	-	-	-	-	-
- performing no residential mortgages	-	-	-	-	-	-
- non-performing no residential mortgages	-	-	-	-	-	-
- leasing performing	47,810	-	-	-	-	-
- leasing non-performing	-	-	-	-	-	-
- other performing loans	82,023	4,996	-	-	-	-
- other non-performing loans	-	-	-	-	-	-
- performing securities	-	-	-	-	-	-

(cont.)

Type of underlying asset/Exposures	Credit lines					
	Senior		Mezzanine		Junior	
	Book value	Adjustments/ write-backs	Book value	Adjustments/ write-backs	Book value	Adjustments/ write-backs
- performing residential mortgages	-	-	-	-	-	-
- non-performing residential mortgages	-	-	-	-	-	-
- performing no residential mortgages	-	-	-	-	-	-
- non-performing no residential mortgages	-	-	-	-	-	-
- leasing performing	-	-	-	-	-	-
- leasing non-performing	-	-	-	-	-	-
- other performing loans	2,100	-	-	-	-	-
- other non-performing loans	-	-	-	-	-	-
- performing securities	-	-	-	-	-	-

The parts of the table relating to guarantees given have not been shown as there is nothing to report.

C.3 Interests in special purpose vehicles (SPVs) for securitisation

Name of the securitisation/SPV	Head office	Consolidation	Assets			Liabilities		
			Loans	Debt securities	Other	Senior	Mezzanine	Junior
Mutina s.r.l.	Modena	PN (art.19 CRR)	26,712	-	1,881	-	-	26,717

The Mutina SPV is wholly-owned by the Parent Company, but it has not been consolidated line-by-line because from 30 June 2015 the Bank standardised the scope of consolidation for accounting purposes with the scope for supervisory purposes.

C.4 Unconsolidated SPVs for securitisation

Name of the securitisation/SPV	Head office	% Interest	Assets			Liabilities		
			Loans	Debt securities	Other	Senior	Mezzanine	Junior
Estense Finance s.r.l.	Conegliano (TV)	9.9%	486,296	-	76,976	340,585	-	132,632

C.5 Servicer activities - collection of securitised loans and reimbursement of securities issued by the SPV for securitisation

Servicer	Securitised assets (at year end)		Loan collections during the year		Percentage of securities redeemed (at year end)					
					Senior		Mezzanine		Junior	
	Non-performing loans	Performing loans	Non-performing loans	Performing loans	Impaired	Performing	Impaired	Performing	Impaired	Performing
Mutina s.r.l.	26,712	-	3,489	-	100%	-	-	-	43.06%	-

E. Disposals

A. Financial assets sold but not derecognised in full

Qualitative information

BPER Bank did not carry out any sales for which it would have to provide information in accordance with IFRS 7 § 7, 42D letters a), b), c) and § 42H.

Quantitative information

E.1 Financial assets sold but not derecognised: book value and full value

Technical forms/Portfolio	Financial assets held for trading			Financial assets designated at fair value		
	Financial assets sold and recognised in full (book value)	Financial assets sold and recognised in part (book value)	Financial assets sold and recognised in part (full value)	Financial assets sold and recognised in full (book value)	Financial assets sold and recognised in part (book value)	Financial assets sold and recognised in part (full value)
A. Cash assets	**2,513**	**-**	**-**	**-**	**-**	**-**
1. Debt securities	2,513	-	-	-	-	-
2. Equity instruments	-	-	-	-	-	-
3. UCITS units	-	-	-	-	-	-
4. Loans	-	-	-	-	-	-
B. Derivatives	**-**	**-**	**-**	**#**	**#**	**#**
Total 31.12.2017	**2,513**	**-**	**-**	**-**	**-**	**-**
- of which: impaired	-	-	-	-	-	-
Total 31.12.2016	**55,502**	**-**	**-**	**-**	**-**	**-**
- of which: impaired	-	-	-	-	-	-

All of the amounts shown in the table refer to assets sold and held as collateral for funding repurchase agreements.

(cont.)

Technical forms/Portfolio	Financial assets available for sale			Financial assets held to maturity		
	Financial assets sold and recognised in full (book value)	Financial assets sold and recognised in part (book value)	Financial assets sold and recognised in part (full value)	Financial assets sold and recognised in full (book value)	Financial assets sold and recognised in part (book value)	Financial assets sold and recognised in part (full value)
A. Cash assets	**3,931,038**	**-**	**-**	**674,410**	**-**	**-**
1. Debt securities	3,931,038	-	-	674,410	-	-
2. Equity instruments	-	-	-	#	#	#
3. UCITS units	-	-	-	#	#	#
4. Loans	-	-	-	-	-	-
B. Derivatives	**-**	**-**	**-**	**#**	**#**	**#**
Total 31.12.2017	**3,931,038**	**-**	**-**	**674,410**	**-**	**-**
- of which: impaired	-	-	-	-	-	-
Total 31.12.2016	**3,544,848**	**-**	**-**	**1,054,075**	**-**	**-**
- of which: impaired	-	-	-	-	-	-

(cont.)

Technical forms/Portfolio	Due from banks			Loans to customers			Total	
	Financial assets sold and recognised in full (book value)	Financial assets sold and recognised in part (book value)	Financial assets sold and recognised in part (full value)	Financial assets sold and recognised in full (book value)	Financial assets sold and recognised in part (book value)	Financial assets sold and recognised in part (full value)	31.12.2017	31.12.2016
A. Cash assets	-	-	-	-	-	-	**4,607,961**	**4,773,580**
1. Debt securities	-	-	-	-	-	-	4,607,961	4,654,425
2. Equity instruments	#	#	#	#	#	#	-	-
3. UCITS units	#	#	#	#	#	#	-	-
4. Loans	-	-	-	-	-	-	-	119,155
B. Derivatives	#	#	#	#	#	#	-	-
Total 31.12.2017	-	-	-	-	-	-	**4,607,961**	#
- of which: impaired	-	-	-	-	-	-	-	#
Total 31.12.2016	119,155	-	-	-	-	-	#	4,773,580
- of which: impaired	-	-	-	-	-	-	#	-

E.2 Financial liabilities for financial assets sold but not derecognised: book value

Liabilities/portfolio assets	Financial assets held for trading	Financial assets designated at fair value	Financial assets available for sale	Financial assets held to maturity	Due from banks	Loans to customers	Total
1. Due to customers	**2,500**	-	**1,006**	-	-	-	**3,506**
a) for assets recorded in full	2,500	-	1,006	-	-	-	3,506
b) for assets recorded in part	-	-	-	-	-	-	-
2. Due to banks	-	-	**3,872,686**	**696,560**	-	-	**4,569,246**
a) for assets recorded in full	-	-	3,872,686	696,560	-	-	4,569,246
b) for assets recorded in part	-	-	-	-	-	-	-
Total 31.12.2017	**2,500**	-	**3,873,692**	**696,560**	-	-	**4,572,752**
Total 31.12.2016	**55,472**	-	**3,484,338**	**1,156,090**	**119,155**	-	**4,815,055**

B. Financial assets sold and not derecognised in full with recognition of continuing involvement

Qualitative information

BPER Bank did not carry out any sales for which it would have to provide information in accordance with IFRS 7 § 7, 42D letters a), b), c) and § 42H.

E.4 Covered bond transactions

Introduction

GBB issues are foreseen by BPER Banca Group's strategic plan as a means of diversification of funding sources, of reduction of related costs and of lengthening of maturities of liabilities. In particular, guaranteed bank bond issues are extremely appealing at a time when market yields are very low, also thanks to the institutional intervention of the ECB through its programmes of GBB purchases (CBPP3).
On 8 February 2011, the Board of Directors launched the structuring of a first programme for the issue of guaranteed bank bonds ("GBB1"), based on a collateralised portfolio of residential mortgage loans pursuant to art. 7-*bis* of Law no. 130 of 30 April 1999 ("Law no. 130/99"), the Ministry of Economy and Finance's Decree no. 310 of 14 December 2006 (the "MEF Decree") and the regulatory provisions of the Bank of Italy of 24 March 2010 (the "Rules" and, together with Law no. 130 and the MEF Decree and each subsequent amendment, the "Regulations").
On 3 March 2015 the Board of Directors launched the structuring of a second programme for the issue of guaranteed bank bonds ("GBB2"), based on a collateralised portfolio of residential and commercial mortgage loans, as already mentioned in the Directors' report on Group operations.

The basic structure of a guaranteed bank bonds issue

"Guaranteed Bank Bonds", also known as "Covered Bonds", may be issued under a scheme which envisages:

- the sale by a bank, which may differ from the bond issuer, to a special purpose vehicle of high credit quality assets and which constitute segregated assets pursuant to the applicable provisions of Law no. 130/99;
- the selling bank or another bank granting a subordinated loan to the assignee company to provide the assignee with the funding required to purchase the assets;
- the issue of a guarantee by the assignee company in favour of the bondholders, up to the amount of the segregated assets.

High credit quality assets are intended to mean loans that meet the selection criteria defined by the Regulations and related contracts (the "Eligible Assets").

Key elements of the BPER Banca Group's Programmes for the issue of Covered Bonds

The BPER Banca's Covered Bond Programmes (the "Programmes") have been structured as follows:

- the sale without recourse to Estense Covered Bond s.r.l. (the "SPV" or "Estense Covered Bond") for GBB1, and to Estense CPT Covered Bond s.r.l. (the "SPV" or "Estense CPT Covered Bond") for GBB2, initially just by BPER Banca and then, during the Programmes, also by other Group Banks, of assets with a high credit quality, which constitute segregated assets pursuant to Law 130/99;
- the provision to the assignee SPVs, by BPER Banca and other Group Banks that will eventually join the programmes as selling banks, of subordinated loans to provide the assignees with the funding required to purchase the assets sold;
- the issue by the SPVs, up to the amount of the segregated assets, of guarantees in favour of the holders of the Guaranteed Bank Bonds issued by BPER Banca.

Although they are presented as Group programmes, the initial and subsequent transactions only involved BPER Banca as the selling bank, the understanding being that BPER Banca will always take on the role of issuing bank. Only at a later stage, after an expert assessment of the risks and opportunities, is it

expected that other Group Banks will join the Programmes as selling banks to sell additional Eligible Assets.
The portfolios of Eligible Assets involved in the initial sales are composed of loans originating from residential mortgage loans for GBB1 and of residential and commercial mortgage loans for GBB2, which meet the requirements of the Regulations. These portfolios were identified based on general and specific criteria indicated in the sale agreements. Additional portfolios of Eligible Assets may include mortgage loans that meet the requirements of the Rules and any subsequent additional eligible assets referred to in article 2, paragraph 3, points 2 and 3 of the MEF Decree.
The sale prices of the portfolios is determined, as laid down in the Provisions, with reference to their book values in the latest financial statements approved by BPER Banca with a view to specific sale dates or by having the sale price certified by the Independent Auditors. The sale prices so determined are subject to adjustment to take account of movements on the loans between the financial year end and the date of sale. More specifically, the sale prices shall be adjusted to take account of the collection of the capital element of the loans in the intervening period and the payment of contractually agreed interest in the same period.

The sale of the portfolios - without recourse and under the combined provisions of articles 1 and 4 of Law 130/99 and art. 58 of the CFA - is communicated to the mortgage holders by publishing a notice of sale by the seller with the above selection criteria in the Official Journal and by filing the same notice of sale with the Registrar of Companies. Further formalities are also carried out for privacy legislation purposes (Legislative Decree no. 196/2003).
The mortgage holders maintain a direct operational relationship with BPER Banca - or, in the case of sale of Eligible Assets by other selling banks that will join the Programmes, with the other Group Banks that the mortgage holders originally obtained the loans from - since the two SPVs have given BPER Banca responsibility for managing and administering the loans sold and the related collection and payment services (servicing activities), with BPER Banca having the power to grant a sub-proxy to the pertinent selling banks to perform servicing activities for the portfolios sold.
This, in accordance with the Regulations, is in order to minimise the commercial impact with the mortgage holders and, at the same time, to optimise the operational management of each portfolio which, in fact, remains in the hands of the assignors.
At predetermined dates and based on specific operational and market situations, BPER Banca, in the role of Calculation Agent, will perform assessment tests to compare the portfolios sold with the bonds issued, aimed at verifying the adequacy of the guarantees issued with reference to specific legal parameters and the parameters set by the Programmes' documentation based on indications provided by rating agencies, on which the credit rating assigned to the Guaranteed Bank Bonds depends.
In the case of non-compliance with one or more of the required parameters, it will be necessary to add to the portfolios sold by selling further Eligible Assets. The portfolios can be added to by using the SPVs' liquid funds or by further drawdowns of the subordinated loans granted by BPER Banca (or by the other selling banks) to the two SPVs.
Other initiatives are required in the case of violation of contractual conditions, up to the extreme consequences of enforcement of the guarantees provided by the SPVs in the case of an Event of Default by the Issuer (for example, default in repayment of principal or non-payment of interest on the Covered Bonds).
Moreover, on predetermined dates, the functions responsible for supervising the Bank's risk management verify the quality and integrity of the assets provided as collateral for Covered Bonds issued.

The structure of the Programmes, as outlined, permits the creation of segregated assets (consisting of the Eligible Assets assigned from time to time to the SPVs), to serve as a preferred guarantee for the Covered Bond holders, for the counterparties to derivative contracts entered into under the Programmes to hedge the risks inherent in the portfolio of transferred Eligible Assets and for the payment of other transaction costs.
Normally, the charges for payment and redemption of the Covered Bonds remain with the Issuer and, only when there is an Event of Default by the Issuer will automatic protection mechanisms be activated to protect the investors.
In further support of the financial structure, provision has been made for swaps with one or more external counterparties selected on the market and with an appropriate credit standing in line with the eligibility criteria required by rating agencies. The purpose of these contracts is to transform the interest flow produced by the loan portfolios sold so as to make them consistent with that incurred on the bonds issued.
In particular, among the various options available, it is normally envisaged that two separate swap derivative contracts will be entered into:

- asset swap: under this contract, the SPV will pay the swap counterparty the flow received as interest on a notional amount represented by a portion of segregated assets and determined by taking into account the outstanding amount of the liability represented by the Guaranteed Bank Bonds issued and will collect from it a flow corresponding to Euribor for the period plus or minus a Spread applied to the same notional amount for the reference period;
- liability swap: under this derivative the SPV will receive from the swap counterparty a fixed rate equal to the coupon of the related series of Guaranteed Bank Bonds and will pay thereto a flow corresponding to Euribor plus or minus (as appropriate) a Spread applied to an amount equal to the nominal value of the corresponding series of Guaranteed Bank Bonds.

These contracts can be linked to back-to-back swap agreements between the swap counterparties and BPER Banca, a situation that currently exists in the case of the third, fourth and fifth issue of the GBB1 Programme.
In this respect, it should be noted that the first issue of the GBB1 Programme was redeemed on 22 January 2014, whereas the second issue, redemption of which should have taken place in April 2015, was redeemed early on 12 January 2015. For the third, fourth and fifth issue, which bear a fixed interest rate, it was necessary to execute liability swap agreements. Lastly, the sixth and seventh issues bear a floating interest rate and, thus, have no associated liability swap.
The financial mechanism allows, on the one hand, BPER Banca, as selling bank, to maintain a financial position as desired and consistent with its Asset & Liability Management strategies and, on the other hand, the SPV, as guarantor, in the Event of the occurrence of an Event of Default of the Issuer, to cover the costs of the Guaranteed Bank Bonds by trading them for the expected return on portfolio of loans sold.

The GBB1 Programme

The GBB1 Programme provides for the issue of Covered Bonds up to a maximum of Euro 5 billion, to be carried out in a number of issues over time, by 31 December 2018 at latest (subject to the obligations for annual renewal of the prospectus prepared in compliance with EU regulations).
The first series of Guaranteed Bank Bonds with par value of Euro 750 million was issued on 1 December 2011 and was redeemed on 22 January 2014, after the sale on 2 November 2011 by BPER Banca to Estense Covered Bond s.r.l. of a portfolio of loans that met eligibility requirements under the Regulations

for a nominal value of Euro 1.1 billion, selected on the basis of the criteria outlined above and having the following main characteristics:

- residential mortgage loans provided in accordance with mortgage lending legislation;
- concluded by 31 December 2010;
- final instalment due after 31 December 2012;
- ratio of outstanding debt to the value of secured property, estimated at the payment date, lower than 80%.

Based on these general assumptions, a second issue of Guaranteed Bank Bonds was completed on 25 June 2012 for a total of Euro 300 million, with a maturity of three years at a floating rate. This was after another Euro 546 million of residential mortgage loans, again originated exclusively by BPER Banca, were transferred to the vehicle company Estense Covered Bond s.r.l. on 4 May 2012, essentially attributable to the "production" of 2011. The new issue has been carefully sized to take into account the possible implications of the earthquake in May 2012 on the value of the collateral.
Based on these same general assumptions, on 10 July 2013, a further Euro 680 million of residential mortgage loans was sold, with these originating solely from BPER Banca or from other Group banks merged into the Parent Company. On 12 January 2015 the second series of GBB was all repaid early.

On 15 October 2013, a third issue of Guaranteed Bank Bonds was completed for an amount of Euro 750 million, at a fixed rate and with a tenor of 5 years, all of which was placed on the market. This issue was then reopened on 24 February 2014 for a further Euro 250 million.
On 23 July 2014, another Euro 501 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.

On 22 January 2015, a fourth issue of Guaranteed Bank Bonds was completed for an amount of Euro 750 million, at a fixed rate and with a tenor of 7 years, all of which was placed on the market.
On 28 April 2015, another Euro 1,074 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.

On 29 January 2015, a fifth issue of Guaranteed Bank Bonds was completed for an amount of Euro 750 million, at a fixed rate and with a tenor of 5 years, all of which was placed on the market.
On 28 January 2016, another Euro 1,086 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
On 31 May 2016, a sixth issue of Guaranteed Bank Bonds was completed for an amount of Euro 500 million, at a floating interest rate, with a tenor of 4 years and which was self-subscribed.
On 27 July 2016, another Euro 310 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
On 25 January 2017, another Euro 404 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
On 3 February 2017, a seventh issue of Guaranteed Bank Bonds was completed for an amount of Euro 540 million, at a floating interest rate, with a tenor of 4 years and which was self-subscribed.

On 23 October 2017, another Euro 816 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.

The subordinated loan granted by BPER Banca to Estense Covered Bond s.r.l., under the form of a credit facility to finance the purchase of the assigned portfolios currently amounts to Euro 6 billion. Notwithstanding BPER Banca's right to increase the amount of the subordinated loan granted to finance the purchase of additional portfolios (both in connection with new issues or for the purpose of adding to segregated assets) and with a remuneration that guarantees a return to the transferor of the yield on the segregated mortgage loans, albeit residual with respect to payment of the SPV's operating expenses; thus making the sale essentially neutral from an economic standpoint.

Repayment of this loan is linked to the gradual reimbursement of the Guaranteed Bank Bonds that, in turn, will allow the release of the loan portfolio or the cash collections generated thereby. In this regard it should be noted that in October 2014 drawdowns of the subordinated loan had been reduced to Euro 250 million, as a first partial early redemption was made taking advantage of part of the principal generated by the loan portfolio sold. Subsequently, in October 2015 and again in January, April, July 2016 and October 2017, an additional Euro 250 million, Euro 120 million, Euro 250 million, Euro 250 million and Euro 400 million respectively, were reimbursed, again drawing on the resources of the principal generated by the loan portfolio sold.

The liquidity generated by the portfolio may - within legal limits - also be used for suitable investments or deposits, based on BPER Banca's indications as Investment Agent. It may not, however, in view of the inadequate level of rating, be entrusted to BPER Banca. Accordingly, cash generated from the portfolio of sold Eligible Assets - for which BPER Banca will remain as Servicer - are transferred to current accounts with BNP Paribas Securitisation Services, either in Italy or the UK, since this is a third party with appropriate rating.

Counterparties involved in the GBB1 Programme

Issuing Bank, initial Selling Bank, Servicer, Investment Agent, Principal Paying Agent and Calculation Agent: BPER Banca.

Any other seller banks that could join the Programme:

- Banco di Sardegna s.p.a.;
- Banca di Sassari s.p.a.;
- Cassa di Risparmio di Bra s.p.a.;
- Cassa di Risparmio di Saluzzo s.p.a.

Arranger: The Royal Bank of Scotland plc (RBS).

Joint Lead Manager of the Third series of bonds issued: RBS, Citibank, Mediobanca, Société Générale, UBS.

Joint Lead Manager of re-opening of the Third series of bonds issued: Citibank, Raiffeisen Bank International.

Joint Lead Manager of the Fourth series of bonds issued: RBS, BNP Paribas, Natixis, Nomura International plc., UNICREDIT Bank AG.

Joint Lead Manager of the Fifth series of bonds issued: RBS, Banca IMI, Credit Suisse International, Raiffeisen Bank International, Société Générale.

Lead Manager of the Sixth series of bonds issued: RBS

Lead Manager of the Seventh series of bonds issued: RBS.

Guarantor: Estense Covered Bond s.r.l.

Representative of the Bondholders (RoB): Securitisation Services s.p.a.

Italian Paying Agent, Cash Manager and Account Bank: BNP Paribas Securities Services (both Italian and London branches).
Corporate Servicer: Securitisation Services s.p.a.
Guarantor Calculation Agent: Securitisation Services s.p.a.
Liability Swap counterparty: for the third and fourth issue, RBS; for the fifth issue, Credit Suisse International.
Legal advisor to BPER Banca: Studio Legale Linklaters.
Asset Monitor and Pool Auditor: PriceWaterhouseCoopers s.p.a.
Independent Auditors of the special purpose vehicle: Deloitte & Touche s.p.a.
Rating agencies: Moody's Investor Services.

In 2012, the role of Back Up Servicer (BUS) was added to the structure of this transaction and is being performed by Italfondiario s.p.a.; the aim was to make the transaction more robust, also based on the indications received to that effect from the counterparty to the asset swap and from the rating agency.

The GBB2 Programme

The GBB2 Programme provides for the issue of Covered Bonds up to a maximum of Euro 5 billion, to take place in a number of issues over time, by 31 December 2025 at latest (subject to the obligations for annual renewal of the prospectus prepared in compliance with EU regulations).
The first series of Guaranteed Bank Bonds with par value of Euro 625 million was issued on 16 December 2015, after the sale on 17 September 2015 by BPER Banca to Estense CPT Covered Bond s.r.l. of a portfolio of loans that met eligibility requirements under the regulations for a nominal value of Euro 870 million, selected on the basis of the criteria outlined above and having the following main characteristics:

- residential and commercial mortgage loans;
- granted by 31 December 2014;
- final instalment due after 31 December 2015;
- ratio of outstanding debt to the value of secured property, revalued close to the date of sale, up to a maximum of 80% for residential mortgage loans and up to a maximum of 60% for commercial mortgage loans.

The first bond issue of Euro 625 million was fully subscribed by BPER Banca in order to increase the collateral for refinancing operations with the European Central Bank.
On 23 June 2016, another Euro 478 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
On 1 August 2016, a second issue of Guaranteed Bank Bonds was completed for an amount of Euro 200 million, at a floating interest rate, with a tenor of 4 years and which was self-subscribed.
On 21 November 2016, another Euro 411 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
On 24 February 2017, a third issue of Guaranteed Bank Bonds was completed for an amount of Euro 240 million, at a floating interest rate, with a tenor of 4 years and which was self-subscribed.
On 27 September 2017 a partial early repayment was made for Euro 150 million on the first series of securities issued.
The subordinated loan granted by BPER Banca to Estense CPT Covered Bond s.r.l., under the form of a credit facility, to finance the purchase of the assigned portfolios, amounted to Euro 2 billion,

notwithstanding BPER Banca's right to increase the amount of the subordinated loan granted to finance the purchase of additional portfolios (both in connection with new issues or for the purposes of adding to segregated assets) and with a yield that guarantees a return to the transferor of the yield on the segregated mortgage loans within segregated assets, albeit residual with respect to the payment of the SPV's operating expenses; thus making the sale essentially neutral from an economic standpoint.
Repayment of this loan is linked to the gradual reimbursement of the Guaranteed Bank Bonds that, in turn, will allow the release of the loan portfolio or the cash collections generated thereby. In this regard it should be noted that in July 2017 drawdowns of the subordinated loan had been reduced to Euro 70 million, as a first partial early redemption was made taking advantage of part of the principal generated by the loan portfolio sold. Subsequently, in October 2017, an additional Euro 200 million was repaid, again on the basis of the available capital provided by the transferred loan portfolio.

The liquidity generated by the portfolio may - within legal limits - also be used for suitable investments or deposits, based on BPER Banca's indications as Investment Agent. It may not, however, in view of the inadequate level of rating, be entrusted to BPER Banca. Accordingly, cash generated by the portfolio of sold Eligible Assets - for which BPER Banca will remain as Servicer - are transferred to current accounts with Citibank N.A., either in Italy or the UK, since this is a third party with an appropriate rating.

The specific financial feature of the GBB2 Programme is a different structural technique which, in the event of the Parent Company's default and under other circumstances foreseen in the GBB2 Programme, makes it possible to transform the repayment plan of the Covered Bonds according to the loan portfolio amortisation schedule given in guarantee. This eliminates the financial risk associated with a forced and peremptory liquidation of this portfolio, thereby transforming the outstanding Covered Bonds into securities similar to pass-through securities issued as part of securitisation transactions. In this way, the risk profile of a default on the Covered Bonds is clearly attenuated, making it possible to obtain a higher rating.

Counterparties involved in the GBB2 Programme
Issuing Bank, initial Selling Bank, Servicer, Investment Agent, Primary Paying Agent and Calculation Agent: BPER Banca.
Any other seller banks that could join the Programme:

- Banco di Sardegna s.p.a.;
- Banca di Sassari s.p.a.;
- Cassa di Risparmio di Bra s.p.a.;
- Cassa di Risparmio di Saluzzo s.p.a.

Arranger: Finanziaria Internazionale Securitisation Group s.p.a.
Initial Dealer of the first series of bonds issued: Banca Finanziaria Internazionale s.p.a..
Lead Manager of the Second series of bonds issued: RBS.
Lead Manager of the Third series of bonds issued: RBS.
Guarantor: Estense CPT Covered Bond s.r.l.
Representative of the Bondholders (RoB): Securitisation Services s.p.a.
Subsequent Paying Agent, Cash Manager and Account Bank: Citibank N.A. (both Italian and London branches).
Corporate Servicer: Securitisation Services s.p.a.

Guarantor Calculation Agent: Securitisation Services s.p.a.
Legal advisor to BPER Banca: Jones Day Studio Legale.
Asset Monitor and Pool Auditor: PricewaterhouseCoopers s.p.a.
Independent Auditors of the special purpose vehicle: Deloitte & Touche s.p.a.
Rating agencies: Moody's Investor Services.

The requirements for Issuers

According to the Rules, Guaranteed Bank Bonds may be issued by banks belonging to banking groups that have:

- Own Funds not lower than Euro 250 million;
- Total capital ratio at consolidated level not lower than 9%.

These requirements must be satisfied, on a consolidated basis, even by selling banks, where the latter, as provided for by the Programmes' structure, differ from the bank issuing the Guaranteed Bank Bonds. In the case of banks belonging to the same group, reference should be made to consolidated figures.
With reference to the figures at 31 December 2017, the Own Funds of the BPER Banca Group, calculated under the transitional arrangements ("Phased in"), amount to Euro 5,436.8 million and the Total capital ratio is equal to 16.69%.

Limits on the sale of Eligible Assets

The Provisions set limits to the possibility for banks to sell Eligible Assets, which are based on the level of their Tier 1 (T1) and Common Equity Tier 1 (CET1) ratio.
Sale restrictions refer to total transactions of this kind made by a banking group. Banking groups are classified into three categories, with corresponding specific limits as shown below:

- "a" band: for banking groups with T1 Ratio equal to or higher than 9% and CET1 Ratio equal to or higher than 8%, for which there are no sale limits;
- "b" band: for banking groups with T1 Ratio equal to or higher than 8% and CET1 Ratio equal to or higher than 7%, for which there is a sale limit of 60% of appropriate assets;
- "c" band; for banking groups with T1 Ratio equal to or higher than 7% and CET1 Ratio equal to or higher than 6%, for which there is a sale limit of 25% of appropriate assets.

At 31 December 2017, the Tier 1 Ratio was 13.97% and the Common Equity Tier 1 Ratio 13.89% (Phased in).

Organisational structure and procedures

The structuring process for the GBB Issue Programmes meant organising a team to coordinate the activities of all the departments involved. In this regard, a specific structure was set up, the Structured Finance Management Office, which acts as coordinator of the interfunctional team, taking care to involve all the structures involved in the management process of the Covered Bonds. To supervise the structuring process and management of the Programmes, including when it is fully operational, a specific Group Regulation has been prepared followed by a Group Organisational Procedure.

Accounting, capital and tax impact

With the issue of the GBB, BPER Banca, as initial selling bank and any subsequent selling banks will retain substantially all the risks and benefits of the transferred assets as:

- they are required to reinstate, in line with several alternatives, the collateral should the value of assets sold deteriorate and their value fall below the thresholds set by contract;
- the repayment of the subordinated loan granted to the special purpose vehicle is linked to the performance of the secured assets.

The primary objective of creating a special purpose vehicle and the sale of eligible assets thereto is, in fact, to legally segregate, by means of a without recourse sale contract, the selling bank's assets within a separate legal entity. These assets, segregated in this manner, are subject to a restriction as to their use pursuant to Law 130/99 for the protection, among others, of the holders. Thus, the holders of Covered Bonds benefit, on the one hand, from the general guarantee represented by the issuer's capital and on the other, from the guarantee issued by the SPV in respect of the segregated portfolio for which they have priority creditor rights. This structure of "dual protection" facilitates the creation of conditions for a potential reduction in funding costs.
The overall risk profile of BPER Banca as initial selling bank and that of any further selling banks is not altered in any way.
The same regulatory provisions stipulate that the selling banks retain the same capital requirement that they are already required to comply with, in respect of the assets sold, prior to the sale. The transactions, therefore, do not qualify for derecognition: the selling banks must continue to recognise the transferred assets in their entirety in the balance sheet and the considerations received from the sale must be accounted for as opposite entries to the financial liabilities due to the SPVs (IAS 39, § 29).
In turn, these liabilities must be shown net of the subordinated loans granted to the vehicles, due to the principle of substance over form: it is as if the purchase of loans by the SPVs had never taken place.
The subordinated loans are not taken into consideration for the purposes of counterparty risk; these loans must not, in fact, be considered, as the credit risk is already reflected in the valuation of the mortgage loans being sold.
As regards the impact at consolidation level, it should be noted that both the SPVs are BPER Banca Group's entities, as the Parent Company has a 60% holding; they are therefore subject to consolidation, although limited to their own results and financial position.
Finally, regarding the tax implications, consistent with the dictates of art. 7 *bis*, Law 130/99, all taxes and dues are payable as though the sales of the loans had never taken place.
Again, to ensure that the operation was neutral for tax purposes, it was established, as foreseen in art. 7 *bis*, paragraph 7 of Law 130/99, that the sale price would be equal *"to the latest carrying amount of the loans"*, or as certified by the Independent Auditors of the selling Bank.

More specifically, the book value is adjusted for "endogenous variables", that is, cash collected from the loans in the intervening period and contractual interest accruing in the same period. This is also consistent with the regulatory provisions laid down by the Rules as described previously.
As for the other components that could affect the configuration of the carrying amount, i.e. amortised cost and collective impairments (given that they are performing loans), it has been considered in line with the principles of relevance, pertinence and materiality to assume that their value is equal to the one shown in the latest approved and audited financial statements, or the sale price specifically certified by the auditors of the selling Bank.

The risks associated with the transaction

The GBB1 and GBB2 Programmes involve some financial and other risks, subject to analysis and monitoring by the Risk Management and Compliance functions and, specifically with regard to the risks of fraud and unintentional errors in financial reporting, by the Manager responsible for preparing the company's financial reports. In summary the main risk profiles can be summarised as follows:

- Interest rate risk. In the structure of a Covered Bond, the interest rate risk originates from the different characteristics of interest rates on Guaranteed Bank Bonds and on the portfolio of secured assets. These risks are mitigated by hedging derivatives put in place from time to time with market counterparties.
- Credit risk. In the structure of a covered bond, credit risk is attributable to the quality of loans sold by each Selling Bank in the cover pool. Given this risk, the rating agencies, in order to attribute to the Covered Bonds the maximum rating possible, require a level of over-collateralisation which is also linked to the quality of the cover pool.
- Counterparty risk. The counterparty risk is the possibility that the creditworthiness of counterparties involved in the transaction, in other words, the swap counterparties and the non Group bank, with which the SPV has its accounts, may worsen to the point of creating a liquidity problem, with the result that the cover pool funds that flow into the accounts of the SPV or payments made in connection with the swaps are retained by the same counterparties. This risk is mitigated by the involvement of high rated counterparties and the existence of clauses, in the relevant ISDA and CSA contracts as well as in the "Cash Management and Agency Agreement", according to which, in the case of downgrading of the counterparties, they will be immediately replaced.
- Liquidity risk. An issue of "bullet" Covered Bonds with a cover pool relating to mortgage loans with a given repayment plan entails the need for dynamic management of the cover pool itself. The funds received from the collection of capital instalments on the mortgage loans relating to the cover pool may have to be, in fact, reinvested in new mortgage loans with similar characteristics. If the Group does not have eligible mortgages available to be sold to supplement the cover pool (or to replace non-performing mortgages), it would be forced to pay cash or eligible securities, impacting negatively on Counterbalancy Capacity (the limit set by the Rules for these assets is 15%).
- Compliance risk. The articulate and accurate external legislation regulating Guaranteed Bank Bonds, together with management and internal operating rules, require a precise and formal structuring of activities under the Programmes, both during the up front and on going phases. The analysis of compliance requirements has been performed by the Compliance function.
- Reputational risk. Reputational risk is the possibility that the failure by BPER Banca to fulfil certain obligations arising from its role in the Programmes adversely affects the credibility and image of the Group on the market, resulting in a significant economic and financial impact. In addition to the risks outlined above, already existing at the inaugural issue, there are aspects associated with the multioriginator characteristic of the Programmes, which will be formally integrated into the body of the contract and management processes, as and when other Group Banks join the Programmes as originators.
- Risk of financial inadequacy. The regulatory provisions, in the discipline of Guaranteed Bank Bonds, in relation to the complexity of the contractual profiles and the possible impact on the technical structure of these transactions, require, among other things, a careful assessment of the impact on the financial stability of the bank. The analysis of the projects by the Board of Directors, highlighted:
  - regarding the impact on results, the transactions would have led to, with reference to available market data, a lower cost of funding compared with equivalent senior transactions and this would have allowed start-up costs to be fully covered, already in the

first year, as well as to cover ongoing costs for the period. Under current market conditions, this original estimate may be considered highly conservative;

- regarding the impact on the financial position, having valued the portfolio of eligible residential or commercial mortgage loans, at Group level, there was an assumed plan for 7 and 10 year issues respectively, for the first and second Programme, so as to have appropriate margins for restoration of the cover pool, if necessary, without this having an impact on the Group's financial position or commercial practices.

These findings have allowed the Board to determine that the transactions do not negatively affect the financial stability of the bank and of the Group as a whole.

Organisational and management aspects of special purpose vehicles

With regard to organisational and management aspects of special purpose vehicles (in order to assess their adequacy in relation to the role assigned them) and the contracts entered into as part of the Programmes, "Reports on the transferee company" have been prepared by external legal consultants, in order to ensure that the contracts entered into as part of the Programmes contain clauses that ensure the regular and efficient performance of functions by the assignees, as required by the Regulations.

Assessment of legal aspects of the Programmes for Issue of Guaranteed Bank Bonds

Studio Legale Linklaters and Studio Legale Allen & Overy, for the GBB1 and GBB2 Programme respectively, also issued reports to assess the legal aspects of the activities involved in the Programmes in accordance with the Rules. The reports contain a thorough assessment of legal structures and contractual arrangements used, with particular attention to the characteristics of the guarantees given by the assignee companies and the overall relationships between and among the participants in the Programmes.

Annual assessment of the Programmes for Issue of Guaranteed Bank Bonds by Asset Monitor

Note that, in accordance with the terms of relevant regulations, the asset monitor – in this case PricewaterhouseCoopers s.p.a., which replaced Deloitte & Touche s.p.a. – performs annual reviews of the Programmes' status and issues a report to the Board of Directors, the Board of Statutory Auditors and the Bank's Internal Audit Function.

As of to date, reviews have been performed for 2011, 2012, 2013, 2014, 2015 and 2016 without any significant findings emerging.

Quantitative information relating to loans sold

GBB1 Programme

1. Movements

Description	31.12.2017
Opening balance	**3,870,830**
Increases	**1,318,832**
Purchase of loan portfolio	1,220,700
Other changes:	98,132
- Interest income accrued on loans	94,754
- Default interest	150
- Penalties and various recoveries	123
- Revenue from IAS adjustments	1,394
- Out-of-period income from bad loans	-
- Write-backs of loan provisions	1,711
- Recovery of expenses on bad loans	
Decreases	**680,331**
Collections from customers	589,312
Other changes:	7,203
- Loan provisions	7,060
- Loan losses	88
- Charges due to IAS adjustments	55
Repurchases by the Originator	83,816
Closing balance	**4,509,331**

2. Breakdown by residual life

Residual life of securitised loans	31.12.2017
Up to 3 months	223
Between 3 and 12 months	3,460
From 1 to 5 years	158,003
Over 5 years	4,347,026
Unspecified duration	16,788
Total	**4,525,500**

3. Concentration of risk

Amount by category (Euro)	Number of customers	31.12.2017
0 - 25.000	5,641	81,067
25.000 - 75.000	23,939	1,204,713
75.000 - 250.000	24,218	2,884,869
Over 250.000	1,002	354,851
Total		**4,525,500**

The loans balance is gross of loan provisions and IAS adjustment.

As of 31 December 2017, debtors sold are for the most part resident in Italy and the loans are denominated in Euro.

GBB2 Programme

1. Movements

Description	31.12.2017
Opening balance	**1,503,130**
Increases	**36,260**
Purchase of loan portfolio	-
Other changes:	36,260
- Interest income accrued on loans	32,469
- Default interest	93
- Penalties and various recoveries	198
- Revenue from IAS adjustments	1,854
- Out-of-period income from bad loans	29
- Write-backs of loan provisions	1,617
Decreases	**284,260**
Collections from customers	281,839
Other changes:	2,421
- Loan provisions	2,378
- Charges due to IAS adjustments	43
Repurchases by the Originator	-
Closing balance	**1,255,130**

2. Breakdown by residual life

Residual life of securitised loans	31.12.2017
Up to 3 months	303
Between 3 and 12 months	5,223
From 1 to 5 years	132,204
Over 5 years	1,113,213
Unspecified duration	14,458
Total	**1,265,401**

3. Concentration of risk

Amount by category (Euro)	Number of customers	31.12.2017
0 - 25.000	2,291	15,939
25.000 - 75.000	4,215	211,442
75.000 - 250.000	4,961	621,964
over 250.000	616	416,056
Total		**1,265,401**

The loans balance is gross of loan provisions and IAS adjustment.

As of 31 December 2017, debtors sold are for the most part resident in Italy and the loans are denominated in Euro.

Section 2 – Market risk

2.1 Interest rate risk and price risk - Trading portfolio reported for supervisory purposes

The Group's organisation provides for centralisation of the market risk control function at the Parent Company; consequently, the qualitative information set out below also reflects the individual position of BPER Banca.

Qualitative information

A. General aspects

As a primary activity, the Group trades on own account.
The portfolio comprises all of the financial instruments acquired for trading purposes or for hedging a risk factor inherent to the portfolio.
"For trading purposes" is understood as being the purchase of financial instruments with the following features:

- exposure to managed risk factors (interest rate risk and price risk, exchange rate risk, issuer risk, counterparty risk and liquidity risk);
- trading done prevalently on active markets;
- securities issued by operators of prime standing.

The trading portfolio is managed according to exposure to the interest rate risk deriving from the overall asset-liability structure and, as a rule, does not include complex or innovative derivatives.
The trading portfolio comprises all those financial instruments not purchased with the aim of achieving equilibrium of the asset-liability structure, but with a view to contributing to the results of the year, optimising the overall risk-yield profile.
The size of the trading portfolio is closely linked to the liquidity position.
Arbitrage and short-term speculative activity with regard to listed derivatives are marginal with respect to routine trading on own account. The objective of the investment strategy underlying trading in these financial instruments is to maximise the overall risk/yield profile via appropriate diversification.
The Parent Company makes medium-term speculative investments in stock markets, in commodity derivatives, in mutual funds and, to a marginal extent, in hedge funds. This activity is however just a small part of the transactions carried out in the bond markets.
The trading portfolio governance process is centralised in BPER Banca to respond to the needs of central oversight of market risk and greater efficiency of Group investment processes.
This process implies that the individual Group banks remain responsible for optimisation of the yield from liquidity through treasury transactions with BPER Banca or, alternatively, by investing in floating rate or fixed rate bonds issued by the Bank.
In this way, the governance of market risk has been centralised by the Parent Company on the basis of decisions taken by the ALCO and Finance Committee, which is chaired by the Chief Executive Officer.

B. Management and measurement of interest rate risk and price risk

The Bank's system of daily checking is consistent with market standards. Value at Risk (VaR) techniques are used to measure market risk.
VaR represents the estimated maximum potential loss, determined based on probabilities, that may be suffered by the aggregate concerned over a given time horizon (depending on the degree of liquidity of the portfolio) at a pre-determined level of probability (consistent with the investor's degree of risk aversion).
The methodology used to calculate the VaR belongs to the "variance-covariance" class of models (which approximates well the level of risk inherent in the aggregates analysed, as long as the transactions with a non-linear pay-off comprise only a minimal part of the portfolio), whereby the overall risk depends on the sensitivity of each position to changes in market factors, the volatility of their yields and the degree of correlation between them. The methodologies used to monitor market risks also include a sensitivity analysis based on parallel shifts in the market rate curves.
Currently, the daily calculation of VaR makes reference to two distinct time horizons, in order to meet both regulatory and operational requirements. An analysis is performed with a 10-day time horizon and a 99% confidence interval in order to satisfy the Bank of Italy's requirements (see Bank of Italy's Circular no. 285 dated 17 December 2013 and subsequent amendments) for models that are used to calculate capital adequacy in relation to market risk. This is supported by a further analysis with the same confidence interval, but with a daily time horizon, both to monitor the dynamics of market risk in relation to the Bank's portfolio and to provide a consistent dataset for the recognition of profits and losses for this aggregate. This model is only used for internal management purposes and is not involved in the calculation of the capital adequacy requirements regarding market risk.
The interest rate and price risk control process is centralised at BPER Banca and is carried out by the Risk Management Unit. Periodic information is assured by the distribution of specific daily and monthly reports.
The monitoring and control of interest rate risk of the trading portfolio aims to mitigate the risk in question, by defining certain limits (sensitivity, stop loss and position), in respect of the various risks borne, for portfolios managed by the appropriate Group structure. Limits are checked on a daily basis by the Financial Risk Department.
The daily monitoring and control of the price risk associated with the trading portfolio for supervisory purposes is performed via Value-at-Risk (VaR) analyses. Specifically, the risk related to shares is estimated for each position with respect to a global or sector benchmark index, while the estimate for individual funds is made with reference to a set of risk factors that reflect the management strategy adopted. The overall risk is then determined with reference to the volatility and the correlation between the various risk factors.
The Group's Risk Management Department determines the exposure to exchange risk each day and summarises it monthly in a specific VaR report.

Quantitative information

3. Interest rate risk - Trading portfolio reported for supervisory purposes: internal models and methodologies for the analysis of sensitivity

The VaR readings determined over time horizons of ten days and one day are set out below, in relation to the rate risk associated with the trading portfolio reported for supervisory purposes at 31 December 2017.

Descriptive data		VaR Time horizon: 10 days Confidence interval: 99%		VaR Time horizon: 1 day Confidence interval: 99%	
Type of transaction	Present value	VaR	Var/Present Value	VaR	Var/Present Value
BOT	-	-	0.00%	-	0.00%
BTP	52,976	121	0.23%	38	0.07%
CCT	-	-	0.00%	-	0.00%
Other government securities	14,829	69	0.47%	22	0.15%
Bonds	265,280	1,518	0.57%	480	0.18%
Mutual funds and Sicavs	58,294	46	0.08%	14	0.03%
Derivatives/Transactions to be settled	(27,907)	9,264	-33.20%	2,929	-10.50%
Effect of diversification		(2,890)		(914)	
Total portfolio 2017	**363,472**	**8,128**	**2.24%**	**2,570**	**0.71%**
Total portfolio 2016	**383,875**	**6,569**	**1.71%**	**2,079**	**0.54%**

The value of the trading portfolio at 31 December 2017 given a parallel shift of +/- 100 basis points (sensitivity analysis) is set out below.

	+100 bps	-100 bps
31 Dec 2017	56,182	(43,181)
31 Dec 2016	22,156	(16,812)

3. Price risk - Trading portfolio for supervisory purposes: internal models and other methodologies for the analysis of sensitivity

The VaR determined over time horizons of ten days and one day is set out below, in relation to the price risk associated with the trading portfolio reported for supervisory purposes at 31 December 2017.

Descriptive data		VaR Time horizon: 10 days		VaR Time horizon: 1 day	
		Confidence interval: 99%		Confidence interval: 99%	
Type of transaction	Present value	VaR	Var/Present Value	VaR	Var/Present Value
Equities	114,841	5,682	4.95%	1,797	1.57%
Mutual funds and Sicavs	58,294	1,962	3.37%	620	1.06%
Derivatives/Transactions to be settled	(10,507)	-	0.00%	-	0.00%
Effect of diversification		(355)		(112)	
Total portfolio 2017	**162,628**	**7,289**	**4.48%**	**2,305**	**1.42%**
Total portfolio 2016	**146,510**	**6,341**	**4.33%**	**2,005**	**1.37%**

2.2 Interest rate risk and price risk - Banking book

Qualitative information

A. General aspects, management and measurement of interest rate risk and price risk

Interest rate risk represents the potential impact of unexpected changes in market rates on current profits and the equity value of the Parent Company. This risk typically affects the positions included in the banking book.
The exposure to interest rate risk can be further analysed into:

- income risk;
- investment risk.

Income risk derives from the possibility that an unexpected change in interest rates may reduce net interest income, being the difference between interest received and interest paid. This risk is measured by maturity gap models and depends on:

- the mismatch in the maturity structures of lending and funding, in cases where the related assets and liabilities are remunerated at fixed rates until final maturity;
- the mismatch of the review periods for rate conditions, in the case of floating-rate assets and liabilities.

The timing mismatches mentioned above expose BPER Banca to:

- refinancing risk: the risk arising when the average maturity period (period until the next rate review) is shorter for funding than for lending. In this case, the Bank is exposed to possible increases in interest rates (the Bank is Liability Sensitive);
- reinvestment risk: the risk arising when the average maturity period (period until the next rate review) is shorter for lending than for funding. In this case, the Bank's net interest income will decline if interest rates fall (the Bank is Asset Sensitive).

Investment risk derives from the possibility that adverse changes in the value of all assets, liabilities and off-balance sheet instruments held by the Bank, following changes in interest rates, may destabilise the equilibrium of the balance sheet. This risk is measured by duration gap and sensitivity analysis techniques.
The following types of interest rate risk are identified:

- *Repricing Risk:* risk associated with differences in the maturities (fixed rate) and the repricing dates (floating rate) of the assets and liabilities held in the portfolio.
- *Yield Curve Risk:* risk associated with changes in the gradient and shape of the yield curve.
- *Refixing Risk:* risk associated with the timing of changes in market parameters, for floating rate positions. More specifically, this is the risk that rate of rise in interest rates is more marked in the refixing periods for funding than in those for lending.
- *Basis Risk:* risk arising from the imperfect correlation between the indexation parameters for lending and funding, or from unfavourable changes in the gradient of the curve.
- *Optionality Risk:* risk associated with "explicit" or "embedded" options embedded in the banking book's assets and liabilities (e.g. cap/floor/collar, loan prepayment options).

Every month, BPER Banca monitors at both consolidated and legal entity level the impact that unexpected changes in market interest rates might have on the positions in the banking book, considering both current profits (sensitivity of net interest income) and the economic value of shareholders' equity:

- standpoint of current profits: the purchase of considering the impact on current profits is to evaluate interest risk with reference to the sensitivity of net interest income to rate changes over a given period of time. Adverse changes in net interest income potentially affect the financial stability of a bank by weakening its capital adequacy. The change in net interest income depends on the various types of risk;
- standpoint of economic value: changes in interest rates may affect the economic value of the Parent Company's assets and liabilities. The economic value of a bank is represented by the present value of its expected cash flows, defined as the sum of the present value of the cash flows to be generated by its assets, liabilities and positions in derivatives. By contrast with the standpoint of current profits, that of economic value identifies the risk generated by the repricing or maturity gap over a long time horizon.

The objectives to be pursued in support of the proper management of interest rate risk are:

- reduce the adverse effects of the volatility of net interest income (standpoint of current profits). The stability of net interest income is principally influenced by the yield curve risk, repricing risk, basis risk and optionality risk;
- immunise the economic value, being the sum of the present values of all the expected cash flows, generated by both sides of the balance sheet. By contrast with the standpoint of current profits, the standpoint of economic value takes a medium/long-term view and is principally associated with the repricing risk;
- ensure compliance with the related organisational requirements envisaged by the domestic and international supervisory bodies.

The model for the governance of rate risk is based on the following principles:

- consistency with BPER Banca's current business model in terms of autonomy and the coordination of the commercial and lending policies of Group companies;
- allocation to BPER Banca of powers to manage and coordinate, in order to ensure consistency in the overall governance of rate risk and compliance with regulatory requirements;
- segregation between governance processes and the management of rate risk.

The model for the management of interest rate risk focuses on the following measures of risk:

- sensitivity of net interest income;
- sensitivity of economic value.

Analysis of the sensitivity of net interest income identifies the impact of changes in interest rates as a result of parallel and other shocks.
The Bank calculates the sensitivity of net interest income holding rates and volumes constant. According to this model amounts maturing are reinvested on the assumption of constant volumes, rates and maturities.
The following shocks are considered:

- parallel shock of + 100 bps;
- parallel shock of +/- 50 bps;

- parallel shock of - 25 bps.

The indicator is calculated at both Group and Legal Entity levels.

Analysis of the sensitivity of economic value identifies the impact on the value of shareholders' equity of parallel and other shocks to the yield curve. This change is calculated by discounting all the cash flows using two different yield curves: the current curve at the analysis date and that following the shock, and comparing the two values.

$$\Delta VA = VA\,(\text{Curve1}) - VA\,(\text{Curve2})$$

In order to incorporate the phenomenon known as prepayment of loans[8], in measuring the sensitivity of economic value, a model was adopted according to which the amount of capital prepaid on a loan is estimated through a percentage of early repayment on the capital outstanding during the reference period. The percentage of prepayment defined in this way is maintained constant for the whole duration of the loan.

For the calculation of sensitivity, demand balances outstanding with customers are simulated using an econometric model which identifies a portfolio that replicates them, by allocating demand funding (lending) to a portfolio of liabilities (assets) with an identified effective repricing profile.

In addition to the risk measures mentioned above, the capital absorbed in relation to interest rate risk is also calculated. Sensitivity analysis is applied in order to estimate the capital absorbed, consistent with the standardised approach envisaged by the Supervisory Authorities. Under this approach, the capital absorbed in relation to the banking book's interest rate risk is the change in the economic value (defined as the present value of expected cash flows) caused by a rate shock of 200 basis points.

With regard to price risk, the banking book mainly comprises shares, mutual funds and SICAVs classified as available for sale or measured using the Fair Value Option.

The portfolio is monitored using the VaR methodology described in the section entitled "Interest-rate risk and price risk – trading portfolio for supervisory purposes".

The Risk Management Department determines the exposure to exchange risk each day and summarises it monthly in a specific VaR report.

[8] *Prepayment can be defined as a total or partial early repayment of the residual loan by the borrower.*

B. Fair value hedges

As mentioned earlier, the Bank arranges operational hedges against changes in fair value, which are recognised for accounting purposes using the Fair Value Option.
In this regard, the decisions made by the Parent Company concerning the scope of application of the fair value option, included in the "Guidelines for the application of the fair value option by the BPER Banca Group", envisage that - when deemed appropriate with reference to the results of interest risk monitoring - certain issues of debt instruments will be hedged via plain vanilla OTC derivative contracts.

C. Cash flow hedges

In compliance with the law, the Bank decided to take advantage of the Hedge Accounting approach, when deemed appropriate.
In this regard, the decisions concerning the scope of application of cash flow hedges, included in the "Guidelines for the application of the fair value to financial instruments by the BPER Group", identify the area of application to the Group's assets and liabilities and provide that, when considered opportune based on the results of interest risk monitoring, certain floating-rate positions are to be hedged by means of plain vanilla OTC derivative contracts.
In the application of the fair value option, income statement recognition is given solely to the change in fair value attributable to the risk being hedged.

Quantitative information

2. Interest rate risk - Banking book: internal models and other methodologies for the analysis of sensitivity

Year end (31 December 2017) and trend data (minimum, average, maximum) for the year is provided below in relation to the change in the interest margin on the banking book following the application of a parallel shift of +100 basis points and -50 basis points to the relevant interest rate curve.

	+100 bps	-50 bps
31 December 2017	**67,091**	**7,094**
maximum change	74,511	7,919
minimum change	54,752	7,001
average change	66,488	7,463
31 December 2016	**37,775**	**8,500**

Year end (31 December 2017) and trend data (minimum, average, maximum) for the year is provided below in relation to the change in the economic value of equity following the application of a parallel shift of +/-100 basis points to the relevant interest rate curve.

	+100 bps	-100 bps
31 December 2017	**131,545**	**(165,342)**
maximum change	231,033	(190,692)
minimum change	106,050	(128,631)
average change	165,782	(154,759)
31 December 2016	**(46,033)**	**(65,263)**

2. Price risk - Banking book: internal models and other methodologies for the analysis of sensitivity

The VaR determined over time horizons of ten days and one day is set out below, in relation to the price risk associated with the trading portfolio reported for supervisory purposes at 31 December 2017.

Descriptive data		VaR Time horizon: 10 days		VaR Time horizon: 1 day	
		Confidence interval: 99%		Confidence interval: 99%	
Type of transaction	**Present value**	**VaR**	**Var/Present Value**	**VaR**	**Var/Present Value**
Equities Instruments	304,745	14,919	4.90%	4,718	1.55%
Mutual funds and SICAVs	120,279	5,846	4.86%	1,849	1.54%
Derivatives/Transactions to be settled	-	-	0.00%	-	0.00%
Effect of diversification		(672)		(212)	
Total portfolio 2017	**425,024**	**20,094**	**4.73%**	**6,354**	**1.50%**
Total portfolio 2016	**480,561**	**33,101**	**6.89%**	**10,467**	**2.18%**

2.3 Exchange risk

Qualitative information

A. General aspects, management and measurement of exchange risk

The Group is exposed to exchange risk as a consequence of routine funding and lending activities and, to a marginal extent, in relation to speculative activities.
The Parent Company's Risk Management Department determines the exposure to exchange rate risk each day and summarises it monthly in a specific VaR report.

B. Hedging of exchange risk

The Bank uses plain vanilla instruments for the operational hedging of exchange risk.

Quantitative information

1. Foreign currency assets, liabilities and derivatives

Captions	Currency					
	US Dollars	Sterling	Yen	Canadian Dollars	Swiss Francs	Other currency
A. Financial assets	**2,430,994**	**261,395**	**2,144**	**1,955**	**11,011**	**7,840**
A.1 Debt securities	2,248,612	244,108	-	-	-	-
A.2 Equity instruments	16,751	1,163	-	302	1,105	341
A.3 Loans to banks	62,879	14,552	935	1,328	1,317	7,497
A.4 Loans to customers	102,752	1,572	1,209	325	8,589	2
A.5 Other financial assets	-	-	-	-	-	-
B. Other assets	**2,525**	**1,403**	**105**	**393**	**1,029**	**719**
C. Financial liabilities	**2,372,800**	**250,980**	**8,721**	**4,337**	**10,757**	**10,375**
C.1 Due to banks	2,109,185	237,090	10	190	6,487	1,432
C.2 Due to customers	263,615	13,890	8,711	4,147	4,270	8,943
C.3 Debt securities	-	-	-	-	-	-
C.4 Other financial liabilities	-	-	-	-	-	-
D. Other liabilities	**9,636**	**200**	**-**	**39**	**-**	**89**
E. Financial derivatives						
- Options						
+ long positions	29,036	2,002	582	-	-	253
+ short positions	102,301	2,110	651	-	-	1,753
- Other derivatives						
+ long positions	267,888	54,344	9,785	4,921	3,257	34,155
+ short positions	240,939	65,967	12,119	2,535	4,579	30,502
Total assets	**2,730,443**	**319,144**	**12,616**	**7,269**	**15,297**	**42,967**
Total liabilities	**2,725,676**	**319,257**	**21,491**	**6,911**	**15,336**	**42,719**
Net balance (+/-)	**4,767**	**(113)**	**(8,875)**	**358**	**(39)**	**248**

2. Internal models and other methodologies for the analysis of sensitivity

The VaR determined over time horizons of ten days and one day is set out below, in relation to the exchange risk faced by the Bank at 31 December 2017.

	VaR Time horizon: 10 days Confidence interval: 99%	VaR Time horizon: 1 day Confidence interval: 99%
2017 figures	59,779	18,904
2016 figures	92,286	29,183

2.4 Derivatives

A. Financial Derivatives

A.1 Regulatory trading portfolio: notional values at the end of period

Underlying assets/Type of derivative	31.12.2017		31.12.2016	
	Over the counter	Central counterparties	Over the counter	Central Counterparties
1. Debt securities and interest rates	**4,819,436**	**1,786,244**	**4,396,151**	**1,022,954**
a) Options	1,546,229	61,691	990,420	106,921
b) Swaps	2,581,828	909,175	2,964,272	-
c) Forwards	-	-	-	-
d) Futures	-	815,378	-	916,033
e) Other	691,379	-	441,459	-
2. Equities and stock indices	**1,395**	**10,211**	**554**	**22,368**
a) Options	1,395	8,426	554	21,888
b) Swaps	-	-	-	-
c) Forwards	-	-	-	-
d) Futures	-	1,785	-	480
e) Other	-	-	-	-
3. Currency and gold	**853,378**	**-**	**788,847**	**4,743**
a) Options	304,948	-	303,994	4,743
b) Swaps	-	-	-	-
c) Forwards	548,430	-	484,853	-
d) Futures	-	-	-	-
e) Other	-	-	-	-
4. Goods	**-**	**25,474**	**-**	**14,048**
5. Other underlyings	**-**	**-**	**3**	**-**
Total	**5,674,209**	**1,821,929**	**5,185,555**	**1,064,113**

A.2 Banking portfolio: period-end values

A.2.1 For hedging

Underlying assets/Type of derivative	31.12.2017		31.12.2016	
	Over the counter	Central counterparties	Over the counter	Central counterparties
1. Debt securities and interest rates	**1,599,650**	**4,556,031**	**4,248,650**	**-**
a) Options	-	-	-	-
b) Swaps	1,599,650	4,556,031	4,248,650	-
c) Forwards	-	-	-	-
d) Futures	-	-	-	-
e) Other	-	-	-	-
2. Equities and stock indices	**-**	**-**	**-**	**-**
a) Options	-	-	-	-
b) Swaps	-	-	-	-
c) Forwards	-	-	-	-
d) Futures	-	-	-	-
e) Other	-	-	-	-
3. Currency and gold	**-**	**-**	**-**	**-**
a) Options	-	-	-	-
b) Swaps	-	-	-	-
c) Forwards	-	-	-	-
d) Futures	-	-	-	-
e) Other	-	-	-	-
4. Goods	**-**	**-**	**-**	**-**
5. Other underlyings	**-**	**-**	**-**	**-**
Total	**1,599,650**	**4,556,031**	**4,248,650**	**-**

A.2.2 Other derivatives

Underlying assets/Type of derivative	31.12.2017		31.12.2016	
	Over the counter	Central counterparties	Over the counter	Central counterparties
1. Debt securities and interest rate	6,302,736	565	6,484,894	-
a) Options	4,374	-	5,101	-
b) Swaps	6,298,362	565	6,479,793	-
c) Forwards	-	-	-	-
d) Futures	-	-	-	-
e) Other	-	-	-	-
2. Equities and stock indices	236,470	-	265,110	-
a) Options	236,470	-	265,110	-
b) Swaps	-	-	-	-
c) Forwards	-	-	-	-
d) Futures	-	-	-	-
e) Other	-	-	-	-
3. Currency and gold	-	-	-	-
a) Options	-	-	-	-
b) Swaps	-	-	-	-
c) Forwards	-	-	-	-
d) Futures	-	-	-	-
e) Other	-	-	-	-
4. Goods	-	-	-	-
5. Other underlyings	-	-	-	-
Total	6,539,206	565	6,750,004	-

A.3 Financial derivatives: positive gross fair value - allocation by product

Portfolio/Types	Positive fair value			
	31.12.2017		31.12.2016	
	Over the counter	Central counterparties	Over the counter	Central counterparties
A. Trading portfolio for supervisory purposes	**92,720**	**2,603**	**111,300**	**398**
a) Options	14,098	-	10,351	398
b) Interest rate swaps	61,557	2,603	81,525	-
c) Cross currency swaps	-	-	-	-
d) Equity swaps	-	-	-	-
e) Forwards	6,434	-	12,517	-
f) Futures	-	-	-	-
g) Other	10,631	-	6,907	-
B. Banking portfolio - for hedging	**13,444**	**39,380**	**59,767**	**-**
a) Options	-	-	-	-
b) Interest rate swaps	13,444	39,380	59,767	-
c) Cross currency swaps	-	-	-	-
d) Equity swaps	-	-	-	-
e) Forwards	-	-	-	-
f) Futures	-	-	-	-
g) Other	-	-	-	-
C. Banking portfolio - other derivatives	**52,906**	**-**	**94,000**	**-**
a) Options	6,787	-	9,297	-
b) Interest rate swaps	46,119	-	84,703	-
c) Cross currency swaps	-	-	-	-
d) Equity swaps	-	-	-	-
e) Forwards	-	-	-	-
f) Futures	-	-	-	-
g) Other	-	-	-	-
Total	**159,070**	**41,983**	**265,067**	**398**

A.4 Financial derivatives: negative gross fair value - allocation by product

Portfolio/Types	Negative fair value			
	31.12.2017		31.12.2016	
	Over the counter	Central counterparties	Over the counter	Central counterparties
A.Trading portfolio for supervisory purposes	**111,414**	**20,461**	**147,167**	**1,506**
a) Options	16,449	847	13,022	1,506
b) Interest rate swaps	79,237	19,614	120,547	-
c) Cross currency swaps	-	-	-	-
d) Equity swaps	-	-	-	-
e) Forwards	7,597	-	8,275	-
f) Futures	-	-	-	-
g) Other	8,131	-	5,323	-
B. Banking portfolio - for hedging	**12,209**	**8,966**	**36,860**	**-**
a) Options	-	-	-	-
b) Interest rate swaps	12,209	8,966	36,860	-
c) Cross currency swaps	-	-	-	-
d) Equity swaps	-	-	-	-
e) Forwards	-	-	-	-
f) Futures	-	-	-	-
g) Other	-	-	-	-
C. Banking portfolio - other derivatives	**53,892**	**38**	**89,600**	**-**
a) Options	6,442	-	8,922	-
b) Interest rate swaps	47,450	38	80,678	-
c) Cross currency swaps	-	-	-	-
d) Equity swaps	-	-	-	-
e) Forwards	-	-	-	-
f) Futures	-	-	-	-
g) Other	-	-	-	-
Total	**177,515**	**29,465**	**273,627**	**1,506**

A.5 OTC financial derivatives: Trading portfolio for supervisory purposes - notional amounts, positive and negative gross fair values by counterparty - contracts not included in offset agreements

Contracts not included in offset agreements	Governments and Central Banks	Other public entities	Banks	Financial businesses	Insurance companies	Non-financial companies	Other parties
1) Debt securities and interest rates							
- notional value	-	-	48,308	33,280	-	1,433,097	7,514
- positive fair value	-	-	351	1,307	-	43,543	103
- negative fair value	-	-	295	8	-	6,104	-
- future exposure	-	-	107	152	-	5,144	12
2) Equities and stock indices							
- notional value	-	-	735	61	-	599	-
- positive fair value	-	-	-	54	-	52	-
- negative fair value	-	-	-	-	-	-	-
- future exposure	-	-	59	5	-	39	-
3) Currency and gold							
- notional value	-	-	8,850	16,764	-	413,520	2,731
- positive fair value	-	-	283	241	-	9,015	95
- negative fair value	-	-	15	119	-	2,998	11
- future exposure	-	-	86	84	-	3,842	25
4) Other instruments							
- notional value	-	-	-	-	-	-	-
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
- future exposure	-	-	-	-	-	-	-

A.6 OTC financial derivatives: Trading portfolio for supervisory purposes: notional amounts, positive and negative gross fair values by counterparty - contracts included in offset agreements

Contracts included in offset agreements	Governments and Central Banks	Other public entities	Banks	Financial businesses	Insurance companies	Non-financial companies	Other parties
1) Debt securities and interest rates							
- notional value	-	-	3,167,155	37,555	-	92,527	-
- positive fair value	-	-	26,490	13	-	7,972	-
- negative fair value	-	-	89,110	5,886	-	-	-
2) Equities and stock indices							
- notional value	-	-	-	-	-	-	-
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
3) Currency and gold							
- notional value	-	-	359,945	51,568	-	-	-
- positive fair value	-	-	2,963	238	-	-	-
- negative fair value	-	-	5,613	1,255	-	-	-
4) Other instruments							
- notional value	-	-	-	-	-	-	-
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-

A.7 OTC Financial derivatives: banking book - notional amounts, positive and negative gross fair values by counterparty - contracts not included in offset agreements

Contracts not included in offset agreements	Governments and Central Banks	Other public entities	Banks	Financial businesses	Insurance companies	Non-financial companies	Other parties
1) Debt securities and interest rates							
- notional value	-	-	-	-	-	-	-
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
- future exposure	-	-	-	-	-	-	-
2) Equities and stock indices							
- notional value	-	-	-	64	-	35,075	71,380
- positive fair value	-	-	-	12	-	1	-
- negative fair value	-	-	-	1	-	-	3,622
- future exposure	-	-	-	4	-	1,605	-
3) Currency and gold							
- notional value	-	-	-	-	-	-	-
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
- future exposure	-	-	-	-	-	-	-
4) Other instruments							
- notional value	-	-	-	-	-	-	-
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
- future exposure	-	-	-	-	-	-	-

A.8 OTC financial derivatives: banking book: notional amounts, positive and negative gross fair value by counterparty - contracts included in offset agreements

Contracts included in offset agreements	Governments and Central Banks	Other public entities	Banks	Financial businesses	Insurance companies	Non-financial companies	Other parties
1) Debt securities and interest rates							
- notional value	-	-	7,230,096	672,290	-	-	-
- positive fair value	-	-	57,267	2,297	-	-	-
- negative fair value	-	-	57,348	2,413	-	-	-
2) Equities and stock indices							
- notional value	-	-	127,701	2,250	-	-	-
- positive fair value	-	-	6,773	-	-	-	-
- negative fair value	-	-	2,381	336	-	-	-
3) Currency and gold							
- notional value	-	-	-	-	-	-	-
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
4) Other instruments							
- notional value	-	-	-	-	-	-	-
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-

A.9 Residual life of OTC financial derivatives: notional values

Underlyings/Residual value	Within 1 year	Between 1 year up to 5 years	Over 5 years	Total
A. Trading portfolio for supervisory purposes	**1,968,545**	**2,008,272**	**1,697,392**	**5,674,209**
A.1 Financial derivatives on debt securities and interest rates	1,171,653	1,952,392	1,695,391	4,819,436
A.2 Financial derivatives on equities and stock indices	432	963	-	1,395
A.3 Financial derivatives on exchange rates and gold	796,460	54,917	2,001	853,378
A.4 Financial derivatives on other	-	-	-	-
B. Banking book	**2,832,653**	**3,935,926**	**1,370,277**	**8,138,856**
B.1 Financial derivatives on debt securities and interest rates	2,821,093	3,743,080	1,338,213	7,902,386
B.2 Financial derivative contracts on equity securities and stock indices	11,560	192,846	32,064	236,470
B.3 Financial derivatives on exchange rates and gold	-	-	-	-
B.4 Financial derivatives on other instruments	-	-	-	-
Total 31.12.2017	**4,801,198**	**5,944,198**	**3,067,669**	**13,813,065**
Total 31.12.2016	**1,893,007**	**7,566,406**	**6,724,796**	**16,184,209**

C. Financial and credit derivatives

C.1 OTC financial and credit derivatives: net fair value and future exposure by counterparty

	Governments and Central Banks	Other public entities	Banks	Financial businesses	Insurance companies	Non-financial companies	Other parties
1) Bilateral financial derivative agreements							
- positive fair value	-	-	13,813	-	-	7,972	-
- negative fair value	-	-	74,772	7,342	-	-	-
- future exposure	-	-	36,922	1,072	-	690	-
- net counterparty risk	-	-	44,032	1,072	-	8,662	-
2) Bilateral credit derivative agreements							
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
- future exposure	-	-	-	-	-	-	-
- net counterparty risk	-	-	-	-	-	-	-
3) Cross Product agreements							
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
- future exposure	-	-	-	-	-	-	-
- net counterparty risk	-	-	-	-	-	-	-

Section 3 - Liquidity risk

Qualitative information

A. General aspects, management and measurement of liquidity risk

The BPER Banca Group has a specific policy for the management of liquidity risk (Group Policy for Liquidity and Funding Risk Governance), as well as a Contingency Funding Plan for emergencies, covering the objectives, processes and strategies for action.

Group Policy for Liquidity and Funding Risk Governance

This document, which forms an integral part of the Risk Appetite Framework of the BPER Banca Group, defines the principles, objectives and methods of governance and monitoring of liquidity and funding risk at Group level.
In particular, the policy aims to clarify the internal regulatory framework through:

- the definition of the governance model in terms of the parties involved in risk governance and their roles and responsibilities;
- definition of limits and mitigating actions aimed at risk containment;
- the formalisation of risk management methods, through the establishment of rules, procedures and metrics for the measurement and monitoring of liquidity and funding risk, describing the Stress Test model adopted to evaluate the risk exposure in stress scenarios.

Liquidity risk typically crystallises in the form of failure to meet payment obligations; it may take various forms, depending on the circumstances in which the risk arises. With reference to the definitions adopted at international level, a distinction is made between funding liquidity risk and market liquidity risk.
Funding liquidity risk is the risk that the Parent Company will not be able to make, in an efficient manner, expected and unexpected cash payments, both current and future, nor will it be able to meet collateral obligations, without an adverse effect on current operations or its financial position.
Market liquidity risk, on the other hand, is the risk that the Parent Company is not able to sell a financial asset without incurring a capital loss due to poor liquidity or disorder in the reference market.
These two forms of liquidity risk are often highly correlated, and may crystallise as a result of the same underlying factors. Market liquidity risk is usually considered to be a type of market risk (price risk); accordingly, the processes and rules for measuring, controlling and mitigating liquidity risk focus on the funding risk aspect.
In the context of funding risk, a distinction is made between:

- mismatch liquidity risk, being the liquidity risk implicit in the structure of the Parent Company's assets and liabilities due to the transformation of maturities typical of financial intermediaries, when the profile of cash outflows is not perfectly matched by the profile of cash inflows (with reference to contractual maturities and routine behaviour);
- contingency liquidity risk, being the risk that future events may require access to significantly more liquidity than previously planned by the Parent Company; in other words, this is the risk of

not being able to settle sudden and unexpected payment commitments in the short or very short term.

Liquidity risk can derive from different types of sources. In particular, two macro-categories are considered: endogenous sources and exogenous sources.

- Endogenous sources of liquidity risk: these include, among specific adverse events for the Group, a rating downgrade or other event that causes the market to lose confidence in the Group. Such a downgrade or a widespread market perception of a deterioration in the Group's solidity (which could arise from other risks, such as major losses on the trading book or loan portfolio) might also result in:
  - reduced access to the market for unsecured funds (e.g. commercial paper) by institutional investors;
  - a reduction in or cancellation of interbank lines of credit;
  - the withdrawal of deposits by retail customers;
  - an increased need for liquidity, for example a request to increase margins and guarantees due, or the need to finance assets that can no longer be sold or converted into securities through securitisations.
- Exogenous sources of liquidity risk include:
  - systemic events that cause a liquidity crisis in the market (political and financial crises, catastrophic events, etc.);
  - specificity of some financial products (derivative contracts, stock-borrowing contracts), where events, such as sudden market movements, bankruptcies or downgrades in the ratings, could trigger a request for further collateral from counterparties;
  - commitments relating to committed lines that in the event of a crisis could generate an increase in the demand for liquidity on the part of customers; endorsement credits or committed lines facilities stipulated with special purpose vehicles in connection with securitisations act in a similar way;
  - structural changes in the market that can lead to an increase in the liquidity risk perceived overall (increasing system demand for more volatile funding sources such as wholesale funds, rapid movement of accounts via internet banking).

Consistent with the Group Guidelines - Internal Control System, the management of liquidity risk can be broken down into the following components:

- definition of risk objectives,
- risk-taking;
- risk management;
- definition of risk exposure and operational limits.

The BPER Banca Group's governance model of short-term liquidity (operating liquidity) is based on centralised governance of liquidity and the related risk. In particular, the Parent Company:

- is responsible for this policy,
- governs short-term liquidity,
- determines and manages the funding plan,
- monitors liquidity risk,

for all Group banks and companies covered by the policy.

Funding/lending transactions involving liquidity are centralised at the Treasury and Institutional Liquidity Office to ensure that the Group's overall liquidity is managed efficiently:

- by optimising access to liquidity markets in terms of volumes and costs, exploiting the creditworthiness of the Group and minimising the cost of funding;
- by centralising "rating sensitive" funding transactions, as well as interventions on the money market;
- by implementing a principle of functional specialisation through centres of competence for secured funding transactions (issues of secured instruments, funding from particular categories of institutional investors, etc.).

The Group's governance model for long-term liquidity (or "structural liquidity") is based on the following principles:

- attribution to the Parent Company of the prerogatives for the management and coordination of the commercial and credit policies of Group Companies to ensure consistency in the overall governance of funding risk and to ensure compliance with the requisites envisaged by the regulations;
- communication of decisions and clear division of responsibilities between management, control and operational bodies;
- development of processes for the governance and control of funding risk that are consistent with the Group's reporting structure and by using the governance model formalised by this policy.

From the principles listed above derives a model based on integrated governance of the structural liquidity risk among all Group banks/companies included in the scope of consolidation. Specifically, this model is characterised by the following aspects:

- governance of the structural liquidity risk assigned to individual Group companies within the framework of a system of individual and consolidated limits defined by the Parent Company and formalised in this policy;
- control of structural liquidity risk centralised at the Parent Company.

The Policy and its updates approved by the Parent Company's Board of Directors once they have been reviewed or proposed by the Risk Committee. It is then adopted by the Board of each Group bank/company covered by the policy.
Pursuit of the above objectives takes account of the following aspects:

- segregation of responsibilities and roles between the internal functions responsible for managing liquidity and those responsible for managing liquidity risk;
- measurement of the exposure to liquidity risk, according to the Liquidity Risk Mismatch Model;
- definition of a Group Contingency Funding Plan that establishes the liquidity policy to be followed in a crisis scenario caused by endogenous and/or exogenous factors.

The Liquidity Policy Mismatch Model is based on the liquidity policy and on the metrics and tools aimed at managing liquidity risk, split into short-term liquidity and medium/long-term liquidity. In particular:

- the purpose of managing short-term (operational) liquidity risk is to manage the events affecting the Group's liquidity position over time horizons from 1 day to 1 year, with the paramount objective of maintaining the Group's ability to meet routine and special payment commitments, while minimising the related costs;

- the purpose of managing medium/long-term (structural) liquidity risk, deriving from events that affect the Group's liquidity position over a time horizon in excess of one year, is to maintain a suitable dynamic between medium/long-term assets and liabilities, while avoiding pressure on the current and future sources of short-term liquidity and, at the same time, optimising the cost of funding.

The metrics for monitoring short-term liquidity risk include:

- calculation of the liquidity mismatch having regard for the assets that can be promptly converted to cash, comprising the portfolio of eligible and marketable securities, as well as any reserves under the form of working capital;
- maintaining the lending-funding maturing in the various time bands within a cumulative limit expressed in absolute terms; daily checking for internal operational purposes and weekly checks using the methodologies defined by the Supervisory Authorities.

The metrics for the monitoring of structural liquidity risk include calculation of the liquidity mismatch which, operationally, involves:

- calculating the gap ratio between assets and liabilities in the time bands that exceed one year;
- the use of statistical/quantitative behavioural models for items without contractual maturities or which are subject to options;
- the performance of periodic stress tests which, based on the application of endogenous and exogenous shock scenarios, generate deterministic and/or probability-based indicators of risk.

The Group's liquidity position is monitored both under normal conditions and at times of stress: scenario analysis is carried out once a month by the Risk Management Department.
When carrying out stress analyses, the scenarios are constructed with reference both to systemic events (Market Stress Scenario) and to events specific to BPER Banca (Name Crisis Stress Scenario), as well as a combination of the two (Composite Scenario). In view of the macroeconomic context, commercial policies and possible changes in customer behaviour.

Contingency Funding Plan

The Contingency Funding Plan formalises the process of liquidity management under stress or crisis scenarios. The business functions responsible for monitoring and managing liquidity risk must be able to carry out their activities both under normal conditions and at times of stress and/or liquidity crises that are unlikely to occur, but which would have a significant impact.
In view of the governance model of the liquidity and funding risk previously illustrated, BPER Banca - as the lender of last resort for all Group subsidiaries - guarantees their short, medium and long-term solvency and is responsible for activating the Contingency Funding Plan, regardless of where in the Group the liquidity crisis arises.
The purpose of the Contingency Funding Plan is to safeguard the net assets of the Bank at the early stages of liquidity stress and to guarantee the Group's continuity in the event of a serious and/or prolonged liquidity crisis, by:

- defining a process for the identification and monitoring of risk indicators that signal and measure the stages in a liquidity crisis;
- identifying ex ante a system of predetermined but flexible actions to be implemented in the early stages of a crisis;
- determining the roles and responsibilities of each business function;

- identifying the internal regulations that may be invoked to justify the actions of the BPER Banca Group's management, which at a time of crisis must be authorised to modify on a timely and perhaps radical basis the structure of the assets and liabilities in the balance sheet.

A state of liquidity crisis is defined as a situation in which a Group finds it difficult or impossible to settle the cash payments falling due, except by activating procedures and/or using tools with an intensity or in a manner not envisaged as part of ordinary administration.
Liquidity crises fall into two broad categories:

- systemic or "market driven" liquidity crises generated by market, political or macroeconomic crises;
- specific liquidity crises or "name crises" limited to the Group or to one or more Group companies/banks.

Considering the types of liquidity crisis and their scale, three operational scenarios have been identified:

- ordinary course of business;
- state of stress;
- state of crisis.

Depending on the scenario, the actions required and the functions involved in its management can be identified.
The operational scenario faced by the Group is identified by monitoring the system of early warnings, which comprises a series of indicators that flag the scenario with reference to progressive levels of stress/crisis associated with one or more drivers. Depending on the level of stress/crisis identified, monitoring and/or communications procedures are activated in preparation for implementing procedures designed to manage the state of stress or state of crisis concerned.

The Contingency Funding Plan and its revisions must be approved by the Board of Directors of the Parent Company.

Quantitative information

1.1Time breakdown by contractual residual maturity of financial assets and liabilities - Currency: Euro

Items/Time period	On demand	From 1 to 7 days	From 7 to 15 days	From 15 days to 1 month	From 1 to 3 months	From 3 to 6 months	From 6 months to 1 year	From 1 to 5 years	Over 5 years	dur spe
Cash assets	**5,408,844**	**274,142**	**808,348**	**2,401,717**	**3,351,888**	**1,983,012**	**4,416,019**	**17,112,495**	**17,758,519**	**2,032,735**
A.1 Government securities	-	-	23,129	10,369	181,668	36,581	596,354	1,662,212	1,549,553	-
A.2 Other debt securities	6,979	60	9,986	52,014	16,877	73,348	168,256	3,092,957	5,214,839	10,000
A.3 UCITS units	190,784	-	-	-	-	-	-	-	-	-
A.4 Loans	5,211,081	274,082	775,233	2,339,334	3,153,343	1,873,083	3,651,409	12,357,326	10,994,127	2,022,735
- Banks	636,103	989	182,493	224,298	330,047	31,979	15,181	267,518	18,148	2,022,735
- Customers	4,574,978	273,093	592,740	2,115,036	2,823,296	1,841,104	3,636,228	12,089,808	10,975,979	-
Cash liabilities	**29,008,434**	**1,485,511**	**726,296**	**661,314**	**1,266,896**	**1,135,339**	**2,224,108**	**12,386,227**	**2,093,391**	**-**
B.1 Deposits and current accounts	28,455,454	31,761	74,265	240,726	687,954	417,437	302,342	-	-	-
- Banks	2,506,128	-	-	87,851	-	-	-	-	-	-
- Customers	25,949,326	31,761	74,265	152,875	687,954	417,437	302,342	-	-	-
B.2 Debt securities	52,437	33,002	166,953	135,132	454,545	575,712	1,702,570	2,643,212	752,902	-
B.3 Other liabilities	500,543	1,420,748	485,078	285,456	124,397	142,190	219,196	9,743,015	1,340,489	-
"Off-balance sheet" transactions										
C.1 Financial derivatives with exchange of capital										
- Long positions	-	79,748	6,495	49,908	129,742	82,469	76,060	18,775	1,318	-
- Short positions	-	89,169	9,909	30,725	116,276	79,490	49,499	14,084	3,363	-
C.2 Financial derivatives without exchange of capital										
- Long positions	81,890	-	-	-	-	-	-	-	-	-
- Short positions	117,330	-	-	-	-	-	-	-	-	-
C.3 Deposits and loans to be received										
- Long positions	-	1,751,962	-	-	-	-	-	-	-	-
- Short positions	-	1,719,176	-	32,786	-	-	-	-	-	-
C.4 Irrevocable commitments to make loans										
- Long positions	8,041	-	213	1,948	1,000	2,125	15,880	281,619	206,952	-
- Short positions	517,778	-	-	-	-	-	-	-	-	-
C.5 Financial guarantees given	-	-	-	-	-	-	-	-	-	-
C.6 Financial guarantees received	-	-	-	-	-	-	-	-	-	-
C.7 Credit derivatives with exchange of capital										
- Long positions	-	-	-	-	-	-	-	-	-	-
- Short positions	-	-	-	-	-	-	-	-	-	-
C.8 Credit derivatives without exchange of capital										
- Long positions	-	-	-	-	-	-	-	-	-	-
- Short positions	-	-	-	-	-	-	-	-	-	-

1.5 Time breakdown by contractual residual maturity of financial assets and liabilities - Currency: Other currencies

Items/Time period	On demand	From 1 to 7 days	From 7 to 15 days	From 15 days to 1 month	From 1 to 3 months	From 3 to 6 months	From 6 months to 1 year	From 1 to 5 years	Over 5 years	[illegible]
Cash assets	**62,951**	**1,958**	**16,428**	**48,226**	**144,513**	**33,787**	**74,220**	**2,346,473**	**443,720**	**-**
A.1 Government securities	-	-	-	-	300	3,416	3,514	437,500	30,470	-
A.2 Other debt securities	63	393	6,242	2,420	80,192	21,081	52,650	1,896,361	413,250	-
A.3 UCITS units	13,016	-	-	-	-	-	-	-	-	-
A.4 Loans	49,872	1,565	10,186	45,806	64,021	9,290	18,056	12,612	-	-
- Banks	31,809	-	718	27,233	23,121	1,485	5,150	-	-	-
- Customers	18,063	1,565	9,468	18,573	40,900	7,805	12,906	12,612	-	-
Cash liabilities	**306,565**	**226,562**	**232,829**	**501,219**	**1,383,350**	**1,595**	**1,376**	**-**	**8**	**-**
B.1 Deposits and current accounts	306,384	10,344	-	1,947	4,336	1,595	1,376	-	-	-
- Banks	12,812	8,593	-	255	941	-	-	-	-	-
- Customers	293,572	1,751	-	1,692	3,395	1,595	1,376	-	-	-
B.2 Debt securities	-	-	-	-	-	-	-	-	-	-
B.3 Other liabilities	181	216,218	232,829	499,272	1,379,014	-	-	-	8	-
"Off-balance sheet" transactions										
C.1 Financial derivatives with exchange of capital										
- Long positions	-	98,830	16,058	31,779	114,266	78,326	49,084	14,123	1,042	-
- Short positions	-	85,982	12,649	50,864	140,215	80,237	74,772	18,717	1,118	-
C.2 Financial derivatives without exchange of capital										
- Long positions	494	-	-	-	-	-	-	-	-	-
- Short positions	1,624	-	-	-	-	-	-	-	-	-
C.3 Deposits and loans to be received										
- Long positions	-	-	-	-	-	-	-	-	-	-
- Short positions	-	-	-	-	-	-	-	-	-	-
C.4 Irrevocable commitments to make loans										
- Long positions	2,393	1,306	-	-	-	-	-	-	-	-
- Short positions	2,393	1,306	-	-	-	-	-	-	-	-
C.5 Financial guarantees given	-	-	-	-	-	-	-	-	-	-
C.6 Financial guarantees received	-	-	-	-	-	-	-	-	-	-
C.7 Credit derivatives with exchange of capital										
- Long positions	-	-	-	-	-	-	-	-	-	-
- Short positions	-	-	-	-	-	-	-	-	-	-
C.8 Credit derivatives without exchange of capital										
- Long positions	-	-	-	-	-	-	-	-	-	-
- Short positions	-	-	-	-	-	-	-	-	-	-

As required by the regulations, liquidity risk includes the self-securitisations carried out within the BPER Banca Group and outstanding in 2017, as shown below.

Estense Finance self-securitisation

During 2009, BPER Banca completed a securitisation of performing residential mortgages pursuant to Law 130 dated 30 April 1999, with a view to strengthening the funding available to tackle liquidity risks.

This operation involved the without-recourse sale of a block of 20,198 performing loans, comprising residential mortgages granted to developers and residential mortgages granted to home owners, totalling Euro 1,922,631,856, to Estense Finance s.r.l., a company formed pursuant to Law 130 that is 9.9% owned by the Bank.

The vehicle company financed the operation via issue of the asset-backed bonds described in the following table, all of which were taken up by BPER Banca.

In order to hedge the interest-rate risk associated with the issue of these bonds, the SPV has arranged an IRS contract with a leading financial institution. The originator has entered into an equal but opposite contract with this institution, in order to internalise the returns from the operation.

The objective of this operation, not involving the market, was to create a reserve of liquidity via the issue of securities eligible for refinancing with the ECB and for use as a guarantee for other funding transactions. It represents one aspect of the liquidity management activities arranged by BPER Banca.

The securities, which initially had a rating only from Standard & Poor’s, have since been rated by a second agency, Fitch Ratings, as required by the subsequent changes in European regulations.

As structured, the sale does not transfer to third parties, with respect to the originator bank, the real credit risk associated with the underlying loans. Accordingly, pursuant to the provisions of IAS 39 on the subject of derecognition, the securitised loans remain classified as an asset in BPER Banca's balance sheet and are described in the explanatory notes.

Classes	A	B	C
Issue amount	1,750,000,000	40,000,000	132,632,000
Currency	Euro	Euro	Euro
Maturity	24/08/2018	24/08/2018	24/08/2018
Listing	Luxembourg Stock Exchange	Luxembourg Stock Exchange	Unlisted
ISIN Code	IT0004513542	IT0004513559	IT0004513567
Amortisation	Pass Through	Pass Through	Pass Through
Indexation	3-month Euribor	3-month Euribor	Not indexed
Spread	0.60%	2.50%	Residual
S&P's issue rating	AAA	A	Unrated
Fitch issue rating	Unrated	Unrated	Unrated
Current S&P's rating	AA-sf	Asf	Unrated
Current Fitch rating	AAsf	Asf	Unrated

Section 4 – Operational risks

Qualitative information

A. General aspects, governance and measurement of operational risk

Operational risk is "the risk of losses due to inadequate or dysfunctional procedures, human resources or internal systems, or to exogenous events, including the legal risk[9]".
BPER Banca adopts the Traditional Standardised Approach (TSA) to calculate the individual capital requirement for operational risk. The Own Funds requirement is calculated using the standardised approach by determining the three-year average of the sum of the annual Own Funds requirement for the lines of business in which the relevant indicator was classified[10].

Note that, on the basis of the principles of organisational separation and independence of functions exercising second and third level control activities, it is envisaged that there is:

- a first level control of operational risk;
- a function that performs second level controls of operational risk within the Risk Management Department, part of the Credit and Operational Risk Management Unit;
- a function for third level controls that is attributed to the Internal Audit Department, in accordance with the Group's internal control system.

Operational risk management is based on the following principles:

- identification: operational risks are identified, highlighted and reported to senior management;
- measurement and assessment: the risk is quantified by determining the impact on business processes, inclusive of the financial impact thereon;
- monitoring: monitoring of operational risk and of exposure to significant losses is ensured, generating information flows that favour active risk management;
- mitigation: appropriate measures have been taken to mitigate operational risk;
- reporting: a reporting system has been set up to report on operational risk management.

The collection and storage of data relating to loss events is done by means of the Group's Loss Data Collection process.
The process of Loss Data Collection is supported by special IT tools, which are under constant development, to ensure the integrity and quality of data.
The assessment of operational risk exposure, which is performed by means of risk self assessment and scenario analysis, is aimed at determining, with an annual time horizon and for significant operating segments:

- the extent of exposure to operational risk;
- an assessment of the adequacy of line processes and controls.

[9] *See (EU) Regulation 575/2013 of the European Parliament and the Council of 26 June 2013 on prudential requirements for credit institutions and investment companies (CRR) – Part one, Title I, art. 4. Legal risk is the risk of losses resulting from violations of laws or regulations, from contractual or extra-contractual liability or from other disputes.*
[10] *See CRR – Part three, Title III, Chapter 3, art. 317.*

In 2015, BPER Banca implemented an analytical framework for IT risk, in compliance with Circular no. 285 of 17 December 2013, with the aim of providing an overview of the current risk situation and the remedy plan needed to avoid exceeding the threshold set for the Group's risk appetite.

In 2017, the Group implemented a reputational risk management framework in accordance with applicable regulations and best practice to continuously oversee and monitor the risk and to mitigate any abnormal situations. With this purpose in mind, objectives and risk exposure and operational limits were established, given that there is no requirement to quantify internal capital in relation to reputational risk.
The Parent Company prepares detailed reports for senior management and the heads of central organisational units concerning the operational losses that occurred during the period and mitigating actions planned for their resolution and a report to the operational structures to make them aware of the losses incurred and of the anomalies to be mitigated.
Specific reporting requirements have also been established by the IT and reputational risk management framework.

Membership by the BPER Banca Group of the DIPO consortium[11] allows the Bank to obtain feedback about the operational losses reported by the other Italian banks that are members. This feedback is used by the Bank to analyse positioning in comparison to that indicated by the system and as support for specific assessments of processes in order to implement any corrective measures that may be needed.
Operational risk management includes the various steps involved in the process of Business Continuity Management. This process is designed to maintain an appropriate level of attention regarding operational continuity and to avoid the progressive obsolescence of organisational measures (rules, impact assessment, scenarios, emergency measures, operating plans etc.) taken to ensure the continuity of critical business processes.

Quantitative information

The following is the distribution of the number of events and operating losses recorded in 2017, divided into the following risk categories:

- internal fraud: losses due to fraud, embezzlement or circumvention of regulations, laws or company policies, excluding incidents of discrimination or failure to apply equal treatment, which involves at least one internal resource of the entity;
- external fraud: losses due to fraud, embezzlement or violation/circumvention laws, by a third party;
- employment and safety at work: losses arising from acts not in compliance with laws or agreements in respect of employment, health and safety at work, from the payment of compensation for personal injuries or incidents of discrimination or failure to apply equal treatment;
- customers, products and business practices: losses arising from unintentional or negligent non-performance relating to professional obligations to specific clients (including fiduciary and suitability requirements), or from the nature or characteristics of the product;

[11] Database Italiano Perdite Operative (Italian Database of Operational Losses) which the BPER Banca Group has participated in since 2003. The DIPO observatory is a service provided by the Italian Banking Association designed to support the development of Operational Risk Management and to create a methodology for gathering and exchanging information on operational losses suffered by members.

- damage to fixed assets: losses resulting from loss or damage to assets from natural disasters or other events;
- business interruption and system failures: losses arising from business interruption or system failures;
- performance, delivery and management of processes: losses due to weaknesses in the handling of transactions or management of processes, as well as losses due to relations with business partners and suppliers.

Figure 1 – Breakdown by Frequency

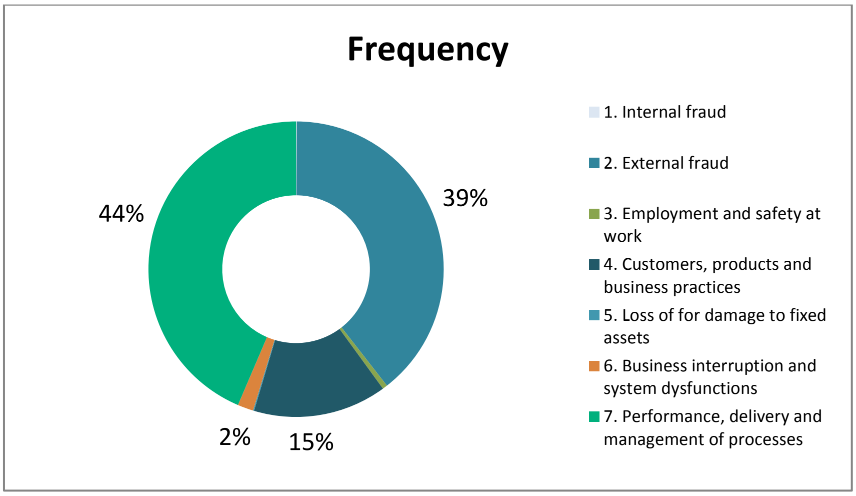
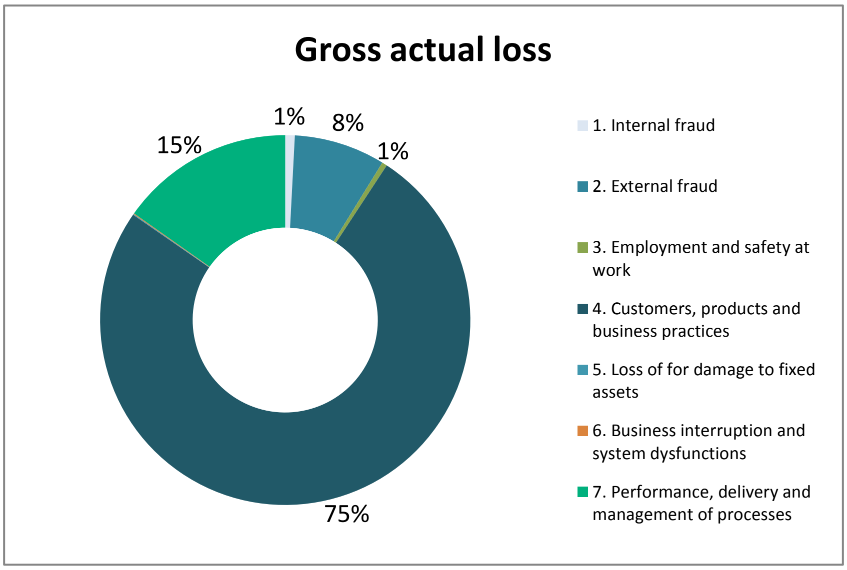


Figure 2 – Breakdown by Gross Actual Loss



An analysis of the graphs shows that the most relevant type of event in terms of frequency is:

- "Performance, delivery and management of processes", with 44% of the total frequency;
- "External fraud" with 39% of the total frequency.

In terms of economic impact the most significant events related to:

- "Customers, products and business practices", with 75% of the total gross loss;
- "Performance, delivery and management of processes", with 15% of the total gross loss.

Part F - Information on shareholders' equity

Section 1 – Shareholders’ equity

A. Qualitative information

Shareholders' equity comprises share capital and all types of reserve, together with the net profit for the year.

A. Quantitative information

B.1 Shareholders' equity: breakdown

Captions/Amounts	31.12.2017	31.12.2016
1. Share capital	**1,443,925**	**1,443,925**
2. Share premium	**930,073**	**930,073**
3. Reserves	**2,296,812**	**2,307,997**
- income reserves	1,795,306	1,806,490
a) legal reserve	275,954	275,191
b) statutory reserve	-	475,498
c) reserve for treasury shares	-	139,764
d) other	1,519,352	916,037
- other	501,506	501,507
3.bis Advance on dividends	**-**	**-**
4. Equity instruments	**-**	**-**
5. (Treasury shares)	**(7,253)**	**(7,253)**
6. Valuation reserves	**14,430**	**(11,747)**
- Financial assets available for sale	114,193	85,636
- Property, plant and equipment	-	-
- Intangible assets	-	-
- Foreign investments hedges	-	-
- Cash-flow hedges	(1,534)	(68)
- Exchange differences	-	-
- Non-current assets and disposal groups held for sale	-	-
- Actuarial gains (losses) on defined-benefit pension plans	(98,283)	(97,369)
- Portion of valuation reserves relating to investments carried at equity	-	-
- Special revaluation laws	54	54
- Other	-	-
7. Net profit (loss)	**208,844**	**18,699**
Total	**4,886,831**	**4,681,694**

B.2 Valuation reserves for financial assets available for sale: breakdown

Assets/Amount	31.12.2017		31.12.2016	
	Positive reserve	Negative reserve	Positive reserve	Negative reserve
1. Debt securities	98,520	28,522	75,877	38,512
2. Equity instruments	42,265	676	47,452	981
3. UCITS units	3,711	1,105	2,868	1,068
4. Loans	-	-	-	-
Total	**144,496**	**30,303**	**126,197**	**40,561**

B.3 Valuation reserves for financial assets available for sale: change in year

	Debt securities	Equity instruments	UCITS units	Loans
1. Opening balance	**37,365**	**46,471**	**1,800**	**-**
2. Positive changes	**116,165**	**4,143**	**5,736**	**-**
2.1 Increases in fair value	96,238	2,494	4,507	-
2.2 Release of negative reserves to the income statement:	2,685	1,048	101	-
- from impairment	1,926	1,008	101	-
- from disposal	759	40	-	-
2.3 Other changes	17,242	601	1,128	-
- of which business combinations	274	-	6	-
3. Negative changes	**83,532**	**9,025**	**4,930**	**-**
3.1 Reductions in fair value	20,379	1,480	787	-
3.2 Impairment write-downs	-	-	-	-
3.3 Release of positive reserves to the income statement:				
- from disposal	31,043	7,293	2,659	-
3.4 Other changes	32,110	252	1,484	-
- of which business combinations	5	-	17	-
4. Closing balance	**69,998**	**41,589**	**2,606**	**-**

B.4 Valutation reserves about acturial gains (losses) on defined-benefit pension plans

Captions/Amounts	31.12.2017	31.12.2016
1. Opening balance	**(97,369)**	**(84,121)**
2. Positive changes	**7,800**	**5,025**
2.1 Actuarial gains	7,572	-
2.2 Other changes	228	5,025
3. Negative changes	**8,714**	**18,273**
3.1 Actuarial losses	7,961	18,273
3.2 Other changes	753	-
4. Closing balance	**(98,283)**	**(97,369)**

Section 2 - Own funds and capital adequacy ratios

2.1 Own Funds

A. Qualitative information

The elements of Own Funds are:

- Common Equity Tier 1 - CET1;
- Additional Tier 1 - AT1;
- Tier 2 - T2.

CET1 and AT1 constitute Tier 1 Capital, which added to Tier 2 Capital leads to the determination of Own Funds.

1. Common Equity Tier 1 - CET1

Common Equity Tier 1 capital (CET1) is made up of positive and negative elements:

- Share capital and related share premiums;
- Profit reserves;
- positive and negative valuation reserves (from OCI);
- Other reserves;
- CET1 instruments subject to transitional provisions ("grandfathering");
- Prudential filters;
- Deductions.

Prudential filters are positive or negative adjustments of CET1, their purpose being to stabilise the balance sheet aggregate of reference as much as possible, reducing the potential volatility. The prudential filters exclude from CET1 the valuation reserve generated by cash flow hedges and gains/losses arising from changes in own creditworthiness (liabilities under the fair value option and derivative liabilities).
Deductions are negative elements of CET1 such as goodwill, intangible assets and other accounting items that directly reduce the Tier 1 capital component.

On a fully phased basis, the equity instruments listed above have to meet clearly defined requirements (art. 28 CRR):

- they must be classified as equities for accounting purposes;
- they must have a perpetual duration, i.e. not have any maturity;
- they must not be subject to obligations in terms of remuneration;
- they must not be subject to distribution caps;
- any cancellation of distributions must not result in any kind of restriction on the issuer;
- they must be the first to absorb business losses as soon as they occur;
- they are the most subordinated instruments in the event of bankruptcy or liquidation of the entity in question;
- they must not enjoy any form of guarantee or contractual clause that can raise their level of seniority.

2. Additional Tier 1 - AT1

"Additional Tier 1 Capital" (AT1) consists of the following positive and negative elements:

- Equity instruments and related share premiums;
- AT1 instruments subject to transitional provisions ("grandfathering");
- Deductions.

On a fully phased basis, the equity instruments listed above have to meet clearly defined requirements (art. 52 CRR):

- the instruments must be issued or the loans granted and fully paid up;
- the purchase of instruments or the assignment of subordinated loans cannot be paid for by the entity, neither directly nor indirectly;
- the capital receivable for these instruments or subordinated loans is fully subordinated to the receivables of all unsubordinated creditors;
- the instruments or subordinated loans are not hedged or covered by a guarantee that allows the receivable's ranking to be increased by the entity or its subsidiaries, parent company and any company that has close links with the entity;
- the instruments or subordinated loans are not subject to any provision that allows the receivable's ranking to be increased in any other way;
- the instruments or subordinated loans must have an original maturity of at least five years;
- the provisions governing the instruments or subordinated loans must not contain any incentive that encourages the entity to reimburse or repay the principal amount prior to maturity;
- if the instruments or subordinated loans include one or more call options, these may be exercised at the sole discretion of the issuer or obligor;
- the instruments or subordinated loans cannot be repaid or repurchased or repaid in advance earlier than five years from the date of issue or assignment;
- the provisions governing the instruments or subordinated loans must not indicate, expressly or implicitly, that they shall or may be redeemed, repurchased or repaid in advance by the entity in cases other than those of insolvency or liquidation;
- the provisions governing the instruments or subordinated loans must not give the holder the right to accelerate future scheduled payments of interest or principal, except in the event of insolvency or liquidation;
- the level of payments of interest or dividends due on these instruments or subordinated loans cannot be changed on the basis of the creditworthiness of the entity or its parent company.

As of 31 December 2017, the Parent Company BPER Banca had not issued any instrument which could be identifiable as additional Tier 1 capital (AT1).

3. Tier 2 - T2

Tier 2 capital (T2) consists of the following positive and negative elements:

- Equity instruments, subordinated loans and related share premiums;
- T2 instruments subject to transitional provisions ("grandfathering");
- General adjustments;
- Deductions.

On a fully phased basis, the equity instruments listed above have to meet clearly defined requirements (art. 63 CRR):

- the instruments must be issued/assigned and fully paid up;
- the assignment of the instrument cannot be financed by the entity, neither directly nor indirectly;
- the capital receivable for these instruments has to be fully subordinated to the receivables of all unsubordinated creditors;
- the instruments cannot be hedged, nor subject to any form of guarantee;
- these instruments should not be subject to any provision that increases their credit ranking;
- the instruments must have an original maturity of at least five years;
- the provisions governing these instruments must not contain any kind of incentives that encourage the entity to reimburse or repay the principal prior to maturity;
- in the event that the instruments include in their rules one or more call or early repayment options, they can only be exercised at the discretion of the issuer or obligor;
- the provisions do not give the holder the right to accelerate future scheduled payments, except in the event of the entity's insolvency or liquidation;
- these instruments can be reimbursed, also in advance, but only in that the event that the entity asks for prior authorisation from the competent authority, and not earlier than five years from the date of issue, except in the following cases:
  - the entity of reference replaces the above instruments with other instruments of Own Funds of equal or higher quality, at conditions that are sustainable considering its earning capacity,
  - the entity can demonstrate that it complies with the minimum capital requirements imposed by the regulations to the satisfaction of the competent authority.

At 31 December 2017, the T2 instruments included the subordinated loans covered by the grandfathering rules, since they were issued prior to the deadline of 31 December 2011 identified by the regulations, together with the "Banca popolare dell'Emilia Romagna Subordinated Tier II 4.25% 15/06/2015-15/06/2025 Callable", "BPER Banca Tier II 4.60% 15/12/2016-15/12/2026 Callable" and "BPER Banca EMTN Tier II 5.125% 31/05/2017 -31/05/2027 Callable" bonds.

Transitional arrangements

The new regulations also provide for transitional arrangements ("Phased In"), during which the provisions contained in Circular 285/2013 Section II are gradually introduced. Their applicability to the capital requirements and grandfathering rules develops over a period of about 4 years (2014-2017), during which partial inclusion is replaced by the gradual exclusion of equity instruments that do not meet all the requirements of the CRR.

Specific regulatory requirements

The Supervisory rules introduced by Circular 285/13 require Italian banks belonging to banking groups to fully comply with the following minimum ratios for 2017:

- CET1 of 4.5%;
- Tier 1 of 6%;
- Total Capital ratio of 8%.

In addition to the mandatory requirements prescribed in the Regulations, the following requirements have also been added:

- Capital Conservation Buffer (CCB): this consists of Common Equity Tier 1 capital, acting as an additional requirement of 1.25% from 1 January 2017 to 31 December 2017;
- Countercyclical Capital Reserve: this is also made up of Tier 1 capital and must be accumulated in periods of economic growth against possible future losses on the basis of a specific coefficient established on a national basis. On 22 September 2017, the Bank of Italy, in its capacity as the designated authority for the adoption of macroprudential measures for the banking sector, published a document with which it set the Countercyclical Capital Buffer (CCyB) also for the fourth quarter of 2017 (relating to exposures to Italy counterparts) as 0%;
- Additional Reserves for so-called Global & Other Systemically Important Institutions (G-SII & O-SII): both consist of Tier 1 capital and make direct reference to entities of particular importance at a global or national level. The buffer for G-SII can vary between a minimum level of 1% and a maximum of 3.5%, whereas the one for O-SII only provides for a non-binding maximum threshold of 2%;
- Capital reserve for systemic risk: it is at least 1% of the related risk exposures and is established by each Member State; it is essentially used to mitigate the risk of non-cyclical macro-prudential long-term risk, i.e. to deal with the negative effects related to unexpected crises in the banking system.

The sum of regulatory requirements and additional reserves determine the minimum level of capital conservation required at individual level; for 2017, that level is as follows:

- CET1 of 5.75%;
- Tier 1 of 7.25%;
- Total Capital ratio of 9.25%.

Failure to meet these ratios based on the sum of the reserves mentioned above ("Combined Requirement") leads to limitations on the distribution of earnings and the need to adopt a plan for the conservation of capital.

Pertaining to the SREP processes, other than indications concerning the assigned limits for consolidated capital ratios, the ECB did not establish any specific limit for BPER Banca, but requested ongoing compliance with the regulatory limits.

As can be seen from the figures below, these limits have been amply complied with.

Subordinated loans included in Tier 2 capital

Characteristics of subordinated instruments	Interest rate	Step up	Maturity date	Currency	Original amount (in Euro)	Contribution to Own Funds (in thousands of Euro)
Lower Tier II CARISPAQ subordinated non convertible bond floating rate, 2010-2020	FR	NO	30-09-2020	Eur	25,000,000	1,168
Total bonds included in the scope of grandfathering					**25,000,000**	**1,168**
Tier II B.P.E.R. subordinated non-convertible bond 4.25%, 2015-2025 callable	4.25%	NO	15-06-2025	Eur	224,855,200	224,855
Tier II B.P.E.R. subordinated non-convertible bond 4.60%, 2016-2026 callable	4.60%	NO	15-12-2026	Eur	12,000,000	12,000
EMTN Tier II B.P.E.R. subordinated non-convertible bond 5.125%, 2017-2027 callable	5.125%	NO	31-05-2027	Eur	500,000,000	500,000
Total bonds not included in the scope of grandfathering					**736,855,200**	**736,855**
Total bonds					**761,855,200**	**738,023**

B. Quantitative information

	31.12.2017	31.12.2016
A. Common Equity Tier 1 capital (Common Equity Tier 1 - CET) before the application of prudential filters	**4,685,239**	**4,660,069**
of which CET1 instruments subject to transitional provisions	-	-
B. Prudential filters for CET1 (+/-)	(10,072)	(11,841)
C. CET1 gross of items to be deducted and of transitional arrangements (A+/-B)	**4,675,167**	**4,648,228**
D. Items to be deducted from CET1	(389,603)	(376,746)
E. Transitional arrangements - Impact on CET1 (+/-)	**(14,270)**	**(18,647)**
F. Total Common Equity Tier 1 (CET1) (C-D+/-E)	**4,271,294**	**4,252,835**
G. Additional Tier 1 capital (AT1) gross of items to be deducted and of transitional arrangements	-	-
of which AT1 instruments subject to transitional provisions	-	-
H. Items to be deducted from AT1	3,218	6,094
I. Transitional arrangements - Impact on AT1 (+/-)	**(3,218)**	**(6,094)**
L. Total Additional Tier 1 (AT1) (G-H+/-I)	**-**	**-**
M. Tier 2 capital (T2) gross of items to be deducted and of transitional arrangements	804,977	334,264
of which T2 instruments subject to transitional provisions	*1,168*	*27,183*
N. Items to be deducted from T2	**(5,850)**	**-**
O. Transitional arrangements - Impact on T2 (+/-)	**5,987**	**7,204**
P. Total Tier 2 (T2) (M-N+/-O)	**805,114**	**341,468**
Q. Total own funds (F+L+P)	**5,076,408**	**4,594,303**

2.2 Capital adequacy

A. Qualitative information

Particular importance is given to checking compliance with capital adequacy requirements, both at CET1 level and in total. The responsible functions at the Parent Company perform this task on an ongoing basis, with the various departments involved (Finance and Planning Department, Risk Department and Administration and Financial Reporting Department) issuing regular reports as part of the broader process of verifying consolidated capital adequacy. The guidelines for this activity are stated in BPER Banca Group's annual report on the verification of capital adequacy (ICAAP). This report identifies the functions, methodology and approach for measuring and assessing accepted risk on an ongoing basis, with a view to guiding operations and quantifying the capital required by the Group to cover the various risks accepted.

B. Quantitative information

The risk-weighted assets reported in point C.1 are now recalculated with reference to the reciprocal of the prudent requirement of 8% (C.1 = caption B.7 multiplied by 12.50).

Description/Amounts	Unweighted amounts		Weighted amounts/Requirements	
	31.12.2017	31.12.2016	31.12.2017	31.12.2015
A. Assets at risk				
A.1 Credit and counterparty risk	**66,504,002**	**60,392,086**	**21,238,783**	**20,569,460**
1. Standardised methodology	**32,432,604**	**27,116,012**	**9,830,316**	**8,602,432**
2. Methodology based on internal ratings	**33,879,072**	**33,124,159**	**11,158,989**	**11,704,259**
2.1 Basic	-	-	-	-
2.2 Advanced	33,879,072	33,124,159	11,158,989	11,704,259
3. Securitisations	**192,326**	**151,915**	**249,478**	**262,769**
B. Capital adequacy requirements				
B.1 Credit and counterparty risk			**1,699,103**	**1,645,557**
B.2 Credit down-rating risk			**11,435**	**23,519**
B.3 Settlement risk			**-**	**-**
B.4 Market risk			**68,557**	**49,533**
1. Standard methodology			68,557	49,533
2. Internal models			-	-
3. Concentration risk			-	-
B.5 Operational risk			**209,943**	**204,754**
1. Basic method			-	-
2. Standardised method			209,943	204,754
3. Advanced method			-	-
B.6 Other elements for the calculation			**-**	**-**
B.7 Total precautionary requirements			**1,989,038**	**1,923,363**
C. Risk assets and capital ratios				
C.1 Risk-weighted assets			24,862,977	24,042,033
C.2 Common Equity Tier 1 capital/Risk-weighted assets (CET1 capital ratio)			17.18%	17.69%
C.3 Tier 1 capital/Risk-weighted assets (Tier 1 capital ratio)			17.18%	17.69%
C.4 Total own funds/Risk-weighted assets (Total capital ratio)			20.42%	19.11%

The capital ratios shown are all well above the regulatory limits established under the transitional ("phased in") arrangements for 2017.

The CET1 ratio at 31 December 2017 was 17.18%.

The increase in RWA of € 800 million, essentially due to the merger with Nuova Cassa di Risparmio di Ferrara, led to a slight decline in the CET1 and T1 ratios. At the same time, issuance of the Tier 2 subordinated bond loan led to an increase in the Total Capital Ratio. The Bank's CET1 and T1 capital ratios at 31 December 2017, calculated for supervisory purposes, have decreased slightly with respect to 31 December 2016 by 51 bps. The Total Capital Ratio has increased by 131 bps.

The CET1 ratio on a "fully phased" basis is estimated to be 17.24%.

Part G - Business combinations

Section 1 - Transactions carried out during the year

1.1 Business combinations: merger of Nuova Cassa di Risparmio di Ferrara s.p.a.

Description of the transaction

BPER Banca completed the purchase of 100% of the share capital of Nuova Cassa di Risparmio di Ferrara s.p.a. on 30 June 2017. That was the date on which the conditions precedent were satisfied for the execution of the share purchase agreement signed on 1 March 2017, including authorisations from the competent authorities, completion of the capital increase of the bank acquired and disposal of a portfolio of non-performing loans.
The operation envisaged the purchase of the entire share capital of the bank for Euro 1. For further details, see the chapter entitled "Significant events and strategic transactions" in the Directors' report on Group Operations.

On 19 October 2017 the Board of Directors of BPER Banca approved the absorption of Nuova Cassa di Risparmio di Ferrara s.p.a., after the same decision had been taken by the latter's Board of Directors on 13 October 2017.
The deed of merger, signed on 8 November 2017, was recorded in the following days in the Companies Registers of the banks involved in the merger. The legal effects of the merger run from 20 November 2017, whereas the tax and accounting effects run from 1 July 2017.

The disclosure required by IFRS 3 § B64 (q) (i), i.e. the revenues and profits/losses of the entity acquired from the acquisition date up to the balance sheet date, is not provided because, following the merger of Nuova Carife by BPER Banca and the fact that the merged bank is not a separate operating segment, this information is not available.

The information required by IFRS 3 § B64 (q) (ii) is provided below:

Name	Date of the transaction	Cost of the transaction	Interest acquired	Total revenues	Net profit/loss
BPER Banca s.p.a.	30-Jun-17	1.00	100.00%	1,500,366	140,131

The table provides information on revenues (net interest and other banking income) and the profit (loss) for the year of the entity resulting from the business combination for the current year.

Accounting treatment of the transaction

The merger by absorption of Nuova Carife by BPER Banca can be classified among mergers with the nature of acquisitions, as required by the preliminary interpretative guidelines (OPI) prepared by Assirevi, and specifically by OPI no. 2 "Accounting treatment of mergers in the financial statements".
This document provides that such transactions, even if carried out within a merger, entail the identification of an acquirer and the acquisition of control over the business of the merged entity, with the result that IFRS 3 "Business combinations" applies.

This standard defines a business combination as a transaction or other event in which a purchaser obtains control of one or more businesses and provides for the recognition of the assets, liabilities and contingent liabilities of the acquired company at their fair value at the date of acquisition, including any identifiable intangible assets not recognised in the acquiree's financial statements.
Under this standard, business combinations must be recognised applying the purchase method.
Applying the purchase method, the price of the business combination must be allocated (Purchase Price Allocation – PPA) at the date of acquisition of control by recognising the assets acquired and the liabilities (including contingent liabilities) assumed at their fair values and any implicit intangible assets previously not recognised in the financial statements of the acquiree. Any resulting positive difference between the price of the acquisition and the fair value (net of tax effects) of those assets and liabilities is recognised as goodwill in the balance sheet, whereas any negative difference must be credited to the income statement as "badwill".

In accordance with international accounting standards, an acquisition must be recognised on the date that control over the business or operations was acquired: in this case, 1 July 2017, date of effectiveness of the merger for tax and accounting purposes.
On that date, the acquirer has to measure goodwill or badwill as the difference between the total determined in point (a) below and the amount indicated in point (b):

a) the aggregate of:
    a. the value of the consideration transferred at fair value;
    b. in a business combination achieved in stages, the fair value of the acquirer's previously-held equity interest in the acquiree;
b) the fair value of the assets acquired, the liabilities accepted and any contingent liabilities.

As previously indicated, the recognition of the business combination requires measurement at fair value of the identifiable assets acquired and liabilities assumed, inclusive of any contingent liabilities and identifiable intangible assets not recognised in the financial statements of the acquired company. Any positive amount remaining after this allocation must be recognised as goodwill, representing a payment by the acquirer for future economic benefits deriving from assets that cannot be identified individually and recognised separately, while any negative residual amount (badwill) must be recognised as an economic benefit.
Recognition of the fair values led to the identification of Euro 190.9 million of badwill.
In accordance with paragraph 36 of IFRS 3, which requires companies to ensure that the assessments correctly reflect all of the information available at the acquisition date, before recognising a gain on purchase at favourable prices, BPER Banca requested an independent advisor to verify the correct identification of all assets acquired and liabilities assumed, as well as the recognition of any other assets or liabilities identified during this verification.
This review confirmed the correctness of the value recorded as badwill, as detailed in the following tables.

Final allocation of the cost of the transaction

Although IFRS 3 allows definitive allocation of the cost of a business combination within twelve months from the acquisition date, the Bank has completed the process of allocating the purchase price in the financial statements at 31 December 2017, as described below.

The procedure for allocating the price paid to the fair value of the identifiable assets acquired and liabilities (including contingent liabilities) assumed revealed, at 1 July 2017, with respect to the book value of the acquired bank:

- a higher value of the "available for sale" assets acquired, represented by shares previously valued at cost, for Euro 6.5 million;
- a lower value of loans to customers for lease transactions for Euro 1.7 million;
- lower property values for Euro 10.3 million;
- a lower value of equity investments for Euro 0.4 million;
- a higher value of deferred tax assets linked to temporary differences made in previous years by Nuova Carife, which are now recoverable on the basis of the expected tax results of the merging bank for Euro 40.7 million;
- a higher value of certain types of direct deposit, Euro 2.5 million (mainly attributable to types of restricted, interest-bearing deposits);
- higher provisions for risks and charges, including the recognition of contingent liabilities totalling Euro 3.8 million.

The amounts indicated above are expressed gross of the related tax effect.

The table below summarises the adjustments made and the economic benefit following the definitive allocation of the cost, identifying the fair value of identifiable assets and liabilities (including contingent liabilities) at the acquisition date.

(in thousands of Euro)

PPA Nuova Carife	
Accounting difference between assets and liabilities as at 1 July 2017	**155,247**
Amount paid	(*)
Negative difference to be allocated	**155,247**
Higher FV of AFS	6,525
Lower FV of loans to customers	(1,742)
Lower FV of property, plant and equipment	(10,348)
Lower FV of equity investments	(400)
Higher FV of deferred tax assets (**)	49,103
Higher FV of due to customers	(2,496)
Higher FV of tax liabilities (**)	(1,196)
Higher FV of contingent liabilities	(3,801)
Badwill	**190,892**

(*) BPER Banca paid Euro 1 (one) to the Resolution Fund
(**) The effects of deferred taxes caused by misalignments between book values and fair values are included.

On completion of the allocation process, the total benefit of the acquisition, Euro 190.9 million, was recognised as income in caption 235 of the income statement "Badwill".

The aggregate book value at the acquisition date of the assets and liabilities acquired through Nuova Carife, as well as their fair value in accordance with IFRS 3, is shown below:

(in thousands of Euro)

Assets	Nuova Carife 30.06.2017	Purchase Price Allocation	Effect of consolidating Nuova Carife as at 30.06.2017
Cash and cash equivalents	32,073		32,073
Financial assets held for trading	1,076		1,076
Financial assets available for sale	178,245	11,544	189,789
Due from banks	383,508		383,508
Loans to customers	1,341,107	(1,742)	1,339,365
Equity investments	80,810	(400)	80,410
Property, plant and equipment	47,446	(10,348)	37,098
Intangible assets	150		150
Tax assets	343,905	49,103	393,008
a) current	250,334		250,334
b) deferred	93,571	49,103	142,674
b1) of which L. 214/2011	93,571		93,571
Other assets	86,689	3,711	90,400
Total assets	**2,495,009**	**51,868**	**2,546,877**

(in thousands of Euro)

Liabilities and shareholders' equity	Nuova Carife 30.06.2017	Purchase Price Allocation	Effect of consolidating Nuova Carife as at 30.06.2017
Due to banks	15,537		15,537
Due to customers	1,929,398	2,496	1,931,894
Debt securities in issue	113,096		113,096
Financial liabilities held for trading	1,041		1,041
Tax liabilities:	3,669	1,196	4,865
a) current	1,340		1,340
b) deferred	2,329	1,196	3,525
Other liabilities	157,326	8,730	166,056
Provision for termination indemnities	14,271		14,271
Provisions for risks and charges:	105,424	3,801	109,225
a) pensions and similar commitments	7,181		7,181
b) other provisions	98,243	3,801	102,044
Accounting difference between assets and liabilities	155,247	35,645	190,892
Total	**2,495,009**	**51,868**	**2,546,877**

The considerations made in the process of determining fair value for the purposes of the PPA are summarised below and were carried out with the support of an external consultant:

- Financial assets – debt securities: the carrying amount was consistent with the relative direct reference market (Level 1 of the fair value hierarchy), therefore no change in fair value attributable to these assets was identified.
- Financial assets – equity instruments: methods were used that were linked to market prices (Level 1 of the fair value hierarchy), multiples (Level 2 of the fair value hierarchy) and asset values (Level 3 of the fair value hierarchy), recording lower values for Euro 2.0 million. With regard to the investment in Cedacri, based on the sale price (which took place in January 2018), the transaction price was considered (Level 3 of the fair value hierarchy), recognising a gain of Euro 8.5 million.
- Equity investments: the equity method was used (Level 3 of the fair value hierarchy), which resulted in negative fair value differences of Euro 0.4 million.
- Performing customer loans: the fair value was determined using the Discounted Cash Flow method (Level 2 of the fair value hierarchy) which discounts the future cash flows for each dossier, understood as the instalments falling due, including the paid-in capital and the interest accrued on maturity, at an appropriate discounting rate, consisting of a risk-free component and a spread component. No fair value changes attributable to these assets have been identified.
- Non-performing customer loans: a market criterion was considered, based on the valuation of non-performing loans in the previous sales of Nuova Carife to the Atlante Fund (Level 2 of the fair value hierarchy). This method was, in essence, already applied in the Nuova Carife financial statements at 30 June 2017, so no fair value changes attributable to these assets were identified.
- Leases to customers: a book value was recorded in the financial statements of the portfolio in question above the fair value of Euro 1.7 million, in consideration of a special due diligence carried out on this portfolio for the purpose of its sale to Sardaleasing s.p.a. (Level 3 of the fair value hierarchy).
- Property: the book value of the asset in question recognised in the financial statements, estimated for each property by an independent expert, was higher than the fair value, applying the most appropriate method to the case and using the most up-to-date market data, for Euro 10.3 million (Level 2 of the fair value hierarchy).
- Intangible assets – Core deposits: in consideration of (i) the decrease in volumes related to deposits and the high concentration, (ii) the absence of a mark-down compared with the market benchmark, (iii) a cost/income ratio constantly above 100%, no fair value was identified for this asset.
- Intangible assets – assets under management and administration: considering (i) the high concentration of assets in a few transactions, (ii) a cost/income ratio constantly above 100%, no fair value was identified for this asset.
- Due to customers: a fair value determined using the Discounted Cash Flow method was recorded for Euro 2.5 million higher than the related book value of the liability deriving from a specific funding instrument issued by Nuova CARIFE which has a high level of interest (Level 2 of the fair value hierarchy); in the estimate, the cash flows were discounted at a market rate that was lower than the one at which the instrument was placed.
- Debt securities in issue: the fair value was determined using the Discounted Cash Flow method (Level 2 of the fair value hierarchy) which discounts future cash flows for each issue, intended as a coupon including the principal repaid and the interest accrued on maturity, at an appropriate discounting rate, consisting of a risk-free component and a spread component (Level 2 of the fair value hierarchy). No fair value changes attributable to these liabilities were identified.

- Contingent liabilities: provisions were recorded representing potential liabilities deriving from the costs associated with unwinding transactions relating to securitisation vehicles, from penalties for the delay in IT and document migration to Credito Fondiario (new servicer in the recovery of non-performing loans transferred to Italian Credit Recycle S.r.l. and Restart SPV S.r.l.) and of the exemption on the guarantee provided by the Resolution Fund (i.e. the seller) to BPER Banca, for a total of Euro 3.8 million (Level 3 of the fair value hierarchy).

Section 2 – Transactions subsequent to the year end

No business combinations have been carried out after 31 December 2017.

Section 3 – Retrospective adjustments

There are no retrospective adjustments to be reported.

Part H – Related-party transactions

1. Information on the remuneration of managers with strategic responsibilities

	Description	31.12.2017	31.12.2016
	Directors		
	- short-term benefits	2,886	2,940
	- other long-term benefits	102	-
	Statutory Auditors		
	- short-term benefits	522	522
	Other managers with strategic responsibilities (General Manager, Deputy General Managers, Manager responsible for preparing the company's financial reports and Manager of the executive subcommittees):		
1	- short-term benefits includes salaries, social security contributions, indemnities in lieu of untaken vacation, paid leave of absence and any fringe benefits, such as insurance, housing and car.	2,868	4,213
	- other short-term benefits - contributions for social security taxes	790	1,100
2	- post-employment benefits includes payments to supplementary pension funds and provisions for termination indemnities.	277	461
3	- other long-term benefits	85	-
4	- indemnities for termination of employment	98	86
5	- share-based payments	-	-

The information provided is consistent with that required by IAS 24.
The amounts relating to the Directors, including the Chief Executive Officer, and the Statutory Auditors represents their emoluments for the year, regardless of when paid. These amounts are classified in the income statement caption 150-a) "Payroll".
In particular, as regards the amounts relating to Directors (€ 2,886 thousand), details are disclosed at the foot of the table included in the notes to the consolidated financial statements.
The amounts shown for other Managers with strategic responsibility (the General Manager, 4 Deputy General Managers, the Manager responsible for preparing the company's financial reports and 3 other Senior Managers) belong to the types of costs detailed above. They are disclosed in the Report on Remuneration (art. 123-ter of Legislative Decree no. 58/1998) in accordance with CONSOB requirements. The amounts at 31 December 2016 referred to a total of 17 Senior Managers.
As indicated in the Remuneration Report, other long-term benefits relating to Directors (specifically, the Chief Executive Officer) and to other managers with strategic responsibilities relate to deferred variable compensation, including a value of € 149 thousands relating to a compensation plan based on financial instruments called "Phantom stock".

2. Related-party transactions disclosures

Related-party transactions

	Assets	Liabilities	Guarantees given	Revenues	Costs
Subsidiaries	3,886,277	4,243,763	211,513	120,095	195,910
Associates	577,097	4,083	42,855	5,536	891
Directors, Statutory Auditors and Managers	448	1,988	6	70	6
Other related parties	3,303	6,512	73	188	2,057
Total as at 31.12.2017	**4,467,125**	**4,256,346**	**254,447**	**125,889**	**198,864**
Subsidiaries	3,325,291	3,918,628	185,252	118,867	182,425
Associates	634,772	5,719	61,607	5,625	1,489
Directors, Statutory Auditors and Managers	1,349	2,655	6	122	17
Other related parties	7,740	8,618	180	312	1,523
Total as at 31.12.2016	**3,969,152**	**3,935,620**	**247,045**	**124,926**	**185,454**

"Managers" are understood to mean Managers with strategic responsibilities, as defined in the table on the previous page. Other related parties comprise parties controlled by Directors, Statutory Auditors or Managers, or parties that may exercise influence over these individuals.
As already mentioned in the Report on Operations, with reference to the entry into force with effect from 31 December 2012, of the regulations relating to "Risk activities and Conflicts of Interest in respect of Related Parties" issued by the Bank of Italy with the 9th update of Circular no. 263/2006, the Board of Directors has approved a set of rules which describes the following processes: definition of prudential limits to risk activities with related parties; continuous monitoring of the limits; managing situations where the limits have been exceeded, also governing the roles, responsibilities, tasks and coordination mechanisms of the Corporate Bodies and Top Management of the various functions at the Parent Company and at Group banks and companies.

	Assets	Liabilities	Guarantees given	Revenues	Costs
Total reference amounts - 2017	60,180,185	55,293,355	2,706,321	1,825,293	1,351,658
Total reference amounts - 2016	53,735,076	49,053,382	2,730,468	1,844,764	1,340,990

The total reference amounts for revenues include interest income, commission income and other operating income; costs include interest expense, commission expense, other operating expenses and administrative expenses.

Related party transactions presented as a percentage of reference amounts (financial position and results)

	Assets	Liabilities	Guarantees given	Revenues	Costs
Subsidiaries	6.46%	7.67%	7.82%	6.58%	14.50%
Associates	0.96%	0.01%	1.58%	0.30%	0.07%
Directors, Statutory Auditors and Managers	0.00%	0.00%	0.00%	0.00%	0.00%
Other related parties	0.01%	0.01%	0.00%	0.01%	0.15%
Total as at 31.12.2017	**7.42%**	**7.70%**	**9.40%**	**6.90%**	**14.71%**
Subsidiaries	6.19%	7.99%	6.78%	6.44%	13.61%
Associates	1.18%	0.01%	2.26%	0.30%	0.11%
Directors, Statutory Auditors and Managers	0.00%	0.01%	0.00%	0.01%	0.00%
Other related parties	0.02%	0.02%	0.01%	0.02%	0.11%
Total as at 31.12.2016	**7.39%**	**8.02%**	**9.05%**	**6.77%**	**13.83%**

There are no critical outstanding balances or transactions with related parties. They all relate to routine banking and other services and arose normally during the year, as a consequence of needs and requirements in the common interests of the parties or, where applicable, of the Group. The conditions applied to individual balances and transactions with these companies are in line with those currently applied in the market.
No provisions for non-performing loans relating to parties which, on 31 December 2017, qualified as related parties have been made in 2017.

3. Balances and transactions between the Parent Company and its subsidiaries and/or correlated companies (CONSOB's recommendations of 20/2/1997 and of 27/2/1998)

There are intercompany balances and transactions with banks and other companies in which BPER has a direct or indirect interest and which form part of the consolidated financial statements. Balances and transactions with these companies are as follows.

	Assets	Liabilities	Guarantees and commitments	Revenues	Costs
Banco di Sardegna s.p.a.	113,584	3,312,246	4,609	12,790	22,790
Banca di Sassari s.p.a.	298,821	222,461	-	23,446	4,443
Cassa di Risparmio di Bra s.p.a.	365,846	13,321	2,157	3,386	971
Bper (Europe) International s.a.	161,814	566,483	5,489	1,199	1,277
Emilia Romagna Factor s.p.a.	608,471	600	2,495	2,434	8
Modena Terminal s.r.l.	799	21	200	32	110
Mutina s.r.l.	-	-	-	-	-
Nadia s.p.a.	11,385	6	3,143	358	4,793
Numera s.p.a.	1	69	-	8	294
Tholos s.p.a.	2	19	-	6	281
Optima s.p.a. S.I.M.	251	8,427	-	2,041	8,135
BPER Services s.cons.p.a.	68,518	14,259	41,298	52,997	138,075
Estense Covered Bond s.r.l.	-	-	-	2	-
Sardaleasing s.p.a.	1,997,073	5,160	151,493	10,069	44
BPER Trust Company s.p.a.	-	73	-	59	90
Estense CPT Covered Bond s.r.l.	-	-	-	1	-
Galilei Immobiliare s.r.l.	214	-	-	6	-
Polo Campania s.r.l.	24,436	3,170	-	242	-
Italiana Valorizzazioni Immobiliari s.r.l.	13,632	447	-	979	3
Adras s.p.a.	16,617	596	-	51	-
Sifà s.r.l.	113,970	24	-	569	1,986
BPER Credit Management s.cons.p.a.	1,373	3,475	-	8,978	10,505
Cassa di Risparmio di Saluzzo s.p.a.	81,661	92,906	629	237	819
Carife Servizi Evolutivi Integrati s.r.l.	3,381	-	-	181	1,286
Banca Farnese s.p.a. in liquidazione	-	-	-	-	-
Costruire Mulino s.r.l.	4,428	-	-	24	-
Total subsidiaries	**3,886,277**	**4,243,763**	**211,513**	**120,095**	**195,910**

(Cont.)

	Assets	Liabilities	Guarantees and commitments	Revenues	Costs
CO.BA.PO Consorzio Banche Popolari dell'Emilia Romagna	-	114	-	1	15
Sofipo s.a. in liquidazione	-	-	-	-	-
CONFORM Consulenza Formazione e Management s.cons.a r.l.	43	1,205	1,934	165	400
Cassa di Risparmio di Fossano s.p.a.	177	-	-	-	-
CAT Progetto Impresa Modena s.c.r.l.	101	-	65	6	-
Cassa di Risparmio di Savigliano s.p.a.	-	39	-	-	-
Resiban s.p.a.	-	9	-	1	-
Unione Fiduciaria s.p.a.	9,948	-	-	75	37
Sarda Factoring s.p.a.	3,208	-	-	20	-
Alba Leasing s.p.a.	561,962	2,577	40,856	5,267	433
Atrikè s.p.a.	1,455	86	-	-	-
Emil-Ro Service s.r.l.	45	53	-	-	-
Lanciano Fiera - Polo Fieristico d'Abruzzo Consorzio	158	-	-	-	5
Brozzu e Cannas s.r.l. in liquidazione	-	-	-	-	-
Compagnia Finanziaria Olbia Produce s.r.l. in liquidazione	-	-	-	-	-
Arca Holding s.p.a.	-	-	-	-	-
Gestione esazioni convenzionate s.p.a. in liquidazione	-	-	-	-	-
Oasi nel Parco s.r.l.	-	-	-	-	-
Total associates	**577,097**	**4,083**	**42,855**	**5,535**	**890**
Total 31.12.2017	**4,463,374**	**4,247,846**	**254,368**	**125,630**	**196,800**
Total 31.12.2016	**3,960,063**	**3,924,347**	**246,859**	**124,492**	**183,914**

Part I – Equity-based payments

A. Qualitative information

1. Description of equity-based payments

On 27 February 2017 the Bank's Board of Directors approved:

- the Remuneration Report pursuant to art. 123-*ter* of Legislative Decree no. 58 dated 24 February 1998, relating to the remuneration policies for 2017 of the BPER Banca Group;
- the remuneration plan pursuant to art. 114-*bis* of Legislative Decree no. 58 dated 24 February 1998, implementing the remuneration policies for 2017 of the BPER Group. The Plan covers those employees of the BPER Banca Group identified as "key personnel" in accordance with the 7th update of 18 November 2014 of Circular no. 285 "Supervisory Provisions for banks", Title IV, Chapter 2 "Remuneration and incentive policies and practices" and in Delegated EU Regulation 604 of 4 March 2014.

Both documents were approved by BPER's Shareholders' Meeting held on 8 April 2017 at single calling.

The remuneration of key personnel is composed of a fixed element and a variable element that is lower than the maximum of 60% of the fixed component, though there are certain exceptional situations[12] in which it is possible to raise this percentage to 100%, and it is governed by particularly stringent rules (Bank of Italy's Circular no. 285, 7th update of 18 November 2014, Section III, paragraphs 1.2, 2.1 points 3 and 4, 2.2.1 and 2.2.2). With regard to alignment to the ex-ante risk, this is based on actual and lasting results, it also takes qualitative objectives into account, it is parameterised to performance indicators, it is measured net of risks and takes into account the level of capital resources.
The sustainability of the overall maximum amount of variable remuneration allocated to key personnel (those most responsible for running the company), is assessed in relation to the economic and financial stability of the Group as a whole.
The payment of bonuses is in fact dependent on achieving basic economic and financial objectives (the so-called "entry gates") that have to be achieved at the same time.

The entry gates that have been identified are based on the following parameters:

- Consolidated Common Equity Tier 1 ratio (CET 1);
- Consolidated Return On Risk-Weighted Assets (RORWA) ;
- Consolidated Liquidity Coverage Ratio (LCR) .

If all the above entry gates are achieved, the company's results are subjected to an assessment which can change the bonus pool by means of a multiplier/demultiplier mechanism which acts directly on the individual target bonuses.
In particular, for key personnel belonging to the Parent Company, with the exception of those belonging to the branch network, the target bonus is determined entirely on the basis of the Group's Gross Profit.
For key personnel belonging to Group companies and key personnel of the parent company belonging to the network, the target bonus is determined on the basis of both the Group's Gross Profit and the Gross Profit of the company to which they belong.

[12] *Entry bonus or incentive packages designed to facilitate the acquisition of resources that the company deems necessary for the achievement of important objectives.*

After it has been verified that the entry gates have been exceeded and the bonus pool has been calculated, the actual allocation of the bonus and the related amount, within the maximum limits[13] of the variable remuneration, are defined through a process of individual performance evaluation that includes an analysis of various qualitative and quantitative indicators.

If the Bonus exceeds a specific amount established by the Board of Directors, the Plan envisages an allocation (which can also be deferred) of part of the total bonus through an assignment of "phantom stock"[14].

In particular, this Plan provides for: (apart from as provided by the stricter regulations foreseen for the CEO of the Parent Company):

- in the case of a bonus of more than Euro 100 thousand:
  - 60% is attributed at the date the bonus is granted ("upfront portion");
  - the remaining of 40% is attributed in equal portions on a deferred basis: for bonuses lower than Euro 120 thousand, it is attributed over the subsequent three years; for bonus amounting to between Euro 120 thousands and Euro 150 thousand, the deferral period is increased to 4 years; for bonuses higher than Euro 150 thousand, there is a 5 year deferral period.

The allocation of 50% of the up-front and deferred portions takes place through phantom stock, the other 50% in cash;

- for bonuses amounting to between Euro 60 thousands and Euro 100 thousand:
  - 50% of the bonus is attributed at the grant date in cash;
  - the remainder of 50% is allocated through phantom stock, attributed in equal portions in the three years subsequent to the grant year;

- for bonuses amounting to between Euro 30 thousand[15] and Euro 60 thousand:
  - the first Euro 30 thousands is attributed at the grant date in cash;
  - the allocation of the portion of the bonus exceeding Euro 30 thousand[16] takes place through phantom stock entirely attributed in equal portions in the three years subsequent to the grant year;

- for bonuses of less than Euro 30 thousands and less than 30% of the fixed remuneration:
  - the amount in question is attributed at the grant date in cash.

The deferred instalments are subject to malus rules that can reduce the instalment to zero in the event of failure to achieve the access thresholds ("entry gates") for the financial year preceding the year of payment of each deferred instalment.

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[13] *The theoretical maximum amount of the bonus payable is the sum of the maximum bonuses obtainable at an individual level.*

[14] *Phantom Stock: these are "virtual" financial instruments (free, personal and not transferable inter vivos) that assign to each recipient the right to demand on maturity an amount of money corresponding to the value of the BPER Banca stock, calculated as per paragraph 3.8 of the information document on the remuneration plan based on financial instruments - Phantom Stock 2017, at the payment date.*

[15] *Or 30% of the fixed remuneration, if lower.*

[16] *Or 30% of the fixed remuneration, if lower. In exceptional and unlikely circumstances where the bonus is more than 60% of the fixed remuneration, but less than € 60 thousand, 50% of the bonus is paid in cash upfront and 50% in phantom stock deferred over three years.*

The malus mechanism, which can block payment of the deferred portions of the bonus, also acts on activation of the clawback clauses.
Note that there are compensation plans still outstanding for the years 2013, 2014 and 2015.

B. Quantitative information

2. Other information

With reference to the compensation plan for 2017, in the light of the economic and financial results achieved at Group level, 32,374 Phantom stocks for a total of Euro 149 thousands were allocated.
Please also note that the same results affect the 2015 Plan allowing the vesting of 18,862 Phantom Stocks, for a consideration of Euro 89 thousands and the 2014 Plan allowing the vesting of 770 Phantom Stocks for a consideration of Euro 4 thousand.

Part L – Segment reporting

Segment reporting, as required by IFRS 8, is presented only in the consolidated financial statements. Please refer to the Consolidated Explanatory Notes, Part L, for details on the business segments

Attachments

The following documents, which are not attached to the financial statements as at 31 December 2017, could be consulted in the Italian version:

- Cash flow statements and balance sheets of the staff pension fund
- Schedule of properties revaluation
- Pro-forma financial statements

Fees for audit and non-audit services

Information pursuant to art. 149-duodecies of CONSOB's Issuers' Regulations

This schedule, prepared pursuant to art. 149-duodecies of CONSOB's Issuers' Regulations (Resolution 11971 of 14 May 1999 and subsequent additions and amendments), reports the 2017 fees for audit and non-audit services provided by the Independent Auditors and member firms of the same network. These fees represent the costs incurred and recorded in the financial statements, including expenses, unrecoverable VAT and the CONSOB contribution.

(in thousands)

Type of services	Party providing the service	Recipient		Fees
Audit services	Deloitte & Touche s.p.a	BPER Banca	(1)	571
Certification services:	Deloitte & Touche s.p.a	BPER Banca	(2)	178
Other services	Deloitte Consulting s.r.l.	BPER Banca	(3)	400
Total				**1,149**

(1) Audit:
- activity performed for BPER Banca S.p.A., € 571 thousand: Separate financial statements (€ 211 thousand), consolidated financial statements (€ 42 thousand), condensed consolidated half-year report (€ 112 thousand), consolidated interim reports on operations (€ 154 thousand) and verification of regular bookkeeping (€ 52 thousand);

(2) Certification services by Deloitte & Touche s.p.a.:
- activities performed in relation to the translation into English of the condensed consolidated half-year financial statements at 30 June 2017 and of the separate and consolidated financial statements for the year ended 31 December 2017 for € 28 thousand;
- activities performed as part of the covered bond issue programme for € 94 thousand;
- activities performed for the issue of comfort letters as part of the "Euro Medium Term Notes" issue programme for € 15 thousand;
- activities carried out for the issue of the compliance opinion on the Consolidated Non-Financial Statement (Consolidated Sustainability Report), for € 41 thousand.

(3) Other services rendered by Deloitte Consulting s.r.l., company belonging to the Deloitte network:
- methodological support in surveying the current situation, user requirements and benchmarking in the Operational Risk framework, for € 100 thousand;
- methodological support in the detection of regulatory and benchmarking requirements in the area of supervisory reports relating to bad loans, for € 300 thousand.

Certification and other reports

Certification of the individual financial statements for 2017 pursuant to art. 81-ter of Consob Regulation no. 11971 dated 14 May 1999 and subsequent additions and amendments

- The undersigned

  - Alessandro Vandelli, as Chief Executive Officer,

  - Marco Bonfatti, as the Manager responsible for preparing the Company's financial report,

  of BPER Banca S.p.A., having considered the requirements of paras. 3 and 4 of art. 154-bis of Decree no. 58 dated 24 February 1998, confirm:

  - the adequacy in relation to the characteristics of the Bank and
  - the proper application

  during 2017, of the administrative and accounting procedures adopted for the preparation for the financial statements.

- This assessment of the adequacy of the administrative and accounting procedures adopted for the preparation of the financial statements at 31 December 2017 is based on a model developed by BPER Banca S.p.A., consistent with the Internal Control - Integrated Framework issued by the Committee of Sponsoring Organizations of the Tradeway Commission. These framework represent reference standards for systems of internal control that are generally accepted at an international level.

- It is also certified that

  - the financial statements at 31 December 2017:
    a) have been prepared in accordance with the applicable international accounting standards recognised within the European Union pursuant to European Parliament and Council Regulation (EC) no. 1606/2002 dated 19 July 2002, Decree 38/2005 and the enabling regulations for art. 9 of this Decree;
    b) agree with the underlying accounting records and entries;
    c) present a true and fair view of the financial position and results of operations of the Bank.

  - The report on operations includes a reliable analysis of performance and the results of operations, as well as of the position of the Bank, together with a description of the principal risks and uncertainties to which it is exposed.

Modena, 8 March 2018

Chief Executive Officer

Alessandro Vandelli

Manager responsible for preparing the company's financial report

Marco Bonfatti

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INDEPENDENT AUDITOR'S REPORT
PURSUANT TO ARTICLE 14 OF LEGISLATIVE DECREE No. 39 OF JANUARY 27, 2010
AND ARTICLE 10 OF THE EU REGULATION 537/2014

To the Shareholders of
BPER Banca S.p.A.

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinion

We have audited the financial statements of BPER Banca S.p.A. (the Bank), which comprise the balance sheet as at December 31, 2017, and the income statement, the statement of comprehensive income, the statement of changes in shareholders' equity and the statement of cash flows for the year then ended, and the explanatory notes.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Bank as at December 31, 2017, and of its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards as adopted by the European Union and the requirements of national regulations issued pursuant to art. 9 of Italian Legislative Decree no. 38/05 and to art. 43 of Italian Legislative Decree no. 136/15.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISA Italia). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Bank in accordance with the ethical requirements applicable under Italian law to the audit of the financial statements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Ancona Bari Bergamo Bologna Brescia Cagliari Firenze Genova Milano Napoli Padova Palermo Parma Roma Torino Treviso Verona

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Key audit matters – Classification of high-risk performing loans to customers	Audit procedures in response to key audit matters
As reported in paragraph "2.2 Balance sheet aggregates" of the report on operations and in the quantitative information of "Section 1 – Credit risk" of Part E – Information on risks and related hedging policies in the explanatory notes at 31 December 2017, performing loans to customers of BPER Banca S.p.A. show a gross amount of Euro 34,115 million, reduced by portfolio adjustments of Euro 172 million, to come to a net amount of Euro 33,943 million, resulting in a coverage ratio of 0.50%. As reported in the qualitative information of "Section 1 – Credit risk" of Part E – Information on risks and related hedging policies in the explanatory notes at 31 December 2017, as part of its policies for managing loans to customers, the Bank adopted rules and processes for monitoring credit exposures, which entailed, among other things, a structured action of classification into homogeneous risk categories. In particular, on the basis of "rating" and "early warning" systems, the Bank identified, among performing loans, those with a higher degree of risk. Given the complexity of the process of classifying loans to customers in homogeneous risk categories followed by the Bank, we considered the classification of high-risk performing loans to customers a key audit matter of the financial statements of BPER Banca S.p.A. at 31 December 2017.	The main procedures carried out as part of our audit work were, among others, as follows: • gaining an understanding of the internal regulations and processes implemented by the Bank for classifying loans to customers and monitoring their quality, in order to verify compliance with the regulatory framework; • checking the implementation and operating effectiveness of the relevant controls identified in relation to those processes; • checking, on a sample basis, the classification of high-risk performing loans to customers in accordance with the regulatory framework; • checking the accuracy and completeness of the disclosures provided in the financial statements in accordance with the regulatory framework and the applicable accounting standards.

<table>
<tr><th>Key audit matters – Classification and valuation of non-performing loans to customers</th><th>Audit procedures in response to key audit matters</th></tr>
<tr><td>
As reported in paragraph "2.2 Balance sheet aggregates" of the report on operations and in the quantitative information of "Section 1 – Credit risk" of Part E – Information on risks and related hedging policies of the explanatory notes at 31 December 2017, non-performing loans to customers of BPER Banca S.p.A. show a gross amount of Euro 7,150 million, reduced by specific adjustments of Euro 3,702 million, resulting in a net amount of Euro 3,448 million. The report on operations also shows that the coverage ratio of non-performing loans to customers at 31 December 2017 is equal to 51.78%. More specifically, bad loans show a net value of Euro 1,855 million and a coverage ratio of 61.92%, unlikely to pay loans show a net value of Euro 1,564 million and a coverage ratio of 30.37%, while impaired past due loans show a net value of Euro 29 million and a coverage ratio of 12.92%.
Part A – Accounting policies of the explanatory notes describes:

the rules for classifying non-performing loans to customers followed by the Bank in compliance with the current instructions of the Supervisory Authorities and the applicable accounting standards;
the methods for determining their recoverable amount which are based on the estimate of the present value of expected cash flows deriving from an analytical valuation of bad loans and unlikely to pay loans whose exposure is higher than the thresholds established by internal regulations, and from a flat-rate approach for the remaining non-performing loans to customers.

Given the significance of the amount of non-performing loans to customers recorded in the financial statements, the complexity of the valuation processes adopted by the Bank, which entailed a structured action of classification into homogeneous risk categories, as well as the relevance of the discretionary component linked to the estimate of the recoverable amount, we considered the classification of non-performing loans to customers and their valuation a key audit matter of the financial statements of BPER Banca S.p.A. at 31 December 2017.
</td><td>
The main procedures carried out as part of our audit work were, among others, as follows:

gaining an understanding of the internal regulations and processes implemented by the Bank for classifying non-performing loans to customers and determining their recoverable amount in order to verify the relevant compliance with the regulatory framework and the applicable accounting standards;
checking the implementation and operating effectiveness of the relevant controls identified in relation to those processes;
drawing qualitative and trend analysis of non-performing loans to customers by calculating appropriate qualitative and quantitative indicators in order to identify matters of interest;
checking on a sample of credit files, selected also on the basis of the matters of interest emerging from the analysis referred to in the previous point, the relevant classification and determination of the recoverable amount of non-performing loans to customers in accordance with the regulatory framework and the applicable accounting standards, also by obtaining and examining written confirmations by the lawyers appointed for their collection;
checking the accuracy and completeness of the disclosures provided in the financial statements in accordance with the regulatory framework and the applicable accounting standards.

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</table>

Key audit matters – Classification and valuation of non-performing loans to customers	Audit procedures in response to key audit matters

Key audit matters – Impairment test of goodwill	Audit procedures in response to key audit matters
As reported in the financial statements at 31 December 2017, intangible assets include goodwill of Euro 280.2 million allocated to the cash generating unit ("CGU") identified with the Bank as a whole. Under IAS 36 "Impairment of assets", goodwill is not amortised but subjected to an impairment test at least once a year, by comparing it with the recoverable amount of the CGU. When preparing the impairment test, the Bank determines the recoverable amount of the CGU in terms of value in use estimated on the basis of the "Dividend Discount Model". The process of determining the value in use adopted by the Bank is based on assumptions involving, among other things, a forecast of expected cash flows of the CGU to which goodwill has been allocated and which are based on the 2018 budget and 2019–2022 economic-financial projections, as well as the discount rate to be applied to the expected cash flows and the long-term growth rate. The impairment test carried out by the Bank, supported by the opinion of an independent external expert, confirmed the recoverability of the goodwill recorded in the separate financial statements. In Part A – Accounting Policies and in "Section 12 – Intangible Assets" of Part B – Information on the balance sheet of the explanatory notes and in "Section 13 – Intangible Assets" of Part B – Information on the balance sheet of the consolidated explanatory notes, to which reference is made, disclosures are provided on these aspects, as well as on the results of the sensitivity analysis performed by the Bank. Given the subjectivity of the estimates involved in determining the cash flows of the CGU and the key variables of the impairment model, we considered the impairment test of goodwill a key audit matter of the financial statements of BPER Banca S.p.A. at 31 December 2017.	The main procedures carried out as part of our audit work were, among others, as follows: • gaining an understanding of the valuation model and of the assumptions adopted by the Bank to carry out the impairment test, also with the support of experts belonging to Deloitte network; • gaining an understanding of the process involved in carrying out the impairment test and verifying the implementation and operating effectiveness of the relevant controls identified in relation to that process; • performing an analysis of the reasonableness of the main assumptions adopted to estimate cash flows and of the key variables used in the valuation model, carried out also by obtaining information from the Bank and in-depth analysis with the independent external expert; • performing an analysis of actual figures compared with the original plans, in order to assess the nature of variances and the reliability of the process of determining the forecasts; • verifying the clerical accuracy of the model used to determine the value in use of the CGU to which the goodwill has been allocated, also with the support of experts belonging to the Deloitte network; • reviewing of the sensitivity analysis performed by the Bank; • checking the accuracy and completeness of the disclosures provided in the financial statements in accordance with the regulatory framework and the applicable accounting standards.

Key audit matters – Accounting recognition of the merger of Nuova Cassa di Risparmio di Ferrara S.p.A.	Audit procedures in response to key audit matters
As reported in "Part G – Business combinations" of the explanatory notes, on 20 November 2017, the Bank, with tax and accounting effects running from 1 July 2017, completed the merger of Nuova Cassa di Risparmio di Ferrara S.p.A. (Nuova Carife), which was acquired on 30 June 2017 in execution of the share purchase agreement signed on 1 March 2017 with the Bank of Italy as manager and on behalf of the National Resolution Fund. The transaction was recognised in the financial statements, as required by IFRS 3 "Business combinations", applying the purchase method, which provides that the purchase price allocation ("PPA") is based on the fair value of the assets and liabilities involved in the acquisition. For the purposes of applying the purchase method, the Bank, with the support of an external advisor, implemented valuation processes and methods that, by their very nature, feature elements of high subjectivity. The income statement caption "Gain on a bargain purchase" includes the positive income component, equal to Euro 190.9 million, resulting from the process of allocating the difference between the purchase price and the net value of the assets and liabilities acquired, measured at their fair value, in compliance with the applicable accounting standard. Given the subjectivity that characterises the process of determining the fair value of the assets and liabilities involved in the acquisition, as well as the significance of the effects recorded in the income statement, we considered the accounting recognition of the merger of Nuova Carife a key audit matter of the financial statements of BPER Banca S.p.A. at 31 December 2017.	The main procedures carried out as part of our audit work were, among others, as follows: • discussing the application of the purchase method for accounting recognition of the business combination with the Bank's management and gaining an understanding of the process and of the relevant controls implemented by the Bank in relation to the accounting recognition of the transaction; • checking the implementation and operating effectiveness of the relevant controls identified in relation to that process; • performing an analysis of compliance with the regulatory framework of the accounting recognition of the business combination in the financial statements; • performing an analysis, also with the support of experts belonging to Deloitte network, of the reasonableness of the main assumptions adopted by the Bank in determining the fair value of the assets and liabilities acquired, also by obtaining information from the Bank and in-depth analysis with the external advisor; • checking the accuracy and completeness of the disclosures provided in the financial statements in accordance with the applicable accounting standards.

Other aspects

The financial statements of BPER Banca S.p.A. for the year ended December 31, 2016 have been audited by another auditor that on March 16, 2017 issued an unmodified opinion on those financial statements.

Responsibilities of the Directors and the Board of Statutory Auditors for the Financial Statements

The Directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards as adopted by the European Union and the requirements of national regulations issued pursuant to art. 9 of Italian Legislative Decree no. 38/05 and to art. 43 of Italian Legislative Decree no. 136/15 and, within the terms established by law, for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Directors are responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless they have identified the existence of the conditions for the liquidation of the Bank or for the termination of the operations or have no realistic alternative to such choices.

The Board of Statutory Auditors is responsible for overseeing, within the terms established by law, the Bank's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with International Standards on Auditing (ISA Italia) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with International Standards on Auditing (ISA Italia), we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;

- obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's internal control;

- evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors;

- conclude on the appropriateness of Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Bank to cease to continue as a going concern;

- evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance, identified at an appropriate level as required by ISA Italia, regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence applicable in Italy, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence and, where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report.

Other information communicated pursuant to art. 10 of the EU Regulation 537/2014

The Shareholders' Meeting of BPER Banca S.p.A. has appointed us on November 26, 2016 as auditors of the Bank for the years from December 31, 2017 to December 31, 2025.

We declare that we have not provided prohibited non-audit services referred to in art. 5 (1) of EU Regulation 537/2014 and that we have remained independent of the Bank in conducting the audit.

We confirm that the opinion on the financial statements expressed in this report is consistent with the additional report to the Board of Statutory Auditors, in its role of Audit Committee, referred to in art. 11 of the said Regulation.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

Opinion pursuant to art. 14, paragraph 2 (e), of Legislative Decree 39/10 and art. 123-bis, paragraph 4, of Legislative Decree 58/98

The Directors of BPER Banca S.p.A. are responsible for the preparation of the report on operations and the report on corporate governance and ownership structure of BPER Banca S.p.A. as at December 31, 2017, including their consistency with the related financial statements and their compliance with the law.

We have carried out the procedures set forth in the Auditing Standard (SA Italia) n. 720B in order to express an opinion on the consistency of the report on operations and some specific information contained in the report on corporate governance and ownership structure set forth in art. 123-bis, n. 4 of Legislative Decree 58/98 with the financial statements of BPER Banca S.p.A. as at December 31, 2017 and on their compliance with the law, as well as to make a statement about any material misstatement.

In our opinion, the above-mentioned report on operations and information contained in the report on corporate governance and ownership structure are consistent with the financial statements of BPER Banca S.p.A. as at December 31, 2017 and are prepared in accordance with the law.

With reference to the statement referred to in art. 14, paragraph 2 (e), of Legislative Decree 39/10, made on the basis of the knowledge and understanding of the entity and of the related context acquired during the audit, we have nothing to report.

DELOITTE & TOUCHE S.p.A.

Signed by
Marco Benini
Partner

Bologna, Italy
March 23, 2018

This report has been translated into the English language solely for the convenience of international readers.

REPORT OF THE BOARD OF STATUTORY AUDITORS TO THE SHAREHOLDERS' MEETING PURSUANT TO ART. 153 OF LEGISLATIVE DECREE 58/1998

Shareholders,

Pursuant to art. 153 of Legislative Decree 58/1998 ("CFA") and art. 2429, paragraph 2, of the Italian Civil Code, we, the Board of Statutory Auditors, are required to report to the Shareholders' Meeting of BPER Banca S.p.A. ("BPER" or the "Bank"), called to approve the financial statements at 31 December 2017, on the supervisory activities that we have carried out and on any omissions and reprehensible situations that we have found. We can also make observations and proposals on the financial statements, their approval and other matters within our sphere of competence.

During the year, we carried out our institutional duties in accordance with the Italian Civil Code, Legislative Decrees 385/1993 ("CBA") and 58/1998 ("CFA") and the Articles of Association, in compliance with the standards of conduct recommended by the Italian Accounting Profession (represented by the Consiglio Nazionale dei Dottori Commercialisti e degli Esperti Contabili), as well as the special laws on the subject, and pursuant to the provisions adopted by the Public Authorities involved in supervisory and control activities in Italy (including the Bank of Italy and CONSOB) and in Europe (the European Central Bank, "ECB"). Following the entry into force in November 2014 of the Single Supervisory Mechanism, the Bank and the Group are now classified respectively as a "significant supervised entity" and a "significant supervised group" and therefore subject to direct Supervision by the ECB, which has taken on the tasks assigned by (EU) Regulation 1024 of 15 October 2013, which are also performed with assistance from the Bank of Italy in the manner envisaged in (EU) Regulation 468/2016 of 6 April 2014.

The activities of this Board are supported by Operating Rules that were initially approved on 15 March 2016 and subsequently updated on 18 December 2017 to take account of *a)* the transformation of the Bank into a company with liability limited by shares (S.p.A.) and related amendments of the Articles of Association, and *b)* alignment with the Code of Governance for limited companies, which the Bank has adopted. Most of the latter will be applied in practice from the 2018 financial year onwards.

During the year, we acquired the information needed to perform the general supervisory duties assigned to us through the detailed system of information flows provided for within the Group as well as by taking part in meetings of the Board of Directors and Executive Committee.

According to the annual plan, we held regular meetings with the Board Committees (Control and Risk Committee, Remuneration Committee, Independent Directors Committee), the Chief Executive Officer, the Chairman of the Board of Directors, the General Manager, the Supervisory Body established pursuant to Legislative Decree 231/01 and with the Supervisory Body of the Pension Fund for employees of the Bank; we also held meetings with the Supervisory bodies of Italian banks and of the main non-banking companies of the Group.

We had frequent meetings with the Executive responsible for preparing the company's financial reports, the Independent Auditors and the Group's Internal Control Functions: the Internal Audit Department, a third-level control function, the Risk Department, the Anti-Money Laundering Unit and the Compliance Unit.

We also had regular meetings with the Chief Lending Officer (CLO) to look into those loan dossiers that had been brought to the attention of Governing Bodies and regularly met the key corporate functions of the Bank (including the CL&GO, CBO, CIO, CFO, COO).

We analysed the information flows acquired from the various corporate structures, including through specific control activities carried out during the course of our meetings, through direct audits on specific issues, as well as making use of hearings, investigations and information collected from management.

Recommendations and suggestions made by us are communicated to the internal departments concerned through the general secretarial structure or communicated directly to the Body with management or strategic supervision functions and to the related Board committees, monitoring the follow-up.

Given the above, the following information is provided relating to CONSOB Communication 1025664 of 6 April 2001 and subsequent amendments and additions.

I - INFORMATION ON THE PRINCIPAL ECONOMIC, FINANCIAL AND CAPITAL TRANSACTIONS CARRIED OUT BY THE BANK AND ON SIGNIFICANT SUBSEQUENT EVENTS

On the basis of the information made available and obtained during the meetings with the Board of Directors, the Executive Committee and the Managing Director pursuant to article 150 of the CFA, and as a result of the analyses carried out in 2017, we think that it is reasonable to maintain that the principal economic, financial and capital transactions carried out by the Bank, also through subsidiaries, have been conducted with respect for the principles of proper administration, in compliance with the law and the Articles of Association, without being manifestly imprudent, risky or in contrast with the resolutions passed by the Shareholders' Meeting or otherwise prejudicial to the integrity of the Company's assets and assisted, where necessary, by structured processes of analysis and evaluation also with the support of independent experts.

Full information is provided in the Directors' Report on Operations ("Report on operations") and in the Directors' Report on Group Operations ("Report on Group Operations"), to which reference should be made.

We now wish to draw attention to the following principal operations and events that took place during 2017.

a) *Operations of strategic significance*

- Non-performing Exposures (NPE) Plan. Subsequent to publication of the ECB *Draft Guidance to banks on non-performing loans* in September 2016, the Bank completed a self assessment of its impact in January 2017 and commenced a process of alignment comprising two separate waves. In March 2017, following final publication of ECB *Guidance to banks on non-performing loans* ("NPE Guidance"), the Bank prepared and submitted to the ECB a strategic plan for the management of non-performing exposures, and commenced preparation of an operational plan to accelerate their reduction and their ever more efficient and pro-active management. Subsequently, while waiting for observations from the ECB, the Bank updated the strategic plan for NPEs and informed the market on 8 November 2017 ("NPE Strategy 2018-2020"). The ECB made observations and comments on the results of the self assessment and on the strategic plan (respectively in October and December 2017), requesting an update of the NPE Plan by March 2018 to include more challenging objectives, which the Bank believes are achievable in view of the level of capitalisation of the Group;
- Acquisition of control of Nuova Cassa di Risparmio di Ferrara S.p.A. ("Nuova Carife") from the National Resolution Fund. The contract to purchase the entire share capital of this

Ferrara-based bank, signed on 1 March 2017, was completed on 30 June 2017 with payment of the consideration amounting to Euro 1.00. The contract for the purchase of this equity investment envisages a series of guarantees and protections for the purchaser. During the year, the Bank authorised (11 July 2017) and completed (20 November 2017) the absorption of Nuova Carife with tax and accounting effect from 1 July 2017 and also completed the purchase price allocation process. This process involved identifying the positive difference between the consolidated shareholders' equity of the group acquired and the purchase consideration, with recognition of an additional Euro 42.4 million in assets and an additional Euro 7.5 million in liabilities. As a consequence of this, the definitive difference of Euro 190.9 million was recognised as negative goodwill and credited to the income statement (in ad hoc captions 235 of the separate income statement and 265 of the consolidated income statement);

- Early renewal of the bancassurance agreement, originally due to expire in 2019, between the Unipol Group on the one hand and BPER Banca and Banca Popolare di Sondrio s.c.p.a. on the other. This agreement, signed on 8 November 2017 with effect from 1 January 2018 and valid until 2022, covers distribution of the life and non-life insurance policies of Arca Vita S.p.A., part of the UNIPOL Group and in which the two Banks hold minority interests, and those of Arca Assicurazioni S.p.A. and Arca Vita International DAC, its subsidiaries. At the same time, the UNIPOL Group and the two Banks renewed for the same period, their shareholders' agreement and regulations governing the transfer of shares in Arca Vita S.p.A.

  In this regard, you are reminded that, based on the market disclosures made in December 2017 pursuant to art. 120 TUF, the UNIPOL Group holds a stable 9.869% investment in the share capital of the Bank. As of the date of this Report, that insurance group is not included on the list of related parties, consistent with legal requirements and the internal regulations of BPER; this approach has also been confirmed by reference to external experts. This renewal, which as mentioned also involved another bank, was made on a prudent basis following an appraisal of the fairness of the amounts involved, which was performed by independent experts;

- Write-down of the quotas held in Fondo Atlante, subscribed for in 2016 (totalling Euro 100 million, of which Euro 92.2 million called by 31 December 2017), by Euro 52.9 million; including those recorded in 2016, the write-downs of this Fund now total Euro 81.2 million;

- Changes in equity investments. During 2017, BPER Banca acquired control of Sifà S.p.A., a vehicle fleet management company, sold its investments in Banca della Nuova Terra S.p.A. and in Bassilichi S.p.A. and, following partial participation in the capital increase of Release S.p.A. (*bad bank* created on the restructuring of the former Italease owned by the BPM Group), reduced its holding in that company from 10.84% to 9.27%.

b) Implementation of the 2015-2017 business plan and new business plan

- Continuation of projects related to the 2015-2017 business plan, known as *Becoming BPER.* During 2017, the Bank recognised that the economic forecasts contained in the *Becoming Bper* business plan were no longer applicable and commenced the preparation of a new business plan. As discussed below, this plan has not yet been finalised and, among other matters, will have to take account of the requirements deriving from implementation of the NPE Guidance. The Bank continued to refine the process of monitoring the plan KPIs during 2017, especially with regard to the objectives relating to investment and project work; the planning and control process was revised significantly at the start of 2017, with the introduction of policies and regulations for planning, budgeting and monitoring activities, which were needed ahead of work to adopt the new supervisory guidelines (interactions with RAF, the SREP and stress testing processes and ICAAP/ILAAP).

c) *Contributions to the Single Resolution Fund and the FITD*

- Charge to the income statement of the contributions made to the Resolution Fund (Directive 2014/59/EU) totalling Euro 15.9 million, plus Euro 2.3 million in collateral (*irrevocable payment commitments*), and to the Deposit Guarantee Fund (Directive 2014/49/EU) totalling Euro 20.2 million. In their standard form, these contributions now represent recurring charges;
- Write-downs of the contributions paid to the FITD – Voluntary Scheme amounting to Euro 29.3 million, following “system” work carried out by the Scheme in 2017 and earlier.

d) *Other significant transactions*

- Issue of a 10-year Tier2 subordinated loan (redeemable after 5 years) of Euro 500 million, which was taken up by institutional investors at an interest rate of 5.125%;
- Issues of covered bonds under the two outstanding programmes totalling Euro 780 million;
    - Self-securitisation of performing construction and residential mortgages, arranged by Banco di Sardegna S.p.A. via Sardinia Re-Finance S.r.l. towards the end of the year, totalling Euro 1.5 billion, in order to support the *counterbalancing capacity* that helps to manage more efficiently the Group's liquidity risk. The competent Authorities are currently evaluating the eligibility of these securities as collateral for the ECB's open market operations;
- Sales without recourse of non-performing loans totalling Euro 86 million and the disposal by Sardaleasing S.p.A. of a portfolio of loans deriving from property lease contracts amounting to Euro 12 million;

e) *Other significant events*

- Replacement of Emilio Annovi, now retired, as Executive responsible for preparing the company's financial reports (art. 154-bis of Decree 58/1998 - Consolidated Finance Act - CFA) by Marco Bonfatti, formerly manager of the Accounting Unit within the Administration and Reporting Department (April 2017).

The transactions and facts of greatest significance subsequent to the reporting date are described in the Report on Operations (section 8.1) and the Group report on operations (section 10.1), to which reference is made. Here we note the start of activities by BPER at the end of February 2018 to securitise bad loans totalling about Euro 2 billion, possibly with recourse to the State guarantee (GACS) for the Senior component with an investment grade rating, which follows that activated by Banco di Sardegna at the end of 2017 for a total of Euro 1 billion. In addition, again at the start of 2018, BPER Banca determined it would be appropriate to strengthen the capital of Cassa di Risparmio di Bra S.p.A., Sardaleasing S.p.A. and BPER Factor S.p.A., the summary underlying reasons for which - largely common to each company - include:

- reduction of the regulatory ceiling for the Large Risks of Financial Companies from 40% to 25% of Own Funds with effect from 1 January 2018 (with alignment with the limits currently in force for the Banks); this event applies to Sardaleasing S.p.A. and BPER Factor S.p.A.;

- increase in capital requirements deriving from the growth in loans achieved and/or planned; in the specific case of Sardaleasing S.p.A.: the increase in volumes is also the result of the extraordinary acquisition of leasing portfolio of the former Nuova Carife.

In relation to the above, this Board believes that the new Business Plan must address adequately the revised competitive conditions faced by the Bank following the process of consolidation in the sector, the necessary evolution of the business model, the problem of accumulated NPEs and the new calendar provisioning rules, the cost/income ratio, the economies of scale that affect the ability to comply with the ever more complex compliance rules, and the disintermediation risks that derive from the fintech sector, as well as the structural changes affecting payment systems, the flows of funds among individuals the virtualisation of banking.

From a Group standpoint, the principal issue is the stock of NPEs accumulated, in particular, by BPER Banca, Banco di Sardegna and Sardaleasing S.p.A. These currently position the BPER Group among those with the greatest ratio of gross NPEs to total lending. In this context, the activities of BPER Credit Management, the bad loans work-out company, have completed the start-up phase and demonstrated a marked increase in performance during 2017; nevertheless, there is still room for improvement in terms of the timing and effectiveness of recovery activities, as well as with regard to its operational support systems and processes.

II, III - INFORMATION ON THE EXISTENCE AND ASSESSMENT OF THE ADEQUACY OF INFORMATION MADE AVAILABLE BY THE DIRECTORS ABOUT ATYPICAL OR UNUSUAL TRANSACTIONS, INCLUDING INTERCOMPANY TRANSACTIONS OR TRANSACTIONS WITH RELATED PARTIES.

The Report on operations (section 5.3), the Group report on operations (section 9.7) and the information obtained by this Board do not evidence any atypical and/or unusual transactions with third parties, Group Banks and Companies or Related Parties.

In this regard, on 11 July 2017 the Board of Directors adopted the new "*Group policy for the governance of non-compliance risk concerning conflicts of interest with related parties and risk assets with associated persons*", issued pursuant to art. 136 CBA, the Bank of Italy instructions on risk assets and conflicts of interest with associated persons (Circular 263/2006, Title IV, Chapter 5), the Consob Regulation containing instructions about related-party transactions (Consob Resolution 17221/2010 and subsequent amendments and additions), and IAS 24 on the disclosure of related-party transactions. The new policy pulls together and summarises various internal regulations (including the "*Group regulation on managing transactions with related parties and associated persons*", approved by the Board of Directors on 12 November 2013, and the "*Group Regulation on the process of establishing prudential limits on risk assets – monitoring of prudential limits in relation to associated persons*", approved by the Board of Directors on 24 June 2014), contributing to the establishment of a systematic approach to this complex manner. This Board contributed to the definition of the new Policy and recommended, with regard to the identification of relevant parties (related parties, connected persons or entities), the application of defined criteria based even more closely on the substance of the phenomena observed.

In this regard, reference is made to the information provided by the Directors to the Shareholders' Meeting, in their report pursuant to art. 125-ter CFA containing Information on internal control policies in terms of risk activities and conflicts of interest with related parties, in compliance with the requirements of Bank of Italy Circular 263 dated 27 December 2006, with regard to the amendments made (see Agenda point 9).

Given the above, it should be noted that further information on transactions with associated persons and related parties is provided in the Group report on operations (section 9.6) and in the report on operations (section 5.2), as well as in Section H of the notes to the consolidated financial statements and the draft separate financial statements.

Note, too, that we regularly receive and review periodic information flows on transactions with related parties and associated persons and on the monitoring of exposures involving associated persons; where necessary, we requested additional information and details.

In this context, we can confirm that the ongoing reduction in transactions with Directors and other corporate officers has continued, together with a general stabilisation of transactions with associated companies, while intercompany payables are significant, partly due to the centralisation of Group cash management at the Parent Company.

We also met with the Independent Directors Committee, without prejudice to the tasks and duties established generally by statutory and banking regulations for its specific supervisory purposes on the subject of conflict of interest, ensuring an adequate exchange of information.

The Board of Directors provides complete information about related-party transactions in the Report on operations and in the notes to the separate financial statements.

To the knowledge of the Board of Statutory Auditors, these transactions were concluded in the interests of the Bank and do not lead to comments about their appropriateness, as they are considered to be part of the Bank's day-to-day operations.

We can also certify that the transactions carried out pursuant to art. 136 CBA were unanimously approved by the Board of Directors and with the favourable opinion of all members of the Board of Statutory Auditors, in compliance with the special provisions of law.

IV - OBSERVATIONS AND PROPOSALS ON THE FINDINGS AND HIGHLIGHTS CONTAINED IN THE INDEPENDENT AUDITORS' REPORT

Pursuant to the combined provisions of Decree 39 dated 27 January 2010 and Regulation (EU) 537/2014, the engagement to perform the legal audit of the accounts and audit the separate and consolidated financial statements for the nine-year period 2017-2025 was assigned at the Shareholders' Meeting held on 26 November 2016 to Deloitte & Touche S.p.A. ("Deloitte"), together with the issue of opinions on consistency and conformity with the law pursuant to art. 123-bis, para. 4, CFA.

On 23 March 2018, the firm of legal auditors released its "auditors' report" pursuant to art. 14 of Decree 39/2010 and art. 10 of Regulation (EU) 537/2014, the content of which has been profoundly revised - in terms of form, attestations and information provided- following the amendments made to the reform of the legal audit transposed into Italian law by Decree 135/2016, which amended Decree 39/2010.

In that auditors' report, which does not contain any emphasis of matter, the firm of legal auditors:

- issued an opinion confirming that the separate financial statements present a true and fair view of the financial position of the Bank as of 31 December 2017, and of its results and cash flows for the year ended on that date, in accordance with the International Reporting Standards endorsed by the European Union and with the measures issued in implementation of art. 9 of Decree 38/2005 and art. 43 of Decree 136/2015;

- confirmed that the Report on operations accompanying the separate financial statements and certain specific information contained in the Report on corporate governance and the ownership structure specified in art. 123-*bis*, para. 4, CFA, are consistent with the draft financial statements and were prepared in accordance with the law;
- declared, with reference to possible significant errors in the Report on operations, that it had no observations to make based on its knowledge and understanding of the business and related context, obtained during the performance of its audit activities.

The auditors' report does not contain any emphasis of matter or qualifications. In accordance with the new regulations that are applicable, the auditors' report states the auditing standards adopted and indicates the following "key aspects" that emerged during the course of the audit:

- classification of unimpaired loans to customers at greatest risk;
- classification and measurement of non-performing loans to customers;
- impairment test of goodwill;
- accounting recognition of the absorption of Nuova Cassa di Risparmio di Ferrara.

On 23 March 2018 the auditing firm also issues its auditors' report on the consolidated financial statements, also without qualifications or emphasis of matter, which includes at consolidated level attestations and declarations similar to those mentioned above and the same key aspects.

Again on 23 March 2018, the auditing firm presented to the Board of Statutory Auditors the additional Report envisaged in art. 11 of Regulation (EU) 537/2014, which does not identify any significant weaknesses in the system of internal control over the process of making financial disclosures that should be drawn to the attention of those responsible for governance activities; the above report also confirms that, during the course of the audit, no actual or possible non-conformities were found with regard to current laws, regulations or requirements of the Articles of Association;

Additionally, the auditing firm has presented to the Board of Statutory Auditors the independence declaration required by art. 6 of Regulation (EU) 537/2014, which does not identify any situations that might compromise its independence.

This Board also acknowledges the Transparency Report prepared by the auditing firm and published on its website pursuant to art. 18 of Decree 39/2010.

As required by Decree 254/2016 implementing Directive 2014/95/EU, the Bank has also prepared a “Consolidated non-financial declaration” relating to 2017. This Declaration, approved by the Board of Directors on 8 March 2018 and prepared as a separate report pursuant to art. 5 of the above Decree, was published on 23 March 2018 together with the draft separate and consolidated financial statements. On 23 March 2018, the auditing firm issued the required report on its limited examination of the “Consolidated non-financial declaration”, without identifying any matters worthy of note. The Board of Statutory Auditors monitored the process of preparing the above Declaration, as required by current regulations.

V - INFORMATION ABOUT ANY COMPLAINTS RECEIVED PURSUANT TO ART. 2408 OF THE ITALIAN CIVIL CODE AND ACTION TAKEN

No complaints pursuant to art. 2408 of the Italian Civil Code were received during 2017 or up to the date of this report.

VI - INFORMATION ABOUT ANY STATEMENTS RECEIVED AND ACTION TAKEN

The Board of Statutory Auditors did not receive any statements or other forms of complaint from the shareholders or customers of the Bank during the year.

We would point out that, in relation to the provisions of art. 52-bis of the Consolidated Banking Act and the related implementing instructions of the Bank of Italy (Circular no. 285/2013, Title IV, Chapter 3, Sec. VIII), and pending full implementation of art. 8-*bis* of the Consolidated Finance Act, the Bank, with the Board resolutions of 2 and 15 December 2015, has implemented its own system of whistleblowing, centralised at the Parent Company; in this regard, implementation of the new system supplemented without modifying or abolishing the internal reporting procedures that already existed for specific sectors within the Group; accordingly, those procedures remain unchanged and confirmed: System of reporting to the Supervisory Body pursuant to Decree 231/2001, where appointed, and internal reporting to the Executive Responsible for Preparing the Company's Financial Reports of any errors found in the financial disclosures made. In this context, the Head of the Internal Audit Department acts as Head of the Internal Reporting System and the Board of Statutory Auditors of the Parent Company (or of Group companies and the banks involved in the reporting) acts as the Control Body.

No reports were received through this channel in 2017.

In view of the regulatory changes made during the second half of 2017 ("Anti-money laundering", "MAD", "231/2001"), BPER Banca has launched a specific project to revise the regulations for "reporting" by employees, collaborators and equivalent persons of conduct that might violate the rules governing banking activities.

VII - INFORMATION ABOUT ANY ADDITIONAL ASSIGNMENTS TO THE INDEPENDENT AUDITORS AND RELATED COSTS

As required by specific regulations, it is confirmed that the fees recognised by the Bank to Deloitte for the legal audit activities performed in relation to 2017, as authorised at the Shareholders' Meeting held on 26 November 2016, amounted to Euro 571 thousand for the audit of the Parent Company and the consolidated financial statements. This amount is detailed below:

- Euro 211 thousand for the legal audit of the financial statements of the Bank at 31 December 2017, pursuant to art. 14 of Decree 39/2010;
- Euro 42 thousand for the legal audit of the consolidated financial statements at 31 December 2017;
- Euro 52 thousand for the work to check that the accounting records are kept properly, including the verification work performed in relation to signature of the tax returns.
- Euro 112 thousand for the limited examination of the Condensed consolidated half-year financial statements and the half-year financial statements of the Parent Company included in the Consolidated half-year financial report at 30 June 2017;
- Euro 154 thousand for the limited examination of the accounting schedules to determine the interim profit for the periods ended 31 March 2017 and 30 September 2017, for the purpose of including these interim results in the calculation of Common equity Tier 1 capital.

Deloitte was also recognised the following additional fees, for additional appointments ancillary to and/or connected with the legal audit, totalling Euro 178 thousand:

a) Euro 41 thousand for the activities performed in order to release the conformity opinion on the Consolidated non-financial declaration (Consolidated Sustainability Report pursuant to Decree 254/2016);

b) Euro 28 thousand for the activities performed in relation to the translation into English of the auditors' reports on the Separate and Consolidated financial statements at 31 December 2017 and on the Consolidated half-year report for the period ended 30 June 2017;

c) Euro 94 thousand for the activities performed in relation to the programme for the issue of covered bonds;

d) Euro 15 thousand for the release of comfort letters in relation to the *Euro Medium Term Notes* programme.

To the extent not already authorised by resolutions adopted at the Shareholders' Meeting held on 26 November 2016, the above appointments were authorised by the Board of Statutory Auditors pursuant to arts. 4 and 5 of Regulation (EU) 537/2014. In this regard, in February 2017 the Group issued the first instructions to subsidiaries for all non-audit appointments (admissible pursuant to the above Regulation*)* to the outgoing/incoming auditing firms (PwC and Deloitte) to be notified in advance to the Executive responsible for preparing the company's financial reports and to the Board of Statutory Auditors of the Parent Company for appropriate evaluation. For the purposes envisaged in art. 5, para. 4, of Regulation (EU) 537/2014, the Board of Statutory Auditors has adopted a process for the assessment of independence that involves both internal functions (including the buyer) and the auditor. Work continues in 2018 to refine procedures and internal regulations in order to strengthen further, for the benefit of the entire Group, the process adopted for the assignment of permitted non-audit engagements.

In addition to the above, the fees paid to Deloitte by subsidiaries amounted to Euro 439 thousand in 2017.

Having obtained the report on independence issued by the auditing firm pursuant to art. 6 of EU Regulation 2014/537, we do not believe that there are any critical aspects regarding independence or causes of incompatibility pursuant to arts. 10, 10-*bis* and 17 of the Independent Audit Code and the related implementing provisions.

VIII - INFORMATION ABOUT ANY ADDITIONAL ASSIGNMENTS TO PARTIES WITH ONGOING RELATIONSHIPS WITH THE INDEPENDENT AUDITORS AND RELATED COSTS

During 2017, the BPER Group granted certain appointments to other companies that have ongoing relationships with the auditing firm, partly in relation to activities commenced in prior years. In particular, Deloitte Consulting S.r.l. was granted:

a) advisory appointments by BPER Banca totalling Euro 400 thousand (methodological support for the work to identify the current situation, user requirements and benchmarks in the context of the Operational Risk framework, for Euro 100 thousand; methodological support for the work to identify the regulatory requirements and benchmarks, in the context of the supervisory reports on bad loans, for Euro 300 thousand);

b) consultancy appointments by BPER Group companies totalling Euro 412 thousand (methodological support for the work to identify the current situation, user requirements and benchmarks in the context of the Operational Risk framework for Banco di Sardegna S.p.A., Euro 24 thousand, Banca di Sassari S.p.A., Euro 2 thousand, and Cassa di Risparmio di Bra S.p.A., Euro 2 thousand; methodological support for the work to identify user requirements and benchmarks in the context of the Data Governance activities envisaged in the 2015-17 business plan for BPER Services S.c.p.a., € 384 thousand).

To the extent not already authorised by resolutions adopted at the Shareholders' Meeting held on 26

November 2016, the above appointments were authorised by the Board of Statutory Auditors pursuant to arts. 4 and 5 of Regulation (EU) 537/2014 in accordance with the process described above.

IX - OPINIONS ISSUED BY THE BOARD OF STATUTORY AUDITORS PURSUANT TO THE LAW DURING 2017

During 2017 and up to the date of this report, we issued obligatory opinions required by the law, the Articles of Association and Supervisory Regulations.

The opinions expressed and observations made in accordance with supervisory orders or requests included:

- an opinion on the remuneration of directors who perform special duties as per art. 2389 of the Italian Civil Code;

- assessments relating to the ICAAP and ILAAP process and the related 2017 Reports (in accordance with the Bank of Italy's Circular 285/2013, Part I, Title III, Chapter 1 and the Bank of Italy's Circular 263 of 27 December 2006, Title V, Chapter 7);

- observations on the report on outsourced operational functions (Bank of Italy Circ. 263/2006, Title V, Ch. 7);

- opinions, in accordance with the Bank of Italy's Circular 285/2013, Part I, Chapter 1, Sec. III, on amendments to the "Guidelines on the Internal Control System" and the "Regulation of the Group Risk Management Department";

- opinion on amendments to "Group Regulation on the process of Structuring and Managing a Covered Bond Programme" within the meaning of Bank of Italy Circular 285/2013, Part Three, Chapter 3, Sec. II, para. 5;

- opinion on the 2017 Recovery Plan adopted by the BPER Group in compliance with the provisions of Directive 2014/59/EU (BRRD);

- comments on planning the activities of the Corporate Control Functions and their reporting under Bank of Italy Circ. 285/2013 (Title V Chapter 3) and Bank of Italy Instructions of 11.03.2011;

- comments on the planning and reporting of the various functions involved in accordance with CONSOB Resolution 17297 of 28 April 2010;

- comments on planning and reporting on the activities of the Executive responsible for preparing the company's financial reports.

X - INFORMATION ABOUT MEETINGS ATTENDED BY THE BOARD OF STATUTORY AUDITORS IN 2017

During 2017 we held 58 meetings lasting an average of 3 hours 10 minutes, often holding meetings with several corporate bodies or functions on the same day; the minutes explain the control and supervisory activities that were carried out. During the current year up to the date of this report, the Board of Statutory Auditors has held 13 meetings.

This Board also attended the meetings of the Board of Directors, which are generally held once every month in accordance with the current articles of association; a total of 22 meetings were held during 2017; we also attended the meetings of the Executive Committee, which usually meets with frequency specified in the “Rules of Functioning” document; 21 meetings took place in 2017.

During 2017, the Control and Risk Committee held 20 meetings, 19 of which were attended by the Chairman of the Board of Statutory Auditors or another serving Statutory Auditor: of these 20, 10 were held jointly (or in part jointly) with the Board of Statutory Auditors to examine matters of common interest, in the context of constant and constructive dialogue with full respect for the different roles and duties. Of the latter, 2 were also held jointly with the Supervisory Body.

Commencing from 2018, following amendment of regulations of the various Board committees for consistency with the Governance Code, this Board also attends the meetings of the Remuneration Committee via the presence of the Chairman or another Statutory Auditor appointed by the Chairman (4 meetings up to the date of this report).

During 2017, the members of the Board of Statutory Auditors also attended the induction training organised by the Bank on the following dates and with the following programmes: 26 September 2017 “The Management of Non-Performing Exposures: relevant regulation and principal operational impact”; 18 October 2017 "Dialogue with the Supervisory Authority: SREP and BMA. Strategic planning"; 9 November 2017 "Industry regulation: developments concerning specific regulatory requirements impacting the role of directors of Banks"; 27 November 2017 “Training Meeting for Supervisory Bodies within the BPER Banca Group” and 29 November 2017 “IFRS9 vs IAS 39”. The same training was made available to the senior managers of the principal Group Banks and Companies.

Further information is contained in the Report on corporate governance and the ownership structure for 2017, prepared pursuant to art. 123-bis CFA and approved by the Board of Directors on 8 March 2018.

XI - COMMENTS ON COMPLIANCE WITH THE PRINCIPLES OF PROPER ADMINISTRATION

We have monitored compliance with the law, the Articles of Association and the requirements of Public Supervisory and Control Authorities; we acquired knowledge about and monitored, within the scope of our sphere of competence, compliance with the principles of correct administration and the adequacy of the organisational and accounting structures, as well as the overall functionality of BPER's Internal Control System.

This also through continued participation at meetings of the Board of Directors and the Executive Committee, as provided by current regulations, through meetings with Board Committees, the Supervisory Body as per Legislative Decree 231/2001, the Chief Executive Officer, the Chairman of the Board of Directors and the General Manager, as well as through the other supervisory activities mentioned previously.

We were able to make sure that the activities of these Committees and Bodies were based on respect for the principles of correct administration and protection of the Bank's assets. During the meetings we attended and the checks we carried out, we did not become aware of any transactions which were manifestly imprudent, risky or in potential conflict of interest, nor of actions contrary to the decisions of the Shareholders' Meeting or that might compromise the integrity of the Company's assets. In addition, there were no transactions involving Directors that did not have the required information.

As mentioned previously, we also checked that the main transactions to be approved were backed by adequate and thorough analysis and evaluation of all relevant aspects, making use, where appropriate, of independent expert appraisals.

In the opinion of this Board of Statutory Auditors, the Bank is administered in compliance with the law and the articles of association, and the system for the delegation of powers and authorities also appears to be adequate. The administrative activity did not give rise to any findings nor to particular or significant observations as indicated elsewhere on our part, nor by any other Corporate Body vested with specific control functions.

With regard to the decision-making processes of the Board of Directors and of the Executive Committee, we monitored, also through direct participation at board meetings, its compliance with the law and the Articles of Association and verified that the resolutions of the Board of Directors and of the Executive Committee were supported by adequate processes of information, analysis and verification.

We took note of the declarations made pursuant to art. 2391 of the Italian Civil Code.

Board meetings were regularly attended, by right or by invitation, by the General Manager, the Deputy General Managers and the Secretary to the Board of Directors, for the explanation and analysis of the measures to be decided. These meetings were also attended by other Managers, depending on the specific topics on the agenda. Benefiting from attendance by these persons, this Board was able to obtain additional information, as appropriate, about the proposed transactions and their economic and financial effects.

During regular meetings with the Chief Executive Officer, the Board of Statutory Auditors was able to obtain details about and comment on the topics of greatest interest to the Bank and the Group, including the special acquisition of Nuova Carife, the Transparency project, the application of Regulation (EU) 537/2014 on appointing the auditing firm to provide non-audit services, the implementation of the policy and regulations for the management of problem loans, the quarterly statistical report of the auditor on the loans portfolio, the projects to comply with MiFID II:, MAR, the value-based management process, the results of road shows and meetings with analysts and investors, the reports of the control bodies of Group legal entities, the status and progress of BPER Credit Management.

During the year, this Board continued to monitor the progress made in the areas of strategic planning and management control, given that the Bank is committed to migrating from traditional system of control towards a new model more focused on executive and strategic analysis. In this context, this Board regards favourably the launch in November 2017 of the value-based management project, which intends to implement and make fully operational this approach, consistent with the principal characteristics of the business model of the Group and recent and future developments, supporting the Business Model Analysis in operational terms and, at the same time, ensuring consistency with the indications received from the Supervisory Authorities. The success of this project will depend, in part, on the ability to implement rapidly the technical-IT solutions that are identified.

XII - OBSERVATIONS OF THE ADEQUACY OF THE ORGANISATIONAL STRUCTURE

During the year, the Bank and the Group completed the delayering process envisaged in the 2015-2017 business plan, with a view to redesigning the organisational units of the Bank to simplify its structure and make processes and operations more efficient and fluid; in this context, the Board of Statutory Auditors held regular meetings with General Management, the Human Resources Department, the Systems Department and the Commercial function – Chief Business Officer Area, in order to assess the adequacy of the organisational structure and the response of management and strategic supervision to the market and to the competitive environment and requirements.

With regard to systems, this Board monitored closely the evolution of and quali-quantitative tools available to the internal control functions, as they underwent significant changes due to the constant evolution of the external banking regulations and the ever increasing requirements of the governance bodies, against a background of internal organisational and technological change (completion of projects on remote checks, the evolution of stress testing systems, the evolution of the platform for the management of operational risks, projects in the areas of data governance and data quality). Delays in achieving the authorised target staffing levels for the control functions again required temporary recourse to the use of external consultants. Towards year end, activities were strengthened in the areas of ICT audit and liquidity management.

Loans and advances received special attention from this Board with regard to implementation of the Early Warning system and the new lending policies, as well as the organisational model adopted in 2016 (with clear segregation of responsibilities for granting and managing performing loans from those for managing anomalous loans). In this context, we note the changes during the year in relation to the authorisation process (to identify the empowered persons) and the introduction of a system for the pre-allocation of funds, in order to make the process of granting and managing loans more efficient, especially at Group level.

As regards the management of NPE, we noted that the Group model provides for a separation between the management of non-performing exposures other than bad loans, which fall into the area of the CLO, and bad loans. With reference to the latter, during the year the Group activated a workout unit in the form of a consortium dedicated to the management of bad loans, activating a special mandate and transferring the management of such positions.

This Board contributed to the process of revising the organisation, with support from the Internal Control Functions, by making observations and suggestions (e.g. calling on the Risk Management Function to evaluate certain projects in progress to revise systems and processes) that were well received by the bodies and functions concerned.

In our opinion, there are no critical issues of particular relevance to be reported nor significant comments to be made regarding the Bank's organisational structure. No particular weaknesses were found nor situations to be reported here regarding the effective functioning of Bodies, corporate functions, systems and procedures. We note the constant action being taken to consolidate and refine internal procedures and regulations, which is increasingly necessary in order to enhance and align the models, procedures, structure and organisation with the new requirements, instructions and indications emanating from the Supervisory Authorities.

The organisation and services, both those structured within the Company and the Group, and those that have been outsourced, are appropriate and performed on a timely basis for the required obligations, both in terms of regulations and for the purposes of a fair, effective and efficient corporate management.

With regard to the functions that have been outsourced, both within the Group and externally, processes for the management, monitoring and evaluation of these services became fully effective during 2017, and the related contracts were revised.

The remuneration system of the Bank and the Group, subject among other things to the provisions of the 7th update of Bank of Italy's Circular 285/2013, is outlined in the Remuneration Report (prepared in accordance with art. 123-*ter* of Legislative Decree 58/98 and art. 84-*quarter* of the Issuers' Regulation) and the "Prospectus for 2018 phantom stock compensation plan" (prepared under article 114-*bis* of the CFA and art. 84-*bis* of the Issuers' Regulation) submitted to the Shareholders' Meeting; further information is provided in the report on operations and in the Group report on operations, as well as in Part I of the notes to the draft separate and consolidated financial statements and in the Third Pillar disclosure to the market.

The phantom stock plan for top management within the Group has been confirmed, while the system of remuneration has been further developed and refined for 2018. In particular, the introduction of social and environmental sustainability as a performance parameter for the evaluation of the Chief Executive Officer and top managers involved in CSR projects is worthy of mention, together with expansion of the scope of the MBO system to the Loans area, the work-out unit and the Business area, and steady refinement of the indicators for evaluating individual performance.

This Board has no further observations to make with regard to the above.

XIII – OBSERVATIONS ABOUT THE SYSTEM OF INTERNAL CONTROL AND THE ACTIVITIES OF THOSE RESPONSIBLE FOR INTERNAL CONTROL, HIGHLIGHTING ANY CORRECTIVE ACTIONS TAKEN AND/OR STILL TO BE TAKEN

Internal Control System

With reference to the Internal Control System, in referring to what is reported in the report on operations, in the Group report on operations, in the Explanatory Notes, in the Report on Corporate Governance and Ownership Structure and in the Third Pillar disclosure to the market, this system is primarily characterised by the Group Guidelines, as last updated by the Board of Directors in November 2016.

In the context of their management and coordination responsibilities, the control functions active within the Parent Company perform technical-operational checks on Group companies in order to assess the degree of risk contributed to the Group by each subsidiary and the overall risks faced by the Group.

In addition, regular checks governed by specific outsourcing contracts are performed for those companies that are required to establish control functions or which are exposed to significant risks. With reference to the companies within the former Nuova Carife group, this Board carried out checks, partly via meetings with and fundamental support from the Board of Statutory Auditors of Nuova Carife S.p.A., on the organisation of their systems of controls and on the principal issues faced by them during the transition period until the absorption of Nuova Carife S.p.A. by BPER Banca and of Carife SIM S.p.A. by Optima SIM S.p.A.

During 2017, the architecture of the internal control system was influenced by (i) a process of improvements to the framework of audit and network controls adopted by the Internal Audit Department; in addition, a risk assessment was performed on the business processes of Group Banks and Companies in order to support and strengthen the Audit Plan by adopting a risk-based approach; (ii) the revision of the compliance model, with centralisation within the Compliance Unit of activities previously assigned to so-called support functions, and simplification of the so-called specialist functions; (iii) the appointment of the Group Data Protection Manager and structuring of an organisational unit responsible for privacy matters (Regulation (EU) 2016/679 GDPR); (iv) the decision of the Bank to participate in the collaborative tax compliance scheme envisaged in art. 5 et seq. of Decree 128/2015 and the start of work to implement the system for the control of tax risks envisaged in that law; (v) the impact analysis carried out in relation to the new instructions on anti-money laundering and the fight against terrorism contained in Decree 90/2017, in relation to which the Anti-Money Laundering Unit performed a gap analysis to determine the enhancements needed to the IT system and business processes; (vi) the development and implementation of the second-level control framework as part of the management of non-performing exposures, as well as support for the definition of NPE strategies, consistent with the "ECB Guidelines on impaired loans"; (vii) the development of the internal validation function as part of the control of financial risks; (viii) the changes introduced by IFRS 9 and by the Resolution Authority. In this regard, Internal Audit is providing advice on “Adoption of the IVth Directive on anti-money laundering”, with a focus on the adequacy of the project to implement the new anti-money laundering instructions, in terms of the way it is organised; the completeness of the action planned with respect to the regulatory requirements; the definition of the work plan.

Work also continued during the year on the fine tuning of the new system for identifying, monitoring, managing and reporting on the findings of the internal control functions, in order to ensure consistent, timely and prioritised action in line with best practices (EBA/CP/2016/16); completion of this project, expected in early 2018, will render more efficient and effective the analysis of recommendations made but not yet completed/implemented, the related progress made and the priorities assigned.

This Board has monitored the system of internal controls, both by regular, frequent meetings with the control functions and by direct verification of the various levels of the control system. We have also requested feedback, follow-up and action by senior management or the body responsible for strategic supervision.

During 2017, we addressed several issues related to the internal control system, including the size and the expected strengthening of the functions, the planning, handling of findings, the system of management and control of credit, operational and financial risks, providing recommendations and input.

The information system, which is managed by the BPER Services consortium, is involved in important projects as part of the implementation of policies and regulations to transpose new legislation (Circ. 285, Title V, Chapter IV), particularly on the subject of data governance: these projects respond to a constantly evolving need for data quality *that is strongly felt within the Group and by the corporate control and operational functions.*

As indicated in previous reports, this matter intersects with that of NPE management and is a critical success factor in relation to both the work-out capability and the ability to obtain assignment prices in line with expected internal rates of recovery.

This Board has also monitored the various phases in the adoption of the new regulations on product governance, Mifid II, MAD II / MAR, GDPR and PSD2.

In this regard and with particular reference to the MAR regulation (Regulation (EU) 596/2014 and related delegating regulations), we note the timely update of the “Group policy for governing the risk of non-compliance with the market abuse regulations” and the internal regulations on the “Management of Internal Dealing” and the “Management of suspicious transactions”. The regulation on the “Management of privileged information and the Insider List” is also being updated to take account of the related Consob Guidelines published in October 2017.

We continue to monitor the transposition of directives and Group regulations, requiring, where necessary, the intervention of the equivalent control functions operating at subsidiaries.

Based on the deeds and facts considered during our monitoring activities and having regard for the scale and operating characteristics of the Bank and the Group, this Board has not identified any situations suggesting that, taken as a whole, the system of internal control might not be adequate; this system has not evidenced any significant problems, pending the activity of the Control and Risk Committee and the continued work on the part of the competent functions of constant methodological and organisational review and refining, which have led to better results compared with last year, in terms of effectiveness and efficiency.

Risk management and control system

In order to ensure implementation of the Risk Appetite Framework, used to define the propensity of the Group to accept risk, the risk management and control system continues to evolve as an integral part of the Group's internal control system, which is implemented via the adoption of Group policies, regulations and procedures.

In this context, we note: the evolution of the areas linked to ICAAP and ILAAP (which have adopted the Supervisory recommendations and recognised the need to refine the time allocations made to prepare the respective reports); the further functional implementations made to improve the links between the above processes, the RAF, the budget, the business plan and the NPE Business Plan, the introduction of a parameter regarding the position in Italian government securities, the increased inclusion of ICAAP parameters in the RAF quarterly reports and inclusion in the assessment of prospective capital adequacy of early estimates of the impact of adopting IFRS 9.

The first version of the Recovery Plan, adopted in 2016, was updated in early 2017 to take account of requests made by the European Supervisory Authorities and to include various improvements. Following the additional matters raised by the ECB in August 2017, the Bank took remedial action in the areas of governance and operational processes, culminating in the further revision of the Recovery Plan in December 2017.

With reference to the management of credit and counterparty risk, we previously noted the authorisation to use the AIRB (Advanced Internal Ratings-Based) approach. Related activities in 2017 included the introduction of rating models for the Holding and Financial business (non-banking) segments, update of the LGD (Loss Given Default) model and recalibration of the risk models used to calculate the PD (Probability of Default) for corporate and retail counterparties, as well as alignment of the credit risk models used with the requirements of IFRS 9. We also note performance of the activities requested by the ECB on validation of the internal models, with consequent elimination of the specific add-on to risk-weighted assets.

Also at the request of the Supervisory Authorities, the policies and regulations governing the classification, management and measurement of loans and related guarantees have been improved significantly (September/October 2017). In this regard, we recommended and insisted on their application when measuring the loans reported in the 2017 financial statements.

This Board has dedicated particular attention to the configuration of the second-level controls over lending, now essentially in place, which are a significant element in the internal control system applicable to financial disclosures.

Market risks are monitored by a system of limits that are revised annually, or more frequently, depending on the complexity of the portfolios and expected developments regarding the concentration of guarantees and sovereign risk. In this area, responding to requests made by this Board and the Supervisory Authorities during audits of how market and liquidity risks are managed, the Bank has launched an ambitious process to enhance the framework for the management and control of financial risks (including the banking book interest rate risk, as well as the liquidity, market, counterparty and sovereign risks). In this regard, this Board believes that the size of the portfolio of financial assets and related risks (including credit spread risk) justifies making further enhancements to the related processes and systems.

Various refinements were made in the area of operating risk during 2017, with completion of a new risk self-assessment process. In addition, a framework for the management of reputational risk was implemented in order to oversee and monitor the situation constantly and highlight and mitigate any situations requiring attention, while the Group focused on implementing the recommendations made in relation to payment systems and security controls in the area of cyber crime; work is also in progress to implement the IT risk framework.

Lastly, the internal validation function has continued to monitor and verify the internal models adopted by the Group, both for prudential purposes and in order to manage risk.

Supervisory Review and Evaluation Process (SREP)

During the year, this Board continued to monitor implementation of the actions taken by the Bank in response to the comments, observations and suggestions made by the Supervisory Authorities following inspections and other supervisory activities, ensuring compliance with the established time scales; the topics addressed include:

- inspection by the Bank of Italy, completed in July 2015, regarding the transparency of operations, propriety in relations with customers and anti-money laundering activities. Implementations in the anti-money laundering area have essentially been completed, except for some IT work that will be finished during 2018. Efforts to improve the transparency of relations with customers continued during 2017, completing the plan previously notified to the Bank of Italy: further transparency work will continue in 2018 in relation to the various lending products (loans and mortgages), the timing of which depends on the complexity of the project design and the related impact on internal procedures;
- ECB inspection covering internal governance, risk management, the system of remuneration and the system of internal controls within the Group, which was completed in September 2015 and followed by remedial activities that were finished in March 2017;
- ECB inspection covering the management of credit and counterparty risk, the outcome of which was notified to the Bank in October 2016. The various recommendations issued were discussed in the prior-year report. The Bank completed the related remedial action by the end of 2017 including, as already mentioned, a broad revision of loan classification and measurement procedures;
- ECB inspection covering the accuracy of the calculation of capital, which was completed in March 2017. The outcome was notified to the Bank in August 2017, setting October 2018 as the deadline for completing the related implementation work. In this context, the inspection team requested us to perform various checks and issue confirmations about the data provided by the Bank, as well as to monitor implementation of the remedial action identified and the accuracy of the quarterly information on progress provided to the ECB;
- follow-up by the Bank of Italy on anti-money laundering matters, involving visits to 16 branches of BPER Banca and Banco di Sardegna between 27 April and 10 July 2017. The Supervisory Authority formalised the related observations in the letter ref. 1447783 dated 7/12/2017; the anomalies identified, involving just over half the branches visited, were all behavioural and derived principally from the poor formalisation of assessments and insufficient knowledge of the related criteria used by the managers concerned, in a context in which the internal regulations and controls are consistent with the primary regulations. The improvements made to the procedures adopted by the branch network in relation to anti-money laundering activities (adequate verification and risk profiling), which were completed during 2017, appear to mitigate suitably the weaknesses identified by the Supervisory

Authority during the above branch visits;

- thematic review of NPLs and the management and recovery with reference to the new ECB Guidelines on the subject and consequent requirements for planning, the enhancement of processes and quarterly reporting in relation to the NPEs and half-yearly reporting in relation to the operating plan;
- observations on the NPE plan prepared by the Group, which were only received at the end of 2017 and will be covered in the updated version of the 2018 plan.

During the period from September to December 2017 the ECB also carried out an additional inspection in relation to the management of market and liquidity risks, the results of which are being formalised and will be notified officially to the Bank during the first half of 2018, so that remedial action can be planned; in this context, the Bank has already launched projects to enhance the system for the management and control of financial risks and the value-based management project mentioned earlier. Internal Audit has also commenced specific activities designed to monitor and evaluate the process of resolving the matters raised by the Supervisory Authority.

Lastly, in January 2018, the ECB commenced a detailed analysis of internal governance and the management of credit risk in relation to Banco di Sardegna S.p.A.

With regard to the indications emerging from the Supervisory Review and Evaluation Process (SREP), the Supervisory Authority had previously established the consolidated capital requirements applicable from 1 January 2017 in terms of the CET1 Ratio (7.25%) and the Total capital ratio (10.25%). In November 2017, the ECB informed the Bank about the Pillar 2 Requirement and the Pillar 2 Guidance established for 2018 as a result of the SERP. In particular, the obligatory requirements envisage a minimum CET1 ratio of 8.125% and a minimum TCR of 11.625%, accompanied by certain qualitative requirements for ECB reporting. These include an new strategic and operational plan for NPEs, as already mentioned, and the preparation of suitable governance mechanisms for the monitoring and control of the NPEs, as well as a six-monthly report for the ECB on the strategic and operational plan for the control of NPEs and certain improvements to the measurement of risks as part of the ICAAP and the ILAAP.

In this regard and noting that the prudential and guidance requirements established by the Supervisory Authority were met at the end of the year, we confirm the strong commitment of the internal structures (including the Risk Department, Internal Audit Department, General Secretariat, Compliance Unit, COO, BPER Services and Systems Department) to the management of relations with the Supervisory Authority and implementation of the remedial actions identified.

XIV - COMMENTS ON THE ADEQUACY OF THE ADMINISTRATIVE AND ACCOUNTING SYSTEM AND ON ITS RELIABILITY TO REPRESENT OPERATING EVENTS CORRECTLY

We have monitored the adequacy of the administrative and accounting system, its reliability in correctly representing operating events, by obtaining information from the heads of the various Corporate Functions, examining the most significant corporate documents, analysing the work performed by the Independent Auditors PwC and Deloitte, by the Executive responsible for preparing the company's financial reports, and by the Internal Audit Department.

In the context of the system of internal controls over financial disclosures, the Executive responsible for preparing the company's financial reports plays a key role by defining the related control model applied by BPER Banca and, with reference to the procedures for preparing the consolidated financial statements, by the companies included within the scope of consolidation. The

Financial Reporting Control Model is a set of requirements to be met for the proper management and control of the risk of unintentional errors and fraud in financial reports and is approved by the Board of Directors. The Executive responsible for preparing the company’s financial report is supported by the Office for the Monitoring and Control of Financial Reporting (“UMCIF”) in performing the duties envisaged in Law 262/2005 and art. 154-*bis* CFA. The entire Model and related internal regulation were revised extensively during 2017, and the scope and depth of the checks made by the above Office on Group companies has also improved steadily.

In this regard, we took note of the positive content of the report of the Manager responsible for preparing the company's financial reports for the purposes of art. 154-*bis*, paragraphs 3 and 4, of the CFA that describes the Control Model for Financial Information, the checks carried out, the overall positive evaluation of the system and any points of attention, and the planning for 2018.

Given the task attributed to us as part of the financial reporting process, we maintained close coordination with the Financial Statements and Administration Department, the head of which is also the Manager responsible for preparing the company's financial reports.

During the year we reviewed the checks performed by the Financial Reporting Monitoring and Control Office and the results of these checks; at the beginning of 2018 we took note of the actual activity and planning carried out. In this context, the points of attention are monitored by us, and with our usual constructive relationship, we provide suggestions and recommendations where necessary.

As for financial reporting processes, the Board has taken note of the strengthening which occurred in 2017 in the design and control activities carried out by the UCMIF, whose surveys have enabled the Group to focus on certain aspects of interest for the purpose of the consolidated financial statements (e.g. Nadia S.p.A. and Sardaleasing S.p.A.).

This Board also notes the “Favourable” outcome of the checks carried out by the Internal Audit Department on how the risk of unintentional errors and fraud in financial reports is managed at Group level; the purpose of the audit was to assess the adequacy of and compliance with the system, by verifying that the macroprocess concerned satisfies the requirements established by the related regulations and best practices.

In terms of accounting processes, the principal Italian companies within the Group apply the same procedures, except for CR Saluzzo S.p.A., which joined the Group in 2016, and Sardaleasing S.p.A., whose accounting and IT systems are scheduled for alignment in, respectively, spring and autumn 2018; IT procedures have been written for those supervised entities with different IT systems, so that centralised checks can be made. Further benefits are expected from the construction of the Group's internal datawarehouse, currently being implemented, also for auditing purposes.

This Board dedicated special attention during 2017 to the project carried out to apply the new accounting standards (IFRS 9 and IFRS 15); with regard to IFRS 9 in particular, the meetings and checks, including participation by the firm of legal auditors, involved the project group and external advisors, the Executive responsible for preparing the company's financial reports (implementation of new accounting policies, supervision of IT implementation work), the Risk Department (staging models, ECL calculation models), the Loans Area (staging models, impact on lending policies), the Business Area and the Legal Unit. This topic was also analysed and addressed by the Supervisory Authority, which made comments and observations on the alignment plan (situation in March 2017); all remedial actions are scheduled for completion by 30 June 2018 and progress on the implementation efforts will be included in the quarterly reports for the ECB from 31 March 2018.

At the date of this report, the Bank and the Group have defined and formalised the applicable accounting policies and methodologies, although as mentioned certain formalisation and implementation work will extend into 2018.

In this regard, the Board of Statutory Auditors notes that the impact of IFRS 9 is particularly significant with regard to (i) lending policies and the processes of granting credit and monitoring and managing exposures, in order to contain the volatility of the income statement as a result of staging changes; (ii) commercial and pricing policies to align the cost of credit with the related risk; (iii) the planning, control and reporting processes adopted to manage effectively the underlying phenomena. The completion of this work and that highlighted earlier will be a very important step for the Bank.

Lastly, the Board has monitored, and continues to monitor, implementation of the suggestions made by the Independent Auditors, which in any case did not highlight any issues needing particular attention.

In relation to accounting information contained in the separate and consolidated financial statements at 31 December 2017, the Chief Executive Officer and the Manager responsible for preparing the company's financial reports issued the required certification pursuant to art. 81-*ter* of CONSOB Regulation 11971, without any comments.

It is worth recalling that the BPER Group does not include any companies incorporated under the laws of non-EU countries.

In light of the above, the administrative and accounting structure is adequately defined and suitable to meet the business needs that arose during the year.

The internal control system on financial reporting, constantly subject to updates and maintenance, is organised, structured and equipped with appropriate resources and tools.

The Independent Auditors checked the administrative and accounting procedures without highlighting any matters regarding their reliability. They also checked the accuracy of the recognition of operating events in the accounting records, as well as the completeness of the information and accounting policies for the preparation of the separate and consolidated financial statements, without making any comments or observations.

Even though the statutory audit of the accounts as per Legislative Decree 39/2010 is not part of the duties of the Board of Statutory Auditors, being delegated to the Independent Auditors, based on the information received from the latter and from the Manager responsible for preparing the company's financial reports and the checks provided for in arts. 2403 et seq. of the Italian Civil Code, we are of the opinion that the administrative and accounting system, as a whole, is adequate and reliable and that operating events are recognised correctly and punctually.

As regards the scope of consolidation, please refer to the Group report on operations and to Part A of the notes for information on the unification of the line-by-line scope of consolidation for accounting purposes with the scope of consolidation for supervisory purposes for reasons of rationalisation, simplification and control of process for producing the consolidated figures for supervisory and financial reporting purposes, without appreciable effects in terms of equity, economic results or financial performance of the Group

Lastly, it should be noted that the Bank and the Group do not have any situations that could be considered significant for disclosure purposes under IFRS 12.

XV - OBSERVATIONS ON THE ADEQUACY OF THE INSTRUCTIONS GIVEN TO SUBSIDIARIES UNDER ART. 114 OF THE CFA

We have monitored the adequacy of the instructions given by the Bank to its subsidiaries, pursuant to art. 114 of the CFA, deeming them appropriate for the latter to comply with the legal disclosure requirements.

In relation to the close functional and operational links, as well as the presence of contact persons at the subsidiaries, a proper and adequate flow of information was guaranteed during 2017, supported by appropriate accounting documents and calculations relating to the management of legal entities under the Bank's control.

We can confirm that we have remained in constant contact with the corresponding bodies of the main Group banks and companies; in this context, during September and October 2017 meetings were held with the corresponding Control Bodies of the Group banks at their headquarters (Sassari, Ferrara, Saluzzo and Bra), as well as with the Chairman of the Boards of Statutory Auditors of the principal operating companies within the Group, to exchange information on the principal matters relevant to the individual companies (assessment of the internal control system, supervision of the legal audit, systems, IT, human resources; business performance; management and impairment of non-performing loans; significant disputes/legal cases; anti-money laundering; overall compliance; implementation of guidance and coordination instructions).

Additional discussion and training meetings were held when the Chairmen of the Group Boards of Statutory Auditors attended the Group Convention held in June 2017 and the Convention of Group Boards of Statutory Auditors held in November 2017, which were attended by all the statutory auditors of Italian banks and numerous non-bank companies within the BPER Group. These Conventions, held over a total of 2 days, included reports from the various control functions, the Executive responsible for preparing the company's financial reports, the CLO, the CFO, the COO and the General Managers of BPER Services and BPER Credit Management, on topics relevant to the changes in regulations, the implementation of Group processes and the analysis of matters of common interest. Furthermore, meetings were held in April and May with the Chairmen of the Boards of Statutory Auditors of Group banks and certain operating companies within the banking group on the new IFRS 9 and for the purpose of presenting and exchanging information with Deloitte & Touche S.p.A.

Considering the above, we have no comments to make on the adequacy of the instructions given to the banks or subsidiaries to acquire the information flows needed to ensure the timely fulfillment of the legal disclosure requirements.

This Board also notes that no issues worthy of mention were identified from the meetings held throughout the year with the other Control Bodies, from the periodic conventions organised to share ever greater information among all the Control Bodies of the Italian banks and other Group companies or from consideration of the directives issued by the Parent Company.

XVI - OBSERVATIONS ON SIGNIFICANT ISSUES THAT AROSE DURING THE COURSE OF MEETINGS HELD WITH THE INDEPENDENT AUDITORS PURSUANT TO ART. 150 PARAGRAPH 3 OF LEGISLATIVE DECREE 58/1998

As required by art. 19 of Decree 39/2010, the Board of Statutory Auditors, identified as the "Internal Control and Audit Committee", has carried out the required supervision of the Independent Auditors and, by performing checks and obtaining information from PwC and, subsequently, from Deloitte and from the senior management of the Bank, as verified compliance with the laws and regulations governing the form and content of the separate financial statements, the consolidated financial statements and the Report on operations.

This Board has also supervised, to the extent relevant to this section, the financial reporting process, the effectiveness of the systems of internal control, internal audit and risk management, the legal auditor of the separate and consolidated financial statements, and the independence of the legal auditor pursuant to Regulation (EU) 537/2014.

The Board of Statutory Auditors has met regularly with the appointed auditing firm, resulting in a mutually beneficial exchange of information, as required by art. 150 CFA.

In particular, together with the Independent Auditors, we examined the application of accounting standards, the best treatment and presentation of key elements in the financial statements from an economic, financial and capital point of view. The Bank project to apply IFRS 9 was analysed and discussed with the auditing firm, together with the work performed and the new policies adopted in order to ensure application of the new accounting standard with effect from 1 January 2018.

The periodic meetings with the auditing firm also included discussion of the principal topics and organisational and process changes with an impact on the accounting systems and financial reporting including, in particular, the changes in policies for the measurement of loans and guarantees, the system of second-level controls over lending and the measurement processes adopted in the Finance area; the processes for determining the impairment of equity investment and goodwill were analysed as well. We also informed the Independent Auditors about our activities and reported any relevant and significant facts about the Bank known to us. There are no acts or facts considered reprehensible and/or that need to be reported in accordance with art. 155, paragraph 2 of the CFA.

During these meeting and, in particular, in connection with the examinations of the interim reports on operations and the annual financial statements, the auditing firm described to this Board the statistical and other analyses performed on the loan portfolios of the Bank and the Group, including: the coverage of the various categories of doubtful exposures and comparison with the banking system, the processes of measuring loans and the related property guarantees, the statistical analysis of bad loans and unlikely to pay exposures (e.g. ageing, discounting provisions), and the incidence of exposures already the subject of forebearance. These analyses also extended to the loan portfolios of Banco di Sardegna S.p.A. and Sardaleasing S.p.A. (benchmarking of their coverage against the banking system, measurement of repossessed assets).

This Board discussed the relevant points for attention with the functions concerned (second-level controls over lending, BPER Credit Management, CLO, Risk Department / CRO, Executive responsible for preparing the company's financial reports) and with the Chief Executive Officer, who supervised implementation of the recommendations made by the auditing firm.

During the year, this Board also examined, discussed and managed independence matters with the auditing firm, not least in relation to the acquisition of Nuova Carife during 2017.

The Board also met with the Independent Auditors in November 2017 to discuss the audit plan for the 2017 financial statements.

Overall, based on the relations of this Board with the auditing firm, that firm has not identified any anomalies, issues or omissions that should be reported.

XVII - ADOPTION OF THE CODE OF CONDUCT OF THE COMMITTEE FOR CORPORATE GOVERNANCE

As already stated, the Bank has prepared the "Report on corporate governance and the ownership structure" required by art. 123-*bis* CFA, making close reference to the "Format for the report on corporate governance and the ownership structure" issued by Borsa Italiana S.p.A., and this

Board confirms approval of that document by the Board of the Bank on 8 March 2017.

In this regard, it is noted that the Bank previously made reference to the Governance Code for listed companies promoted by the Committee for Corporate Governance, without adopting it formally; however, following the transformation of the Bank into a limited company, on 5 September 2017 the Board resolved to adopt that Governance Code (July 2015 version) and started a process leading to full alignment with its recommendations.

At the time of approving the Report on corporate governance and the ownership structure, the Bank performed a self-assessment and found full alignment with the recommendations of the Code and, applying the *comply or explain* principle, discussed and explained in the Report the reasons for any partial disalignment with those recommendations. In this regard, the only difference noted was the decision not to identify a lead independent director, as there was no basis for doing so. Some of the Code recommendations will be implemented when appointing directors and reconstructing the various Board Committees, which will take place at the next shareholders' meeting (check on the requirements for appointment, composition of the Supervisory Body).

In general, this Board notes that the previous level of compliance with the Code was already good and, accordingly, the required alignment effort was not particularly intensive. The sensitivity of the Bank to the spirit of the Code is also evidenced by the fact that the self-assessment process took account of the areas for improvement highlighted by the Committee for Corporate Governance, as requested by that Committee in its communication to the Chairman dated 13 December 2017 (disclosure about the information circulated prior to Board meetings, disclosure about remuneration policies and clawback mechanisms, segregation of the functions of the Appointments Committee from those of the Remuneration Committee) and discussed in section 25 of the Report.

In order to evidence further the alignment work performed and in application of the "comply or explain" principle, an attachment to the Report on corporate governance and the ownership structure contains a “Governance Code comparison table” that presents a checklist showing the sections that cover each topic addressed by recommendations.

On this subject, the Board of Statutory Auditors, to the extent of its responsibilities, has also aligned its “Rules of functioning” and “Rules for the self-assessment of the role of the Board of Statutory Auditors”, having regard for the requirements of the Code. The results of the 2017 self-assessment performed by this Board, partly for the purposes established in Bank of Italy Circular 285/2013, First Part, Title IV, were very positive (averaging the highest score on the assessment scale) in relation to the functioning of the Board, the overall adequacy of the work performed and the role of the Chairman; the skills possessed by the Statutory Auditors and the quality of training/induction activities were also assessed positively and, lastly, the overall quali-quantitative assessment of the Board was good. At the meeting held on 1 February 2018, this Board checked the continued satisfaction of the independence, honourability and professionalism requirements (CFA) imposed on Statutory Auditors, as well as compliance with the instructions regarding multiple appointments and the absence of impediments or situations that would cause appointments to lapse.

Consequent to attending the meetings of the Board of Directors, we also note the positive results of the self-assessment performed by that Board with regard to its quali-quantitative composition and functions (in April 2017 and February 2018) and those of the Executive Committee (in March 2017).

XVIII - FINAL ASSESSMENT OF THE SUPERVISORY ACTIVITIES PERFORMED AND OF ANY OMISSIONS, MISCONDUCT OR IRREGULARITIES FOUND

Shareholders,

In concluding this report, we would like to confirm that we carried out our supervisory activities with the cooperation of the Corporate Bodies, of the managers in charge of administrative and management activities, of the Independent Auditors, of the Internal Audit Department (IAD), of the Manager responsible for preparing the company's financial reports and other Corporate Control Functions and that there are no omissions, misconduct, transactions at risk or irregularities that ought to be reported.

Our supervision and control activity did not reveal any facts that would require reporting to the Supervisory and Control Authorities or mentioning in this report.

As regards the principal risks and uncertainties to which the Bank and the Group are exposed, business continuity as a going concern and the situation of disputed items, as well as the business outlook, reference should be made to the report of operations and to the Group report on operations; with regard to the checks made on the impairment of assets, the contract clauses governing financial payables, the restructuring of debt and the fair value hierarchy, reference is made to section 9.9 of the Directors' report on Group Operations.

In referring to the Directors' report on operations (section 8.1) and the Directors' report on Group Operations (section 10.1), this Board certifies that, to date, to the best of its knowledge, no other significant facts have occurred subsequent to 31 December 2017.

The economic, financial and equity position of the Bank presented in the draft financial statements report a net profit for the year of Euro 208,843,888.33, a comprehensive profit of Euro 235,019,183 and shareholders' equity di Euro 4,886,830,197.

In relation to this result for the year, the Board of Directors recommends (i) the preliminary allocation pursuant to art. 42 (para. 2) of the Articles of Association of Euro 1,405,753.67 to the non-distributable reserve pursuant to Decree 38/2005 (art. 6, para. 1, letter a), in relation to unrealised profits net of the related tax effects, (ii) allocation to the legal reserve of the required profit percentage, equal to Euro 10,371,906.73, and (iii) the declaration of a dividend of Euro 52,943,927.85 (Euro 0.11 for each of the 481,308,435 shares representing share capital), corresponding to 25.35% of the profit for the year, and thus (iv) allocation to equity reserves of the residual profit for the year of Euro 155,899,960.48.

In this regard, the Directors have noted that this distribution of reserves does not appreciably affect the capitalisation of the Bank and the Group.

In fact, the capital ratios of the Bank, Common Equity Tier 1 ratio of 17.18% and Total Capital Ratio of 20.42%, are markedly greater than the established minimums and SREP requirements.

The consolidated financial statements of the BPER Group report a profit of Euro 176,438 thousand, a comprehensive profit of Euro 201,173 thousand and shareholders' equity of Euro 4,881,347 thousand.

The incidence of non-performing loans is 19.81% (11.3% net) at a consolidated level, with an average coverage ratio of 48.7% that is significantly greater than in the prior year; the *Texas ratio* is therefore 101.86%.

The capital ratios at consolidated level, Common Equity Tier 1 ratio of 13.89% (fully phased: 13.68%) and Total Capital Ratio of 16.69%, are also markedly greater than the established minimums and SREP requirements.

Both the draft separate financial statements and consolidated financial statements have been prepared on a going concern basis, without making exceptions when applying the established accounting standards and measurement criteria and, as already stated, they have been audited by the auditing firm without qualifications or emphasis of matter.

Overall, the results for the year just ended confirm the good performance of the Bank and the Group, which was partly due to the net positive contribution of various non-recurring items, including the recognition of negative goodwill on acquisition of the Nuova Carife Group (see the press release dated 8 February 2018 for a more detailed analysis).

As evidenced by the Directors, the results achieved and the good level of capitalisation should facilitate a marked acceleration in the reduction of non-performing loans and, in this context, the pillars of the 2018-2020 NPE Strategy provide for extraordinary provisions to be made in the first quarter of 2018, in conjunction with the first-time application of IFRS 9 and the sale of a substantial portfolio of bad loans held by the Group, which is expected to be completed in the first part of the three-year period.

As required by the ESMA in its *European common enforcement priorities for 2017 IFRS financial statements* document dated 27 October 2017, section 9.12 of the Directors' report on Group Operations provides broad information about the alignment project defined and implemented by the Group for the application of IFRS 9 from 1 January 2018, as well as about the organisation of the project, its methodology and the principal matters concerning the classification and measurement of financial assets and liabilities, the analysis of asset impairment, *hedge accounting* and IT systems and processes.

The estimates available at the moment show that after first-time application of the standard, impacts will emerge that, according to the rules laid down for transition to the new standard, will be recorded with an impact on equity.

The impact at consolidated level is summarised as follows:

• higher adjustments to performing loans and debt securities of about Euro 51 million, mainly linked to the allocation of these financial assets to Stage 2, for which the expected loss is estimated in lifetime mode;

• higher adjustments to non-performing loans (“Stage 3”) of about Euro 1.0 billion, mainly due to inclusion in the measurement process of the forward-looking factors introduced by IFRS 9 in multi-scenario hypotheses, with reference in particular to the disposal scenario that is consistent with the NPE Strategy 2018-20;

• increases in value of about Euro 164 million, deriving from adjustments to the value of financial instruments following the process of classification and measurement in the new portfolios envisaged by IFRS 9.

Consequent to these effects and the effect of spreading the impact, which the Bank and the Group have elected to do pursuant to Regulation (EU) 2395/2017, the directors believe that the fully-phased, pro forma CET1 ratio will be about 12% (ignoring tax effects) and therefore will still be higher than the SREP requirements.

Given all of the above, it is clearly an essential priority for the Bank and the Group to focus on strategies and plans for reducing the burden of NPEs, leveraging the level of capitalisation achieved, not least to be able to tackle better the challenges already on the horizon (calendar provisioning).

XIX - PROPOSALS TO THE SHAREHOLDERS' MEETING

Completing our supervision and control activity, we do not believe that there is any reason to exercise our right to make proposals to the Shareholders' Meeting in accordance with art. 153, paragraph 2, of the CFA.

XX - CONCLUSIONS

Shareholders,

Approval of the financial statements at 31 December 2017 marks the end of the mandate of the entire Board of Directors and, accordingly, you are invited to appoint a new Board for the years 2018 – 2020 and fix the related remuneration.

The mandate of this Board also expires at the same time and, therefore, we invite you to appoint the Control Body for the years 2018 – 2020 and determine the related fees.

Considering the content of the reports prepared by the Independent Auditors and having taken note of the declarations issued jointly by the Chief Executive Officer and the Manager responsible for preparing the Company's financial reports, we the Board of Statutory Auditors, within our sphere of competence, do not have any objections about the proposals made by the Board of Directors to the Shareholders' Meeting, including the proposed allocation of net profit, as we consider the information provided as complete and comprehensive.

At the end of our mandate, we would also like to thank all members of the Board of Directors and management, as well as all the Bank's staff for their assistance in carrying out the functions and tasks assigned to us.

Modena, 23 March 2018

The Board of Statutory Auditors

Antonio Mele (Chairman)

Carlo Baldi (Serving auditor)

Diana Rizzo (Serving auditor)

Francesca Sandrolini (Serving auditor)

Vincenzo Tardini (Serving auditor)

Other attachments

Geographical organization of the Group

Group commercial banks

Details	BPER Banca	BSAR	CR BRA	CR SALUZZO	31.12.2017	31.12.2016
Emilia - Romagna	**338**				**338**	**298**
Bologna	55				55	55
Ferrara	55				55	14
Forlì – Cesena	33				33	33
Modena	77				77	77
Parma	27				27	28
Piacenza	5				5	5
Ravenna	31				31	31
Reggio Emilia	38				38	38
Rimini	17				17	17
Abruzzo	**97**				**97**	**97**
Chieti	37				37	37
L'Aquila	41				41	41
Pescara	11				11	11
Teramo	8				8	8
Basilicata	**34**				**34**	**34**
Matera	19				19	19
Potenza	15				15	15
Calabria	**42**				**42**	**42**
Catanzaro	10				10	10
Cosenza	14				14	14
Crotone	8				8	8
Reggio Calabria	6				6	6
Vibo Valentia	4				4	4
Campania	**95**				**95**	**95**
Avellino	26				26	26
Benevento	4				4	4
Caserta	5				5	5
Naples	24				24	24
Salerno	36				36	36
Lazio	**59**	**4**			**63**	**64**
Frosinone	3				3	3
Latina	10				10	9
Rieti	2				2	2
Rome	43	4			47	49
Viterbo	1				1	1
Liguria		**3**			**3**	**4**
Genoa		1			1	2
La Spezia		1			1	1
Savona		1			1	1
Lombardy	**40**	**1**			**41**	**42**
Bergamo	1				1	1
Brescia	4				4	4
Cremona	5				5	5
Lecco	1				1	1
Lodi	1				1	1
Mantua	11				11	11
Milan	15	1			16	17
Monza Brianza	1				1	1
Varese	1				1	1
Marche	**9**				**9**	**9**
Ancona	2				2	2
Ascoli Piceno	2				2	2
Fermo	1				1	1
Macerata	2				2	2
Pesaro-Urbino	2				2	2

Details	BPER Banca	BSAR	CR BRA	CR SALUZZO	31.12.2017	31.12.2016
Molise	10				10	10
Campobasso	7				7	7
Isernia	3				3	3
Piedmont			28	27	55	55
Alessandria			3		3	3
Asti			4		4	4
Cuneo			17	20	37	37
Turin			4	7	11	11
Apulia	35				35	35
Bari	11				11	11
Barletta Andria Trani	5				5	5
Foggia	16				16	16
Taranto	3				3	3
Sardinia		327			327	349
Cagliari		34			34	86
Carbonia-Iglesias					-	20
Medio Campidano					-	21
Nuoro		62			62	46
Ogliastra					-	21
Olbia-Tempio					-	33
Oristano		49			49	51
Sud Sardegna		82			82	-
Sassari		100			100	71
Sicily	17				17	17
Agrigento	4				4	4
Catania	3				3	3
Messina	5				5	5
Palermo	2				2	2
Siracusa	3				3	3
Tuscany	6	1			7	10
Florence	2				2	2
Livorno		1			1	1
Lucca	2				2	3
Massa					-	1
Pisa					-	1
Pistoia	1				1	1
Prato	1				1	1
Trentino-Alto Adige	3				3	3
Trento	3				3	3
Umbria	2				2	2
Terni	2				2	2
Veneto	40				40	34
Belluno	2				2	2
Padova	8				8	7
Rovigo	10				10	6
Treviso	2				2	2
Venezia	3				3	3
Verona	11				11	11
Vicenza	4				4	3
Total as at 31.12.2017	827	336	28	27	1,218	
Total as at 31.12.2016	779	366	28	27		1,200
Changes during the period of the Group's territorial organization						18

List of IAS/IFRS endorsed by the European Commission as at 31 December 2017

Accounting Standards

IAS/IFRS	Accounting Standards	Endorsement (a)	Amendments
IAS 1	Presentation of Financial Statements	Reg. 1274/2008	Reg. 53/2009, 70/2009, 494/2009, 243/2010, 149/2011, 475/2012, 1254/2012, 1255/2012, 301/2013, 2113/2015, 2406/2015, 1905/2016, 2067/2016, 1986/2017
IAS 2	Inventories	Reg. 1126/2008	Reg.70/2009, 1255/2012, 1905/2016, 2067/2016, 1986/2017
IAS 7	Statement of cash flows	Reg. 1126/2008	Reg. 1260/2008, 1274/2008, 70/2009, 494/2009, 243/2010, 1254/2012, 1174/2013, 1986/2017, 1990/2017
IAS 8	Accounting Standards, Changes in Accounting Estimates and Errors	Reg. 1126/2008	Reg. 1274/2008, 70/2009, 1255/2012, 2067/2016
IAS 10	Events after the Reporting Period	Reg. 1126/2008	Reg. 1274/2008, 70/2009, 1142/2009, 1255/2012, 2067/2016
IAS 11	Construction Contracts	Reg. 1126/2008	Reg. 1260/2008, 1274/2008, 1905/2016
IAS 12	Income Taxes	Reg. 1126/2008	Reg. 1274/2008, 495/2009, 475/2012, 1254/2012, 1255/2012,1174/2013, 1905/2016, 2067/2016, 1986/2017, 1989/2017
IAS 16	Property, Plant and Equipment	Reg. 1126/2008	Reg. 1260/2008, 1274/2008, 70/2009, 495/2009, 1255/2012, 301/2013, 28/2015, 2113/2015, 2231/2015, 1905/2016, 1986/2017
IAS 17	Leases	Reg. 1126/2008	Reg. 243/2010, 1255/2012, 2113/2015
IAS 18	Revenues	Reg. 1126/2008	Reg. 69/2009, 1254/2012, 1255/2012, 1905/2016
IAS 19	Employee Benefits	Reg. 475/2012	Reg. 1255/2012, 29/2015, 2343/2015
IAS 20	Accounting for Government Grants and Disclosure of Government Assistance	Reg. 1126/2008	Reg. 1274/2008, 70/2009, 475/2012, 1255/2012, 2067/2016
IAS 21	Effects of Changes in Foreign Exchange Rates	Reg. 1126/2008	Reg. 1274/2008, 69/2009, 494/2009, 149/2011, 475/2012, 1254/2012, 1255/2012, 2067/2016, 1986/2017
IAS 23	Borrowing Costs	Reg. 1260/2008	Reg. 70/2009, 2113/2015, 2067/2016, 1986/2017
IAS 24	Related Party Disclosures	Reg. 632/2010	Reg. 475/2012, 1254/2012, 1174/2013, 28/2015
IAS 26	Accounting and Reporting by Retirement Benefit Plans	Reg. 1126/2008	
IAS 27	Separate financial statements	Reg. 1254/2012	Reg. 1174/2013, 2441/2015
IAS 28	Investments in Associates and Joint Ventures	Reg. 1254/2012	Reg. 1255/2012, 2441/2015, 1703/2016, 2067/2016
IAS 29	Financial Reporting in Hyperinflationary Economies	Reg. 1126/2008	Reg. 1274/2008, 70/2009

IAS/IFRS	Accounting Standards	Endorsement (a)	Amendments
IAS 32	Financial Instruments: Presentation	Reg. 1126/2008	Reg. 1274/2008, 53/2009, 70/2009, 494/2009, 495/2009, 1293/2009, 149/2011, 475/2012, 1254/2012, 1255/2012, 1256/2012, 301/2013, 1174/2013, 1905/2016, 2067/2016, 1986/2017
IAS 33	Earnings Per Share	Reg. 1126/2008	Reg. 1274/2008, 494/2009, 495/2009, 475/2012, 1254/2012, 1255/2012, 2067/2016
IAS 34	Interim Financial Reporting	Reg. 1126/2008	Reg. 1274/2008, 70/2009, 495/2009, 149/2011, 475/2012, 1255/2012, 301/2013, 1174/2013, 2343/2015, 2406/2015, 1905/2016
IAS 36	Impairment of assets	Reg. 1126/2008	Reg. 1274/2008, 69/2009, 70/2009, 495/2009, 243/2010, 1254/2012, 1255/2012, 1374/2013, 2113/2015, 1905/2016, 2067/2016
IAS 37	Provisions, Contingent Liabilities and Contingent Assets	Reg. 1126/2008	Reg. 1274/2008, 495/2009, 28/2015, 1905/2016, 2067/2016, 1986/2017
IAS 38	Intangible assets	Reg. 1126/2008	Reg. 1260/2008, 1274/2008, 70/2009, 495/2009, 243/2010, 1254/2012, 1255/2012, 28/2015, 2231/2015, 1905/2016, 1986/2017
IAS 39	Financial Instruments: Recognition and Measurement	Reg. 1126/2008	Reg. 1274/2008, 53/2009, 70/2009, 494/2009, 495/2009, 824/2009, 839/2009, 1171/2009, 243/2010, 149/2011, 1254/2012, 1255/2012, 1174/2013, 1375/2013, 28/2015, 1905/2016, 2067/2016, 1986/2017
IAS 40	Investment Property	Reg. 1126/2008	Reg. 1274/2008, 70/2009, 1255/2012, 1361/2014, 2113/2015, 1905/2016, 1986/2017
IAS 41	Agriculture	Reg. 1126/2008	Reg. 1274/2008, 70/2009, 1255/2012, 2113/2015, 1986/2017
IFRS 1	First-time Adoption of International Financial Reporting Standards	Reg. 1136/2009	Reg. 1164/2009, 550/2010, 574/2010, 662/2010, 149/2011, 1205/2011, 475/2012, 1254/2012, 1255/2012, 183/2013, 301/2013, 313/2013, 1174/2013, 2343/2015, 2441/2015, 1905/2016, 2067/2016, 1986/2017
IFRS 2	Share-Based Payment	Reg. 1126/2008	Reg. 1261/2008, 495/2009, 243/2010, 244/2010, 1254/2012, 1255/2012, 28/2015, 2067/2016

IAS/IFRS	Accounting Standards	Endorsement (a)	Amendments
IFRS 3	Business Combinations	Reg. 495/2009	Reg. 149/2011, 1254/2012, 1255/2012, 1174/2013, 1361/2014, 28/2015, 1905/2016, 2067/2016, 1986/2017
IFRS 4	Insurance Contracts	Reg. 1126/2008	Reg. 1274/2008, 494/2009, 1165/2009, 1255/2012, 1905/2016, 2067/2016, 1986/2017, 1988/2017
IFRS 5	Non-current Assets Held for Sale and Discontinued Operations	Reg. 1126/2008	Reg. 1274/2008, 70/2009, 494/2009, 1142/2009, 243/2010, 475/2012, 1254/2012, 1255/2012, 2343/2015, 2067/2016
IFRS 6	Exploration for and Evaluation of Mineral Resources	Reg. 1126/2008	
IFRS 7	Financial Instruments: Disclosures	Reg. 1126/2008	Reg. 1274/2008, 53/2009, 70/2009, 495/2009, 824/2009, 1165/2009, 574/2010, 149/2011, 1205/2011, 475/2012, 1254/2012, 1255/2012, 1256/2012, 1174/2013, 2343/2015, 2406/2015, 2067/2016, 1986/2017
IFRS 8	Operating segments	Reg. 1126/2008	Reg. 1274/2008, 243/2010, 632/2010, 475/2012, 28/2015
IFRS 9	Financial Instruments	Reg. 2067/2016	1986/2017
IFRS 10	Consolidated Financial Statements	Reg. 1254/2012	Reg. 313/2013, 1174/2013, 1703/2016
IFRS 11	Joint Agreements	Reg. 1254/2012	Reg. 313/2013, 2173/2015
IFRS 12	Disclosure of Interests in Other Entities	Reg. 1254/2012	Reg. 313/2013, 1174/2013, 1703/2016
IFRS 13	Fair Value Measurement	Reg. 1255/2012	Reg. 1361/2014, 2067/2016, 1986/2017
IFRS 15	Revenue from contract with customers	Reg. 1905/2016	Reg. 1986/2017, 1987/2017
IFRS 16	Leasing	Reg.1986/2017	

Interpretation documents

IAS/IFRS	Accounting Standards	Endorsement (a)	Amendments
IFRIC 1	Changes in Existing Decommissioning, Restoration and Similar Liabilities	Reg. 1126/2008	Reg. 1260/2008, 1274/2008, 1986/2017
IFRIC 2	Members' Shares in Co-operative Entities and Similar Instruments	Reg. 1126/2008	Reg. 53/2009, 1255/2012, 301/2013, 2067/2016
IFRIC 4	Determining Whether an Arrangement Contains a Lease	Reg. 1126/2008	Reg. 254/2009, 1255/2012
IFRIC 5	Rights to Interests Arising from Decommissioning, Restoration and Environmental Funds	Reg. 1126/2008	Reg. 1254/2012, 2067/2016
IFRIC 6	Liabilities Arising from Participating in a Specific Market - Waste Electrical and Electronic Equipment	Reg. 1126/2008	
IFRIC 7	Applying the Restatement Approach under IAS 29, Financial Reporting in Hyperinflationary Economies	Reg. 1126/2008	Reg. 1274/2008
IFRIC 9	Reassessment of Embedded Derivatives	Reg. 1126/2008	Reg. 495/2009, 1171/2009, 243/2010, 1254/2012, 2067/2016
IFRIC 10	Interim Financial Reporting and Impairment	Reg. 1126/2008	Reg. 1274/2008, 2067/2016
IFRIC 12	Service Concession Arrangements	Reg. 254/2009	Reg. 1905/2016, 2067/2016, 1986/2017
IFRIC 13	Customer Loyalty Programmes	Reg. 1262/2008	Reg. 149/2011, 1255/2012, 1905/2016
IFRIC 14	The Limit on a Defined Benefit Asset, Minimum Funding Requirements and their Interaction	Reg. 1263/2008	Reg. 1274/2008, 633/2010, 475/2012
IFRIC 15	Agreements for the Construction of Real Estate	Reg. 636/2009	Reg. 1905/2016
IFRIC 16	Hedges of a Net Investment in a Foreign Operation	Reg. 460/2009	Reg. 243/2010, 1254/2012, 2067/2016
IFRIC 17	Distributions of Non-cash Assets to Owners	Reg. 1142/2009	Reg. 1254/2012, 1255/2012
IFRIC 18	Transfers of Assets from Customers	Reg. 1164/2009	Reg. 1905/2016
IFRIC 19	Extinguishing Financial Liabilities with Equity Instruments	Reg. 662/2010	Reg. 1255/2012, 2067/2016
IFRIC 20	Stripping Costs in the Production Phase of a Surface Mine	Reg. 1255/2012	
IFRIC 21	Levies	Reg. 634/2014	
SIC 7	Introduction of the Euro	Reg. 1126/2008	Reg. 1274/2008, 494/2009
SIC 10	Government Assistance – No Specific Relation to Operating Activities	Reg. 1126/2008	Reg. 1274/2008
SIC 15	Operating Leases - Incentives	Reg. 1126/2008	Reg. 1274/2008
SIC 25	Income Taxes – Changes in the Tax Status of an Enterprise or its Shareholders	Reg. 1126/2008	Reg. 1274/2008
SIC 27	Evaluating the Substance of Transactions in the Legal Form of a Lease	Reg. 1126/2008	Reg. 1905/2016, 2067/2016
SIC 29	Service Concession Arrangements: Disclosures	Reg. 1126/2008	Reg. 1274/2008, 254/2009, 1986/2017
SIC 31	Revenue – Barter Transactions Involving Advertising Services	Reg. 1126/2008	Reg. 1905/2016
SIC 32	Intangible Assets - Web Site Costs	Reg. 1126/2008	Reg. 1274/2008, 1905/2016, 1986/2017

(a) The Regulation listed is that of the first publication of the Standard or the replacement of the same